

THE JOURNEY BEYOND

SAMPATH BANK PLC
ANNUAL REPORT 2023



Sampath Bank

WE PRESENT YOUR FUTURE



As testament to Sampath Bank's commitment towards digital transformation across its operations, the cover visual, section breaker artwork and infographics featured within this report have been generated using Artificial Intelligence (AI) technology, denoting probably the first time in Sri Lanka that AI has been used for designing reporting content.

The initiative speaks volumes about the Bank's innovative spirit and more importantly the willingness to experiment with new technology mediums to translate people-driven ideas and insights into visually exciting design impressions capable of illustrating the Bank's ongoing journey and future ambitions.

While this is without a doubt a major breakthrough in technology integration for the purpose of enhancing reporting quality, it is but one small step in Sampath Bank's ambitious plans to explore new frontiers to enable continuous reinvention.

THE JOURNEY BEYOND

At Sampath Bank, our journey has always remained closely aligned with the needs of the nation and its people. Over the years, we have continued to blaze new trails and explore the unknown - with the express purpose of inspiring progress across the territories we serve.

However even as we move forward, the world around us continues to evolve and undergo unimaginable transformation; and in order to remain relevant, it is imperative that we realign and reorient ourselves to change.

Today, as we anticipate a future of renewed purpose and revival, we are prepared to set the stage for the next chapter in Sri Lanka's journey - charting a course that will take the nation and its people towards a destination of transformation and growth.

Join us, as we venture beyond the challenges of the present, and seek out the promise of a new tomorrow.

Sampath Bank

Join us, as we embark on the journey beyond.



View this Annual Report Online
<https://www.sampath.lk/investor-relations?section=Annual-Reports>



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“Three decades on, we are proud of a legacy that includes numerous historical milestones and countless pioneering initiatives that have been instrumental in reshaping the local banking sector.”

Chairman's
Message

30



“I am proud to say that Sampath Bank has been able to give our customers much needed breathing space to overcome their current contingencies, while preserving the continuity of their businesses amidst repeated shocks.”

Managing Director's
Review

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FINANCIAL
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Corporate Governance



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ABOUT THE REPORT



About Our Integrated Annual Report

This Integrated Annual Report for the Financial Year (FY) 2023 is the 10th Integrated Report prepared by Sampath Bank PLC, signifying the Bank's unending commitment to reporting excellence. The current report seeks to demonstrate how Sampath Bank is striving to fulfil its purpose to create measurable and sustainable value for all stakeholders - providers of capital, employees, customers, suppliers, regulators, and the communities. To that end, the Report is designed to inform the intended audience about the progress made by the Bank in delivering its strategy. In this regard, an in-depth assessment of the performance for FY 2023 allows shareholders and other stakeholders to determine the Bank's ability to create and preserve sustainable value as well as to guard against value erosion over time.

GRI 2-3

Scope and Boundary

This report covers the period 1st January 2023 to 31st December 2023 and includes post balance sheet events and information up to the date of Board approval on 14th February 2024. The data in this report both financial and non-financial pertains to Sampath Bank PLC Group, wherein Sampath Bank PLC is identified as the main reporting entity.

As such, the report narrative is structured primarily around the Bank's business model, strategy, performance and prospects in relation to the core business encompassing Retail Banking, Corporate Banking, SME Banking, International Trade, Recovery Operations and the Treasury. A separate section entitled "Performance of Subsidiaries" has been included in the report to summarise the operational performance of all entities over which the Group has control.

Financial information has been presented for the Bank as well as for the Group, while non-financial information pertains to Bank operations only, unless otherwise specified.



Our Reporting Frameworks and Suite



INTEGRATED REPORTING

- The International Integrated Reporting Framework of the International Integrated Reporting Council (IIRC)
- "A Preparer's Guide to Integrated Reporting" issued by the Institute of Chartered Accountants of Sri Lanka



ESG AND SUSTAINABILITY REPORTING

- Global Reporting Initiative (GRI) standards - 'In Accordance with the GRI Standards', issued by Global Sustainability Standards Board
- Guideline on Environmental, Social and Governance (ESG) Reporting issued by the Colombo Stock Exchange (CSE)
- United Nations Sustainable Development Goals (SDGs)
- Banking Act Direction No. 05 of 2022 on Sustainable Finance Activities of Licensed Banks
- 10 Principles of United Nations Global Compact



CLIMATE-RELATED DISCLOSURES

- Task Force on Climate-related Financial Disclosure (TCFD)
- ISO 14064-1:2018 Organisation Level for Quantification and Reporting of Green House Gas (GHG) Emissions and Removals
- GHG Protocol Corporate Accounting and Reporting Standard



FINANCIAL REPORTING

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka
- Companies Act No. 07 of 2007 and amendments thereto
- Banking Act No. 30 of 1988 and amendments thereto
- Listing Rules of the Colombo Stock Exchange (CSE)



GOVERNANCE, COMPLIANCE AND RISK REPORTING

- Code of Best Practice for Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka
- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Central Bank of Sri Lanka and any amendments thereto
- Banking Act Direction No. 01 of 2016 on Capital Requirements under Basel III and amendments thereto
- Banking Act No. 30 of 1988 and amendments thereto
- Listing Rules of the Colombo Stock Exchange (CSE)
- Companies Act No. 07 of 2007 and amendments thereto

GRI 3-1

Information Gathering and Report Preparation

Information included in this report has been sourced from multiple sources, including interviews with the Bank's leadership (the Chairman, the Managing Director and the Members of the Corporate Management team) and other members of the Senior Management of the Bank. Data obtained from verified external sources have also been used to support internal information.

All content relating to the reporting suite is prepared in parallel to prevent information gaps and ensure all data is correctly and consistently reported. The report preparation process is overseen by a dedicated internal team with the support from specialist external reporting advisors.

GRI 3-1

Materiality

This determination of Material topics that are most important to stakeholders, sets the foundation for the preparation of Sampath Bank's integrated report. A comprehensive stakeholder survey is carried out once in three years to identify, review and finalise the issues that stakeholders consider to be Material to the Bank's ability to create and preserve stakeholder value. Material Topics identified are reviewed and approved by the Bank's leadership.

The existing 22 Material Topics concerning economic, social, and environmental parameters were validated through the stakeholder survey for 2023. However, based on the survey findings, the Material Topic 'Environment Protection and Conservation' was revised to 'Climate Change' in order to provide a broader context. This change is aimed at deepening the Bank's focus towards climate change mitigation and adaptation, as well as to drive sustainable financing as a top priority.

Emphasis on Integrated Thinking

The Annual Report for FY 2023 continues to underscore Sampath Bank's commitment to integrated thinking. Accordingly, quantitative financial data along with quantitative and qualitative ESG (Environmental, Social and Governance) information have been embedded in this report to demonstrate the Bank's capacity for sustainable value creation through the allocation of financial and non-financial resources across various forms of capital.

The Bank's main purpose in adopting the integrated approach for the Annual Report is to satisfy the diverse information needs of its target audience through comprehensive disclosures covering financial and non-financial performance. This holistic approach is consistent with the Bank's principal efforts to provide stakeholders with timely, relevant and accurate information in a clear and concise manner to support informed decision making and encourage greater stakeholder involvement in the activities of the Bank.

ABOUT THE REPORT

External Verification Obtained

Integrated Report

Independent Assurance Report by Messrs Ernst and Young, Chartered Accountants regarding the validity, accuracy and completeness of the Integrated Report for FY 2023. (Pages 443 and 444)

Financial Statements

Independent Auditor's Report by external auditors - Messrs Ernst and Young, Chartered Accountants on the accuracy and completeness of Financial Statements for the year ended 31st December 2023. (Pages 245 to 248)

Directors' Statement on Internal Control Over Financial Reporting

The independent review of Directors' Statement on Internal Control Over Financial Reporting by external auditors - Messrs Ernst and Young, Chartered Accountants. (Page 241)

Sustainability Disclosures

Independent Assurance Report by Messrs Ernst and Young, Chartered Accountants to verify the Bank's compliance with the GRI Standards. (Pages 445 and 446)

GHG Emission Quantification and Verification Related Disclosures

Independent Assurance Report by B-Advancy Lanka Certification (Pvt) Limited to confirm that the Bank's GHG Inventory Report 2023 is in line with the ISO 14064-1:2018 standard. (Page 126)

GRI 2-5

Combined Assurance

The integrity of the financial and non-financial information presented in the report has been validated using the combined assurance model. Internally, the Management has

assessed the reporting processes and reviewed the Integrated Report to ensure that it has been prepared in accordance with the stated reporting suite. In addition, independent external assurance is sought to verify specific aspects of the report as well as the Integrated Report as a whole.

Forward-Looking Statements

Certain statements in the FY 2023 Integrated Annual Report, including the economic outlook and expectations regarding operating results, growth prospects and the outlook for Bank's operations, may contain certain forward looking statements.

Although the expectations and outcomes described in such forward looking statements have been deemed reasonable at the time of

publishing this report, the Bank does not offer any assurance that such expectations will prove to be correct in the future due to changes in economic and market conditions, changes in the regulatory or competitive environment etc. As such, actual results may differ from those set out in the forward looking statements. Accordingly, Sampath Bank PLC does not undertake to review or revise any of these forward-looking statements at a later date. On this basis, the Bank confirms that there are no restatements pertaining to the FY 2022 Annual Report or any reports prior to that.

Board Responsibility Statement

The Sampath Bank PLC Board acknowledges its responsibility for the integrity of the Integrated Annual Report for FY 2023. In doing so, the Board confirms that the Integrated Annual Report for FY 2023 has been prepared in accordance with the guidelines of the International Integrated

Reporting <IR> Framework. Accordingly, the Board remains satisfied that the report provides a balanced and appropriate assessment of the Bank's governance, strategy, risks and opportunities, performance and future prospects and how these are likely to impact Sampath Bank's ability to create and preserve value, while mitigating value erosion over the short, medium and long term.

Evolution of Our Sustainability and ESG Reporting

Sampath Bank's unending commitment to reporting excellence has urged the Bank to progressively enhance the scope and scale of its reporting disclosures with each successive annual report. To that end, the Annual Report for FY 2023 represents another important milestone in the Bank's efforts to improve transparency and accessibility of information in line with globally accepted reporting best practices.



2011

Stand-alone Report
GRI 3.1 Level B
External Assurance Provided



2012

Incorporated in Annual
Report GRI 3.1 Level B
External Assurance Provided



2013

Stand-alone Report
GRI G4 - Comprehensive
External Assurance Provided



2014 - 2016

Integrated Report GRI G4 -
Comprehensive
External Assurance Provided

Reporting Best Practices Implemented in the Financial Year 2023 Integrated Annual Report

Materiality

A comprehensive stakeholder survey was conducted, verifying and validating the relevance of our 22 Material Topics concerning economic, social, and environmental parameters.

Sustainability/ESG Reporting

Adoption of TCFD (Task Force on Climate-Related Financial Disclosures) Recommendation.

Committed to uphold the United Nations Global Compact 10 Principles.

How to Navigate through this Report

Matters of Interest to Stakeholders	Where to Find it in this Report	Page Reference
How we bring our vision to life	Strategy and Business Model	54 - 55
Our leaders' views	Chairman's Message Managing Director's Review	30 - 33 34 - 39
Delivering on our strategy	Capital Management Reports Business Reports	76 - 132 133 - 142
How our business is governed and managed	Corporate Governance Report Compliance Report Risk Management Report	146 - 175 209 210 - 225
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FINANCIAL CAPITAL



→ Pages 76 to 82



MANUFACTURED CAPITAL



→ Pages 83 to 87



INTELLECTUAL CAPITAL



→ Pages 88 to 91



HUMAN CAPITAL



→ Pages 92 to 102



SOCIAL AND RELATIONSHIP CAPITAL



→ Pages 103 to 119



NATURAL CAPITAL



→ Pages 120 to 132

The artwork and presentation of Sampath Bank's current Annual Report has been carefully curated using the latest cutting-edge AI technology. The move - probably the first in the local banking industry, resonates the Bank's desire to explore new frontiers in digital integration to advance its reporting architecture.

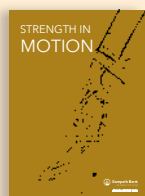
GRI 2-3,25



2017 - 2021

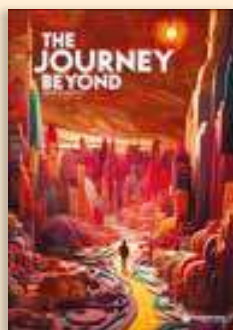


Integrated Report
GRI Standards - Comprehensive
External Assurance Provided



2022

Integrated Report
In Accordance with the GRI Standards
External Assurance Provided
2022 - 1. Key highlights from the Integrated Annual Report are available in video form, accessible on the Corporate Website.



2023

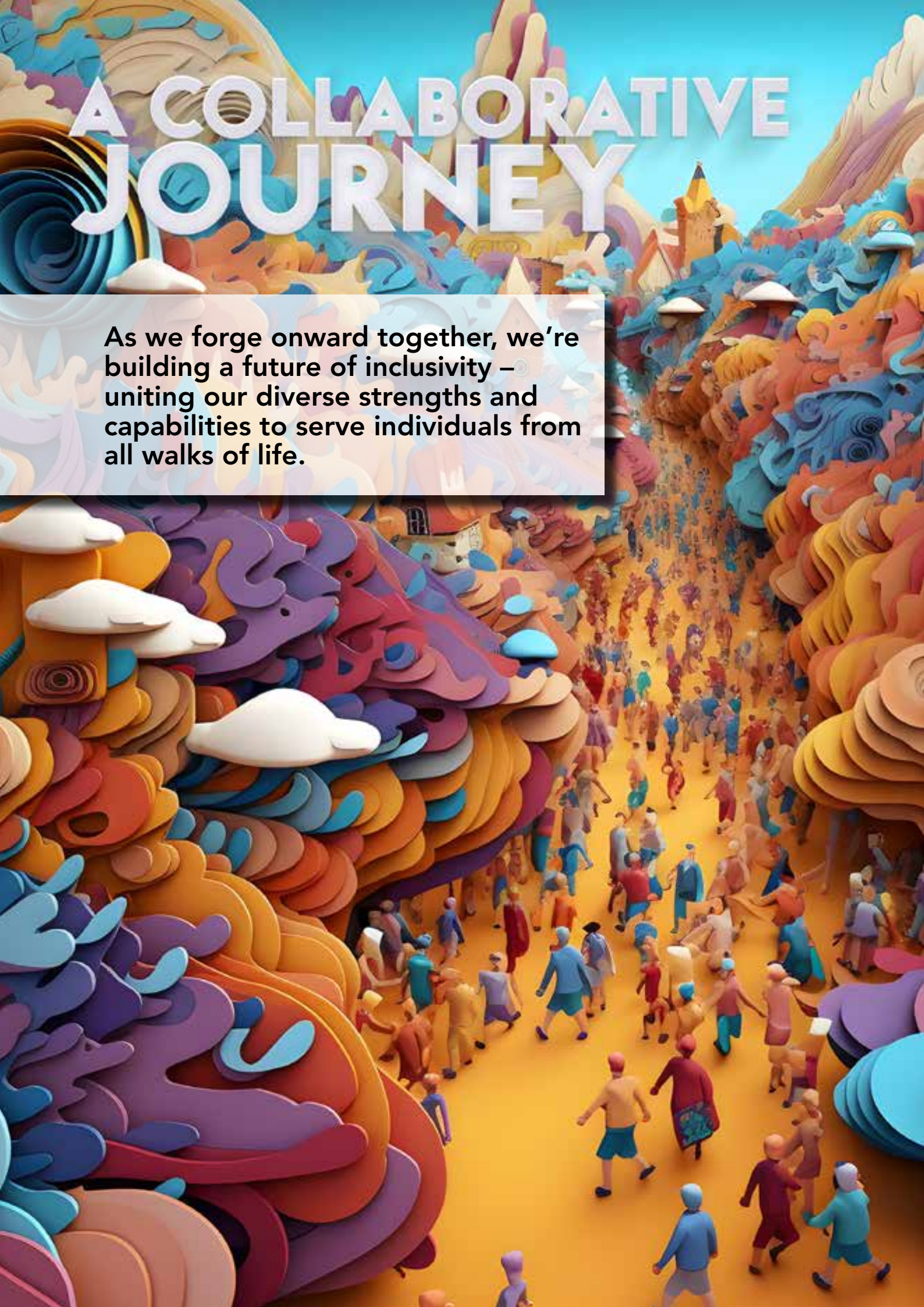
Integrated Report
In Accordance with the GRI
Standards
External Assurance Provided

FEEDBACK

The Board welcomes stakeholder feedback on this Integrated Annual Report and requests readers to utilise the Feedback Form provided on pages 457 and 458 of this report to share comments and feedback. Thank you for your valuable input.

★★★★★

A COLLABORATIVE JOURNEY



As we forge onward together, we're building a future of inclusivity – uniting our diverse strengths and capabilities to serve individuals from all walks of life.



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Sampath Bank PLC is one of the leading private banks in Sri Lanka. Incorporated in 1986, the Bank has over the past **37** years remained a strong, dependable banking partner supporting Retail customers, SMEs and large Corporates around the country to grow and prosper. Combining traditional banking solutions with sophisticated digital capabilities along with unparalleled service standards, Sampath Bank strives to be the most preferred banking partner for all customer segments.

Purpose Statement

"Empower Dreams and Enrich Lives"

Vision Statement

To be the leader in transforming lives by unlocking financial potential with innovation, integrity, and empathy, while nurturing financial well-being, sustainable growth, and economic prosperity.

Our Values

- Create a learning culture that promotes individual and organisational development as well as promoting innovation and value for customers.
- Treat all internal and external customers the way we would like to be treated.
- Encourage and promote teamwork in all aspects of behaviour.
- Open to feedback and demonstrate an eagerness for personal development.
- Monitor and demonstrate an impressive commitment to results.
- Uncompromising ethical and professional standards of behaviour.

FULLY FLEDGED

Retail Banking

Deposits / Lending / Cards

Corporate Banking

Corporate Credit / Corporate Finance / FCBU

SME Banking

International Trade

Remittances

Treasury

OUTREACH

229

Branches

475

ATMs/CRMs

312

CDMs

1,339

eZ Banking Agents

30

Digital Banking Centres

25+

Digital Banking Channels

42

Nostro Accounts

592

Correspondent Banks

109

Exchange Companies

STRENGTH & STABILITY

NIM

5.16% (2023) | 3.60% (industry 2023)

ROE (A/T)

12.65% (2023) | 10.60% (industry 2023)

Total CAR

19.56% (2023) | 14.27% (2022)

Liquid Assets Ratio

47.76% (2023) | 27.85% (2022)

Impaired Loans (Stage 3) Ratio

5.87% (2023) | 6.90% (industry 2023)

Market Capitalisation

Rs 83 Bn (2023) | Rs 39 Bn (2022)

CASA

33.4% (2023) | 32.3% (industry 2023)

National Long Term Rating

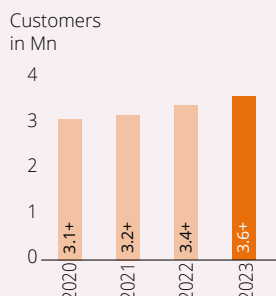
A(Ika)/Stable (2023) | AA-(Ika)/RWN (2022)

ABOUT THE BANK

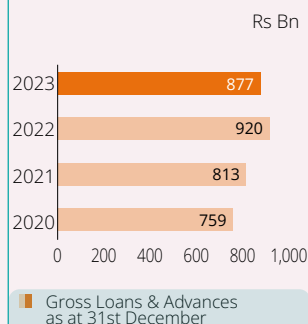
IMPACT

GDP Growth

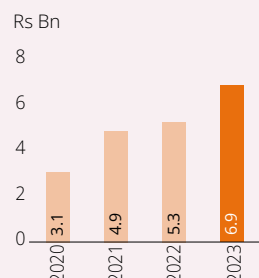
Total Customers



Lending Volumes



Dividend Paid to Shareholders



Key Economic Sectors Supported



Trade Volumes

Exports and Imports

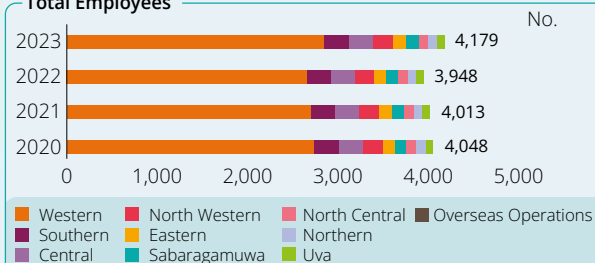


Inward Remittances

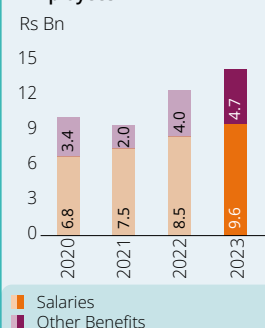


Employment

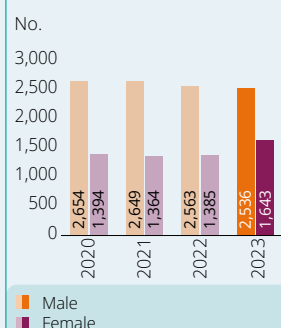
Total Employees



Total Payments to Employees



Gender Parity

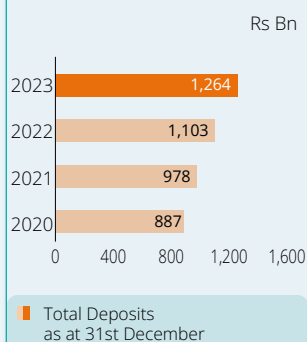


4,179

Aggregate National Savings



Deposit Volumes

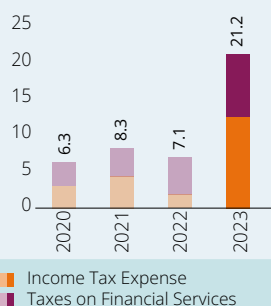


Contribution to Government Revenue



Tax Expense

Rs Bn

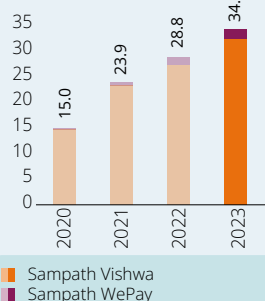


Digital Transformation



Digital Transaction Volumes

Tran. Mn



Community Empowerment



84

Total CSR Projects

2023

Rs 50.3 Mn

Investment in Healthcare Projects

2023

Rs 91.3 Mn

Total Investment in CSR Projects

2023

05 Tanks

New Restoration Work Initiated under the "Wewata Jeewayak" Programme

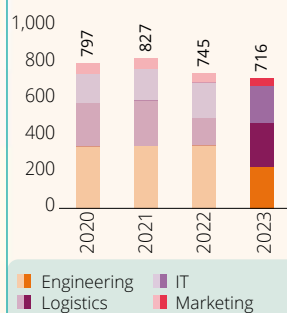
2023

Financial Inclusion



Registered Suppliers and Service Providers

No.



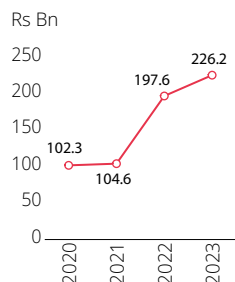
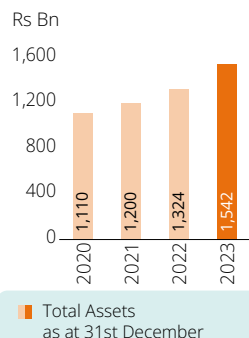
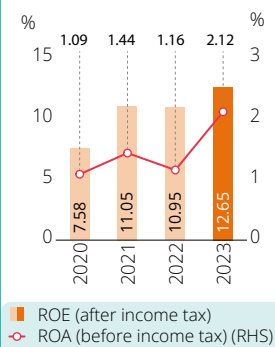
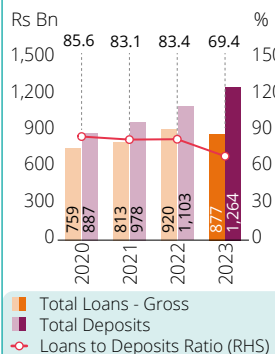
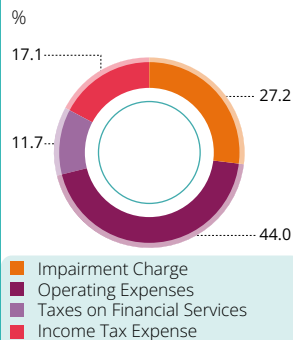
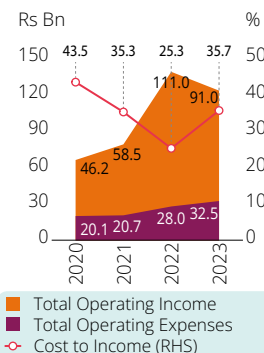
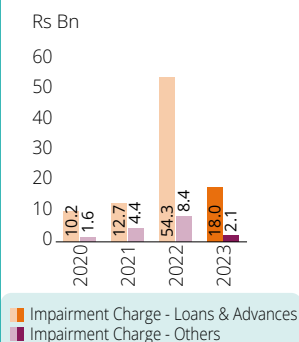
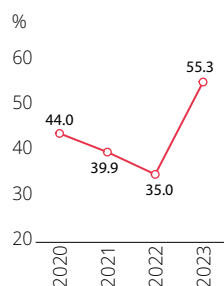
FINANCIAL HIGHLIGHTS

GRI 2-6

	Bank			Group		
	2023	2022	Change %	2023	2022	Change %
Profitability (Rs Mn)						
Gross income	226,154	197,571	14.5	236,504	206,002	14.8
Total operating income	90,973	110,954	(18.0)	95,463	114,768	(16.8)
Impairment charge	20,149	62,706	(67.9)	20,210	62,908	(67.9)
Operating expenses	32,457	28,048	15.7	34,966	29,888	17.0
Operating profit before taxes on financial services	38,368	20,200	89.9	40,287	21,971	83.4
Taxes on financial services	8,607	5,176	66.3	9,085	5,577	62.9
Profit before income tax	29,760	15,024	98.1	31,202	16,395	90.3
Income tax expense	12,620	1,890	567.7	13,277	2,334	468.8
Profit for the year	17,140	13,134	30.5	17,924	14,061	27.5
Assets and Liabilities (Rs Mn)						
Deposits from banks and customers	1,264,470	1,103,213	14.6	1,287,379	1,122,269	14.7
Gross loans and advances	877,317	920,122	(4.7)	911,925	953,090	(4.3)
Total equity	147,873	126,380	17.0	157,830	135,551	16.4
Total liabilities	1,394,075	1,198,046	16.4	1,429,545	1,231,768	16.1
Total assets	1,541,948	1,324,426	16.4	1,587,376	1,367,320	16.1
Investor Information						
Net asset value per share (Rs)	126.10	107.77	17.0	134.59	115.59	16.4
Market price per share (Rs)	70.50	34.20	106.1			
Earnings per share - Basic/Diluted (Rs)	14.62	11.20	30.5	15.28	11.99	27.5
Total dividend per share (Rs)	5.85	4.60	27.2			
Cash dividend per share (Rs)	5.85	3.45	69.6			
Dividend cover (times)	2.50	2.50	-			
Dividend payout ratio (%)	40.02	40.08	(0.1)			
Gross dividend (Rs Mn)	6,860	5,264	30.3			
Market capitalisation (Rs Mn)	82,675	39,138	111.2			
Other Ratios						
Return on average assets (before tax) (%)	2.12	1.16	82.8	2.14	1.23	74.0
Dividend yield (%)	8.30	13.45	(38.3)			
Earnings yield (%)	20.74	33.57	(38.2)	21.67	35.94	(39.7)
Price earning ratio (times)	4.82	2.98	61.7	4.61	2.78	65.8
Price to book value (times)	0.56	0.31	80.6	0.52	0.29	79.3
Total impairment on loans as a % of gross loans and advances	13.78	11.84	16.4	13.66	11.87	15.1
Stage 3 impairment to Stage 3 loans ratio (%)	57.80	53.84	7.4	56.72	51.81	9.5
Impaired loans (Stage 3) ratio (%)	5.87	4.35	34.9	6.15	4.86	26.5
Cost of risk (%)	2.04	5.97	(65.8)	1.96	5.82	(66.3)
Cost to income ratio (excluding taxes on financial services) (%)	35.68	25.28	41.1	36.63	26.04	40.7
CASA ratio (%)	33.4	32.7	2.1	32.8	32.1	2.2
Loans to deposits ratio (%)	69.38	83.40	(16.8)	70.84	84.93	(16.6)
Leverage ratio (%)	6.39	7.00	(8.7)	6.73	7.29	(7.7)
Liquid assets ratio - Overall Bank (%)	47.76	27.85	71.5			
Liquidity coverage ratio						
- Rupee (%)	453.16	200.78	125.7			
- All currency (%)	312.47	146.53	113.2			
Net stable funding ratio (%)	184.20	157.10	17.3			
Fitch Rating	A(Ika)/ Stable	AA-(Ika)/ RWN				

Key Performance Indicators - Bank

Indicator	Goal	Achievement				
		2023	2022	2021	2020	2019
Return on average assets (after tax) (%)	Over 1.00	1.22	1.01	1.07	0.78	1.20
Return on average equity (after tax) (%)	Over 16.00	12.65	10.95	11.05	7.58	11.78
Growth in profit (%)	Over 15.00	30.50	5.43	55.23	(28.03)	(8.17)
Growth in total assets (%)	Over 15.00	16.42	10.38	8.07	15.37	5.26
Capital adequacy ratios (Basel III)						
- Common equity Tier I (%)	2% buffer over the regulatory minimum requirement	16.35	11.92	13.95	13.44	14.22
- Total Tier I (%)		16.35	11.92	13.95	13.44	14.22
- Total capital (Tier I + Tier II) (%)		19.56	14.27	17.02	16.41	18.12

Gross Income**Total Assets****ROE & ROA****Total Loans & Total Deposits****Composition of Expenses 2023****Cost to Income****Impairment Charge****Effective Total Tax Rate**

↑ **Rs 17.1 Bn**

Profit after Tax

Rs 13.1 Bn 2022

↑ **Rs 70.8 Bn**

Net Operating Income

Rs 48.2 Bn 2022

↓ **Rs 20.1 Bn**

Impairment Charge

Rs 62.7 Bn 2022

↑ **Rs 1,264 Bn**

Total Deposits

Rs 1,103 Bn 2022

↑ **19.56%**

Total CAR

14.27% 2022

↑ **47.76%**

Liquid Assets Ratio

27.85% 2022

↑ **184.20%**

Net Stable Funding Ratio

157.10% 2022

↑ **Rs 126.10**

Net Asset Value Per Share

Rs 107.77 2022

NON-FINANCIAL HIGHLIGHTS

GRI 2-6



MANUFACTURED CAPITAL

Key Indicator	Measurement	2023	2022	2021
Investment in property, plant and equipment	Rs Mn	1,587	887	466
Digital Banking Centres	Number	30	19	5
eZ Banking/Mybank Agents	Number	1,339	1,338	206
Branches outside Western province	Number	129	129	129



INTELLECTUAL CAPITAL

Key Indicator	Measurement	2023	2022	2021
Investment in IT software development	Rs Mn	429	310	182
Rank of "Most Loved Brands" - LMD Brands Annual	Rank	10	11	7
Brand value (as per Brand Finance Lanka)	Rs Bn	25.7	24.9	24.3



HUMAN CAPITAL

Key Indicator	Measurement	2023	2022	2021
Total employees	Number	4,179	3,948	4,013
Total training hours	Hours	144,855	124,304	153,282
Average training hours per employee	Hours	34.7	31.5	38.2
Internal staff promotions	Number	377	197	242
Staff retention ratio	%	96	96	98
Return to work after maternity leave	%	100	100	100
Industrial disputes	Number	Nil	Nil	Nil
Percentage of employees receiving performance appraisals	%	100	100	100
Female representation in Corporate Management	%	23	21	21
Gender diversity ratio (Male : Female)	Ratio	61 : 39	65 : 35	66 : 34
Gross income per employee	Rs Mn	54.1	50.0	26.1
Profit per employee	Rs Mn	4.10	3.33	3.10





SOCIAL AND RELATIONSHIP CAPITAL

Key Indicator	Measurement	2023	2022	2021
Beneficiaries from the "Wewata Jeewayak" programme	Number	5,316	4,370	4,372
Investment in "Wewata Jeewayak" programme	Rs Mn	23.8	15.9	7.9
Intern and industrial placements intake	Number	975	833	503
Interest on customer deposits	Rs Bn	122.4	73.7	38.3
Employment generation	Number	690	309	110



NATURAL CAPITAL

Key Indicator	Measurement	2023	2022	2021
Carbon footprint of the Bank - Scope 1	tCO ₂ e	937	1,321	341
Carbon footprint of the Bank - Scope 2	tCO ₂ e	6,654	7,924	5,391
Carbon footprint of the Bank - Scope 3	tCO ₂ e	2,787	2,400	3,531
Solarised Branches	Number	17	13	8
Electricity saving through solar power generation	kWh	487,735	348,775	340,701
Financing of renewable energy projects	Rs Mn	1,819	5,576	4,550
Energy intensity ratio (Head Office)	kWh	2,577	2,122	2,506
Trees planted through Environmental CSR programmes	Number	8,396	15,367	3,691
Trees saved through paper recycling	Number	527	649	871
Trees saved through transactions done via Cash Deposit Machines and Slipless Banking	Number	709	536	639

ESG SCORECARD

GRI 2-6

50,457 Turtle eggs protected under the "A Breath to the Ocean" programme

509 Number of team members participated to the environmental related training sessions

8,146 Number of school environmental custodians appointed under "Gasai Mamai Pubudu Pothai" programme

02 Coral reefs restored under the "A Breath to the Ocean" programme

388 Number of staff trained on Environmental and Social Risk Management System

1,647 Number of team members engaged in Environmental CSR programmes



Rs 32.8 Bn

Taxes paid

Appointment of the Model Risk Management Committee to bring more focused oversight to the model validation process

Appointment of the Recovery Plan Working Committee to ensure the Bank's alignment with the CBSL mandated Recovery Standard

Appointment of the Operational Risk Management Committee to bring more emphasis to operational risk management

Aligning with the Banking Act Direction No. 16 of 2021 - Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks

Payment Card Industry Data Security Standard (PCI DSS) certification

1,862 Team members trained on anti-bribery and anti-corruption

Strengthening gender diversity at Board level

ISO 27001:2013 Information Security Standard Surveillance Audit

Promoting financial inclusion through the eZ Banking Agent network

05 Number of tank restorations commenced under the "Wewata Jeewayak" programme

A Brand Health Study was initiated to measure overall health of the Sampath brand

Rs 50.3 Mn Investment on "Hope for a Life" health sector facilitation programme

Rs 4.7 Mn Investment on medical screening facility for team members

Rs 370 Mn Loyalty points offered to Sampath credit cardholders

Rs 156 Mn Sanhinda Saver free medical benefits provided

Introduction of a robust Supplier Rating Scheme

KEY EVENTS 2023

March

Sampath Bank formed a groundbreaking partnership with UNICEF to facilitate the distribution of financial assistance to nearly 120,000 mothers from less privileged families and caretakers with young children challenged by the lack of proper nutrition and healthcare services amidst the prevailing economic crisis in Sri Lanka.

April

Sampath Bank becomes one of the first local banks to receive approval by the State Bank of India to facilitate trade with India in INR.

April

Donated Rs 50 Mn to endorse the "Adopt an Ambulance" initiative by the 1990 Suwa Seriya Foundation.

May

Launch of a groundbreaking new interface to enable remote Accounts Opening-via-QR - an industry first that greatly simplifies the account opening process.

May

Successful completion of the Payment Card Industry Data Security Standard (PCI DSS) certification.

June

Sampath Bank served as the Official Banking Partner of "Industry 2023", an event organised by the Industrial Development Board under the purview of the Ministry of Industries, which saw participation of local and foreign stakeholders representing over 21 industry sectors, with more than 700 exhibitors showcasing a diverse range of products and services.

June

Establishment of special counters for USA, Canada, UK, Germany, Japan, China and India at the Bank's International Trade desk to assist in handling trade documentation.

July

Mrs Ayodhya Iddawela Perera takes over as the new Managing Director of Sampath Bank with effect from 1st July 2023.



November

Sampath Vishwa Retail reached a significant milestone by recording 1 Million customers.

December

Appointment of Mr Prabhash Subasinghe, as a Non-Executive Director to the Sampath Bank Board with effect from 1st December 2023.

September

Launch of the "Sampath Export Partners" initiative to support export oriented SMEs and startups.

October

Sampath Bank reached the milestone of One Trillion Rupee Deposits, thus becoming the first-ever Sri Lankan Bank to achieve this impressive feat in under 40 years.

September

Sampath Bank joined as a participatory organisation of the United Nations Global Compact (UNGC), underscoring the Bank's commitment to align with global best practices for sustainable business.

September

Introduction of a new self-management feature on Sampath Vishwa Retail to enable customers to uplift FDs and effect full/partial settlement of loans.

ABOUT US

HEAR FROM OUR LEADERS

STRATEGY REPORT

MANAGEMENT DISCUSSION AND ANALYSIS

GOVERNANCE AND RISK MANAGEMENT

FINANCIAL INFORMATION

SUPPLEMENTARY INFORMATION

PRODUCT PORTFOLIO

RETAIL BANKING

GRI 2-6

Current Accounts



- Sampath General Current Account
- Sampath Payment Guaranteed Cheques
- Sampath Supreme Current Account

Sampath Supreme

Leasing



- Sampath Leasing

Sampath Leasing

Pawning



- Sampath Randiriya
- Gold Loan



Gift Vouchers

- Sampath Thilina

Sampath Thilina

Savings Accounts

Regular Savings

Sampath DOUBLE Savings Account

- Sampath Double S

Sampath HIT SAVER

- Sampath Hit Saver

Children's Savings

Sampath Pubudu

- Sampath Pubudu

Sampath Sapiri

- Sampath Sapiri

Teenage Savings

- X-SET

XSET

Ladies Savings

- Ladies 1st

LADIES 1ST
Because you're one of a kind...

Senior Citizens' Savings

- Sampath Sanhinda Saver

Sampath Sanhinda Saver
For the young at heart

Money Market Accounts

Investment Accounts

- Sampath Dream Planner

Sampath Dream Planner

Accounts for Professionals



- Sampath Professional Account

Sampath PROFESSIONAL ACCOUNT

Agent Banking



- eZ Banking

eZ Banking

Term Deposit Accounts

Regular Deposits

- Fixed Deposits
- Certificate of Deposits
- Kalin Cash

Flexible Deposits

- Sampath ODFD

Senior Citizens' Deposits

- Sampath Sanhinda FD

Foreign Currency Accounts

- Personal Foreign Currency Accounts (PFCA)

Sampath PFCA | PERSONAL FOREIGN CURRENCY ACCOUNTS

- Business Foreign Currency Accounts (BFCA)
- Inward Investment Accounts (IIA)
- Outward Investment Accounts (OIA)
- Sampath EXPAT Accounts (SEA)
- Sampath FC Prime Accounts

Sampath FC PRIME | FOREIGN CURRENCY ACCOUNTS

Loans

Housing Loans

- Sevana Housing Loan



- Sevana Dayada Housing Loan



- Foreign Currency Housing Loan

Business Loans

- Sampath Saviliya

Sampath Saviliya

- Factoring Facility

Personal Loans

- Sampath Study Smart



- Sampath Samachara Loan



- Special Loans for Government Medical Officers
- ODFD

SampathCards

Sampath Credit Cards

- Sampath Visa Credit Cards
- Sampath Mastercard Credit Cards
- Sampath Bank American Express® Credit Cards

SampathCards
The responsible choice

Sampath Debit Cards

Sampath Web Card

Relationship Banking

- Platinum Plus



Foreign Remittances

- e-Remittances
- Sampath RemitWise



PRODUCT PORTFOLIO

RETAIL BANKING

GRI 2-6

Digital/Electronic Banking



- Sampath Vishwa Retail
- PayEasy
- Chatbot
- Digital On-boarding



- Sampath WePay
- Sampath Bank App
- Sampath Slipless Banking
- Sampath Missed Call Banking
- Telebanking
- SMS Alertz
- SMS Banking
- Mobile Cash



- Sampath Cardless Cash
- Touchless Cash Withdrawal Facility
- Off-site ATMs
- Interbank ATM Network
- Cash Deposit Kiosks
- Cheque Deposit Machines
- Virtual Teller Machines
- Cash Recycler Machines










Safety Lockers



- Sampath Safe Deposit Lockers

Clubs and Societies Accounts



- Sampath Samaja



Entrepreneurship Development



- Sampath Saviya



CORPORATE BANKING

Financing

- Corporate Credit
- Corporate Finance
- Foreign Currency Banking Unit (FCBU)

International Trade

- Trade Services
- Correspondent Banks

Digital Banking

- Sampath Vishwa Corporate
- Payment Gateway Services
- Open Banking
- QR Merchant
- Biller Sharing

Sampath Corporate Credit Cards

- Sampath Visa Corporate Credit Card
- Sampath Mastercard Corporate Credit Card
- Sampath Visa Corporate Fuel Card

Cash Management

- Corporate Cash Management Solution

Corporate Investments

- Money Market Account

Sampath Business Debit Card

- Sampath Visa Business Debit Card

Treasury

- Treasury Bills
- Treasury Bonds
- Repo and Reverse Repo
- FX Spot Contracts
- FX Forward Exchange Contracts
- FX Swaps
- Sri Lanka Development Bonds
- Sri Lanka International Sovereign Bonds
- US Treasuries



KEY HISTORICAL MILESTONES

1986

- Originally incorporated as Investment & Credit Bank Ltd.

1987

- Appointment of Mr N U Jayawardane as the Chairman of the Bank and Mr Janaka de Silva as the General Manager.
- Registered office established at No. 55, D R Wijewardena Mawatha, Colombo 10, Sri Lanka, followed by the ceremonial commencement of business on 15th May 1987.
- Launched the 'cheque guarantee card' (later renamed as 'payment guaranteed cheque').
- Introduced extended banking hours until 3.00 p.m. for the first time in Sri Lanka's banking history.



1988

- Launched the ATM (SET) facility.
- First bank in Sri Lanka to operate a multi-point network of Automated Teller Machines (ATM).



1989

- Launched Mastercard to Sri Lanka (under license from Mastercard International Incorporated in USA).
- Pioneered launch of the Uni-Banking System to Sri Lanka.
- Pioneered launch of Sri Lanka's first-ever standalone ATM at Liberty Plaza shopping complex.

1994

- Sampath Bank becomes one of the first local banks to join the SWIFT network.



1996

- Commenced operations of Sampath Centre Ltd, a subsidiary of Sampath Bank.
- Launched the TELEBANKING facility.
- Voted the Bank as the "Best Commercial Bank in Sri Lanka for the year 1996" by Asiamoney magazine.

1997



- Headquarters relocated to No. 110, Sir James Peiris Mawatha, Colombo 02.
- Launched the Debit Card in association with CIRRUS and MAESTRO, signifying another first in South Asia.
- Awarded "The Best Small-Cap Bank in South Asia" by Asia Banking Digest.
- Declared the "Best Commercial Bank in Sri Lanka for the year 1997" by Asiamoney magazine for the second consecutive year.



1998

- Declared the "Best Commercial Bank in Sri Lanka for the year 1998" by Asiamoney magazine for the third consecutive year.
- Declared "Outstanding New Business Venture Project in 1998" by Asian Banking Digest magazine.

1999

- Commissioned a new core banking system - Bancs2000.
- Ranked among the 300 Best Small Companies in the World by the Forbes Global magazine.

2000

- Declared "Bank of the year in Sri Lanka" by the London-based "The Banker" magazine.
- Launched "Sampathnet" internet banking facility (later rebranded as 'Sampath Vishwa').
- Pioneered launch of "Call Bank", mobile banking service in partnership with Dialog GSM.



2001

- Commenced operations of SC Securities (Pvt) Ltd, a subsidiary of Sampath Bank.
- The first Sri Lankan organisation to achieve the "Quality Approved Status" of best practice, awarded by the Chartered Institute of Management Accountants.



2002

- Pioneered launch of Visa Platinum Credit Cards to Sri Lanka.

2003

- Sampath Bank footprint expands with ten new branches opened during the year.
- First bank in Sri Lanka to introduce "One day clearing".

2004

- Pioneered launch of Sri Lanka's first ever Cheque Imaging & Truncating (CIT) site.

2005



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ශ්‍රීපත පිණාන්සු
Siyapatha Finance
(Finance Company of Sampath Bank Group)

- Commenced operations at Sampath Leasing & Factoring Ltd. (later rebranded as 'Siyapatha Finance PLC'), a fully-owned subsidiary of Sampath Bank.



2006

- Commenced operations at Sampath Information Technology Solutions Ltd, a fully-owned subsidiary of Sampath Bank.
- Sampath Bank footprint grows further with 13 branches (3 Branches and 10 Personal Banking Centres) opened.

2007

- ATM network reaches 150 machines across the island.
- Launch of VISA Mini Debit Card, a first in South Asia.
- 100th Branch opened in Kandy.



2008

- Sampath Bank's deposit base exceeds the Rs 100 Bn mark.

2009

- Sampath Bank becomes the third largest private sector bank in Sri Lanka in terms of total assets.
- Declared "Bank of the Year 2009 - Sri Lanka" by the London-based 'The Banker' magazine.
- Ranked among the Top 10 Companies in Sri Lanka by the 'Business Today' magazine.

2010

- Declared as "Bank of the Year 2010 - Sri Lanka" by the London-based "The Banker" magazine.

2011

- Opened 10 branches across the island in a single day - a first in the local banking industry.
- Introduced the online real time Cheque Deposit ATMs - a first in South Asia.
- Powered the nation's largest ATM network - Access enabled to nearly 1,500 ATMs island-wide.



2012

- Sampath Bank celebrates its silver jubilee, marking 25 years of service to the nation.
- Recognised as the "Best Banking Group in Sri Lanka 2012" by the World Finance magazine.



2013

- Pioneered launch of "Cardless Cash ATM" technology to Sri Lanka.
- Declared "Best Bank in Sri Lanka for the year 2013" by the "Euromoney" business magazine.

2014

- Declared "Best Bank in Sri Lanka for the year 2014" for the second consecutive year by the "Euromoney" business magazine.
- Awarded the "Banking Institutions - Gold Award" - "Edmand J Cooray Memorial Trophy" and the "Overall Excellence in Annual Financial Reporting - Bronze Award" by the Institute of Chartered Accountants of Sri Lanka at the 50th Annual Report Awards Ceremony - 2014.

KEY HISTORICAL MILESTONES

2015

- Reclaimed the prestigious title of "Sri Lanka's Bank of the Year for 2015" after winning the globally recognised "Banker Award" conferred by the London-based "The Banker" magazine owned by the prestigious "Financial Times Group".
- Adjudged the "Overall Best Corporate Citizen 2015" at the Best Corporate Citizen Sustainability Awards 2015, presented by the Ceylon Chamber of Commerce.
- Awarded "Banking Institutions - Silver Award" by the Institute of Chartered Accountants of Sri Lanka at the 51st Annual Report Awards Ceremony - 2015.



2016

- Pioneered launch of "Visa payWave" enabled cards to Sri Lanka.
- Declared "Best Bank in Sri Lanka for the Year 2016" for the third time by the "Euromoney" business magazine.
- Awarded "Banking Institutions - Bronze Award" by the Institute of Chartered Accountants of Sri Lanka at the 52nd Annual Report Awards Ceremony - 2016.
- Sampath Bank celebrates 30 years of service to the nation.

2017

- Launch of the drive-thru ATM.
- Recognised as Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" at the World Finance Banking Awards for the 4th consecutive year.

2018

- Pioneered launch of Slip-less Banking to Sri Lanka.
- Recognised as Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" by the World Finance Banking Awards for the 5th consecutive year.

2019

- Ranked 5th among the Top 30 Best Performing Companies at the 'Business Today Top 30 Awards 2018 - 2019'.
- Declared the Winner in the Banking Sector and the Winner of Excellence in the Corporate Governance category, at the National Business Excellence Awards 2019, organised by the National Chamber of Commerce of Sri Lanka.
- Clinched the Gold Award for "Digital Quick Loan" and Silver Award for "Virtual Teller Machine" under the categories "In-house" and "ICT Services Solutions in Business Services" respectively at the National ICT Awards - NBSQA 2019.
- Winner of 8 awards at the LankaPay Technnovation Awards 2019 organised by LankaClear (Pvt) Ltd.
- Recognised as among Sri Lanka's Top 10 Most Admired Companies for the second consecutive year at the "Most Admired Companies of Sri Lanka 2019".
- Ranked among the Top 10 "Most Respected Entities in Sri Lanka" for the year 2019 by LMD.
- Placed 10th among the "Most Loved Brands" - the only bank to make the Top 10, and 7th among the "Most Valuable Consumer Brands" at the LMD's Brands Annual.

2020

- Declared Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 7th consecutive year at the World Finance Banking Awards.
- Rated amongst the Top 1000 World Banks 2020 by the UK's Banker magazine in its 50th anniversary of the rankings.
- Placed 10th among the "Most Loved Brands" - the only bank among the Top 10, and 5th among the "Most Valuable Consumer Brands" at the LMD's Brands Annual.
- Ranked among the Top 10 "Most Respected Entities in Sri Lanka" for the year 2020 by LMD.
- Sampath Bank's asset base crosses the Rupees 1 Trillion mark - the first local bank to reach this milestone in just 33 years.



2021

- Ranked among the Top 5 "Most Respected Entities in Sri Lanka" for the year 2021 by LMD.
- Placed 7th among the "Most Loved Brands" - the only bank among the Top 10, and ranked among the Top 10 "Most Valuable Brands" at the LMD's Brands Annual.
- Recognised as Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year at the World Finance Banking Awards.
- Pioneered launch of "Touchless Cash Withdrawals" to Sri Lanka.
- "Touchless Cash Withdrawals" technology receives recognition at the prestigious APICTA Awards 2021. Sampath Bank was the only Sri Lankan bank to be recognised at the APICTA Awards 2021.



2022

- Recognised as Sri Lanka's "Best Commercial Bank" and "Best Retail Bank" for the 9th consecutive year at the prestigious World Finance Banking Awards 2022 hosted by UK-based World Finance magazine.
- Launch of the "eZ Banking" service in partnership with Dialog Axiata PLC, to promote financial inclusion among unbanked and underbanked rural populations.
- First local bank to partner with Paycorp International (Private) Limited to facilitate real-time payment and settlement using any LankaQR enabled apps and digital wallets.
- First Sri Lankan bank to introduce e-commerce facilitation services with direct connectivity to the UnionPay International payment gateway, payment processing solution, and payment aggregator services.
- Recognised as the "CSR Brand of the Year 2022" at the SLIM Brand Excellence Awards 2022.
- Ranked the #1 Most Loved Bank in Sri Lanka and among the Top 10 in the Most Valued Entities at the LMD Brand Finance Awards 2022.
- Overall Silver Award for "Outstanding Achievements and Excellence in Interbank Digital Payments" and 3 Gold Awards at the LankaPay Technnovation Awards 2022.
- Recognised as the "Market Leader in CSR" by Euromoney Magazine and the "Best Bank in CSR" by Asiamoney Magazine.



A SUPPORTIVE JOURNEY



We're creating paths conducive for progress, and guiding our stakeholders towards new avenues filled with endless possibilities.



HEAR FROM OUR LEADERS

Chairman's Message | 30

Managing Director's Review | 34



CHAIRMAN'S MESSAGE

“ Three decades on, we are proud of a legacy that includes numerous historical milestones and countless pioneering initiatives that have been instrumental in reshaping the local banking sector. ”

Rs 14.62

Earnings per Share

↑ Rs 11.20 2022

Rs 5.85

Dividend per Share

↑ Rs 4.60 2022



HARSHA AMARASEKERA
Chairman



Recognising the importance of improving Sri Lanka's foreign earnings in order to ensure the stability of the Country's Reserves, the Bank mobilised its advanced web-based tools and strong global footprint in order to significantly boost inward remittance flows to the country.

Dear Valued Stakeholders

Two years after the end of the COVID-19 pandemic, the world is facing fresh challenges - the Russian invasion of Ukraine, now in its second year, the Israel/Palestine conflict and the recent geopolitical tensions in East Asia together with rising commodity prices and tighter controls to curb inflationary pressure have culminated in a decrease in global economic activity in 2023. Global GDP growth is estimated to have reduced to 2.6% in 2023 as decreased demand from recession-hit advanced economies have slowed growth across emerging markets and developing economies.

Sri Lanka's own economic progress in 2023 conjures up mixed emotions. Misgivings regarding the alarming GDP contraction in the first half of the year took a backseat as the country enjoyed a favourable environment for the resumption of 'business as usual'. Having spent the previous year battling import restrictions, currency shortages, fuel and power outages, the business community appeared to breathe a collective sigh of relief as the country returned to somewhat normal operations in 2023 albeit amidst very high inflation. Well-timed macro prudential measures implemented by the authorities contributed towards a more conducive environment for a muted economic revival.

Energising the Nation

If the extreme uncertainty of the last few years has taught us anything, it is the importance of supporting post-crisis economic revival. Drawing from its past experiences, the Bank has made it a priority to ensure that its actions contribute towards the upliftment of its stakeholders, the community and the nation.

We have remained steadfast in our commitment to support the SME sector during the year under review as it struggled to withstand the financial strain accumulated during the COVID-19 pandemic and subsequent economic crisis. Despite the sector accounting for the highest proportion of non-performing loans, the Bank has maintained a judicious and well-coordinated approach to recoveries and placed a strong emphasis on re-building our SME stakeholders' financial resilience. The focus has been on enabling them to maintain business continuity and restore their operational credibility in order to preserve their long-term financial wellbeing.

Mindful of the pressures faced by vulnerable communities in these challenging times, the Bank's flagship community initiative - the "Wewata Jeewayak" tank restoration programme was further expanded to undertake 5 new projects along with Phase II of the Dematawa Maha Wewa tank restoration,

which together represents the highest-ever number of projects undertaken in a single calendar year.

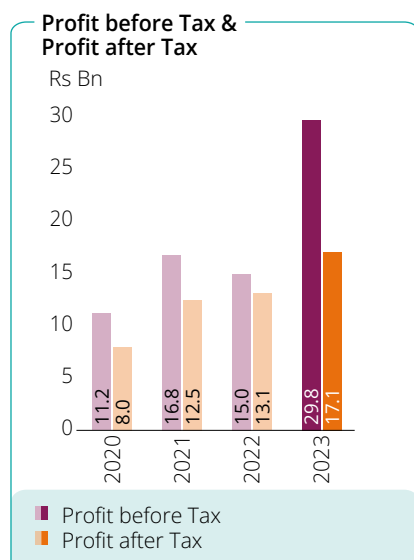
We also reinforced our commitment to support our country's climate action goals by increasing the investment towards our oceanic ecosystem restoration initiative - "A Breath to the Ocean" where we focused specifically on turtle conservation and coral restoration. Similarly, our long-standing commitment to the tree planting and forest conservation efforts also moved ahead as was previously planned.

Recognising the importance of improving Sri Lanka's foreign earnings in order to ensure the stability of the Country's Reserves, the Bank mobilised its advanced web-based tools and strong global footprint in order to significantly boost inward remittance flows to the country. We also strengthened ties with our global partner networks to aid in the country's push to rebuild global trade ties that were compromised during the 2022 economic crisis.

Delivering Results

In a strong display of its agility and resilience under difficult operating conditions, Sampath Bank ended the current financial year with a solid improvement in pre-tax profits. The Bank reported Profit before Tax (PBT) of Rs 29.8 Bn for FY 2023 which is an all time-record and a significant 98% improvement over the Rs 15.0 Bn registered in FY 2022.

CHAIRMAN'S MESSAGE



Notwithstanding being subject to a much higher tax charge under the new tax regime which increased the effective tax rate from 12.6% to 42.4%, Sampath Bank reported Profit after Tax (PAT) growth of 30.5% year-on-year from Rs 13.1 Bn in 2022 to Rs 17.1 Bn in the year under review.

Sampath Bank's Tier II capital was further strengthened in February 2023 through a capital infusion of Rs 10 Bn raised by way of a Basel III compliant - Tier II, listed, rated, unsecured, subordinated, redeemable 5-year debenture issue (2023/28) with a non-viability conversion of the par value of Rs 100 each. Our initial intention was to raise Rs 5 Bn with an option to issue up to a further 20 Mn debentures (worth Rs 2 Bn) at the discretion of the Bank in the event of an oversubscription of the initial issue and a further option to issue up to another 30 Mn debentures (worth Rs 3 Bn) at the discretion of the Bank in the event of an oversubscription of the initial issue and the second tranche. Considering that the initial issue was oversubscribed by almost 300%, both options were activated immediately after the first issue. The significant oversubscription, I believe, is a testament to investor confidence in the Bank's performance and prospects.

Bolstered by the Bank's robust results, the Sampath Bank Group PBT and PAT also improved by 90.3% and 27.5% respectively year-on-year to reach Rs 31.2 Bn and Rs 17.9 Bn respectively - both historic milestones for the Group.

A New 'Purpose' and 'Vision'

Grounded by the vision, mission and values established at inception in 1986, Sampath Bank has become one of the fastest growing banks in Sri Lanka over the past 37 years. Three decades on, we are proud of a legacy that includes numerous historical milestones and countless pioneering initiatives that have been instrumental in reshaping the local banking sector.

Having achieved all that we set out to do in the manner done, despite the tumultuous events of the past three decades, the Bank's corporate aspirations today include several other important aspects in addition to those that the Bank enunciated and cherished when it first started out in 1986. Hence, 2023 saw the initiation of a project to understand the views of Team Sampath in order to craft a new Purpose statement and a new Vision statement to inspire Sampath Bank's future journey.

At the start of 2024, after much deliberation, and based on all of the Bank's unique history, proven strengths and heartfelt values, Sampath Bank unveiled what it sees as its over-arching Purpose which is to "Empower Dreams and Enrich Lives".

The purpose statement captures the essence of what Sampath Bank stands for and resonates our deep and unending commitment to make a difference for the better in the lives of our stakeholders, by empowering their interests and the interests of the national economy. Complementing the new purpose statement is our new vision statement, which will serve as the Bank's moral compass going forward.

Creating Value through Good Governance

Strong governance and effective leadership are the foundational pillars on which our business is built. Sampath Bank is led by an effective and competent Board, comprising of Executive and Non-Executive Directors. As the highest governing body of the Bank, the Board holds itself accountable to stakeholders for ensuring the Bank is governed and managed in a manner that is consistent with their expectations.

In 2023, the Board as a whole continued its active involvement in governance matters. Accordingly, a significant part of the agenda at all Board Meetings held during the year was dedicated to evaluating the efficacy of the Bank's risk strategy and the risk appetite limits vis-à-vis new and emerging challenges in the operating landscape. Other matters that warranted the Board's urgent attention in 2023 included the issue of skilled migration and growing cyber security threats. To curb the risk of skilled migration, the Board with the assistance of the Board Nominations and Governance Committee, revisited current remuneration structures while initiating broad based efforts to improve the alignment between employee performance and rewards. It is hoped that this will provide the impetus required for the team to advance its performance goals.

The timely adoption of new regulations has always been top priority for the Sampath Bank Board and in 2023, the Board paid careful attention to the new Corporate Governance Rules issued by the Colombo Stock Exchange (CSE). The Bank's gap analysis revealed that Sampath Bank was already in compliance with many of the proposed changes. This is undoubtedly the result of its voluntary adoption of global governance practices. The Bank is currently in the process of taking action to ensure the early implementation of other areas well ahead of the stipulated timelines.

The composition of the Sampath Bank Board was subject to change in 2023 with the appointment of Mrs Ayodhya Iddawela Perera as the first female Managing Director of the Bank with effect from 1st July 2023 following the retirement of Mr Nanda Fernando on 30th June 2023. To facilitate the smooth transition of leadership under the Board succession planning process, Mrs Iddawela first served as Managing Director Designate for a period of one year prior to her appointment in July 2023.

While warmly welcoming Mrs Iddawela to the Board, I also wish to take this opportunity to thank Mr Nanda Fernando for his dedicated service to Sampath Bank over the past 35+ years. We wish him the very best.

Bolstered by the Bank's robust results, the Sampath Bank Group PBT and PAT improved by 90.3% and 27.5% respectively year-on-year to reach Rs 31.2 Bn and Rs 17.9 Bn respectively - both historic milestones for the Group.



Welcoming Mrs Ayodhya Iddawela Perera as the New Managing Director

I also wish to welcome Mr Prabhash Subasinghe who was appointed as a Non-Executive Director to the Sampath Bank Board with effect from 1st December 2023. Mr Subasinghe, a renowned entrepreneur will certainly be a valuable addition to the Board.

On the 30th December 2023, the Board accepted the resignation of Dr Sanjiva Weerawarana who indicated his intention to step down from his position as an Independent Non-Executive Director with effect from 1st January 2024. I wish to extend my sincere appreciation to Dr Weerawarana on behalf of the Board for the contributions made by him and as Chairman of the Board IT Committee and wish him well.

Suitable candidates to fill the vacancies created within the Board Sub-Committees following Mr Weerawarana's resignation are being evaluated and will be appointed in due course.

Charting a New Course

Much has been said about how the Bank's new purpose and vision will steer it into the future. It is therefore only apt that I shed some light on our ambitious new 2028 Strategy, which the Board hopes will pivot Sampath Bank towards a new era of growth and prosperity in the years ahead. The new strategy aims to drive transformation across multiple facets of business, with digital technology dominating efforts to revamp all sectors including products, process architecture, business models, infrastructure and people. This means continuously rethinking and re-evaluating our

conventional products and approaches in order to stay ahead at all times. We anticipate the need for partnerships and collaborations to assist in retrofitting certain key aspects, which will allow Sampath Bank to respond more effectively to emerging opportunities. It is important to note that the Bank's goal is not to outdo peers, but rather to be known as the most exceptional bank in every sphere.

Given that 2024 will mark the first year of our 2028 strategy roll out, I look forward to the achievement of specified milestones in the next twelve months and anticipate seeing the results from our strategy execution begin to kick in from 2025 onwards.

In the medium term, the Bank envisages that its strategy will pave the way for significant business expansion via organic and inorganic channels including through strategic diversification. Realistically speaking however, it is crucial that these efforts are well timed to dovetail with Sri Lanka's economic resurgence in the next 12 - 36 months.

Appreciations

In conclusion, I would like to thank my fellow Directors for their participation in all Board matters and for engaging in active debate to support the effective operation of the Board. I would also like to place, on record, my sincere appreciation to Team Sampath, led by our new Managing Director and her Corporate Management team, for their admirable commitment to uphold the values of Sampath Bank.

I am grateful to all Sampath Bank customers. It is your loyalty and steadfast support that motivates us to conceive more innovative means by which to serve you.

Grateful thanks also to all regulatory bodies, including the Central Bank of Sri Lanka, the Colombo Stock Exchange, the Securities and Exchange Commission and the Ministry of Finance for their guidance and support during the year under review.

The Bank's resilience during the year under review would not have been possible without the support of our shareholders, business partners, suppliers and all other stakeholders. I deeply appreciate your continued support towards the Bank's success.

As Sampath Bank steps into the future armed with a new purpose and a new vision and led by a new strategy, I wish to reassure all our stakeholders that their interests will always be the Bank's foremost priority.

HARSHA AMARASEKERA
Chairman

14th February 2024
Colombo, Sri Lanka

MANAGING DIRECTOR'S REVIEW

“

I am proud to say that Sampath Bank has been able to give our customers much needed breathing space to overcome their current contingencies, while preserving the continuity of their businesses amidst repeated shocks. ”



Rs 29.8 Bn

Profit before Tax



Rs 15.0 Bn 2022

Rs 1,542 Bn

Total Assets



Rs 1,324 Bn 2022

AYODHYA IDDAWELA PERERA
Managing Director

As we move forward, we will look to transform our core lending models to embed sustainability principles in our core products, thereby systematically increasing the proportion of sustainable lending to SMEs and Corporates.

The year 2023 will be remembered as a period of great transformation for Sri Lanka as the nation embarked on the arduous journey of rebuilding from the ground up following its worst-ever economic crisis in 2022.

While it was quite disconcerting to note the GDP contraction of 3.1% in the first half of the year, the marginal expansion of 1.6% in the third quarter of the year brought a renewed hope that the country was finally on course towards an economic turnaround. On that note, it is indeed very encouraging to see the expansion in all major economic sectors in the latter part of the year supported by broad based structural reforms including the normalisation of monetary policy and the relaxation of import restrictions. Other key indicators such as the progressive easing of inflationary conditions, strengthening foreign reserves and stability of the exchange rate in 2023, also provide further assurances regarding the improving health of the Sri Lankan economy.

As always, the local banking sector kept pace with the cyclical changes in the macroeconomic environment, while working to live up to its purpose as a key enabler of economic growth. However, beleaguered by prolonged economic shocks, it was evident that the banking sector could not bear additional burdens. That said, the foresight exhibited by the government, the regulator, financial advisors, and the International Monetary

Fund (IMF) in shielding the banking sector during the Domestic Debt Optimisation (DDO) programme, is indeed commendable. Excluding the banks from the domestic debt restructure has helped to preserve the capital adequacy of banks, which has been instrumental in empowering the banking sector to drive credit expansion in order to fuel post-crisis rejuvenation.

Strategically Positioned

While every bank is obligated to safeguard the stability and integrity of the country's financial system, I believe for Sampath Bank, as a truly Sri Lankan entity deeply rooted in domestic business, this responsibility is even more profound. It is this principle that influenced our decisions in 2023, starting with our stance on controlled credit expansion. Given the unsettling economic environment that prevailed for much of the year, lending activities were undertaken on a very cautious basis mostly skewed towards renewable energy and financial services - deemed high priority and systemically important sectors respectively, under the national development agenda. Notable achievements in this regard include the financing of Hiruras Power (Pvt) Ltd, a 15 Mw wind power project commenced in 2023 and participation in the syndication to fund the construction of Sri Lanka's largest ever solar farm to date - a 100 Mw ground mounted solar project set to commence in the 1st quarter of 2026.

On the retail front too mainstream lending was largely curtailed and mainly pawning products were actively promoted. A similar approach was adopted for the SME sector whose prospects have been stymied by repeated economic shocks in recent years. Unwilling to add to the financial burdens of the SME sector, we chose instead on championing sector resilience through advisory services and other capacity building programmes. However, considering that the SME segment remains the backbone of our economy and its resurgence is vital for sustained GDP growth, a targeted campaign was initiated to cautiously support SMEs operating in the tourism and export oriented manufacturing sectors via the concessionary credit lines issued by the Central Bank, the Ministry of Industries as well as the special Asian Development Bank (ADB) credit line.

Further, I believe our systematic efforts to support export-oriented industries during the crisis has fortified the customer trust in our capabilities, positioning us ideally to nurture SMEs into becoming exporters. Building on these efforts, we launched "Sampath Export Partners", a dedicated unit to assist export oriented SMEs and startups with export related documentation as well as to enable them to access market information and business networking opportunities.

MANAGING DIRECTOR'S REVIEW

At the same time, responding proactively to the country's need to boost trade, Sampath Bank's trade facilitation services were significantly expanded in 2023. Having earned the trust of importers and exporters to become one of the most preferred banks for trade during the height of the economic crisis, we moved aggressively with special emphasis on driving export trade activities in 2023.

Considering the importance of reinstating Sri Lanka's credibility in the eyes of the world in order to attract foreign direct investments to the country, Sampath Bank forged an alliance with the Board of Investment to publish a handbook entitled "An Investor Guide on Banking" providing essential information and links for potential investors looking to invest in Sri Lanka. We continued our collaborative efforts with Port City with the aim of attracting investors to the Special Economic Zone. We also further strengthened ties with our global networks, including funding partners and multilateral organisations in a bid to channel foreign capital towards local projects.

Well aware of our responsibility to contribute towards growing inward remittances, we proceeded to deepen ties with our global remittance partners including Fin-techs, while strategically expanding the worldwide business promotion officer network and improving brand visibility in selected regions and territories around the globe.

Financially Sound

Sampath Bank delivered a strong financial performance for FY 2023, a testament to our robust strategy and agile business model that has allowed the Bank to remain resilient notwithstanding macroeconomic uncertainty.

The Bank recorded Total Operating Income of Rs 91.0 Bn for the year, which mainly comprised the Net Interest Income of Rs 72.3 Bn and Net Fee and Commission Income of Rs 18.9 Bn.

A notable achievement in the current financial year was the significant decline in collective impairment charges mainly attributed to our stringent risk

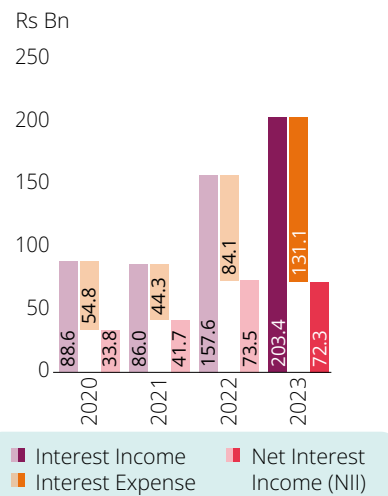
management measures. Impairment charges on loans and advances reduced by 67% from Rs 54.3 Bn in 2022 to Rs 18.1 Bn in 2023 due to the combined impact of improving economic conditions as well as the buildup of additional provision coverage - the result of our prudent provisioning strategies adopted in 2022 to account for risk elevated exposures within the loan and advances portfolio. Impairments on financial instruments also declined in 2023 as we were able to reverse a sizable portion of impairment provisions already recognised against the SLDBs, following the Domestic Debt Optimisation (DDO) programme that allowed the conversion of our SLDB holdings to local currency denominated bonds. However, impairment provisions against the SLISB investments were increased on a prudential basis in anticipation of possible haircuts in 2024.

Buoyed by the substantial reduction in collective impairment charges, Sampath Bank's Net Operating Income shot up to Rs 70.8 Bn in the year under review, substantially higher than the Rs 48.2 Bn recorded in the previous financial year.

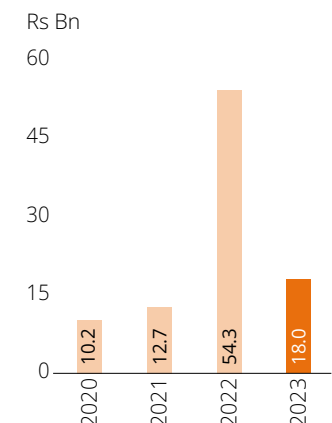
We continued to experience cost pressures as operating expenses continued to increase on the back of inflation-induced price increases and the ripple effect of the LKR depreciation in 2022. Amidst this backdrop, we were sadly unable to maintain our historically low, cost-to-income ratio. However, even after increasing to 35.7% in FY 2023, I am indeed pleased to see that Sampath Bank's cost-to-income ratio remained well below the industry average.

Despite higher operating costs, the Bank's Profit before Taxes (PBT) expanded by 98% year-on-year. The tax expenses (taxes on financial services + income tax) soared by 200% in 2023 as a consequence of the increase in the tax base as well as the first full year of heightened income tax rate and the Social Security Contribution Levy (SSCL) applicable on financial services. Thus, the improvement in Profit after Taxes (PAT) was limited to 30.5% year-on-year. Notably, the Total Effective Tax Rate (taxes on financial services + income tax) of the Bank shot up from 35.0% in FY 2022 to 55.3% in FY 2023.

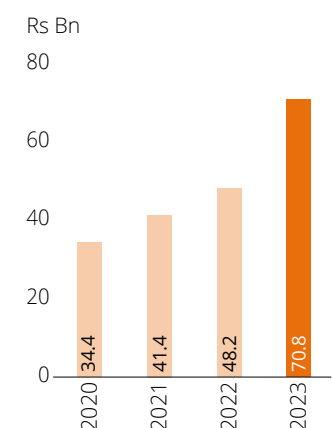
Net Interest Income (NII)



Impairment Charge on Loans & Advances



Net Operating Income



Sampath Bank's Balance Sheet position further strengthened in FY 2023, marked by 16.4% improvement in the asset base. It is worth noting that the improvement in the asset base was primarily the result of higher investments. Given our cautious approach to lending during this period of economic uncertainty, excess liquidity was channelled towards investments.

Overall liabilities increased by 16.4% year-on-year driven mainly by the expansion in the Bank's Deposit base from Rs 1.1 Tn in FY 2022 to Rs 1.26 Tn as at end-2023. Despite no aggressive action taken towards deposit mobilisation, organic growth in the Bank's deposit book consistently outpaced the industry in 2023. Further, the steady inflow of term deposits saw Sampath Bank make history in October 2023 to become the first local bank to reach One Trillion Rupee Deposits in under 40 years, which I believe stands as a testament to the public trust and confidence in the "Sampath" brand.

I am indeed pleased to see that our continued emphasis on improving access to low cost funding is also yielding excellent results, with the Bank's CASA ratio improving from 32.7% in FY 2022 to 33.4% in the year under review.

The BASEL III compliant debentures issued in February 2023 that raised Rs 10 Bn to further augment the Bank's Tier II capital, was another contributory factor to the increase in the Bank's liabilities in the current financial year.

The Bank closed the current financial year recording strong improvements across all capital ratios, supported by improved profitability, alongside the Rs 10 Bn Tier II capital infusion. As at 31st December 2023, Sampath Bank's CET I, Total Tier I and Total Capital ratios were at 16.35%, 16.35% and 19.56% respectively compared to 11.92%, 11.92% and 14.27% respectively at the end of 2022.

Meanwhile, bolstered by improved profitability during the current financial year, the Bank's Total Equity increased to Rs 148 Bn as of 31st December 2023.

Customer Focused

The economic challenges in recent years, which began with the Easter Sunday attacks in 2019, followed by the pandemic years

and on to the economic crisis of 2022 has served to further reinforce our dedication to protect the wellbeing of our customers.



Business Revival Unit

I would like to stress that our efforts in 2023 were not a mere reactionary response to the immediate challenges, but a stronger perpetuation of the campaign launched in early 2022 to position our customers for post-COVID revival. The Post COVID-19 Revival Unit set up by the Bank in January 2022 in line with regulatory directions issued under the "Six Month Road Map for Ensuring Macroeconomic and Financial System Stability" was revamped in early 2023 and re-established as the Credit Nursing Unit (CNU) armed with new expertise together with more stringent governance and oversight structures to focus exclusively on customer rehabilitation. The CNU, which was entrusted with the responsibility of reviewing both current and proposed exposures of stressed customers, has performed admirably in developing fit-for-purpose solutions, encompassing restructures, reschedulements, staggered repayment plans etc. I am proud to say that Sampath Bank has thus been able to give our customers some much needed breathing space to overcome their current contingencies, while preserving the continuity of their businesses amidst repeated shocks. Since its launch in 2022, to-date, the unit has successfully rehabilitated approximately Rs 34 Bn worth of customer facilities, which I see as one of the reasons responsible for the reduction in stage 2 impairment charge in 2023.

Equally importantly, the CNU renamed as the "Business Revival Unit" in January 2024 with strengthened capacity and widened scope, continues to offer financial counselling and business advisory services to empower our customers to access fresh equity and capital infusion/M&A opportunities to enhance future readiness and future-proofing of their businesses.

MANAGING DIRECTOR'S REVIEW

Digitally Empowered

It is no secret that the "Sampath" brand is widely regarded as the vanguard of banking technology. Our sustained investment in technology over the years echoes our commitment to transform both front-end interfaces as well as back end systems in order to stay at the forefront of our industry in terms of the best in-class customer experience and achieving a healthy cost-to-income ratio.

In 2023, we continued blazing trails in the technology sphere with the launch of a groundbreaking new interface to enable remote Accounts Opening-via-QR - an industry first. Another major development on the digital front was the integration of self-management features to the Sampath Vishwa online banking platform, enabling customers to uplift fixed deposits and effect full/partial settlement of loans. The customer response towards these new features has been truly remarkable.

I am convinced that it is our digital superiority that provided the edge in our historic partnership with UNICEF - Sri Lanka, wherein Sampath Bank was appointed as the 'Facilitating Bank' for the distribution of funds to mothers from low income families and caretakers with young children facing challenges, in accessing proper nutrition and healthcare services amidst the prevailing economic crisis in Sri Lanka.

Our ongoing efforts to drive digital integration to improve process efficiency and lower overall costs, gathered further momentum in 2023. A few examples come to mind - one is the fully automated workflow management tool deployed at branches. Another important initiative was the roll out of the new fit-for-purpose digital workflow system to handle all complaints, which has helped to significantly improve average complaint resolution timeline.

Substantial investments were also made to upgrade our core IT infrastructure with a view to enhancing the scalability and performance of our data servers to support the Bank's growing data needs.

I am happy to report that we made good headway in adopting the Banking Act Direction No. 16 of 2021 on "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks". In this regard, being certified under the ISO 27001:2013 Information Security Standard

for the past seven years has proven to be a significant advantage for the Bank. Moreover in 2023, we secured the Payment Card Industry Data Security Standard (PCI DSS) certification, following the successful completion of a rigorous four years of realignment journey. This latest qualification further strengthens our information security systems, ensuring more reliability in delivering customer service.

Sustainability Built

Long before sustainability became a global phenomenon, it was already deeply ingrained in Sampath Bank's foundational values. From the very beginning, we have worked to ensure our business is managed sustainably in harmony with the needs of stakeholders and that the fruits of our success is shared among all stakeholders encompassing employees, customers, shareholders, partners, regulators, governments and local communities.

To formally acknowledge our commitment to this holistic approach for sustainable and equitable growth, Sampath Bank in 2023 became a signatory to the United Nations Global Compact (UNGC). As a participatory organisation of the UNGC, we have committed to uphold the UNGC's ten universally accepted principles in areas such as governance, human rights, labour, environment, and anti-corruption, by undertaking to integrate them into the Bank's policies and practices, and in doing so contributing towards the UNGC vision to promote responsible business conduct and address pressing global challenges.

As you well know, Sampath Bank has been at the forefront of renewable energy financing, which we internally refer to as "environmental impact financing". Our expertise in this sphere was instrumental in expediting the adoption of the CBSL Directive on Sustainable Financing Activities for licensed banks including the Green Finance Taxonomy guidelines. In 2023, we completed the groundwork for a new Environmental and Social Management System (ESMS) to create the framework for integrating environmental and social concerns in the credit evaluation process for all mainstream lending products. We look forward to rolling out the ESMS in 2024, through which we hope to trigger a paradigm shift that will lead customers towards a more responsible credit culture in the long term.

Recognising the global focus on sustainability shifting towards Environmental, Social and Governance (ESG) factors, the Bank has already begun exploring ways to reform its Internal Capital Adequacy Assessment Process (ICAAP) to incorporate the impact of ESG risks on the Bank's capital position and to plan for capital allocations under Pillar II, if necessary.

People Driven

Sampath Bank, like all other organisations in Sri Lanka, faced the risk of employee attrition in 2023 as the economic crisis-induced pressures gave rise to skilled migration out of the country. Moving quickly, multiple approaches were mobilised to contain attrition and retain key personnel. Appropriate annual salary increments, additional ex-gratia payments and special allowances were granted to help employees to manage ongoing inflationary pressures.

Our succession-planning programme was also revamped to focus on targeted talent development initiatives for middle management and executive grades, while identified high performers were offered promotions and job rotation assignments to enable them to advance their career journeys within the Bank. In parallel, we began preparing for the roll out of a fully-fledged new Performance Management System to create a platform to ensure rewards reflect both individual and team performance.

The training cost incurred during the year marked a year-on-year increase of 34.2%, as additional resources were allocated towards enhancing the scope and frequency of training for specific employee segments. A series of knowledge sharing workshops along with special coaching and mentoring initiatives were also launched with the support of senior management to address persistent skill gaps.

Increasing the number of females in leadership roles was another key priority, an endeavour that I, personally am very interested in.

Community Centered

Sampath Bank's identity as a truly Sri Lankan bank remains deeply intertwined with the Bank's ties to the wider community. For over a decade, we have expressed our passion for the community via the "Wewata Jeewayak" tank restoration programme to rehabilitate Sri Lanka's traditional irrigation infrastructure in need of repair. Many of these tanks,

located in the dry zone, serve as lifeline to countless small-scale rural farming families who live in surrounding villages. In 2023, we undertook 5 new tank restoration projects.

I take great pride in announcing that to date, a total of 21 tanks have been restored under the “Wewata Jeewayak” programme, directly benefiting hundreds of small-scale farmers to earn and sustain their livelihoods, year after year.

Awards and Accolades

While awards and accolades are nothing new to Sampath Bank, it is indeed very humbling to be continually recognised year after year.

In 2023, Sampath Bank was named as the “Best Bank in Sri Lanka” for 2023 by the prestigious and world-renowned Euromoney Awards. While I gratefully acknowledge this distinction, I readily admit that this title is a reflection of the relentless efforts of Team Sampath, the unwavering loyalty of our customers, and the consistent support from all our stakeholders.

Sampath Bank also clinched the highly coveted “Most Loved Banking Brand” at the LMD’s Brands Annual Awards for 2023, a feat that the Bank has successfully repeated for the past four years. At the same forum, Sampath Bank was also ranked among the Top 10 “Most Loved Brands” in Sri Lanka.

At the Infosys Finacle Innovation Awards 2023, Sampath Bank swept the board with 3 platinum awards for Ecosystem-led Innovation, Corporate Banking Innovation and Channel Innovation along with a gold award for Process Innovation.

Sampath Bank was declared Sri Lanka’s Best Bank for CSR (Corporate Social Responsibility) for the second consecutive year and Best Bank for ESG (Environmental, Social and Governance) by Asiamoney magazine. I find, being recognised for our community and sustainability initiatives is particularly rewarding.

Forging Ahead with a Bold New Vision

With the economy now on more stable ground and the spotlight on recovery, Sampath Bank will move forward confidently to explore potential opportunities to direct credit towards sectors that have the capacity for sustained growth.



Euromoney Awards “Best Bank in Sri Lanka” - 2023

Inspired by our fresh new Purpose Statement to “Empower Dreams and Enrich Lives” we expect to forge ahead towards a new era of transformational growth. Keen to get things right at the outset, we embraced a bottom up approach, which involved reaching out to business heads and key personnel for their insights and feedback on the Bank’s strategic direction for the medium term. We also engaged the expertise of a global strategy consultant to fine-tune these findings and advise us on a robust 5-year strategy to create a Bank that is agile, driven by knowledge, empowered by technology, and fully focused on our customers.

While I do not wish to dwell on the intricate details of our new strategic roadmap, I believe a few pertinent details need to be said. For Sampath Bank, the year 2024 will be one of consolidation and strengthening, marked by measured credit expansion through more focused high quality lending across all segments. As we move forward, we will look to transform our core lending models to embed sustainability principles in our core products, thereby systematically increasing the proportion of sustainable lending to SMEs and corporates. As part of the next phase of this effort, we plan to leverage our expertise in financing renewable energy to aid in Sri Lanka’s transition to the green, and blue financing domains.

I expect digital disruption, with a strong emphasis on AI and machine learning to be a major priority going forward. As Gen-Z and Gen-Alpha enter the workforce, I foresee the need to re-engineer our traditional brick and mortar banking model which will warrant higher CAPEX and OPEX towards upgrading and maintaining technology architecture. Our growth strategy is meticulously designed to embrace this phased evolution while our substantial budget allocation to technology underscores our dedication to continuously reinvent the wheel for the benefit of our customers.

Simply put, our strategy for the next five years in effect represents a quantum leap that will propel Sampath Bank to a league of its own by 2028.

Appreciations

As I conclude my first review as the Managing Director of Sampath Bank PLC, I wish to thank my predecessor - Mr Nanda Fernando for his valuable advice and guidance which helped to smoothen the transition for me to take over the reins. I would also like to thank the Chairman and the Board of Directors for their steadfast and unwavering support at all times.

My gratitude to the officials at the Central Bank of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, the Colombo Stock Exchange, the Ministry of Finance and the Institute of Chartered Accountants of Sri Lanka for their continued support.

I am well aware that Sampath Bank’s resilience over the past few years has in no small part been due to Team Sampath. Thank you for the passion and commitment that you have shown in putting our customers above all else.

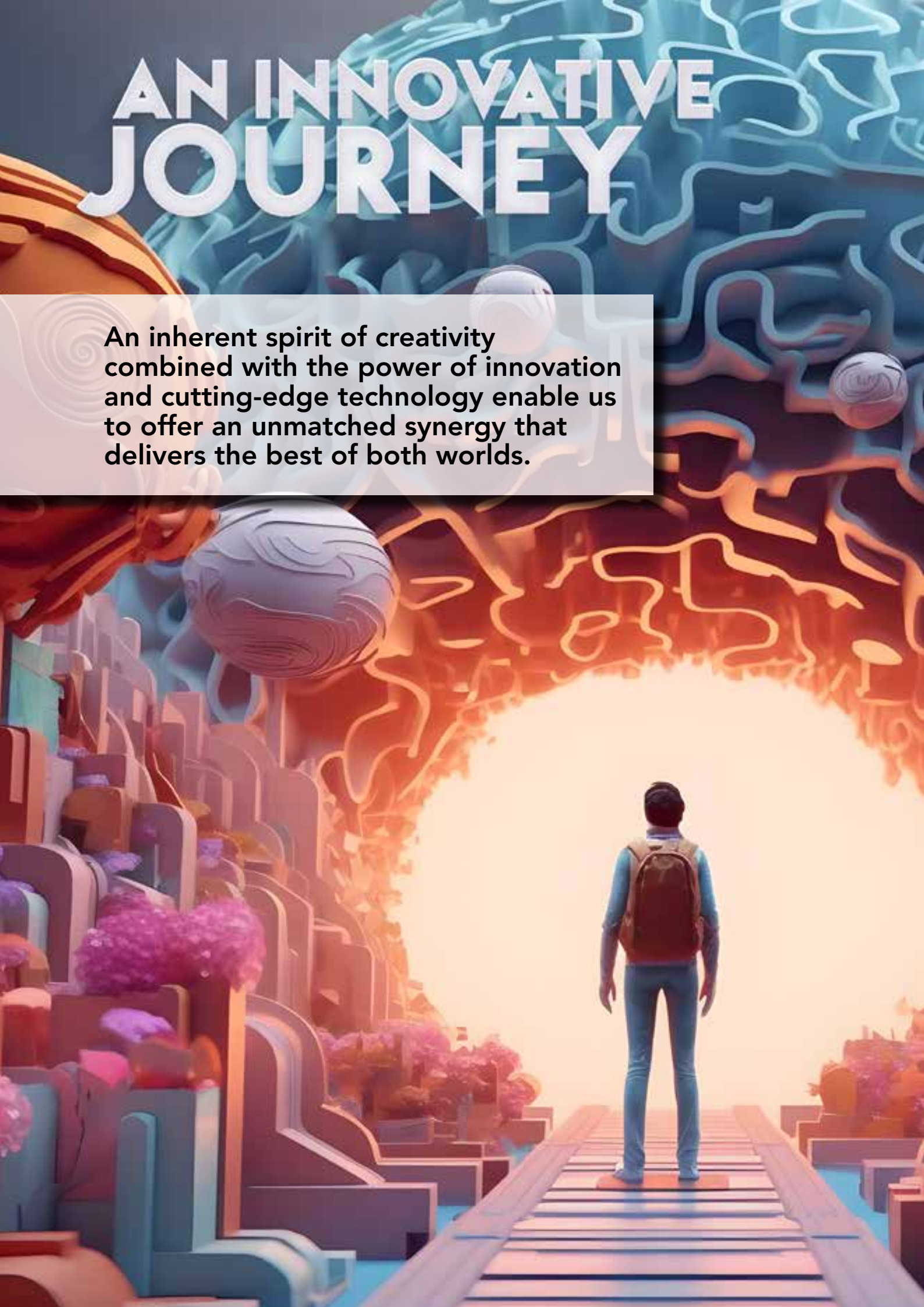
I wish to take this opportunity to express my appreciation to our customers, shareholders and other stakeholders for placing their trust in Sampath Bank. I invite you to be part of the next steps in our journey as we forge ahead to realise our bold new vision in the future.

AYODHYA IDDAWELA PERERA
Managing Director

14th February 2024
Colombo, Sri Lanka

AN INNOVATIVE JOURNEY

An inherent spirit of creativity combined with the power of innovation and cutting-edge technology enable us to offer an unmatched synergy that delivers the best of both worlds.





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STRATEGIC THEMES

Sampath Bank's strategy stems from the Bank's Purpose and Vision. The annual strategy development process involves the preparation of a revolving 3-year strategy, which is updated annually in rotation based on Sampath Bank's current performance and future prospects with due consideration of the Bank's four key themes that have emerged through this process - Business, Technology, People and Sustainability, which underpins Sampath Bank's strategic journey.

Progress Report 2023

BUSINESS					
Key Priorities		↓			
Safeguarding credit quality	Driving loan growth	Effective risk management and control	Improving fee-based income	Managing cost of funds	
Tactical Interventions		↓			
▪ Cautious lending to support SMEs operating in identified priority sectors such as modern agriculture and export-oriented manufacturing. ▪ Additional provisioning for customers in high risk sectors such as tourism, import, trade and construction. ▪ Implement a Delinquent Management System (DMS) to enable branches to track delinquencies or delayed payments.	▪ Lending to high priority sectors such as the Non-Conventional Renewable Energy (NCRE). ▪ Support the revival of systemically important sectors of the economy such as the local financial services sector. ▪ Syndications and bi-lateral arrangements to capitalise on offshore lending opportunities. ▪ Promote pawning in the retail market.	▪ Post-credit monitoring of existing customers in high risk sectors such as tourism, import, trade and construction. ▪ Rehabilitation of stressed customers through restructuring. ▪ Leverage on Cash Management Solution (CMS) to on-board top ranked corporate customers.	▪ Drive trade facilitation services. ▪ Grow inward remittances. ▪ Cross selling to boost SampathCards. ▪ Promote Custodian and Escrow services.	▪ Emphasis on shorter tenure term deposits. ▪ Improve retail savings. ▪ Drive digital deposits. ▪ Promote Cash Management Solutions to corporates in order to improve corporate CASA.	
Resource Allocation		↓			
 Financial Capital	 Financial Capital  Intellectual Capital  Manufactured Capital	 Manufactured Capital  Intellectual Capital  Social and Relationship Capital	 Manufactured Capital  Intellectual Capital  Social and Relationship Capital	 Manufactured Capital  Intellectual Capital  Human Capital  Social and Relationship Capital	
Scorecard		↓			
▪ 67.9% year-on-year reduction in the impairment charge	▪ 182 bps increase in the share of pawning and gold loans in the lending mix	▪ 91.9% year-on-year reduction in collective impairment charges	▪ 9.4% year-on-year increase in Credit & Debit Cards related net fee-based income	▪ 14.6% growth in deposits ▪ CASA ratio: 33.4% (2022: 32.7%) ▪ 50.2% year-on-year increase in digital fixed deposits	
Broader Impact on Value Creation					
 Financial Capital	➔ Strengthens the Bank's financial resilience	 Intellectual Capital	➔ Enhances brand equity	 Social and Relationship Capital	➔ Reinforces customer trust

TECHNOLOGY

Progress Report 2023

Key Priorities

Enhancing internal system efficiency



Improving customers' digital experience

Enhance customer convenience

Tactical Interventions



- Capacity expansion at the primary and secondary data centres.
- Improving scalability of IT infrastructure.
- ISO 27001:2013 re-certification.
- Secured the Payment Card Industry Data Security Standard (PCI DSS) certification.
- Data Leakage Prevention (DLP) solution and the Endpoint Detection and Response (EDR).
- Implemented the "Asycuda" web based solution to streamline the import clearance process for customers.

- Encourage customer uptake of Cash Management Solutions (CMS).
- Launch of the accounts opening workflow management tool.
- Overhaul of the SMS Alertz mechanism.
- Promoting the Bank's IPG facility to SampathCard holders.
- Promoting QR payments.

- Expansion of the global Business Promotion Officer (BPO) footprint.
- Launch of "Sampath Export Partners" to assist exporters.

Resource Allocation



Manufactured Capital

Intellectual Capital

Manufactured Capital

Social and Relationship Capital

Social and Relationship Capital

Scorecard



- ZERO** non-conformities reported in the ISO 27001 annual audit
- ZERO** cyber attacks

- 37%** year-on-year increase in Sampath Vishwa and WePay registrations

- Merit Award** for the Bank of the year for excellence in customer convenience - category A at the LankaPay Technnovation Awards 2023

Broader Impact on Value Creation

Intellectual Capital → Improved shareholder confidence contributing to brand equity

Social and Relationship Capital → Strengthens customer loyalty

Natural Capital → Reduced carbon footprint due to digitalisation

PEOPLE

Progress Report 2023

Key Priorities

Career advancement in line with the "Develop from within" principle



Strengthening gender diversity in the workforce

Driving the culture and conduct

Investment in employee wellness

Tactical Interventions



- Live roll out of the new Performance Management System.
- Launched the "Lead Impact" and "Elevate" Executive Development Programmes for branch managers and heads of departments respectively.
- Increased investment on overseas training for corporate and senior management.

- Improve female participation in the workforce at junior executive and middle management level.
- Monitoring and regular reporting of Bank-wide gender parity indicators.

- Strengthen the ethics framework in line with global best practices.
- Training and capacity building on Anti-Bribery and Anti-Corruption.

- Focus on healthcare, nutrition and healthy lifestyles of employees.
- Preserving financial security of employees.

Resource Allocation



Financial Capital

Human Capital

Human Capital

Human Capital

Financial Capital

Human Capital

Scorecard



- 377** total promotions
- 1,224** job rotations granted
- 4%** attrition ratio
- 85%** employee satisfaction

- Gender Ratio: **61:39** (M:F)
- 1:1** Male:Female salary ratio across all employee categories
- 107** females promoted (2022: 98)
- 100%** return to work rate (after maternity leave)

- 1,862** team members trained on anti-bribery and anti-corruption

- Rs 424 Mn** distributed on account of lodging/hardship allowances

Broader Impact on Value Creation

Intellectual Capital → Enhances Sampath Bank's position as an employer of choice

Financial Capital → Performance-driven culture boosts financial results

Social and Relationship Capital → Committed and loyal employees earn the respect of customers

STRATEGIC THEMES

SUSTAINABILITY					
Progress Report 2023	Key Priorities				
	Strengthening customer engagement and responsiveness	Creating opportunities for new suppliers	Community empowerment and support	Prioritising lending for renewables	Focus customer environmental integration
	Tactical Interventions				
	- Investment in a digital workflow system to handle customer complaints. - Introduction of the trilingual support feature on the WePay Wallet app. - Chatbot integration to the WePay Wallet app.	Introduction of a supplier rating mechanism covering the aspects on environmental, social and economic perspectives.	- Increase the investment in the "Wewata Jeewayak" tank restoration programme. - Support for the upliftment of national healthcare standards through the "Hope for a Life" programme.	- Environmental Impact Financing. - Green Lending.	- Develop the Environmental and Social Management System (ESMS) to identify and manage exposure to the environmental and social risks within Sampath Bank's lending portfolio. - Develop and promote green products and services.
	Resource Allocation				
	 Social and Relationship Capital	 Social and Relationship Capital	 Financial Capital  Social and Relationship Capital	 Financial Capital	 Social and Relationship Capital
	Scorecard				
	100% complaints resolution	716 registered suppliers	123,856 beneficiaries from CSR projects	Rs 1,819 Mn financing to renewable energy projects	32% year-on-year increase in trees saved through transactions done via Cash Deposit Machines and Slipless Banking
Broader Impact on Value Creation					
 Intellectual Capital → Identifies Sampath Bank as a leader in corporate social responsibility and environmental stewardship					

 	STRENGTHS ▪ Perceived as a financially stable, highly reliable and trustworthy Bank by all Sri Lankans. ▪ Healthy share of the retail market supported by a strong island-wide footprint coupled with a wide range of mainstream products and services. ▪ Loyal employees who understand and share the Bank's vision and feel proud to be a part of the company. ▪ Reputation as the leading digital innovator in the local banking sector. ▪ Long established strategic partnerships to support business expansion.
	WEAKNESSES ▪ High dependence on Sri Lankan market. ▪ Low motivation of staff due to adverse economic and social conditions in the country.

	Solar migration strategy for branches	Resource efficiency programme	Process automation	Environmental projects
	Invest in rooftop solar at Bank-owned branches.	- Annual GHG Inventory Report validated by independent assurance. - Continuous and ongoing efforts to control energy and water consumption and reduce waste.	Continuous and ongoing automation of back end workflow systems and frontend interfaces.	"A Breath to the Ocean" oceanic ecosystem restoration programme.
	Financial Capital	Financial Capital	Manufactured Capital	Financial Capital
	17 solarised branches (2022: 13)	10,378 carbon footprint (2022: 11,645)	527 trees saved through waste paper recycling	50,457 turtle eggs protected under the "A Breath to the Ocean" programme
	 Natural Capital  Reduces natural capital loss			



OPPORTUNITIES

- Understand and respond to evolving customer behaviour and needs by creating lifetime value.
- Extend the lead as a 'digital innovator'.
- Grow market share and customer outreach through mergers and acquisitions.



THREATS

- Growing presence of digitally sophisticated banks/fintechs.
- Rapidly changing regulatory environment.
- New entrants through trade agreements.
- Unforeseen economic and political shocks.

OUR APPROACH TOWARDS SUSTAINABILITY

Sampath Bank's Strategic Sustainability Framework

Sampath Bank has always worked with a clear purpose to ensure its business operations are conducted sustainably at all times. To that end, the Bank has identified sustainability to be one of its strategic pillars. This approach demonstrates the Bank's desire to view sustainability through a 360° lens in order to enable Environmental, Social and Governance (ESG) principles to be embedded at all levels of the business.

The Bank's Strategic Sustainability Framework creates the ecosystem for integrating ESG aspects across Sampath Bank's operations, vis-à-vis five key pillars;

1. Environmental and Social Risk Management System (ESMS)

The ESMS serves as the key catalyst for minimising the exposure to environmental and social risks in the core lending business. In the year under review, the ESMS was further enhanced with the following new developments;

- Sought the assistance of an expert consultancy firm to develop a robust ESMS Framework for the Bank, taking into consideration, the CBSL's Sustainable Finance Roadmap relating to Green Financing Taxonomy and IFC

performance standards. The Policy underscores the Bank's efforts to focus on lending to environmentally and socially sustainable businesses.

- Commenced developing the support mechanism for the ESMS Framework, including Risk Grading Tools to rate Environmental and Social (E&S) risks associated in lending activities in line with the Central Environmental Authority (CEA) prescribed activities. The environmental and social risk rating system will enable the classification of credit facilities based on their environmental and social impact.
- Appointment of an Environmentalist to bring more focused oversight for addressing environmental concerns, promoting sustainable practices and overseeing the progress of Environmental and Social Risk Management System.
- Training on ESMS and its developments by a professional consultancy firm to team members.

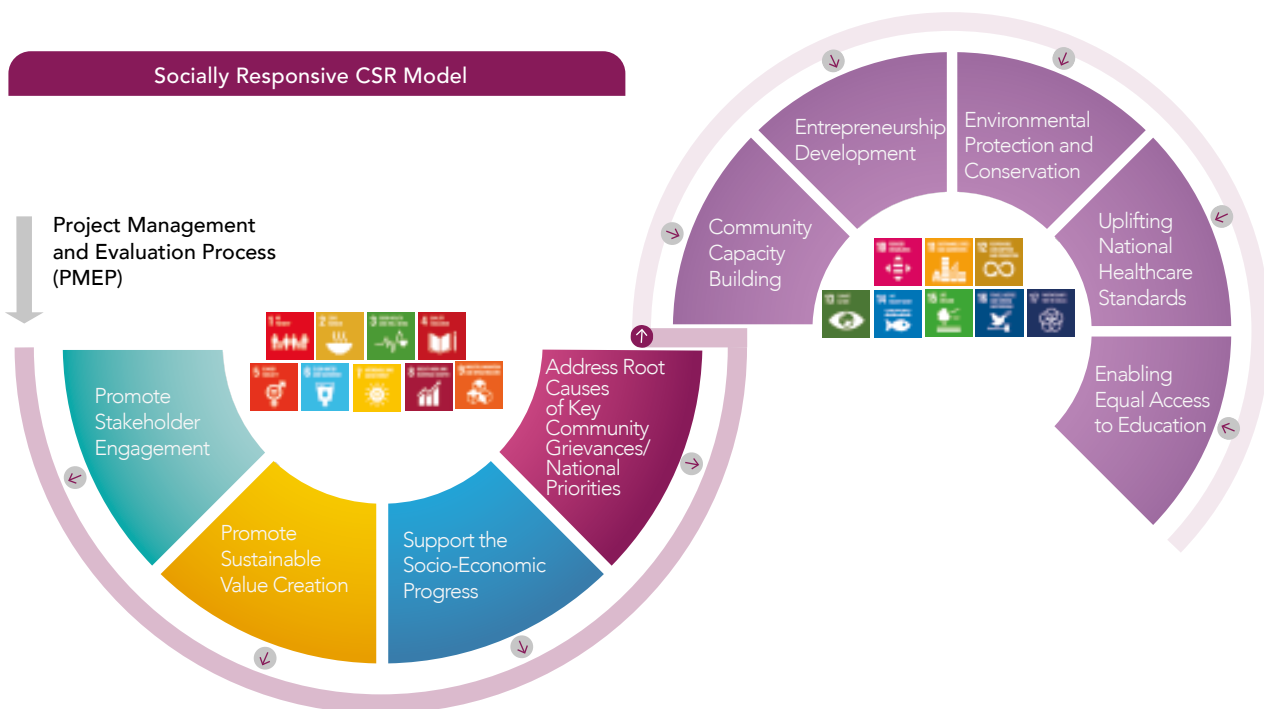
2. Environmental Impact Financing

In tandem with its commitment to combat climate change, the Bank has in recent years allocated top priority to Environmental Impact Financing,

specifically to support the expansion of Non-Conventional Renewable Energy (NCRE) in Sri Lanka. Today, Sampath Bank continues to play a leading role in the development of the country's NCRE sector through the provision of financial assistance to support investment in hydro, solar, wind, and biomass energy generation. To further advance these efforts, the Bank leverages its relationships with bilateral lending partners.

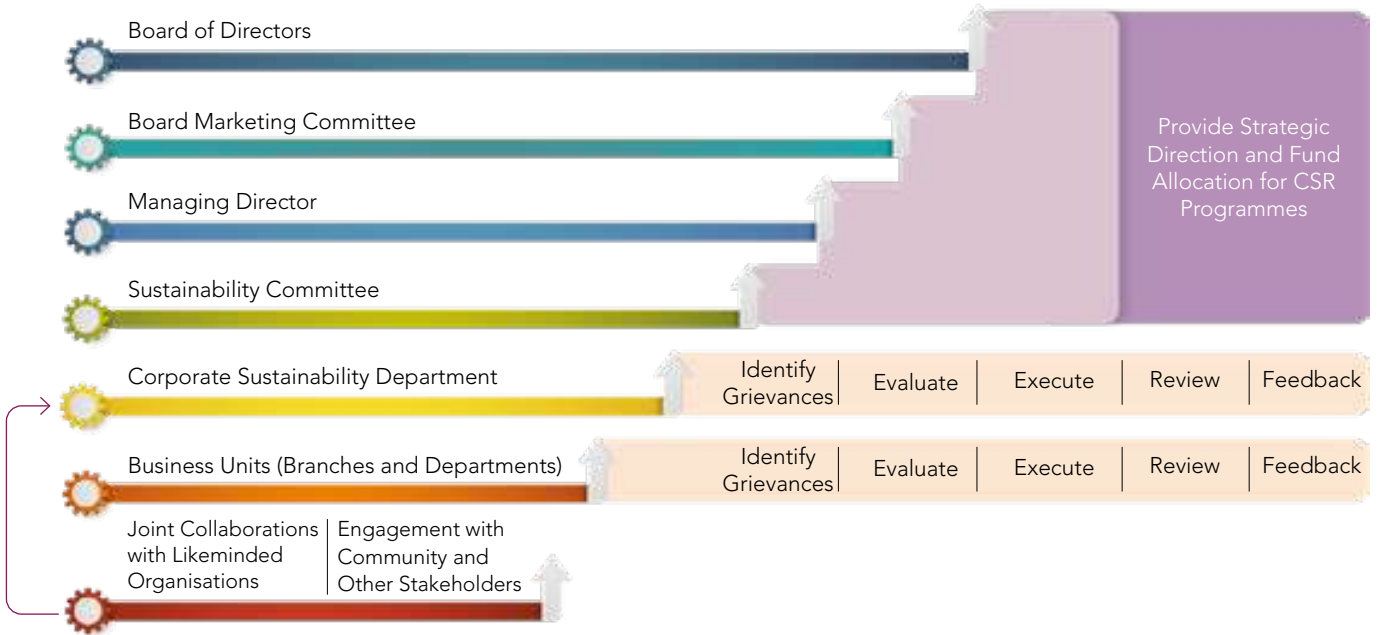
3. Socially Responsive Corporate Social Responsibility (CSR) Model

Another key aspect of the Strategic Sustainability Framework is the Socially Responsive Corporate Social Responsibility (CSR) Model. This model which is formulated based on Sampath Bank's CSR policy and CSR procedure, directs the Bank's efforts to undertake projects that tackle broader social and environmental challenges. As part of the Socially Responsive CSR Model, the Corporate Sustainability Department (CSD) conducts a thorough Project Management and Evaluation Process (PMEP) for each project. This evaluation aims to assess the project's capability to fulfil one or more of the specified objectives outlined in the Socially Responsive CSR Model.

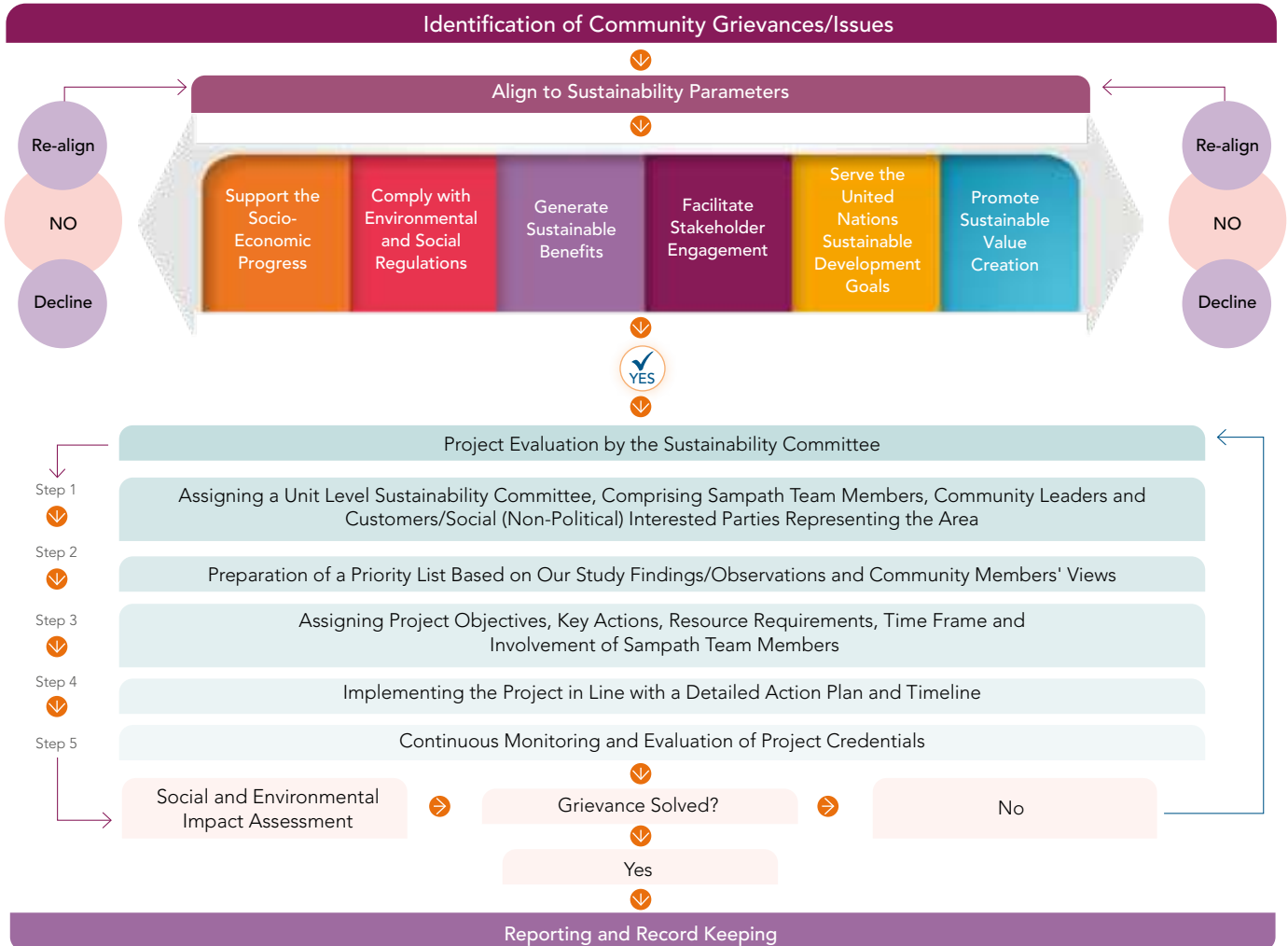


Project Management and Evaluation Process

Project Management Process



Comprehensive Project Evaluation Process



OUR APPROACH TOWARDS SUSTAINABILITY

4. Training and Awareness Building

Each year, the Bank invests considerable resources towards training and awareness building in ESG related matters. The "Vidvan" e-learning platform continues to be widely used, to deliver regular trainings to enhance the collective knowledge of Team Sampath on socio-economic and environment sustainability.

5. Strategic Partnerships

Strategic partnerships are integral to implementing the Bank's sustainable initiatives, whether advancing operational objectives or contributing to broader national environmental goals. To achieve operational targets, the Bank has tied up with Neptune Papers (Pvt) Limited as the primary recycling partner for paper waste. Additionally, ongoing partnership with Infinity Green International (Pvt) Limited addresses the responsible disposal of e-waste. The Bank's greenhouse gas (GHG) measurement process is supported by collaborations with RR Associates (Pvt) Limited and B-Advancy Lanka Certification (Pvt) Limited.

From time to time, the Bank also engages with national environmental entities such as Biodiversity Sri Lanka, National Cleaner Production Centre of Sri Lanka, and the Wildlife and Nature Protection Society of Sri Lanka.

GRI 2-9,12,13,14,16,17,18

ESG and Sustainability Governance

The effectiveness of the Strategic Sustainability Framework is ensured through a hierarchical governance structure, where the Board remains the highest decision-making authority. The Board Marketing Committee plays a supportive role in making recommendations to the Board regarding the latest sustainability trends, when required.

The Sustainability Committee, led by the Managing Director, functions under the delegated authority of the Board to oversee all sustainability and CSR matters. Additionally, the Sustainability Committee acts as a bridge between the Board Marketing Committee and Operational Teams. Guided by the Sustainability Committee, the Corporate Sustainability Department (CSD) actively engages in planning, implementing, and monitoring sustainability initiatives.

Apart from this, the Environmental and Social Risk Management System (ESMS) implementation committee, which comprises a cross functional team represented by all business lines and related supporting functions, provides oversight for the areas such as Credit, Risk, Sustainability, Legal, Compliance, IT, Audit and Training on the implementation of ESMS.

Sampath Bank signs up as a participating company of the United Nations Global Compact (UNGC)

Further reiterating its commitment to collaborate for the purpose of advancing sustainability, Sampath Bank in 2023, became an official signatory to the United Nations Global Compact (UNGC). The UNGC plays a leading role in the advocacy of corporate responsibility through a universal blueprint that aims to guide all businesses regardless of size, complexity or location, to adopt responsible business practices.

This partnership signifies the Bank's commitment to uphold the UNGC's ten universally accepted principles in areas such as governance, human rights, labour, environment, and anti-corruption, by integrating them into the Bank's policies and practices and in doing so, contributing towards the UNGC vision to promote responsible business conduct and address pressing global challenges.

Two-tier Governance Structure for Corporate Sustainability



Board of Directors



Board Marketing Committee



Managing Director



Sustainability Committee



Executive Director/
Chief Financial Officer

Chief Human Resource Officer
(Chairman)

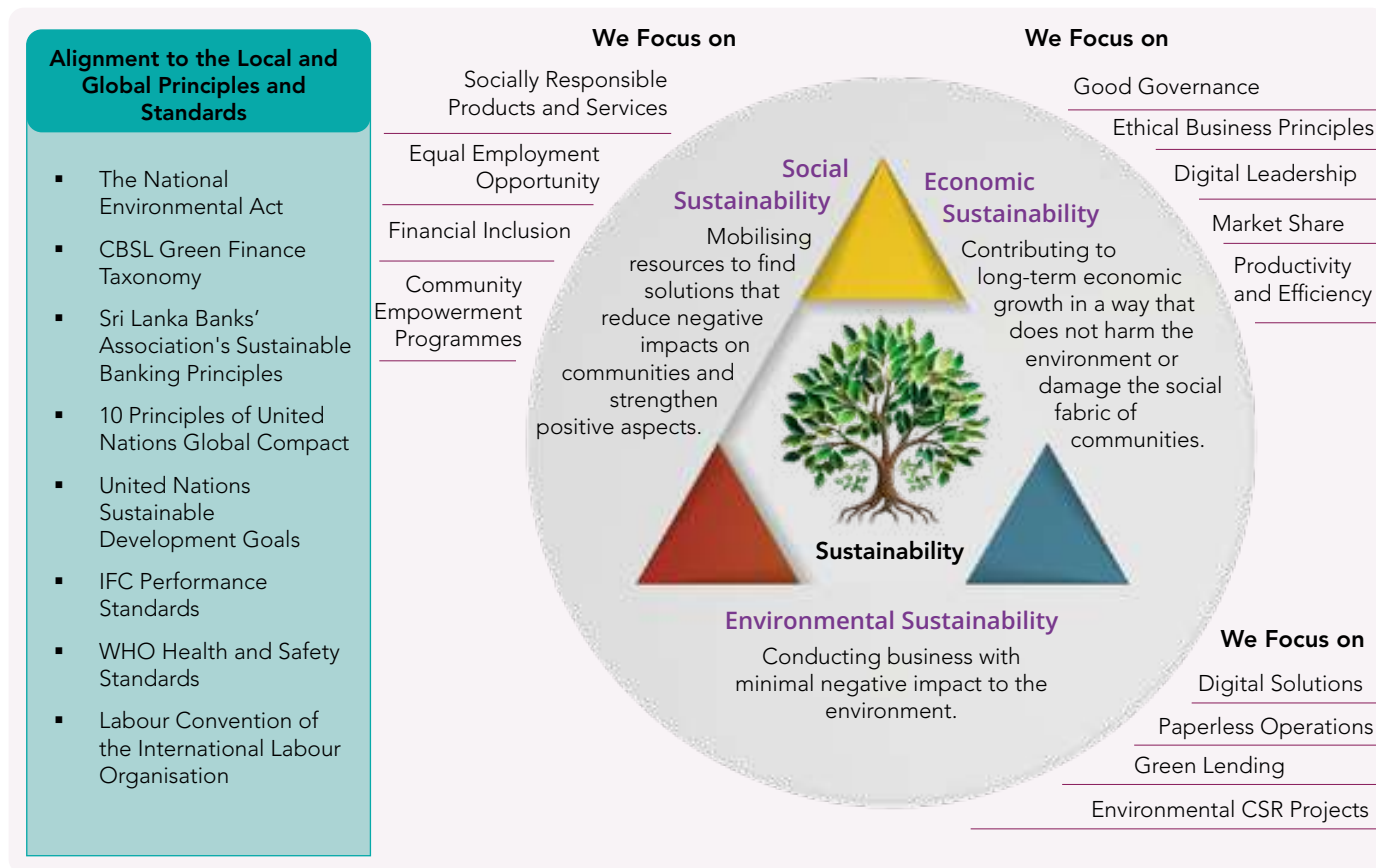
Deputy General Manager -
Special Projects &
Syndications

Chief Manager -
Marketing



Corporate Sustainability
Department

Our Approach to Three Pillars of Sustainability



We Create Value for



Sustainability Priorities for 2023



OUR APPROACH TOWARDS SUSTAINABILITY

GRI 413-1

Principles that Drive Our Commitment to Sustainable Development



Livelihood development through "Sampath Saviya" entrepreneurship development programme.



"Wewata Jeewayak" tank restoration programme to facilitate agricultural growing activities in Sri Lanka's dry and intermediary zones.

"Gasai Mamai Pubudu Pothai" vegetable gardening programme conducted in schools.



Rs 50 Mn to the 1990 Suwa Seriya Foundation under the "Hope for a Life" programme to uplift national healthcare standards.

Free medical vouchers to senior citizens through the "Sanhinda Saver" account.



"Education for All" programme to ensure all communities have equal access to high quality primary and secondary education and career guidance.



Female representation in leadership roles of the Bank's management teams.

Female representation in leadership roles is a key aspect in the community development programmes undertaken by the Bank.

"Ladies 1st" savings account - specially designed product for females.

"Wonder Women" initiative - women leadership programme.



"Wewata Jeewayak" tank restoration programme to restore water related ecosystems.

"Life to Our Mangroves" - Mangrove restoration programme.



Promote sustainable lending through financing to renewable energy sector.

Invest in solar migration projects at branches to increase the share of renewable energy in the Bank's overall energy mix.



Internship opportunities and career guidance for school leavers and undergraduates.

All confirmed employees were granted a 10.5% annual salary increment.



Launched QR-based remote accounts opening feature.

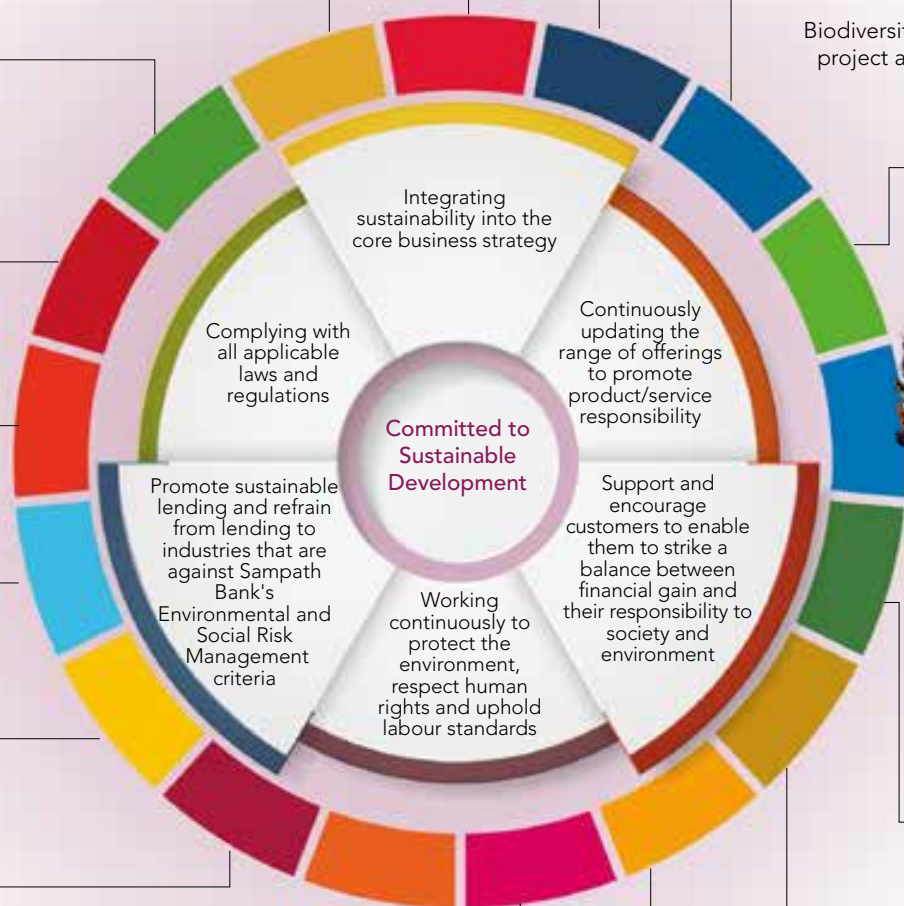


Provide equal opportunities for all employees.

Zero tolerance of any form of unfair discrimination on the basis of race, gender or disability.

Ratio of basic salary at the entry level for males and females is 1:1.





Strategic partnerships to address the issues on climate change, water, education, community empowerment and entrepreneurship development.



Vigilance to ensure that Bank's products are not used in the furtherance of financial crime, such as money laundering, financing of terrorism, fraud and corruption.

Sampath Bank has zero tolerance for bribery and corruption by any employee or Director.



Invest in emission management and energy management projects at the Bank's head office and branch network.

Contribution to the Wildlife and Nature Protection Society of Sri Lanka.



Biodiversity conservation project at Halgahawala, Opatha, Galle.

"Gasai Mamai Pubudu Pothai" tree planting programme.

Coral Restoration, Turtle Conservation and Mangrove Restoration under the "A Breath to the Ocean" - Oceanic Ecosystem Restoration programme.



Invest in emission management and energy management projects at the Bank's head office and branch network.

Biodiversity conservation project at Halgahawala, Opatha, Galle.

Contribution to the Wildlife and Nature Protection Society of Sri Lanka.

"Gasai Mamai Pubudu Pothai" tree planting programme.



Year-on-year reduction in paper waste attributed to increased digitalisation.



Wide range of products and services catering to a range of banking needs, also enhancing convenience at affordable prices.

Structured housing loan solutions for customers.



TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES (TCFD) REPORT

Governance

Board's oversight of climate-related risks and opportunities

The Sampath Bank Board is the ultimate authority responsible for the governance of all risks and opportunities attributed to climate change. The Board works closely with the BIRMC in establishing the policy framework and authoritative structure to enable Sampath Bank to lead by example in tackling climate change matters. To ensure climate change risks and opportunities are proactively addressed, such matters are taken up for discussion as part of the agenda for Board meetings.

Management's role in assessing and managing climate-related risks and opportunities

The Sustainability Committee led by the Managing Director operates under the delegated authority of the Board in providing oversight for all sustainability matters, including managing climate-change related risks and opportunities.

An executive level committee has been established to provide supervisory oversight for the implementation and monitoring of the Environmental and Social Risk Management System (ESMS). The Committee comprises a cross functional team of corporate and senior

management who are responsible for monitoring and implementation of the ESMS within the Bank.

The Bank's Sustainability Department which serves as the first line of defence in managing climate risk, is tasked with conducting due diligence to determine the effective application of ESMS protocols and providing advisory services to enable business units to implement continuous improvement. The Sustainability Team reports to the Sustainability Committee of the Bank.

Strategy

Actual and potential impacts of climate-related risks and opportunities on the Bank's businesses, strategy, and financial planning over the short, medium, and long term

Risks and Opportunities	Actual/Potential Impact	Short Term	Medium Term	Long Term	Action
Regulatory Requirements	Opportunity to lead by example through the early adoption of regulatory requirements	☑	☑		- Monitor changes to policies and regulations - Undertake gap analysis
Climate-related knowledge and expertise	Risk of financial loss and/or reputational damage due to incompetent management of climate risk on lending exposures	☑	☑	☑	Invest in capacity building and knowledge development initiatives for the team
Capital and Funding	Risk of increased costs of capital and/or funding for the Bank if climate change is not adequately managed		☑	☑	- Continuously enhance the Bank's management of climate change risk - Improve climate change related disclosures over time and ensure transparency in the action that the Bank is taking
Evolution in customer behaviour and preferences	Opportunity to secure first mover advantage through the launch of ground breaking new solutions		☑	☑	- Monitor customer preferences and adapt the Bank's product suite when preferences change - Support customers with climate change related products
Increased expectations from stakeholders	Risk of reputational damage through negative perceptions of shareholders	☑	☑	☑	Maintain transparent disclosure of climate change action plan
Increased frequency and intensity of acute and chronic climate-related events	Risk of unforeseen financial losses due to overdependence on certain climate-dependent sectors	☑	☑	☑	- Determine data requirements to undertake scenario analysis for physical risk - Undertake a climate risk assessment across the value chain

Impact of climate-related risks and opportunities on our businesses, strategy, and financial planning - Resilience of the Bank's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.

Since 2013, Sampath Bank has been preparing a GHG Inventory Report annually. The report is independently verified in accordance with ISO 14064-1:2018. Furthermore, climate change was determined as a material topic for Sampath Bank following a materiality assessment conducted by the Bank in 2023. The rationale for the inclusion of Climate Change as a Material Topic is described on page 57.

Risk Management

The Bank's processes for identifying and assessing climate-related risks

Sampath Bank follows a 360 degree approach to identifying risks that may present themselves to the Bank and its customers as a result of climate change. This process involves scanning the internal and external environment to determine factors that could potentially give rise to climate risks. Going forward, the Bank will consider a climate change risk specific rating for greater clarity.

Refer the Risk Management Report on pages 210 to 225 for further details.

The Bank's processes for managing climate-related risks

The Bank monitors the climate risk profile regularly and sets the foundational parameters to either avoid, mitigate or accept climate risk across various aspects of the business. The Bank applies two-fold approach to underscore the Bank's climate management strategy. On the one hand, this approach signifies the Bank's efforts to decarbonise the day-to-day operations by working towards the Net-Zero target while on the other hand, it reflects the commitment to support to the national endeavour to expand the Non-Conventional Renewable Energy (NCRE) sector on a priority basis.

The Bank applies two-fold approach to underscore the Bank's climate management strategy. On the one hand, this approach signifies the Bank's efforts to decarbonise the day-to-day operations by working towards the Net-Zero target while on the other hand, it reflects the commitment to support to the national endeavour to expand the Non-Conventional Renewable Energy (NCRE) sector on a priority basis.

Processes for identifying, assessing, and managing climate-related risks by integrating them into the Bank's overall risk management

The ESMS framework provides the foundation for integrating climate-related risks across the business. To that end, the Bank took steps to develop a robust ESMS framework in accordance with the CBSL's Sustainable Finance Roadmap, specifically related to Green Finance Taxonomy as well as the prescribed activity list issued by the Central Environmental Authority and further supported by the IFC performance standards for managing environmental and social risks. The policy, which is based on a comprehensive approach, encompasses a broad range of procedures, manuals and tools, to effectively manage the exposure to environmental and social risks associated with the Sampath Bank's day-to-day operations as well as the core lending business.

In 2023, the Bank commenced the incorporation of ESG risks to the Internal Capital Adequacy Assessment Process (ICAAP) to assess the impact of ESG risks on the Bank's capital position and plan for capital allocations under Pillar II, if needed. This was accompanied with scenario analysis and stress testing models based on identified shocks.

Metrics

Sampath Bank has undertaken to measure on an annual basis, the GHG emissions attributed to Bank-wide operations encompassing the head office and all 229 branches. This long-standing endeavour serves as the key catalysts for driving GHG reduction efforts to support the Bank's Net-Zero ambition.

Scope	GHG Emissions (tCO ₂ e) in 2023			
	Total Emissions	CO ₂	N ₂ O	CH ₄
Direct GHG Emissions (Scope 1)	937	927	9	1
Indirect GHG Emissions (Scope 2)	6,654	6,654	-	-
Other Indirect GHG Emissions (Scope 3)	2,787	2,769	13	5
Total GHG Emissions	10,378	10,350	22	6
GHG Emission per Employee	2.5			
	2023	2022	Reduction	
Total GHG Emissions (tCO ₂ e)	10,378	11,645	1,267	

Note: Figures confirmed by RR Associates (Pvt) Limited.

OUR VALUE CREATING BUSINESS MODEL

GRI 2-6

Capital

Capital Inputs

Value Creation Process



Financial Capital

- Rs 83 Bn Market Capitalisation
- Rs 148 Bn Equity Capital
- Rs 26.7 Bn Basel III Compliant Debenture Base
- Rs 1.3 Tn Deposit Base



Manufactured Capital

- Number of Branches: 229
- Number of ATMs, CDMs, CRMs and VTMs: 792
- Digital Banking Centres: 30
- eZ Banking/Mybank Agents: 1,339
- Sampath Vishwa Retail and Corporate
- Sampath WePay
- Cash Management Solutions for Corporates
- Correspondent Banks: 592
- IT Infrastructure and DR Centres



Intellectual Capital

- Brand Value: Rs 25.7 Bn as per Brand Finance Lanka
- ISO/IEC 27001: 2013 Information Security Standard Certification
- Payment Card Industry Data Security Standard (PCI DSS) Certification
- BCP Framework



Human Capital

- Competitive Remuneration
- Diverse and Inclusive Workplace
- Performance Management System
- Learning and Development Opportunities
- Health and Wellness Programmes



Social and Relationship Capital

- Product Innovation
- Supporting Customer Digital Adoption
- Complaint Management
- Customer Engagement
- "Wewata Jeewayak" Tank Restoration Programme
- "Sampath Saviya" Entrepreneurship Development Programme
- Donation of Rs 50 Mn to the "Adopt an Ambulance" Initiative by the 1990 Suwa Seriya under the "Hope for a Life" Programme
- "Corporate Leadership" Internship Programme
- Empowering Less Privileged Families and Caretakers in collaboration with UNICEF
- Local Sourcing



Natural Capital

- Environmental and Social Risk Management System (ESMS)
- Carbon Inventory Report
- Rs 32.6 Mn Invested in the Branch Solar Energy Projects
- Green Building Principles
- Environmental Pledge
- Net-Zero Commitment
- Environmental Impact Financing
- "A Breath to the Ocean" - Oceanic Ecosystem Restoration Programme
- Biodiversity Conservation Project
- "Gasai Mamai Pubudu Pothai" Programme

Purpose Statement "Empower Dreams and Enrich Lives"

Vision Statement

To be the leader in transforming lives by unlocking financial potential with innovation, integrity, and empathy, while nurturing financial well-being, sustainable growth, and economic prosperity.

VALUES AND CORPORATE CULTURE

KEY ENABLERS OF VALUE CREATION PROCESS

Business Lines

- Retail Banking
- Corporate Banking
- SME Banking
- International Trade
- Remittances
- Recoveries
- Treasury

Support Functions

- Operational Support
- Legal, Administrative and HR Support
- IT and Data Support
- Customer Care Centre
- Other Business Units

STRATEGIC THEMES

Business



People



STRATEGIC OBJECTIVES

- Competitive Positioning
- Operational Excellence
- Cost Management
- Customer Experience
- Business Resilience
- Corporate Citizenship



Technology



Sustainability



Governance Framework, Compliance and Risk Management

Opportunities



Challenges



Risk



External Environment

Outputs for Capitals



Financial Capital

- PAT: Rs 17.1 Bn
- Total Equity: Rs 148 Bn
- ROA (A/T): 1.22%
- ROE (A/T): 12.65%
- EPS: Rs 14.62

Manufactured Capital

- 1 Mn Subscribers on Sampath Vishwa Retail
- 34.3 Mn Transactions Channelled through Sampath Vishwa and Sampath WePay (2022: 28.8 Mn)
- 111,412 Transactions Channelled through eZ Banking Agents

Intellectual Capital

- National and International Accolades
 - Euromoney Awards 2023 - Best Bank in Sri Lanka
 - Infosys Finacle Innovation Awards 2023
 - Technnovation Awards 2023
 - Most Loved Banking Brand and among the Top 10 of the Most Loved Brands by LMD
 - Sri Lanka's Best Bank for CSR and Best Bank for ESG by Asiamoney
 - Runner-up in the Banking Sector at the ACCA Sustainability Reporting Awards 2023
- ZERO Non-conformities at the ISO 27001 Annual Surveillance Audit
- ZERO Cyber Attacks

Human Capital

- Profit per Employee: Rs 4.10 Mn
- Employee Retention Rate: 96%
- Employee Satisfaction Score: 85%

Social and Relationship Capital

- Customer Complaint Resolution: 100%
- Trust and Confidence of the Community
- Strong Reliable Supplier Networks

Natural Capital

- Solar Power Generation through Branch Network: 487,735 kWh
- Cost Saving through Slipless Banking and Cash Deposit Machines: Rs 535.63 Mn
- Financing to the Renewable Energy Sector: Rs 1,819 Mn
- Carbon Footprint of the Bank: 10,378 tCO₂e

Value We Create



For Employees

- Value Distributed to Employees: Rs 14,250 Mn
- Staff Promotions: 377
- Staff Retention: 96%
- Total Training Hours: 144,855
- 1:1 Equal Pay for Male and Female
- Overall Gender Ratio: 61 : 39 (Male : Female)
- Female Representation at Board Level: 25%
- Female Representation at Corporate Management Level: 23%



For Customers

- Diverse and Up-to-date Product Portfolio
- 24/7-365 day Digital Connectivity
- Island-wide Reach and Accessibility
- ZERO Incidents of Breach of Customer Privacy
- Financial Inclusion



For Regulator

- Taxes Paid: Rs 32.8 Bn
- ZERO Incidents of Non-compliance



For Local Community

- 5,316 Beneficiaries of the "Wewata Jeewayak" Programme
- 4,791 Beneficiaries of the "Sampath Saviya" Entrepreneurship Development Programme
- 975 Internship Opportunities through the "Corporate Leadership" Programme
- Around 120,000 Beneficiaries through the Collaborative Programme with UNICEF
- Strengthening Healthcare Infrastructure through the Upkeep of 10 Suwa Seriya Ambulances Across All Nine Provinces



For Investors and Shareholders

- Net Asset Value per Share: Rs 126.10
- Gross Dividend: Rs 6,860 Mn
- Dividend per Share: Rs 5.85
- Dividend Yield: 8.30%
- Interest Paid on Debentures: Rs 2.0 Bn



For Environment

- 709 Trees Saved through Slipless Banking and Cash Deposit Machines
- 8,146 Trees Planted through the "Gasai Mamai Pubudu Pothai" Programme
- Restoration of Coral Reefs in Batheegama in Dickwella and Dutch Bay in Trincomalee
- 50,457 Turtles Eggs Conserved in Rekawa through the "A Breath to the Ocean" Programme
- Restoration of Mangroves at the Anawilundawa RAMSAR Wetland Sanctuary
- Restoration of 10 Hectares of Forest Land in the Halgahawala Forest Reserve



DEFINING OUR MATERIAL TOPICS

GRI 3-1,3

Applying the Principle of Materiality

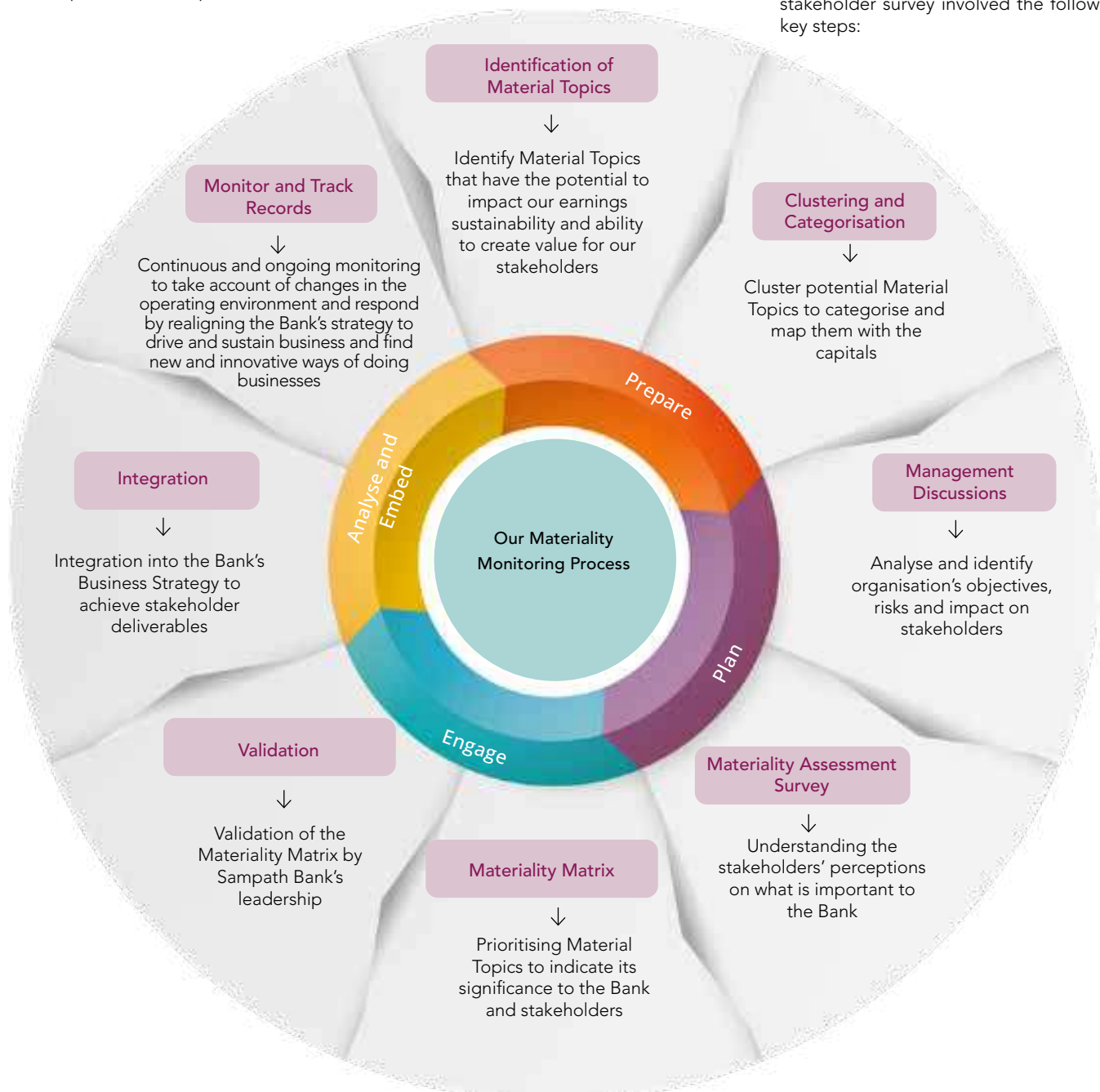
The principle of Materiality forms an integral part of the planning and decision making processes of Sampath Bank. The principle of Materiality is applied to determine the most Material Topics in connection to the Bank's internal operations, the expectations and concerns of our stakeholders. Given the dynamic nature of the environment in which Sampath Bank operates, the Bank actively monitors the internal factors and external developments on the political, economic,

social, technological, legal and environmental front with a view to identifying new and emerging topics that may become pertinent to the Bank and/or its stakeholders from time to time.

Material Topics so identified are further analysed to determine the probability of its occurrence against the magnitude of its impact, with the results of this assessment used as the basis of determining Material Topics that could inform the Bank's short, medium and long term strategy.

Stakeholder Survey and Changes to Material Topics in 2023

In 2023, a comprehensive stakeholder survey was conducted covering all key stakeholder groups, including customers, employees, shareholders, suppliers and community members. The purpose of the survey was to obtain stakeholder feedback regarding the validity of the existing 22 Material Topics as well as to identify any new topics that may have become relevant in light of the current economic/social/environmental context. The comprehensive stakeholder survey involved the following key steps:



- Stakeholder Identification: Identified and categorised key stakeholders who have an interest or impact on the Bank. This included customers, employees, shareholders, local communities, suppliers and service providers and others.
- Survey Design: Developed a comprehensive survey aimed at understanding stakeholders' concerns, expectations, and priorities related to the Bank's activities. The survey was carried out under a range of themes encompassing environmental impact, social responsibility, governance, and financial performance.
- Distribution and Data Collection: Distribution of the survey to the identified stakeholders through various channels, such as online platforms, email, or in-person interviews. Collected responses and feedback from a diverse range of stakeholders to ensure a well-rounded understanding of their perspectives.
- Analysis of Responses: Analysed the collected data to identify common themes, recurring topics, and areas of consensus among stakeholders. This analysis helped in determining which topics are considered most Material or significant by a majority of stakeholders.
- Materiality Assessment: Evaluated the significance of each identified topic by considering factors such as the frequency of mention, the level of concern expressed, and the potential impact on the Bank's performance and reputation. This assessment helped prioritise the most Material Topics.

As an outcome of the Stakeholder Survey, all 22 Material Topics were validated. However, the following should be noted;

- The Material Topic "Macroeconomic Headwinds" mentioned in the 2022 Integrated Annual Report was deemed to be relevant in 2023 as well owing to the ongoing economic crisis.
- Staff Retention emerged as a key concern in 2023 mainly as a consequence of the severe economic hardships in the Country which prompted many to seek employment overseas. However, it was felt that a separate Material Topic was not required as the matter was adequately covered under "Talent Acquisition and Management" Material Topic.
- The Material Topic "Environment Protection and Conservation" was updated as "Climate Change". This was done with a view to enable the Bank to undertake a broader range of activities to promote environmental advocacy, specifically to bring more focus in relation to climate change mitigation and adaptation, as well as to undertake green financing as a major priority.

Material Topics		Level of Materiality		Topic Boundary	GRI Relevance	Stakeholders Impacted	SDG Relevance	Linked to Strategy through
		To the Bank	To Stakeholders					
Economic Topics								
1	Profitability and financial stability	H	H	Internal/ External	201, 203, 207	All Stakeholders		Financial Capital
2	Macroeconomic headwinds	H	H	Internal/ External	n/a	All Stakeholders		All Six Capitals
3	Physical channels	H	H	Internal/ External	202	Customers, Suppliers and Service Providers, Community, Shareholders and Other Investors,		Manufactured Capital
4	Digitalisation agenda	H	H	Internal/ External	n/a	All Stakeholders		Manufactured Capital
5	Business continuity planning	H	H	Internal/ External	n/a	All Stakeholders		Intellectual Capital
6	Corporate brand image/goodwill building	H	M	Internal/ External	n/a	Customers, Suppliers and Service Providers, Community, Shareholders and Other Investors, Employees		Intellectual Capital
7	Information security	H	H	Internal/ External	418	All Stakeholders		Intellectual Capital
Social Topics								
8	Talent acquisition and management	H	M	Internal	401, 405	Employees		Human Capital
9	Learning and development	H	M	Internal	404	Employees, Customers		Human Capital
10	Employee relations	H	M	Internal	402	Employees		Human Capital
11	Employee engagement	H	M	Internal	n/a	Employees, Customers, Shareholders & Other Investors, Community		Human Capital

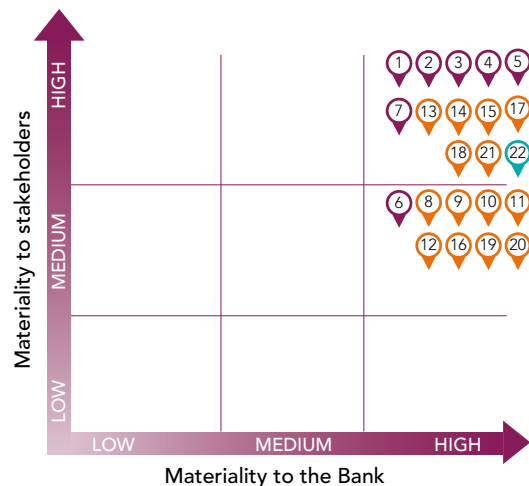
DEFINING OUR MATERIAL TOPICS

Material Topics	Level of Materiality		Topic Boundary	GRI Relevance	Stakeholders Impacted	SDG Relevance	Linked to Strategy through
	To the Bank	To Stakeholders					
12 Employee health and safety	H	M	Internal	403	Employees, Customers, Shareholders & Other Investors		Human Capital
13 Anti-corruption practices	H	H	Internal/ External	205	All Stakeholders		Human Capital
14 Customer convenience	H	H	Internal/ External	n/a	Customers, Shareholders & Other Investors		Social and Relationship Capital
15 Customer health and safety	H	H	Internal/ External	205, 416	Customers, Shareholders & Other Investors, Regulatory Bodies	 	Social and Relationship Capital
16 Sales promotions, marketing communication and information availability on Bank's products and services	H	M	Internal/ External	417	All Stakeholders	 	Social and Relationship Capital
17 Customer privacy	H	H	Internal/ External	418	Customers, Regulatory Bodies	 	Social and Relationship Capital
18 Complaint management	H	H	Internal/ External	418	Customers		Social and Relationship Capital
19 Research and development	H	M	Internal/ External	n/a	Employees, Customers, Community, Suppliers and Service Providers, Shareholders & Other Investors	 	Social and Relationship Capital
20 Financial inclusion agenda	H	M	Internal/ External	n/a	All Stakeholders	 	Social and Relationship Capital
21 Community development	H	H	Internal/ External	413	Community	 	Social and Relationship Capital
Environmental Topics							
22 Climate Change	H	H	Internal/ External	302, 305	All Stakeholders	 	Natural Capital

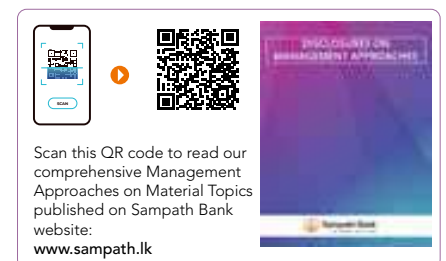
H High M Medium

Materiality Matrix

The Materiality Matrix provides a visual display of all Material Topics based on the importance to stakeholders in relation to their needs and expectations and the significance to the Bank vis-à-vis the ability to create and preserve value over the short, medium and long term. The Materiality Matrix illustrates the 22 Material Topics identified in this manner.



Economic
 Social
 Environment



CONNECTING WITH OUR STAKEHOLDERS

GRI 2-29

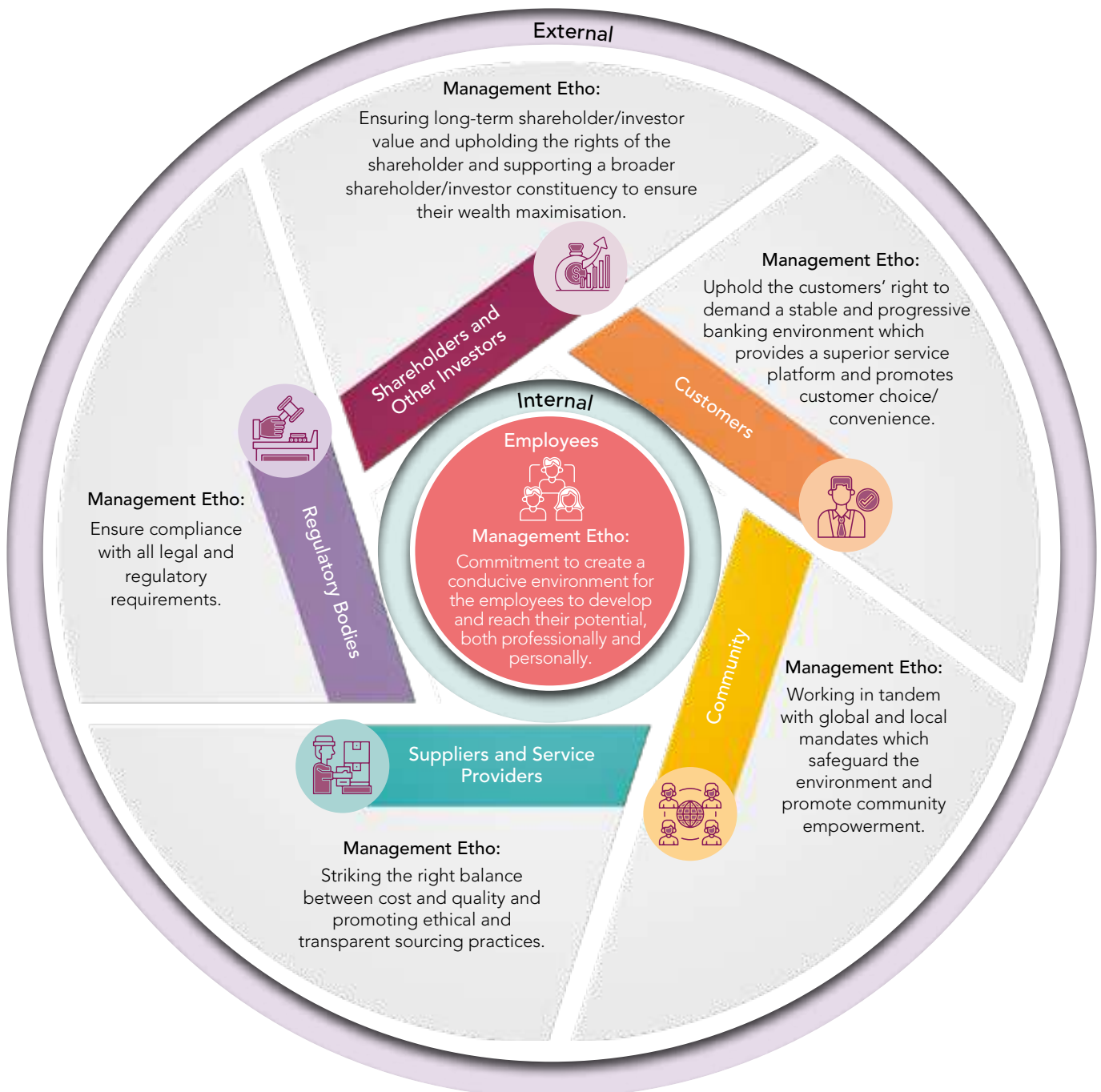
Our Approach to Stakeholder Engagement

Sampath Bank places high value on stakeholder engagement as an integral part of promoting and maintaining a positive image and safeguarding the reputation of the Bank. In this context, the

Bank believes that the support of stakeholders is vital in fulfilling its purpose as a commercial bank. The Bank understands that connecting with stakeholders to learn about their perspectives helps to develop a broader understanding of the risks and opportunities that can influence value creation or cause value erosion.

In this way, the stakeholder engagement enables the Bank to gather invaluable insights for the strategic planning process, drive innovation and better adapt to meet the evolving challenges.

Our Stakeholders and Management Ethos



CONNECTING WITH OUR STAKEHOLDERS

Stakeholder Engagement Process and Communications

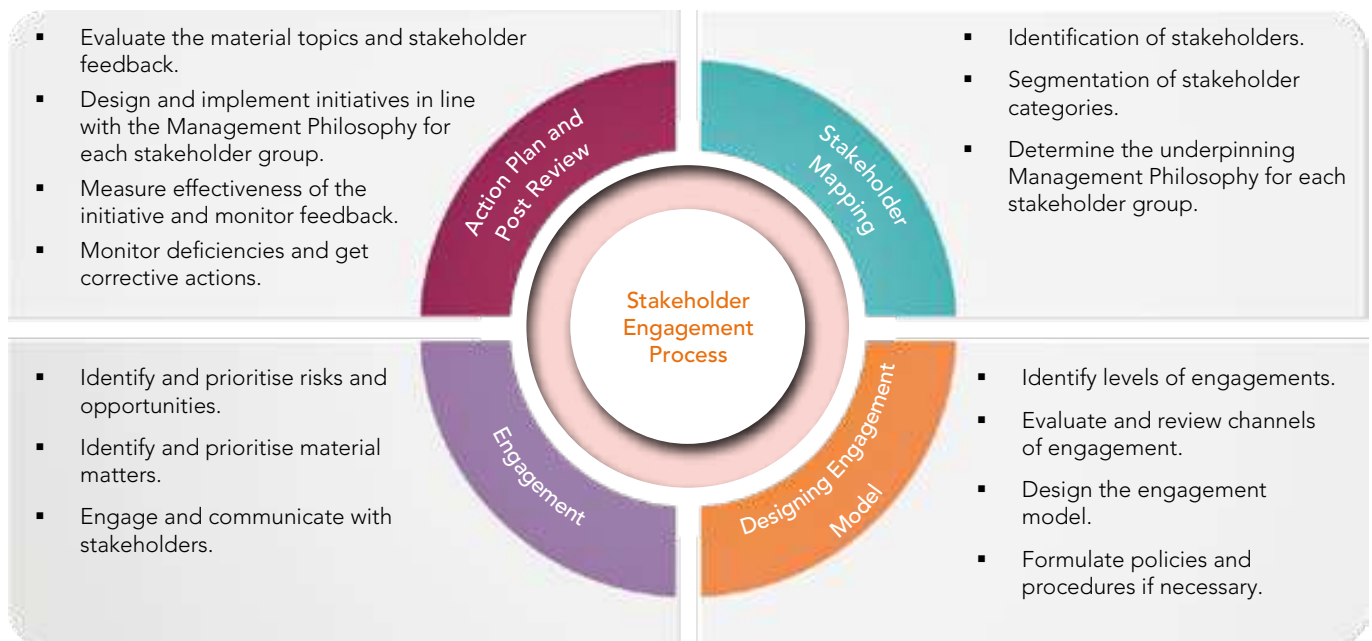
Sampath Bank remains fundamentally committed to ensure stakeholder engagement promotes two-way communication based on the underlying principles of clarity, transparency, openness and responsiveness. To that end, a 4-step stakeholder engagement model is in place to support continuous and ongoing communication with all stakeholder groups.

Step 1 - Stakeholder mapping forms the nexus of the stakeholder engagement process, wherein identified stakeholders are mapped to the Influence/Interest Grid according to the level of influence they exert over the Bank as well as the degree of interest they have in the Bank's performance and progress.

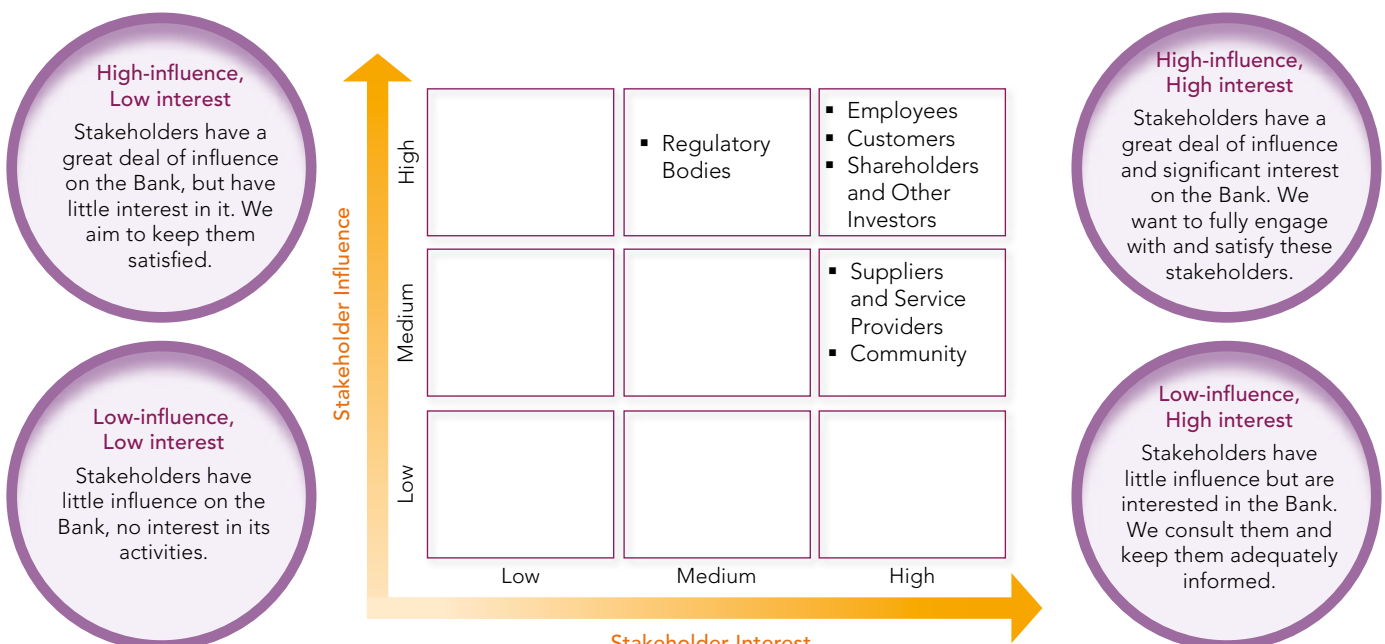
Step 2 - Requires developing appropriate engagement strategies for each stakeholder category based on the outcomes of the Influence/Interest Grid.

Step 3 - Involves actual implementation of the various different engagement strategies to give stakeholders the opportunity to raise concerns, voice their opinions and provide feedback regarding matters of importance to them.

Step 4 - Disseminating stakeholder feedback for the purpose of informing strategy. This step also involves reviewing various engagement methodologies to determine their effectiveness in achieving stated objectives.



Stakeholders' Influence and Interest



Stakeholder Engagement Mechanism

Shareholders and Other Investors

Value Distributed to Shareholders and Other Investors

Market Capitalisation

Rs 83 Bn

Return on Equity (A/T)

12.65%

Earnings per Share

Rs 14.62

Gross Dividend

Rs 6,860 Mn

Our Strategic Response to the Stakeholders

- Maintaining a consistent bottom line
- Ensuring a sustainable return on investment
- Engaging in greater transparency in line with the Corporate Governance Codes
- Maintaining the Bank's reputation and credibility
- Safeguarding asset quality

Specific Stakeholder Priorities for 2023

- Credit strategy in light of the prolonged economic downturn
- Asset quality management programme
- Long term balance sheet health
- Managing the Net Interest Margin (NIM) despite the reduction in interest rates

SDGs



Priorities/Expectations Relevant to the Stakeholder

Engagement Mechanism

Engagement Frequency

Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
----------	-----------	--------------	-----------	-----------------	----------------------

- Shareholder engagement with the Board
- Shareholder views on key governance and policy matters
- Development of shareholder communication channels
- Return on equity and interest gains
- Strategy and business continuity
- Financial performance

Shareholder relations forums

✓

General meetings

✓

✓

Annual Report

✓

Interim Financial Statements

✓

Disclosures and announcements to the CSE

✓

Corporate website

✓

General correspondence

✓

CSR projects

✓

Our Response



Financial Capital



→ Pages 76 to 82



Social and Relationship Capital



→ Pages 103 to 119

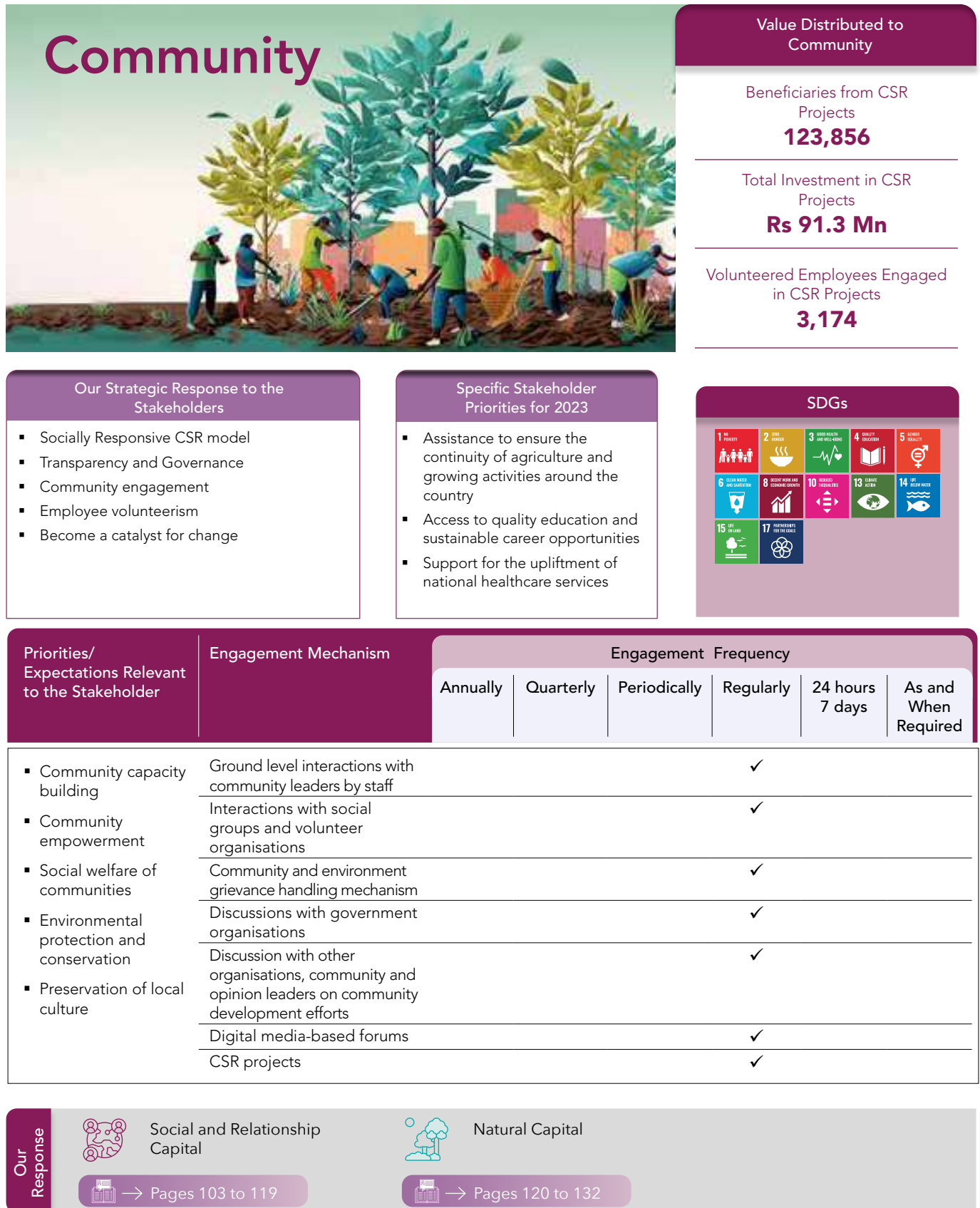


Intellectual Capital



→ Pages 88 to 91

CONNECTING WITH OUR STAKEHOLDERS



Customers

Value Distributed to Customers

Loyalty Points Offered for Sampath Credit Cardholders

Rs 370 Mn

Launching New Products and Services

"Sanhinda Saver" Medical Benefits Provided

Rs 156 Mn

"Sampath Saviya" Entrepreneurship Development Programme

eZ Banking/Mybank Agents

1,339

SDGs



Our Strategic Response to the Stakeholders

- Effective complaint resolution
- Maintain service excellence
- Deliver technology-driven banking solutions
- Continuous introduction of innovative products which promote greater customer convenience
- Effective marketing and communication
- Maintaining data security and customer privacy
- Promoting island-wide customer inclusiveness
- Better market share

Specific Stakeholder Priorities for 2023

- Availability of digital solutions for convenient account opening
- Reduction in wait times at branches
- Specialised advisory services to improve access to export markets

Priorities/ Expectations Relevant to the Stakeholder

Engagement Mechanism

Engagement Frequency

Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
----------	-----------	--------------	-----------	-----------------	----------------------

Customer service	One-on-one feedback from customers who visit the Bank				✓
Customer security	Customer surveys conducted via traditional or non-traditional research techniques		✓		
Satisfaction on existing products	Social media interactions			✓	
Brand perception and reputation	Customer complaint handling mechanism			✓	
Customer convenience	ATL (Above the Line), BTL (Below the Line) and digital communications		✓		
Need for innovations and customised solutions	Correspondence		✓		
Communication methods	SMS Alerts			✓	
Special promotions	Corporate website			✓	
Timely and relevant information on products and services	Sampath Vishwa (internet banking) portal			✓	
Customer touch-points	Customer Care Centre			✓	
Customer benefits and rewards	CSR projects		✓		
Loyalty recognition	Feedback forms - paper based/electronic mediums		✓		

Our Response



Social and Relationship Capital



→ Pages 103 to 119



Manufactured Capital



→ Pages 83 to 87



Intellectual Capital



→ Pages 88 to 91

CONNECTING WITH OUR STAKEHOLDERS

Regulatory Bodies



Value Distributed to the Government

Taxes Paid
Rs 32.8 Bn

Economic Value Creation

Promote Green Financing

Promoting Inward Remittances

Supporting SME Sector Growth

Our Strategic Response to the Stakeholders

- Compliance with regulations
- Rectification actions on supervisory concerns
- On-time submission of statutory returns and statutory payments
- Response and contribution at meetings/forums and to initiatives of the regulators
- Micro, small and medium entrepreneurs lending and entrepreneurship development
- Supporting the non-conventional renewable energy sector
- Support to maintain stability in money and foreign exchange markets
- Help investors to make better investment decisions

Specific Stakeholder Priorities for 2023

- Support for the expansion of the Sri Lanka's digital banking infrastructure
- Increase inward remittance flows to the country
- Contribution towards safeguarding the integrity of the country's financial system

SDGs



Priorities/Expectations Relevant to the Stakeholder

Engagement Mechanism

Engagement Frequency

Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
----------	-----------	--------------	-----------	-----------------	----------------------

- Proper and prompt action on regulatory requirements introduced from time to time - Formulate the Bank's policies in line with the broad objectives of the Central Bank of Sri Lanka and Monetary Board	Policy directives/circulars, guidelines and operating instructions				✓	
	Meetings and forums		✓			
	Press releases			✓		
	Periodic and one-off returns		✓			✓
	On-site and off-site supervision		✓			✓
	Training programmes			✓		

Our Response



Financial Capital



→ Pages 76 to 82



Social and Relationship Capital



→ Pages 103 to 119

Employees



Value Distributed to Employees

Value Distributed to Employees

Rs 14 Bn

Internal Staff Promotions

377

Total Training Hours

144,855

Investment in Training and Professional Studies

Rs 98 Mn

All Employees Granted a Salary Increment in 2023

10.5%

Employee Retention Rate

96%

SDGs



Our Strategic Response to the Stakeholders

- Competitive rewards and benefits to attract and retain best talent in the market
- Promote greater diversity and inclusion
- Develop from within through training and development
- Encourage greater engagement
- Performance-based incentives
- Effective handling of grievances
- Maintain high standards of occupational health and safety
- Ensure employees' welfare
- Foster a sense of belongingness

Specific Stakeholder Priorities for 2023

- Remuneration and benefits amidst lower disposable incomes owing to rising costs and higher taxes
- Long term career growth prospects
- Educational support schemes

Priorities/ Expectations Relevant to the Stakeholder

Engagement Mechanism

Engagement Frequency

Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
----------	-----------	--------------	-----------	-----------------	----------------------

- Ethical employment practices
- Career development opportunities
- Employee communication and feedback
- Rewards/recognition
- Employee well-being
- Work-life balance

Open-door policy

✓

Employee forums

✓

Employee suggestion schemes

✓

Grievance-handling procedure

✓

Employee social committees

✓

Feedback forms

✓

Business unit level meetings

✓

Intranet

✓

Memorandums/Directives

✓

Newsletters

✓

Training

✓

Get-togethers/Events

✓

HR Hotline

✓

CSR projects

✓

Online groups

✓

Our Response



Social and Relationship Capital



→ Pages 103 to 119



Human Capital



→ Pages 92 to 102

CONNECTING WITH OUR STAKEHOLDERS



Suppliers and Service Providers

Value Distributed to Suppliers and Service Providers

Number of Suppliers

716

Supplier Development Programmes

Timely Payments

Our Strategic Response to the Stakeholders

- Engaging in fair and equitable procurement
- Supplier risk assessment mechanism
- Contractual agreements to promote sustainable procurement
- Local sourcing
- Registration of multiple suppliers and service providers as a BCP measure
- Maintenance of suppliers and service providers register
- Developing SME entrepreneurs whilst purchasing goods which meet the Bank's standards at a reasonable cost thus enjoying a win-win situation for both the Bank and the supplier

Specific Stakeholder Priorities for 2023

- Timely receipt of dues
- Opportunities for long term service contracts
- Introduction of robust Supply Rating Scheme
- On-site advisory service for suppliers by the Bank's Environmentalist

SDGs



Priorities/ Expectations Relevant to the Stakeholder

Engagement Mechanism

Engagement Frequency

Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
----------	-----------	--------------	-----------	-----------------	----------------------

▪ Developing strategic partnerships ▪ Promoting transparent and ethically responsible business practices ▪ Continuous communication with suppliers and service providers ▪ Regular reviews on quality of goods and services	Interactions through the purchasing policy				✓	
	Feedback evaluations					✓
	Meetings					✓
	Visits to supplier workshops/offices			✓		
	Written communications (letters and e-mails)			✓		
	Reviews and assessments			✓		

Our Response



Social and Relationship Capital



→ Pages 103 to 119

Memberships of Associations

Sampath Bank PLC was affiliated with various industry-based associations and national as well as international advocacy organisations. This association aimed to foster enduring relationships with stakeholders and actively contribute to the advancement of both the industry and the nation.

Name of the Association	Membership Status
The American Chamber of Commerce in Sri Lanka	Member
Association of Compliance Officers of Banks, Sri Lanka	Member
Association of Primary Dealers (APD)	Member
Clearing Association of Bankers	Member
Exporters' Association of Sri Lanka	Executive Committee Member
International Chamber of Commerce - ICC Sri Lanka	Member
Italian Business Council	Member
LankaPay (Pvt) Limited	Member
Lanka Financial Services Bureau (LFSB)	Member
Lanka SWIFT User Group (LSUG)	Member
Leasing Council of Bankers of Sri Lanka	Member
National Chamber of Exporters of Sri Lanka	Member
Payment Card Industry Association of Sri Lanka	Member
Society for Worldwide Interbank Financial Telecommunication (SWIFT)	Member
Sri Lanka Bank's Association (Guarantee) Limited	Member
Biodiversity Sri Lanka	Patron Member
Sri Lanka Forex Association (SLFA)	Member
The Association of Banking Sector Risk Professionals - Sri Lanka	Member
The Ceylon Chamber of Commerce	Patron Member
The Employers' Federation of Ceylon	Member
The Financial Ombudsman Sri Lanka (Guarantee) Limited	Member
The National Chamber of Commerce of Sri Lanka	Member
United Nations Global Compact	Participating Company
Council for Business with Britain	Member
Sri Lanka – USA Business Council	Executive Committee Member
Sri Lanka – Germany Business Council	Member
Sri Lanka – China Business Council	Member
Sri Lanka – Japan Business Council	Member
Sri Lanka – Canada Business Council	Member
Indo-Lanka Chamber of Commerce and Industry	Member

OUR SUSTAINABILITY JOURNEY



Expanded the "Sampath Saviya" Entrepreneurship Development Programme to help businesses affected by the pandemic induced economic slowdown, to strengthen their resilience against unforeseen externalities.

2020

Commissioned the National Cleaner Production Centre of Sri Lanka (NCPC, Sri Lanka) to conduct an Eco Office Audit and Waste Audit at the Head Office.

Obtained independent verification to reaffirm that the 2022 GHG Inventory Report is in alignment with ISO 14064-1:2018.

Launched "A Breath to the Ocean" Oceanic Ecosystem Restoration Programme covering the three pillars of coral replanting, mangrove restoration and turtle conservation.

Gold recipient of "CSR Brand of the Year" organised by Sri Lanka Institute of Marketing.

Recognised as the "Market Leader - CSR, Sri Lanka" by the Euromoney Magazine 2022 and as the "Best Bank for CSR, Sri Lanka" by Asiamoney Magazine 2022.

2022

Appointed a professional consultancy firm to strengthen the ESMS and suggest improvements in line with the Green Financing Taxonomy and IFC Performance Standards.

Obtained SLSAE-3000 based Integrated Reporting Assurance Statement.

2023

Launched the Turtle Conservation Project at Rekawa, Tangalle under the "A Breath to the Ocean" Oceanic Ecosystem Restoration programme.

Strengthened the Environmental and Social Risk Management System with expert knowledge of an external consultancy firm.

Awarded the "Best Bank in Sri Lanka for CSR, 2023" and the "Best Bank in Sri Lanka for ESG, 2023" by the world renowned Asiamoney Magazine.

Signed off as a participatory organisation to the United Nations Global Compact (UNGC).

Voluntary compliance with TCFD (Task Force on Climate-related Financial Disclosures) guidelines in the Annual Report for the financial year 2023.

Undertook to restore 5 tanks under the "Wewata Jeewayak" programme signifying the highest ever undertaking during a year.

Adjudged as the Runner-up in the Banking Category of ACCA Sri Lanka Sustainability Reporting Awards 2023.

2019

The Bank was awarded the 'Carbon Neutral Certification' by Climate Smart Initiatives (Pvt) Limited (ClimateSI), declaring Bank's Head Office as 'Carbon Free' for the year 2018.

Conducted a series of special entrepreneurship development workshops for pensioners.

Collaborated with the Provincial Department of Agriculture - North Western Province to facilitate the "Wayamba Isuru" organic farmers market.

Special recognition by the Small Hydro Power Developers Association for the support extended towards sustainable development and energy security of Sri Lanka.

2021

Appointed the ESMS Implementation Committee to strengthen the Environmental and Social Risk Management System (ESMS).

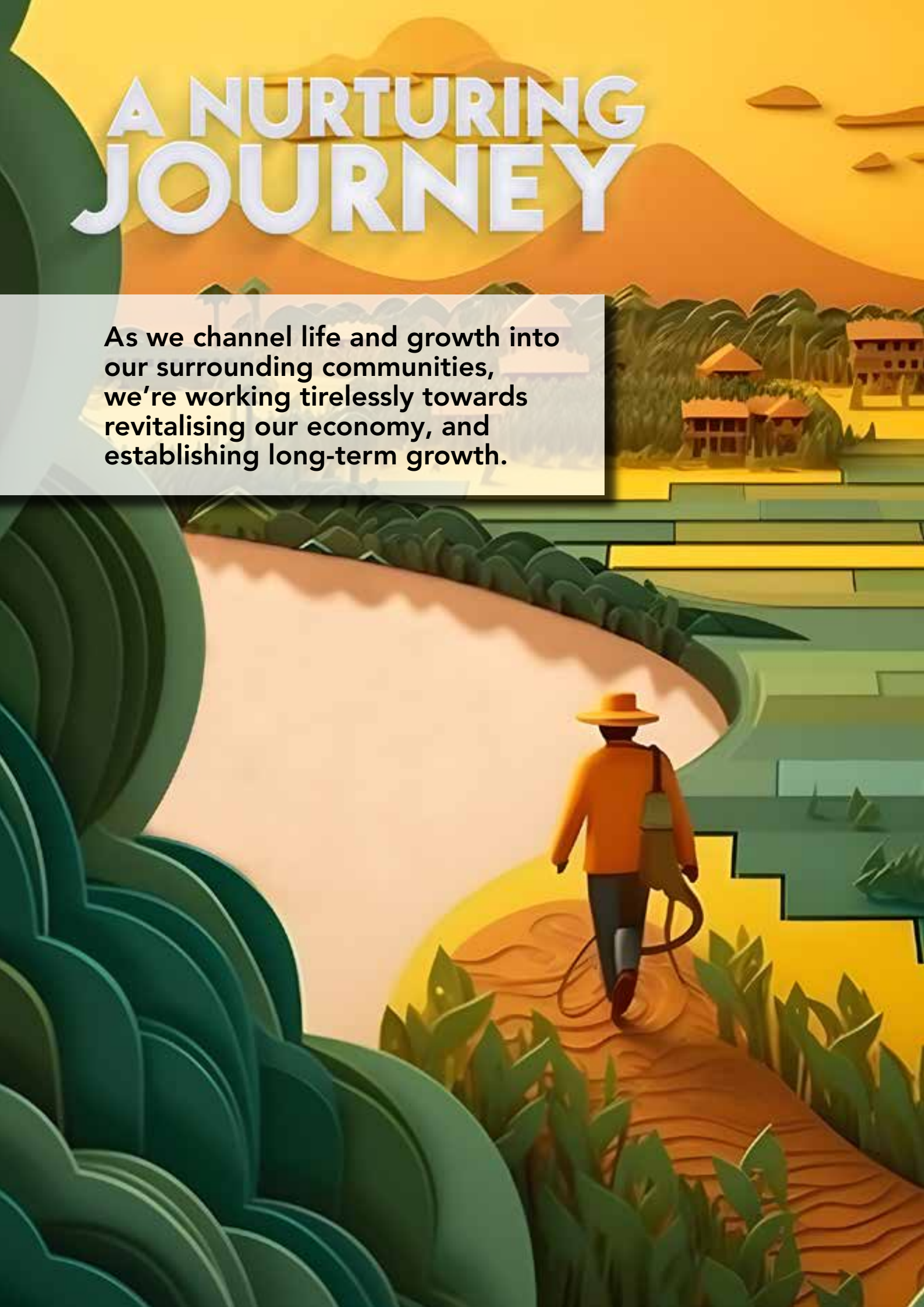
Structured and invested in a 'Deep Discounted Bond' issued by LVL Energy Fund PLC, which is thought to be the first of its kind for a listed corporate in the energy sector.

Launched "Gasai Mamai Pubudu Pothai" Tree Planting Programme for school children.

Expanded the investment on "Wewata Jeewayak" Tank Restoration Programme by restoring three tanks in Anuradhapura, Puttalam and Kurunegala districts.

A NURTURING JOURNEY

As we channel life and growth into our surrounding communities, we're working tirelessly towards revitalising our economy, and establishing long-term growth.





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OPERATING ENVIRONMENT

Global Economic Update

Global economic activity continued to soften in 2023. Amid the effects of tight monetary policies, restrictive financial conditions, and weak global trade, global growth is estimated to have weakened to 2.6% in 2023, marking the second consecutive year of deceleration.

Global trade was virtually flat in 2023, growing by an estimated 0.2% - the slowest expansion outside global recessions in the past 50 years. This comes while the world economy is continuing to cope with the lingering effects of the overlapping shocks of the past four years, including from the COVID-19 pandemic, the Russian-Ukraine conflict, and the rise in inflation and subsequent sharp tightening of global monetary conditions. The recent conflict in the Middle East which has heightened geopolitical risks and raised uncertainty in commodity markets, also contributed to the slowdown in global trade growth in the latter part of the year.

Aggregate growth in advanced economies moderated in 2023, but at a slightly less intensity than previously expected, largely as a result of the resilient performance of the US economy, where consumer spending, in particular, remained robust and fiscal policy was expansionary. In the Euro area, growth slowed sharply in 2023, to an estimated 0.4%, as high energy prices, largely related to Russian-Ukraine conflict, weighed on household spending and firms' activity, particularly in manufacturing.

Emerging Market and Developing Economy (EMDE) growth is estimated to have picked up to 4.0% in 2023. However, EMDE growth excluding China, indicates a deceleration to 3.2% reflecting the impact of subdued demand for goods in advanced economies leading to weaker exports from EMDEs.

Outlook and Prospects for the Global Economy

Forecasts for the global economy imply that most economies - advanced as well as developing, are set to grow more slowly in 2024 and 2025 than they did in the decade before COVID-19. Global growth is expected to slow for a third year in a row to 2.4% in 2024 reflecting the lagged and ongoing effects of tight monetary policies to rein in decades-high inflation, restrictive credit conditions, and anemic global trade and investment. Growth rates in advanced economies as a whole and in China are projected to slow in 2024 to well below their 2010-19 average. Although growth is forecasted to firm slightly in many EMDEs, it too will remain below pre-pandemic average rates in countries with weak credit ratings.

While global growth is expected to show a modest improvement to 2.7% in 2025, it appears unlikely that neither advanced economies nor developing economies will be able to reach the level of robust growth seen during the decade preceding the pandemic.

Sri Lankan Economy

While economic activity in Sri Lanka remained subdued in the first half of the year, key indicators suggest a turnaround towards the latter part of the year with the economy showing an expansion in Q3 2023 for the first time after six consecutive quarters of contraction. Q3 figures indicate that all sectors of the economy appeared to be on the rebound.

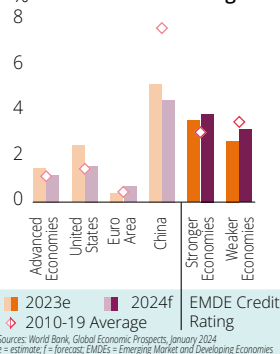
In yet another positive, headline inflation declined sharply from its peak of 69.8% in September 2022 to 1.3% in September 2023. The rapid deceleration was attributed to the combined impact of restrictive monetary policy, strong base effects and subdued domestic demand along with the appreciation of the Rupee between December 2022 and September 2023. However, the upward revision in electricity tariffs in October along with the buildup of general price hikes saw inflation climbing to around 4.0% by end-2023.

The Rupee, after depreciating drastically against the USD in 2022, regained a greater degree of stability during the year to record a 11.4% appreciation against the USD by end-2023.

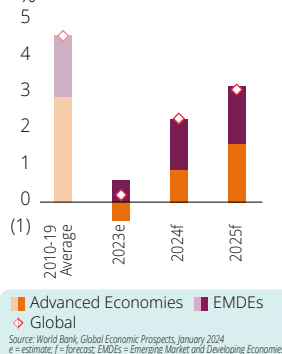
The external sector strengthened amidst lower imports and a robust increase in inward remittances together resulting in a current account surplus of around USD 1 Bn in the first half of the year. Despite strong import growth following the relaxation of import restrictions in the second half of 2023, the current account remained in surplus position by end-2023 thanks to robust tourism earnings and higher remittances inflows from mid-2023 onwards.

Key Statistics

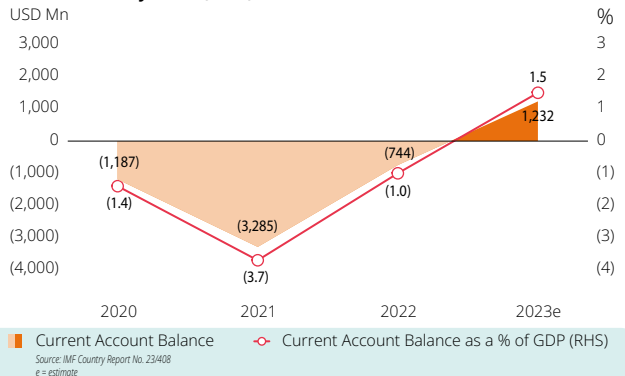
Growth by Economy and EMDE Credit Rating



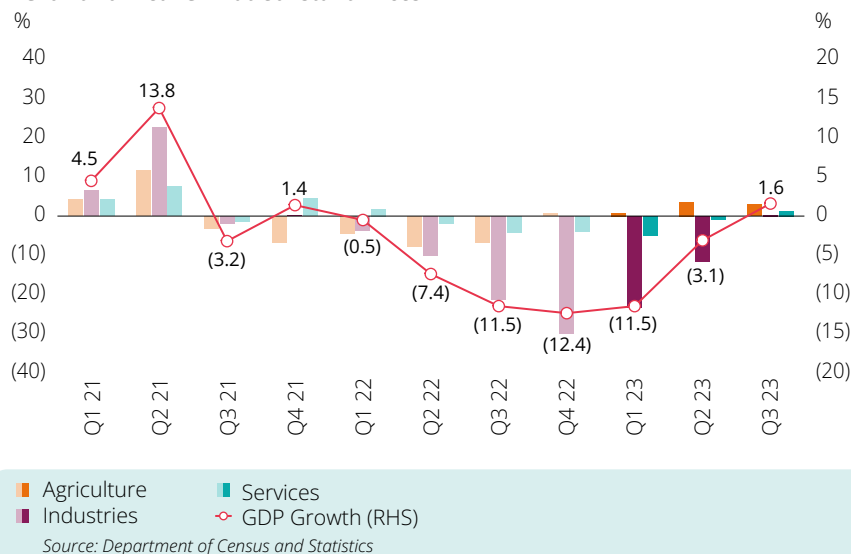
Contribution to Global Trade Growth



Balance of Payment (BOP)



Growth of Real GDP at Constant Prices



acceleration in headline inflation is predicted, driven by the VAT changes introduced with effect from 1st January 2024. Therefore, going forward, the Government's monetary policy stance needs to be carefully calibrated to strike the right balance between maintaining a credible inflation path close to the target while supporting economic stabilisation.

Banking Sector Overview

Despite signs of economic revival, private credit expansion in the banking sector moderated further in 2023 prompting Bank's to focus on the government securities market and fee-based income sources instead.

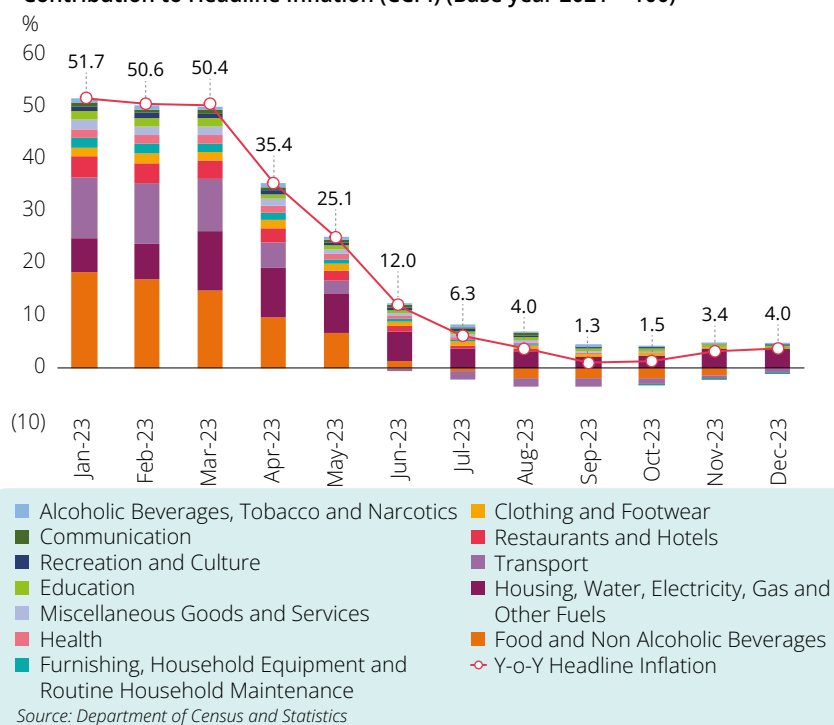
Asset Base

The banking sector Asset Base expanded from Rs 19.4 Tn in 2022 to Rs 20.4 Tn as at end-2023, reflecting an improvement of 5.1% year-on-year bolstered by investments in short term financial instruments.

Asset Quality

The deterioration of banking sector Asset Quality moderated in 2023 with Stage 3 loans at Rs 1,387 Bn as at 31st December 2023, compared to the Rs 1,283 Bn registered at the end-2022. On this basis, Stage 3 loans to total loans ratio stood at 12.8% for 2023 compared to 11.3% in 2022.

Contribution to Headline Inflation (CCPI) (Base year 2021 = 100)

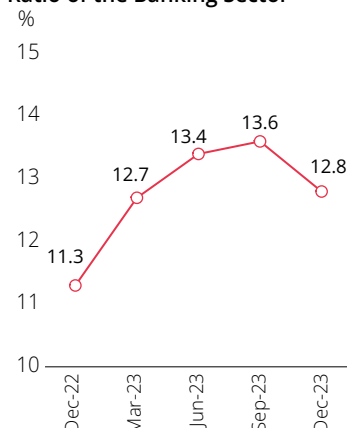


A notable development in the year 2023 was the widespread tax reforms introduced as part of the IMF reform programme. Steps taken in this regard saw authorities moving to implement the Fiscal Affairs Department (FAD) recommendations to revamp tax administration and drive the overall tax collection efforts. Consequently, the government tax revenue for 2023 is expected to have increased to 9.2% of GDP.

Outlook and Prospects for the Sri Lankan Economy

The Sri Lankan economy is expected to stabilise in 2024 with GDP growth projected to pick up to 1.8% in 2024, supported by accommodative monetary conditions and the relaxation of import restrictions. However, a near term

Stage 3 Loans to Total Loans Ratio of the Banking Sector



Source: Bank Supervision Department
-Central Bank of Sri Lanka

OPERATING ENVIRONMENT

Funding

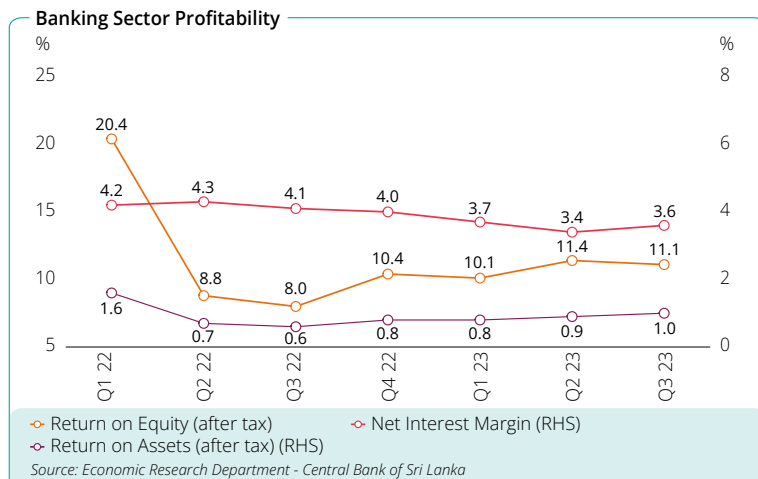
Deposit mobilisation activities remained the primary source of funding for the banking sector in 2023. Given the high interest rates in the first half of the year, the sector's deposit base, especially time deposits grew rapidly, before slowing down in the second half of the year amidst the declining rate trend. Overall, the sector deposit base registered a growth of 8.7% year-on-year.

Capital and Liquidity

The banking sector as a whole continued to maintain stable capital and liquidity levels well above the regulatory minimum requirements throughout the year. Tier I Capital Adequacy Ratio (CAR) and Total Capital Ratio of the sector were at 13.5% and 16.4% respectively as at 30th September 2023, both well above the regulatory requirements.

Profitability

Banking sector profitability improved substantially in 2023 on the back of lower impairment charges recorded in the current year. The sector profits surged to Rs 189 Bn in 2023, denoting a 22.7% increase over profits of Rs 154 Bn tabled in 2022.



PESTEL

Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Political instability	High	High	- Uncertainty surrounding elections. - Possible stability post-elections.
Policy uncertainty	High	High	

Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Impact on GDP growth owing to weak economic conditions	High	High	- Strengthening of economic fundamentals under the IMF-led policy reform programme. - Adverse impact from continuing global economic recession.
Impact on the Sri Lanka's sovereign rating owing to fiscal and Balance of Payment (BOP) challenges	High	High	
Impact on export demand resulting from recessionary conditions in advanced economies	High	High	

Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Social unrest	High	High	- Further intensifying of social pressures amidst higher tax burden. - Demand for stronger social welfare and support programmes.
Increase in poverty levels due to lower disposable incomes	High	High	
Food security issues and risk of malnutrition due to the contraction in agriculture sector	High	High	

Political



Economic



Social



Outlook and Prospects for the Banking Sector

The year 2024 is expected to produce a more conducive environment that will provide the impetus for growth and stability of the banking sector. In this regard, broad-based policy measures are due to be implemented under the stewardship of the CBSL, with a view to improving the financial and operational resilience of the banking sector. In particular, the legal and regulatory framework of licensed banks would be further strengthened through the proposed amendments to the Banking Act which is expected to be passed in Parliament in early 2024.

Amidst this backdrop, the CBSL is also likely to step up efforts to facilitate market driven consolidation by enabling small and mid-sized banks to acquire or merge with suitable financial institutions to create synergies relating to scale, efficiency, and financial strength, ultimately leading to stronger banks that contribute towards safeguarding the overall stability and long term resilience of the country's financial system.

Sources:

Global Economic Prospects - January 2024 (World Bank publication).

IMF Country Report No. 23/408.

Recent Economic Developments December 2023 by CBSL.

Banking Sector Developments December 2023 by CBSL.

Statement on Monetary and Financial Sector Policies for 2024 and Beyond by CBSL.

Analysis 2023

Technology



Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Mobile banking penetration	High	High	▪ Rapid advancement in technology, especially financial technology.
Internet banking penetration	High	High	
Global trend towards QR-based payments	Low	High	▪ Migration to a cashless society.
Promotion of cashless transactions by CBSL	Moderate	High	

Environmental



Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Heightened concerns on ESG practices	High	High	▪ New and emerging concerns relating to the impact from climate change.
Impact of climate change on businesses	High	High	
Green finance opportunities	Moderate	High	

Legal



Key Factors	Impact on Sri Lanka's GDP	Impact on the Banking Sector	Future Projections
Ad-hoc changes to the legal structures	High	High	▪ Likelihood of new laws being implemented under a new regime.
Restrictions on imports	High	High	
Tax reforms	High	High	▪ New regulatory requirements for banks by the CBSL.
			▪ Continuity of the ongoing tax reform programme.





FINANCIAL CAPITAL

GRI 3-3



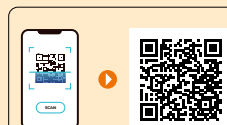
Financial Capital provides the foundation for the Bank to achieve the Bank's purpose and vision.

Management Approach

Sampath Bank's approach to managing Financial Capital is framed around building financial resilience to create a platform to achieve the Bank's short, medium and long term strategy.

MATERIAL TOPICS

- Profitability and Financial Stability
- Macroeconomic Headwinds



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website:
www.sampath.lk

Focus for FY 2023

- Stringent management of asset and liability portfolios
- Prudential impairment provisioning
- Managing cost of funds
- Capital planning and liquidity management

Outcomes

Rs 17.1 Bn
PAT

12.65%
ROE (A/T)

Rs 25.6 Bn
Total Comprehensive
Income

Rs 29.8 Bn
PBT

1.22%
ROA (A/T)

Rs 14.62
EPS

FUTURE PLANS

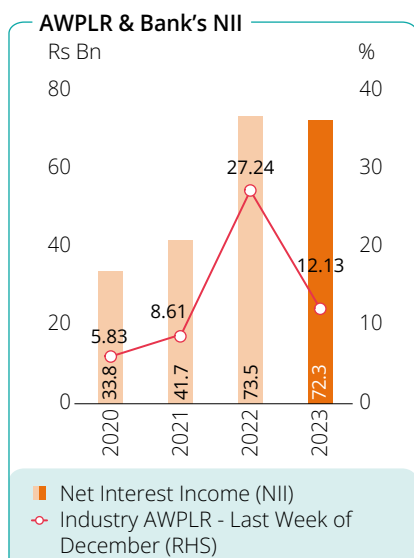
- Strategically diversify the lending approach to boost interest income and strengthen the asset base.
- Minimise the maturity mismatches between assets and liabilities to optimise liquidity and control cost of funds.
- Stringent cost containment measures including process automation to reduce operating expenses.
- Review the impairment provisioning requirements more frequently, to make necessary adjustments to safeguard quality of the advance portfolio as needed.
- Work towards early adoption of the IFRS S1 and S2 disclosure requirements for sustainability-related risks and opportunities.

Analysis of the Statement of Profit or Loss

Gross Income

Net Interest Income (NII)

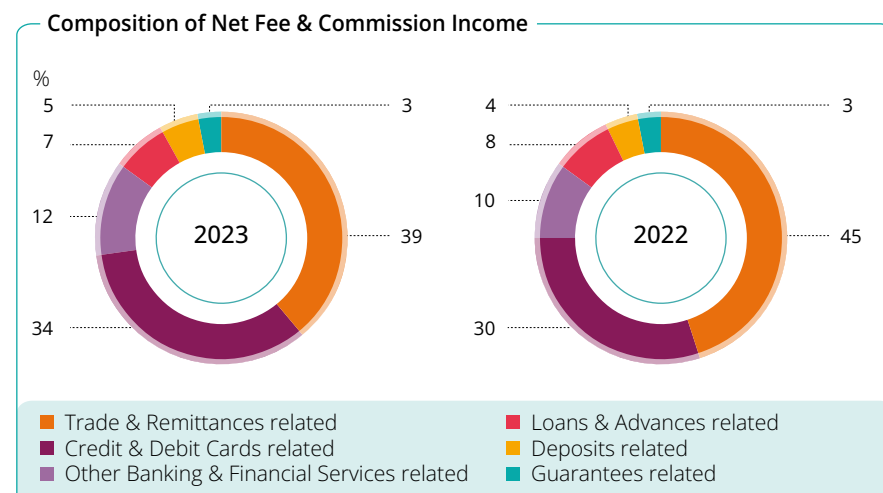
The Net Interest Income (NII) for the year amounted to Rs 72.3 Bn, indicating a marginal 1.6% decline year-on-year, primarily due to the increase in interest expenses for FY 2023 surpassing the increase in interest income. Interest income increased by Rs 45.8 Bn in the year under review, marking a 29.1% improvement compared to the previous financial year, while interest expenses surged by 55.9% year-on-year reaching Rs 131.2 Bn. Despite this significant disparity, timely re-pricing strategies, coupled with stringent management of both asset and liability portfolios amidst the backdrop of the declining AWPLR, helped contain the impact on the Bank's NII, ensuring only a marginal drop. The Net Interest Margin (NIM) for the year was 5.16%, compared to 5.66% reported in the previous year.



Net Fee and Commission Income

Net fee and commission income decreased by 2.9% compared to the previous year due to lower income from credit and trade related activities. Fees earned from credit declined due to lower demand from the market, while the contraction in trade-related income is attributed to the combined impact of the downward revision of commission rates applied to import-related transactions as well as the appreciation of LKR against the USD.

Meanwhile, fees generated through cards, electronic channels and remittance related activities recorded strong growth compared to the previous year. It should be noted, however, that despite recording a decline in 2023, fees from trade-related activities remained the largest contributor to net fee and commission income, followed by cards.



Net Trading and Other Income

The Bank registered capital gains of Rs 591.7 Mn in the year under review, reflecting a 9.2% increase over the previous year from the sale of Treasury bills and Treasury bonds. The Bank reported a Net Other Operating Loss of Rs 1.6 Bn in 2023, contrasting with a gain of Rs 19.7 Bn reported in 2022. This change was mainly attributed to the Rs 2.4 Bn exchange loss resulting from the appreciation of the LKR against the USD by 11% (2022: depreciated by 82%). This was, however, offset to some extent by the net trading gain of Rs 0.8 Bn for 2023.

Total Operating Income

Total Operating Income of Rs 91.0 Bn registered a 18.0% decline compared to the previous year, mainly as a consequence of the lower Net Interest Income and reduced exchange related income owing to the aforementioned reasons.

Impairment Charge

The Bank continued with its prudent provisioning policy and posted a total impairment charge of Rs 20.1 Bn for the current financial year. Impairment charges for the current year include Rs 18.1 Bn related to loans and advances (2022: Rs 54.3 Bn) and Rs 1.8 Bn attributed to other financial instruments (2022: Rs 7.8 Bn). Furthermore, there is an additional impairment charge of Rs 0.2 Bn related to commitments and contingencies, compared to Rs 0.6 Bn in 2022.

Impairment Charge on Loans and Advances

Despite the decrease in the impairment charge on loans and advances by Rs 36.3 Bn compared to 2022, the total provision cover of the Bank increased by 200 basis points, rising from 11.8% as at the end of 2022 to 13.8% as at the end of 2023.

The overall reduction in impairment charges against loans and advances was attributed, on one hand, to the gradual revival in economic activities, and on the other hand, to Sampath Bank's prudent provisioning approaches in 2022. These approaches led to the build-up of additional provision coverage for risk-elevated segments in the loans and advances portfolio.

Rs 16.3 Bn was charged on account of Individually Significant Customers (ISL) following an extensive evaluation covering more than 60% of the total advance portfolio. The proactive approach adopted by the Bank in the previous financial year to make appropriate provisions for customers with potential risks has resulted in the establishment of a substantial provision cover against Individually Significant Customers (ISL) in 2022. This has resulted in lower additional provisioning being required during the reporting year.

FINANCIAL CAPITAL

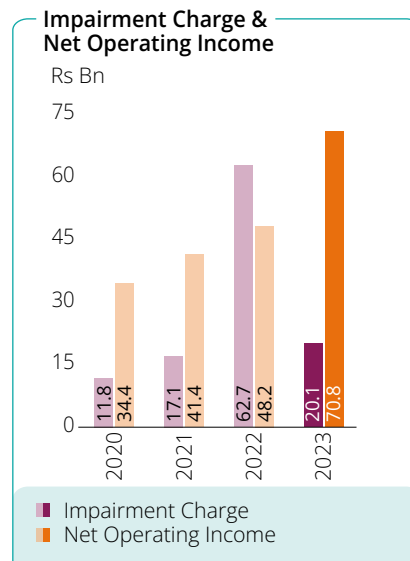
The collective impairment charge decreased by Rs 19.9 Bn to Rs 1.8 Bn in 2023 compared to previous year. In addition to the revival in the economy and the Bank's prudent provisioning policy in the previous year, the 8% reduction in the quantum of exposure subjected to collective impairment also contributed to the lower collective impairment charge in 2023. The impairment models used for collective impairment in 2022 were continued in 2023 to ensure that adequate buffers were in place to absorb any potential credit risk that could arise in the future. The Bank continued its prudent policy of booking additional provisions against newly identified customer segments with elevated credit risk during the reporting period. The allowance for overlay applied in 2022 was continued and maintained for the current reporting period as well. Meanwhile, in testament to the Bank's timely and effective provisioning strategy, the cost of risk decreased from 5.97% in FY 2022 to about 2.04% in FY 2023.

Impairment Charge on Other Financial Instruments

The Bank recorded a net impairment charge of Rs 1.8 Bn against other financial instruments during the reporting year, compared to Rs 7.8 Bn reported in the previous year. The reduction in the impairment charge on financial instruments reflects the Bank's decision to exchange its holdings in Sri Lanka Development Bonds (SLDBs) for local currency-denominated bonds offered as part of the Domestic Debt Optimisation Program (DDO) in 2023. This allowed the Bank to reverse the impairment provision already recognised against the SLDBs by Rs 4.8 Bn. However, Rs 1.2 Bn was recognised as a day-one loss against the local currency bonds at the time of conversion of SLDBs under the DDO programme, equivalent to 5% of the bond value. At the same time, the Bank increased the impairment provision against its Sri Lanka International Sovereign Bonds (SLISB) investments by Rs 5.5 Bn to account for a possible haircut in 2024.

Net Operating Income

Leveraged by a significant decrease in the impairment charge, Sampath Bank's Net Operating Income experienced a notable improvement of 46.8% from Rs 48.2 Bn in FY 2022 to Rs 70.8 Bn in the year under review.



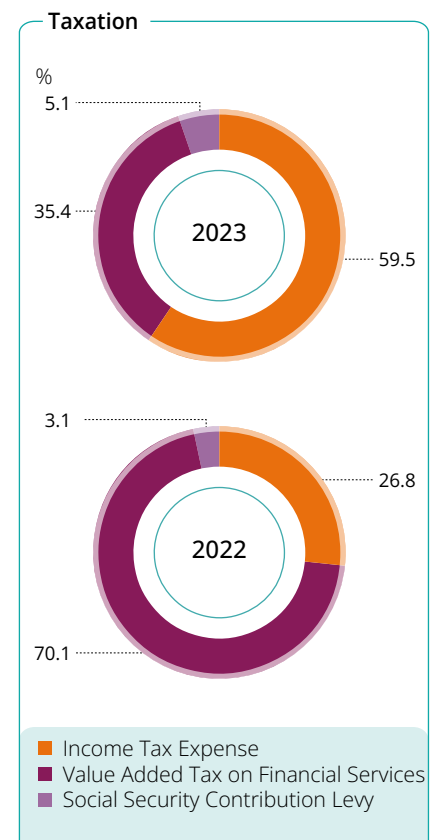
Operating Expenses

Operating Expenses witnessed a year-on-year increase of 15.7%, primarily driven by elevated overhead costs stemming from inflation-induced price hikes, the effect of LKR depreciation in 2022, and additional price adjustments influenced by higher taxes and import restrictions. Personnel costs grew by 14.0% in 2023 owing to the annual salary increase. Due to elevated operating costs and a decline in operating income, primarily attributed to LKR appreciation, the Bank's cost-to-income ratio, which stood at 25.3% in FY 2022, increased to 35.7% in FY 2023. Nevertheless, it remained well below the industry average of 40.5% for the year.

Taxation

Tax expenses on financial services saw an increase of Rs 3.4 Bn, rising from Rs 5.2 Bn in FY 2022 to Rs 8.6 Bn in FY 2023. This growth is attributed to the combined impact of the overall expansion in the tax base and the application of SSCL for the entire year. Income tax too witnessed a substantial increase of 567.7% from Rs 1.9 Bn in FY 2022 to Rs 12.6 Bn in FY 2023. This surge is attributed to the expanded tax base and the application of a higher tax rate of 30%, introduced in the second half of 2022, throughout the year 2023. Additionally, in 2022, the Bank recognised a deferred tax credit of Rs 1.8 Bn, stemming from the increase in deferred tax assets due to a one-off adjustment associated with the income tax rate hike from 24% to 30%.

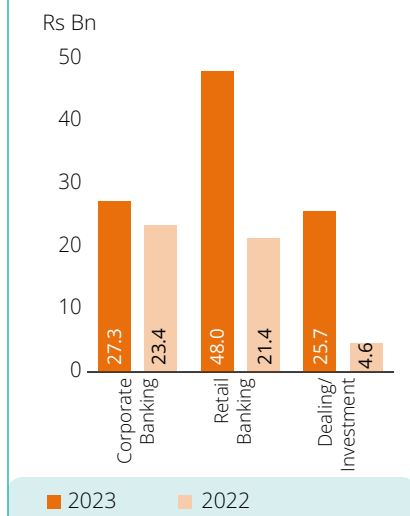
The overall reduction in impairment charges against loans and advances was attributed, on one hand, to the gradual revival in economic activities, and on the other hand, to Sampath Bank's prudent provisioning approaches in 2022.



Profitability

Profitability remained in line with expectations as the Bank's total Profit Before Taxes on financial services increased by 89.9%. However, considering the impact of higher tax expenses, the Profit After Tax (PAT) demonstrated a reduced improvement of 30.5%, rising from Rs 13.1 Bn in the previous year to Rs 17.1 Bn for the year ended 31st December 2023.

Segmental Performance - PBT

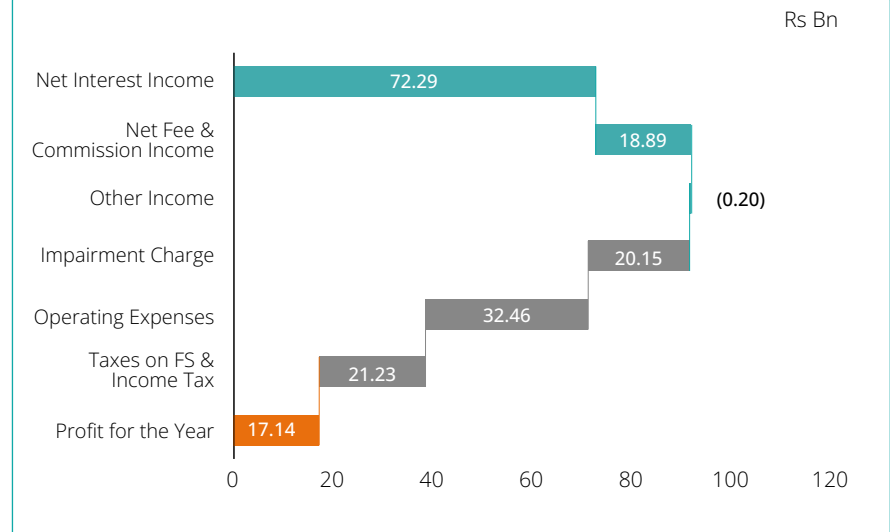


Analysis of Other Comprehensive Income

In the year under review, the Bank recognised a total other comprehensive income of Rs 8.5 Bn, net of tax, marking an increase of 322.2% compared to 2022. Debt instruments at Fair Value through Other Comprehensive Income (FVOCI) recorded a net gain of Rs 9.6 Bn for the year, mainly due to the decrease in treasury bill and treasury bond market interest rates. Meanwhile, the Bank recognised a net exchange loss of Rs 0.5 Bn during the year on its equity investment in LankaBangla Finance PLC primarily due to the appreciation of LKR. Further, a net actuarial loss of Rs 0.6 Bn was recognised against defined benefit plans based on the final actuarial valuation conducted as at 31st December 2023.

The total Comprehensive Income for the year amounted to Rs 25.6 Bn, indicating an increase of 69.2% compared to the previous year.

Bank's Performance 2023



Vertical Analysis of the Statement of Profit or Loss

	2023		2022		2021		2020	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Gross income	226,154	100	197,571	100	104,570	100	102,339	100
Interest income	203,447	90	157,619	80	85,987	82	88,628	87
Less: Interest expenses	131,157	58	84,117	43	44,318	42	54,805	54
Net interest income	72,290	32	73,502	37	41,669	40	33,823	33
Exchange income	(1,887)	(1)	16,261	8	4,849	5	2,792	3
Other income	20,570	9	21,191	11	11,969	11	9,598	9
Total operating income	90,973	40	110,954	56	58,487	56	46,213	45
Less: Impairment charge	20,149	9	62,706	32	17,085	16	11,783	12
Operating expenses	32,457	14	28,048	14	20,668	20	20,095	20
Profit before all taxes	38,367	17	20,200	10	20,734	20	14,335	14
Less: Taxes	21,227	9	7,066	4	8,277	8	6,310	6
Profit for the year	17,140	8	13,134	7	12,457	12	8,025	8

Horizontal Analysis of the Statement of Profit or Loss

	2023		2022		2021		2020	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Gross income	226,154	14	197,571	89	104,570	2	102,339	(14)
Interest income	203,447	29	157,619	83	85,987	(3)	88,628	(14)
Less: Interest expenses	131,157	56	84,117	90	44,318	(19)	54,805	(12)
Net interest income	72,290	(2)	73,502	76	41,669	23	33,823	(19)
Exchange income	(1,887)	(112)	16,261	235	4,849	74	2,792	-
Other income	20,570	(3)	21,191	77	11,969	25	9,598	(11)
Total operating income	90,973	(18)	110,954	90	58,487	27	46,213	(16)
Less: Impairment charge	20,149	(68)	62,706	267	17,085	45	11,783	(6)
Operating expenses	32,457	16	28,048	36	20,668	3	20,095	(1)
Profit before all taxes	38,367	90	20,200	(3)	20,734	45	14,335	(36)
Less: Taxes	21,227	200	7,066	(15)	8,277	31	6,310	(43)
Profit for the year	17,140	31	13,134	5	12,457	55	8,025	(28)

FINANCIAL CAPITAL

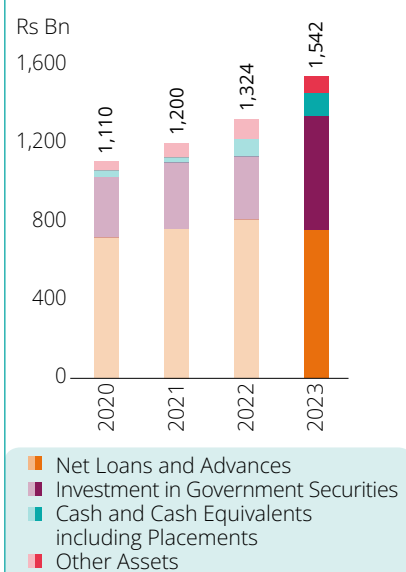
Analysis of the Statement of Financial Position

Assets

The Bank's asset base experienced a year-on-year increase of 16.4%, propelled by higher investments in Government debt securities. The composition of the asset book shifted in the current financial year due to the Bank's strategic decision to adopt a cautious lending approach, coupled with subdued demand amid weaker economic conditions, both locally and globally. As a result, the gross loan portfolio as of the end of 2023 decreased by Rs 42.8 Bn to Rs 877.3 Bn. In the context of LKR appreciation against the USD, foreign currency-denominated loans declined by 18.2% compared to the previous year. The Stage 3 loan portfolio increased by Rs 42.8 Bn during the year, primarily due to customers enduring prolonged macro-economic pressure shifting to adverse stages. However, this trend has moderated to some extent in the latter part of the year. Funds mobilised through deposits were directed towards short-term financial instruments, leading to an increase of Rs 195.9 Bn in treasury bill investments. Moreover, investments in treasury bonds also grew as the Bank exercised the conversion option under the DDO, converting SLDBs worth USD 113 Mn (face value) into LKR-denominated instruments during the year.

Boosted by elevated Nostro balances, cash and cash equivalents reached Rs 79.3 Bn in 2023, maintaining parity with the previous year-end. Meanwhile, placements with banks grew by Rs 22.8 Bn during the year. The Bank initiated the accumulation of Nostro and placement balances in the latter part of 2022 as a precautionary measure to mitigate potential deterioration in the Net Open Position (NOP) following the conversion of SLDBs into LKR bonds. Despite the rise in the total deposit base, balances with the Central Bank of Sri Lanka decreased by Rs 17.1 Bn following the downward revision in the SRR rate from 4% to 2%. During the year under review, Sampath Bank also ventured into its first-ever investment in US Treasury instruments by allocating USD 76 Mn.

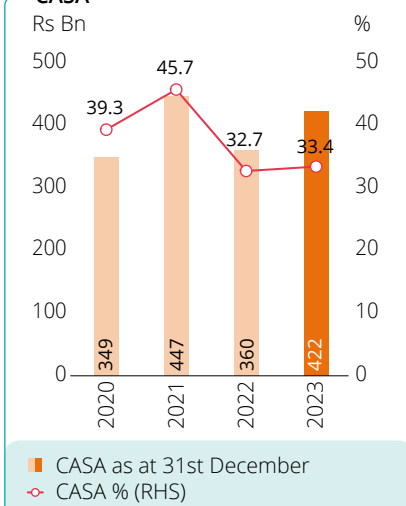
Assets



Liabilities

Overall liabilities witnessed a year-on-year increase of 16.4%, primarily driven by the growth in the Bank's deposit base, which expanded from Rs 1,103.2 Bn in FY 2022 to Rs 1,264.5 Bn as of end-2023. The Bank's CASARatio demonstrated an improvement, rising from 32.7% in FY 2022 to 33.4% in the year under review, affirming the success of initiatives to attract low-cost deposits.

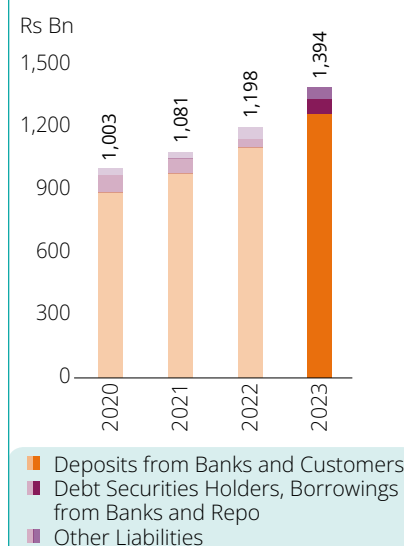
CASA



The increase in total borrowings from Rs 40.9 Bn to Rs 68.8 Bn, also played a role in the overall increase in liabilities for the year under review.

In February 2023, the Bank successfully issued Rs 10 Bn worth of BASEL III compliant, listed, rated, unsecured, subordinated, redeemable debentures, further enhancing its Tier II capital. The debenture issue was oversubscribed on the very first day, underscoring the strong investor confidence in Sampath Bank. Rs 7.5 Bn worth of debentures were redeemed in March 2023.

Liabilities



Equity

Sampath Bank's total equity strengthened, increasing by Rs 21.5 Bn during the year to reach Rs 147.9 Bn as at 31st December 2023, mainly due to improved profitability recorded in 2023.

Dividend

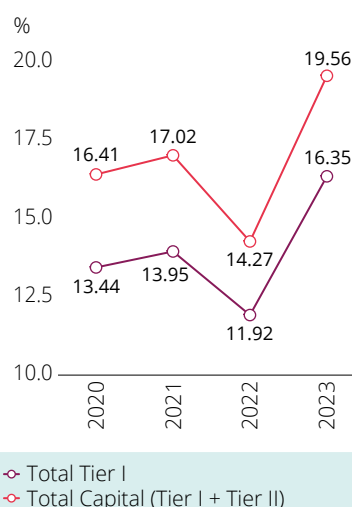
The Board of Directors of Sampath Bank PLC recommended a final cash dividend of Rs 5.85 per share for the financial year ended 31st December 2023 subject to the approval of the shareholders at the 38th Annual General Meeting to be held on 28th March 2024. The Dividend payout ratio for the year ended 31st December 2023 stood at 40.02% (2022: 40.08%).

Capital and Liquidity

The Bank concluded the current financial year with all capital ratios showing improvements compared to the previous financial year. As at 31st December 2023, Sampath Bank's CET I, Tier I and Total Capital ratios stood at 16.35%, 16.35% and 19.56% respectively compared to 11.92%, 11.92% and 14.27% respectively at the end of 2022. These increases can be attributed to three main factors: enhanced profitability, the Tier II capital infusion of Rs 10 Bn in February 2023 and a reduction in risk-weighted assets stemming from the decrease in the loan book.

It is noteworthy to mention that all three Capital Adequacy Ratios consistently remained comfortably above the regulatory minimum requirements throughout the current financial year. Similarly, with a liquidity ratio at 47.76% as at 31st December 2023, the Bank exceeded the regulatory minimum requirement of 20%.

Capital Adequacy Ratios



Other Key Ratios

The Return on Average Shareholders' Equity (after tax) improved to 12.65% as at 31st December 2023 compared to 10.95% reported at the end of the year 2022. Return on Average Assets (before tax) stood at 2.12% as at 31st December 2023 as against 1.16% reported for 2022.

External Rating

On 5th October 2023, Fitch Ratings Lanka Limited affirmed Sampath Bank's National Long-Term Rating at A(lka), removed the Rating Watch Negative (RWN) outlook and assigned a Stable outlook. Fitch also affirmed the BBB+(lka) rating for the Bank's Basel III compliant subordinated debentures.

Group Performance

Consolidated profit before tax for the year under review amounted to Rs 31.2 Bn, with a profit after tax of Rs 17.9 Bn, compared to Rs 16.4 Bn and Rs 14.1 Bn, respectively, for FY 2022. A brief overview of the performance of subsidiaries is given on page 143 of this Annual Report.

Vertical Analysis of the Statement of Financial Position

	2023		2022		2021		2020	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Assets								
Cash and cash equivalents including placements	113,013	7	90,090	7	25,623	2	32,282	3
Net loans and advances	756,436	49	811,158	61	762,588	64	720,215	65
Other interest earning assets	584,889	38	321,531	24	338,871	28	309,468	28
Investment in subsidiaries	4,111	-	3,899	-	3,503	-	3,351	-
Property, plant and equipment	9,623	1	8,911	1	7,818	1	8,126	1
Other assets	73,876	5	88,837	7	61,510	5	36,829	3
Total assets	1,541,948	100	1,324,426	100	1,199,913	100	1,110,271	100
Liabilities								
Deposits from banks and customers	1,264,470	82	1,103,213	83	978,368	82	886,873	80
Debt securities holders, borrowings from banks and repo	68,829	4	40,901	3	72,829	6	83,617	7
Other liabilities	60,776	4	53,932	4	29,964	2	32,232	3
Total liabilities	1,394,075	90	1,198,046	90	1,081,161	90	1,002,722	90
Shareholders' fund								
Stated capital	48,741	3	47,622	4	47,622	4	47,622	4
Reserves	99,132	7	78,758	6	71,130	6	59,927	6
Total equity	147,873	10	126,380	10	118,752	10	107,549	10
Total liabilities and equity	1,541,948	100	1,324,426	100	1,199,913	100	1,110,271	100

The Bank's total Profit before taxes on financial services increased by 89.9%. However, considering the impact of higher tax expenses, the Profit after Tax (PAT) demonstrated a reduced improvement of 30.5%, rising from Rs 13.1 Bn in the previous year to Rs 17.1 Bn for the year ended 31st December 2023.

FINANCIAL CAPITAL

Horizontal Analysis of the Statement of Financial Position

	2023		2022		2021		2020	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Assets								
Cash and cash equivalents including placements	113,013	25	90,090	252	25,623	(21)	32,282	29
Net loans and advances	756,436	(7)	811,158	6	762,588	6	720,215	4
Other interest earning assets	584,889	82	321,531	(5)	338,871	10	309,468	69
Investment in subsidiaries	4,111	5	3,899	11	3,503	5	3,351	40
Property, plant and equipment	9,623	8	8,911	14	7,818	(4)	8,126	(4)
Other assets	73,876	(17)	88,837	44	61,510	67	36,829	(32)
Total assets	1,541,948	16	1,324,426	10	1,199,913	8	1,110,271	15
Liabilities								
Deposits from banks and customers	1,264,470	15	1,103,213	13	978,368	10	886,873	23
Debt securities holders, borrowings from banks and repo	68,829	68	40,901	(44)	72,829	(13)	83,617	(24)
Other liabilities	60,776	13	53,932	80	29,964	(7)	32,232	12
Total liabilities	1,394,075	16	1,198,046	11	1,081,161	8	1,002,722	17
Shareholders' fund								
Stated capital	48,741	2	47,622	-	47,622	-	47,622	-
Reserves	99,132	26	78,758	11	71,130	19	59,927	4
Total equity	147,873	17	126,380	6	118,752	10	107,549	2
Total liabilities and equity	1,541,948	16	1,324,426	10	1,199,913	8	1,110,271	15

As at 31st December 2023, Sampath Bank's CET I, Tier I and Total Capital ratios stood at 16.35%, 16.35% and 19.56% respectively. All three Capital Adequacy Ratios consistently remained comfortably above the regulatory minimum requirements throughout the current financial year.

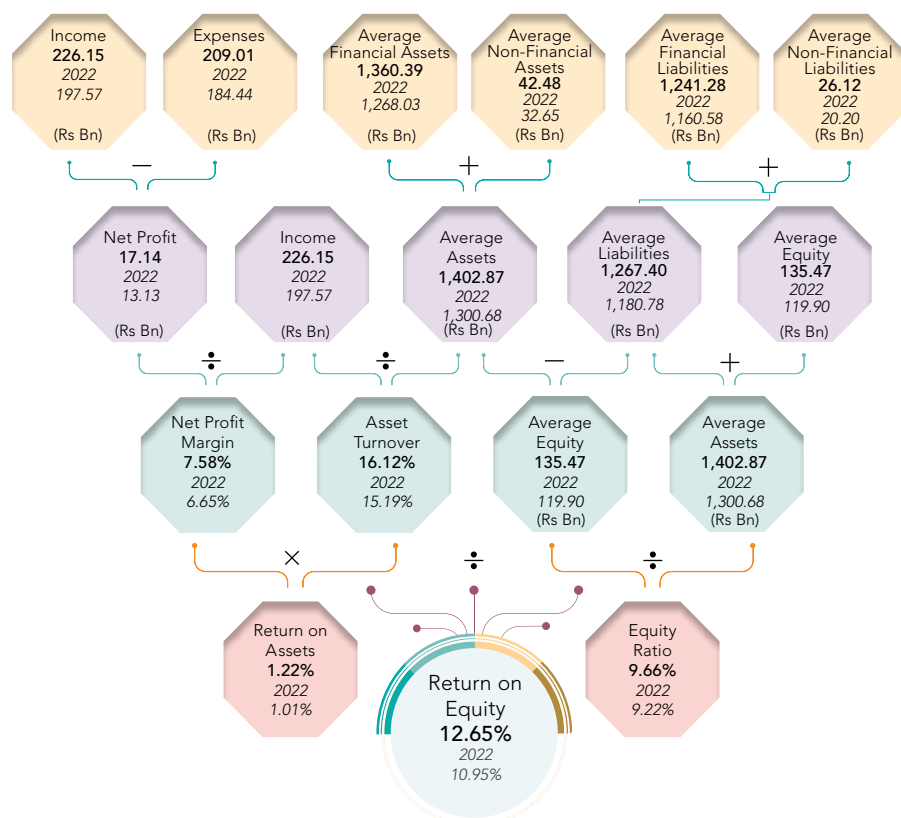
Preparedness to Adopt IFRS S1 and IFRS S2

The International Sustainability Standards Board (ISSB) issued its first two sustainability reporting standards on 26th June 2023 outlining the following approaches for disclosing sustainability information;

- General Requirements for Disclosure of Sustainability-related Financial Information (IFRS S1), which establishes the core framework for the disclosure of material information on sustainability-related risks and opportunities across an entity's value chain.
- Climate-related Disclosures (IFRS S2), which is the first thematic standard, and sets out requirements for entities to disclose information about climate-related risks and opportunities.

As a keen advocate of sustainability best practices, Sampath Bank is working towards early adoption of the requirements specified in the standards. Having determined expertise to be a critical factor in supporting this journey, the Bank has commenced capacity building to help its finance and sustainability teams to understand the scope and scale of IFRS - S1 and S2.

Dupont Analysis





MANUFACTURED CAPITAL

GRI 3-3

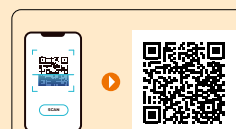
Manufactured Capital represents the core infrastructure that enables Sampath Bank to deliver its value proposition to the market.

Management Approach

Strengthen core infrastructure to enhance Sampath Bank's competitive positioning against peers.

Material Topics

- Physical Channels
- Digitalisation Agenda



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website: www.sampath.lk

Focus for FY 2023

- Automation of branch back office functions.
- Supporting digital customer on-boarding.
- Strengthening core IT infrastructure.

Outcomes

Reduction in customer wait times at branches

Island-wide reach and accessibility

24/7-365 day digital connectivity

Financial inclusion

Contribution to Sustainable Development Goals



Target 8.2: Diversify, innovate and upgrade for economic productivity
Target 8.10: Universal access to banking, insurance and financial services
Target 9.3: Increase access to financial services and markets
Target 9.4: Upgrade all industries and infrastructures for sustainability

FUTURE PLANS

- Enhance the customers' digital experience at branches and at ATMs/CRMs.
- Cloud technology adoption in line with CBSL guidelines.

ABOUT US

HEAR FROM OUR LEADERS

STRATEGY REPORT

MANAGEMENT DISCUSSION AND ANALYSIS

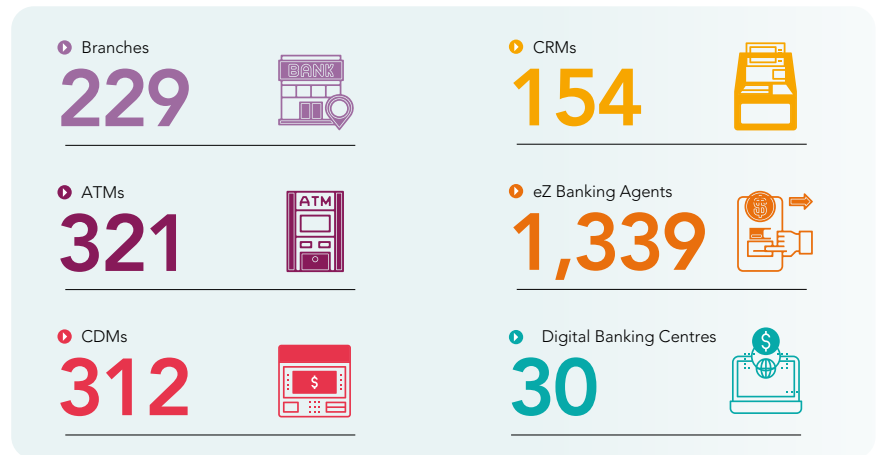
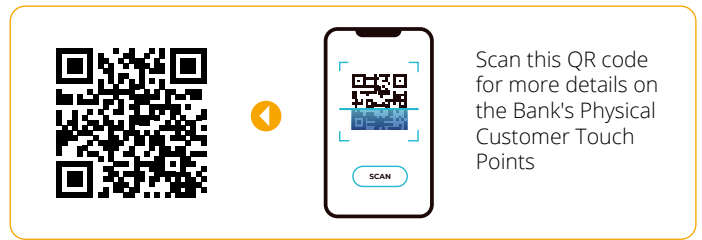
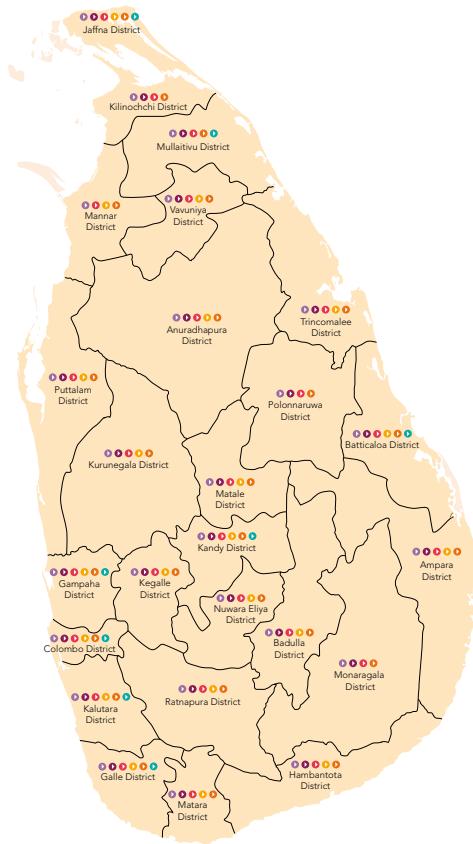
GOVERNANCE AND RISK MANAGEMENT

FINANCIAL INFORMATION

SUPPLEMENTARY INFORMATION

MANUFACTURED CAPITAL

GRI 2-6



Geographical Distribution of Physical Customer Touch Points

Province	District	Branches	Automated Teller Machines (ATMs)	Cash Deposit Machines (CDMs)	Cash Recycling Machines (CRMs)	eZ Banking Agents	Digital Banking Centres	Total
Northern	Mullaitivu	1	1	1	-	1	1	5
	Vavuniya	2	1	2	2	1	-	8
	Mannar	1	-	1	1	3	-	6
	Kilinochchi	1	1	1	-	7	-	10
	Jaffna	8	7	8	4	11	1	39
Central	Nuwara Eliya	4	6	7	2	25	-	44
	Matale	3	5	5	2	7	-	22
	Kandy	15	20	22	6	76	1	140
North Central	Polonnaruwa	3	3	5	-	5	-	16
	Anuradhapura	6	6	9	3	62	-	86
North Western	Puttalam	8	9	9	3	17	-	46
	Kurunegala	13	17	16	8	120	-	174
Eastern	Ampara	7	9	11	2	24	-	53
	Batticaloa	6	6	8	4	20	1	45
	Trincomalee	4	1	4	2	12	-	23
Uva	Badulla	5	5	10	1	16	-	37
	Monaragala	4	5	5	-	9	-	23
Sabaragamuwa	Ratnapura	8	10	11	2	28	-	59
	Kegalle	6	6	6	5	24	-	47
Western	Colombo	63	118	98	72	225	17	593
	Gampaha	27	45	34	19	245	5	375
	Kalutara	10	14	12	4	79	2	121
Southern	Hambantota	6	4	5	2	16	-	33
	Galle	10	9	11	6	205	2	243
	Matara	8	13	11	4	101	-	137
Total		229	321	312	154	1,339	30	2,385

Branch Network

Sampath Bank's branch network comprises 229 fully-fledged branches spread across all 25 districts and remains the bedrock of the Bank's operations. Having invested in optimising its island-wide branch footprint, the Bank has in recent years maintained a conservative approach towards branch expansion, focusing instead on consolidating and strengthening the existing network through strategic relocations and efficiency improvements across both backend and frontend systems. In line with this approach, no new branches were opened in 2023.

Ongoing efficiency improvements undertaken during the year were aimed at increasing the level of digitisation and automation across the branch network with a view to enhancing the customer experience. Consequently, investments were made under the digital branch roll out programme to increase the number of dedicated digital banking centres at branches with high daily footfall.

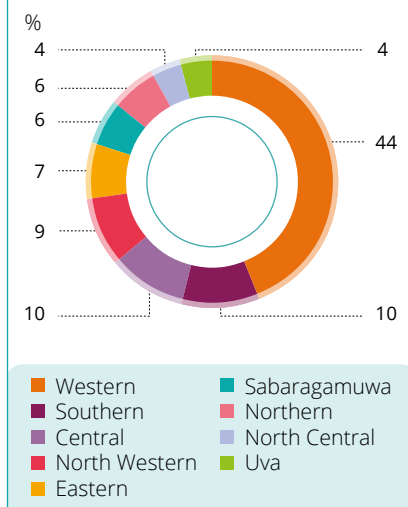
The initiative to further streamline branch back office functions also gathered momentum this year with a new back end accounts opening solution implemented. The intuitive digital solution which allows branch front office teams to expedite mainstream accounts opening, aims to drastically reduce the time spent by the customer at the branch to complete the required process. The new accounts opening solution was activated on a trial basis at selected branches prior to the network-wide roll out planned for 2024.

Meanwhile, considering the high workforce turnover arising as a consequence of Sri Lanka's economic crisis, steps were taken to centralise almost 100% of the routine back office procedures handled by branch teams under the purview of the Central Branch Operations Unit (CBOU).



Digital Banking Centre

Geographical Distribution of the Branch Network



Key procedures that have been centralised include, back-office functions of accounts opening, processing of fund transfers, account closure requests, updating personal/nominee information, SMS alert activation etc.

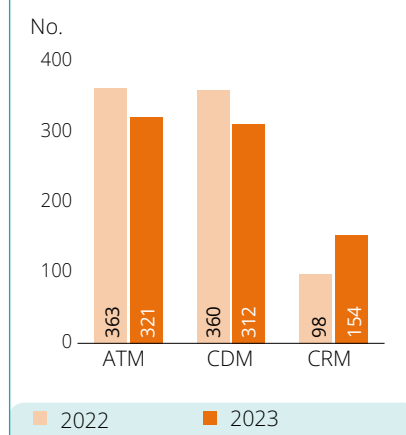
ATM/CDM/CRM Network

Since pioneering Sri Lanka's first-ever ATM in 1988, Sampath Bank has over the years systematically grown its network through a combination of on-site ATMs at branches and off-site ATMs at strategic locations around the country. Today ATMs are among the most widely accepted customer touch-points, and as such have proven to be a highly effective source for delivering the Bank's value proposition to the mainstream market.

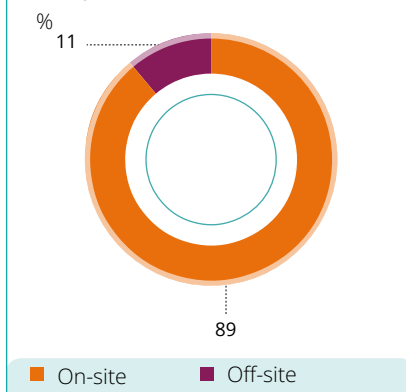
Given that ATMs are playing an increasingly important role as a distribution channel, the Bank places strong emphasis on continuously upgrading and expanding the network. Introducing Cash Recycler Machines (CRM) that can facilitate both cash withdrawals as well as deposits is in line with the Bank's strategy to phase out traditional ATMs that are typically equipped to accommodate only cash withdrawals. In the year under review, new off-site CRMs were commissioned at the Defence Head Quarters Complex - Sri Jayewardenepura Kotte and the Siyapatha Finance Head Office in Rajagiriya. CRMs were also installed to replace the traditional ATMs at the Polgasowita and the Millennium City off-site locations.

As part of the ongoing effort to improve operational efficiency and minimise downtime of the ATM/CRM network, cash loading schedules of outsourced partners continued to be monitored by the Bank's Central Cash Department (CCD). A dedicated hotline with direct connectivity to the CCD was also put in place to enable branches to report low cash positions/breakdowns etc.

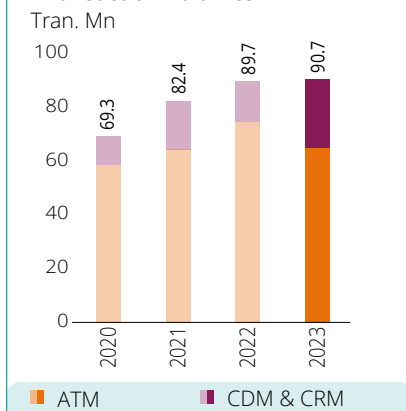
ATM, CDM & CRMs



On-site & Off-site ATM, CDM & CRMs



ATM, CDM & CRM Transaction Volumes



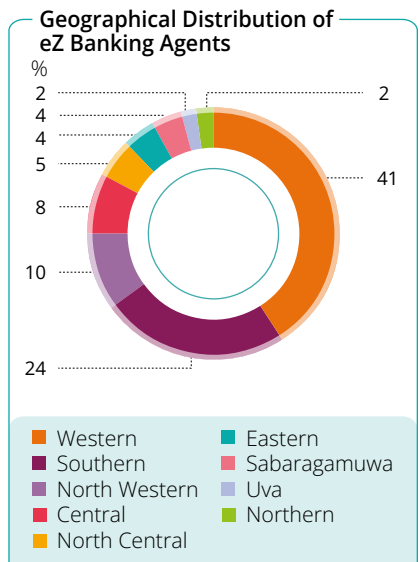
MANUFACTURED CAPITAL

Agency Banking

The Agency Banking model which is operationalised via the Dialog eZ Cash agent network, is the latest addition to Sampath Bank's channel architecture. As at 31st December 2023 approximately 1,339 eZ banking agents were authorised to engage in providing basic banking services to the unbanked and underbanked rural population around the country.

Since its launch in 2022, the agency banking network has been well received by its target market and has continued to gain traction as evidenced by the incremental transaction volumes observed from mid-2023.

To build on this momentum, the Bank initiated a special promotional campaign in 2023 to raise awareness and drive customer adoption of the eZ Banking network. Through these efforts, the Bank is striving to position the eZ Banking network as a key touchpoint where customers can easily obtain basic banking services such as cash deposits and withdrawals, in turn reducing the load of branch counters.



IT Infrastructure

Recognising that IT infrastructure provides a key competitive advantage, Sampath Bank continues to invest in world-class IT systems to drive its strategic endeavours to pursue business expansion, enhance customer experience and improve internal efficiency while strengthening governance and risk management and promoting compliance.

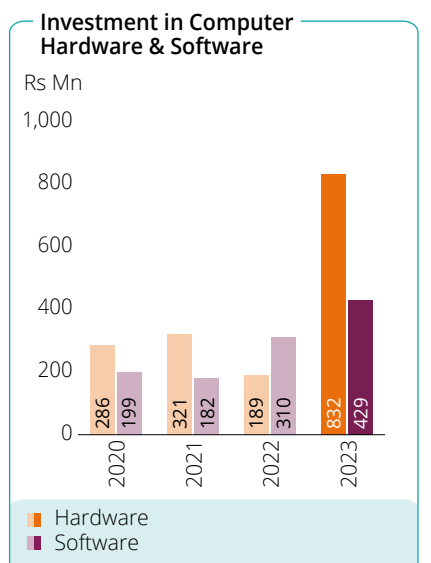
In the year under review, the Bank undertook a series of major capacity enhancements at its primary data centre in Colombo as well as the secondary data centre located in Pitipana. The changes were done in keeping with industry best practices and the latest global trends. The IT team also began enhancing the schematics of the Bank's cloud infrastructure with a view to improving its readiness to dynamically align with the growing requirements while improving security as well as meeting compliance standards.

The year also saw the successful implementation of state-of-the-art database servers equipped with the latest technology to enhance the performance capabilities of the Bank's systems, thereby providing the impetus to support Sampath Bank's growing data needs. The new system which is capable of handling large data volumes, will be critical for managing scalability in tandem with the Bank's strategic growth objectives.

Automation initiatives also gathered momentum in 2023 with some notable milestones being achieved during the year, key among them was the enhancements made to speed up the accounts opening process at branches. The new workflow management tool works to create a single frontend interface to cater to all customer needs, encompassing new account opening, debit card issuance, sign up for online banking, SMS alerts etc. In this way, the new workflow management tool has helped to eliminate repetitive tasks, in turn enabling branch teams to be mobilised towards multi-tasking. Moreover, following the pilot run of the new tool at selected branches, a significant reduction in the customer waiting times was observed.



Other notable initiatives included the automation of the repatriation of export proceeds and export related inward remittance transactions, both with the aim of ensuring timely compliance with the CBSL reporting guidelines.



Digital Channels

Sampath Bank continued to lead the digital transformation across the local banking sector in 2023 supported by the launch of a groundbreaking new interface to enable remote Accounts Opening-via-QR - an industry first that greatly simplifies the accounts opening process. Accordingly, customers need only to scan the Accounts Opening QR code or click on the link available at www.sampath.lk and proceed to initiate a virtual meeting with digital account opening officers at the Bank's central office in order to complete the KYC process. The mechanism is particularly beneficial for customers residing overseas as well as to any other customer who does not or cannot visit a branch for practical reasons.

The self on-boarding facility launched in 2022 was further extended in 2023, with a total of 30 digital banking centres across the island now offering the self on-boarding facility, wherein customers are required to connect with a digital account opening officer via the onsite video console to schedule an online meeting to complete the KYC process.

Meanwhile, as part of the ongoing improvements to the Sampath Vishwa online banking platform, new self-management features were introduced to enable customers to uplift FDs and effect full/partial settlements of loans. Consequent to the launch of these new

features, a notable increase was observed in the average monthly FDs opened via Sampath Vishwa. Similarly, a strong uptake was also evident for the loan settlement option through Sampath Vishwa.

The functionality of the WePay wallet was further enhanced with the inclusion of the i-Gift feature. i-Gift which has been designed using sophisticated technology stands out as a simple and effective solution to send cash gifts among family and friends. The WePay app was also empowered with special features such as social sharing to allow users to transfer funds through social network platforms.

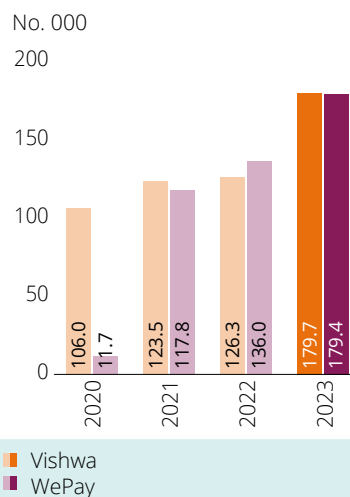
SMS receipts were introduced for cash deposits made through Cash Deposit Kiosks (CDKs). At present, SMS receipts are delivered concurrently to the paper receipt issued by the CDK. However, the Bank is working to give customers a fully paperless option by allowing them to opt for only SMS receipts. To support this endeavour, the existing SMS Alerts system was revamped to ensure instant delivery of SMS alerts to customers, on average, not more than 3 seconds after the transaction.

Cash Management Solutions (CMS) for corporates was further strengthened to support greater customisation based on the specific customer requirements coupled with enhanced security features for greater control. Key new features introduced in 2023 are:

Sampath Bank continued to lead the digital transformation across the local banking sector in 2023 supported by the launch of a groundbreaking new interface to enable remote Accounts Opening-via-QR - an industry first that greatly simplifies the accounts opening process.

- Enabling two-factor authentication for user login.
- Automation of bulk fund transfers via CEFT.
- Post-dated (PD) cheques warehousing.
- Bulk cheque printing option, etc.

Sampath Vishwa & WePay Registrations



Sampath WePay Mobile App



Sampath Vishwa Login Interface



INTELLECTUAL CAPITAL

GRI 3-3



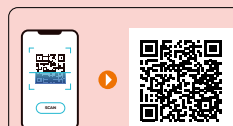
Intellectual Capital comprising intangible assets, in effect form the basis of Sampath Bank's competitive positioning and industry leadership status.

Management Approach

Strategic investments to enhance intangible assets and improve the symbiosis between elements in tandem with the Bank's purpose and strategy.

Material Topics

- Corporate Brand Image/Goodwill Building
- Information Security
- Business Continuity Planning



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website:
www.sampath.lk

Focus for FY 2023

- Augment brand positioning to reflect greater social inclusivity.
- Improve brand alignment in line with ESG best practices.
- Strengthen information security systems on par with global benchmarks.

Outcomes

LMD Brands Annual Awards 2023

"Most Loved Banking Brand" in Sri Lanka

Among the Top 10 "Most Loved Brands" in Sri Lanka

ZERO

Non-conformities at the ISO 27001 Annual Surveillance Audit

ZERO

Cyber Attacks

Contribution to Sustainable Development Goals



Target 8.1: Sustainable Economic Growth

FUTURE PLANS

- Strengthening Brand alignment to reflect Sampath Bank's New Purpose and Vision.
- Upgrading the Bank's information security systems from ISO 27001:2013 certification to ISO 27001:2022 certification.
- Upgrading from Payment Card Industry Data Security Standard (PCI DSS) certification v3.2.1 to PCI DSS v4.0 certification.

Awards and Accolades



LMD Brand Annual Awards 2023

Sampath Bank clinched the highly coveted 'Most Loved Banking Brand' in LMD's Brands Annual Awards for 2023. Sampath Bank was also ranked among the Top 10 'Most Loved Brands' in Sri Lanka.

Asiamoney Best Bank Awards 2023

Sampath Bank was declared Sri Lanka's Best Bank for CSR (Corporate Social Responsibility) for the second consecutive year and the Best Bank for ESG (Environmental, Social, and Governance).

Infosys Finacle Innovation Awards 2023

Ecosystem-led Innovation	Tourist Fuel Pass	Platinum
Corporate Banking Innovation	Export Repatriation Process	Platinum
Channel Innovation	Touchless Cash Withdrawal	Platinum
Process Innovation	Moratorium Process	Gold

Sampath Bank adjudged as the Runner-up in the Banking Category of ACCA Sri Lanka Sustainability Reporting Awards 2023.

LankaPay Technnovation Awards 2023

Financial Institution of the Year for the Best Digital Payment Strategy	Gold
Most Innovative Bank of the Year	Silver
Best Acquirer on LankaPay Online Payment Platform	Silver
Overall Award for Excellence in Inter-Bank Digital Payments (Banking Institutions)	Bronze
Bank of the Year for Excellence in Customer Convenience - Category A	Merit

Brand Equity

Solid business fundamentals, an exemplary digital strategy and unmatched service quality standards have been the nexus of Sampath Bank's ability to remain resilient notwithstanding extreme pressure. Today, Sampath Bank is positioned among the top three private banks in Sri Lanka, with total assets at Rs 1.5 Tn and a market capitalisation value of Rs 83 Bn as on 31st December 2023, while the equity value of Sampath Bank is around Rs 148 Bn. The Bank's National Long-Term Rating of 'A (lka) with Stable Outlook' was reaffirmed by Fitch Ratings.

The lead up to this point has been the result of a dynamic and constantly evolving brand strategy to reflect the developments over the past three decades, especially in the past five years where brand objectives have been continuously re-examined in the context of the various economic vulnerabilities experienced during this time.

The brand strategy for 2023 was underscored by the commitment to support customers and other stakeholders to ride out the current economic crisis, while at the same time urging them to envision future growth opportunities. Accordingly, the focus on NPL management was further intensified in



Euromoney Awards Ceremony 2023

INTELLECTUAL CAPITAL

2023 as it became apparent that the ongoing economic undercurrents would be a significant drag on individuals and businesses across many key sectors of the economy. To bring some relief to customers burdened by high cost of funds and escalating input costs on the back of the LKR depreciation and inflation-led price increases, the Bank collaborated with the FinTechs to introduce a low cost e-commerce backend solution for merchants reinforced with additional security assurances for payment gateway usage. A strong improvement in customer loyalty was evident as a consequence of these initiatives.

Working to revive economic activity, the Bank tied up with the National Chamber of Exporters (NCE) to launch the "Sampath Export Partners" campaign dedicated towards driving the country's export sector expansion. The strategy has helped to reinforce Sampath Bank's status quo as the preferred choice among local exporters.

As always, digital innovation remains a critical component of Sampath Bank's brand strategy. Major milestones for 2023 on the digital front included the latest version of the Sampath Vishwa mobile app with the immersive UI/UX design format aimed at enhancing the effectiveness of the self-banking and the launch of the Accounts Opening through QR code even for a person who lives overseas.

The "Pohosath Minissu" campaign launched in 2022 was further strengthened in the second half of 2023. The campaign was first launched with the intention of building customer loyalty by emphasising the deep rooted connection between Sampath Bank's core values and Sri Lanka's inherent traditions.

The Bank has always taken great pride in leading by example to justify its identity as a socially responsible and environmentally conscious banking brand. From a social responsibility perspective, the flagship "Wewata Jeewayak" tank restoration programme saw 5 tanks restored in 2023, bringing the total number of tanks restored to date to 21. Broadening its approach with a view to further empowering rural communities, the Bank partnered with CIC Holdings PLC to launch a special programme to promote value-added agriculture among small scale agri-based communities connected to the "Wewata Jeewayak" programme. Long running environmental initiatives such as "A Breath to the Ocean" coral restoration initiative as

A Brand Health Study was initiated in 2023 with three clear objectives - to measure overall health of the Sampath brand relative to competitor brands, to understand the effectiveness of selected 'Above The Line' (ATL) campaigns and to understand digital and Fintech triggers and barriers. A two-step approach based on a qualitative exploratory module and a quantitative validation module was used to meet the aforementioned objectives. Phase I (qualitative aspect) involving data capture was completed by end December 2023 leaving the quantitative data validation process to be completed.

well as the turtle conservation and mangrove restoration programmes all continue to reflect the Sampath brand's strong affinity towards national-level environmental priorities.

In what is seen as a major step in aligning the Sampath brand on par with global ESG best practices, the Bank became an official signatory to the UNGC 10 principles in September 2023.

The awards and accolades earned in 2023 only serve to validate the exemplary profile of the Sampath brand. Top awards on the international stage included being named as the "Best Bank in Sri Lanka" for 2023 at the world-renowned Euromoney Awards. The latest win marks the fifth occasion Sampath Bank clinched this prestigious title.

At the Asiamoney Best Bank Awards 2023, Sampath Bank won two of the most coveted awards, namely the Best Bank for CSR (Corporate Social Responsibility) and Best Bank for ESG (Environmental, Social, and Governance).

In Sri Lanka, the Sampath brand was once again declared among the "Most Loved Banking Brand" at the LMD Brands Annual for 2023. Additionally, the Bank was ranked among the top 10 "Most Loved Brands". Over the years, Sampath Bank has consistently outperformed peers at the LMD's Brands Annual platform. For instance in 2022, Sampath Bank was the highest-ranked bank in the Banking category and was also featured in the "Most Valuable Consumer Brands" list, among the most popular FMCG brands in Sri Lanka.

Sampath Bank's leadership in the banking technology sphere also continues to receive widespread recognition. At the LankaPay Technnovation Awards 2023, Sampath Bank claimed the Gold award for the Financial Institution of the Year for the Best Digital Payment Strategy. The Bank also grabbed two silver awards for Most Innovative Bank of the Year and the Best Acquirer on LankaPay Online Payment Platform awards along with the Bronze and Merit for Overall Award for Excellence in Inter-Bank Digital Payments (Banking Institutions) and the Bank of the Year for Excellence in Customer Convenience - Category A awards respectively.

At the Infosys Finacle Innovation Awards, Sampath Bank was crowned the platinum winner in three award categories, including "Ecosystem-led Innovation" for their "Tourist Fuel Pass", "Corporate Banking Innovation" for their "Export Repatriation Process" and "Channel Innovation" for their "Touchless Cash Withdrawal". The Bank additionally received the Gold award in the "Process Innovation" category for their "Moratorium Process." The Infosys Finacle Innovation Awards is an international-level award that focuses on recognising innovative banking solutions worldwide.

Information Security

In the face of rising information security threats and cyber attacks directed at banking and financial institutions globally, Sampath Bank has implemented a comprehensive 360-degree approach to safeguard its valuable data assets.

Since 2016, Sampath Bank has consistently maintained the integrity and robustness of its Information Security architecture, attaining compliance with the ISO 27001:2013 Information Security Standard certification. Furthermore, the successful completion of the Payment Card Industry Data Security Standard (PCI DSS) certification audit in 2023 represents





Information Security Officer (CISO) has been formed to monitor the process of implementing necessary control processes to comply with Banking Act Direction No. 16 of 2021 on "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks".

Business Continuity Planning (BCP)

Sampath Bank's robust Business Continuity Plan (BCP) has proven to be a critical defence mechanism for strengthening resilience and safeguarding business continuity. Since 2020, the Bank's BCP has evolved considerably in tandem with the highly fluid operating environment. With economic uncertainty showing no signs of abating in 2023, the Bank regularly reviews its BCP to ensure adequacy, effectiveness and relevance of established business recovery strategies. In the year under review, due diligence activities were also further strengthened under the supervision of the special steering committee with critical areas subject to more frequent reviews and re-assessments. System simulations were carried out periodically at both Disaster Recovery (DR) sites along with quarterly testing introduced for critical functions through respective DR sites. Random DR drills were also conducted where all banking functions were operated through DR servers continuously for a long time period to verify proper functioning of DR servers/sites as well as familiarising team for DR activities.

The annual fire drill was successfully carried out in collaboration with the Fire Service Department (Fire Brigade) and as per the Fire Service Department, the entire head office building was evacuated within a very satisfactory time period with the assistance of fire warden (BCP coordinators) of the Bank.

a significant milestone in the Bank's commitment to align with global information security standards.

In addition, regular testing remains a vital element of the Bank's Information Security management strategy. The annual information security risk assessment overseen by the Bank's Information Security Department, is a thorough, organisation-wide exercise covering all departments, branches, and various physical and digital touchpoints.

Regular Vulnerability Assessment and Penetration Testing (VAPT) sessions were conducted during the year. Within the staff awareness process, numerous phishing simulations of different intensities were executed to assess the threat level to the staff and potential risks to the business. This initiative was complemented by awareness programmes and customised capacity-building workshops for Team Sampath.

Recognising the increasing use of mobile banking apps, a targeted customer education campaign was launched through email and SMS (with tri-lingual messaging) to enhance customer awareness of the latest trends, including social engineering attacks.

As always, the IT Security Policy and procedure framework was thoroughly reviewed and updated as needed by the Bank's Information Security Committee. A Committee, with the support of the Chief





HUMAN CAPITAL

GRI 3-3



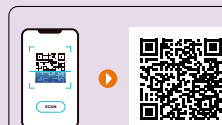
Human Capital is among Sampath Bank's greatest assets. In fact, the Bank's success over the past 37 years is a testament to the passion and commitment of its Human Capital.

Management Approach

Continuous and ongoing investment to create a robust work environment that will equally challenge and motivate employees to align their personal career pathway to match the Bank's growth trajectory.

Material Topics

- Talent Acquisition and Management
- Learning and Development
- Employee Engagement
- Employee Relations
- Employee Health and Safety
- Anti-Corruption Practices



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website: www.sampath.lk

Focus for FY 2023

- Career advancement in line with the "Develop from within" principle.
- Strengthening gender diversity in the workforce.
- Driving the culture and conduct.
- Investment in employee wellness.

Outcomes

Rs 14,250 Mn Value Distributed to Employees	96% Staff Retention	144,855 Total Training Hours
	377 Staff Promotions	1 : 1 (Equal) Pay for Men and Women
61 : 39 (Male:Female) Overall Gender Ratio	77 : 23 (Male:Female) Gender Representation Ratio at Corporate Management Level	75 : 25 (Male:Female) Gender Representation Ratio at Board Level

Contribution to Sustainable Development Goals



Target 3.4: Reduce mortality from non-communicable diseases and promote mental health.

Target 3.8: Achieve universal health coverage.

Target 4.3: Equal access to affordable technical, vocational and higher education.

Target 4.7: Education for sustainable development and global citizenship.

Target 5.1: End discrimination against females.

Target 5.5: Ensure full participation in leadership and decision-making.

Target 5.8: Promote empowerment of women through technology.

Target 16.5: Substantially reduce corruption and bribery.

FUTURE PLANS

- Develop and implement structured job rotation and internal mobility programmes to support employee goal congruence in tandem with the Bank's strategic initiatives.
- Increase training and capacity building to strengthen the customer-first culture across the Bank.
- Continuous upscaling and rescaling of the employee value proposition in response to evolving business challenges.
- Further strengthen the performance-based work culture across the Bank.
- Invest in building the Bank's talent pipeline through tailor-made development programmes for different employee categories.

TEAM PROFILE

As a truly Sri Lankan Bank committed to bring economic empowerment to people across Sri Lanka, Sampath Bank employs a diverse, multigenerational workforce. The 4,179 men and women who represent Team Sampath stand as the backbone of the Bank's business.

Type of Employment

GRI 2-7,8

Type of Employment	2023			2022		
	Female	Male	Grand Total	Female	Male	Grand Total
Fixed Term Contract	25	21	46	19	18	37
Permanent	1,106	2,206	3,312	1,179	2,396	3,575
Probationers	186	106	292	73	50	123
Trainees	326	203	529	114	99	213
Grand Total	1,643	2,536	4,179	1,385	2,563	3,948

All categories indicated above are on full-time basis.

Province-wise Staff Allocation

GRI 2-7

Province	No. of Branches/ Units	2023			No. of Branches/ Units	2022		
		Female	Male	Grand Total		Female	Male	Grand Total
Central	23	83	184	267	23	73	188	261
Eastern	18	50	102	152	18	29	106	135
North Central	10	24	86	110	10	15	91	106
North Western	21	71	147	218	21	66	148	214
Northern	13	33	63	96	13	28	67	95
Sabaragamuwa	14	36	99	135	14	30	102	132
Southern	25	107	172	279	25	79	185	264
Uva	9	17	66	83	9	13	68	81
Western	179	1,222	1,616	2,838	179	1,052	1,606	2,658
Overseas Operations	1	-	1	1	1	-	2	2
Grand Total	313	1,643	2,536	4,179	313	1,385	2,563	3,948

Province-wise Employees by Type of Employment

GRI 2-7

Province	2023					2022				
	Fixed Term Contract	Permanent	Probationers	Trainees	Grand Total	Fixed Term Contract	Permanent	Probationers	Trainees	Grand Total
Central	-	254	5	8	267	-	259	1	1	261
Eastern	1	100	7	44	152	-	119	1	15	135
North Central	-	98	6	6	110	-	105	1	-	106
North Western	-	185	7	26	218	-	203	2	9	214
Northern	-	79	5	12	96	-	91	1	3	95
Sabaragamuwa	-	123	6	6	135	-	129	1	2	132
Southern	-	223	14	42	279	-	254	2	8	264
Uva	-	69	7	7	83	-	78	-	3	81
Western	45	2,180	235	378	2,838	37	2,335	114	172	2,658
Overseas Operations	-	1	-	-	1	-	2	-	-	2
Grand Total	46	3,312	292	529	4,179	37	3,575	123	213	3,948

HUMAN CAPITAL

KEY HIGHLIGHTS FOR 2023

With the country as a whole facing a severe brain drain owing to the financial stress caused by the ongoing economic crisis, Sampath Bank too experienced a spike in staff turnover in 2023 as Bank-wide employees began seeking employment opportunities overseas.

Turnover - Age Group and Gender

GRI 401-1

Age Group	2023				2022			
	Male	Female	Grand Total	%	Male	Female	Grand Total	%
Above 55	4	-	4	0.9	-	-	-	-
51-55	5	4	9	1.9	14	13	27	7.2
41-50	28	21	49	10.6	19	11	30	8.0
31-40	140	68	208	45.1	92	74	166	44.4
21-30	105	83	188	40.8	78	68	146	39.0
18-20	2	1	3	0.7	2	3	5	1.4
Grand Total	284	177	461	100.0	205	169	374	100.0
Percentage [%]	62	38	100		55	45	100	

Multiple strategies to manage the situation saw the Bank leveraging its succession plan to tap into the executive and middle management talent pool to fill vacancies created. Accordingly, suitable team members were granted promotions and job rotation assignments in keeping with the Bank's "Develop from within" philosophy. When needed external recruitments were also sought to fill vacancies for experienced senior management as well to bridge skill gaps in specialised areas.

Entry level recruitments were facilitated through the career guidance programmes carried out by the Bank at several regional universities and regional level selection process were also carried out. While the main aim here was to increase local hiring, it was also meant to provide some relief to prospective candidates considering the high cost of commuting to and from Colombo.

Turnover - Province and Gender

Province	2023				2022			
	Male	Female	Grand Total	%	Male	Female	Grand Total	%
Central	19	7	26	5.6	9	7	16	4.3
Eastern	13	6	19	4.1	14	1	15	4.0
North Central	7	-	7	1.5	5	3	8	2.3
North Western	8	4	12	2.6	4	2	6	1.6
Northern	7	2	9	2.0	1	1	2	0.5
Sabaragamuwa	6	1	7	1.5	2	1	3	0.8
Southern	14	8	22	4.8	3	12	15	4.0
Uva	2	1	3	0.7	2	-	2	0.5
Western	207	148	355	77.0	165	142	307	82.0
Overseas Operations	1	-	1	0.2	-	-	-	-
Grand Total	284	177	461	100.0	205	169	374	100.0
Percentage [%]	62	38	100		55	45	100	

Promotions and Job Rotations for 2023

	Male	Female	Total
Promotions	270	107	377
Job Rotations	780	444	1,224

Strong emphasis was also placed on employee retention. A salary increment of 10.5% was granted to staff along with a monthly ex-gratia payment granted to employees of junior grades, while the existing allowance structure was reviewed and revised with a view to relieving the financial burden on employees owing to inflationary conditions. In related developments, a new 'Lodging and Convenience Allowance' was introduced in July 2023 specifically to support employees working 50+ Km from their home base where earlier this allowance was entitled by the employees deployed in outstation and difficult station branches.

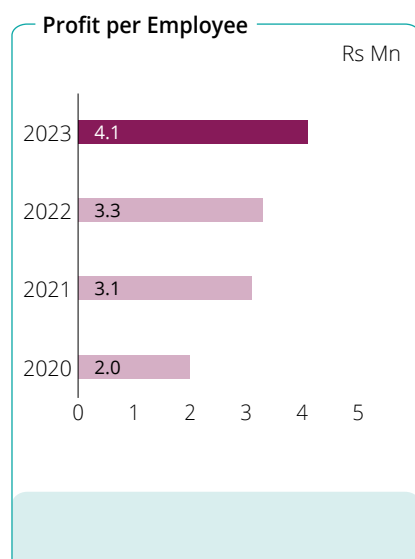
Reasons for Turnover vs Gender

Reason for Turnover	2023				2022			
	Male	Female	Grand Total	%	Male	Female	Grand Total	%
To Join Other Competitor Organisations	26	10	36	7.8	9	5	14	3.8
To Join Other Organisations	29	17	46	10.0	40	12	52	13.9
Migration	163	74	237	51.4	84	53	137	36.7
Higher Studies	11	17	28	6.1	6	12	18	4.8
Personal Reasons	31	42	73	15.8	24	39	63	16.9
Retirement	14	12	26	5.6	19	18	37	9.9
Other	10	5	15	3.3	23	30	53	14.0
Grand Total	284	177	461	100.0	205	169	374	100.0
Percentage [%]	62	38	100		55	45	100	

To assist team members affected by the economic crisis, a special 12-month Moratorium was offered for outstanding capital on all staff loans, including housing loans, vehicle loans and special loans.

The ex-gratia payment introduced in 2022 for junior executives due to the economic crisis continued to be made available for employees throughout 2023, meanwhile a hardship allowance has been introduced from January 2023 onwards.

The employee medical insurance scheme was revised with new limit enhancements introduced for all employee categories and the scope of the medical testing framework was further broadened to cover a wider range of tests during the year 2023.



New Recruits - Province and Gender

Province	2023				2022			
	Male	Female	Grand Total	%	Male	Female	Grand Total	%
Central	4	7	11	1.6	17	24	41	13.3
Eastern	14	27	41	5.9	1	6	7	2.3
North Central	3	9	12	1.7	3	3	6	1.9
North Western	14	13	27	3.9	11	6	17	5.5
Northern	8	7	15	2.2	-	4	4	1.3
Sabaragamuwa	5	8	13	1.9	8	4	12	3.9
Southern	11	37	48	7.0	21	18	39	12.6
Uva	3	9	12	1.7	7	4	11	3.6
Western	195	316	511	74.1	49	123	172	55.6
Grand Total	257	433	690	100.0	117	192	309	100.0
Percentage [%]	37	63	100		38	62	100	

New Recruits - Age Group and Gender

GRI 401-1

Age Group	2023				2022			
	Male	Female	Grand Total	%	Male	Female	Grand Total	%
18-20	32	45	77	11.2	8	15	23	7.4
21-30	211	382	593	85.9	94	163	257	83.2
31-40	11	6	17	2.5	11	12	23	7.4
41-50	1	-	1	0.1	4	2	6	2.0
Above 50	2	-	2	0.3	-	-	-	-
Grand Total	257	433	690	100.0	117	192	309	100.0
Percentage [%]	37	63	100		38	62	100	

COMPETITIVE REMUNERATION

Competitive remuneration has always been the cornerstone of Sampath Bank's efforts to attract and retain a high-quality team. The Bank's remuneration and Benefit Structures, in addition to being fully compliant with all regulatory stipulations, also reflect industry norms and align with global best practices, including the principle of equal pay for equal work.

Sampath Bank Benefit Structure

GRI 401-2

Description	2023			2022		
	Permanent Employees	Contract Employees	Differently-abled Employees	Permanent Employees	Contract Employees	Differently-abled Employees
Profit Bonus	✓	✓	✓	✓	✓	✓
Salary Increment	✓	On renewal of agreement	✓	✓	On renewal of agreement	✓
Allowances (as applicable)	✓	✓	✓	✓	✓	✓
Reimbursement of Course Fees/Exam Fees	✓	-	✓	✓	-	✓
Medical Facilities	✓	-	✓	✓	-	✓
Holiday Bungalow Facilities	✓	✓	✓	✓	✓	✓
Special Non-technical Training	✓	✓	✓	✓	✓	✓
Special Programmes for Children of Employees	✓	✓	✓	✓	✓	✓

HUMAN CAPITAL

HR GOVERNANCE FRAMEWORK

All Human Capital activities at Sampath Bank are managed centrally by the Bank's HR Department, which is headed by the Chief Human Resource Officer (CHRO). A comprehensive framework of HR policies covering all aspects of the employment lifecycle from recruitment, benefits, performance management, training and development, grievance handling and exit procedures, serve as the foundation for the management of HR related activities at the Bank.

All policies of the Bank are designed to comply with regulatory requirements. Going beyond compliance, policies also encapsulate globally accepted best practices. All policies are reviewed regularly and updated as needed, considering regulatory changes, industry best practices and emerging global HR trends.

DIVERSE AND INCLUSIVE WORKPLACE

Led by its non-discriminatory and equal opportunity principle, Sampath Bank continues to advocate for diversity and inclusion in the workplace. Based on its zero tolerance approach towards discrimination and harassment in the workplace, all team members are given equal opportunity to contribute towards the Bank's success, both through their unique capabilities as well as by collaborating with colleagues.

To further articulate its commitment, the ratio of basic salary for male and female stands at 1:1. It should be noted however that this ratio may change due to different service periods of employees in the Bank and elevation of the salary grade due to promotions irrespective of the gender.

In recent years, the Bank has set out specific targets to increase female representation at all levels of the workforce, particularly in the Senior and Corporate Management cadres. These efforts gathered momentum in 2023, with 50 Executives and Senior Executives in total inducted into the special leadership development programme launched under the auspices of Sampath Bank's first-ever female Managing Director - Mrs Ayodhya Iddawela Perera appointed in July 2023.

Other routine initiatives held annually such as the Best Speaker Competition, the Breast Cancer Awareness programmes and the Womens' Day celebrations continued in this year as well.

In an attempt to assess the success of these ongoing efforts to bridge gender parity, the Bank increased monitoring and reporting frequency of Bank-wide gender parity indicators from 2023 onwards, including; gender pay equity, gender composition at all levels of the workforce, gender distribution among governance bodies, incidents of sexual harassment in the workplace, number of females recruited and promoted relative to males, leave and flexibility etc.

Sampath Bank Gender Ratio - 2023

Description	2023	
	Male	Female
Q1 2023	64%	36%
Q2 2023	64%	36%
Q3 2023	62%	38%
Q4 2023	61%	39%

Basic Salary and Remuneration Ratio by Gender and Employee Category GRI 405-2

Description	2023		2022	
	Male	Female	Male	Female
Corporate Management	1.00	1.00	1.00	1.00
Senior Management	1.00	1.00	1.00	0.98
Executive Management	1.00	1.00	1.00	1.02
Middle Management	1.00	0.97	1.00	1.00
Junior Management	1.00	1.02	1.00	1.00
Operational Staff	1.00	0.86	1.00	0.97

Composition of Governance Bodies and Breakdown of Employees per Employee Category According to Gender, Age Group, Minority Group Membership and Other Indicators of Diversity - 2023 GRI 405-1

Age Group	Corporate Management		Senior Management		Executive Management		Middle Management		Junior Management		Operational Staff		Other		Grand Total	%
	Female	Male	Female	Male	Female	Male	Female	Male	Female	Male	Female	Male	Female	Male		
18-20	-	-	-	-	-	-	-	-	-	-	47	31	-	-	78	1.9
21-30	-	-	-	-	1	-	12	18	4	15	630	741	35	18	1,474	35.3
31-40	-	-	-	8	12	45	91	227	241	387	227	527	21	16	1,802	43.1
41-50	2	2	10	54	57	135	52	94	46	42	28	1	38	14	575	13.7
51-55	2	17	19	57	20	51	6	11	9	2	-	-	23	10	227	5.4
Above 55	3	5	-	5	4	2	-	1	1	-	-	-	2	-	23	0.6
Grand Total	7	24	29	124	94	233	161	351	301	446	932	1,300	119	58	4,179	100.0
Percentage [%]	23	77	19	81	29	71	31	69	40	60	42	58	67	33		

Return to Work and Retention Rates after Parental (Maternity) Leave IGRI 401-3

Description	2023	2022
Employees entitled to Maternity Leave	1,643	1,385
Employees obtained the Maternity Leave	53	82
Employees returned to work after Maternity Leave	53	82
Employees still employed 12 months* after taking Maternity Leave	51	75
Return to Work Rate [%]	100	100
Retention Ratio [%]	96	91

*12 months considered from 1st January 2023 to 31st December 2023.

NURTURING TALENT

The Bank believes in strengthening and building talent by identifying individuals with potential for growth, and providing them with opportunities to acquire necessary knowledge, skills and mindset to enhance their career prospects.

Performance Management

Performance management has always been a critical lever in the Bank's talent development framework. In 2022, the Bank made a decision to further improve its Performance Management Process wherein every team member was provided with Key Performance Indicators (KPIs) in line with the business unit targets and the overall strategies of the Bank. The fully fledged new Performance Management System (PMS), with its advanced algorithms is designed to provide a more accurate and impartial assessment of the individual

and team performance and ultimately ensuring rewards reflect both individual and team performance.

In anticipation of the live roll out of the new PMS, a dedicated team was carved out from within the HR Department to oversee the transition to the new system and handle any push back from staff. In this regard, a broad based change management campaign under the theme of "Rise with Sampath" was initiated including capacity building workshops to help unit heads migrate to the new target setting exercise along with a special awareness campaign to educate Team Sampath about the benefits associated with the new system.

Learning and Development

The Bank has a two-pronged approach to Learning and Development, wherein all employees have equal opportunity to benefit from training directly connected to

their job role as well as benefit from additional capacity building activities to support the achievement of their personal career ambitions.

Given the staff attrition challenges experienced as a result of the ongoing economic crisis of the country, the Bank moved to increase its focus on training interventions for all employee categories.

The Bank's flagship training programme for credit officers - the Certified Credit Practitioner programme conducted in partnership with the Institute of Banking Studies, remained one of the key training interventions in 2023 as well. The year under review saw 28 Branch Managers from the Kandy region completing the CCP LII course. Also, the Bank was able to deploy 1 Corporate Member and 12 Senior Managers in CCP LIII programme, despite the learning they obtained by actively engaging in the strategic planning project.

A series of internally developed workshops focused on Customer Service Excellence was carried out for frontline teams covering 229 Branch Managers and 530 other frontliners including Assistant Branch Managers. Over 350 credit officers were also trained in a special training session on the role of ESG in credit operations. In parallel, a series of workshops were carried out for branch operations teams across all 229 branches to strengthen the operational excellence and risk, compliance and audit controls. Also, the Branch Bench Strength assessment was carried out in Q3 to ensure the job rotations are in place at Branch levels.

Training Update - 2023

Priorities and Objectives as per Training Plan	Key Activities for 2023	
	Topics Covered	Target Category
Credit Competency Development Programmes	Certified Credit Practitioner - Level I	Team Sampath
	Certified Credit Practitioner - Level II	Team members in the grades of JE II and above
	Certified Credit Practitioner - Level III	Team members in the grades of Senior Manager and above
Leadership Development Programmes	Elevate - Leadership Development Programme for Heads of the Departments	Heads of the Departments
	Lead Impact - Management Development Programme for Branch Managers	Branch Managers
Customer Service	Enhance Customer Service Experience and Professionalism at frontline	Branch Managers
	Enhance Customer Service Experience and Professionalism at frontline	Assistant Branch Managers, JE IIs, JE Is & Trainees
	Enhance Customer Service Experience and Professionalism	Team Members attached to Card Centre
	Customer Service and Managing Customer Service Relationships	Team Members attached to Trade Services Department
Technical Programmes	Orientation Programme for Newly Recruited Team Members	Newly Recruited Team Members
	Competency Development Programme for Tellers	Tellers attached to Branches
	Competency Development Programme for Cash Officers	Cash Officers attached to Branches
	Competency Development Programme for Accounts Opening Officers	Accounts Opening Officers attached to Branches
	Competency Development Programme for Pawning Officers	Pawning Officers attached to Branches

HUMAN CAPITAL

Priorities and Objectives as per Training Plan	Key Activities for 2023	
	Topics Covered	Target Category
Training Programmes in line with Regulatory Requirements	Anti-Money Laundering and Regulatory Compliance	Branch Managers, Assistant Branch Managers and Accounts Opening Officers attached to the Branch network
	Awareness Programme on Compliance	Team Sampath
	Programme on Foreign Currency Regulations	Branch Managers, Assistant Branch Managers and Accounts Opening Officers
	Risk Analysis on Advances	Zonal Managers, Regional Managers and Branch Managers
	Importance of Loss Event Data Reporting (ILED) under Operational Risk Management and Awareness on Common Mistakes	Branch Managers, Assistant Branch Managers, Kalypto Operations System Users and any other frontline team members attached to Branches in Regions
	Awareness Session on Information Security	Team Sampath
	Training on Implementation of Environmental and Social Risk Management System (ESMS)	Branch Managers and Team Members involved in Credit related areas

Average Training Hours

GRI 404-1

Description	2023	2022
Average Training Hours per Employee	34.7	31.5
Average Training Hours per Female	38.9	31.0
Average Training Hours per Male	31.9	31.7

Average Training Hours per Employee - Category-wise

Employee Category	2023 Average Training Hours per Employee	2022 Average Training Hours per Employee
Corporate Management	34.1	42.5
Senior Management	29.5	38.1
Executive Management	41.4	74.8
Middle Management	35.7	38.3
Junior Management	31.0	45.8
Operational Staff	36.6	20.4
Other Grades	14.4	11.5

Competency Area-wise Summary

No.	Competency Area	2023		2022	
		Number of Participants	Training Hours	Number of Participants	Training Hours
(1)	Operations (Cash/Accounts Opening/Pawning/Cheques/Clearing/Credit Cards)	5,679	6,312	8,768	7,698
(2)	Credit and Recoveries (Credit/Recovery/SME/Micro Finance)	3,073	12,250	4,890	9,058
(3)	International Operations (Trade/Foreign Currency Operations)	1,421	2,319	2,907	3,801
(4)	Risk and Compliance (AML)	3,784	4,695	3,726	4,462
(5)	Finance and Accounting	455	1,086	847	2,342
(6)	Marketing (Products/Branding)	1,188	1,144	2,540	2,534
(7)	Human Resource Management/Health and Wellbeing	1,116	4,015	2,751	3,041
(8)	Legal and Good Governance	463	1,043	171	381
(9)	Other Technical Programmes (Treasury etc.)	597	1,527	5,693	4,234
(10)	Orientation Programmes	11,015	55,780	3,175	9,438
(11)	Customer Service Excellence and Selling Skills	2,224	7,675	1,214	1,006
(12)	Leadership and Management (Competency Development Programmes/Strategic Management/Change Management)	1,983	14,660	543	3,485
(13)	IT Skills (Core Banking System/Digitalisation/Project Management/E-Commerce etc.)	2,721	3,670	4,360	6,327
(14)	Communication Skills (Business Writing/Effective Communication)	414	742	926	1,168
(15)	Other Non-Technical Skills (Train the Trainer etc.)	8,288	10,434	6,286	8,348
	Sub Total (Excluding Learn with Vidvan - LMS)	44,421	127,352	48,797	67,323
(16)	Learn with Vidvan - LMS (number of times participants logged into LMS)	18,355	17,503	19,343	56,981
	Grand Total	62,776	144,855	68,140	124,304

Average Training Hours per Year, per Employee by Gender and Employee Category - 2023

GRI 404-2,3

No.	Competency Area	Participants		Training Hours		Employee Category (Participants)							
		Male	Female	Male	Female	Corporate Management	Senior Management	Executive Management	Middle Management	Junior Management	Operational Staff	Other	Grand Total
(1)	Operations (Cash/Accounts Opening/Pawning/Cheques/Clearing/Credit cards)	3,683	1,996	3,832	2,480	1	36	335	731	1,161	3,379	36	5,679
(2)	Credit and Recoveries (Credit/Recovery/SME/Micro Finance)	2,292	781	10,271	1,979	14	185	729	622	386	1,108	29	3,073
(3)	International Operations (Trade/Foreign Currency Operations)	927	494	1,543	776	10	44	138	250	315	662	2	1,421
(4)	Risk and Compliance (AML)	2,569	1,215	3,056	1,639	15	148	686	872	591	1,460	12	3,784
(5)	Finance and Accounting	304	151	720	366	10	18	112	93	60	161	1	455
(6)	Marketing (Products/Branding)	786	402	719	425	4	11	84	167	248	661	13	1,188
(7)	Human Resource Management/Health and Wellbeing	584	532	1,855	2,160	4	63	119	184	162	505	79	1,116
(8)	Legal and Good Governance	273	190	436	607	5	31	174	112	37	101	3	463
(9)	Other Technical Programmes (Treasury etc.)	391	206	1,051	476	11	25	40	71	102	333	15	597
(10)	Orientation Programmes	5,900	5,115	24,911	30,869	4	14	15	326	2,848	7,686	122	11,015
(11)	Customer Service Excellence and Selling Skills	1,408	816	4,869	2,806	3	18	229	259	358	1,215	142	2,224
(12)	Leadership and Management (Competency Development Programmes/Strategic Management/Change Management)	1,290	693	9,613	5,047	91	202	398	582	597	111	2	1,983
(13)	IT Skills (Core Banking System/Digitalisation/Project Management/E-Commerce etc.)	1,767	954	2,499	1,171	16	105	223	431	531	1,344	71	2,721
(14)	Communication Skills (Business Writing/Effective Communication)	303	111	545	197	-	68	169	82	31	53	11	414
(15)	Other Non-Technical Skills (Train the Trainer etc.)	4,615	3,673	6,087	4,347	73	373	933	1,229	1,625	3,852	203	8,288
(16)	Learn with Vidvan - LMS (number of times participants logged into LMS)	10,003	8,352	8,933	8,570	5	46	171	514	3,309	13,988	322	18,355
	Grand Total	37,095	25,681	80,940	63,915	266	1,387	4,555	6,525	12,361	36,619	1,063	62,776

All employees receive regular feedback on performance and career development, and their level of performance is assessed on a regular basis.

Future Leaders Programme Update - 2023

Details	Target Group
ELEVATE - Leadership Development Programme for Heads of Departments	30 members from Senior Management 05 members from Executive Management
Lead Impact - Management Development Programme for Branch Managers	30 Branch Managers 35 Heads of the Departments
Leadership Development Programme for Female Team Members	50 members from Executive Management
Board Leadership Director Certification Programme	01 member from Corporate Management
Certification Programme on "Board Leadership Director" Intake 15 - Part IV	01 member from Corporate Management
Achieving Excellence in Branch Manager role	08 members from Middle Management

HUMAN CAPITAL

In terms of capability and leadership development, over 400 interns were groomed under future leader orientation programme, while the newly launched "Lead Impact" and "Elevate" Executive Development programmes saw its first intake of 30 Branch Managers and 35 Heads of the Departments being on boarded. As described above, the Female Leadership programme continued for the second consecutive year, with the latest intake comprising 50 senior officers of the Bank.

Overseas training for Corporate and Senior Management was further intensified in 2023 with 22 senior team members benefitting from 5 training programmes and 4 business conferences/seminars. Further, the Bank partnered with Insead Campus France to facilitate special training for 3 Senior Deputy General Managers and other selected members of the Corporate Management.

It should be noted that training in 2023 was largely in-person, resulting in a reduction in online training engagement. However, a notable development was the commencement of a special Edutainment segment, where Netflix short documentaries, TED talk shows, new development videos, and educational and entertainment programmes were webcasted in Thursdays/Fridays.



Culture and Conduct

Culture and Conduct is deemed a strategic imperative in moulding Team Sampath to embrace the Bank's ethics and key operating principles. In an effort to further reiterate the Bank's value system amidst rapid changes in the operating environment, the Board approved revisions to the Code of Conduct in 2023 to further improve the clarity of guidelines for employees regarding the Bank's stance on appropriate workplace behaviours including diversity and inclusion, health and safety, and special emphasis on anti-corruption and anti-bribery practices. Changes to the Code of Conduct were accompanied with a special training session conducted by the Manager - HR Operations and the Chief Risk Officer to educate the Branch Managers on identifying ABC pressure points in the day-to-day operations. A separate training module was also developed and integrated to "Vidvan", covering the ABC Policy of the Bank.

As part of the overall approach to strengthening Bank-wide culture and conduct, the induction programme for new recruits was also further enhanced to bring focus to culture integration and fraud prevention.

HEALTH AND WELLNESS

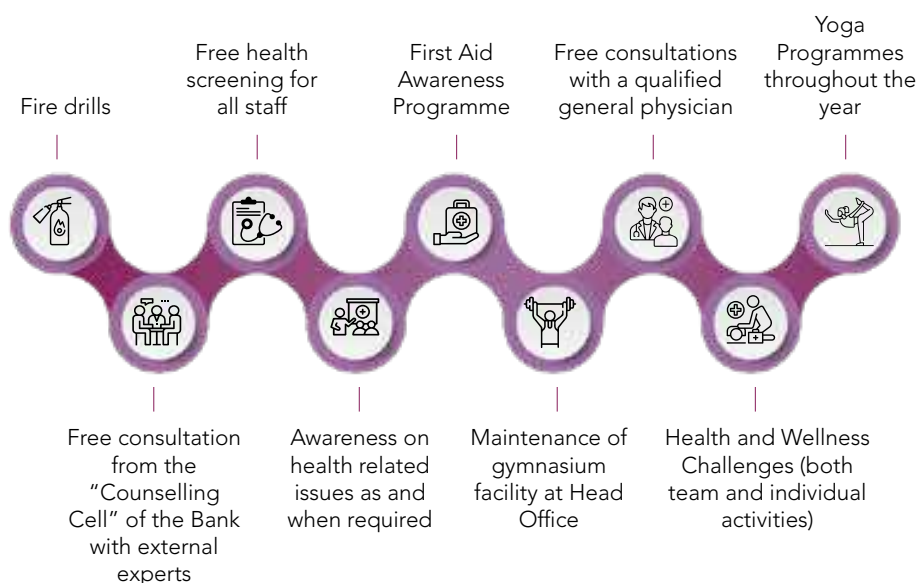
Sampath Bank's health and wellness initiatives are formulated to promote work-life integration that will enable employees to thrive both at work and at home and also have a positive impact in their communities. Focusing on the holistic well-being, the Bank efforts are directed towards safeguarding the physical, mental and emotional wellbeing of employees.

In this regard, all employees are entitled to the free annual health checkup provided by the Bank. Employees also have the ability to obtain a free consultation from the in-house Doctor on Mondays and Wednesdays at the head office. Alternatively a 24/7 emergency contact hotline provides direct connectivity to the consultant physician. Similarly, the "Helping Hands" counselling cell continues to serve as a channel for employees to receive emotional support with external certified counsellors.



Counselling Cell Communication to Team Sampath

Focus on Health and Wellness - Key Highlights 2023



Wellness Projects in 2023

"Vigour to Move Forward" Health Conference

Held after a lapse of 5 years, the Health Conference was held on 25th June 2023 with the participation of 150 Team Members. The full day event consisted of 5 sessions conducted by an eminent panel of medical experts.

- Dr Manilka Sumanathilaka - Lifestyle, Obesity and Diabetes
- Dr Inoka Suraweera - Stay healthy during outbreaks
- Dr Lalith Weragoda (Chief Human Resource Officer of the Bank) - Mindfulness
- Dr Ajith Fernando - Common Gynecological issues
- Dr Kalani Perera - Ayurveda beauty tips

In addition to the awareness sessions, all participants also benefited from a free physical checkup, including the Body Mass Index (BMI) assessment, audio visual evaluation etc.



Health Conference 2023

Weight Loss Team Challenge

The weight loss team challenge was launched for the first time in 2023. The programme was commenced on 15th October 2023 and concluded on 16th December 2023 saw 20 teams being coached through their weight loss journey by a certified fitness trainer. The top three teams along with best 10 individuals were granted cash awards totaling approximately Rs 200,000/-.



Weight Loss Training Session at Head Office



Art Competition - Daru Daskam

Sampath Daru Daskam is held every 2 years to recognise the talents of employees' children. The 2023 event saw the participation of 760 children between the ages of 4 years and 17 years.



Singing and Dancing Talents of Team Sampath



Drama by Team Sampath

Sampath Tharu - an event organised for employees to showcase their talents in the performing arts which was long overdue due to the COVID pandemic. Two shows were held to accommodate the 120 performers.

Online leadership development programme under the theme "Bring out the leader in your child" for employees' children. A total of 70 participants between 13 and 19 years of age benefitted from the programme.

COMMUNICATION AND ENGAGEMENT

Considering the high attrition risk in 2023, employee engagement and communication activities were further strengthened in the year under review.

Key Initiatives for 2023

Recruitment Drive in 2023

Bank has initiated a recruitment drive in several districts in the country to balance out the higher attrition in 2023.



Recruitment Drive in 2023

Rise with Sampath Theme

Sampath Bank initiated all key HR and communication activities under one theme "Rise with Sampath" during 2023.



"Rise with Sampath" Theme

HUMAN CAPITAL



Sampath Nite - The Annual Event was Held on 21st October 2023 at the Shangri-La Colombo



Employee Satisfaction Survey 2023

In 2023, Sampath Bank conducted a Bank-wide Employee Satisfaction Survey covering majority of Team Sampath. The sample was representative of all employee cadres at all levels of the business and the satisfaction ratio is around 85.



Sampath Bank Organised a Best Speaker Contest for Year 2023 to Recognise the Communication Skills of Team Sampath



Other Employee Engagement Initiatives in Place During 2023

"Sampath Sandeshaya" in-house magazine published quarterly to share the Bank's clubs/societies' news and employees' articles and contributions showcasing their creativity.



MD's Desk communication initiative used to share vital information, business progress and convey the management's expectations.

"Sampath Sashreeka", sustainable home gardening designed in line with Bank's continuous effort to provide sustainable solutions to face the current social and economic concerns.



MD's Business Club, an internal blog that serves as a platform to receive open feedback from team members.

24/7 HR Hotline for employees.



Special WhatsApp Group communications between Branch Managers, Assistant Branch Managers and the Head of HR.



SOCIAL AND RELATIONSHIP CAPITAL

GRI 3-3



Contribution to Sustainable Development Goals



- Target 1.4: Equal rights to ownership, basic services, technology and economic resources.
- Target 1.5: Build resilience to environmental, economic and social disasters.
- Target 1.a: Mobilisation of resources to end poverty.
- Target 2.3: Double the productivity and incomes of small-scale food producers.
- Target 2.4: Sustainable food production and resilient agricultural practices.
- Target 2.a: Invest in rural infrastructure, agricultural research, technology and gene banks.
- Target 3.8: Achieve universal health coverage.
- Target 4.4: Increase the number of people with relevant skills for financial success.
- Target 4.5: Eliminate all discrimination in education.
- Target 4.7: Education for sustainable development and global citizenship.
- Target 5.5: Ensure full participation in leadership and decision-making.
- Target 5.b: Promote empowerment of women through technology.
- Target 6.4: Increase water use efficiency and ensure freshwater supplies.
- Target 6.6: Protect and restore water-related ecosystems.
- Target 6.b: Support local engagement in water and sanitation management.

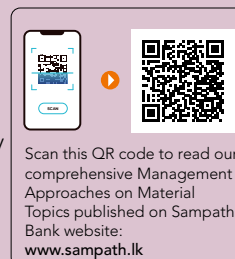
Social and Relationship Capital refers to the essential stakeholder relationships with customers, suppliers as well as the wider community that are critical to the Bank's ability to carry out its core business and continue to grow sustainably over time.

Management Approach

Invest time and effort to build and maintain strong relationships with customers and suppliers as well as earn the respect of the community today, tomorrow and in the future.

Material Topics

- Customer Convenience
- Customer Health and Safety
- Sales Promotions, Marketing Communications and Information Availability on the Bank's Products and Services
- Research and Development
- Customer Privacy
- Complaint Management
- Community Development
- Financial Inclusion Agenda



Focus for FY 2023

- Enhancing customer convenience.
- Improving customers' digital experience.
- Strengthening customer engagement and responsiveness.
- Creating opportunities for new suppliers.
- Community empowerment and support.

Outcomes

	100%	4,791
Rs 209 Mn	Customer Complaint Resolution	Beneficiaries of the "Sampath Saviya" Entrepreneur Development Programme
Economic value distributed to the Community	716	5,316
	Number of registered suppliers	Beneficiaries of the "Wewata Jeewayak" Programme

FUTURE PLANS

- Increase customer engagement through digital mediums.
- Value added solutions to support upliftment of communities.
- Increase the investment in the "Wewata Jeewayak" tank restoration programme to focus on expanding its coverage.
- Expand the agri-entrepreneurship development programme to develop agri-based model villages with a special focus on women empowerment. (This programme will be rolled out in parallel to the "Wewata Jeewayak" programme).

SOCIAL AND RELATIONSHIP CAPITAL

CUSTOMER

Innovating for Convenience and Accessibility

Innovation has always been at the heart of Sampath Bank's approach to transform the banking experience for both corporate and retail customers. Reiterating its commitment to continuous innovation, the Bank undertook product re-engineering, revamped channel architecture and modified back-end systems in 2023, all with the intention of enhancing customer convenience and improving customer accessibility.

Product Re-engineering	Revamping Channel Architecture	Modifications to Backend Systems
- Relaunch of "Sampath Kalin Cash" - Sampath Kalin Cash revolutionises the traditional fixed deposit system by providing customers with the opportunity to cash-in their interest upfront. The interest earned through Sampath Kalin Cash will be conveniently transferred to the customer's savings or current account instantly. This ground-breaking product - the first of its kind in the Sri Lankan banking industry, is designed to empower individuals to maximise their savings potential and enjoy the rewards of their investments without delay. Through this streamlined process, the Bank seeks to provide customers with a seamless and hassle-free experience, allowing them to manage their funds with greater ease and convenience. Aside from the benefit of upfront interest collection, Sampath Kalin Cash offers a range of compelling features. For example, customers can choose to invest their deposits for a period of 3, 6 or 12 months, to optimise their return on investment in line with their financial goals. Moreover, the minimum deposit amount for Kalin Cash is the same as the regular fixed deposits, thus ensuring accessibility for a wide range of customers. - Enhancements to the Cash Management Solutions to enable greater customisation for corporates.	- Accounts opening via the QR code displayed at the branch counters to facilitate remote account opening. As part of the next phase of the project, the Accounts Opening QR was added to the corporate website to allow customers to open accounts from overseas. - Upgrading the Sampath Vishwa Mobile app with the inclusion of a new immersive User Interface (UI)/ User Experience (UX) format to augment the self-banking experience along with advanced security features including biometric authentication. - Expanding the government payment portal on the Vishwa Corporate Online Banking platform. - Strengthening the partnership with Merchantrade Asia - Sampath Bank's e-remittance partner in Malaysia, to expand the remittance access points for Sri Lankans living and working in Malaysia.	- Accounts Opening Solution, a fully-fledged internal workflow management system to cater to all customer needs, thereby reducing customer waiting times at branches. - Overhaul of the SMS Alertz mechanism to eliminate the delay between the delivery of SMS to customers and the paper receipt issued by the CDM.

Driving Digital Adoption

Over the past decade, Sampath Bank has worked purposefully to increase customer digital adoption, especially during the COVID-19 period when these efforts were significantly accelerated. Keen to keep this momentum going in 2023, the Bank moved ahead with several unique initiatives designed to catalyse higher digital transaction volumes. Key among them were the enhancements to the Sampath Vishwa Online Banking platform which included the new self-management module that gives customers greater control over their financial position by

allowing them to uplift deposits and make part payments in respect of loan settlements. A number of new features were added to the WePay Digital Wallet as well in a bid to boost digital transaction volumes.

Communication and Engagement

Given the heightened economic uncertainty, customer communication activities were pivoted largely towards prompting digital adoption coupled with efforts to create awareness regarding online safety. The notable campaigns in this regard included the campaign to

Customer Engagement Initiatives Introduced in 2023

- Trilingual Support feature on the WePay Wallet app.
- Chatbot feature integrated to WePay to enhance the user experience.

promote the WePay Touchless Cash Withdrawals (TCW) facility among both Sampath and non-Sampath customers. With a fresh and attention-grabbing

Sampath Bank re-launches its website backed by latest digital tech and innovation

- Sampath Bank's new website deploys cutting-edge design, content, and innovation to delight customers. The new-look website leverages on the latest technology for better navigation and user appeal, thereby attracting more customers to conduct transactions online.
- The Bank's customer-centric focus echoes throughout the new website with customer convenience and speed of access to information being prioritised. In this regard, the virtual assistant on the home page graciously assists users navigate the website faster, while the Digital Banking and Product Wizards enable users to access information and services directly and efficiently. For customers looking for information, a chatbot answers questions in real-time in all 3 languages.
- Customers can also take a virtual tour of Sampath Bank's ATM and VTM machines to familiarise themselves with the hi-tech facilities offered by the Bank.

Meanwhile, routine and seasonal campaigns for SampathCards and the Sampath Sanhinda Medical Benefit campaign for senior citizens also continued in 2023.

Managing Complaints

In its quest to benchmark global best practices, the Bank's existing hybrid system of managing complaints was completely overhauled in 2023 and replaced with a new fit-for-purpose digital workflow system to handle all complaints from end-to-end. The new system is equipped to record complaints received from all sources, create a complaint loop by generating the Customer Complaint Event Reporting (CCER) and escalate the same to the relevant process owner who is then required to table the relevant response via the system. The new system is also equipped with advanced tracking features to ensure the complaint loop is managed efficiently within the assigned timelines.

Area of Complaint	% of Complaint Resolution
Complaints regarding Digital Channels (Sampath Vishwa, WePay, etc.)	100%
Complaints regarding staff members	100%
Complaints regarding Bank's procedures	100%



tagline in 2023, the campaign emphasised the convenience of TCW as a safer alternative to ATM cards. This strategic shift resonated with customers and resulted in a substantial 12.4% increase in transactions during the campaign period. Another key highlight for the year was the new campaign to create awareness about the unique features of the Sampath WePay Wallet App. Ms Yohani de Silva was appointed as the brand ambassador for the campaign, which focused on publicising WePay's unique features including social share and iGift. The strategic pivot yielded impressive results, with a substantial 33% increase in transactions during the campaign period.

The other noteworthy campaign was the Sampath Vishwa Corporate (SVC) initiative to promote the Bank's Cash Management Solutions and other digital banking solutions for Corporates. The campaign played a pivotal role in raising awareness about the added convenience and enhanced security features for businesses. Testifying to the success of the campaign, a substantial 15% increase in transaction volumes were noted during the campaign month.

The "Pohosath Minissu" brand refresh campaign rolled out in 2022 gained further traction in 2023 with the core ideology of the campaign resonating strongly with the public at a time when the country was battling unprecedented economic and social challenges.

Sampath Bank partners with BOI and the Ministry of Investment Promotion to launch 'Sri Lanka's Banking Guide for Investors and BOI Companies'

Available in both print and electronic formats, the Banking Guide serves as a strategic initiative to support the nation's drive to attract foreign direct investments. It further offers comprehensive banking insights tailored for investors and BOI Companies, addressing key areas such as investment accounts, operational banking, borrowing solutions, and related financial services. It includes an insightful economic outlook, offering a holistic perspective that extends beyond markets and imparts valuable knowledge.



Sampath Bank's New Website

SOCIAL AND RELATIONSHIP CAPITAL

Customer Privacy

GRI 418-1

Safeguarding customer privacy goes hand in hand with Sampath Bank's customer-centric approach. In 2023, the Bank appointed a new Data Protection Officer (DPO) to understand and disseminate the provisions of the Personal Data Protection Act No. 9 of 2022. Although the formal Data Protection Authority in Sri Lanka is just established, the Bank conducted a gap analysis underscoring its commitment to support early adoption of the prescribed customer privacy guidelines as and when they do come into effect. As part of this overall effort, the DPO and other relevant team members participated in a series of training workshops conducted by external specialists.

GRI 203-1,2/413-1

COMMUNITY

Sampath Bank's distinct identity as a truly Sri Lankan bank is deeply rooted in the community ties built over the past 37 years. Since its inception, Sampath Bank has worked with a strong conviction to address broader community needs beyond business. An integrated approach underpins the Bank's Strategic Sustainability Framework which is designed for the purpose of finding solutions to systemic issues that hinder long-term socio-economic progress in the country.

The Project Management and Evaluation Process (PMEP) which forms an integral part of the Strategic Sustainability Framework, is the main filter used by the Bank to determine high impact projects that meet one or more of the following objectives.

- Contribution to resolving key national issues.
- Supporting the socio-economic progress of Sri Lanka.
- Providing significant sustainable solutions that address the root cause of socio-economic challenges faced by communities.
- Promoting sustainable value creation.
- Promoting increased stakeholder engagement among community groups.
- Serving the United Nations Sustainable Development Goals.

The Bank's Corporate Sustainability Department is responsible for managing PMEP and for overseeing the implementation of sustainability projects undertaken to ensure the achievement of the aforementioned objectives.

Collaboration is another key component of Sampath Bank's Strategic Sustainability Framework. To that end, the Bank seeks to collaborate with entities and organisations that share the same commitment to socio-economic upliftment of communities. In addition, members of Team Sampath are also encouraged to participate in community work by dedicating their time and effort to make a broader social impact.

"Wewata Jeewayak" Tank Restoration Programme (Restoration of National Irrigation System)

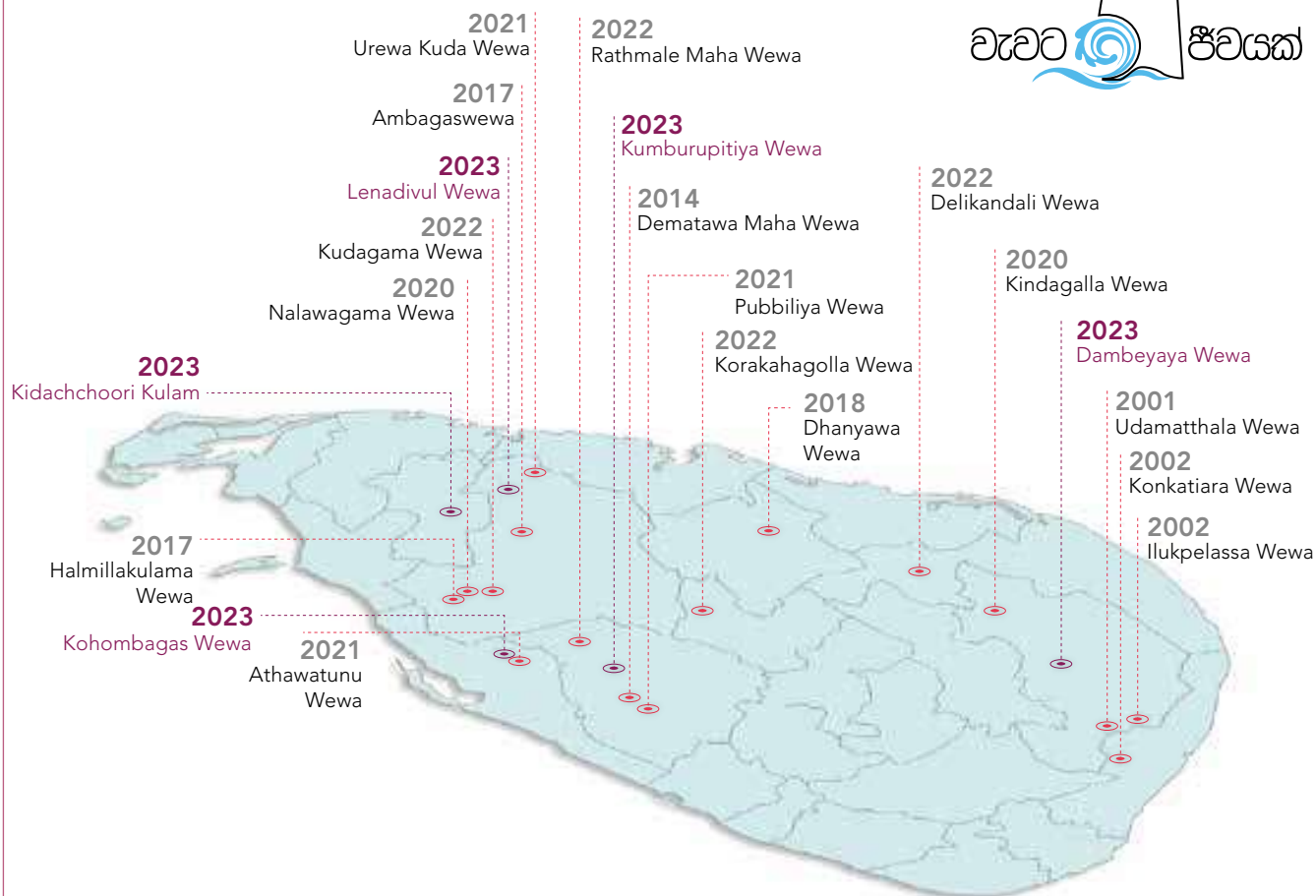


Ceremonial Event of Signing the Tripartite Agreements with the Farmers' Associations and Department of Agrarian Development to Mark the Commencement of Tank Restoration Projects for the Year 2023

The main purpose of the programme is to restore neglected/damaged irrigation tanks in dry and intermediate zones in order to give small scale rural agri farmers access to reliable, year-round water supply to irrigate their paddy lands to ensure they are able to benefit from both Yala and Maha cropping seasons. By empowering small scale farmers to earn stable livelihood in this way, the "Wewata Jeewayak" programme contributes to the upliftment of the local economy, improving national food security as well as ensuring the preservation of Sri Lanka's cultural heritage.

Now in its 23 years of operation, the "Wewata Jeewayak" Programme has made good headway in achieving its stated objectives. Considering the severity of the economic shocks in Sri Lanka over the past few years and their cascading effect on the rural communities, the Bank has continued to deepen its investment in the "Wewata Jeewayak" programme. In 2023, 5 new projects were undertaken along with Phase II of the restoration of Dematawa Maha Wewa, which together represents the highest ever number of projects undertaken in a single calendar year.

Tanks Restored by the Bank



"Wewata Jeewayak" – Project Summary 2023

	Kohombagas Wewa	Kumburupitiya Wewa	Lenadivul Wewa	Dambeyaya Wewa	Kidachchoori Kulam	2nd Phase of Dematawa Maha Wewa	Total
Direct Beneficiaries (Farming Families)	76	178	55	80	290	200	879
Acres of Paddy Lands Benefited	64	105	45	110	185	65	574
Stakeholder Partnerships	"Eksath" Farmers' Association	"Pinnapolegama" Farmers' Association	"Ekamuthu" Farmers' Association	Dambeyaya "Pubudu" Farmers' Association	"Kannagi" Farmers' Association	"Dematawa" Farmers' Association	
	Department of Agrarian Development, District Office, Puttalam	Department of Agrarian Development, District Office, Kurunegala	Department of Agrarian Development, District Office, Anuradhapura	Department of Agrarian Development, District Office, Monaragala	Department of Agrarian Development, District Office, Vavuniya	Department of Agrarian Development, District Office, Kurunegala	
	Community Members	Community Members	Community Members	Community Members	Community Members	Community Members	

SOCIAL AND RELATIONSHIP CAPITAL

→ Restoration of Dematawa Maha Wewa - Phase II

The Dematawa Maha Wewa, located in Dematawa, Kurunegala, which was restored in 2014 was the 4th tank restoration project of Sampath Bank's "Wewata Jeewayak" Programme. Phase II of the project which commenced in 2023, saw the Bank undertaking to assist in removing invasive aquatic plants in and around the tank, which had long been the main cause for the low water capacity in the tank. Furthermore, invasive aquatic plants covering the tank surface area have compromised the distribution of water through the canal network, in turn disrupting the cultivation patterns and leaving vast areas of land idling for part of the year. Removing the invasive aquatic plants from the tank has helped farmers in the area to resume cultivating almost 65 acres of new paddy lands in both seasons, which has directly benefited over 200 families.



Initial State



Restoration Underway



Post Rehabilitation

→ Kohombagas Wewa in Mahakubukkadawala

The Kohombagas Wewa is situated in Mahakubukkadawala in Puttalam district. The 20-acres Kohombagas Wewa is the primary source of irrigation for around 64 acres of paddy lands and 76 farming families who depend on paddy cultivation as their main income source. Following the urgent appeal made by the Eksath Farmers' Association, Sampath Bank proceeded to conduct a PMEP which identified the need to restore the main feeder canal flows, including irrigation



Initial State of Damaged Feeder Canal



Restoration Underway

canals, and rebuilding the damaged spills and tank bund. Restoration work on the Kohombagas Wewa commenced in July 2023.

→ Kumburupitiya Wewa in Pinnapolegama, Nikaweratiya

The Kumburupitiya Wewa, located in Pinnapolegama, Nikaweratiya, is the main water source for by approximately 178 farming families who use it to irrigate approximately 105 acres of paddy lands. Following the appeal made by the Farmers' Association, the Bank launched an investigation as part of the PMEP. The findings revealed that due to years of neglect, the main sluice gate, the network of irrigation canals and the three anicuts were all severely damaged. Restoration work on the Kumburupitiya Wewa commenced in July 2023.



Initial State of the Irrigation Canals



Restoration Underway



Post Rehabilitation: Restored Anicut

→ Lenadivul Wewa in Medawachchiya, Anuradhapura

The Lenadivul Wewa situated in Medawachchiya, Anuradhapura, is the primary source of irrigation for around 45 acres of paddy lands that supports the livelihoods of 55 farming families. Following the request made by the Ekamuthu Farmers' Association, Sampath Bank initiated the PMEP to ascertain the scope of the work required. The PMEP revealed that the tank's main feeder canal, which flows through the nearby forest was severely damaged in several places, while the spillway was also in a dilapidated condition. Due to the overall poor condition of the tank, paddy cultivation in the area has been restricted to only one season, while the ground water level in the vicinity has also declined significantly. Restoration work on the Lenadivul Wewa commenced in July 2023.



Initial State of the Tank's Spill



Restoration Underway



Post Rehabilitation: Restored Spill

→ Dambeyaya Wewa in Okkampitiya, Buttala

The Dambeyaya Wewa is situated in Buruthagolla village in Okkampitiya consisting of around 80 farming families who depend on tanks for farming, agriculture and other livelihood development activities. Following the conclusion of the PMEP, restoration work commenced in September 2023 to rebuild the damaged tank bund, reconstruct the main spillway, sluice gate and distribution canals. Once completed, the Dambeyaya Wewa will serve to irrigate approximately 110 acres of paddy lands.



Initial State



Ground Breaking Ceremony

→ Hand Over of Tanks Restored under the "Wewata Jeewayak" Programme

The four tank restoration projects which were undertaken by the Bank in 2022 in the Matale, Badulla, Anuradhapura and Kurunegala districts, were fully completed and vested with the respective farmer communities during 2023.



Post Rehabilitation: Korakahagolla Wewa, Dambulla



Post Rehabilitation: Delikendali Wewa, Dambana



Post Rehabilitation: Kudagama Wewa, Thalawa



Post Rehabilitation: Rathmale Maha Wewa, Maho

SOCIAL AND RELATIONSHIP CAPITAL

➔ Sampath Bank's "Wewata Jeewayak" Programme moves to support farmers in Sri Lanka's Northern region through the restoration of the Kidachchoori Kulam in Eachchankulam, Vavuniya

The Kidachchoori Kulam, a 40 acre tank situated in Eachchankulam, Vavuniya, is the primary source of irrigation for around 185 acres of paddy land that supports the livelihoods of 290 farming families in the area. Following an appeal by the local community, the PMEPP was carried out by the Bank to ascertain the scope and scale of the work required. Investigations conducted as part of the PMEPP revealed that long-term neglect has caused extensive damage to tank infrastructure, leaving farmers in the area severely handicapped.

Moving quickly to provide a sustainable solution to these farming communities, the Bank commenced reconstruction work on the Kidachchoori Kulam. The project, which commenced in September 2023 involved the restoration of the entire tank infrastructure including rebuilding the heavily damaged both sluices as well as the feeder canal which was also found to be damaged in several places.

The Kidachchoori Kulam restoration project is considered a landmark undertaking as it represents the very first tank restoration project conducted by the Bank to support farmers in the Northern regions of the country.

In parallel to the inauguration of the restoration of Kidachchoori Kulam, the "Gasai Mamai Pubudu Pothai" programme was launched in Vavuniya district at the Kidachchoori Tamil School.



Initial State of the Damaged - Feeder Canal



Religious Ceremony at the Inaugural Ceremony



Inauguration Ceremony



Restoration Process: Community Involvement



Inauguration of "Gasai Mamai Pubudu Pothai" Programme in Vavuniya District

Testimonial



"As a member of the Eachchankulam farming community, I wish to express my gratitude to Sampath Bank for this invaluable gift which has given us new hope for a better future."

The people of Eachchankulam in Vavuniya have relied on the Kidachchoori tank to provide water for cultivating their paddy lands. However, the dilapidated state of the tank in recent years has greatly hampered their farming activities. With both sluices of the tank not functioning properly, a substantial amount of water was being wasted due to leakage. Further, the feeder canal is also severely damaged. We approached Sampath Bank to see if there is a possibility of obtaining their assistance under the Bank's "Wewata Jeewayak" programme. I was extremely happy when the Bank responded immediately and agreed to restore the tank. The Bank officers, along with the officers from the Department of Agrarian Development, visited the tank to assess the damage, and construction began soon thereafter. The work involved a complete overhaul of the two sluice gates and the feeder canal, with the entire irrigation system restored within a short span of only 04 months. As a member of the Eachchankulam farming community, I wish to express my gratitude to Sampath Bank for this invaluable gift, which has given us new hope for a better future.

T Suren

The President, Kannagi Farmers' Association, Eachchankulam, Vavuniya

"Hope for a Life" - Health Sector Facilitation Programme

Sampath Bank's donation of Rs 50 Mn will go towards the upkeep of 10 Suwa Seriya ambulances across all nine provinces, to enable all Sri Lankans free access to immediate and effective pre-hospital care ambulance services and emergency response services in a fully equipped clinical environment until such time the person reaches the nearest healthcare provider.

→ Contributing to the "Adopt an Ambulance" Initiative of the 1990 Suwa Seriya Foundation

Sampath Bank in 2023 donated Rs 50 million towards the 'Adopt an Ambulance' initiative by the 1990 Suwa Seriya Foundation. The donation was made as part of the "Hope for a Life" programme which is a key pillar of the Bank's CSR efforts aimed at uplifting national healthcare standards. Through the "Hope for a Life" programme, the Bank has over the years made substantial contributions to strengthen the country's healthcare system. This latest effort was in response to the "Adopt an Ambulance" initiative launched by the Suwa Seriya Foundation to secure private sector funding to sustain its services following the curtailment of government funding due to financial constraints brought on by the economic crisis in the country.

The financial assistance provided by Sampath Bank will enable the Suwa Seriya to maintain and improve the services of its 1990 ambulance network which provides lifesaving emergency medical assistance across Sri Lanka. Specifically, the donation

of Rs 50 million will go towards the upkeep of 10 Suwa Seriya ambulances across all nine provinces to enable all Sri Lankans free access to immediate and effective pre-hospital care ambulance services and emergency response services in a fully equipped clinical environment until such time the person reaches the nearest healthcare provider.



Signing the MOU with the 1990 Suwa Seriya Foundation



Presenting Cheque to the 1990 Suwa Seriya Foundation



Symbolic Hand Over of an Ambulance

→ Improving Facilities at the Base Hospital, Mahiyanganaya

Sampath Bank contributed furniture and equipment, including visitor chairs, to improve the facilities at the recently inaugurated Outpatient Department (OPD) at the Mahiyanganaya Base Hospital.



Visitor Chair Donation to the Base Hospital, Mahiyanganaya

→ Endowment of Essential Furniture to the National Hospital of Sri Lanka

Understanding the significance of corporate responsibility in meeting the needs of the national healthcare services, Sampath Bank committed to donating essential equipment needed to improve facilities in the patient waiting area of the Hematology Clinic at the National Hospital of Sri Lanka. This generous contribution will facilitate the smooth establishment of clinical services at the hospital, benefiting patients and medical staff alike.



Chairs Donated for Patients Waiting Area of Hematology Clinic of the National Hospital of Sri Lanka

SOCIAL AND RELATIONSHIP CAPITAL

GRI 203-1,2/413-1

"Education for All" Programme

Sampath Bank's "Education for All" pillar stems from the Bank's deep conviction to propagate social inclusivity by providing equal access to quality education and facilitating viable career development opportunities for youth in underserved communities across Sri Lanka.

➔ "Dhara" Young Artist Award at the University of Sri Jayewardenepura

Sampath Bank facilitated the "Dhara" Young Artist Award 2023 initiated by the Career Guidance Unit of the University of Sri Jayewardenepura, in collaboration with Career Guidance Unit (CGU) Flair Club. "Dhara" was a novel experiment aimed at creating a platform for talented undergraduates of the university to showcase their vocal and artistic talents.



"Dhara" Event at the Nelum Pokuna Theatre

➔ "We Lead" Career Fiesta '23 of the University of Peradeniya

Sampath Bank facilitated the career guidance fair organised by the University of Peradeniya under the theme "We Lead" Career Fiesta. Organised as a networking forum for students and prospective employers to meet and establish professional relationships and discuss potential jobs and internship opportunities, the full day event was well attended by over 3,000 undergraduates.



Career Guidance Session

➔ "BONIFERA 2023" Career Guidance Programme of Wayamba University

Sampath Bank stepped in to support the Department of Banking and Finance at Wayamba University of Sri Lanka for the 2023 edition, entitled "BONIFERA 2023", featured two key programmes: a Quiz Competition and the Career Guidance Programme which included a panel discussion on the role of a banking and finance graduate in empowering the Sri Lankan economy. Sampath Bank's involvement is in line with the Bank's desire to contribute to the development of well-rounded professionals who can make a positive impact on the Sri Lankan economy.



The Panel Discussion

➔ ECG 3.0 (Effective Career Guidance) Programme

ECG 3.0 is a long running initiative by Sampath Bank to empower youth to make smart career choices. Accordingly, ECG sessions were structured to offer guidance on personality development and building critical soft skills such as Corporate Discipline, Personal Branding, Interview Skills, CV (Curriculum Vitae) Preparation, IKIGAI, World of LinkedIn. ECG 3.0 launched in 2023 at the following state universities proved to be a resounding success.

- The University of Colombo
- The University of Sri Jayewardenepura
- The University of Ruhuna



ECG 3.0 Session at the University of Sri Jayewardenepura



ECG 3.0 Session at the University of Colombo



Felicitations of Resource Persons by the Career Guidance Unit of the University of Sri Jayewardenepura

➔ Investing in the Future - Facilitating for a Sri Lankan Student Representing Sri Lanka at the International Olympiad in Informatics 2023

Sampath Bank extended its support to Navida Mindiya Karunasinghe, a student from Royal College, Colombo, who was adjudged as a winner of the National Olympiad in Informatics (NOI), organised by the University of Colombo, School of Computing (UCSC). The Bank provided financial assistance needed for Navida Mindiya Karunasinghe to represent Sri Lanka at the 35th International Olympiad in Informatics 2023.



Transferring Funds Digitally through Sampath WePay Facility

➔ "Today's Reader - Becomes Tomorrow's Leader" National Book Donation Initiative

"Today's Reader - Becomes Tomorrow's Leader" was a unique book donation campaign initiated by Sampath Bank's Sales Department in conjunction with the Colombo International Book Fair in 2023. The campaign involved collecting books donated by Team Sampath as well as the general public who attended the Colombo International Book Fair, to be gifted to students in rural schools in the Aralaganwila area in Polonnaruwa. The main objective of this initiative was to safeguard the future of youth through the gift of knowledge, while imparting a valuable message to society on the importance of reading. The official book distribution ceremony took place at the Aralaganwila Vilayaya National School in line with the events organised to commemorate the national reading month and world children's day both of which fall in October. Over 10,000 books were distributed to students of the Vilayaya National School, Vilayaya Primary School, Medagama National School, Nahona Pre-School and Medirigiriya Sirimawo Bandaranayake Primary School. The schools selected were those that had successfully completed the Bank's "Gasai Mamai Pubudu Pothai" tree planting programme initiated in 2022.



Handing Over Books to the Vilayaya National School at the Event Held at BMICH



Handing Over Books to the Vilayaya National School at the Event Held at Aralaganwila

➔ "Corporate Leadership" Programme for School Leavers and Undergraduates

A structured internship programme offered by Sampath Bank for the past 7 years, the "Corporate Leadership" Programme aims to give school leavers and undergraduates the opportunity to develop the skills needed to function in a highly demanding banking sector.



Introduction to the Corporate Leadership Programme by the Chief Human Resource Officer



An Induction Session under the Corporate Leadership Programme

➔ Career Fairs and Other Career Development Programmes

The Bank continued to extend its support to Career Fairs and Career Development programmes conducted by various universities signalling the Bank's commitment to provide opportunities among youth.



Career Fair at University of Sri Jayewardenepura



Guest Lecture on HR Audit

SOCIAL AND RELATIONSHIP CAPITAL

Career Fairs and Other Career Development Programmes - 2023

No.	Programme	Programme Type	University	Number of Participants
1.	Ruhuna Education and Career Fair 2023	Career Fair	University of Ruhuna	150
2.	FMF Career Day 2023	Career Guidance	University of Ruhuna	170
3.	Touch the Peak - Annual Job Fair 2023	Career Fair	University of Sri Jayewardenepura	200
4.	Touch the Peak - Annual Job Fair 2023	Career Fair	University of Sri Jayewardenepura	100
5.	Industry Day 2023	Career Fair	University of Peradeniya	150
6.	ICBT Career Day 2023	Career Forum	ICBT	120
7.	Future Challenge 2023	Career Fair	University of Colombo	250
8.	Career Fair 2023	Career Fair	University of Colombo	75
9.	Talent Lift 2023	Career Forum	Open University of Sri Lanka	150
10.	Career Fair KIU 2023	Career Fair	Kaatsu International University	120
11.	AAT Job Fair Phase 4	Career Fair	AAT Sri Lanka	150
12.	Career Fair 2023	Career Fair	Saegis Campus	100

GRI 203-1,2/413-1

"Sampath Saviya" Entrepreneurship Development Programme

Since its launch in 2013, the "Sampath Saviya" Entrepreneurship Development Programme has been responsible for empowering Sri Lanka's Micro, Small and Medium Entrepreneur (MSME) sector. Over the years, the Bank has conducted specially tailored workshops targeting various entrepreneur categories, including youth, women, innovators, exporters, farmers, undergraduates, differently-abled persons and retirees.

→ Agri-Entrepreneurship Development Programme in Collaboration with CIC Holdings

Advancing its commitment to develop agri-entrepreneurs around Sri Lanka, Sampath Bank partnered with CIC Holdings to introduce value-added agriculture and climate-smart agricultural practices, including modern irrigation techniques to agri-entrepreneurs. Phase I of the programme was rolled out to cover agri-entrepreneurs in areas where the Bank's flagship "Wewata Jeewayak" tank restoration programme has been implemented. Accordingly, Hingurakgoda and Thalawa were selected for the first two



The Workshop at Hingurakgoda



The Workshop at Thalawa

programmes, where agri-entrepreneurs in these areas were offered technical advice on the adoption of value-added agriculture and climate-smart agricultural practices as well as educating agri-entrepreneurs regarding potential export opportunities.

→ "Wayamba Isura" Farmers' Market - Improving the Productivity of Grass Root Level Organic Farmers and Ensuring the Food Security of the General Public

The "Wayamba Isura" Farmers' Market, organised by the Provincial Department of Agriculture in Kurunegala, hosts an organic fair every Wednesday and Saturday. In 2019, the Bank collaborated with the "Wayamba Isura" Farmers' Market to achieve a dual objective: promoting organic products and fostering the development of agricultural entrepreneurs, with a special focus on empowering women in entrepreneurship. The Bank played a crucial role in transforming traditional farmers into agri-entrepreneurs by imparting necessary knowledge. Additionally, the project involved constructing stalls for farmers/vendors.



Workshop for Vendors on Financial Discipline



"Wayamba Isura" Farmers' Market

However, due to the challenges posed by the COVID-19 pandemic and economic slowdown, the "Wayamba Isura" Farmers' Market experienced disruptions, leading to a decline in its customer base. As the market is now gradually returning to normalcy, the Bank continues to invest in the project to strengthen the lives of organic farmers. This initiative not only aims to empower organic farmers but also holds the potential to promote women's entrepreneurship. The introduction of WePay App and savings accounts to merchants further facilitates financial inclusion, contributing to creating a farmer community united with new technology.

→ Assisting Agri-Entrepreneurs by Providing Seed Funding through Farmers' Association

A spin-off from the Bank's flagship "Wewata Jeewayak" tank restoration programme, the new initiative is designed to support agricultural entrepreneurs to invest in modernisation. The programme was started at the Rathmale village in Nagollagama, Maho, where farmers are actively involved in cultivating scotch bonnet and mushrooms.

The initial phase saw advisory services offered to agricultural entrepreneurs to enable them to operate their businesses seamlessly. Moreover, the project offers financial advisory services to farmers, promoting financial discipline throughout



Handing Over of the Certificate of Registration of the "Punarjewa" Production Farmers' Association



Handing Over of Seed Funding to the Farmers' Association

their ventures. Over the long term, the Farmers' Associations will be formed under the "Sampath Saviya" banner with the Farmers' Association empowered to grant financial assistance to farmers, to enable them to invest in modernising their agri-businesses.

Through this comprehensive approach, Sampath Bank aims to establish a sustainable and thriving agricultural ecosystem, benefiting farmers and rural communities on a larger scale.

→ Empowering Vulnerable Families and Caretakers in Collaboration with UNICEF

Sampath Bank tied up with UNICEF Sri Lanka to form a ground-breaking partnership aimed at delivering critical support to nearly 120,000 vulnerable mothers and caretakers with young children facing the lack of proper nutrition and healthcare services amidst the prevailing economic crisis in Sri Lanka. The Bank took the initiative to develop an dedicated payment gateway system to

effect smooth disbursements of the humanitarian funds to beneficiaries of UNICEF in BULK CEFT modality via the 'Sampath Vishwa Corporate' portal.

Under this programme, mothers and caretakers of young children born between 1st May 2021 and 31st December 2022 in the identified districts were eligible to benefit. To qualify, the mother or caretaker must be a resident of the selected priority districts, including Puttalam, Anuradhapura, Monaragala, Kegalle, Kilinochchi, and Mullaitivu. Each eligible mother or caretaker receives a monthly



The MOU Exchange Ceremony

cash transfer per eligible child for a period of up to four months. This will help to alleviate the financial burdens and empower families to provide their children with the necessary nutrition and care.

SOCIAL AND RELATIONSHIP CAPITAL

→ "Wonder Women" Initiative - A Special Women Empowerment Programme

In testimony to its ongoing commitment to empowerment of women, Sampath Bank's "Wonder Women" initiative was conducted for the second consecutive year as part of the events organised to mark International Women's Day, which falls on 8th March every year. The 2023 event was conducted under the banner - #EmbraceEquity, pursuant to the objectives of International Women's Day 2023 to establish society free of gender prejudice.

The event was organised as a panel discussion where highly successful



Social Media Post on the Programme



The Panel Discussion

females, all professionals at the top of their respective professions, were invited to discuss a range of issues related to how women can excel in the workplace despite shouldering many responsibilities.

This discussion also focused on the significance of celebrating women's achievements and addressing leadership roles and prejudice for women leaders.

→ "Sampath Saviya" Business Startup Advisory Service

Commencing in 2021, the initiative is now expanding its scope to provide support to aspiring startup entrepreneurs by guiding them through the formal business registration process, offering information

on connecting with relevant institutions, and providing other essential details. The Corporate Sustainability Department oversees the business startup advisory service, with a primary focus on nurturing an entrepreneurship culture across the island.



Social Media Post on Business Startup Advisory Service

→ Facilitate to the "InnovateX" Competition to Innovate and Technology Development in Sri Lanka

The "InnovateX" Competition, hosted by the Informatics Institute of Technology Business School, is a groundbreaking event in Sri Lanka's innovation and entrepreneurship sphere. Sampath Bank partnered with the "InnovateX" Competition, aligning with the Bank's entrepreneurship development initiative, "Sampath Saviya", and sharing the common objective of advancing Sri Lanka's technological landscape. The initiative



The Award Ceremony



The Evaluation Session

seeks to assist competition winners in founding and nurturing their businesses for a minimum of two years, offering crucial expertise, technical guidance, and financial support.

Other Community Projects

→ Endowment of Nallur Kandaswamy Kovil Annual Festival

The Nallur Kandaswamy Temple's annual historic festival stands as the lengthiest religious celebration and the most extensive congregation in the Jaffna peninsula, drawing over 200,000 devotees each year. Sampath Bank has consistently sponsored this event for over ten years.



The Religious Ceremony



Sampath Bank's Stall

	Programme	Number of Beneficiaries	Number of Volunteered Employees Engaged
Community Capacity Building 	SDGs Served         		
	"Wewata Jeewayak" Programme		
	2nd Phase of Restoration of Dematawa Maha Wewa, Dematawa	800	27
	Restoration of Kohombagaswewa, Mahakumbukkadawala	904	32
	Restoration of Kumburupitiya Wewa, Nikaweratiya	1,912	32
	Restoration of Lenadivul Wewa, Medawachchiya	220	32
	Restoration of Dambeyaya Wewa, Okkampitiya	320	32
	Restoration of Kidachchoori Kulam, Vavuniya	1,160	32
	"Hope for a Life" Programme		
	Contributing to the "Adopt an Ambulance" Initiative by the 1990 Suwa Seriya Foundation	12,167	25
	Endowment of Essential Furniture to the National Hospital of Sri Lanka	21,000	9
	Improving Facilities at the Base Hospital, Mahiyanganaya	9,000	19
	Other Community Projects	6,000	40
Entrepreneurship Development 	SDGs Served       		
	"Sampath Saviya" Programme		
	Agri-Entrepreneurship Development Programme in Collaboration with CIC Holdings at Hingurakgoda	128	19
	Agri-Entrepreneurship Development Programme in Collaboration with CIC Holdings at Thalawa	320	13
	"Wayamba Isura" Farmers' Market at Kurunegala	4,200	19
	Formation of "Punarjeewa" Production Farmers' Association at Rathmale, Maho	140	19
Education for All 	SDGs Served       		
	"Education for All" Programme		
	"Dhara" Young Artist Award at the University of Sri Jayewardenepura	200	9
	"We Lead" Career Fiesta '23 of the University of Peradeniya	3,000	15
	Individual Coaching Programme for an Identified undergraduate with special skills	1	15
	"BONIFERA 2023" Career Guidance Programme of Wayamba University	250	9
	Facilitate to the Zonal School Sports Meet, Dehiattakandiya	1,400	19
	ECG 3.0 (Effective Career Guidance) Programme at University of Colombo	400	16
	ECG 3.0 (Effective Career Guidance) Programme at University of Ruhuna	250	19
	ECG 3.0 (Effective Career Guidance) Programme at University of Sri Jayewardenepura	280	16
	Facilitating for a Sri Lankan Student Representing Sri Lanka at the International Olympiad in Informatics 2023	1	17
	Facilitate to the Annual Award Ceremony of the Career Guidance Unit, University of Ruhuna	500	12
	"Corporate Leadership" Programme for School Leavers and Undergraduates	975	990
	Career Fairs and Other Career Development Programmes	1,735	30

SOCIAL AND RELATIONSHIP CAPITAL

SUPPLIER

Strengthening Relations

Given the crucial role they play in safeguarding business continuity, Sampath Bank has always placed great importance on building and maintaining good relations with its supplier networks.

In an effort to ensure strong ties right from the start of the supplier relationship, the Bank's procurement team initiated face to face meetings as a mandatory part of the supplier on-boarding process for all new suppliers with effect from 2020. These meetings serve as an opportunity to understand the suppliers' business model as well as to disseminate the Bank's supplier Code of Conduct to potential new suppliers.

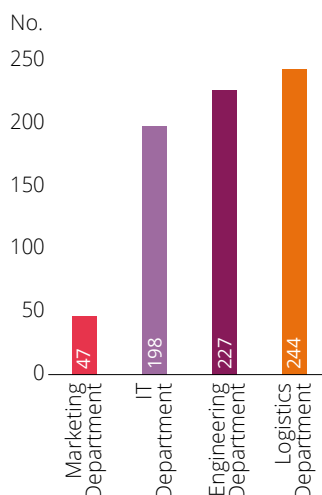
Routine supplier meetings continued as per usual to review alignment with the Bank's supplier Code of Conduct, promote greater collaboration, determine risks and opportunities and identify areas for improvement. A total of 110 supplier meetings were conducted with new suppliers, while the Bank's procurement teams held routine meetings with nearly 100% of all major suppliers at least once during the year.

Meanwhile, the validity of the supplier registration period was increased to 3 years, while more emphasis was placed on local sourcing to support the day-to-day needs of the branch network. These measures were aimed at enhancing the stability of the supplier network and to prevent potential supply chain disruptions.

Sustainability Integration

In keeping with the Bank's own internal sustainability goals, a larger number of SMEs were on-boarded in 2023. As part of the ongoing effort to encourage suppliers to improve their sustainability credentials, a new supplier rating mechanism will be implemented to further strengthen due diligence activities covering the aspects on environmental, social and economic

Registered Suppliers and Service Providers - 2023



Conducting an Onsite Awareness Session on ESG Matters to a Supplier by the Bank's Environmentalist

perspectives conducted at the point of initial registration. The purpose of the rating mechanism is to rank suppliers based on their order fulfilment track record in adherence to stipulated terms and conditions.

Environmental, Social and Governance (ESG) Due Diligence

Supplier due diligence activities continued to be carried out under the purview of the Bank's environmentalist to verify suppliers' adherence with the Bank's ESG practices, while advisory services continued to be offered as needed to help suppliers to improve their ESG credentials.

Supplier Testimonial



Extreme Vision (Pvt) Ltd

I founded Extreme Vision in 2009 with the aim of providing customised, high quality advertising solutions to SMEs and corporate clients. I am very proud to say that Sampath Bank was Extreme Visions' very first corporate client. The Bank is also our largest corporate client to date, accounting for more than 60% share of our annual revenue. I am very grateful for the consistent support extended by Sampath Bank, which helped Extreme Vision to overcome challenging times, especially during the pandemic years.

With the support of the Bank, Extreme Vision has expanded considerably over the years. Today, we are equipped with a fully-fledged work shop, design studio, large format outdoor and indoor Digital Printers, Laser, Lamination, Plotter Machines along with a dedicated and well experienced staff to deliver clients messages with maximum impact from inception to completion.

On behalf of my team, I wish to thank Sampath Bank for the long standing support to Extreme Vision.

Pradeepika Rupasinghe

Proprietor

Extreme Vision

131/A, Makola Road, Kiribathgoda.

Supplier Evaluation Model





NATURAL CAPITAL

GRI 3-3



Although Sampath Bank's operations have a minimal impact on the environment, the Bank has over the years exhibited strong advocacy for the preservation of Natural Capital based on a holistic strategy to address environmental issues.

Management Approach

Despite its limited use of natural resources, Sampath Bank remains fully committed to safeguarding Natural Capital through stringent management of the Bank's own carbon footprint. Going beyond this, the Bank has also undertaken to play a broader role in driving environmental advocacy through the core lending operations.

Material Topics

- Climate Change



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website: www.sampath.lk

Focus for FY 2023

- Prioritising lending for renewable energy.
- Focus customer environmental integration.
- Solar migration strategy for branches.
- Resource efficiency programme.
- Process automation.
- Environmental CSR projects.

Outcomes

Restoration of **1 hectare of mangrove forest** at the Anawilundawa RAMSAR Wetland Sanctuary

Rs 1,819 Mn credit extended to the NCRE sector

Restoration of **2 coral reefs** in Trincomalee and Dickwella

50,457 Turtle eggs protected under the "A Breath to the Ocean" programme

Restoration of **10 hectares of forest land** in the Halgahawala forest reserve

Contribution to Sustainable Development Goals



- Target 2.1: Universal access to safe and nutritious food.
- Target 6.6: Protect and restore water-related ecosystems.
- Target 7.2: Increase global percentage of renewable energy.
- Target 7.a: Promote access, technology and investments in clean energy.
- Target 8.9: Promote beneficial and sustainable tourism.
- Target 11.6: Reduce the environmental impacts of cities.
- Target 12.2: Sustainable management and efficient use of natural resources.
- Target 12.5: Substantially reduce waste generation.
- Target 12.6: Encourage companies to adopt sustainable practices and sustainability reporting.
- Target 12.8: Promote universal understanding of sustainable lifestyles.
- Target 13.3: Build knowledge and capacity to meet climate change.
- Target 14.2: Protect and restore marine and coastal ecosystems.
- Target 14.5: Conserve coastal and marine areas.
- Target 15.1: Conserve and restore terrestrial and inland freshwater ecosystems.
- Target 15.2: End deforestation and restore degraded forests.
- Target 15.4: Ensure conservation of mountain ecosystems.
- Target 15.5: Protect biodiversity and natural habitats.
- Target 15.a: Increase financial resources to conserve and sustainably use ecosystem and biodiversity.
- Target 17.6: Knowledge sharing and cooperation for access to science, technology and innovation.
- Target 17.17: Encourage effective partnerships.

FUTURE PLANS

- Expand Turtle conservation activities under the "A Breath to the Ocean" programme to develop other turtle hotspots on the Southern coastal belt.
- Establish a fully-fledged turtle research unit to enable local and foreign researchers to conduct research.
- Pursue value adding partnerships to boost Sri Lanka's reputation as a "Paradise of Turtles".
- Expand the coral restoration programme in the Southern and Eastern provinces.
- Aligning with globally accepted benchmarks, including the Science Based Targets to support the achievement of the Bank's Net Zero commitment.
- Adaptation of IFRS S1 and S2 reporting standards.

Although Sampath Bank's operations have a minimal impact on the environment, the Bank has over the years exhibited strong advocacy for the preservation of Natural Capital based on a holistic strategy to address environmental issues. For many years, the Bank's fundamental approach has been framed around 'Environment Protection and Conservation'. However, keen to play a broader role in driving an entire paradigm shift in favour of the environment, the Bank in 2023 embraced Climate Change as its new mandate to address the triple planetary crisis.

Holistic Approaches to Address "Triple Planetary Crisis"

Reflecting its deep commitment to minimise the erosion of Natural Capital, Sampath Bank has embraced a comprehensive approach to address the 'Triple Planetary Crisis', encompassing climate change, biodiversity loss, and resource depletion and pollution.

Our Holistic Approaches	Combat Climate Change	Preserve Biodiversity	Promote Responsible Resource Management
Responsible Lending	✓	✓	
Environmental Impact Financing	✓		
Awareness and Training	✓	✓	✓
Strategic Green Partnerships	✓	✓	✓
Energy Management	✓		✓
Waste Management	✓		✓
Water Management	✓		✓
GHG Management	✓		✓
Green Products, Services and Paperless Operations and Best Practices	✓		✓
Environment Governance and Policy Controls	✓	✓	✓
Nurturing Ecosystems with Environmental Initiatives	✓	✓	

Responsible Lending

Responsible lending is one of the most meaningful ways in which Sampath Bank aims to contribute towards minimising the risks of climate change and avoid biodiversity damages due to the lending activities. Supporting this endeavour is the Bank's Environmental and Social Risk Management System (ESMS) which sets out the framework to identify and manage exposure to the environmental and social risks within Sampath Bank's lending portfolio. To that end, a robust ESMS framework has been developed in accordance with the CBSL's Sustainable Finance Roadmap, specifically related to Green Finance Taxonomy as well as the prescribed activity list issued by the Central Environmental Authority and further supported by the IFC Performance Standards for managing environmental and social risks. The new ESMS framework will be rolled out in 2024.

Environmental Impact Financing

Sampath Bank's Environmental Impact Financing programme has remained the key catalyst in the Bank's endeavour to combat climate change. The scheme focuses mainly on financing Sri Lanka's transition to Non-Conventional Renewable Energy (NCRE). Having financed numerous projects encompassing hydro, solar, wind, and biomass over the past decade, Sampath Bank today continues to lead the way in developing the country's NCRE sector.

Financing of Renewable Energy Projects in 2023

	Number of Projects	Capacity (MW)	Investment (Rs Mn)
Hydro Power	1	1.5	399.0
Solar Power	2	2.0	40.0
Wind Power	1	15.0	1,200.0
Financing to solar installers	2	-	180.0
Total	6	18.5	1,819.0

A robust ESMS framework has been developed in accordance with the CBSL's Sustainable Finance Roadmap, specifically related to Green Finance Taxonomy as well as the prescribed activity list issued by the Central Environmental Authority and further supported by the IFC performance standards for managing environmental and social risks.



Wind Power Project at Mannar



Hydro Power Project at Matala

NATURAL CAPITAL

Promoting Green Lending Schemes

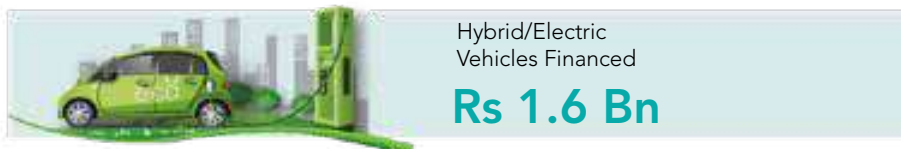
As part of its ongoing commitment to support the advancement of renewable energy in Sri Lanka, Sampath Bank has persistently backed the Sri Lankan Government's 'Sooryabala Sangramaya' initiative - a purpose built scheme designed to encourage households and commercials to migrate to solar energy. Furthermore, being a participant bank in the ADB funded green credit line for the past years has allowed the Bank to provide exclusive refinancing opportunities to incentivise industries to invest in renewables. In addition, the Bank continues to promote financing low GHG emitting hybrid/electric vehicles through its core leasing business.

Training and Awareness

Training and awareness is important in complementing the Bank's efforts towards making a positive impact on climate change through the day-to-day business. Awareness begins with every employee urged to embrace the Sampath Bank Environment Pledge, while regular training sessions on specific topics aim to inspire employees to embrace environmental practices as part of their lifestyle.



Environment Pledge of Sampath Bank



- Webinar on 'Electricity, Water and Waste Management' conducted for all the team members by Mr Samantha Kumarasena, the Chief Executive Officer, National Cleaner Production Centre.
- Webinar on 'Environmental Awareness and Client Communication' conducted for all the team members by Ms Damithri Chathumani, RR Associates (Pvt) Ltd.
- Training sessions on ESMS and its developments conducted for all the credit officers attached to departments and branches by EML Consultants PLC.



Training on ESMS to the Project Financing Team

- Regular onsite awareness sessions for best Environmental, Social and Governance (ESG) practices for suppliers.
- Biodiversity conservation awareness sessions for the community and other stakeholders including students, government officers and tourists.
- In 2023, the Bank initiated 'Sampath Sashreeka,' a gardening competition designed to ignite a passion for gardening among team members. Open to all team members, this competition encourages participants to cultivate their daily consumption needs, fostering a self-sustaining solution.



Training and Capacity-building Programmes Conducted in 2023

- Train-the-Trainer series on Eco-Office Audit and Waste Audit conducted by Mr Samantha Kumarasena, the Chief Executive Officer, National Cleaner Production Centre.



Strategic Green Partnerships

The Bank often pursues strategic collaborations in an attempt to align its initiatives in tandem to the country's environmental goals. The long-standing partnership with Neptune Papers (Pvt) Limited since 2009 is one such tie-up for paper recycling. Similarly, ongoing partnership with Infinity Green International (Pvt) Limited addresses the responsible disposal of e-waste. The Bank's greenhouse gas (GHG) measurement process is supported by collaborations with RR Associates (Pvt) Limited and B-Advancy Lanka Certification (Pvt) Limited.

From time to time, the Bank also undertakes various environmental projects in collaboration with national and international environmental advocacy bodies.

In 2023, Sampath Bank became a signatory to the United Nations Global Compact (UNGC), which signals a major step in the Bank's climate change management strategy. Through this partnership, the Bank will aim to contribute towards advancing the UNGC's vision to tackle global climate change issues.

Energy Management

Energy consumed for lighting and cooling purposes in the day-to-day operations stands as the main contributor to Sampath Bank's Carbon Footprint. Managing energy consumption is therefore deemed a top priority within the Bank's resource efficiency programme. Notable energy conservation initiatives undertaken by the Bank include:

- Use of inverter-type air conditioners at branches.
- Installation of reflective glass panels on building exteriors to minimise heat transfer and enhance daylight integration.
- Implementing LED lighting solutions.
- Maximising the use of natural light.
- Increasing the investment in rooftop solar by adding another 25kW to enhance the generation capacity of the Colombo Super Branch Solar System to 60 kW.



Officers of National Cleaner Production Centre Conducting the Eco Office Audit

Promote Green Building Concepts

Sampath Bank has taken conscious efforts to apply globally accepted green building practices in the construction of its branches and head office. Accordingly, all architectural and structural designs are in line with the guidelines provided by the National Building Research Organisation (NBRO) and also conform to the British Standards: Code of Practice on NNW Accessible Buildings (wind calculations, geo technical investigations, seismic Zone C).

To further support the decarbonisation of its physical infrastructure, the Bank has applied the following green building practices over the years.

- Appointed an independent project team consisting of qualified Engineers and Architects to advise the Bank on the adoption of green building principles in line with the latest guidelines, building codes and best practices in the construction industry.
- Installation of a lightning protection system at the Bank's head office and across the branch network.
- Commissioning surge protection equipment to safeguard sensitive equipment located at the Bank's head office.
- Installation of a fully-fledged fire protection and detection system covering all Bank-wide locations.
- Commissioning 'Smart Technology Magnetic Bearing Chiller' in place of the package type air-conditioning units.
- Controlling and monitoring of Mechanical Ventilation and Air Conditioning (MVAC) systems through the Building Management System (BMS) to operate in an efficient and effective manner (ongoing).
- Established a mechanism for monitoring, controlling and sequencing of equipment according to the demand, in order to minimise the electricity consumption.
- Installation of a double-glazed facade with infrared colour absorption in building fittings to limit the transmission of heat. Thus, conserving electricity and power.
- Demolition of walls in the existing floors and provide natural light for the office area through the glass facade to minimise electricity consumption (ongoing).
- Appointed project consultant group including qualified Engineers and Architects to implement multi disciplinary approach according to the prevailing guidelines and building codes of practices.
- Installation of motion sensors in lavatory wash basins to minimise the use of water and energy.
- Installation of environmental-friendly Surface Mount Diode (SMD) for illumination.
- Installation of a Smart Technology Magnetic Bearing Chiller during the renovation of the Bank's head office, in keeping with green building principles.
- Installation of Capacitor Banks for the power factor correction at the Head Office.
- Installation of Energy Monitoring System (EMS) to monitor energy and water consumption of each floor (ongoing).
- Connecting office area lighting systems to a Building Management System (BMS) and preparing a schedule through the BMS to operate automatically (ongoing).
- Demand control ventilation system has been established to control fresh air requirement according to the CO₂ level of the entire building.
- Operating the central air conditioning system at the maximum efficient point in the day time and during the part load condition, demand will be provided through a separate system (VRF, inverter type split air conditioners) for the required locations.
- Transforming internal paint from dark colours to white in branches and the Head Office to conserve light energy.
- Removing blinds in branches to prevent blocking natural light and increase reflection, thereby reducing lighting energy consumption.

NATURAL CAPITAL

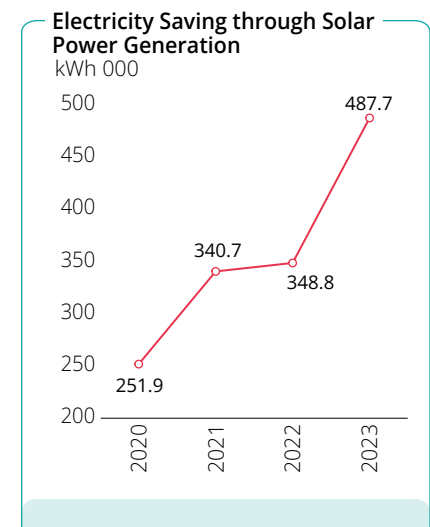
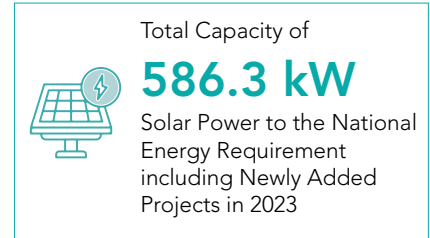
GRI 302-1,2,3,4

Branch Solarisation Project

To date, the Bank allocated Rs 32.6 Mn for rooftop solar installations at Bank-owned buildings. In the year under review, rooftop solar decks were installed in 04 branches. With these latest installations, a total of 17 branches now feature rooftop solar installations, contributing to the generation of 487,735 kWh of clean energy during the year, effectively fulfilling their energy needs.

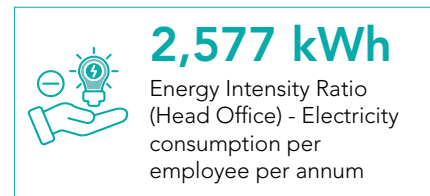
Solar Power Generation at Branches 2023

Branch	System Capacity (kW)	Saving (kWh)
Colombo Super	60.0	34,320
Kalutara	32.0	35,240
Negombo Super	42.2	46,980
Narahenpita	28.0	30,470
Wellawatte Super	30.5	34,040
Piliyandala	39.4	44,350
Tissamaharama	20.0	23,150
Anuradhapura Super	36.5	38,875
Attidiya	33.8	34,350
Wattala	46.0	48,650
Matara Super	32.0	34,950
Gampaha Super	22.5	24,150
Galle Super	39.5	42,530
Panadura Super	38.1	11,050
Maharagama	23.1	4,630
Kurunegala Super	37.4	CEB commissioning is in progress
Katugasthota	25.3	



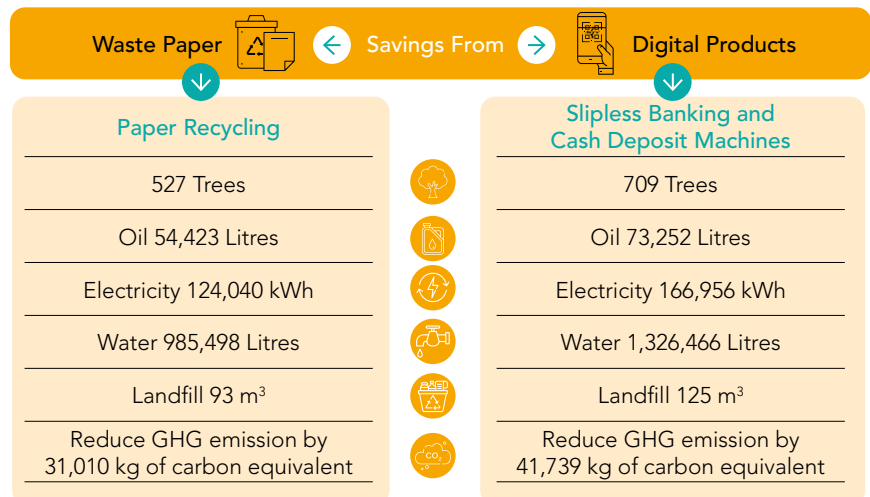
Energy Consumption for the Year 2023

Energy Consumption Sources: Renewable and Non-Renewable					
	Electricity	Heating	Cooling	Steam	Solar Power
Consumption	3,365,838 kWh (Head Office)	No	No	No	No
Sold	No	No	No	No	No
Reductions/Savings	-	-	-	-	487,735 kWh
Using any standards/methodology and assumptions used	: No				
Using any conversion rates	: No				
Energy used outside of the organisation	: No				



Waste Management

The surge in waste, particularly paper waste attributed to the daily business operations, has closely paralleled the Bank's operational growth in recent years. In response to this, waste management has become a critical focus, prompting the Bank to intensify its recycling programme. Simultaneously, there has been an expansion of the digital solutions portfolio to diminish the daily paper consumption volume. The introduction of innovative digital solutions over the years, including the Slipless Banking App, WePay, and the pioneering Touchless Cash Withdrawals from ATMs, has consistently reduced paper usage at branches.

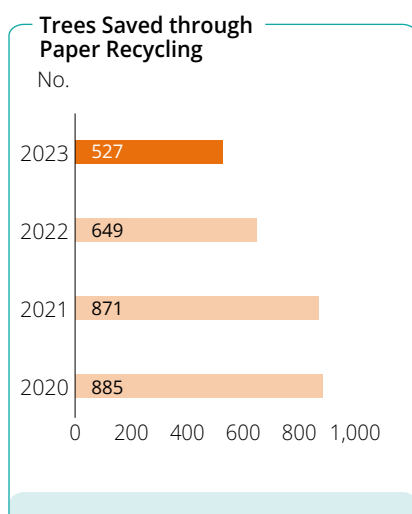


Note: Figures confirmed by Neptune Papers (Pvt) Limited.

The introduction of innovative digital solutions over the years, including the Slipless Banking App, WePay, and the pioneering Touchless Cash Withdrawals from ATMs, has consistently reduced paper usage at branches.

Furthermore, the Bank has made a deliberate effort to systematically digitise and automate a substantial portion of its backend processes. These endeavours have significantly lowered average annual paper usage, thereby actively contributing to the reduction of Sampath Bank's Carbon Footprint. A significant reduction in paper waste was observed in 2023 as a direct consequence of the expansion in the digital banking centres as well as the new accounts opening internal workflow management system implemented during the year.

Meanwhile, based on the outcomes of the Eco-Office Audit and Waste Audit conducted in 2022 by the National Cleaner Production Centre of Sri Lanka (NCPC, Sri Lanka), a broad based awareness campaign was launched to reinforce the importance of waste reduction, water management and energy management among employees.



Team Communication to Promote Paper Recycling

Water Management

Sampath Bank's need for water is primarily for staff utility and sanitation purposes of employees. These requirements are met through water drawn from municipal water lines. Since water used for utility and sanitation purposes is devoid of any harmful substances or contaminants, it is subsequently discharged back into the municipal sewage lines.



Train-the-Trainer Session on Eco-Office Audit and Waste Audit



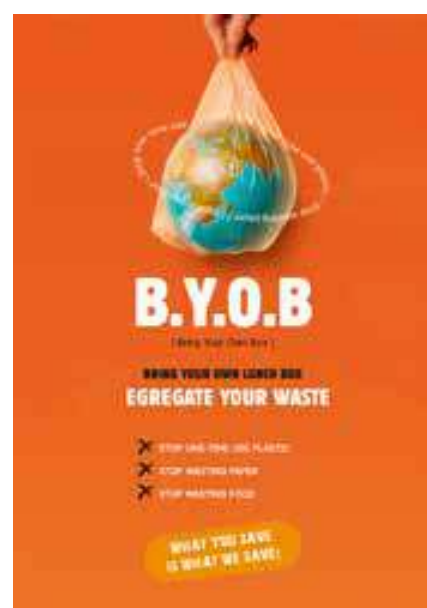
Steering Committee Meeting on Waste and Energy Management

Water Discharged (Head Office)

	2023	2022
Water discharged	33,011 m ³	33,040 m ³
Water source: National Water Supply and Drainage Board		



Team Communication on Energy and Waste Management



NATURAL CAPITAL

GRI 305-1,2,3,4,5,7

GHG Management

Since initiating its carbon footprint management strategy in 2013, Sampath Bank has consistently reported its Greenhouse Gas (GHG) emissions through the annual GHG Inventory report, encompassing both the Head Office and all 229 branches. The insights from the report have been invaluable in reshaping specific operational aspects to enhance the Bank's GHG performance over the years.

GHG Calculation

The GHG calculation for 2023 was conducted by RR Associates (Pvt) Limited in accordance with ISO 14064-1:2018.

	Carbon Footprint Calculation			
	Assessment Type	: Organisational Greenhouse Gas Assessment		
	Applied Standards	: ISO 14064 - 1:2018 Sixth Assessment Report (AR6) of IPCC, 2023 Refinement		
	The Greenhouse Gas Protocol	: A Corporate Accounting and Reporting Standard (Revised Edition), WRI/WBCSD		
	Reporting Period	: 1st January 2023 - 31st December 2023		
	Base Year	: 2022		

Scope	GHG Emissions (tCO ₂ e) in 2023			
	Total Emissions	CO ₂	N ₂ O	CH ₄
Direct GHG Emissions (Scope 1)	937	927	9	1
Indirect GHG Emissions (Scope 2)	6,654	6,654	-	-
Other Indirect GHG Emissions (Scope 3)	2,787	2,769	13	5
Total GHG Emissions	10,378	10,350	22	6
GHG Emission per Employee	2.5			

	2023	2022	Reduction
Total GHG Emissions (tCO ₂ e)	10,378	11,645	1,267

Note: Figures confirmed by RR Associates (Pvt) Limited.

GHG Verification

For the second year in a row, the Bank engaged the services of B-Advancy Certification Lanka Private Limited to secure independent assurance of the GHG calculation process to validate that the 2023 GHG Inventory Report aligns with ISO 14064 - 1:2018. This underscores the Bank's ongoing annual progress in its journey towards achieving net-zero status.



Certificate of GHG Verification

Internal Communication for Team Engagement on Eco Friendly Initiative

With the aim of mitigating Scope 3 emissions stemming from staff commuting, the Bank launched "Walk for Wellness to Knuckles", a virtual walking competition to promote walking habit among team Sampath.



Team Communication on "Walk to Wellness" Programme



Team Communication on "A Breath to the Ocean" Programme

Progress on the Net Zero Commitment

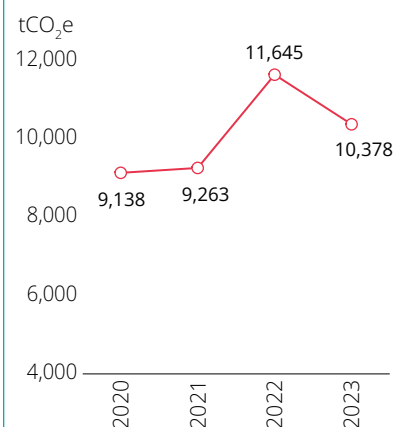
- 11% reduction in Bank-wide GHG emissions compared to last year.
- Implemented measures to enhance waste segregation practices in order to reduce waste sent to landfills.
- Expanded a solar migration initiative across the branch network to increase the contribution made to the national grid through solar power generation.
- Conducted capacity-building programmes for team members to improve awareness and take care of our own environmental footprint.
- Appointment of an Environmentalist to undertake proactive measures to address environmental concerns, promote sustainable practices and oversee the progress of ESMS implementation across the Bank.
- Appointment of an Energy Manager to drive continuous improvement of the Bank's energy management programme by implementing effective energy conservation strategies to ensure energy management practices at the Bank's Head Office and all 229 branches are consistent with global best practices.
- Launch of a special ESMS related train-the-trainer programme as part of targeted campaign to build awareness among Team Sampath about the Bank's Net Zero commitment.
- Special on-site awareness sessions for suppliers on Environmental Due Diligence conducted by the Bank's Environmentalist.

Key developments in 2023 included the introduction of accounts opening via the QR code displayed at the branch counters along with the accounts opening internal workflow management system.

Green Products, Services and Paperless Operations

In recent years, the Bank has committed to transitioning a majority of its products and services to digital platforms. Concurrently, efforts are underway to automate internal workflow systems. The primary objective of these efforts is to achieve a substantial reduction in paper usage in day-to-day operations, thereby decreasing energy consumption and related emissions.

Carbon Footprint



Eliminate

Strategic decisions to consider options to eliminate carbon emissions and avoid carbon intensive activities



Compensate

Offset unavoidable emissions through environmental projects



Key Principles

Substitute

Adopt low carbon alternatives



Reduce

Use resources efficiently to lower our carbon intensity



NATURAL CAPITAL

Digital Products

- Slipless Banking App
- Online customer onboarding tool
- E-receipts for Fixed Deposits
- Digital Web Card issuance
- Cheque Deposit Machines
- Tourist Fuel Pass

Process Automation Initiatives

- Digitalising the Credit Card and LC application processes
- "Vidvan" e-learning management platform covering both banking and non-banking areas
- Internal communication via e-mediums (e-circulars, e-forms, e-board papers)
- e-communication channels in marketing communication
- Sampath Green HR Initiative to digitalise internal HR processes
- Sampath Document Approval System (SDAS)
- Customer Risk Automation
- Green PIN implementation with new iCard system
- New Call Recording System
- FD advice creation and discontinuation of FD receipts
- Relaxation in passbook issuance

Nurturing Ecosystems with Environmental Initiatives

IGRI 413-1



Awareness Session for the Community by Professor Terney Pradeep Kumara



Preparation of Reef Balls



Coral Transplanting on a Reef Ball



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A BREATH TO THE OCEAN

"A Breath to the Ocean" – Coral Restoration Programme

"A Breath to the Ocean" signals the second phase of the oceanic Biodiversity Restoration Programme undertaken by Sampath Bank in partnership with several key stakeholders. The programme involves underwater coral farming whereby trained scuba divers would engage in transplanting new coral clusters in the reef balls placed on seabed. The main objectives of the project are to:

- Improve oceanic biodiversity and reduce impact on climate and conserve oceanic ecosystem by conserving these keystone species.
- Support eco-oceanic tourism and thereby contribute to the Sri Lankan economic development.
- Restore the selected coral reef by coral transplanting method.

Project Progress to date	Coral Restoration Project in Bandaramulla, Mirissa - Phase I and Phase II of the coral restoration programme involved placing 26 reef balls, planting live corals, and conducting an awareness workshop at Mirissa. With the successful implementation of the programme, phase 3 was completed by fixing information boards to make awareness for the local and foreign tourists.
	Coral Restoration Project in Dutch Bay, Trincomalee - The 2nd phase of the coral restoration programme was conducted in Dutch Bay, Trincomalee, by placing 21 concrete reef balls.
	Coral Restoration Project in Batheegama, Dickwella - The 3rd phase of the coral restoration programme was conducted in Batheegama, Dickwella by placing 15 concrete reef balls.
Future Plans	Expansion of this programme in strategically important locations of southern and eastern coasts with the objective of preserving the much-needed oceanic ecosystems and to boost tourism.

Partnerships

- Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna
- Department of Wildlife Conservation
- The Marine Environment Protection Authority
- The Department of Coast Conservation and Coastal Resource Management
- Sri Lanka Navy
- Sri Lanka Army
- Sri Lanka Coast Guard
- Life Saving Unit, Sri Lanka Police Department

SDGs Served



Sampath Bank's "A Breath to the Ocean" Programme Uplifts the Rekawa Turtle Conservation Centre

Sampath Bank, in collaboration with the Department of Wildlife Conservation (DWC), hosted a two-day turtle conservation event at the Rekawa Turtle Conservation Center on 29th and 30th December 2023. The event was a crucial component of the Bank's ongoing commitment to Oceanic Ecosystem Restoration under its 'A Breath to the Ocean' Corporate Sustainability Responsibility initiative.

The highlight of the event was the ceremonial handover of the Education Centre, three hatcheries, landscaped area and the Turtle Treatment and Rescue Tanks to the DWC. The event was graced by Dr Shamen Vidanage, Country Representative - International Union for Conservation of Nature (IUCN), as the Chief Guest. Participants were treated to an enlightening session on the importance of sea turtle conservation, delivered by Mr Channa Suraweera, the Assistant Director to Southern Wildlife Region, Department of Wildlife Conservation, shedding light on the critical role these creatures play in maintaining the ecological balance of our oceans. Dr Lalith Ekanayake, Marine Turtle Specialist and Chairman, Bio Conservation Society delivered the keynote speech by covering the aspect on research insights on turtles. Further, Dr Lalith Weragoda, the Chief Human Resource Officer, Sampath Bank conducted a session on "A Breath to the Ocean" programme, highlighting the importance of investing on oceanic biodiversity.

The event also featured a captivating night excursion, providing attendees with a unique opportunity to observe the behaviour of turtles. This included the moment of witnessing hatchlings returning to the ocean and the collection of turtle eggs under the purview of DWC along the beach. The collected eggs were carefully placed in the hatcheries provided by the Bank.



Inaugural Event at the Newly Established Training Centre



Newly Constructed Hatcheries at Rekawa Sanctuary



Newly Constructed Turtle Treatment and Rescue Unit



"A Breath to the Ocean" – Turtle Conservation Programme

"A Breath to the Ocean" - Turtle Conservation programme to protect vulnerable sea turtles that visit Sri Lankan shores in collaboration with the Department of Wildlife Conservation. Species of sea turtles have been found to be gradually depleting in recent years as a result of commercial fishing net destruction, habitat loss, and climate change. In this case, the project is centered on the Rekawa Beach, a well-known breeding site for five endangered turtle species. The project which revolves around turtle conservation also paves the way for the preservation of a variety of natural ecosystems in the surrounding areas.

As a part of the first phase of the project, the Bank committed to construct turtle hatcheries in Rekawa as well as to raise awareness among locals and tourists regarding the importance of protecting turtle eggs. Through these efforts, the Bank is aiming to develop the Rekawa as a research and educational hub for turtle conservation. It is hoped that promoting Rekawa as a hotspot for turtle conservation, will also help to promote eco-tourism by positioning Sri Lanka as a "Paradise of Turtles", in turn boosting the local economy.



Special Campaign to Promote Stakeholder Engagement

Project Progress to date	Constructed three hatcheries to protect the eggs.
	Established Turtle Education Hub.
	Established Turtle Treatment and Rescue Unit.
	Landscape the area of the Turtle Conservation Centre to make the location more attractive to local and foreign tourists.
	More than 50,457 Turtle eggs were protected during the year 2023.
Future Plans	To develop a Turtle research hub in Rekawa.
	Establish community-based Turtle conservation mechanism.

Partnerships

- Department of Wildlife Conservation (DWC)

SDGs Served



NATURAL CAPITAL



Community Participation in Reef Cleanup Project



Reef Cleanup by a Diver



Field Visit



Plant Nursery



Canal System



"A Breath to the Ocean" – Coral Reef Cleanup at Kapparatota

Being an important ocean habitat and representing a large portion of earth's biodiversity, coral reefs offer a compelling case for reducing the risk of climate change. Recognising the value of protecting Sri Lanka's coral reefs, Sampath Bank collaborated with the Marine Environment Protection Authority to carry

out a coral reef cleanup project at Kapparatota, Weligama covering approximately the entire coral reef.

SDGs Served



Stakeholders of the Project



Life to Our Mangroves Project

An ongoing project by Sampath Bank to restore degraded forest patches in the Anawilundawa RAMSAR Wetland sanctuary. The Bank has committed to restore an area of approximately one hectare over a five year period. The main objectives of the project are to:

- Enhance resilience and ecosystem service by the identified mangroves.
- Demonstrate the value of mangrove restoration as a Nature Based Solution to address the impact of climate change and socio economic development challenges, building resilience and community readiness.
- Showcase the value of partnership building in contributing towards the reduction of impact on climate change.

Project Progress to date	Preparation of the nursery.
	Constructing main and sub canals in the project site.
Future Plans	Initiate similar projects to restore mangrove forests.

Partnerships

- Biodiversity Sri Lanka (BSL)
- Department of Wildlife Conservation (DWC)
- International Union for Conservation of Nature (IUCN)

SDGs Served





Community Participation



Post Rehabilitation



A Project Initiated by Peradeniya Branch



A Project Initiated by Hatton Branch



A Project Initiated by Vavuniya Branch

Biodiversity Conservation Project – Restoration of Halgahawala Forest Reserve

A long-term undertaking by Sampath Bank in partnership with Biodiversity Sri Lanka, to restore 10 hectares of the degraded forest land in the Halgahawala forest reserve in Opatha in the Galle District. While the project, which commenced in 2018 concluded in 2023, Sampath Bank has committed to continue supporting the project to assure its sustainability over time.



Recognition for the Long-term Commitment



Field Visit to Inspect the Progress

SDGs Served



Partnerships

- Biodiversity Sri Lanka
- Forest Department, (BSL)
- International Union for Conservation of Nature (IUCN)



"Gasai Mamai Pubudu Pothai" Tree Planting Programme

A programme to provide school children with fruit bearing tree saplings to be planted within their school premises and assigning them with the responsibility of taking care of the trees over the long term. When selecting schools for the programme, priority was given to the schools, which are located in the areas where Sampath Bank "Wewata Jeewayak" tank restoration programme was conducted. The programme reiterates Sampath Bank's belief that entrusting students with the responsibility of planting trees strengthens their bond with the environment and paves the way for nurturing a long term commitment towards environmental protection and preservation. The main objectives of the programme are to;

- Inculcate the environmental consciousness among younger generation.
- Develop self-sustained school units.
- Enhance green coverage in order to support the creation of ecosystem.

Project Progress to date	Expanded the programme to across 88 schools around Sri Lanka.
	Planted 8,146 fruit saplings during the year 2023.
Future Plans	Recognise and reward the best performing projects.
	Expand the programme to other Districts.

Partnerships

- Ministry of Education
- Respective Zonal/Regional Education Offices and Schools
- Department of Agriculture

SDGs Served



NATURAL CAPITAL



Inaugural Event at Negombo



Inaugural Event at Gampaha



Social Media Post on Contribution Towards Wildlife Conservation



The Inaugural Event



Handing Over of Equipment to the School



"Gasai Mamai Pubudu Pothai" Vegetable Gardening Programme

This programme was initiated under the 2nd phase of the "Gasai Mamai Pubudu Pothai" tree planting programme as a long term measure to promote vegetable gardening concept among school children. Through this initiative, the Bank aims to inspire students to understand the value of home gardening and take pride in their contribution towards food security. The main objectives of the programme are to;

- Promote cultivation among the younger generation.
- Create a source of additional income for the respective schools.
- Improve the environmental consciousness among school children.

Project Progress to date	Facilitated to establish 158 school gardening units in Gampaha, Negombo and Kalutara education zones.
Future Plans	Expand this programme to other areas of the country.

Partnerships

- Respective Zonal/Regional Education Offices and Schools
- The Department of Agriculture

SDGs Served



Contribution to the Wildlife and Nature Protection Society of Sri Lanka

Reflecting Sampath Bank's long-standing commitment to national environmental conservation efforts, the Bank has for the past 29 years, contributed a sum of Rs 5/- for every new Sampath Bank debit card issued, to the Wildlife and Nature Protection Society of Sri Lanka.

SDGs Served



Tree Planting Programme in Sri Palee Campus, University of Colombo

Sampath Bank contributed to making a green corridor within the university with 250 native fruit plants and herbal plants planted to enhance the greenery and plant diversity at the university premises. A tree tagging system supported by a QR code was also implemented with the aim of building a tree inventory at the university. The programme was successfully completed with the support of volunteer students, academics, and non-academics.

SDGs Served



Building an Irrigation System to Promote School Gardening

Sampath Bank provided the required equipment to construct irrigation systems at two schools in the Aralaganwila areas, namely the Vilayaya Primary School and the Vilayaya National School. The main objective of the project was to raise environmental awareness among students in these schools by enabling them to engage in environmental efforts. To commemorate the launch of the irrigation systems, 250 fruit saplings were handed over to the students of both schools under the 'Gasai Mamai Pubudu Pothai' programme. The initiative has helped to enhance the tree canopy within the premises of both schools, in turn leading to the creation of new ecosystems in the area.

SDGs Served



BUSINESS REPORTS



- Deposits
- Retail Lending
- Corporate Lending
- SME Lending
- Cards
- International Trade
- Remittances
- Recoveries
- Treasury

BUSINESS REPORTS

Deposits

Context and Strategy

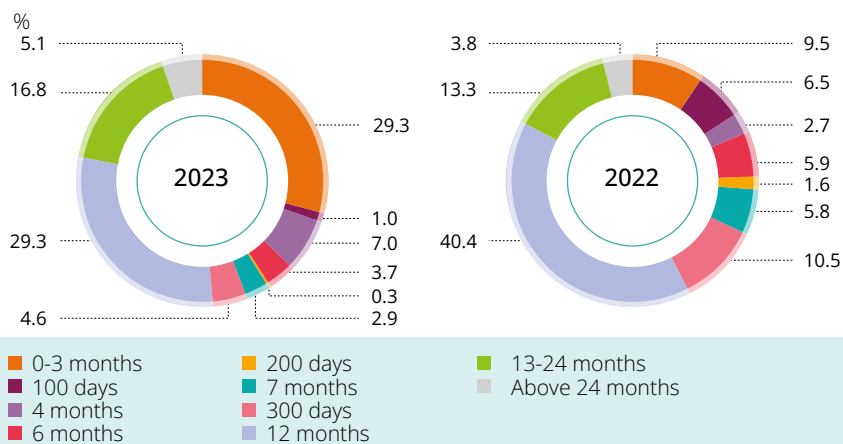
Despite a slow start to the year amidst the uncertainty surrounding the proposed Domestic Debt Optimisation (DDO) programme, market demand for deposits surged no sooner it became apparent that the banking sector would not be severely impacted by the DDO. Drawing on these market dynamics, Sampath Bank redoubled promotional activities from April 2023 onwards to reinforce top-of-mind awareness and capture a larger share of the term deposit market.

The Bank's shorter tenure options, especially the 4-month option was a popular choice among customers looking to maximise their returns on the back of high interest rates prevailing at the time. The decision to reintroduce Sampath Kalin Cash FDs also proved to be a timely move that helped grow the number of smaller ticket depositors. Being the only term deposit product in the market that allows investors to obtain up to 100% of the interest upfront, Sampath Kalin Cash FDs were immensely popular among smaller ticket depositors challenged by severe inflationary pressures.

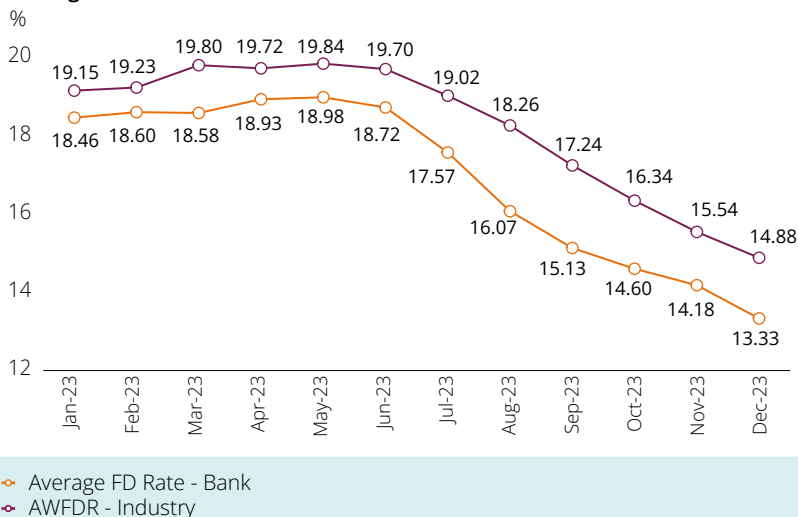


The Bank's deposit book continued to register incremental month-on-month volume growth with October 2023 recording the highest-ever deposit growth of Rs 31 Bn. During 2023, Sampath Bank recorded a deposit growth of 14.6% compared to the industry growth of 8.7%. Growing at a consistently faster pace than the industry, Sampath Bank made history in October 2023, becoming the first local bank to reach One Trillion Rupee deposits in under 40 years.

Tenor-wise Fixed Deposits Mix



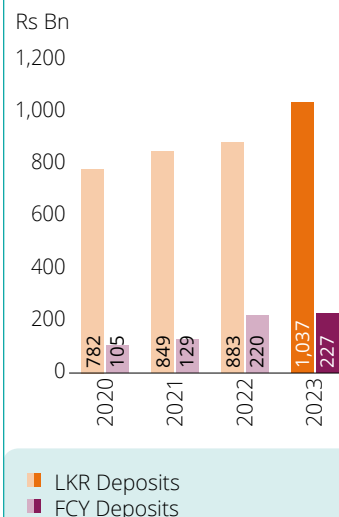
Average FD Rate & AWFDR



Another notable achievement for 2023 was the unprecedented increase in digital deposit volumes. Approximately 23% of the total deposit volumes for the year were attributed to digital deposit accounts, compared to only 14% in 2022 - the result of ongoing enhancements to digital channels to simplify account opening process and enhance customers' overall digital experience.

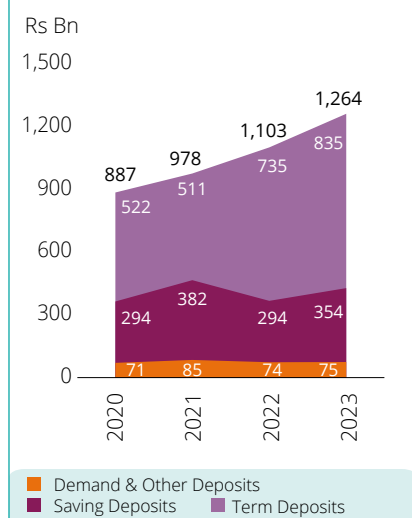
Savings growth, as always, was considered vital for managing cost of funds. Multiple approaches employed to boost savings across all categories delivered good results, with the overall savings portfolio as at the end December 2023 reflecting 20.2% year-on-year growth compared to the previous year. All key savings product portfolios improved notably in 2023 driven

Deposit Portfolio (LKR & FCY) as at 31st December



BUSINESS REPORTS

Product-wise Deposit Portfolio



by more focused cross selling activities to tap into the term deposit customer base coupled with ongoing digital media publicity. A strong push to reach small scale daily savers through the island-wide eZ Banking agent network also contributed towards savings growth.

Routine promotional activities for all savings categories continued throughout the year. In addition, a new gift voucher scheme was launched at the Colombo Book Fair 2023 to promote Sampath Sapiri and Pubudu Children's savings accounts. The Bank distributed approximately Rs 156 Mn by way of Sanhinda Senior Citizen free medical benefit cards in 2023.

Focused strategies to grow savings saw the Bank's CASA ratio recording a 70 basis point improvement from 32.7% as at 31st December 2022 to 33.4% as at end December 2023.

Moving Forward

The decline in interest rates which started in the latter part of 2023 is expected to continue in the forthcoming year as well, which would make for a very challenging environment for mobilising term deposits. Furthermore, with investors inclined to pursue more lucrative options, retention will also be an issue. On a positive note however, the Bank sees this as an ideal opportunity to drive CASA growth.

Retail Lending

Context and Strategy

Considering the high interest rates and severe inflationary conditions on top of prolonged economic stress affecting most sectors of the economy, Sampath Bank maintained its guarded approach to driving loan growth, particularly in the first half of 2023. A slightly less conservative approach saw the Bank engaging in cautious lending in the second half of the year following the uptick in economic activity on the back of declining interest rates, relaxation of import restrictions and reasonable stability in the exchange rate.

The main purpose of this cautious approach was to safeguard credit quality both in the short and long term. To support the cautious lending strategy, several internal processes were streamlined. Pre-disbursement protocols were further tightened along with more proactive and focused efforts towards post-disbursement follow up and recovery, while governance and oversight of both pre and post disbursement was also further strengthened across all lending categories.

In the leasing business, which has been dependent on the registered vehicle market since the imposition of the restriction on vehicle imports in 2020, it was decided to scale back on lending. The decision was made on a prudent basis, taking into account limited opportunities in the highly saturated registered vehicle

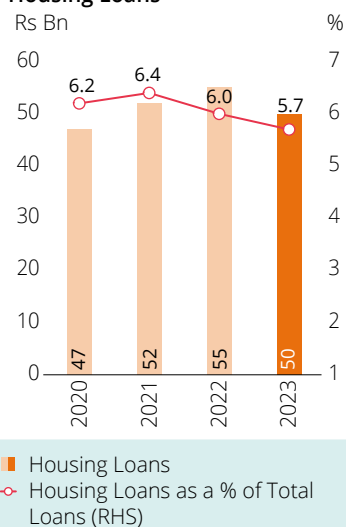
market as well as the uncertainty surrounding the current economic upswing.

A moderate approach was adopted for the housing loan segment, where the Bank opted to pursue direct lending on a cautious basis to focus predominantly on tested borrowers with a proven track record for debt servicing. The lending approach for the condominium sector was also revisited and despite evidence of a revival in the housing market as a consequence of lower interest rates in the latter part of the year, it was decided to offer mainly top up facilities to existing customers, while simplifying the documentation process to improve overall customer experience.

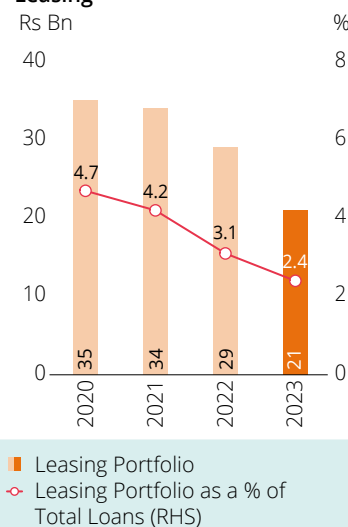
As was the case since 2021, pawning and gold loans remained the main driver of the retail loan book in 2023 as well. Seeking to emulate the success achieved over the



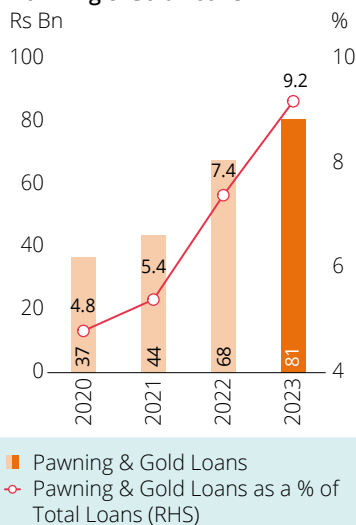
Housing Loans



Leasing



Pawning & Gold Loans



past few years, a more broad based approach was adopted to promote pawning and gold loan products in 2023. Routine promotional activities were intensified and coupled with new tactical customer acquisition strategies with a view to capitalising on the robust demand for pawning from the mass market. A culmination of these efforts resulted in a solid 18.9% growth in the pawning and gold loan portfolio compared to the previous year.

Moving Forward

Considering the current conditions, it seems very likely that pawning and gold loans will continue to be the key growth driver in the Bank's retail lending book, at least in the near term.

However as the country gradually moves to a more stable footing with the implementation of the IMF-led structural reforms over the next 12 - 18 months, a firmer economic recovery will restore credit demand especially for housing and real estate, thus paving the way for Sampath Bank to capture high quality lending opportunities more consistently over the coming years.

As it stands now, the prospects for the leasing business are uncertain and will continue to be so, until such time the restriction on vehicle imports is lifted.

Corporate Lending

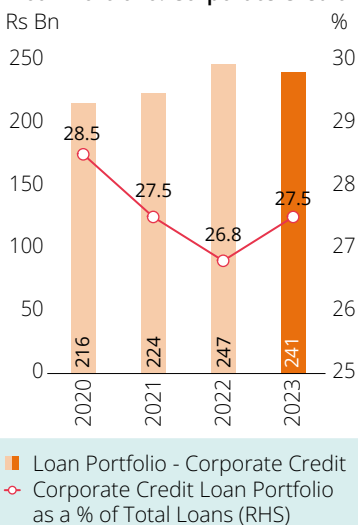
Corporate Credit

Context and Strategy

While the spillover effects of the 2022 economic crisis continued to dampen the demand for credit from the private sector in the early part of 2023, signs of a turnaround was observed midway through the second quarter aided by broad-based efforts by the Government to boost economic activity and manage inflationary pressures. Confirmation of the long awaited International Monetary Fund (IMF) led Extended Fund Facility was another key catalyst in restoring investor confidence in the economy.

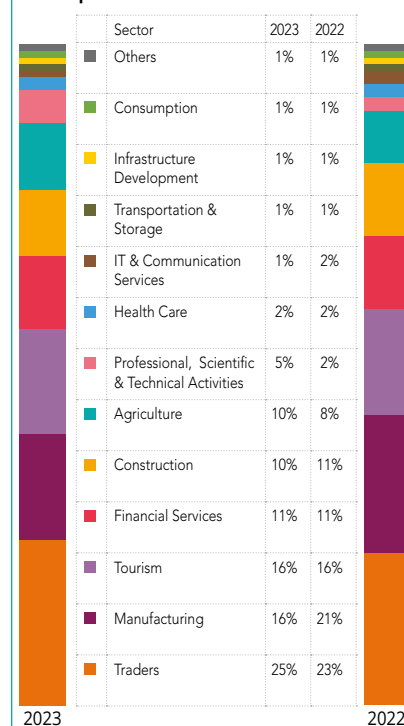
Even with many sectors showing early signs of revival, Sampath Bank made the tough call to continue exercising greater caution in pursuing credit expansion. The Bank remained steadfast in its approach throughout 2023, despite intense competitive pressure following the decline in the Average Weighted Prime Lending Rate (AWPLR) in the latter part of the year. Accordingly, lending was undertaken cautiously accompanied by stringent risk mitigants to ensure alignment with internal credit quality benchmarks. On this basis, new exposures were mainly in the form of short term working capital financing facilities to identified priority sectors such as agriculture and export oriented manufacturing.

Loan Portfolio: Corporate Credit



Continuing with efforts to grow the bandwidth among top corporates, focused efforts were made to acquire multinational companies and local corporates who demonstrate strong resilience and the ability to withstand varying economic cycles. The campaign was led by the Bank's Cash Management Solutions (CMS), which offers a comprehensive range of digital-driven value added solutions for large companies. In a related development, United Nations International Children's Emergency Fund (UNICEF) has selected Sampath Bank as the 'Facilitating Bank' for

Sector-wise Loan Portfolio: Corporate Credit



BUSINESS REPORTS

their short term-based fund distribution programme on nutrition assistance for mothers from less privileged families in Sri Lanka.

Given the fragile economic conditions in the country, existing exposures continued to be closely managed. Tourism sector clients who were derailed by the Sri Lanka's economic crisis in 2022 whilst they were recovering from the post-COVID situation, were granted relief by way of moratorium extensions and restructuring options based on their current status and projected cash flows. A similar approach was followed for existing clients in the beleaguered construction sector as well. Existing construction sector clients were also provided additional assistance by way of import facilitation services to support the resumption of stalled projects and safeguard continuity of business operations. Meanwhile, considering both financial resilience of customers as well as external macroeconomic pressures, additional provisioning was made for selected individually significant customers in both the tourism, construction and other affected sectors.

Moving Forward

It is hoped that progress made on the economic front will gather momentum in 2024 to create the space for the revival of all sectors of the economy. While keen to leverage these trends, Sampath Bank's prudent approach to credit expansion will continue to underscore lending activities undertaken in the short term. However, with robust credit appetite from the private sector likely to manifest as the AWPLR reaches greater stability in due course, the Bank will aim to strategically increase the exposure to large corporates as well as mid corporates specially focusing more towards export markets.

Corporate Finance

Context and Strategy

With the high interest rate regime and prolonged exchange rate volatility negatively affecting the investor sentiments in Sri Lanka, private sector credit appetite remained largely sluggish for much of 2023 resulting in limited lending opportunities for the banking sector.

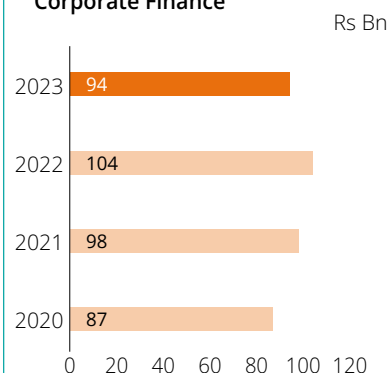
Taking a cue from this environment, Sampath Bank adopted a largely risk averse approach with only cautious lending undertaken to support customers operating in designated high priority sectors such as Non-Conventional Renewable Energy (NCRE) which has received strong government endorsement. Capitalising on its position as the frontrunner in the NCRE financing space, the Bank seized the opportunity to serve as the lead arranger for two of the largest renewable energy projects in Sri Lanka to date. Hiruras Power (Pvt) Ltd, a 15 Mw wind power project by WindForce PLC is the largest ever private sector wind power investment in the country. The Bank began working on its second syndicated debt instrument for 2023, to fund the construction of Sri Lanka's largest ever solar farm to date a 100 Mw ground mounted solar project set to commence in the 1st quarter of 2026. Including its contribution to the aforementioned syndicated loans, Rs 1,819 Mn was extended by Sampath Bank as credit in 2023 towards Sri Lanka's NCRE sector.

Further efforts to expand the NCRE portfolio saw the Bank focusing on projects that align with the Government decision to encourage private investment in solar parks.

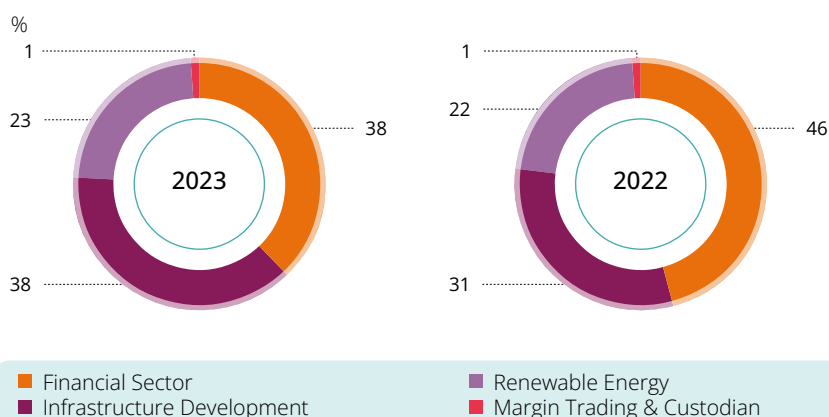


The Bank also continued to support the revival of systemically important sectors of the economy such as the local financial services sector. However, here too, the cautious lending approach was applied in a bid to mitigate long-term impairment risks as much as possible.

Loan & Investment Portfolio: Corporate Finance



Sector-wise Loan Portfolio: Corporate Finance



Reflecting the cautious lending approach, the Bank's Corporate Finance portfolio has declined compared to the previous year. It is also noteworthy that stringent NPL management efforts resulted in improved loan quality indicators year-on-year.

Meanwhile, a conscious decision to temporarily curtail the exposure to margin trading in light of the volatility in the local equity market saw the Bank's margin trading portfolio declining compared to the previous year.

On the other hand, the demand for Custodian and Escrow services intensified in 2023 largely due to the emphasis on good governance practices. A notable trend observed in the year under review was the growing demand for custodian services from the high net worth individuals.

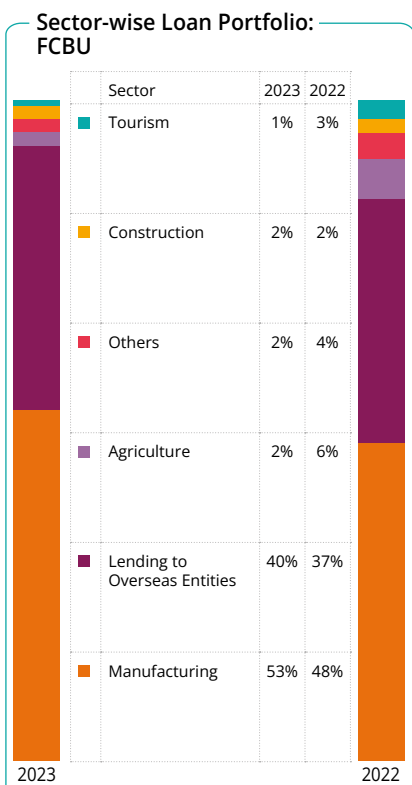
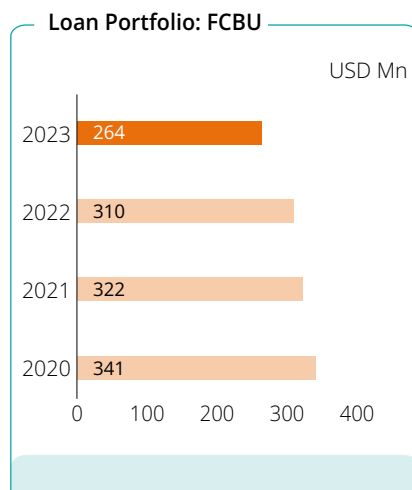
Moving Forward

While the finalisation of the domestic debt optimisation programme and the downward trend in policy rates will likely provide the impetus for reviving private sector credit appetite in 2024, Sampath Bank for its part will continue with its cautious approach towards credit expansion in the near term. In the medium term, it is envisaged that investor confidence will improve further as the government embarks on its proposed State-Owned Enterprises (SOE) privatisation initiative, in turn creating a more conducive environment for the Bank to explore new lending opportunities in due course.

Foreign Currency Banking Unit

Context and Strategy

Taken as a whole, the demand for Foreign Currency Banking Unit (FCBU) facilities from exporters tapered off noticeably in 2023 mainly as a consequence of ongoing recessionary conditions in major export destinations around the world including USA, UK and the EU. Amidst this backdrop, the Bank moved to support existing customers to ride out the difficult times. Apparel exporters, particularly SMEs who were badly hit by the global recession, were offered reschedulement/restructuring plans at concessionary interest rates.



Responding to the limited potential for credit expansion on the local front, Sampath Bank's FCBU redirected its attention instead to explore offshore lending opportunities, a move that yielded excellent results with the invitation to participate in a number of syndications and bilateral lending arrangements.

Meanwhile, the FCBU deposit base also contracted owing to prevailing regulatory directions that do not allow exporters of goods to invest their export proceeds in fixed deposits and also mandates that surplus export income be converted to LKR.



Moving Forward

With forecasts indicating global economic growth is likely to remain sluggish or possibly even further weakening if the Russia-Ukraine war continues into its second year, FCBU operations will most likely remain under pressure in the near term. On a positive note, available data does point to an imminent turnaround in the USA and Europe by the second half of 2024, in turn creating the space for the FCBU to recommence lending to local exporters.

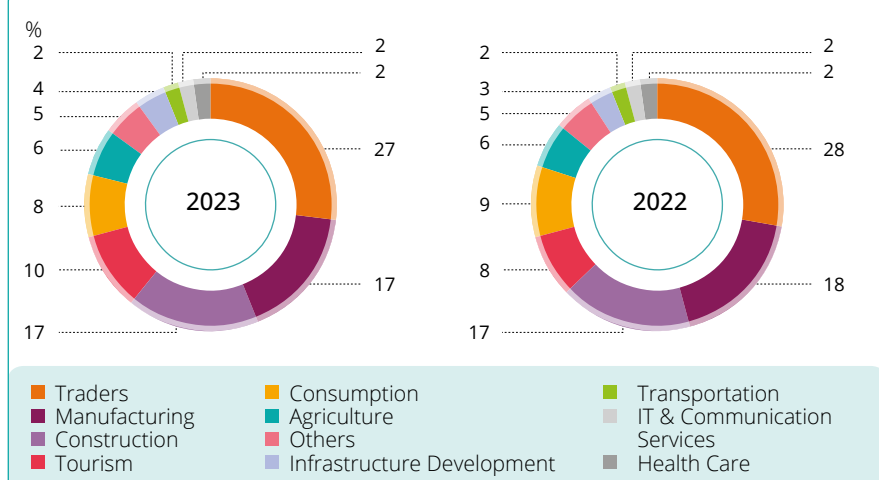
SME Lending

Context and Strategy

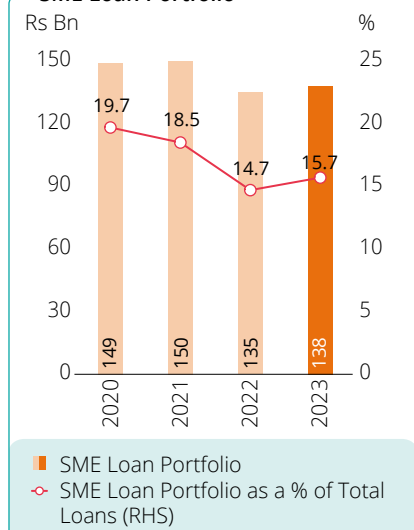
As Sri Lanka's economic woes cascaded into 2023, the Small and Medium-sized Enterprise (SME) sector experienced yet another challenging year. SMEs involved in the business of construction and manufacturing were the most affected. Importers and entities in the tourism and leisure sectors also suffered some major setbacks amid shortages of key material inputs owing to heightened inflationary conditions.

BUSINESS REPORTS

Sector-wise SME Loan Portfolio



SME Loan Portfolio



Mindful of the prolonged stress on the SME sector, Sampath Bank chose to maintain its highly controlled approach towards credit expansion and instead focused on capacity building to activities aimed at strengthening the resilience of Sri Lanka's SME sector.

Meanwhile, encouraged by a slight improvement in economic conditions locally in the second half of the year along with the moderate revival in economic activity in the US from the third quarter onwards, the Bank reactivated lending on a highly cautious basis, in the latter part of the year. The main sectors targeted were exports and tourism with a strong emphasis on women-led businesses including the women-led manufacturing

operations. Disbursements were mainly through the concessionary credit lines issued by the Central Bank, the Ministry of Industries as well as the special Asian Development Bank (ADB) credit lines including the Small and Micro Industries Leader and Entrepreneur Promotion Project (SMILE) scheme and the Women Entrepreneurs Finance Initiative (WE-Fi) grant for women led businesses.

To complement these efforts, the "Sampath Export Partners" initiative was launched to support export oriented SMEs and startups by providing access to market information and business networks as well as assisting in export related documentation and procedures. In parallel, internal documentation processing procedures were streamlined to expedite, with all document processing now being handled centrally by a newly formed specialised unit. The Sampath Vishwa Corporate platform was also extended to SME customers in 2023.



These focused strategies enabled the Bank to record sizable volume growth in the SME portfolio as at 31st December 2023 showing a solid 2.2% improvement over the figure reported a year ago.

Moving Forward

Supporting the SME sector growth will remain an absolute priority for Sampath Bank in the years ahead. In this regard, the Bank will seek to mobilise resources towards promoting targeted sectors such as export oriented domestic manufacturing. Equally importantly, the Bank will focus on driving innovation among SMEs, especially in relation to the advancement of technology systems and greater digital integration to align with global standards.

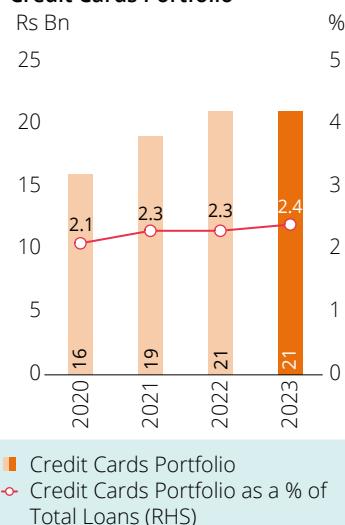
Cards

Context and Strategy

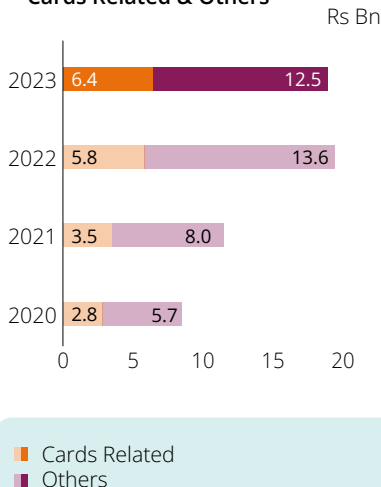
After the extreme challenges encountered in 2022, it was hoped that 2023 would provide a more conducive environment for the card operation. However, with subdued economic activity, inflationary conditions and higher taxes posing a threat to disposable incomes of households particularly in the first half of 2023, the Bank moved to reinstate its cautionary approach towards issuing new cards/granting limit enhancements for existing cards. Recovery and follow up protocols were also further tightened in a bid to prevent an escalation of stage 3 facilities and minimise card cancellations. At the same time, hoping to bring some relief to customers in these challenging times, the Bank launched a 0% payment plan for essential payments such as education, hospitals and insurance.

Maintaining its cautious approach to new customer acquisition throughout the year, the Bank engaged mainly in cross-selling. This was accompanied by a special campaign in the second quarter to drive personal credit cards against fixed deposits. In testimony to the success of these efforts, almost 28.9% of all new cards issued in 2023 were personal credit cards against fixed deposits. Supported by these numbers,

Credit Cards Portfolio



Net Fee & Commission Income - Cards Related & Others



International Trade

Context and Strategy

Sampath Bank's International Trade operation made steady progress towards achieving its targets for the year, amidst a gradual improvement in the external operating environment from the second quarter onwards. A strong foreign currency liquidity position supported by the influx of worker remittances and higher export earnings in 2023 provided additional leeway for Sampath Bank to scale up its trade facilitation services during the year under review.



In response to the crucial need to drive exports, the Bank allocated significant resources towards foreign currency denominated pre-shipment facilities/packing credit loans in 2023. On this basis, approximately Rs 64 Bn was granted in the year under review to enable exporters to meet their working capital requirements at a low cost.

Credit facilitation was coupled with extensive exporter capacity building. A special export liaison unit - "Sampath Export Partners" was established to disseminate essential information to exporters, especially to boost SMEs and startups by connecting them with local and global trade networks. Specialised counters for the USA, Canada, UK, Germany, Japan, China and India were also established at the Bank's International Trade desk to assist in handling trade documentation. These special counters are manned by a panel of highly competent experts who possess memberships at the country-specific trade chambers/associations.

Meanwhile, more focused efforts to promote the use of the Bank's Internet Payment Gateway (IPG) facility gained good traction during the year. Similarly, the campaign launched at the Colombo Book Fair to promote QR payments via the Sampath WePay mobile app was also extremely well received.

Ongoing technology upgrades to further strengthen customer security and enhance overall customer experience continued throughout the year.

Moving Forward

With the country's economic conditions predicted to improve over the coming months, the cards business will strive to further build on the momentum achieved in 2023. This would mean improving the versatility of existing card propositions to appeal to a wider target audience, while developing innovative card models as needed, in response to emerging market dynamics.

Another key priority going forward would be to drive the use of IPG facility, QR payments via Sampath WePay and other digital payment technologies not only in Sri Lanka but across the wider Asian region.

SampathCards continued to consolidate its leadership as one of the leading card issuers in the local banking industry in 2023.

Seeking alternative strategies to grow the card base over the long term, Sampath Bank tied up with its fully owned subsidiary - Siyapatha Finance PLC to unveil the Sampath Siyapatha Co-Branded credit card.

The decision to continue with various routine and seasonal promotional campaigns for both credit and debit cards helped to bolster LKR usage volumes from the third quarter onwards. On the other hand, despite the removal of daily foreign currency limits on credit cards, card usage for international transactions remained low.

BUSINESS REPORTS



Further reaffirming its commitment to support exporters, Sampath Bank signed up as the official banking partner of "Industry 2023", held at the BMICH from 22nd June to 25th June 2023. Organised by the Industrial Development Board under the purview of the Ministry of Industries, "Industry 2023" witnessed the convergence of local and foreign stakeholders representing over 21 industry sectors, with more than 700 exhibitors showcasing a diverse range of products and services.

As part of the overall export promotion drive, the Bank proceeded to further strengthen ties with global correspondent banks. As a direct outcome of these efforts, Sampath Bank became one of the first local banks to facilitate trade with India in INR.

Meanwhile, following the Sri Lankan Government's decision to lift almost all import restrictions by mid-2023, the Bank seized the opportunity to capture a larger

share of the import trade space. Furthermore, leveraging the extension of USD 1 Bn special credit line for essential imports by the Indian Government until 31st March 2024, the Bank continued to extend credit facilities to importers of essential commodities. This in turn helped to boost import transaction volumes while facilitating the release of the Bank's own foreign currency to accommodate imports from other countries.

Moreover, with importers gradually shifting away from Advance Payment terms, an increase in Document against Payment (DP)/Document against Acceptance (DA) and Letters of Credit (LC) payment methods was observed during 2023 compared to the previous year. The decision by the Government to further extend the validity period of special permits granted to import fully electric vehicles for Sri Lankans who are employed abroad, also provided another opportunity to bolster LC volumes. Buttressed by the above, a sizeable improvement in import related transactions was recorded compared to the previous year.

As part of its ongoing digital adoption strategy, Sampath Bank system has integrated with the "Asycuda System of Sri Lanka Customs" - a web based solution to streamline the import clearance process for customers. In keeping with the latest global due diligence standards, the Bank also commenced the Application Programming Interface (API) integration with the LexisNexis Trade Sanction Screening Facility to improve end-to-end visibility across the customer value chains.

Moving Forward

The main thrust going forward would be to position Sampath Bank as the leading Bank for international trade facilitation services in Sri Lanka. This would mean improving island-wide visibility to capture a larger share of transactional banking volumes of local importers and exporters around the country.

Remittances

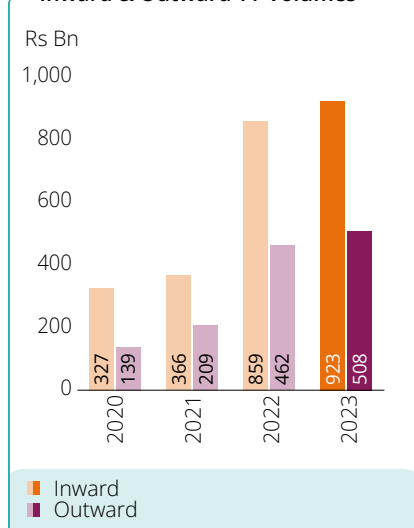
Context and Strategy

After two consecutive years of subpar foreign currency inflows, attracting worker remittances to the country remained a major priority of the Sri Lankan government as well as for the banking industry as a whole.

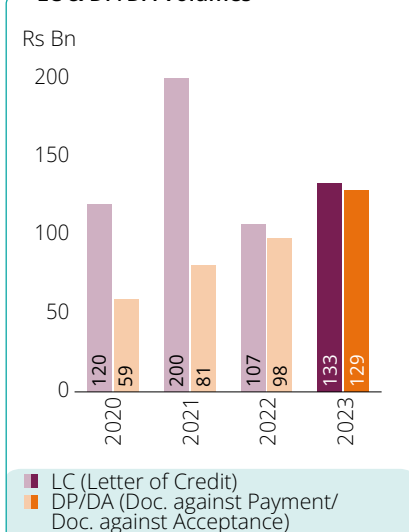
Pledging its full support for this endeavour, Sampath Bank further intensified efforts to drive worker remittances to Sri Lanka in 2023. Initiatives taken during the year revolved around the Bank's long term strategy to position the Sampath brand as the most preferred remittance partner among both remitters and beneficiaries. To that end, ties with the global remittance partners including Fin-techs were further strengthened, while the worldwide Business Promotion Officer (BPO) network was strategically expanded and coupled with focused efforts to improve brand visibility in selected high potential territories in the Gulf Cooperation Council (GCC) region as well as in East Asia. In parallel, a co-branded promotional campaign series was also run on social media and other digital channels to improve overall brand visibility.

On the local front too, the Bank continued with awareness campaigns conducted in partnership with the Sri Lanka Bureau of Foreign Employment to highlight the risks associated with informal channels and educate prospective migrant workers regarding the benefits of remitting money via formal channels. This was combined with a targeted awareness campaign for beneficiaries conducted jointly with partner Exchange Companies to reinforce the safety, security, and other advantages of formal remittance channels. The Bank also ensured that incentives applicable under

Inward & Outward TT Volumes



LC & DP/DA Volumes





the CBSL sanctioned Special Incentive Schemes were granted to all inward remittance beneficiaries.

A culmination of these strategies resulted in a strong incremental growth in inward remittance volumes through 2023, indicative of the fact that Sampath Bank was among the few to surpass the industry average growth rate. In direct correlation to the higher volumes, the Bank's fee-based income attributed to the Remittance operation also improved significantly in the year under review.

Moving Forward

With available data suggesting that an increasing number of Sri Lankans are seeking employment overseas, it is very likely that the coming years would see a substantial expansion in the size of the inward remittance market. Sampath Bank for its part will aim to capitalise on the opportunity to grow market share. This would require the Bank to grow its global bandwidth by gaining entry into potential new regions, while systematically deepening the penetration in existing strongholds around the world.

Meanwhile, with stiff competition from the banking industry also likely to be a major challenge in the future, Sampath Bank expects to push ahead with technology-based value additions as a means of enhancing the user experience for both remitters and beneficiaries, ultimately leading to stronger overall brand affinity in the long term. In this regard, plans are underway to upgrade the Remit-wise app with the inclusion of the bill payment feature to allow remitters to directly settle local utility bills from overseas.

Recoveries

Context and Strategy

As was the case in 2022, weak economic activity was the main reason affecting borrower debt servicing capability in 2023 as well. To add to this, the introduction of the new tax regime brought fresh worries amidst a drastic deterioration in household disposable incomes and corporate profits. The mass exodus of skilled labour in search of overseas job opportunities also had a crippling effect on the industrial and service sectors.

Taking stock of the situation, the Bank engaged a multi-pronged strategy to support recovery efforts. Post credit monitoring and follow up action by branch recovery teams and the central recoveries unit was further intensified with more focus on customers in high risk sectors such as tourism, import trade and construction. As part of this approach, branch teams were authorised to work with their respective zonal offices to offer customised payment plans based on borrowers' financial capabilities, thereby giving customers the space to meet their obligations.

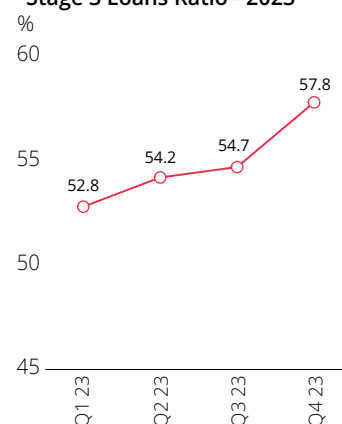
In related developments, Phase II of the Delinquent Management System (DMS) was completed, wherein the recovery unit and branch teams were able to track the number of delinquencies or delayed payments and thus identify borrowers who may be at risk of default.

Meanwhile, large exposures continued to be managed by the special Business Revival Unit. In this regard, the Business Revival Unit was tasked with customer rehabilitation through restructuring.

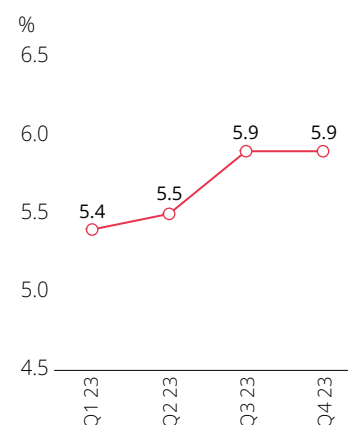


All stressed customers were scrutinised and those showing strong business potential offered loan restructuring options thus allowing them to benefit from tenure extensions, reduced monthly instalment, temporary holidays, flexible payment plans etc. These initiatives were coupled with continuous debt counselling services by the Business Revival Unit to inculcate proper financial discipline to help them affect a quick business turnaround.

Stage 3 Impairment to Stage 3 Loans Ratio - 2023



Impaired Loans Ratio



BUSINESS REPORTS

Moving Forward

Even while the economic environment in Sri Lanka is expected to turn around in 2024 leading to better prospects for individuals and businesses, Sampath Bank will remain fully focused on recoveries in the coming years. A key priority will be to strengthen the recovery process using digital technology including through Artificial Intelligence (AI), machine learning and automation. At the same time, the Bank remains open to collaborate with Fintech firms and debt collection agencies to leverage their specialised expertise and technologies to further strengthen its recovery architecture.

Treasury

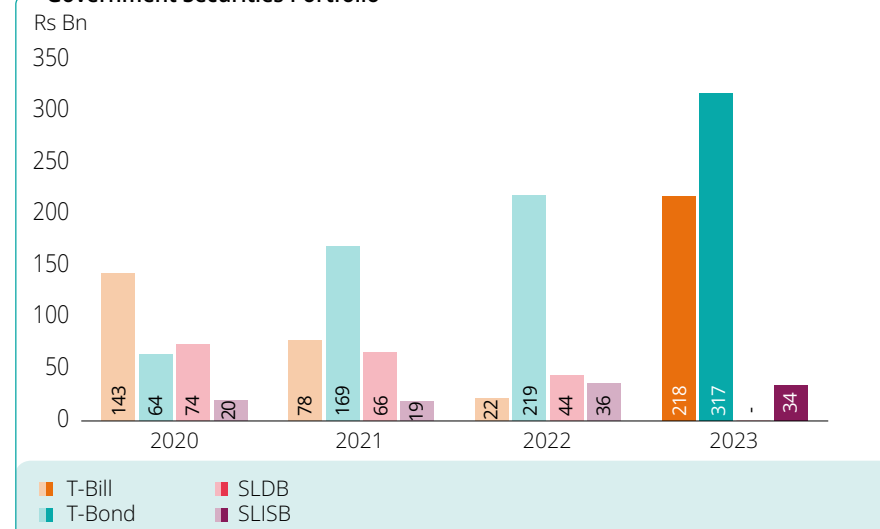
Context and Strategy

As the challenges surrounding the 2022 economic crisis began to subside, a notable impact was observed on the treasury bill rates and the yield curve of government securities. Treasury bill and bond rates, after rising sharply in 2022 in response to the economic crisis, rising inflation, interest rate hikes, and sovereign rating downgrades, started tapering off in Q2 2023 owing to improvements in macro-economic factors.

Proactively responding to these market dynamics, we opted to grow the Government Securities portfolio. Capitalising on the interest rate spike during late 2022/early 2023 the Bank moved aggressively to increase investments in treasury bonds.

The growth in the treasury bills/treasury bonds also paved the way for active participation in secondary market trading throughout 2023 which enabled the Bank to register notable capital gains for the year under review. Moreover, following the decline in treasury bills/bonds rates from mid-2023 onwards, the Bank was able to

Government Securities Portfolio



record significant mark-to-market gains in the Fair Value through Profit or Loss (FVPL) and Fair Value through Other Comprehensive Income (FVOCI) portfolios.

The foreign currency operation also performed exceedingly well amidst severe volatility in the forex market. The LKR, after depreciating nearly 80% against the USD in 2022, strengthened to 320 from 360 levels in March 2023 following the disbursement of the first tranche of the IMF-led Extended Fund Facility to support Sri Lanka's economic policies and reforms. The downward trend in the LKR was partly attributed to the catalytic funding that followed from the Asian Development Bank and the World Bank. Domestic policy tightening aimed at restoring macroeconomic stability also supported a stronger LKR. Buttressed by these policy measures, the LKR staged a recovery to 290 levels during May 2023, denoting an appreciation of 16% in the first half. While large capital inflows pushed the USD/LKR currency pair below 300 in May of 2023, the downward pressure proved to be temporary as the currency pair bounced back to 320 levels by mid-July driven by aggressive forward booking by local importers.

Taking advantage of these exchange rate movements and related interest arbitrage

positions, the Bank seized the opportunity to engage forward trading and currency swaps to boost its exchange income by a significant portion compared to the previous year.

Meanwhile from a liquidity perspective, Sampath Bank engaged in two cross currency swaps with the International Finance Corporation (IFC) at the start of the year, underscoring the Bank's efforts to prudently utilise Nostro balances.

With the surge in worker remittances together with the overall increase in tourist arrivals helping to bolster Net Open Position (NOP) from Q2 2023 onwards, the Bank decided to exercise the option to convert Sri Lanka Development Bonds (SLDB) to LKR denominated long term bonds.

Moving Forward

It appears that Sri Lanka's path to sustained growth is still some time away as recurrent issues continue to pose a threat to long term economic stability. Amidst this backdrop, Sampath Bank will focus on viable opportunities to expand the government securities portfolio mainly with the aim of intensifying secondary market trading.

The forex front too will most likely be marked by uncertainty until such time greater economic stability will help to prevent currency volatility. Accordingly, the Bank will explore potential investment opportunities overseas in the coming years.

Tenor

Interest Rates

	January 2022	December 2022	September 2023	December 2023
T-bill - 3 months	8.26%	32.67%	17.42%	14.51%
T-bill - 6 months	8.30%	32.23%	15.13%	14.16%
T-bill - 12 months	8.39%	29.30%	13.30%	12.93%
T-bond - 5 years	11.70%	31.36%	14.52%	13.75%

PERFORMANCE OF SUBSIDIARIES

Sampath Centre Limited



Sampath Centre Limited was established in 1996 as the first subsidiary of Sampath Bank. The company owns and manages the building at No. 110, Sir James Peiris Mawatha, Colombo 02, which houses the Bank's head office. Rental income earned by leasing out the floor space is the main source of income for Sampath Centre. At present, Sampath Bank occupies the entire building except 5th floor which is still under construction/renovation.

The company made a pre-tax profit of Rs 650 Mn for the year 2023 compared to Rs 345 Mn in 2022, a YoY growth of 88.4%. This increase is mainly due to the 52.3% increase in revenue following the renewal of rental agreement at a higher rate. The 917% increase in fair value gain on investment property was another contributory factor for the profit increase in the current financial year.

The company registered a post-tax profit of Rs 450 Mn in FY 2023, a twenty six-fold increase compared to the Rs 17 Mn profit reported in the previous year, which was a result of the drastic increase in deferred tax expense consequent to the change in income tax rate in the previous FY.

Total asset base of the company increased by 8.75% from Rs 8 Bn as at end 2022 to Rs 8.7 Bn by the reporting date. The main asset of the company is the property situated in Colombo 02.

Building Expansion Project

Currently, the company is involved in developing/expanding and maintaining the existing building at No. 110, Sir James Peiris Mawatha, Colombo 02. In order to meet the demand of additional office space requirement of the main tenant, the company has constructed an additional 6 floors above the 8th floor at a total cost of Rs 1.9 Bn. As of today, floor No. 9, 10, 11, 12, 13, 14 and part of the 8th floor have been completed and handed over to the tenant. Apart from that, the installation of the curtain wall (cladding) and new centralised air conditioning (Heating, Ventilation and Air Conditioning - HVAC) system has also been completed.

With the purpose of upgrading the existing 8 floors of the building to the same standard of upper floors, the company has already commenced the phase II of the building expansion project at a total cost of Rs 0.8 Bn. Under the phase II of the building expansion project, the 6th and 7th floors have been fully renovated and handed over to the tenant.

Currently, the work on the ground floor interior is in progress, while the 5th floor has been fully vacated to facilitate renovation. This project work which commenced in September 2020 is scheduled to be completed by end 2024.

SC Securities (Private) Limited



SC Securities (Private) Limited, a fully-owned subsidiary of Sampath Bank, is actively involved in delivering stock broking services to both local and foreign investors. Holding a license from the Colombo Stock Exchange (CSE), the company has been an active facilitator of Sri Lanka's capital market since 1992.

In the financial year 2023, SC Securities experienced a loss of Rs 15 Mn, following a commendable cumulative profit of Rs 555 Mn over the preceding four years. The challenging economic landscape, marked by political and economic uncertainties in the country, posed formidable obstacles. Consequently, the company's brokerage income declined to Rs 308 Mn in 2023, down from Rs 436 Mn reported in 2022. The company reported a loss of Rs 15 Mn for the current financial year, in contrast to the post-tax profit of Rs 146 Mn in 2022. Despite the drop in performance, SC Securities succeeded in maintaining fourth position among brokerage firms in Sri Lanka, representing a noteworthy milestone in its corporate history.

The economic challenges stemming from the political and economic crises of the country adversely impacted the overall performance of the Colombo Stock Exchange (CSE) throughout 2023. Despite a general decline, the All Share Price Index (ASPI) displayed resilience by registering a 25.5% increase. Concurrently, the total market capitalisation increased to Rs 4,249 Bn. The total market turnover contracted to Rs 411 Bn in 2023 from the Rs 687 Bn reported in 2022, reflecting a year-on-year decrease of 40.2%. The turnover to market capitalisation ratio also saw a decline, falling to 9.7% in 2023 from the 17.8% recorded in 2022. Several factors contributed to this performance, including political unrest, policy uncertainty and the restructuring of foreign and local borrowings, along with expectations related to International Monetary Fund (IMF) programme. However, the expansionary monetary policy adopted by the Central Bank of Sri Lanka (CBSL) during the 2nd half of 2023 and the limited impact of the Domestic Debt Optimisation on the general economy stimulated market activity.

Siyapatha Finance PLC



GRI 2-2

Siyapatha Finance PLC, is a wholly-owned subsidiary of Sampath Bank PLC. The company established in March 2005 as a registered non-bank financial institution under its initial name - Sampath Leasing & Factoring Limited. In September 2013, following the issuance of the Finance Company License by the Monetary Board of the Central Bank of Sri Lanka under the Finance Business Act No. 42 of 2011, the company underwent a rebranding process and assumed its current name. Throughout its 18-year operational history, Siyapatha Finance has evolved into the Sampath Bank's largest subsidiary.

Siyapatha operates in the highly competitive Non-Banking Financial Institutions (NBFI) sector, which has faced significant headwinds from recent adverse economic conditions in Sri Lanka. The impact of the CBSL's 2022 policy rate hikes on net interest income and profitability persisted throughout 2023, impacting the entire NBFI sector. Despite these challenges, Siyapatha's management implemented successful tactical strategies, enabling the company to deliver a satisfactory performance in FY 2023 devoted by pre-tax and post-tax profits of Rs 1,199 Mn and Rs 710 Mn respectively. Total assets rose by 4.87% and interest-earning assets by 4.89%. Siyapatha was able to maintain 36.9% stage 3 loan coverage ratio as at 31st December 2023.

Sampath Information Technology Solutions Limited

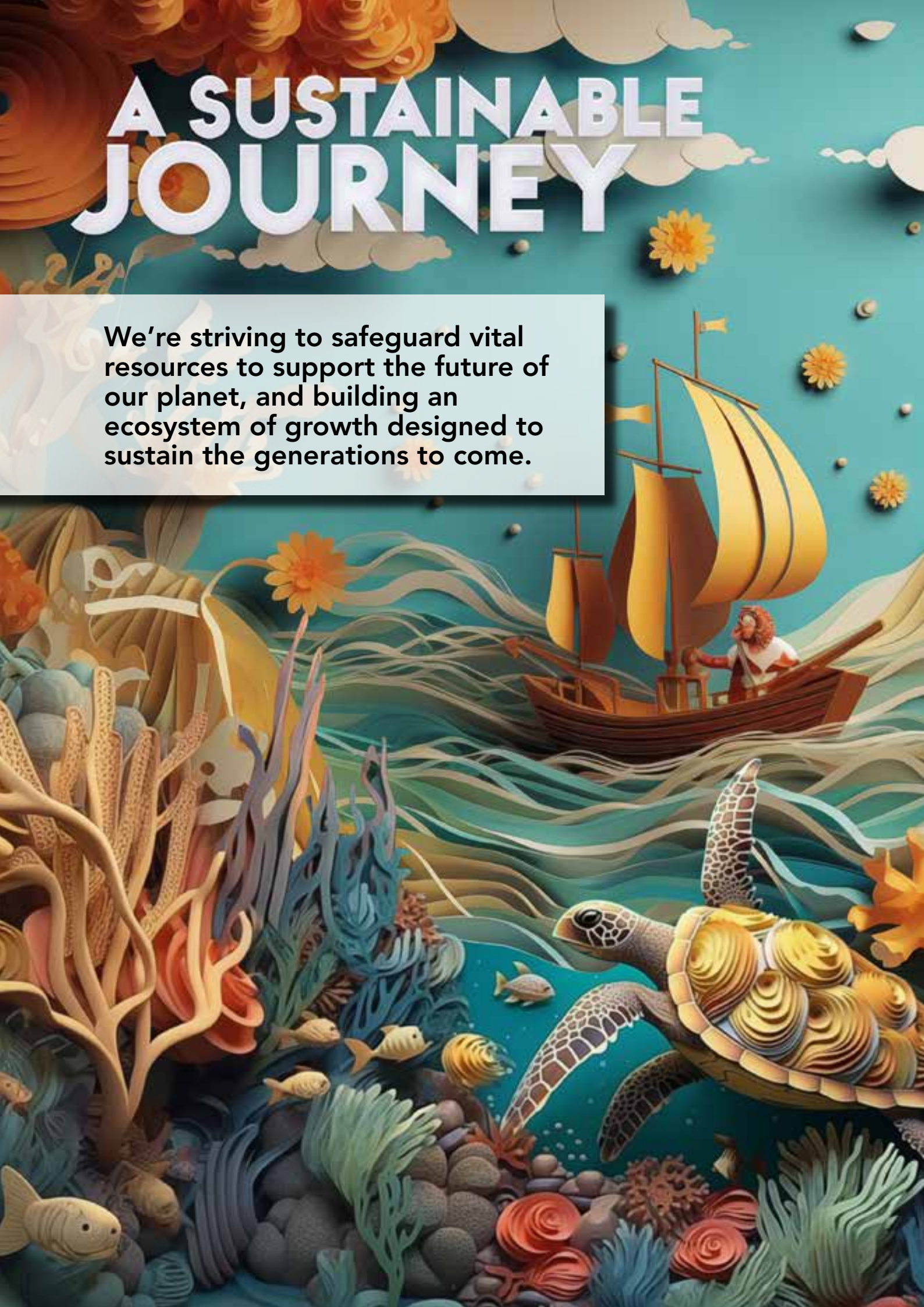


Sampath Information Technology Solutions Limited (SITS) is a fully owned subsidiary of Sampath Bank PLC. The company specialises in providing end-to-end system integration and consultancy services to support digital initiatives and transformation strategies. Managed services, software solutions, and enterprise solutions are the key pillars of business portfolio and value proposition. SITS was recognised by the IT industry in 2023 winning a gold award for the "Best Managed Project in Technology and IT" by PMI Sri Lanka and a bronze award at NBQSA - National ICT Awards for the "Professional Services Solution" in the business service category. SITS also clinched the bronze award for the "ICSDB Excellence Award 2023" conducted by Sri Lanka Institute of Information Technology.

Despite economic disruptions, social and political unrest, the company continued to produce solid financial results, tabling a revenue of Rs 1.6 Bn and a post-tax profit of Rs 135 Mn for FY 2023 with a YoY growth of 21.8%.

A SUSTAINABLE JOURNEY

We're striving to safeguard vital resources to support the future of our planet, and building an ecosystem of growth designed to sustain the generations to come.





GOVERNANCE AND RISK MANAGEMENT

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CORPORATE GOVERNANCE

CHAIRMAN'S INTRODUCTION TO CORPORATE GOVERNANCE



Dear Stakeholders

Sampath Bank's approach to good governance is not restricted to mere statements of compliance but to the continuous and ongoing commitment to uphold the highest standards of business integrity, ethics and professionalism at all levels of operation. The Board's priority in this regard is to ensure the provision of strong executive leadership, effective strategy and internal controls for risk management as well while inculcating the appropriate culture and ethical values to support sustained value creation for the benefit of all stakeholders.

Sampath Bank's ability to succeed and consistently deliver upon stakeholder expectations over the years, even in times of deep economic uncertainty, is a testament to these strong foundations.

With Sri Lanka caught in yet another economic dilemma in 2023, the Board continued to perform its fiduciary duty to stakeholders by responding proactively to the volatile economic environment. Accordingly, the Board and its Sub-Committees increased their vigilance through regular contextual analysis and more frequent strategy reviews in order to realign the Bank's strategy with the rapidly evolving economic environment.

The Board also took cognisance of the new regulations as promulgated and took swift action to comply with the new Corporate Governance Rules issued by the Colombo Stock Exchange in order to further strengthen the Bank's Governance Frameworks, as and when needed.

In preparation for the unveiling of Sampath Bank's ambitious new Purpose and Vision, the Board focused on fine tuning and enhancing the Bank's Corporate Governance Framework beyond mere compliance so as to adopt global good Governance standards as they change and evolve. Going forward, the Board will strive for the continuous transformation of the Bank's Governance ecosystem in order to ensure that such principles remain the backbone of the Bank's new Purpose and Vision and support the Bank's aspirations over the next decade.

Compliance

On behalf of the Board, it is my pleasure to declare that the Bank and Team Sampath, including the Board of Directors, Corporate Management and Employees have complied with the principles of good governance as set out in the Codes of Best Practice on Corporate Governance 2017 and 2023, issued by the Institute of Chartered Accountants of Sri Lanka and the regulatory frameworks applicable for Licensed Commercial Banks including the Banking Act Direction No. 11 of 2007 and its subsequent amendments on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka. The Bank has also complied with the Listing Rules of the Colombo Stock Exchange including the new rules on Corporate Governance issued in 2023 and all other applicable regulations as well as the Bank's internal constitutional framework.

The Company has a Code of Conduct and Ethics which includes provisions for the dissemination, monitoring and compliance thereof. This Code has been strictly adhered to during the year under review and all incidents falling within its ambit have been dealt with accordingly by the Bank's Disciplinary Committee.

HARSHA AMARASEKERA
Chairman

14th February 2024
Colombo, Sri Lanka

CORPORATE GOVERNANCE REPORT

Sampath Bank believes that good Corporate Governance is fundamental to safeguarding the Bank's competitiveness, growth and most importantly, sustainability. Accordingly, the Bank has established a sound Corporate Governance Framework to provide the authoritative structure as well as the control framework to enable the Bank's Board and its Sub-Committees to execute their fiduciary responsibilities to shareholders and meet stakeholder expectations, while living up to its purpose as a leading private Commercial Bank in Sri Lanka.

Sampath Bank has a solid Corporate Governance Framework that forms the basis of how the Bank is managed both at a functional level on a day-to-day basis as well as strategically over time. The Governance Framework combines regulatory requirements, voluntary codes and best practices which together are enshrined in the Bank's internal frameworks to provide the foundation for building trust among stakeholders and reinforcing the Bank's standing in the banking industry.

Regulatory Requirements

- The Companies Act No. 7 of 2007 and its amendments
- The Banking Act No. 30 of 1988 and its amendments
- The Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and its amendments
- The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No. 6 of 2006 and its amendments
- The Listing Rules of the Colombo Stock Exchange
- The Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 and its amendments thereto, as repealed by the Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021
- The Inland Revenue Act No. 24 of 2017 and its amendments
- The Shop and Office Employees Act No. 19 of 1954 and its amendments
- The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- The Foreign Exchange Act No. 12 of 2017 and its regulations
- The Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka
- All other applicable regulations

- Direction/Direction Ref. - Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (CBSL)
- Code 2017/Code 2017 Ref. - Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (ICASL)
- Listing Rules/Listing Rules Ref. - Listing Rules of the Colombo Stock Exchange (CSE)



Governance Framework

Internal Frameworks	Voluntary Codes and Best Practices
▪ Articles of Association ▪ Board approved Terms of Reference of Board and Board Sub-Committees ▪ Board approved policy frameworks for governance, risk, compliance and operational areas ▪ Codes of Conduct for Directors, Key Management Personnel and Employees	▪ The Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka ▪ The Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka ▪ Global Reporting Initiative (GRI) Standards issued by the Global Sustainability Standards Board ▪ Integrated Reporting Framework issued by the International Integrated Reporting Council (IIRC) ▪ ISO 27001 Information Security Management ▪ United Nations Global Compact (UNGC) Sustainability Principles ▪ International Labour Organisation (ILO) Convention for Social and Labour issues inducing Human Rights ▪ United Nations Sustainable Development Goals (SDG)

The Code 2017 forms the nexus of Sampath Bank's Corporate Governance Framework. In addition, the Bank is also aware of the new developments in the Corporate Governance that have been introduced by the ICASL through the Code of Best Practice on Corporate Governance 2023 (Code 2023) and has already complied to most of the new requirements stipulated therein while ensuring that the necessary steps are in place to adhere to the entire set of requisites of the aforementioned Code 2023.

It is imperative to note that the Code 2017 serves as the main anchor to bind the Corporate Governance requirements that drives compliance with all applicable rules and regulations, including the regulatory requirements set out in the Direction, the Listing Rules as well as any other applicable statutes.

Corporate Governance should be embedded in all aspects of day-to-day operations, not just those covered by particular rules. Through this Corporate Governance Report, the Sampath Bank, an entity that has always made an effort to improve its governance practices, shows its sincere dedication to this goal by reflecting overall governance compliance based on the Direction, Listing Rules, and Code 2017 as a whole rather than taking individual rules into consideration.

CORPORATE GOVERNANCE

It is this fundamental approach that underscores the presentation of Sampath Bank's Corporate Governance Report for 2023, thus reflecting the Bank's predominant commitment to mandatory and voluntary directions, rules and regulations. To further articulate this approach, the next two pages of the Corporate Governance Report contain a snapshot of Sampath Bank's compliance status with the detailed description provided.

Guide to Refer the Diagram

As seen above, each section and Corporate Governance requirement outlined under the Direction, Code 2017 and Listing Rules is shown in this diagram from left to right under the distinct colour codes assigned to each segment for the convenience of the stakeholders.

Each cell indicates the exact paragraph number and page number that demonstrates the compliance status in relation to the particular section or Corporate Governance requirement the specified cell is representing.

Step 1

Select the relevant section out of the Direction (■), Code 2017 (■) and Listing Rules (■) for which the emphasis has to be given



Step 2

Select the Corporate Governance requirement/section indicated by the red bullet (●) for which the compliance status has to be verified.



Step 3

Refer to the page number that is indicated by the blue bullet (●)



Step 4

The relevant description is located in the paragraph number indicated by the green bullet (●), providing the necessary compliance status relevant to the chosen Corporate Governance requirements/sections

Corporate Governance Requirement/Section

Page/s Reference

Paragraph/s Reference

As evident by the aforementioned reference guide, the Bank has complied with the Corporate Governance Rules set out in the Direction, Code 2017 and Listing Rules as applicable for the reporting period.



Code 2017

A.1 150 1	A.1.1 154 30	A.1.2 157 45	A.1.3 155 37
A.1.4 152,156 14,41	A.1.5 154 31	A.1.6 154 31	A.1.7 155 32
A.1.8 156,157 43,44	A.2 158 52	A.2.1 158 52	A.3 158 53
A.3.1 152 15	A.4 150 5	A.5 150 2	A.5.1 150 2
A.5.2 150 2	A.5.3 150 3	A.5.4 150 3	A.5.5 150 3
A.5.6 172 152	A.5.7 159 59,60	A.5.8 159 60	A.5.9 158 55
A.5.10 155 35,36	A.6 155 33	A.6.1 155 33	A.6.2 155 32
A.7 166 105	A.7.1 166 103	A.7.2 166 105	A.7.3 167 108
A.8 167 110	A.8.1 167 110	A.8.2 167 109	A.8.3 167 111
A.9 167 113	A.9.1 167 113	A.9.2 167 113	A.9.3 167 110
A.9.4 167 113	A.10 153 22	A.10.1 150 5	A.11 165 97
A.11.1 165 96	A.11.2 165 97	B.1 165 94	B.1.1 165 94
B.1.2 165 95	B.1.3 165 94	B.1.4 166 100	B.1.5 166 99
B.2 165 98	B.2.1 166 99	B.2.2 166 99	B.2.3 165 94
B.2.4 166 101	B.2.5 166 99	B.2.6 166 100	B.2.7 166 101
B.2.8 166 100	B.2.9 166 100	B.2.10 166 100	B.3 165 94
B.3.1 166 102	C.1 153 23	C.1.1 153 24	C.1.2 153 25
C.1.3 153 26	C.1.4 153 23	C.1.5 153 26	C.2 153 21
C.2.1 153 21	C.2.2 153 21	C.2.3 153 21	C.2.4 153 22
C.2.5 153 22	C.2.6 153 22	C.2.7 153 22	C.3 170 139
C.3.1 170 140	C.3.2 170 140	D.1 164 90	D.1.1 164 90
D.1.2 157 46	D.1.3 165 93	D.1.4 157 47	D.1.5 165 93
D.1.6 171 148	D.1.7 171 149	D.1.8 169 128	D.2 168 115
D.2.1 168 120	D.2.2 168 120	D.2.3 163 85	D.2.4 164 88
D.2.5 164 88	D.3 162 75	D.3.1 162 77	D.3.2 162 76
D.3.3 162 75	D.4 169 128	D.4.1 169 127	D.4.2 169 126
D.4.3 169 125	D.5 158 49	D.5.1 158 49	D.5.2 171 150
D.5.3 158 50	D.5.4 158 51	D.6 171 147	D.6.1 171 147
E.1 152 17	E.1.1 152 17	E.2 152 17	F.1 152 18
F.2 152 19	G.1 160 68	G.2 160 66	G.3 160 63
G.4 160 69	G.5 160 70	H.1 161 72,73	H.1.1 161 72,73
H.1.2 161 72,73	H.1.3 161 72,73	H.1.4 161 72,73	H.1.5 161 72,73

Listing Rules

9.1.3 171 143	9.3.1 161 74	9.3.2 161 74	9.3.3 161 74	9.4.1 153 26
9.4.2(a) 153 21	9.4.2(b) 153 22	9.4.2(c) 153 22	9.4.2(d) 153 23	9.6.1 158 52
9.6.2 158 52	9.6.3(a) 159 59	9.6.3(b) 159 60	9.6.3(c) 159 60	9.6.3(d) 159 60
9.6.3(e) 159 59	9.6.4 159 59	9.7.1 151 6	9.7.2 151 6	9.7.3 151 6
9.7.4 151 6	9.7.5 151 6	9.8.1 150 2	9.8.2(a) 150 2	9.8.2(b) 150 2
9.8.3 150 3	9.8.5 150 3	9.10.2 172 153	9.10.3 172 153	9.10.4(a) 150 5
9.10.4(b) 150 5	9.10.4(c) 150 5	9.10.4(d) 150 5	9.10.4(e) 150 5	9.10.4(f) 154 31
9.10.4(g) 154 31	9.10.4(h) 154 31	9.10.4(i) 159 59	9.11.1 166 103	9.11.2 166 105
9.11.3 166 103	9.11.4(i) 166 104	9.11.4(2) 166 104	9.11.4(3) 166 104	9.11.5(i) 166 105
9.11.5(ii) 167 110	9.11.5(iii) 166 105	9.11.5(iv) 166 105	9.11.5(v) 168 114	9.11.5(vi) 167 107
9.11.5(vii) 166 105	9.11.6 166 103	9.12.1 165 98	9.12.2 165 94	9.12.3 166 99
9.12.4 166 100	9.12.5 165 94	9.12.6(1) 165 95	9.12.6(2) 165 94	9.12.6(3) 165 95
9.12.7(1) 165 99	9.12.7(2) 165 98	9.12.8 165 94	9.13.1 162 75	9.13.2 162 76
9.13.3(1) 162 77	9.13.3(2) 162 76	9.13.3(3) 162 78	9.13.3(4) 162 75	9.13.3(5) 162 77
9.13.3(6) 162 78	9.13.3(7) 162 77	9.13.4 (1)(i) 164 92	9.13.4 (1)(ii)(a) 164 92	9.13.4 (1)(ii)(b) 164 92
9.13.4 (1)(ii)(c) 164 92	9.13.4 (1)(ii)(d) 164 92	9.13.4 (1)(ii)(e) 164 92	9.13.4 (1)(ii)(f) 163 81	9.13.4 (1)(iii) 163 81
9.13.4 (1)(iv) 163 81	9.13.4 (1)(v) 165 89	9.13.4 (1)(vi) 164 89	9.13.4 (1)(vii) 168 116	9.13.4 (1)(viii) 168 118
9.13.4 (1)(ix) 168 121	9.13.4 (1)(x) 162 75	9.13.4 (1)(xi) 163 82	9.13.4 (1)(xii) 163 81	9.13.4 (1)(xiii) 162 80
9.14.2(1) 169 126	9.14.2(2) 169 125	9.14.3(1) 169 125	9.14.3(2) 169 125	9.14.3(3) 169 125
9.14.3(4) 169 128	9.14.4(1) 169 126	9.14.4(2) 169 125	9.14.4(3) 170 134	9.14.4(4) 170 136
9.14.5(1) 169 125	9.14.5(2) 170 136	9.14.5(3) 170 135	9.14.5(4) 170 134	9.14.5(5) 170 136
9.14.5(6) 170 137	9.14.6(1) 170 140	9.14.6(2) 170 140	9.14.6(3) 170 140	9.14.7 171 144
9.14.8(1) 171 144	9.14.8(2) 171 144	9.14.9 171 146	9.14.8(3) 169 125	9.14.8(4) 171 145
9.14.10 169 130	9.16 172 154	9.17 172 155		

CORPORATE GOVERNANCE

(1) EFFECTIVE BOARD AND RELATIONSHIP WITH REGULATORS

Direction Ref. - 3(1)(i)(l)

Code 2017 Ref. - A.1



- 1 The Bank has an effective Board which is committed to fulfil its function in line with laws, regulations and good governance practices. Further, underscoring its commitment to good Governance, the Bank has always maintained healthy relationships with regulators, where the Bank's Managing Director (MD) or a person nominated by the MD attends all scheduled CEO/MD forums on governance organised by the CBSL. Directors are briefed on developments in the regulatory environment at Board Meetings to ensure that their knowledge is updated regularly to discharge their responsibilities effectively.

(2) THE BOARD

2.1 BOARD COMPOSITION

GRI 2-15

Direction Ref. - 3(2)(i), 3(2)(ii), 3(2)(iii), 3(2)(iv), 3(2)(vi), 3(2)(viii), 3(1)(i)(g)

Code 2017 Ref. - A.4, A.5, A.5.1, A.5.2, A.5.3, A.5.4, A.5.5, A.10.1

Listing Rules Ref. - 9.8.1, 9.8.2(a), 9.8.2(b), 9.8.3, 9.8.5, 9.10.4(a), 9.10.4(b), 9.10.4(c), 9.10.4(d), 9.10.4(e), 9.10.4(g),



- 2 Sampath Bank is led by a competent and well-balanced Board of Directors. The Sampath Bank Board as at 31st December 2023 comprised twelve (12) Directors, including two (02) Executive Directors (EDs) and ten (10) Non-Executive Directors (NEDs) following the appointment of Mr Prabash Subasinghe to the Board effective from 01st December 2023 as an NED. Out of the ten (10) NEDs, seven (07) are Independent Directors. There were no changes made to the minimum ratio of the Independent Directors as stipulated in the regulations during the year 2023. Accordingly, the current Board composition fulfils all specified regulatory compliance requirements pertaining to Board Balance as detailed below:
 - Direction stating that the number of NEDs should not be less than 1/3 of the total number of Directors on the Board;
 - Listing Rules stating that the number of NEDs should not be less than 1/3 of the total number of Directors on the Board;
 - Code 2017 which prescribes that NEDs should represent at least 2/3 of the Board;
 - Direction stating that the number of EDs shall not exceed 1/3 of the number of Directors of the Board.Furthermore, in line with the Direction, there were no Directors, whose tenure of service exceeded nine (09) years.
- 3 The NEDs of the Bank are personnel with credible track records of accomplishment and have necessary skills and experience to bring an independent judgement to bear on issues of strategy, performance and resources. The Independent Directors of the Bank are free of any business or other relationship that could materially interfere with exercise of their unfettered and independent judgement. Each NED submits a signed and dated declaration annually of his/her independence or non-independence against the specified criteria and the Board carried out an annual evaluation on the independence of the Directors based on such declarations. The Independent Non-Executive Directors are expressly identified by specifying their individual directorship status in all corporate communications that disclose the names of Directors of the Bank. No Independent Director impaired his/her independence as set out in the relevant regulatory requirements during the year under review.
- 4 The Board has defined the areas of authority and key responsibilities of the Directors in the "Code of Conduct and Governance Requirement for Directors". The Board of Directors has delivered the entrusted responsibilities at an optimum level under the defined areas of authority during the year under review.
- 5 The Board diversity demonstrates on page 188 of the Board Nominations and Governance Committee Report whereas the profiles of Directors detailing their qualifications, expertise, Executive/Non-Executive and Independent/Non-Independent status, memberships in Board Sub-Committees, Companies and other entities in which each Director serve as a Board member along with their key appointments, are disclosed on pages 176 to 181. The details of immediate family and/or material business relationships with other Directors of the Bank are given in Annual Report of the Board of Directors on page 236. As described in the pages, it is evident that a majority of Directors possess sufficient Financial Acumen within the Board on matters of finance. Further, information pertaining to the Directors are disclosed in the following reports:
 - Related Party Transactions are given on pages 342 to 345 (Note 47);
 - Directors' Interests in Contracts are given on page 238;
 - Director's attendance at Board Meetings and Board Sub-Committee meetings are given on page 154.

2.2 ASSESSING THE FITNESS AND PROPRIETY OF DIRECTORS

Direction Ref. - 3(3)(i), 3(3)(ii), 3(3)(iii)

Listing Rules Ref. - 9.7.1, 9.7.2, 9.7.3, 9.7.4, 9.7.5



- 6 The Fitness and Propriety of Directors is prudently assessed by the Board Nominations and Governance Committee (BNGC) when considering appointments to the Board and during the annual assessment of continuation of directorships, in order to strengthen the diversity of the Board to induce fresh prospective that will foster the robust debate and support effective decision-making. The BNGC ensures that the Directors and the MD are being adequately assessed according to the Fit and Proper Assessment Criteria that has been defined in the relevant regulations applicable for the same. The Bank obtained annual declarations from the Directors confirming that they have continuously satisfied the specified Fit and Proper Assessment Criteria. Therefore, no Director was identified as a person who has failed to fulfil the required assessment criteria during the year under review.
- 7 In compliance with the Direction, none of the Directors in the Board exceeds the age of 70 years. Further, none of the Directors hold directorships of more than twenty (20) companies/entities/institutions inclusive of Subsidiary Companies of the Bank. The Bank has complied fully with the directions applicable for the mandatory cooling-off period when appointing new Directors to the Board during the year under review.

(3) RESPONSIBILITIES OF THE BOARD

GRI 2-12

- 8 The Board of Directors, as the highest governing body of the Bank, places a pivotal role in demonstrating good corporate citizenship, ethical behaviour, transparency and accountability. In its capacity as the main custodian of the Bank, the following matters are reserved expressly for Board consideration.

3.1 STRATEGIC OVERSIGHT AND CORPORATE VALUES

Direction Ref. - 3(1)(i)(a)

Code 2017 Ref. - A.1.2



- 9 The Board formulates the Bank's Purpose, Vision, Corporate Values, Strategic Objectives and provides oversight and direction to ensure that the management and all employees work towards the said Vision. The Board Strategic Planning Committee (BSPC) ensures that the revolving Strategic Plan relevant for each year is reviewed on a periodic basis, in order to facilitate strategic realignment wherever and whenever deemed necessary or as appropriate. The review and approval of the Strategic Plan include the medium-term and short-term targets and the annual budgets with a special emphasis to the scale and complexity of the business operations. The Bank's Strategic Objectives and Corporate Values are communicated to all levels of staff through regular briefing sessions and reinforced by the Corporate Management Team. The Strategic Objectives and Corporate Values are also conveyed to new recruits as a part of their Induction Programme and are given on page 10 of the Annual Report.
- 10 Taking a quantum leap in its strategic planning process, the Board engaged the expertise of a leading global consultancy firm in 2023 to develop a five (05) year Strategic Plan which will be implemented from 2024 onwards. This strategic planning process involved extensive analysis of internal and external factors such as local and international economic/business environment, opportunities, technology, risks and compliance etc. in collaboration with all stakeholders. The budgets, including major capital expenditure items and revolving Strategic Plan for 2024 onwards have been duly approved by the Board in compliance with the statutory requirements.
- 11 Prior to approving the Strategic Plan, and the annual budget, the Board worked closely with relevant Board Sub-Committees, the Corporate Management Team, the Strategic Planning Unit, the Risk Management Unit and the Compliance Unit to weigh the risks and opportunities. The Board also undertakes to monitor the Bank's performance vis-à-vis the Strategic Plan and budget on a quarterly basis with due consideration of the underlying downside risks associated with the macroeconomic variables.

CORPORATE GOVERNANCE

3.2 RISK POLICY AND MANAGEMENT

GRI 2-12,23,26

Direction Ref. - 3(1)(i)(b), 3(1)(i)(c)

Code 2017 Ref. - A.1.2, A.1.4



- 12 The revolving Strategic Plan for 2023 approved by the Board during 2022 in consultation with the Corporate Management was successfully implemented with regular reviews. In addition, the Risk Management Framework and mechanisms have also been approved by the Board in line with the Strategic Plan 2023. Measurable goals for the Bank as a whole have been set with performance milestones that were measured quarterly during 2023.
- 13 The Board Integrated Risk Management Committee (BIRMC) is responsible for independently reviewing, identifying, measuring, monitoring and controlling of all the risks. To ensure this process, the BIRMC is tasked with recommending the Bank's risk policies, defining the risk appetite, identifying principal risks, setting risk governance structures and implementing systems to measure, monitor and manage the principal risks prudently. The BIRMC is under the purview of the Main Board and responsible for updating significant risk events to the Main Board. The following reports provide further insights in this regard and contains the information pertaining to material foreseeable risk factors of the Bank.
- Risk Management Report is given on pages 210 to 225.
 - Board Integrated Risk Management Committee Report is given on pages 195 and 196.
- 14 An insurance policy is in place in line with the regulatory requirements to cover the Board of Directors and officers including KMPs of the Bank. The adequacy and effectiveness of the insurance covers are reviewed periodically with the assistance of external consultants.

3.3 ENGAGEMENT WITH STAKEHOLDERS

Direction Ref. - 3(1)(i)(d)

Code 2017 Ref. - A.1.2, A.3.1



- 15 It is the fundamental duty of the Board to protect the interests of all stakeholders including shareholders, customers, employees, regulators and the wider community by exercising appropriate control to ensure the Bank is managed effectively in order to meet stakeholder deliverables. The Bank's Articles of Association empowers the Board to make decisions to protect the interests of all stakeholders. In addition, the Customer Charter, the Bank's HR Policy Manual, the Policy on Managing Conflicts of Interest, the Board Shareholder Relations Committee (BSRC) as well as the Board Related Party Transactions Review Committee (BRPTRC) together create a fully-fledged ecosystem to uphold the interests of all stakeholders.
- 16 Well aware of its responsibility to stakeholders, the Board engages directly with employees, customers, regulators and shareholders from time to time. For this purpose, a Board approved "Communication Policy" is in place and serves as the basis for communicating with all stakeholders, including depositors, creditors, shareholders and borrowers. Refer pages 59 to 67 for further details on "Connecting with our Stakeholders".

3.3.1 Relationship with Shareholders

Code 2017 Ref. - E.1, E.1.1, E.2, F.1, F.2



- 17 The Board executes its responsibility to shareholders by encouraging their participation in the decision making process through the provision of fair and transparent disclosures. The Bank's Institutional Investors as well as other Investors have throughout exercised their votes enthusiastically, expressing candid preferences and are encouraged expressing their views freely. The Bank has a history of active shareholder involvement and participation at general meetings. The Bank prides itself on being the first listed company, which has taken the initiative to form a Board Sub-Committee on Shareholder Relations, with the objective of maintaining a solid and fruitful dialogue with shareholders and to ensure the views of shareholders are communicated to the Board, where necessary. Further, Institutional Investors are kept apprised of the Bank's governance practices through the Annual Report and any new initiatives are highlighted at general meetings to ensure that due weightage is given to good Corporate Governance.
- 18 The Annual Report contains sufficient information for individual shareholders as well as all potential Investors to carry out their own analysis. This, together with the interim financial statements published each quarter provide sufficient information to enable individual shareholders to make informed judgements regarding the Bank's performance and future prospects. Additionally, a separate part of the Bank's corporate website (www.sampath.lk) is dedicated to Investor Relations, which provides relevant information online to all Investors. Shareholders can contact the Company Secretary for further information if required. Meanwhile, circulars issued to shareholders from time to time emphasise the importance of seeking independent advice prior to making any particular investment.
- 19 It is a tradition at the Bank to encourage individual shareholders to participate and vote at any general meeting. Additionally, they are encouraged to participate in the Bank's affairs by submitting proposals through the Stakeholder Feedback Forms included along with the Annual Report. The general meetings also serves as a platform for the Bank to engage with its shareholders. Sampath Bank has a proud history of well attended general meetings where shareholders take an active role in exercising their rights in all forms.

3.3.2 Communication with Shareholders

GRI 2-23

Direction Ref. - 3(5)(x)

Code 2017 Ref. - A.10, C.2, C.2.1, C.2.2, C.2.3, C.2.4, C.2.5, C.2.6, C.2.7

Listing Rules Ref. - 9.4.2(a), 9.4.2(b), 9.4.2(c)



- 20 The Chairman and the Board of Directors ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board of Directors through the BSRC.
- 21 The Bank's Annual Report, Interim Financial Statements and all other material information is made available for download on the Bank's corporate website. These are posted on the website as soon as possible and practical upon releasing the same to the CSE. All public disclosures (immediate or otherwise) promptly reach the shareholders through the market announcements made by the Bank. The Bank is committed to provide fair and transparent disclosures with emphasis on the integrity, accuracy, timeliness and relevance of the information provided. A Board approved "Policy on Communication" is in place in which the provisions for communicating with shareholders are specifically addressed. The mechanism for implementing the said policy is clearly stated under the "Policy Implementation Mechanism" which spells out the responsibilities of different officers/categories of officers, with regard to communication with different categories of stakeholders.
- 22 Shareholders are duly notified that any communication/correspondence with the Bank should be through the Company Secretary. They may provide their comments and suggestions to the Directors or Management through the Company Secretary. The contact information of the Company Secretary is provided in the Annual Report. Additionally, shareholders are at liberty even to communicate directly with any of the Board Members. They may, at any time, direct questions, or request for publicly available information from the Directors or Management of the Bank. The Company Secretary takes appropriate actions based on the concerns/requests received by the shareholders. Further, shareholders are kept advised of relevant details in respect of Directors as and when required.

3.3.3 General Meetings

Code 2017 Ref. - C.1, C.1.1, C.1.2, C.1.3, C.1.4, C.1.5

Listing Rules Ref. - 9.4.1, 9.4.2(d)



- 23 General meetings provide an opportunity for shareholders to connect with the Board and the Management one-on-one. Historically, all general meetings of the Bank have also witnessed the active participation of shareholders. The Annual General Meeting (AGM) is the main forum to interact between the shareholders and the Board and creating an opportunity for shareholders for their views to be heard. The 37th AGM was held physically at "Balmoral", the Kingsbury on 30th March 2023. The Chairpersons of all mandatory Board Sub-Committees and the Senior Independent Director were available at the same, to answer questions if so requested by the Chairman. The Bank convenes shareholder meetings through virtual or hybrid means as and when required in line with the guidelines issued by the CSE.
- 24 The notice of the AGM and the other papers related thereto, are duly circulated to all shareholders, fifteen (15) working days prior to the AGM. The notices of other general meetings are also duly circulated to all shareholders within the timelines stipulated by the statutes.
- 25 During the AGMs, separate resolutions are proposed and adopted on each substantial issue including the adoption of the Annual Report of the Board of Directors and the statements of the Audited Accounts for the year under review. All proxy votes lodged, together with the votes of shareholders who participated at the AGM are considered for each resolution. The votes withheld are not considered in determining the number of votes for and against each resolution.
- 26 The Bank duly maintains a register to ensure that all valid proxies received in respect of the general meetings are properly recorded and counted. The register is closed on the proxy submission deadline specified in the notice of meeting. The number of votes received for and against each resolution is announced at the relevant general meeting and also the records are maintained properly by the Bank as per regulatory requirements. At the meeting, for adoption of each resolution, the Chairman, in addition to the details of the proxies registered, calls for a vote in line with the established practices followed by the announcement, as to whether the resolution is carried or not. A summary of the procedure governing voting at general meetings is properly briefed to the shareholders at the respective general meetings.

CORPORATE GOVERNANCE

3.4 KEY MANAGEMENT PERSONNEL (KMP)

Direction Ref. - 3(1)(i)(f), 3(1)(i)(g), 3(1)(i)(h), 3(1)(i)(j), 3(1)(i)(k)

Code 2017 Ref. - A.1.2



- 27 The Bank has identified Key Management Personnel (KMP) as the persons those who are having authority and responsibility for planning, directing and controlling the activities of the Bank in terms of the Sri Lanka Accounting Standard - LKAS 24 (Related Party Disclosures), including any Director of the Bank. Accordingly, the Board has identified the members of Corporate Management, the Chief Compliance Officer and the Assistant Company Secretary as KMPs, being "Officers Performing Executive Functions of Licensed Commercial Banks" as required by the relevant regulations imposed by the CBSL for the LCBs.
- 28 The Board has defined the areas of authority and key responsibilities of the KMPs and the same has been set out in their individual Position Descriptions. The KMPs have delivered the entrusted responsibilities at an optimum level under the defined areas of authority that is consistent with the Board policy during the year under review. KMPs are called upon as and when required to attend meetings of the Board and its Sub-Committees to review policies, establish communication lines and other matters relating to the scope of work under their respective purview to monitor progress towards corporate objectives and make regular presentations as appropriate. The MD and the Corporate Management Team possess the necessary skills, knowledge and experience required to implement the strategy of the Bank.
- 29 The Bank develops and updates succession plan for KMPs aligned to the Bank's strategic objectives to ensure minimum 1:1 backup ratio and a Board approved succession plan for Corporate Management is in place. Accordingly, Mrs Ayodhya Iddawela Perera was appointed as the MD of the Bank effective from 1st July 2023 upon retirement of former MD Mr Nanda Fernando.

3.5 BOARD MEETINGS

GRI 2-9

Direction Ref. - 3(1)(iii), 3(1)(iv), 3(1)(v), 3(1)(vi), 3(1)(x), 3(1)(xiii), 3(2)(vii), 3(5)(v), 3(5)(vi)

Code 2017 Ref. - A.1.1, A.1.5, A.1.6, A.1.7, A.3.1, A.5.10, A.6, A.6.1, A.6.2

Listing Rules Ref. - 9.10.4(f), 9.10.4(h)



- 30 Regular Board Meetings are held whereas special meetings are scheduled if the need arises and the Board met sixteen (16) times during 2023. Such regular Board Meetings necessarily involve active participation in person of a majority of Directors entitled to be present. The Bank has minimised obtaining approval via circulation of written resolutions/papers and it is done only on an exceptional basis.
- 31 Every Director dedicates adequate time and effort to Board matters. The Directors who are also members of the Board Sub-Committees make a strong commitment to discharge their duties and responsibilities towards the affairs of the Bank. All Directors have attended at least 2/3 of the total number of Board Meetings during the year under review. More than 1/2 of the NEDs were present at the meetings out of total number of Directors to constitute the quorum of Board Meetings conducted in the year 2023. Directors exercise independent judgement in the effective discharge of their duties and responsibilities in matters relating to the Board including strategy, performance, resource allocation, risk management, compliance and standard of business conduct.

Directors' Attendance at Board and Board Sub-Committee Meetings

Name of Director	Board and Board Sub-Committee Meetings Attendance (Attended/Eligible to Attend)													
	Main Board	BNGC	BAC	BHRC	BIRMC	BRPTRC	BCMC	BCC	BSPC	BSRC	BTC	BMC	BITC	BCPC
Mr Harsha Amarasekera	16/16	7/7	-	-	-	-	2/2	-	2/2	1/1	-	4/5	-	3/3
Mr Dilip de S Wijeyeratne	15/16	6/7	19/19	8/9	9/9	-	-	-	2/2	-	9/9	-	-	3/3
Dr Sanjiva Weerawarana	13/16	-	17/19	-	6/9	2/4	-	-	2/2	-	-	-	6/6	-
Mr Rushanka Silva	16/16	7/7	-	-	-	-	-	28/31	2/2	1/1	-	5/5	6/6	3/3
Ms Aroshi Nanayakkara	16/16	7/7	-	9/9	9/9	-	2/2	-	2/2	-	9/9	5/5	6/6	-
Mr Vajira Kulatilaka	16/16	-	-	9/9	-	4/4	2/2	31/31	2/2	-	9/9	-	6/6	3/3
Mrs Keshini Jayawardena	16/16	7/7	-	7/9	-	4/4	2/2	30/31	2/2	1/1	-	-	6/6	-
Mr Vinod Hirdaramani	16/16	7/7	-	7/9	-	-	1/2	26/31	2/2	-	9/9	4/5	-	-
Mr Hiran Cabraal	16/16	-	18/19	-	9/9	3/4	-	-	2/2	1/1	9/9	-	-	-
Mr Prabhath Subasinghe	1/1	-	-	-	-	-	-	-	1/1	-	-	-	-	-
Mr Nanda Fernando	7/8	-	-	-	5/6	-	-	15/17	n/a	1/1	5/5	3/3	2/3	2/3
Mrs Ayodhya Iddawela Perera	8/8	-	-	-	3/3	-	-	14/14	2/2	n/a	4/4	0/2	3/3	n/a
Mr Ajantha de Vas Gunasekara	15/16	-	-	-	-	-	-	-	2/2	-	-	-	-	-

n/a - not applicable

- 32 Dates of regular Board Meetings and Board Sub-Committee Meetings are scheduled well in advance and the notice of meetings, the relevant meeting agenda along with the respective papers are generally circulated seven (07) days prior to the meeting by uploading the same via a secure link, providing Directors an opportunity to get prepared and attend the same. There is a provision to circulate urgent papers closer to the meeting on an exceptional basis. Further, minutes of the meetings are generally provided within the stipulated period. The routine agenda for Board Meetings is developed by the Chairman in consultation with all other Directors and the Company Secretary taking into consideration matters relating to the Board Meeting covering all-important areas under discussion. A Board approved procedure is in place to permit any Director to include any matter or proposal in the Board and/or in a Sub-Committee Meeting agenda especially where such matters and proposals relate to the promotion of business and the management of risks of the Bank. Further, the Board has an approved schedule of matters specifically reserved for its decision to ensure that the direction and control of the Bank is within its authority in line with regulatory codes, guidelines and international best practices.
- 33 The Board has access to comprehensive, quantitative and qualitative information needed to enable them to effectively discharge their duties. The Management provides comprehensive information to Directors during the monthly Board Meetings. Board papers are informative and any further information required by Directors are provided by the Management, upon request. A Board approved procedure is in place enabling all Directors to request inclusion of matters of concern in the agenda while all Directors have access to KMPs should they need to seek information for discussions at Board Meetings. Further, the Chairman ensures that the Board is adequately briefed and informed regarding matters arising at Board Meetings in a timely manner. The following processes are in place to ensure the same.
- Agenda and Board papers are circulated with adequate time for the Directors to go through the same.
 - Relevant members of the Management Team are available for explanations and clarifications if required.
 - Management information is provided in agreed formats on a regular basis to enable Directors to assess the performance and stability of the Bank.
- 34 Any Director who was unable to attend a meeting is updated on proceedings prior to the next meeting through:
- formally documented minutes of meetings;
 - a separate document on matters arising out of minutes highlighting the items which need to be completed and need follow-up actions of the previous meetings (This is taken up immediately after confirmation of minutes);
 - archived minutes and Board papers accessible electronically at the convenience of the Directors.
- 35 The minutes of Board and Board Sub-Committee Meetings carry important concerns raised and views expressed by Directors individually to highlight how the Board has arrived at the decision in the deliberations as precisely as possible. When preparing minutes of the proceedings of a meeting the concerns raised by each Director are clearly recorded together with the responses of the other, which are important for the final decision of the Board.
- 36 The detailed minutes of the meetings include the following:
- a summary of data and information used by the Board in its deliberations;
 - the matters considered by the Board members;
 - the fact-finding discussions and the issues of contention or dissent;
 - the testimonies and confirmations of relevant executives which indicates compliance with the Board's strategies and policies and adherence to relevant laws and regulations;
 - matters related to risks to which the Bank is exposed and an overview of the risk management measures adopted;
 - the decisions and resolutions of Board/Board Sub-Committees.

3.6 PROFESSIONAL ADVICE

GRI 2-12,26

Direction Ref. - 3(1)(xi)

Code 2017 Ref. - A.1.3



- 37 A Board approved policy has been established to enable Directors to seek Independent Professional Advice in appropriate circumstances at the Bank's expense. This facility is coordinated through the Company Secretary with the approval of the Board Chairman to assist the relevant Director/s to discharge his/her/their duties to the Bank.

CORPORATE GOVERNANCE

3.7 DEALING WITH CONFLICTS OF INTERESTS

GRI 2-15

Direction Ref. - 3(1)(xii), 3(1)(i)(ii)



- 38 The Directors at all times take necessary steps to avoid conflicts of interest or the appearance of conflicts of interest, in their activities with, and commitments to, other organisations or Related Parties. The Directors are also conscious of their obligation to deal with situations where there is a conflict of interest in accordance with the Bank's Policy on "Managing Conflicts of Interest" and the Direction. The effectiveness of the Policy on "Managing Conflicts of Interest" is periodically reviewed by the Board and as per the policy, where there is deemed to be a conflict of interest, the respective Directors refrain from participating in the discussions, voicing their opinion and approving the same and such actions are appropriately minuted for future reference. Additionally, the Director concerned is not counted in the quorum in such instances. The Bank also maintains the Register of Directors' Interests which is regularly updated in line with the regulatory requirements. In addition, Policy on "Anti Bribery Corruption" and relevant internal guidelines are in place to ensure the Bank's commitment towards anti-corruption practices. Further, an effective and comprehensive internal control framework for identifying, recording and disclosing Related Party Transactions is also in place.

3.8 ROLE OF THE COMPANY SECRETARY

Direction Ref. - 3(1)(vii), 3(1)(viii), 3(1)(ix)

Code 2017 Ref. - A.1.4



- 39 The appointment of the Company Secretary is governed by the provisions of Section 43 of the Banking Act No. 30 of 1988. Accordingly, the Board has appointed a Company Secretary who is an Attorney-at-Law of the Supreme Court of Sri Lanka to oversee secretarial services for the Board Meetings and shareholder meetings and to carry out other functions as specified in the statutes and other regulations. The Articles of Association of the Bank specifies the conditions for the appointment and removal of the Company Secretary.
- 40 The Company Secretary is a member of the Corporate Management Team and is considered to be a part of the KMPs of the Bank. The main role of the Company Secretary is to guide the Board on discharging its duties and responsibilities, by promoting Corporate Governance best practices and informing the Board of relevant legislative and regulatory changes applicable for the same. The Company Secretary is accountable to the Board for maintaining the minutes of the Board Meetings and circulating the same among all Board Members. It is the responsibility of the Company Secretary to allow Directors to access past Board papers and minutes through the secure electronic link via iPads. In addition, the Company Secretary is required to make sure Directors are briefed on developments in the regulatory environment at Board Meetings to ensure that their knowledge is updated regularly to discharge their responsibilities effectively.
- 41 A Board approved policy is in place, ensuring that all members of the Board have the opportunity to obtain advice and services of the Company Secretary with regard to the compliance with relevant rules, regulations, directions and statutes.

3.9 BUSINESS CONTINUITY PLANNING

Code 2017 Ref. - A.1.2



- 42 The Board remains the ultimate authority in charge of ensuring the continuity of business operations to support the going concern principle. For this purpose, a Board approved Business Continuity Plan (BCP) is in place. The BCP is reviewed and updated annually or more often if needed in cognisance with contextual changes in the internal and external operating environment, with Board approval sought for any updates to the BCP. Under the BCP testing protocols for 2023, the Disaster Recovery (DR) Drill was conducted for an extended period of time along with a series of system simulations to measure system resilience against the worst case scenario. Delegated DR Sites were also tested quietly to ensure proper functioning of sites as well as familiarisation of team members. With the aim of ensuring safety of occupants of the building, Fire Evacuation Drill was also conducted.

3.10 TRAINING FOR DIRECTORS

GRI 2-17

Code 2017 Ref. - A.1.8



- 43 Given the stewardship role undertaken by the Board, it is vital that all Directors remain relevant and up to date in terms of the skills and knowledge needed to carry out their roles and responsibilities as well as to perform their fiduciary duties as Board of Directors. Accordingly, all Directors have access to learning, development and training opportunities paid for by the Bank. The Company Secretary, in consultation with the Board Chairman, recommends appropriate training sessions/seminars/workshops for Directors. The annual self-assessment by Directors also serves as an important source for identifying training needs of Directors. Meanwhile, the formal induction for new Directors also covers a range of essential training modules.

44 Additionally, the Board encourages knowledge sharing amongst the Directors. A dedicated knowledge sharing platform under the theme "Towards a Governance Culture" is in place to keep the Board apprised of key developments of Corporate Governance as and when required. This platform is also used to inform Directors about important information on shareholders, including the movements in shareholding positions of the Bank's major shareholders on a monthly basis. The Board being the highest governance body also acknowledges the importance of developing and enhancing its collective knowledge on economic, environmental and social topics. During the year 2023, the Directors attended the following training programmes focusing on both general aspects of directorship and matters specific to the industry. These training programmes include the awareness sessions conducted to the Board on Cyber Security in terms of the section 5 of the Banking Act Direction No. 16 of 2021 on the "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks"

- Programme on "Economic Outlook" 2023
- Current Economic Condition
- Mindful solutions with Mo Gowdat
- Machine Learning and AI
- Cyber security

3.11 LEADERSHIP OF THE BOARD

Code 2017 Ref. - A.1.2



45 The Board acknowledges its responsibility for fulfilling essential functions vital to the Bank's success. The Board plays a pivotal role in steering the company forward with entrepreneurial leadership, ensuring the establishment of a robust framework of prudent and effective controls, and is tasked with assessing and managing risks, all of which are integral to the governance structure. Additionally, the Board's responsibilities have expanded across diverse areas, necessitating a close and vigilant monitoring approach to address emerging challenges and capitalise on opportunities given the scale, nature and complexity of the business concerned.

3.12 FINANCIAL AND BUSINESS REPORTING

Code 2017 Ref. - D.1.2, D.1.4



- 46 The Board is in charge of ensuring the Bank honours all its Financial Reporting obligations. Accordingly, the Board provides oversight to ensure all regulatory reports are filed with relevant authorities in a timely manner, including but not limited to the Central Bank of Sri Lanka, the Department of Inland Revenue, the Registrar of Companies and the Colombo Stock Exchange. Interim Financial Statements reflecting quarterly results as well as the Annual Report are published within the timelines as stipulated by the relevant regulatory authorities enabling shareholders to gain an understanding of the state of affairs of the Bank.
- 47 The Annual Report of the Board of Directors on the Affairs of the Company is given on pages 229 to 238 contains the declarations as required by the Code 2017 in terms of financial and business reporting.

3.13 COMPLIANCE WITH CAPITAL ADEQUACY REQUIREMENTS

Direction Ref. - 3(1)(xv)



48 The Board and the Board Capital Planning Committee (BCPC) monitor capital adequacy and other prudential measures as and when necessary to ensure that the Bank is capitalised at levels required by the Monetary Board. In addition, the Bank has established defined risk appetite for the Bank and also considers industry benchmarks in evaluating capital adequacy requirements. During the year under review, the Bank was in compliance with the minimum capital adequacy requirements. In view of mitigating risks stemming out from the macroeconomic challenges, the Bank has maintained an internal capital buffer on top of the minimum capital adequacy requirements of the regulator. The aforementioned responsibility has been shifted back to the Main Board upon the Board's decision to disband the BCPC effective from 14th December 2023. The BCPC to be reinstated as and when the circumstances warrant the same.

CORPORATE GOVERNANCE

3.14 CODE OF CONDUCT AND ETHICS

GRI 2-15

Code 2017 Ref. - D.5, D.5.1, D.5.3, D.5.4



- 49 The Board collectively and Directors individually set the tone from the top for promulgating the culture of ethics and integrity across the Bank. In this regard, the "Code of Conduct and Governance Requirements for Directors", the "Code of Conduct for Key Management Personnel" and the "Code of Conduct for other Employees" are all in place to ensure compliance with the provisions of the Code of Conduct and Ethics. These guidelines are reviewed periodically and updated in keeping with the latest developments. Moreover, there are Bank wide internal guidelines and the Anti Bribery Corruption Policy to reinforce the Bank's commitment towards anti-corruption practices.
- 50 A process is in place to monitor the share transactions of the Directors and KMPs on a timely manner.
- 51 The Chairman's affirmation with regard to introduction of a Bank-wide Code of Conduct and Ethics, the status of Compliance with same and his awareness of any violations thereof is given on page 146 of this Annual Report.

(4) RELATIONSHIPS AMONG THE DIRECTORS INCLUDING THE CHAIRMAN AND MANAGING DIRECTOR

GRI 2-12

Direction Ref. - 3(1)(ii), 3(5)(i), 3(5)(iii)

Code 2017 Ref. - A.2, A.2.1

Listing Rules Ref. - 9.6.1, 9.6.2



- 52 The Board has duly appointed the Chairman and the MD of the Bank and their functions and responsibilities are defined in line with the regulatory requirements. In that respect, the functional responsibilities of the Board Chairman and the MD are clearly documented and duly approved by the Board. The Chairman is a Non-Executive Director whilst the MD serves as an Executive Director. The identity of the Chairman and MD are disclosed in the Annual Report on pages 176 to 181. There is no material financial, business or family relationships between the Chairman, MD and other members of the Board as disclosed on page 238 and in Note 47 to the Financial Statements given on pages 342 to 345. Above disclosures are made as per the annual declarations and the Register of Directors' Interests which is updated regularly.

4.1 THE CHAIRMAN

GRI 2-15,18

Direction Ref. - 3(5)(iv), 3(5)(vi), 3(5)(vii), 3(5)(viii), 3(5)(ix), 3(5)(x)

Code 2017 Ref. - A.3, A.3.1, A.5.9



- 53 The Chairman leads the Board ensuring that it functions and discharges its responsibilities effectively while all key and appropriate issues are discussed by the Board in a timely manner. The functions and responsibilities of the Chairman are documented and duly approved by the Board in order to facilitate the effective discharge of Board functions.
- 54 The Chairman ensures that the "Code of Conduct and Governance Requirements for Directors" and the Terms of Reference (TOR) of each Board Sub-Committee spells out the Directors' duties and responsibilities and the standards of care expected from them. The Chairman further ensures that Directors are properly briefed on issues arising at Board Meetings and also ensures that Directors receive adequate information in a timely manner.
- 55 The Board Chairman is responsible for ensuring the right mix between EDs and NEDs to ensure an appropriate balance of power to support independent and objective decision making at Board level. Further, the Chairman facilitates the effective contribution of NEDs in particular and ensures constructive relations between EDs and NEDs. The Chairman encourages full and active participation of both EDs and NEDs at Board Meetings and Board Sub-Committee meetings, to ensure their proactive involvement in the best interest of the Bank. The same is evident from the responses in the self-evaluation forms submitted by each Director at the end of the year. During the year under review, the Chairman held one (01) meeting with NEDs without the EDs being present as per the governance requirements.
- 56 The Chairman ensures that the Board is in complete control of the Bank's affairs and alert to its obligations to all shareholders and other stakeholders as appropriate whereas he does not get involved in the supervision of KMPs or any other executive duties. The Chairman of the Board who is also a member of BSRC ensures that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.

4.2 THE MANAGING DIRECTOR

Direction Ref. - 3(5)(xi)



- 57 As the most senior executive officer of the Bank, the MD is accountable to the Board for the performance of the Corporate Management Team. In this capacity, the MD is responsible for providing leadership to the Corporate Management Team in charge of the day-to-day management of the Bank's operations and business. The MD also provides oversight for the implementation of Board approved policies ensuring that the Bank fulfils its regulatory and fiduciary commitments.
- 58 Mr Nanda Fernando served as the MD of the Bank until 30th June 2023, and upon his retirement on that date, Mrs Ayodhya Iddawela Perera who was the Managing Director Designate was appointed as the MD of Sampath Bank effective from 1st July 2023.

4.3 THE SENIOR INDEPENDENT DIRECTOR

Direction Ref. - 3(5)(ii)

Code 2017 Ref. - A.1.2, A.5.7, A.5.8

Listing Rules Ref. - 9.6.3(a), 9.6.3(b), 9.6.3(c), 9.6.3(d), 9.6.3(e), 9.6.4, 9.10.4(i)



- 59 The Board has appointed Mr Dilip de S Wijeyeratne as the Senior Independent Director (SID) of the Board considering the fact that the Chairman is a Non-Independent Director. The position of SID is governed under the Board approved TOR which is in place with the intention of ensuring a greater independent element. The profile of the SID is given on the pages 176 to 181 of the Annual Report. The report by SID is given on page 186, demonstrating the effectiveness of his duties.
- 60 The SID held two (02) meetings with the NEDs and one (01) meeting with the EDs during the year 2023. In addition, the SID held a separate meeting with the Independent Directors during the year in line with the new regulations imposed by the Listing Rules. The SID casts his vote at the aforementioned meetings and provides his feedback and recommendations from such meetings to the Chairman and the other Board members as appropriate. The SID is available for other Directors for confidential discussions and represents all shareholders at meetings.

(5) MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD

GRI 2-9,13

Direction Ref. - 3(4)(i), 3(4)(ii), 3(4)(iii)

Code 2017 Ref. - A.1.2



- 61 The Board clearly understands the delegation arrangements in place and consciously delegates authority to the Management to carry out certain duties from time to time, to an extent that such delegation does not hinder the Board's ability to discharge its functions within the provisions of the Bank's Memorandum and Articles of Association. The Management, who carries out duties on behalf of the Board under such delegated authority are required to report to the Board regularly on such matters attended by them. Further, a Board approved formal schedule of matters reserved to the Board for decision is in place.
- 62 The Board reviews and approves the delegation arrangements which are in place, as and when required and ensures that the extent of delegation addresses the needs of the Bank whilst enabling the Board to discharge its functions effectively. Additionally, the Operational Level Committees are established in order to offer more specialised supervision over functions that are delegated by the Board. The Management Committees of the Bank are given below.

Management Committees		
▪ Corporate Management Committee	▪ Information Security Committee	▪ Risk and Compliance Committee
▪ Advances Committee	▪ Fraud Risk Management Committee	▪ Sustainability Committee
▪ Asset & Liability Management Committee (ALCO)	▪ Outsourcing Committee	▪ Internal Control Over Financial Reporting (ICOFR) Committee
▪ Recovery Plan (RCP) Working Committee	▪ Dissemination of Regulatory Instructions Committee	▪ Environment & Social Risk Management System Implementation Committee
▪ Investment Committee	▪ Procurement Committee	▪ Model Risk Management Committee
▪ Internal Capital Adequacy Assessment Process Working (ICAAP) Committee	▪ Product Rationalisation Committee	▪ Operational Risk Management Committee
▪ Credit Policy, Risk and Portfolio Review Committee	▪ Executive Advances Committee	
▪ IT Steering Committee	▪ Data Dissemination Committee	

CORPORATE GOVERNANCE

(6) CYBER SECURITY AND INTEGRITY OF INFORMATION

Code 2017 Ref. - A.1.2, G.1, G.2, G.3, G.4, G.5



- 63 Operating under the delegated authority of the Board, the Board IT Committee (BITC) provides oversight for the implementation of the Bank IT strategy, vis-à-vis digital product innovation and ensuring the robustness of the Bank's IT infrastructure to support overall strategic objectives and risk management targets. The BITC provides oversight to address IT related matters of the customers and the employees while recommending the IT strategic plan, policies, expenditure and budgets to the Board. The BITC ensures that the Bank continuously invest in advance security controls to detect and respond to the latest threats effectively.
- 64 Considering the rapidly evolving nature of the modern technology world, the Board has allocated sufficient time during each Board Meeting to allow the BITC to present their views on the risk factors that may have a bearing on the IT needs of the Bank. Further, the Directors are concerned with the manner in which the challenging economic state of the country and the complexity of expanding digital operations have negatively impacted the number of financial crimes that were being recorded. During the year under review, the Board participated in Cyber Security Awareness sessions conducted by a reputed external firm.
- 65 With the goal of maintaining the integrity and confidentiality of the data handled by the Bank, the Information Security Committee (ISC) was established to oversee the strategic and operational aspects of information security within the Bank. The ISC apprises the BIRMC on a quarterly basis on the matters that were being highlighted during the period.
- 66 The Information Security Department (ISD) headed by the Chief Information Security Officer (CISO) is tasked with determining the Bank's sensitivity and risk appetite towards information security threats at any given time. Towards ensuring the Bank's cyber security controls, the Bank has aligned with the global best practices by obtaining the ISO 27001 standards certification to validate the efficacy of the Bank's Information Security Architecture. The ISD monitors privilege access using the latest Privilege Access Management (PAM) software. The annual Risk Assessments are conducted covering all departments and the selected Branches to identify potential information security risks and formulate appropriate risk treatment plans. Meanwhile, a cross functional incident response team was appointed and granted authority for taking immediate actions in the event of an information security breach to ensure business continuity and information security. A cross functional management committee (Data Dissemination Committee - DDC) was formed to manage and evaluate the information shared by the Bank internally and externally. Moreover, the Bank has implemented Data Loss Prevention (DLP) solution to manage/restrict information shared by the Bank internally and externally. To ensure the information security of the payment cards, the Bank has recently obtained PCI : DSS V3.2.1 Certification. Further, it will comply with terms of payment brands and ensure security of payment cards.
- 67 The Bank has implemented multiple firewalls and other systems to secure its internal systems. In addition, the Bank's ISD reviews routine Vulnerability Assessments and Code Reviews to test the efficiency and integrity of these information systems in safeguarding against external and internal breaches.
- 68 All devices connected or attached to the Bank's infrastructure are authorised by a Network Access Controller and the use of other remote access solutions are strictly prohibited unless otherwise written approval has been obtained. Remote access is granted to users outside of the Bank with a justifiable business requirement, while access points into the Bank's ecosystem are regularly assessed with any changes that are formally approved.
- 69 The Bank also obtains the services of an external specialist to conduct quarterly Vulnerability Assessments and Annual Penetration Tests to identify vulnerabilities and determine possible threats in order to initiate necessary preventive actions. In addition, the Bank conducts periodic Cyber Security Drills to build information security awareness among the staff members and a Bank wide Information Security Risk Assessment Review was conducted in 2022 with the support of an independent third party.
- 70 The relevant disclosure of the process to identify and manage cyber security risk is given on pages 210 to 225 in this Annual Report.

(7) SUSTAINABLE DEVELOPMENT AND ESG (ENVIRONMENTAL, SOCIAL AND GOVERNANCE)

Code 2017 Ref. - A.1.2, H.1, H.1.1, H.1.2, H.1.3, H.1.4, H.1.5

GRI 2-14



- 71 The Board, when considering business sustainability, focuses on integrating Environmental, Social and Governance (ESG) factors into decision making processes. Key considerations include aligning sustainability with the Bank's strategy, managing risks related to ESG issues, engaging with stakeholders, ensuring compliance with regulations and ethical standards, fostering innovation for sustainable practices, promoting social responsibility and enhancing investor relations by demonstrating a commitment to sustainable business practices. By addressing these aspects, the Board seeks to emulate responsible and ethical operations to safeguard long-term viability, while contributing positively to societal and environmental progress. The Bank is conscious of its role in addressing various environmental implications and driving towards sustainable socio-economic developments. As a result, the Bank has initiated various projects for the purpose of protecting of environment and biodiversity, restoration of natural resources and sustainable use of resources.

- 72 The Board has always strongly emphasised strengthening Sampath Bank's ESG credentials. The Bank has implemented an Environmental and Social Risk Management System (ESMS) to manage the environmental and social risks associated with the Bank's credit operation, thereby reducing the Bank's environmental footprint and improving its social well-being. The ESMS Implementation Committee was formed and a dedicated ESMS Officer was appointed to further strengthen the ESMS by implementing a suitable Environmental and Social Risk Management Framework to identify and measure environmental and social risks at all levels of operation across the Bank. Additionally, all employees are encouraged to adopt the Environmental Pledge, while regular training and awareness building initiatives to ensure staff have adequate knowledge to understand the purpose, application and intended objectives of the ESMS. In this regard, staff capacity building on environmental and social due diligence is conducted by the Sampath Learning Academy on a periodic basis in collaboration with the Corporate Sustainability Department.
- 73 The Board and Board Sub-Committees, with a view to identifying and managing the social, economic, and environmental topics and their impacts, may from time to time call for comprehensive analysis reports from both external and internal resource personnel to be in line with the adequate due diligence. Further, the Board reviews the ESG factors where necessary to enhance the ESG related areas. Moreover, information pertaining to CSR initiatives and sustainability framework of the Bank are given on the following reports.
- Our Approach Towards Sustainability is given on pages 46 to 51.
 - Natural Capital Report is given on pages 120 to 132.
 - Social and Relationship Capital Report is given on pages 103 to 119.
 - Material Topics is given on pages 56 to 58.

(8) BOARD APPOINTED COMMITTEES

GRI 2-9

Direction Ref. - 3(6)(i)

Listing Rules Ref. - 9.3.1, 9.3.2, 9.3.3



- 74 Thirteen (13) Board Sub-Committees have been established by the Board out of which six (06) Committees are mandatory in terms of the applicable regulatory requirements while the other seven (07) are discretionary committees established in line with good governance practices. All Sub-Committees function under the oversight of its respective Chair and function as per the written TOR. Each Committee Report directly to the Board and the composition of Board Sub-Committees adheres to regulatory requirements, where applicable. Furthermore, the Chairman of the Board does not function as the Chairman of the Board Audit Committee, Board Human Resources and Remuneration Committee, Board Nominations and Governance Committee, and Board Related Party Transactions Review Committee as stipulated in the Listing Rules. The Company Secretary or his nominee serves as the Secretary to all Sub-Committees and maintains minutes and records under the supervision of the Chairman of the Committees. The Board presents a report of the performance on committees, on their duties and roles at the AGM. The Reports of the following Board Sub-Committees are included in this Annual Report:
- Board Nominations and Governance Committee on pages 187 to 189;
 - Board Audit Committee on pages 190 to 192;
 - Board Human Resources and Remuneration Committee on pages 193 and 194;
 - Board Integrated Risk Management Committee on pages 195 and 196;
 - Board Related Party Transactions Review Committee on page 197;
 - Board Cost Monitoring Committee on page 198;
 - Board Credit Committee on pages 199 and 200;
 - Board Strategic Planning Committee on pages 201 and 202;
 - Board Shareholder Relations Committee on page 203;
 - Board Treasury Committee on page 204;
 - Board Marketing Committee on pages 205 and 206;
 - Board IT Committee on page 207;
 - Board Capital Planning Committee on page 208.

CORPORATE GOVERNANCE

8.1 BOARD AUDIT COMMITTEE (BAC)

Direction Ref. - 3(1)(i)(e), 3(6)(ii)(a), 3(6)(ii)(b), 3(6)(ii)(c), 3(6)(ii)(l), 3(6)(ii)(m), 3(6)(ii)(n), 3(6)(ii)(o), 3(6)(ii)(p)

Code 2017 Ref. - A.1.2, D.3, D.3.1, D.3.2, D.3.3

Listing Rules Ref. - 9.13.1, 9.13.2, 9.13.3(1), 9.13.3(2), 9.13.3(3), 9.13.3(4), 9.13.3(5), 9.13.3(6), 9.13.3(7), 9.13.4(1)(x), 9.13.4(1)(xiii), 9.13.4(2), 9.13.5(1), 9.13.5(2)



- 75 Since 1997, the Bank has established the Board Audit Committee in keeping with practices of good Governance. The principal responsibilities of the BAC include oversight over Financial Reporting, Internal Controls, External Audit and Internal Audit. The duties of the BAC include providing assurances to the Board on the efficacy of the Bank's financial processes and integrity of the financial reports as well as for monitoring the performance, objectivity and independence of the External Auditor and reviewing the work of the Internal Audit function. The Bank has a separate BIRMC to perform the risk functions and maintains a separate BAC independent of its subsidiaries. The BAC Report is given on the pages 190 to 192 in this Annual Report including the following:
- details of the activities of the BAC;
 - number of BAC meetings held during the year;
 - details of attendance of each individual Director at such meetings.
- The BAC has:
- explicit authority to investigate into any matter within its TOR;
 - the resources which it needs to do so;
 - full access to information;
 - authority to obtain external professional advice and to invite outsiders with relevant experience to attend, if necessary.
- 76 The BAC has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. In accordance with its TOR, the BAC has made the following recommendations on matters in connection with the:
- appointment, re-appointment and removal of the External Auditor for audit services to be provided in compliance with the relevant statutes;
 - implementation of the Central Bank guidelines issued to Auditors from time to time;
 - application of the relevant accounting standards;
 - determination of the service period, audit fee and any resignation or dismissal of the Auditor. The BAC ensures that the service period of the engagement of the External Audit Partner does not exceed five (05) years, and that the particular Audit Partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.
- 77 The Chairman of the BAC, Mr Dilip de S Wijeyeratne is an Independent Non-Executive Director who is an Associate Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of the Chartered Institute of Management Accountants, UK. During the year under review, the Committee consisted of three (03) Independent, Non-Executive Directors.
- 78 The BAC has regular meetings in compliance with its TOR and schedules additional meetings when required. Accordingly, the BAC met nineteen (19) times during the year under review. This includes the meetings of the BAC with the External Auditor and the Internal Auditor. Members of the BAC are served with due notice of issues to be discussed. The Chief Financial Officer (CFO), the Chief Internal Auditor (CIA) and a representative of the External Auditor attend meetings as appropriate. Other Board members and the MD may also attend meetings upon the invitation of the Committee. Consultant to the BAC also attends meetings upon the invitation of the Committee. The conclusions of the BAC deliberations are recorded in the minutes of the meetings. The Company Secretary acts as the Secretary to the Committee and in the absence of the Company Secretary, his nominee or the CIA shall act as the Secretary to the Committee and maintain minutes of the BAC meetings.
- 79 The Board reviews the adequacy and the integrity of the Bank's Internal Control Systems and management information systems based on the reports provided by the BAC. Accordingly, the BAC reviews Internal Audit reports submitted by the Internal Audit Department and monitors the follow up actions. Considering the reports provided by the BAC in 2023, the Board concluded that the Bank's Internal Control over Financial Reporting System is effective. The Directors' Statement on Internal Control over Financial Reporting is given on pages 239 and 240. The BAC and the Board respectively review and approve the Bank's accounting policies annually or sooner if required, to ensure that they are in line with the business model of the Bank, reflecting current local and international accounting standards and industry best practices.
- 80 During the year under review, no such incident arose where the BAC is of the view that a matter reported by it to the Board of Directors of the Bank has not been satisfactorily resolved resulting in a breach of the applicable regulatory requirements.

8.1.1 External Auditor

Direction Ref. - 3(1)(i)(m), 3(6)(ii)(d), 3(6)(ii)(e), 3(6)(ii)(f), 3(6)(ii)(h), 3(6)(ii)(i), 3(8)(ii)(c), 3(8)(ii)(g)

Listing Rules Ref. - 9.13.4(1)(ii)(e), 9.13.4(1)(ii)(f), 9.13.4(1)(iii), 9.13.4(1)(xi), 9.13.4(1)(xii)



- 81 Messrs Ernst & Young - Chartered Accountants functioned as the External Auditor to the Bank for the year under review. The BAC carries out necessary due diligence regarding the hiring and oversight of the External Auditor and makes recommendations to the Board. The appointment of the External Auditor is made at the Bank's AGM by the shareholders. The BAC is responsible for overseeing the work of the External Auditor and reporting to the Board in this regard if a necessity arises. The BAC reviews and monitors the External Auditor's independence, objectivity and effectiveness of their audit processes in accordance with the applicable standards and best practices. During the year under review no removal/resignation of External Auditor of the Bank occurred.
- 82 A Board approved Policy on "Engagement of External Auditors for Non-Audit Services" is in place. When assigning non-audit services to External Auditor, BAC ensures the availability of required skills and experience and ensures that independence and/or objectivity will not be impaired. Further, such services intended to be obtained from External Auditor, required approval is sought from the BAC in accordance with the regulations.
- 83 The BAC discusses issues, problems and reservations (if any) arising from the interim and final audits with the External Auditor. Further, the BAC, before the audit commences, discusses and finalises with the External Auditor, the nature and scope of the audit to ensure that it includes:
- an assessment of the Bank's compliance with the relevant Directions in relation to Corporate Governance and Internal Controls Over Financial Reporting;
 - the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations.
- As all audits within the group are carried out by the same External Auditor, there was no requirement to discuss arrangements for coordinating activities with other auditors. The BAC met the External Auditor in the absence of KMPs of the Bank on two (02) occasions during the year 2023 to discuss issues, problems, and reservations arising from the interim and final audits.
- 84 The BAC has reviewed the External Auditor's Management Letter and the management's responses thereto. The Board has obtained independent assurance from the External Auditor to confirm that effectiveness of the Bank's Internal Controls Over Financial Reporting System as per the "Sri Lanka Standard on Assurance Engagements 3050" and this Independent Assurance Report is given on page 241. The findings presented in the Factual Findings Report of External Auditor, addressed to the Board are consistent with the matters disclosed in this report and did not identify any inconsistencies to those reported by the Board. The recommendations made by the Auditors where relevant will be taken into consideration.

8.1.2 Internal Audits

Direction Ref. - 3(6)(ii)(j), 3(6)(ii)(k)

Code 2017 Ref. - D.2.3



- 85 The Bank has established an Internal Audit function headed by the CIA who is independent and reports functionally to the BAC. The BAC met the CIA of the Bank four (04) times during the year under review. The BAC has oversight of the Internal Audit function and has the following responsibilities with regard to the same which is clearly defined in the TOR of the BAC.
- Reviewing and discussing with the CIA the Annual Audit Plan, the adequacy of the scope and functions and the resources of Internal Audit Department (IAD) and ensure that the IAD has necessary authority to carry out its work.
 - Reviewing and discussing the progress of the approved Audit Plan at the BAC meetings. The BAC reviewed the audit programmes, internal audit reports along with the recommendations given by the IAD and ensured that appropriate actions are taken by the management to rectify the concerns raised by the IAD.
 - Reviewing the performance of the CIA and the senior staff members of the IAD.
 - Recommending to the Board, the appointment or termination of the head, senior staff members within the internal audit function.
 - Ensuring that the BAC is apprised of resignations of senior staff members of the IAD including the CIA, and providing an opportunity to the resigning senior staff members to submit reasons for resigning.
 - Ensuring that the Internal Audit function is independent of the other activities it audits and performed with impartiality, proficiency and due professional care.
- 86 The BAC has reviewed the major findings of internal investigations during the year under review and the management's responses thereto. It has also ensured that the recommendations of such investigations have been implemented.

CORPORATE GOVERNANCE

8.1.3 Whistleblowing Policy

GRI 2-16

Direction Ref. - 3(6)(iii)(q)



- 87 The Bank has a Board approved "Whistleblowing Policy" where a whistleblower may, in confidence, raise concerns about possible improprieties in Financial Reporting, Internal Control or other matters. The Company Secretary and the CIA takes appropriate actions for all communications received in his/her office in this regard, including anonymous communications, to the Chairman of the BAC who addresses the issue in an appropriate manner. The policy creates an environment of utmost confidentiality, trust and protection to all stakeholders who report irregularities in good faith and ensure that they will not be penalised or suffer any adverse treatment for doing so. Further, all employees are encouraged to blow the whistle to report on any form of suspected breaches relating to or including anti-corruption and/or bribery under the Policy on "Anti Bribery and Corruption". The BAC is the key representative body for overseeing the Bank's relations with the External Auditor and meets the External Auditor on a regular basis to discharge the said function relating to the "Whistleblowing Policy".

8.1.4 Internal Control

Direction Ref. - 3(8)(ii)(b)

Code 2017 Ref. - D.2.4, D.2.5

Listing Rules Ref. - 9.13.4(1)(v), 9.13.4(1)(vi)



- 88 The Board is responsible for formulating and implementing appropriate and adequate Internal Control Systems. The BAC is responsible to the Board for ensuring that the system of Internal Controls is sufficient and effective. A separate Board Risk Committee is in place to monitor the overall risk profile of the Bank. The Annual Report includes the Directors' Statement on Internal Control Over Financial Reporting which is given on pages 239 and 240 where the Board confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting and that the preparation of Financial Statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.
- 89 Moreover, the BAC reviews the Internal Controls in place to prevent the leakage of material information to unauthorised persons and also oversee the processes to ensure that the Bank's Internal Controls and Risk Management are adequate to meet the requirements of the Sri Lanka Auditing Standards.

8.1.5 Financial Disclosures

Direction Ref. - 3(6)(ii)(g), 3(8)(i), 3(8)(ii)(a)

Code 2017 Ref. - A.1.2, D.1, D.1.1, D.1.3, D.1.5

Listing Rules Ref. - 9.13.4(1)(i), 9.13.4(1)(ii)(a), 9.13.4(1)(ii)(b), 9.13.4(1)(iii)(c), 9.13.4(1)(iv)



- 90 The Annual Report is the main channel used to present financial disclosures to stakeholders. The Annual Report aims to present a balanced and an understandable assessment of the Bank's financial position, performance, business model, governance structure, risk management, internal controls as well as the challenges, opportunities and future prospects. The Bank's position and prospects have been discussed in detail in the following sections of this Annual Report.
- Chairman's Message is given on pages 30 to 33.
 - Managing Director's Review is given on pages 34 to 39.
 - Management Discussion and Analysis is given on pages 71 to 143.
- 91 Annual Audited Financial Statements and Quarterly Financial Statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and the relevant accounting standards, laws and regulations that provide true and fair assessment of the financial position of the Bank. These Financial Statements are given on pages 250 to 401 in this Annual Report. A statement to the effect that Annual Audited Financial Statements have been prepared in line with applicable accounting standards and regulatory requirements, is included in the Annual Report of the Board of Directors on the Affairs of the Company given on pages 229 to 238.
- 92 The BAC reviews the financial information of the Bank, in order to monitor the integrity of its Financial Statements, Annual Report, Accounts and Quarterly Reports prepared for disclosure and the significant financial reporting judgments contained therein. When reviewing the Bank's Annual Report and Accounts and Quarterly Reports before submission to the Board, the Committee focuses on the following:
- major judgemental areas;
 - any changes in accounting policies and practices;
 - significant adjustments arising from the audit;
 - the going concern assumption;
 - the compliance with relevant accounting standards and other legal requirements.

93 The relevant statements by the Directors, MD, CFO, respective KMPs and Auditors regarding their reporting responsibilities on operation and finance and that of the adequacy and effectiveness of Bank's Risk Management and Internal Controls are given in the following reports of this Annual Report.

- The Managing Director's and the Chief Financial Officer's Responsibility Statement is given on page 242.
- The Statement of Directors' Responsibility for Financial Reporting is given on pages 243 and 244.
- Report of the Auditors is given on pages 245 to 248.
- Board Audit Committee Report is given on pages 190 to 192.

8.2 BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE (BHRRC)

GRI 2-19,20

Direction Ref. - 3(6)(iii)(d)

Code 2017 Ref. - B.1, B.1.1, B.1.2, B.1.3, B.2.3, B.3

Listing Rules Ref. - 9.12.2, 9.12.5, 9.12.6(1), 9.12.6(2), 9.12.6(3), 9.12.8



94 The Board has established a Board Human Resources and Remuneration Committee to develop policies and recommend remuneration for the Directors, the MD and KMPs respectively for approval by the Board. The BHRRC reviews the Bank's remuneration levels vis-à-vis industry standards and other corporate benchmarks where necessary. The BHRRC has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. The Bank maintains a separate BHRRC independent of its subsidiaries. Further, information regarding the BHRRC including the details of the members of the Committee are given in BHRRC Report on pages 193 and 194.

95 The Chairperson of the BHRRC is an Independent, Non-Executive Director and during the year under review, the Committee comprised of five (05) Independent, Non-Executive Directors. The MD attends BHRRC meetings by invitation. However, MD was not present at meetings when matters relating to him/her were discussed and the BHRRC met nine (09) times during the year under review.

8.2.1 Goals and Targets for the Directors, MD and KMPs

GRI 2-18

Direction Ref. - 3(6)(iii)(b), 3(6)(iii)(c)

Code 2017 Ref. - A.11, A.11.1, A.11.2



96 Goals and targets of the MD and KMPs for the year 2023 were documented and approved by the BHRRC based on the objectives set for the year under review. The Board approved TOR of each Board Sub-Committee elaborate the collective goals and targets of the Directors.

97 The performance evaluation of the MD for 2022 was carried out by the BHRRC with reference to the targets and goals achieved by the Bank, which were reported to the Board. The Board expressed its satisfaction at the MD's level of performance during 2022. The performance evaluations of KMPs for the year ended 2022 were carried out during the year 2023. Performance evaluations of the MD and KMPs for the year ended 31st December 2023 will be reviewed by the Committee during the year 2024. In addition, performance evaluations of the MD to be reviewed by the BNGC in line with the revised Listing Rules commencing from the year 2024. The standard procedures are in place for this purpose, to ensure the consistency between the Bank's achievements and industry standards.

8.2.2 Directors' Remuneration

Direction Ref. - 3(6)(iii)(a)

Code 2017 Ref. - B.1.4, B.1.5, B.2, B.2.1, B.2.2, B.2.4, B.2.5, B.2.6, B.2.7, B.2.8, B.2.9, B.2.10, B.3.1

Listing Rules Ref. - 9.12.1, 9.12.3, 9.12.4, 9.12.7(1), 9.12.7(2)



98 A Board approved policy to determine the "Directors' Remuneration" and a Board approved Policy on "Reward Management for KMPs" are in place to determine and govern the remuneration of Executive and Non-Executive Directors as well as KMPs. The Committee has access to professional advice with regard to the matters on remuneration as and when required. The term "Reward Management" includes salaries and other staff benefits including non-financial benefits offered by the Bank. The aggregate remuneration paid to Executive and Non-Executive Directors during the year under review, is given on Note 47.3.1 to the Financial Statements on page 342.

CORPORATE GOVERNANCE

- 99 The EDs who are part of the Bank's Corporate Management Team are rewarded according to market standards by the BHRRRC, which also make sure that there is transparency. The rewards are intended to encourage long-term success, which will ensure the Bank's sustainability, as well as attract in, retain, promote and motivate EDs. It is also subject to periodic reviews based on market research studies and other information that becomes available. In addition, ED's remuneration includes extremely challenging yet transparent performance related elements. It has been created in a way that allows EDs to match their interests with those of the Bank and its principal stakeholders, as well as to give them the right incentives to perform at the highest level. These performance related elements are approved by the BHRRRC upon obtaining the directions from the Board.
- 100 The Board as a whole determines the levels of remuneration for NEDs taking into account, the time, commitment and responsibilities associated with their role and with due consideration of industry best practices and non-discriminatory principle. Remuneration for NEDs does not include Share Option Schemes. No Executive Share Option Scheme was implemented or introduced during 2023 and no contract for services has been entered into by the Bank with its NEDs. The term of a Director (whether Executive or Non-Executive) would end under the circumstances described in the Board approved Procedure for "Selection, Nomination, Appointment and Election of Directors". No compensation is payable by the Bank to its NEDs on "early termination" of term for any reason whatsoever. This is supported by the Board approved "Directors' Remuneration Policy" which is in place. During the year under review, no early termination of Directors was occurred. However, Dr Sanjiva Weerawarana who served as an Independent Non-Executive Director resigned from the Board effective from 1st January 2024. The terms of employment of the EDs who are employees of the Bank including the MD, are governed by their respective Contracts of Employment.
- 101 When considering employee incentives, the BHRRRC is mindful of the comparative employment conditions and considers the nature and extent of responsibilities, the work volume and the level of performance against the pre-determined targets. Team based performance related remuneration has been in force in the Bank since 2016 and applies to all employees. Under this scheme, no performance related remuneration is granted in the retrospect.
- 102 The aggregate values of remuneration paid to, and transactions with Directors and KMPs is given on Note 47.3.1 to the Financial Statements on page 342 and in the 'Disclosures' section of this Corporate Governance Report on pages 171 and 172.

8.3 BOARD NOMINATIONS AND GOVERNANCE COMMITTEE (BNGC)

GRI 2-12

Direction Ref. - 3(1)(i)(i)(i), 3(2)(ix), 3(6)(iv)(a), 3(6)(iv)(c), 3(6)(iv)(d), 3(6)(iv)(f)

Code 2017 Ref. - A.7, A.7.1, A.7.2

Listing Rules Ref. - 9.11.1, 9.11.2, 9.11.3, 9.11.4(1), 9.11.4(2), 9.11.4(3), 9.11.5(i), 9.11.5(iii), 9.11.5(iv), 9.11.5(vii), 9.11.6



- 103 The Board has established the Board Nominations Committee to have a formal and transparent procedure for appointment of new Directors to the Board. As per the revised Listing Rules, the Committee was renamed as "Board Nominations and Governance Committee" during the year under review. The BNGC has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. The report of the BNGC including the details of members is given on the pages 187 to 189 of the Annual Report setting out the duties and membership of the Committee.
- 104 The Chairman of the BNGC is an Independent, Non-Executive Director and during the year under review, the Committee comprised of six (06) Directors out of which four (04) members are Independent, Non-Executive Directors. The MD attends meetings by invitation where necessary. The BNGC met seven (07) times during the year under review.
- 105 In terms of the TOR, the BNGC is in charge of implementing and assessing the effectiveness of the Board approved Policy on "Selection, Nomination, Appointment and Election of Directors" and a Board approved Procedure on "Selection and Appointment of CEO/MD and KMPs" in accordance with regulatory requirements. Accordingly, new Directors including the EDs are appointed to the Board and Board Sub-Committees upon considering the recommendations of the BNGC and the Bank's succession arrangements for the Board. However, the members of the BNGC do not engage in decisions relating to his/her own appointments to Board Sub-Committees. The BNGC has set certain eligibility criteria, including qualifications, experience and key attributes, to be considered for the appointment or promotion to key managerial positions as well as the position of MD. The BNGC considers the applicable statutes and guidelines in setting the relevant criteria. The Board, on the recommendation of the BNGC, considers the requirement of additional skills, knowledge and expertise to the Board as appropriate. Further, the BNGC annually assesses the composition of the Board and its Sub-Committees to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Bank and to ensure the effective discharge of the duties and responsibilities of the Board and its Sub-Committees.
- 106 The Bank obtained declarations and affidavits from Directors, MD and KMPs during the year as and when required and these were submitted to CBSL to determine and ensure that they are fit and proper persons to hold office as specified in the criteria given in the direction and as set out in the applicable statutes.

8.3.1 Appointment/Re-election/Resignation of Directors

GRI 2-10,12

Direction Ref. - 3(2)(x), 3(2)(xi), 3(2)(xii), 3(6)(iv)(b), 3(6)(iv)(e)

Code 2017 Ref. - A.1.2, A.7.3, A.8, A.8.1, A.8.2, A.8.3, A.9.3

Listing Rules Ref. - 9.11.5(ii), 9.11.5(vi)



- 107 The BNGC undertakes the responsibility for establishing an effective succession strategy with regard to the MD and KMPs. A Board approved policy covering succession planning for retiring Directors and the MD is in place. In addition, succession plan for the KMPs is in place in line with the requirements. Accordingly, Mrs Ayodhya Iddawela Perera who was the Managing Director Designate assumed duties as the MD of the Bank effective from 1st July 2023 consequent to the retirement of Mr Nanda Fernando from the position of MD upon completing his term of office on 30th June 2023, ensuring the orderly succession of appointment for the position of MD.
- 108 The appointments of new Directors to the Board are disclosed to the shareholders via the CSE along with the relevant information required to be disclosed in terms of the regulations. Accordingly, the appointment of the MD, Mrs Ayodhya Iddawela Perera and the appointment of Non-Independent/Non-Executive Director, Mr Prabhash Subasinghe were communicated to the shareholders via the CSE together with a brief description setting out the fields of their expertise, directorships in other companies and the number of shares held in the Bank.
- 109 In accordance with the provisions available in the Articles of Association and the relevant Governance requirements, the Directors appointed to the Board after the last AGM will stand for election by the shareholders at the subsequent AGM. During the year under review, Mr Prabhash Subasinghe who was appointed to the Board effective from 1st December 2023, will stand for election by shareholders at the 38th AGM to be held on 28th March 2024.
- 110 NEDs are appointed to the Board for specific terms subject to re-election based on the regulatory requirements. The BNGC makes recommendations regarding the re-election of current Directors who retire by rotation in terms of Article 87 of the Articles of Association of the Bank, taking into account, inter-alia, the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities. In addition, a self-review process to ascertain the extent of the contribution, participation and engagement of each Director is conducted in parallel with the Board Performance Evaluation by the Directors. In accordance with the aforementioned provision, 1/3 of the NEDs retire at each AGM and submit themselves for re-election. Following Directors will retire and offer themselves for re-election at the 38th AGM.
- | | | |
|--------------------------|----------------------|------------------------------|
| 1. Ms Aroshi Nanayakkara | 2. Mr Rushanka Silva | 3. Mr Dilip de S Wijeyeratne |
|--------------------------|----------------------|------------------------------|
- Following Directors were re-elected at the 37th AGM.
- | | | |
|--------------------------|----------------------------|-------------------------|
| 1. Mr Harsha Amarasekera | 2. Mrs Keshini Jayawardena | 3. Mr Vinod Hirdaramani |
|--------------------------|----------------------------|-------------------------|
- 111 In the event that a Director wishes to resign from his/her position as a Director, a written communication tendering his/her resignation along with reasons for such will be communicated to the Board by duly tabling the same at the immediately succeeding Board Meeting. The same will also be informed to the regulatory authorities as per the requirements of the Listing Rules and the Companies Act No. 07 of 2007 together with a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders through a CSE Market Announcement. No Director resigned from the Board during the year under review.
- 112 The BNGC ensures that a Director or an employee of another Bank is not appointed, elected or nominated as a Director of the Bank when considering appointments of Directors. Moreover, the "Employee Code of Conduct" prohibits employees to be elected/nominated as a Director of another Bank.

8.3.2 Appraisal of Board Performance

GRI 2-18

Direction Ref. - 3(1)(xvii), 3(1)(i)(iii)

Code 2017 Ref. - A.9, A.9.1, A.9.2, A.9.4

Listing Rules Ref. - 9.11.5(v)



- 113 The Board of Directors performs an annual self-evaluation of its own individual performance as well an assessment of the overall performance of the Board as a whole and the records of which are maintained by the Company Secretary. This is done with each Board member appraising the collective performance of the Board to assess if it is discharging its responsibilities satisfactorily. This process requires each Director to fill a Performance Evaluation Form in line with the relevant regulatory provisions. A self-review process to ascertain the extent of the contribution, participation and engagement of each Board Sub-Committee is also conducted in parallel with the Board performance evaluation by the Directors. The responses are reviewed by the Company Secretary who compiles a report which is submitted for discussion of the Board and its Sub-Committees as appropriate. The summary of annual self-evaluations submitted by individual Directors for 2022 was reviewed and discussed collectively by the Board during 2023, to determine weaknesses and implement necessary changes as appropriate to ensure that the Board of Directors has continued to fulfil the responsibilities entrusted to them in line with the defined areas of authority.

CORPORATE GOVERNANCE

- 114 The Bank maintains a suitable process for the periodic evaluation of the performance of the Board of Directors and the MD of the Bank to ensure that their responsibilities are satisfactorily discharged in order to align with the current practice of Board evaluations, where the outcome of the Board performance evaluations is tabled at the BNGC for its review. Even though the effective date to comply with the new Listing Rule requirements pertaining to the evaluation of the performance of the Board of Directors and the MD is 1st October 2024, the Bank reviewed the TOR of BNGC to refer the MD's performance evaluation for 2023 to the BNGC in addition to referring the same to the BHRRC. The MD's performance is currently evaluated by the BHRRC in accordance with the current regulatory requirements.

8.4 BOARD INTEGRATED RISK MANAGEMENT COMMITTEE (BIRMC)

GRI 2-12

Direction Ref. - 3(6)(v)(a), 3(6)(v)(b), 3(6)(v)(c), 3(6)(v)(d), 3(6)(v)(e), 3(6)(v)(f), 3(6)(v)(g), 3(6)(v)(h)

Code 2017 Ref. - A.1.2, D.2, D.2.1, D.2.2

Listing Rules Ref. - 9.13.4(1)(vii), 9.13.4(1)(viii), 9.13.4(1)(ix)



- 115 The Board has established the Board Integrated Risk Management Committee which is responsible for determining the nature and extent of the principle risks it is willing to take in achieving its strategic objectives. The BIRMC ensures the robust process of risk management and has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. The report of the BIRMC including the details of members is given on the pages 195 and 196 of the Annual Report setting out the duties and membership of the Committee.
- 116 The Chairman of the BIRMC is an Independent, Non-Executive Director. During the year under review, the Committee comprised of five (05) Directors including the MD. Further, Chief Risk Officer (CRO) and Chief Compliance Officer (CCO) function as the management representatives of the Committee. Out of the total number of Directors of the Committee, four (04) members are Independent, Non-Executive Directors. Other KMPs supervising credit, market, liquidity, operations, strategic risks, etc. are invited to attend the meetings on a regular basis. Further, the BIRMC has regular meetings in compliance with its TOR and schedules additional meetings when required. The agenda covers matters pertaining to all aspects of risk management including updated Business Continuity Plans. The BIRMC met nine (09) times during the year under review.
- 117 The Risk Management Unit (RMU), headed by the CRO who functionally reports to the BIRMC, is responsible for assessing and implementing appropriate mitigating actions to effectively control the various risks encountered by the Bank in carrying out the business.
- 118 Review the policies on Credit, Market, Operational, Liquidity and Compliance Risk Management etc. which are recommended by the BIRMC and approved by the Board, provide the framework for the assessment and effective management of Bank wide risks. Accordingly, the BIRMC discharges its responsibilities by periodically reviewing reports on pre-established risk indicators prepared by the RMU. The BIRMC assesses all risks of the Bank on a monthly basis through Key Risk Indicators and management information, Risk Dashboards and through Risk Assessment reports done for the Bank. The Bank has formed Management Committees to assess risks on a monthly/quarterly basis and any significant risk related finding are submitted for the BIRMC for its perusal whereas the BIRMC minutes are tabled at the Main Board.
- 119 The BIRMC reviews the adequacy and the effectiveness of all Management Committees including the Credit Policy, Risk and Portfolio Review Committee and the Assets & Liability Management Committee to address specific risks and to manage those risks within the laid down limits specified by the BIRMC as required by the regulations. The details of Management Committees are given on page 159.
- 120 The Board's responsibility for an oversight of risk management and how the principle risks are managed and mitigated is explained in Risk Management Report in Risk and Governance Section and the Directors' Statement on Internal Control Over Financial Reporting given on pages 210 to 225 and 239 to 240 respectively.
- 121 The BIRMC takes prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent risk levels decided by BIRMC based on the Bank's policies, regulatory and supervisory requirements. The Risk Appetite Limits and Key Risk Indicators of the Bank are approved by the BIRMC and the Board and are monitored on a regular basis.
- 122 The BIRMC refers to Human Resources Department in respect of the officers identified to be responsible for failure to identify specific risks in order to take prompt corrective actions as directed.
- 123 The Management submits summarised report of the high priority risks to the Board on a monthly basis, upon the confirmations of the respective departments, i.e. Risk, Compliance and the Information Security Departments.
- 124 An Independent Compliance function has been established to assess the Bank's compliance with laws, regulations and regulatory guidelines. In addition, the Compliance Department assesses the Bank's compliance with internal controls and approved policies on all areas of business operations. This function is headed by a dedicated CCO who is a KMP of the Bank. CCO functionally reports to the BIRMC and is responsible for escalating the level of compliance of the Bank with regulations, laws and internal controls. The CCO submits the periodic reports on level of compliance on mandatory banking and other statutory requirements to BIRMC.

8.5 BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE (BRPTRC)

GRI 2-15

Direction Ref. - 3(7)(i), 3(7)(ii), 3(7)(iii), 3(7)(iv), 3(7)(v), 3(7)(vi), 3(7)(vii), 3(8)(iii)(e)

Code 2017 Ref. - D.1.8, D.4, D.4.1, D.4.2, D.4.3

Listing Rules Ref. - 9.14.1, 9.14.2(1), 9.14.2(2), 9.14.3(1), 9.14.3(2), 9.14.3(3), 9.14.3(4), 9.14.4(1), 9.14.4(2), 9.14.4(3), 9.14.4(4), 9.14.5(1), 9.14.5(2), 9.14.5(3), 9.14.5(4), 9.14.5(5), 9.14.5(6), 9.14.8(3), 9.14.10



- 125 The Board has established the Board Related Party Transactions Review Committee for the purpose of reviewing Related Party Transactions as set out in the relevant regulations. The main aim here is to ensure that interest of the stakeholders including shareholders as a whole is taken into account by the Bank when entering in to transactions with Related Parties and to provide specific measures to ensure that no favourable treatment is being offered to Related Parties. The Committee is further required to go beyond the legal form and technicality to measure the objective and the economic and commercial substance of the Related Party Transactions. The BRPTRC operates as per the Board approved TOR which clearly defines its scope, authority, duties and the quorum of meetings. The Bank maintains a separate BRPTRC independent of its subsidiaries. The report of the BRPTRC including its composition and duties is given on the page 197 of the Annual Report. The Committee has access to professional advice with regard to the matters on Related Party Transactions as and when required.
- 126 The Chairman of the BRPTRC is an Independent, Non-Executive Director and during the year under review the Committee comprised of four (04) Independent, Non-Executive Directors. The MD attends meetings by invitation where necessary. The BRPTRC met four (04) times during the year complying with the requirement set out in the regulations and the minutes of Committee meetings were properly documented and tabled at the Main Board.
- 127 The Bank identifies "Related Parties" and "Related Party Transactions" as defined by LKAS 24 and as per the Direction. Accordingly, the Bank has implemented the "The Procedure on Related Party Transactions" which is reviewed by the Board as and when required in order to identify the Related Parties of the Bank in accordance with the regulations and to avoid any conflict of interest that may arise from the transactions of such Related Parties.
- 128 A mechanism is in place to prevent the Bank from granting favourable treatment to Related Parties. This includes the Board approved Policy on "Conflicts of Interest" supported by an effective and comprehensive framework for identifying, recording and disclosing Related Party Transactions. In addition, procedures have been issued explaining the methodology to be followed to avoid any favourable treatment when granting accommodation to Directors, close relations of Directors or to concerns in which the Directors have substantial interest. To further support this, Directors and KMPs are required to submit declarations disclosing their transactions with the Bank on periodic basis. The Company Secretary maintains a register to record declarations made by Related Parties and Related Party Transactions in compliance with the respective Related Party disclosure requirements.
- 129 The Procedure on Related Party Transactions prohibits transactions, which would grant Related Parties more favourable treatment than that accorded to other customers including the following:
- granting of "total net accommodation" to Related Parties, exceeding a prescribed percentage of the Bank's regulatory capital;
 - charging of a lower rate of interest than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty;
 - providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions, that extend beyond the terms granted in the normal course of business undertaken with Unrelated Parties;
 - providing services to or receiving services from a related party without an evaluation procedure;
 - maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with Related Parties except as required for the performance of legitimate duties and functions.
- 130 The following Related Party Transactions are covered in the monitoring process whereas the transactions listed under the Rule 9.14.10 of the Listing Rules are exempted from the ambit of the Related Party Transactions.
- Granting of accommodation, as defined in the Monetary Board's Directions on maximum amount of accommodation pursuant to Section 47 of the Banking Act No. 30 of 1988.
 - Creation of any liabilities of the Bank in the form of deposits, borrowings and investments.
 - Provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank.
 - Creation or maintenance of reporting lines and information flows between the Bank and any Related Parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such Related Parties.
- 131 The relevant principles are followed when granting accommodations to Directors or close relations of a Director. The Procedure on "Related Party Transactions" and the Directive on "Monitoring Accommodation Granted to an Individual/Close Relations of an Individual or Concerns in which an Individual has a Substantial Interest when such Individual is subsequently appointed as a Director or when a Director Acquires a Substantial Interest in a Concern Subsequent to the Appointment as a Director" are in place to address the requirements applicable for the concerned area.

CORPORATE GOVERNANCE

- 132 No favourable treatment/accommodation is provided to employees of the Bank other than those provided under the schemes of staff benefits and as per the Board approved Policy on "Reward Management for Key Management Personnel". Employees of the Bank are informed through operational circulars to refrain from granting favourable treatment to employees or their close relations or to any concern in which an employee or close relation has a substantial interest except as provided in the Bank's Operational Guidelines and Directives.
- 133 The remission of accommodation or any interest due thereon which is subject to Monetary Board approval has not arisen in the Bank during the year under review and necessary operating instructions have been issued to prevent non-compliance with relevant requirements.
- 134 The identified Related Party Transactions under the relevant categories, are reviewed by the BRPTRC prior to proceeding with the same. Where necessary, the Board approval is sought for the specific transactions in line with the internal procedure governing Related Party Transactions. In such instances, the approval of the Board of Directors is obtained prior to entering into the relevant transactions. In determining whether to obtain the approval of the Board of Directors for a Related Party Transaction, the BRPTRC takes into account the relevant factors applicable for the same it deems appropriate.
- 135 The Business Units facilitate the BRPTRC with all the facts and circumstances of the proposed Related Party Transactions and update the Committee with the following information where applicable.
- Related Party's relationship to the Bank and interest in the transaction;
 - material facts of the proposed Related Party Transaction, including the proposed aggregate value of such transaction;
 - benefits of the proposed Related Party Transaction to the Bank;
 - availability of other sources of comparable products or services; and
 - assessment of whether the proposed Related Party Transaction is on terms that are comparable to the terms generally available to an unaffiliated third party under the same or similar circumstances, or to employees generally.
- 136 In the event of any material changes to a previously reviewed Related Party Transaction, such proposed material changes are further reviewed by the BRPTRC prior to the completion of the transaction. No Director participates in any discussion or votes on matters concerning a proposed Related Party Transaction in which he/she is a Related Party unless otherwise the particular Director is requested by the Committee to participate in the discussions for the express purpose of providing information concerning the Related Party Transaction to the Committee. The Committee recommends the creation of Special Committee to review and approve the proposed Related Party Transactions if required. No such instance arose during the year under review.
- 137 In the event of recurrent Related Party Transactions, the Committee has established guidelines for the Management to follow in its ongoing dealings with the Related Party and reviewed the same as appropriate.
- 138 Related Party Transactions are given on Note 47 to the Financial Statements on pages 342 to 345 and the Net Accommodation granted to Related Parties are given below.

Category of related party transaction	As a % of regulatory capital of the Bank	Amount Rs 000
Directors and close family members	0.21	294,262
KMP & close family members	0.26	365,043
Subsidiaries	5.06	7,183,556
Shareholders owning material interest in the Bank	-	-
Concerns in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	20.50	29,085,537

8.5.1 Major and Material Transactions

Code 2017 Ref. - C.3, C.3.1, C.3.2

Listing Rules Ref. - 9.14.6(1), 9.14.6(2), 9.14.6(3)

GRI 2-15



- 139 The Bank makes relevant disclosures regarding major and material transactions to shareholders in terms of the Companies Act No. 07 of 2007 and regulations issued under the Securities and Exchange Commission of Sri Lanka Act and the Listing Rules of the Colombo Stock Exchange.
- 140 The Bank's "Procedure on Related Party Transactions" dictates the need to obtain relevant shareholder approval along with the mandatory public disclosure of any major Related Party Transaction or a series of such transactions that the Bank is about to engage in, as defined by the regulators. In terms of Section 185 of the Companies Act No. 07 of 2007, any major transaction proposed to be entered into by the Bank requires approval of the shareholders by virtue of a special resolution, with due notice to the public given through Market Announcements. During the year under review, the Bank did not engage in or commit to any "Major Transaction" which were deemed to materially affected the Bank's net asset base, warranting neither such disclosure nor such approval by the shareholders.

(9) COMPLIANCE WITH LAWS AND REGULATIONS**GRI 2-27**

Direction Ref. - 3(1)(xvi), 3(8)(ii)(h), 3(8)(ii)(i)

Code 2017 Ref. - A.1.2

Listing Rules Ref. - 9.1.3



141 Compliance with laws, regulations and ethical standards applicable to the Bank are set out in this Corporate Governance Report on pages 146 to 175 in line with the statutory requirements.

142 Regulatory action was initiated on the Bank during February 2023 for non-compliance with the Financial Transactions Reporting Act (FTRA) and Customer Due Diligence (CDD) Rules in relation to conducting proper ongoing CDD and reporting of suspicious transactions. A penalty of Rupees One Million (Rs 1,000,000/-) was imposed on the Bank for the failure in identifying suspicious transaction patterns and raising Suspicious Transaction Reports (STRs) on four accounts.

The transaction monitoring mechanism was reviewed and new controls were implemented to strengthen the alert monitoring process. The first line of defence was advised to review existing Know Your Customer (KYC)/CDD and update information of the customers upon receipt of alerts with suspicious transaction patterns. In addition, Business Units were advised to conduct field visits/background investigations of customers with unusual transaction patterns. A new monitoring mechanism was implemented to monitor transactions through system generated reports covering recent suspicious trends/patterns. Further, training programmes were conducted on a continuous basis to educate team members on suspicious transaction patterns, identification and reporting of suspicious transactions etc.

143 There were no lapses inviting supervisory concerns in relation to the Bank's Risk Management System and there were no non-compliances with regulatory directives that were detected by the Director of Bank Supervision of the CBSL during the year under review.

(10) DISCLOSURES**GRI 2-15**

Direction Ref. - 3(1)(xiv), 3(2)(v), 3(8)(ii)(d), 3(8)(ii)(f), 3(9)

Code 2017 Ref. - A.1.6, A.1.7, A.5.6, D.1.6, D.1.7, D.5.2, D.6, D.6.1

Listing Rules Ref. - 9.10.2, 9.10.3, 9.10.4, 9.14.7, 9.14.8(1), 9.14.8(2), 9.14.8(4), 9.14.9, 9.16, 9.17



144 Disclosure of Related Party Transactions as per Section 9.14.7 and 9.14.8 (1) and (2) of the Listing Rules are given on page 419 under the Investor Information.

145 The affirmative statement by the Board of Directors regarding compliance with rules applicable for the Related Party Transactions is given on page 236 of the Annual Report under the Annual Report of the Board of Directors on the Affairs of the Company.

146 No acquisition or disposal of Substantial Assets from/to Related Parties during the year under review.

147 The Bank has complied with the transitional provisions of the Direction, where applicable and the Corporate Governance Framework given on pages 146 to 175 provides information regarding Corporate Governance Practices in the Bank which are in compliance with:

- The Code of Best Practice on Corporate Governance 2017 issued by the ICASL;
- The Banking Act Direction No 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL;
- Requirements of Rule 7.6 and Rule 9 of Listing Rules of the CSE.

148 The Management Discussion and Analysis is given on pages 71 to 143 covers the information specified in the Code 2017 which include the following:

- | | | |
|--|---|--|
| ▪ business model; | ▪ governance; | ▪ investment in physical and intellectual capital; |
| ▪ industry structure and developments; | ▪ stakeholder relationships; | ▪ material developments in human resources, industrial relations and prospects for the future. |
| ▪ opportunities and threats; | ▪ social and environmental protection activities carried out by the Bank; | |
| ▪ risk management; | ▪ financial performance; | |
| ▪ internal control systems and their adequacy; | | |

149 The Bank's capital did not fall below 50% of the value of the shareholders funds during the year under review. However, should such an event occur, the Bank would have duly notified the shareholders in line with applicable laws.

150 A process is in place to ensure prompt disclosure of price sensitive and material information to the public. As per the Board approved "Policy on Communication", the responsibility of making market announcements of price sensitive information lies with the Company Secretary.

CORPORATE GOVERNANCE

GRI 2-19

- 151 The Bank is solvent and no situations have arisen to challenge its solvency. If such a situation arises, the Bank will duly inform the Director of Bank Supervision of the CBSL as per the regulatory requirements. As per the Bank's "Code of Conduct and Governance Requirements for Directors", the Board is responsible to inform the Director of Bank Supervision of the CBSL and make necessary public and other disclosures upon the occurrence of such an event.
- 152 As per the Board approved policy, the appointment of Alternate Directors to represent Directors at Board meetings can be done where necessary, subject to relevant regulatory requirements and approvals. There were no Alternate Directors appointed during the year 2023.
- 153 Upon the appointment of new Directors to the Board, the Bank makes immediate Market Announcements as per the relevant regulatory requirements. Accordingly, during the year under review, the Bank made immediate market announcement on 1st December 2023 regarding the appointment of Mr Prabhash Subasinghe to the Board of the Bank in terms of the rule 9.10.2 of the Listing Rules. Further, the Bank is aware of the requirement to make immediate Market Announcement regarding any changes to the composition of Board Committees referred in Listing Rules and no such disclosure requirement arose during the year under review in terms of Section 9.10.3 of the Listing Rules.
- 154 The declarations by the Board of Directors as required by Rule 9.16 of the Listing Rules are given on:
- Directors' Interests in Contracts with the Bank given on page 238;
 - Directors' Statement on Internal Control Over Financial Reporting given on pages 239 and 240;
 - Chairman's Introduction to Corporate Governance given on page 146;
 - Corporate Governance Report – 'Compliance with Laws and Regulations' section given on page 171.
- 155 The Bank is aware of the enforcement procedure for non-compliance with the Corporate Governance requirements articulated in the Listing Rules.
- 156 Details of Directors including EDs are given on pages 176 to 181 and the Directors' interests in contracts with the Bank including the remuneration paid to, and transactions with Directors are given below.

Category	Amount Rs 000
Loans	156,420
Deposits	238,851
Credit cards	16,082
Debentures	300,000
Interest & other income	14,672
Interest expense	128,946
Share based payments	
Cash dividend paid	6,900
Scrip dividend paid (Number of shares)	49,507
Aggregate value of remuneration/fee paid by the Bank	214,390
Post employment benefits paid	19,400

- 157 Aggregate values of remuneration paid to, and transactions with KMPs are given below.

Nature of transaction	Amount Rs 000
Short-term employment benefits	719,316
Post-employment benefits	47,098
Loans & advances including credit cards	164,467
Deposits & investments	275,972
Interest income	15,658
Interest expense	49,272
Share based payments	
Cash dividend paid	4,511
Scrip dividend paid (Number of shares)	32,269

- 158 The Disclosures relating to Section 7 and Section 9 of the Listing Rules are given under Supplementary Information of this Annual Report on pages 423 to 426.

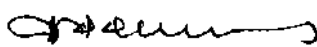
(11) WAY FORWARD

- 159 Sampath Bank affirms that under the guidance of its Board of Directors, the Bank will continue to endorse good governance and the implementation of strong Corporate Governance principles founded on capable and ethical leadership. To ensure the Bank's long-term viability, it will make sure that regulatory Governance requirements are met and best practices in Governance are implemented. As a conscientious corporate citizen, the Bank is constantly willing to follow recent developments in Corporate Governance. In this regard, the Bank is aware of the new rules on Corporate Governance issued by the CSE under the revised Section 9 of the Listing Rules. It is with great pride that Sampath Bank announces the availability of a strong and well-founded Corporate Governance Framework that allows the Bank to comply in full of all new requirements set out under Section 9 of the Listing Rules, ahead of the mandatory compliance timelines. To further improve the Corporate Governance standards within the prescribed time frame, the Bank is working to bring the following rules and guidelines into effect as mandated by the previously mentioned regulations. The Bank wishes to affirm that the requirements specified in the ICASL code 2023 have already been met where certain requirements to be fulfilled as appropriate.

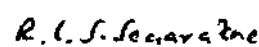
Listing Rule Reference	Area	Effective Date
9.2	Polices Policies mentioned in Rule 9.2.1 except for the Whistleblowing Policy and the Anti-Bribery Corruption Policy that are already in place	1st October 2024
9.5 and 9.10.1	Policy on matters relating to the Board of Directors	1st October 2024
9.9	Alternate Directors	The Bank is in the progress of amending the Articles of Association of the Bank in line with the Rule 9.9 of the Listing Rules and the same will be subjected to the approval of the shareholders at a General Meeting of the Bank as appropriate.
9.11.5 (v)	Establish and maintain a suitable process for the periodic evaluation of the performance of Board of Directors and the CEO of the Bank to ensure that their responsibilities are satisfactorily discharged in order to align the current practice of Board evaluations with the new Listing Rules.	In compliance with the new Listing requirements, even though the effective date to comply with them is 1st October 2024, the Bank reviewed the TOR of BNGC to refer the MD's performance evaluation for 2023 to the BNGC in addition to referring the same to the BHRRC. The MD's performance is currently evaluated by the BHRRC in accordance with the current regulatory requirements. The performance evaluation of the Board of Directors is currently reviewed by the BNGC.
9.11.5 (viii)	Review and recommend the overall Corporate Governance framework taking into account the Listing Rules of the Exchange, other applicable regulatory requirements and industry/international best practices.	1st October 2024
9.11.5 (ix)	Periodically review and update the Corporate Governance Policies/ Framework of the Bank in line with the regulatory and legal developments relating to same, as a best practice.	1st October 2024
9.11.5 (x)	Receive reports from the Management on compliance with the Corporate Governance Framework of the Bank including the Bank's compliance with provisions of the SEC Act, Listing Rules of the Exchange and other applicable laws, together with any deviations/non-compliances and the rational for same.	1st October 2024
9.13.3 (6)	MD to attend the Board Risk Committee meetings by invitation.	1st October 2024
9.13.4 (1) (ii) (d)	Review the quarterly results and year-end financial statements of the Bank prior to tabling for the approval of the Board of Directors of the Bank with special reference to; (d) any related party transaction and conflict of interest situation that may arise within the Bank or Group including any transaction, procedure or course of conduct that raises questions of management integrity.	1st October 2024



HARSHA AMARASEKERA
Chairman



AYODHYA IDDAWELA PERERA
Managing Director



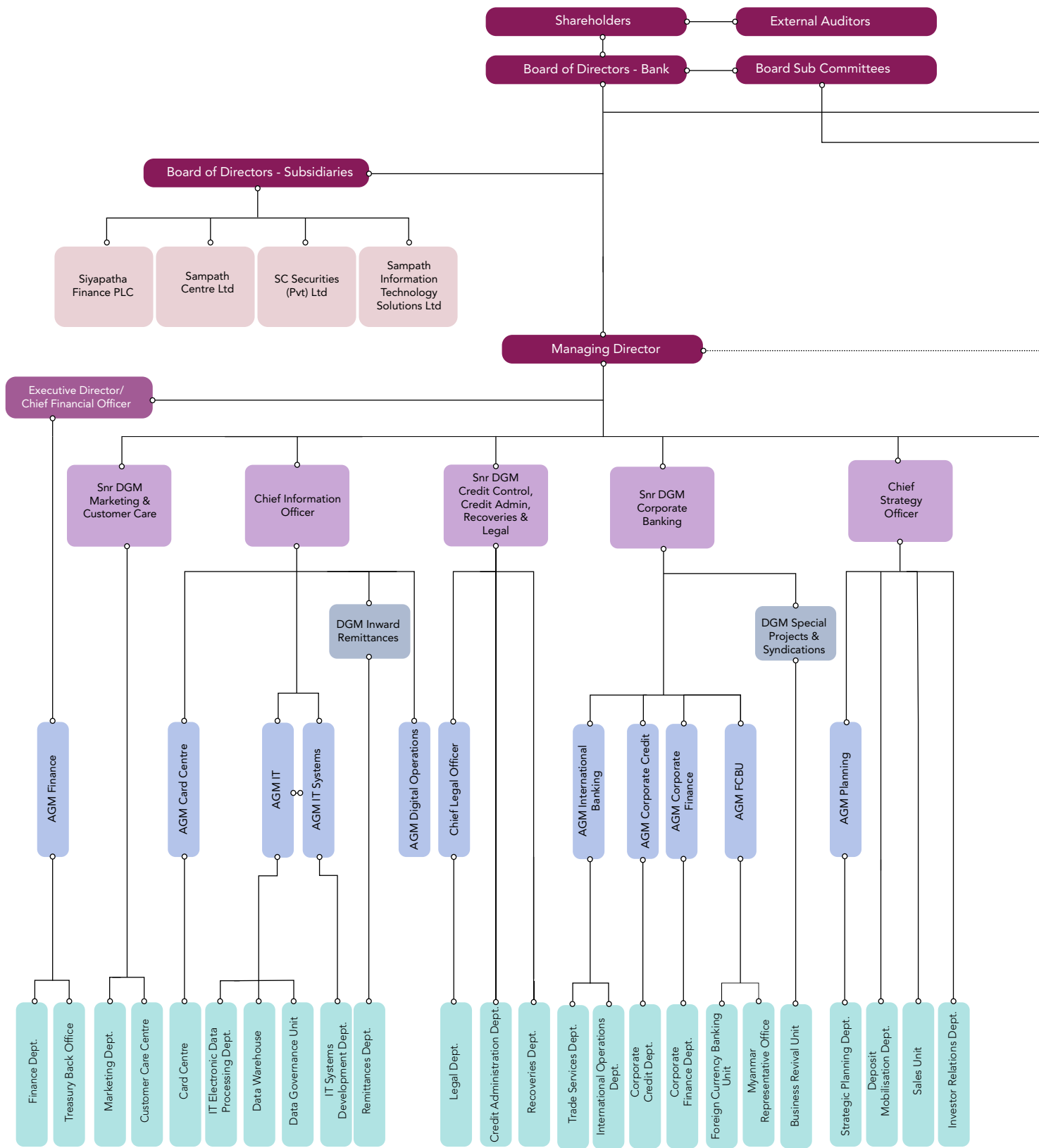
LASANTHA SENARATNE
Company Secretary

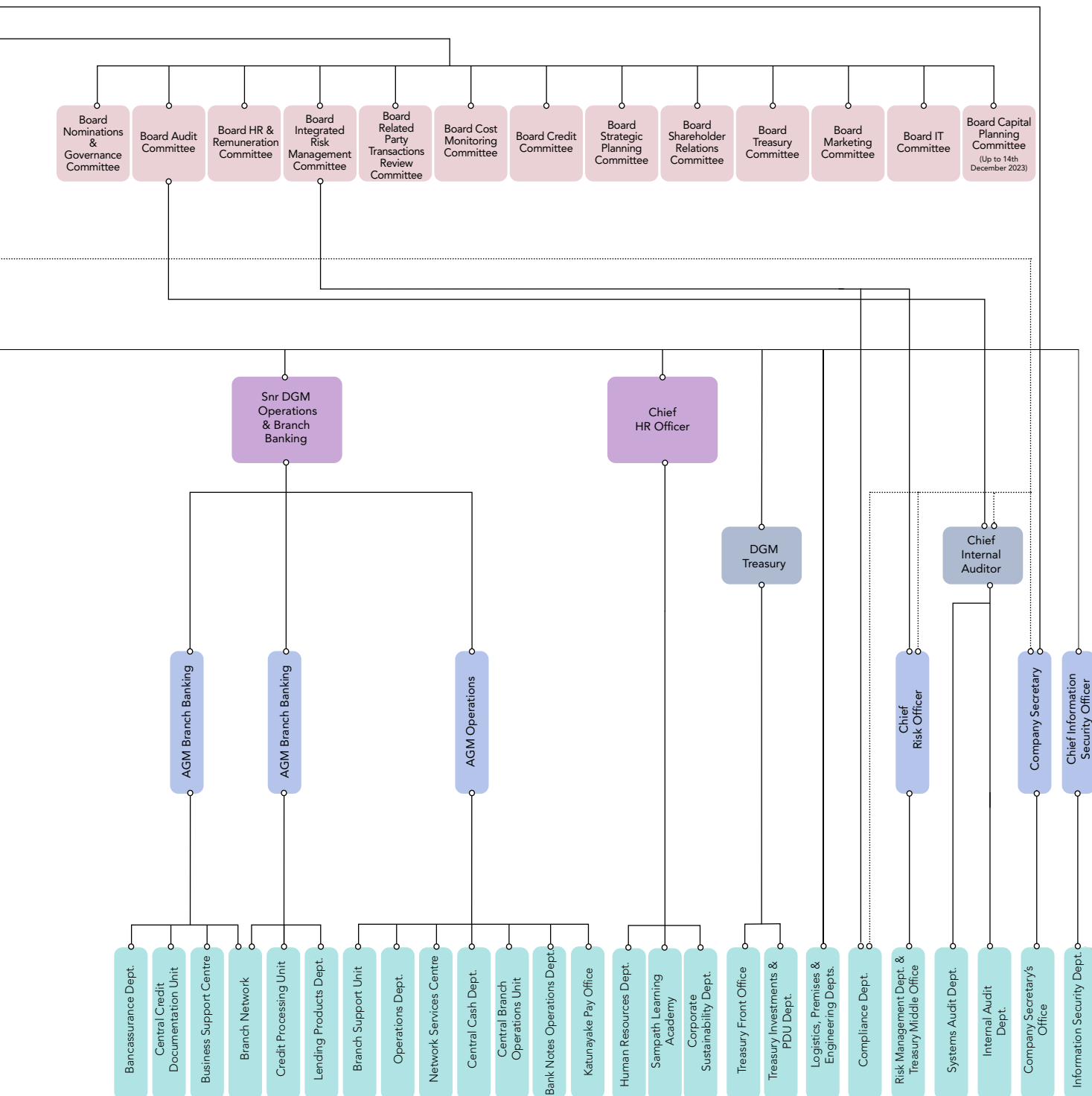
14th February 2024
Colombo, Sri Lanka

CORPORATE GOVERNANCE

GOVERNANCE STRUCTURE

GRI 2-9,13,24





BOARD OF DIRECTORS

GRI 2-9,11



- | | |
|--|---|
| 1 Harsha Amarasekera, President's Counsel - Chairman | 6 Sanjiva Weerawarana - Independent, Non-Executive Director |
| 2 Ayodhya Iddawela Perera - Managing Director | 7 Vajira Kulatilaka - Independent, Non-Executive Director |
| 3 Rushanka Silva - Deputy Chairman | 8 Keshini Jayawardena - Independent, Non-Executive Director |
| 4 Dilip de S Wijeyeratne - Senior Independent Director | 9 Vinod Hirdaramani - Independent, Non-Executive Director |
| 5 Aroshi Nanayakkara - Independent, Non-Executive Director | |



- 10 **Hiran Cabraal** - Independent, Non-Executive Director
- 11 **Prabhash Subasinghe** - Non-Independent, Non-Executive Director
- 12 **Ajantha de Vas Gunasekara** - Executive Director/Chief Financial Officer
- 13 **Lasantha Senaratne** - Company Secretary
- 14 **Muditha Walpola** - Assistant Company Secretary

1 Harsha Amarasekera, President's Counsel Chairman

BNGC BOMC BSPC BSRC BMC BCPC

Appointed as Non-Independent, Non-Executive Director on 18th August 2020

Chairman of the Board of Directors with effect from 30th August 2020

Expertise
Law

Qualifications

- Attorney-at-Law of the Supreme Court of Sri Lanka
- President's Counsel

Current Appointments

Non-Executive, Non-Independent Chairman
Sampath Bank PLC

Independent, Non-Executive Chairman

Vallibel One PLC
CIC Holdings PLC
Royal Ceramics Lanka PLC
Vallibel Power Erathna PLC
Swisstek (Ceylon) PLC
Swisstek Aluminium Limited
CIC Agri Businesses (Pvt) Ltd

Independent, Non-Executive Director

Expolanka Holdings PLC
Ambeon Capital PLC

Non-Executive Director

Link Natural Products (Pvt) Ltd
Ceylon Hotels Holdings (Pvt) Ltd
The Hill Club Company Ltd
Galle Face Management Company (Pvt) Ltd
Millennium Airlines (Pvt) Ltd
Millennium Investments Lanka (Pvt) Ltd
Silver Aisle (Pvt) Ltd

Director

EFL Global Logistics (Pte) Ltd

2 Ayodhya Iddawela Perera Managing Director

BIMC BCC BSPC BSRC BMC BTC BTRC BCPC

Appointed as the Managing Director with effect from 1st July 2023

Expertise
Banking, Business Administration

Qualifications

- Masters of Business Administration (MBA) from the University of Sri Jayewardenepura
- Senior Fellow Member of the Institute of Bankers of Sri Lanka
- Advanced Diploma in Management Accounting, Chartered Institute of Management Accountants, United Kingdom

Current Appointments

Managing Director
Sampath Bank PLC

Director

Lanka Financial Services Bureau Ltd
National Credit Guarantee Institution
Institute of Bankers of Sri Lanka
Sri Lanka Banks' Association (SLBA)

3 Rushanka Silva Deputy Chairman

BNGC BCC BSPC BSRC BMC BTRC BCPC

Appointed as Non-Independent, Non-Executive Director on 1st September 2017

Deputy Chairman of the Board of Directors with effect from 24th September 2020

Expertise

Finance and Management Accounting, Marketing, Business Communication, Managerial Economics, Financial Analysis

Qualifications

- Masters of Business Administration from the University of Western Sydney, Australia
- Associate Member of the Chartered Institute of Management Accountants, UK (ACMA)
- Alumnus of Harvard Business School, USA

Current Appointments

Chairman

Braybrooke Residential Properties (Pvt) Ltd
Braybrooke Residential Towers (Pvt) Ltd
Indra Hotels and Resorts Kandy (Pvt) Ltd

Deputy Chairman

Sampath Bank PLC
Siyapatha Finance PLC

Managing Director

Indra Traders (Pvt) Ltd

Director

Indra Motor Spares (Pvt) Ltd
Indra Property Development (Pvt) Ltd
Sampath Centre Limited

BNGC Board Nominations and Governance Committee
BAC Board Audit Committee
BHRM Board Human Resources and Remuneration Committee
BIRMC Board Integrated Risk Management Committee
BRTPC Board Related Party Transactions Review Committee
BOMC Board Cost Monitoring Committee
BCC Board Credit Committee

BSPC Board Strategic Planning Committee
BSRC Board Shareholder Relations Committee
BTC Board Treasury Committee
BMC Board Marketing Committee
BTRC Board IT Committee
BCPC Board Capital Planning Committee

4 Dilip de S Wijeyeratne Senior Independent Director

BNGC BAC SHRC SRMC BSPC BTC BCPC

Appointed as Non-Independent, Non-Executive Director on 13th November 2018
Independent Director with effect from 8th August 2019
Senior Independent Director with effect from 6th May 2022

Expertise

Banking, Finance, Risk Management & Compliance, Investment Banking & Treasury

Qualifications

- Graduate Member of Australian Institute of Company Directors
- Associate Member of the Institute of Chartered Accountants of Sri Lanka (ACA)
- Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA)

Current Appointments

Senior Independent Director

Sampath Bank PLC

Independent, Non-Executive Director

Singer (Sri Lanka) PLC
Regnis (Lanka) PLC*
Singer Industries (Ceylon) PLC*
Hayleys Fibre PLC

* Regnis (Lanka) PLC and Singer Industries (Ceylon) PLC amalgamated with Singer (Sri Lanka) PLC and shall continue as Singer (Sri Lanka) PLC with effect from 31st January 2024

5 Aroshi Nanayakkara Independent, Non-Executive Director

BNGC SHRC SRMC BCMC BSPC BTC BMC BTC

Appointed as Non-Independent, Non-Executive Director on 30th May 2019
Independent Director with effect from 27th June 2019

Expertise

Human Capital and Engagement, Corporate Strategy, Banking and Finance

Qualifications

- BSc. in Management from the Massachusetts Institute of Technology, USA
- MSc. in Management from London School of Economics, UK
- ACMA and CGMA qualifications from the Chartered Institute of Management Accountants, UK

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC
Asian Hotels & Properties PLC

Chief Executive Officer

Global Consulting Company

Chairperson

Sri Lanka Institute of Directors
Women Corporate Directors Sri Lanka Chapter

Director

National Agency for Public Private Partnership

6 Sanjiva Weerawarana Independent, Non-Executive Director

BAC SRMC SRPTRC BSPC BTC

Appointed as Independent, Non-Executive Director with effect from 1st June 2019

Expertise

Information Technology

Qualifications

- PhD in Computer Science from Purdue University, USA

Current Appointments

Independent, Non-Executive Director
Sampath Bank PLC

Chairman

Lanka Software Foundation
Lanka Data Foundation
Avinya Foundation

Director

WSO2
SAS Engineering (Private) Limited

BOARD OF DIRECTORS

7 Vajira Kulatilaka Independent, Non-Executive Director

SHRRC SHPTAC BCMC ECC BSPC BTC BITC BCPC

Appointed as Independent, Non-Executive Director with effect from 25th June 2020

Expertise

Engineering, Banking and Finance, Investment Banking and Treasury

Qualifications

- BSc. in Civil Engineering (First Class Honours), University of Moratuwa
- MEng. in Industrial Engineering and Management from Asian Institute of Technology, Thailand
- Chartered Financial Analyst (CFA) from the Institute of Chartered Financial Analysts, USA
- Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA)

Current Appointments

Independent, Non-Executive Director
Sampath Bank PLC
Printcare PLC
Hemas Hospitals (Pvt) Ltd
L T L Holdings Ltd

8 Keshini Jayawardena Independent, Non-Executive Director

BNGC SHRRC SHPTAC BCMC ECC BSPC BSPC BTC

Appointed as Independent, Non-Executive Director with effect from 1st October 2020

Expertise

Banking, Law, Leadership Development

Qualifications

- BSc. (Econ) in International Relations from the London School of Economics and Political Science, UK
- Solicitor of the Supreme Court of England and Wales from the College of Law, UK

Current Appointments

Independent, Non-Executive Director
Sampath Bank PLC

Associate Consultant
Bridge Partnership, UK
The Centre for Inclusive Leadership, UK

9 Vinod Hirdaramani Independent, Non-Executive Director

BNGC SHRRC BCMC ECC BSPC BTC BMC

Appointed as Independent, Non-Executive Director with effect from 16th February 2021

Expertise

Business Management

Qualifications

- BA degree from the Northwestern University, USA
- Alumnus of Harvard Business School, USA

Current Appointments

Independent, Non-Executive Director
Sampath Bank PLC

Executive Director
Hirdaramani Leisure Holdings (Private) Limited
Hirdaramani Apparel Holdings (Private) Limited
Hirdaramani Investment Holdings (Private) Limited
Hirdaramani International Exports (Private) Limited
Hirdaramani (Private) Limited
Hirdaramani Power (Private) Limited
Hirdaramani Mercury Apparel (Private) Limited
HI Fashions Holdings (Private) Limited
C K T Apparel (Private) Limited
Ceylon Knit Trend (Private) Limited
Long Island Clothing Company (Private) Limited
The Island Watch Company (Private) Limited
Rosewood (Private) Limited
Zenith Insurance Brokers (Private) Limited
Hirdaramani Partners (Private) Limited
Mandalay (Private) Limited
Vinik (Private) Limited

Non-Independent, Non-Executive Director
Windforce PLC

10 Hiran Cabraal Independent, Non-Executive Director

BAC BIRMC SBPTRE BSPC BSRPC BTC

Appointed as Independent, Non-Executive Director with effect from 30th June 2022

Expertise

Risk Management, Financial Crime Compliance, Investment Banking and Treasury

Qualifications

- BSc. in Economics (Agricultural and Resource Economics) from the University of Maryland at College Park, USA

Current Appointments

Independent, Non-Executive Director
Sampath Bank PLC

Managing Director
HSVC (Vietnam) Company Limited

Chairman & Director
Affno Virtual Market Pte. Ltd. (Singapore)
Affno Virtual Market Pte. Ltd. (Sri Lanka)

11 Prabhash Subasinghe Non-Independent, Non-Executive Director

BAC BSPC

Appointed as Non-Independent, Non-Executive Director with effect from 1st December 2023

Expertise

Entrepreneur, International Business Specialist, Management, Business Development, Leadership, Innovation & Excellence

Qualifications

- BSc. in Economics from Ivy League Cornell University, USA
- Alumni of the Harvard Business School, OPM 2022.

Current Appointments

Non-Independent, Non-Executive Director
Sampath Bank PLC

Independent, Non-Executive Director
Hemas Holdings PLC

Managing Director
Global Rubber Industries Pvt Ltd
Ayenka Holdings Pvt Ltd
Global Sea Foods Pvt Ltd
Global Fisheries Pvt Ltd
Amaseuro Holdings (Pvt) Ltd
GRI Tires (Pvt) Ltd
GRI Global (Pvt) Ltd

12 Ajantha de Vas Gunasekara Executive Director/Chief Financial Officer

BSPC

Appointed as Executive Director with effect from 29th October 2020

Expertise

Banking, Finance and Insurance

Qualifications

- Fellow Member of the Institute of Chartered Accountants of Sri Lanka (FCA)
- Associate Member of the Association of Chartered Certified Accountants of UK (ACCA)
- Fellow Member of the Certified Management Accountants of Sri Lanka (FCMA)

Current Appointments

Executive Director/Chief Financial Officer
Sampath Bank PLC

13 Lasantha Senaratne Company Secretary

Appointed as the Company Secretary with effect from 1st February 2019

Expertise

Banking, Law, Compliance

Qualifications

- Attorney-at-Law of the Supreme Court of Sri Lanka
- Senior Fellow Member of the Institute of Bankers of Sri Lanka
- Degree of Bachelor of Laws (LL.B) from the University of Colombo
- Master of Laws (LL.M) from the University of Colombo
- Masters of Business Administration (MBA) from the University of Colombo

- International Diploma in Governance, Risk and Compliance (GRC) from the University of Manchester, UK
- Associate Member of the Institute of Chartered Corporate Secretaries of Sri Lanka

14 Muditha Walpola Assistant Company Secretary

Appointed as the Assistant Company Secretary with effect from 1st February 2019

Expertise

Banking, Law

Qualifications

- Attorney-at-Law of the Supreme Court of Sri Lanka
- Advanced Post Attorney Diploma in Banking, Finance and Insurance Laws from the Incorporated Council of Legal Education

CORPORATE MANAGEMENT



- 1 Ayodhya Iddawela Perera - Managing Director
- 2 Ajantha de Vas Gunasekara - Executive Director/Chief Financial Officer
- 3 Tharaka Ranwala - Senior Deputy General Manager - Marketing & Customer Care
- 4 Ajith Salgado - Chief Information Officer
- 5 Manoj Akmeemana - Senior Deputy General Manager - Credit Control, Credit Administration, Recoveries & Legal
- 6 Amal Kirihe - Senior Deputy General Manager - Corporate Banking
- 7 Sanjaya Gunawardena - Chief Strategy Officer
- 8 Deepal De Silva - Senior Deputy General Manager - Operations & Branch Banking



- 9 Lalith Weragoda - Chief Human Resource Officer
- 10 Charitha Jayawickrama - Chief Internal Auditor
- 11 Rajendra Ranasinghe - Deputy General Manager - Inward Remittances
- 12 Prassantha De Silva - Deputy General Manager - Treasury
- 13 Dulsiri Jayasinghe - Deputy General Manager - Special Projects & Syndications



Scan this QR code to view our entire leadership team including Chief Managers and Senior Managers

CORPORATE MANAGEMENT



Left to Right

Ananda Wijitha - Assistant General Manager - Chief Information Security Officer

Pasan Manukith - Assistant General Manager - Information Technology

Lasantha Senaratne - Company Secretary

Senaka Hewavitharana - Chief Legal Officer

Shiran Kossinna - Assistant General Manager - Card Centre

Kusal De Silva - Assistant General Manager - Corporate Finance

Dushyantha Dassanayake - Assistant General Manager - Information Technology - Systems

Chatura Rudesh - Assistant General Manager - FCBU



Left to Right

Janaka Jayasuriya - Assistant General Manager - Branch Banking
Kumari Jayasuriya - Assistant General Manager - Corporate Credit
Halin Hettigoda - Assistant General Manager - International Banking
Udara Suraweera - Assistant General Manager - Digital Operations
Kasun Ratnayake - Chief Risk Officer
Darshin Pathinayake - Assistant General Manager - Operations
Asanka Liyanage - Assistant General Manager - Branch Banking
Sachithri Fernando - Assistant General Manager - Planning
Gayani Jinadasa - Assistant General Manager - Finance

REPORT BY THE SENIOR INDEPENDENT DIRECTOR



Dear Stakeholders

The year under review was challenging, marked by economic crisis and political unrest that forced the corporate sector to deal with an abundance of adverse circumstances. However, Sampath Bank as one of the leading private banks in Sri Lanka remained quite clear regarding its path for 2023. We were determined to move ahead as a team through innovative avenues transforming our business and unlocking a new era of growth for the Bank. It has been a privilege to serve as the Senior Independent Director (SID) entrusted with the responsibility to ensure independence in all decisions and other actions taken by the Board of Directors.

I was appointed as the SID of Sampath Bank with effect from 6th May 2022 in terms of Section 3(5)(ii) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks. The position of SID is governed by properly documented and Board approved Terms of Reference (TOR) to ensure a greater independent element.

In my role as the SID, I actively participated and contributed to the discussions at Board meetings in 2023 and I am pleased to state that the Board of Directors of Sampath Bank PLC has maintained independent judgement and objectivity in all Board deliberations, ensuring that the decisions taken during the year were in the best interest of the Bank.

As the SID, it was my responsibility to ensure that all important issues were discussed by the Board in a timely manner and that the views of the Non-Executive Directors were given due consideration. Being the Chairman of the Board Nominations and Governance Committee (BNGC) has further complimented my ability to discharge the overall responsibilities as the SID, especially when offering independent prudent advice to the Chairman and the Board on matters discussed at the meetings and also when providing leadership to the Board as and when required.

During the financial year concerned, I had several confidential discussions with Directors who had concerns related to the Bank. Further, I initiated required measures to act as an intermediary for Non-Executive Directors when necessary, taking into account the views of Executive Directors as appropriate.

In line with the regulatory requirements, I presided over the following meetings for the year 2023 and exercised my voting rights where necessary;

- Two (02) meetings with Non-Executive Directors without the presence of the Chairman.
- One (01) meeting with Executive Directors.
- One (01) meeting with Independent Directors.

At the meetings with Non-Executive Directors, discussions were carried out to assess the contribution made by the Chairman while also taking into account the views of the Executive Directors. The feedback and recommendations of the meetings were duly communicated to the Chairman as appropriate.

As the SID, I confirm that under my supervision, the performance of individual Directors and Board effectiveness were kept under review during the year 2023 as per stipulated Board independence guidelines.

I continued to exercise my fiduciary and regulatory duties to shareholders by attending the Annual General Meeting through who I was able to develop a balanced understanding of the issues and concerns of shareholders. I also served as the main liaison between regulators and the Board as and when required.

I firmly believe that I have fulfilled the obligations entrusted to the SID in accordance with the Corporate Governance guidelines and the TOR that the Board has approved. In addition, I wish to raise the Bank's Governance standards in line with international best practices, while ensuring that the Bank is ingrained with sound governance principles.

DILIP DE S WIJEYERATNE

Senior Independent Director

14th February 2024

BOARD NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

GRI 2-10,24



"The Committee kept under review the composition and quality of the Board and upon reflecting on the diversity of experience, knowledge and the independence of distinguished individuals, made recommendations to strengthen Board expertise in significant spheres that are essential to the Bank's proliferation."

Dilip de S Wijeyeratne
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

Managing Director (MD)

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Nominations and Governance Committee (BNGC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (the Direction);
- Section 9.11 of Listing Rules of the Colombo Stock Exchange (the CSE Rules);
- Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)	Date of Appointment to the Committee
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Chairman	6/7	25th February 2021
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	7/7	1st May 2020
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Member	7/7	24th September 2020
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	7/7	27th January 2021
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	7/7	6th May 2022
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	7/7	1st August 2022

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

The Board Nomination Committee, presently known as the Board Nominations and Governance Committee, became a driving force for the Bank's governance following the implementation of the new corporate governance regulations issued by the Colombo Stock Exchange in 2023 that required listed entities to reinforce the corporate governance framework already in place. This change has enhanced the BNGC's responsibilities, thereby empowering the Committee to strengthen the Bank's governance culture above and beyond expectations of the stakeholders.

In line with the procedure in place to enable the orderly succession to the Board as set out under the Policy on "Selection, Nomination, Appointment and Election of Directors" and Procedure on "Selection and Appointment of Chief Executive Officer and Key Management Personnel", Mrs Ayodhya Iddawela Perera and Mr Prabhass Subasinghe were appointed to the Board as the Managing Director and a Non-Executive Director respectively.

Mrs Ayodhya Iddawela Perera, one of the distinguished personalities in the banking industry with both local and international

exposure and counting over 34 years of experience was appointed as the Managing Director of Sampath Bank PLC with effect from 1st July 2023, based on the recommendation of the BNGC, consequent to the retirement of Mr Nanda Fernando upon completing his term of office on 30th June 2023.

Mr Prabhass Subasinghe, who is graduated in Applied Economics and Business from the Ivy League Cornell University (USA) and an Alumni of Harvard Business School, was appointed to the Sampath Bank Board on 1st December 2023, upon the recommendation of the BNGC to fill a casual vacancy. The Committee reviewed the professional background of Mr Subasinghe - a distinguished entrepreneur, who is the founder of leading export companies in the country, namely Global Rubber Industries (Pvt) Limited, Global Sea Foods (Pvt) Limited, as well as Ayenka Holdings (Pvt) Limited, through which he became a prominent shareholder of Sampath Bank PLC.

The BNGC identified Board diversity to be an essential factor for effective Board performance and ensured the same during the year under review.

BOARD NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

Diversity of the Board of Directors as at 31st December 2023



Expertise

- Business Management & Administration
- Banking/Finance/Insurance
- Law
- Leadership Development/Innovation & Excellence
- Corporate Strategy
- Engineering/Information Technology
- Human Capital & Engagement
- Risk/Compliance/Financial Crime Compliance
- Investment Banking & Treasury
- Entrepreneurship

Gender

Male
9

Female
3



Age

Tenure on the Board

1 Month
1 Year

Directorship Status

- Executive Director
- Non-Executive Director
- Independent Director
- Non-Independent Director

The following Directors were re-elected at the 37th Annual General Meeting in terms of provisions stipulated in the Articles of Association of Sampath Bank and other applicable regulatory requirements.

Name of the Director	Board Sub-Committee Memberships	Date of First Appointment as a Director	Date of Last Re-election as a Director	Directorships in Other Entities	Material Relationships
Mr Harsha Amarasekera	BNGC, BSPC, BCPC, BMC, BSRC, BCMC	18th August 2020	30th March 2023	Commitments over the preceding three years Director of Chevron Lubricants Lanka PLC, Director of Amana Bank PLC, Director of Hayleys Leisure PLC Present Commitments Details are given in profiles of Board of Directors on pages 176 to 181.	Appointed as a Nominee Director of Vallibel One PLC
Mrs Keshini Jayawardena	BHRRC, BNGC, BRPTRC, BCC, BSPC, BSRC, BITC, BCMC	1st October 2020	30th March 2023	-	-
Mr Vinod Hirdaramani	BHRRC, BNGC, BCC, BSPC, BMC, BTC, BCMC	16th February 2021	30th March 2023	Present Commitments Details are given in profiles of Board of Directors on pages 176 to 181.	-

BNGC - Board Nominations and Governance Committee
 BHRRC - Board Human Resources and Remuneration Committee
 BRPTRC - Board Related Party Transactions Review Committee
 BCMC - Board Cost Monitoring Committee

BCC - Board Credit Committee
 BSPC - Board Strategic Planning Committee
 BSRC - Board Shareholder Relations Committee
 BTC - Board Treasury Committee

BMC - Board Marketing Committee
 BITC - Board IT Committee
 BCPC - Board Capital Planning Committee

KEY RESPONSIBILITIES OF THE COMMITTEE

- Implement a procedure to select/appoint new Directors, CEO/MD and Key Management Personnel (KMP).
- Consider and recommend the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- To ensure an updated procedure is in place for the selection, appointment and re-election of Directors to the Board with due consideration to their fitness and propriety and ensuring their qualifications, competencies and independency are in line with the statutory provisions.
- Set the eligibility criteria including qualifications, experience and key attributes required to be considered for appointment or promotion for the positions of MD and the KMP.
- Ensuring that Directors, MD and KMP are fit and proper persons to hold office as per the criteria specified under Statutory and Regulatory requirements.
- Consider and recommend the requirements of additional expertise and the succession arrangements for retiring Directors and KMPs from time to time.
- Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times.

DISCLOSURES BY THE COMMITTEE

- The Board of Directors performs an annual self-evaluation of its own individual performance as well as an assessment of the overall performance of the Board as a whole.
- The Senior Independent Director conducted a separate meeting with the Independent Directors enabling them to inform the major issues relating to the Bank in terms of the CSE Listing Rules during the year under review. In addition, Independent Directors are free to express their views on the issues relating to the Bank at Board meetings.
- Induction programmes are conducted for newly appointed Directors on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations along with the familiarisation on the key focus areas of the Bank. The Board of Directors are periodically apprised on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations as appropriate.

DECLARATIONS BY THE COMMITTEE

- The Bank maintains a suitable process for the periodic evaluation of the performance of the Board of Directors and the MD to ensure that their responsibilities are satisfactorily discharged.
- Corporate Governance requirements stipulated under the CSE Listing Rules have already been met by the Bank including certain requirements implemented recently. Further, the Bank is in the process of adopting the latest implementations to ensure the overall compliance with the aforementioned regulation.

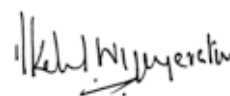
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BNGC, with the evaluation indicating that its performance was effective.

On behalf of the Board Nominations and Governance Committee,



DILIP DE S WIJEYERATNE

Chairman - Board Nominations and Governance Committee

14th February 2024

BOARD AUDIT COMMITTEE REPORT

GRI 2-24



"The Board Audit Committee remains well-focused in its commitment to upholding the highest standards of corporate governance to safeguard the interests of all stakeholders of the Bank."

Dilip de S Wijeyeratne
Chairman

Diversity of Expertise

No. of Directors

3



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director (MD)
- Executive Director/Chief Financial Officer (ED/CFO)
- Chief Internal Auditor (CIA)
- External Auditors
- Consultant to the Committee - Mrs Ranjani Joseph, Partner KPMG
- Members of Senior Management on need basis

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary or CIA functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Audit Committee (BAC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (the Direction);
- Section 9.13 of Listing Rules of the Colombo Stock Exchange (the CSE Rules);
- Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Chairman	19/19
Mr Hiran Cabraal	Independent/Non-Executive	Member	18/19
Mr Prabhash Subasinghe (Appointed w.e.f. 1st Jan 2024)	Non-Independent/Non-Executive	Member	n/a
Dr Sanjiva Weerawarana (Resigned w.e.f. 1st Jan 2024)	Independent/Non-Executive	Member	17/19

w.e.f. - with effect from n/a - not applicable

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

Throughout the year, the BAC adopted innovative and adoptable strategies in response to the fast evolving economic and regulatory reforms necessitated by the economic crisis of 2022. An additional key challenge encountered by both the industry and the entire nation is the escalating migration of skilled and qualified personnel, which is driven by the current national circumstances.

In these unprecedented times, the BAC sought to ensure that Sampath Bank adheres to the highest standards of governance, while remaining agile and adoptable in its approach.

As Sampath Bank navigates the dynamic and evolving landscape of the financial industry in Sri Lanka, the BAC remained committed in fulfilling its responsibilities to safeguard the interests of all stakeholders, based on the highest standards of integrity and assurance on adherence to regulatory requirements and internal guidelines and international best practices as well.

The Committee also intensified the focus on cybersecurity and data privacy, in tandem with the growing importance of digital banking in Sri Lanka.

Financial Reporting

As part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, the BAC reviewed and discussed with the Management, the Consultant to the BAC and the External Auditor, the Quarterly and the Annual Financial Statements of the Bank, prior to their release. The review considered several factors including the quality, appropriateness and acceptability of current accounting policies and practices, clarity of existing disclosures and the level of compliance with financial reporting standards, such as that specified under the Companies Act No. 7 of 2007, the Banking Act No. 30 of 1988 and any other relevant financial and governance reporting requirements. To facilitate the review, the Committee considered reports submitted by

the Executive Director/Chief Financial Officer as well as reports from the Internal and External Auditor on their audit findings.

The Committee obtained and reviewed the assurance from the MD and the ED/CFO that the financial records have been properly maintained and the financial statements provide a true and fair view of the Bank's and the Group's operations and finances.

This year too, the Committee rigorously assessed the unique challenges and uncertainties faced by the country and the local banking industry; including the exchange rate fluctuations, inflationary pressures, changes in interest rates, Government debt restructuring related issues, changing regulatory requirements etc. Considering this challenging

environment, the BAC examined the assumptions and judgments applied in financial reporting, including assessment of adequacy of post model adjustments made, particularly in areas where uncertainty prevailed. The Committee further ensured the application of prudent accounting practices to reflect the economic realities on the ground. This was done with the objective of providing stakeholders with the most accurate and meaningful financial information.

External Auditors

The BAC reviewed and monitored the independence and objectivity of the External Auditor and also assessed the effectiveness of their audit process considering the relevant professional and regulatory requirements. To ensure that the External Auditor had the independence to discuss and express their opinions on any matter, they were granted further opportunities to meet the BAC separately, without the presence of the Executive Directors.

The Committee discussed with the External Auditor, their audit plan, scope and the methodology they propose to adopt in conducting the annual audit, prior to commencement of the audit for the financial year 2023. There was no limitation of scope and the Management has fully provided all information and explanations requested by the External Auditor.

The Committee ensured that the engagement of the Audit Partner does not exceed five years and that the particular Audit Partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.

Messrs Ernst and Young, Chartered Accountants has been appointed as the external auditor of the Bank since the inception and the present Engagement Partner has been appointed since January 2023.

The Committee has recommended to the Board that Messrs Ernst and Young, Chartered Accountants, to be re-appointed for the financial year ending 31st December 2024, subject to the approval of shareholders at the 38th Annual General Meeting.

The Letter of Representation issued to the External Auditor by the management was also reviewed by the Committee.

The Committee obtained a statement from the External Auditor confirming that they are and have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant regulatory and professional requirements.

Financial Statements were reviewed with the External Auditor, who is responsible for expressing an opinion on its conformity with the Sri Lanka Accounting Standards. The Committee also met the External Auditor to review the Management Letter with the responses from the Management.

The BAC conducted its annual review of the non-audit services policy in order to ensure that the independence and objectivity have not been impaired by providing such non-audit services, taking into consideration, the fees and the scope of same. The non-audit services policy is a Board approved policy that sets out guidelines for the engagement of External Auditor for non-audit services in line with regulatory requirements. The BAC makes appropriate recommendations to the Board of Directors in respect of proposed amendments to this Policy.

During the year, the BAC worked collaboratively with the External Auditor to ensure that their audit approach is tailored to the unique circumstances facing the financial sector in Sri Lanka. This includes a deep dive into areas of heightened risk, such as asset quality and loan provisioning, to provide a thorough evaluation of the Bank's financial health.

Internal Control Over Financial Reporting (ICOFR)

Sampath Bank is required to comply with the Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 and assess the effectiveness of Internal Control Over Financial Reporting. The BAC assessed the effectiveness of the Bank's system of Internal Control Over Financial Reporting as of 31st December 2023 based on the criteria set out in the Guidance for Directors of Banks under "The Directors' Statement of Internal Control", issued by the CA Sri Lanka in 2010.

The Internal Controls Over Financial Reporting Steering Committee comprising the Chief Internal Auditor (Chairperson), Executive Director/Chief Financial Officer, Chief Risk Officer, Chief Information Security Officer and Chief Compliance Officer assisted the Internal Audit Department in conducting its evaluations on the Internal Control Over Financial Reporting and Management Information Systems. In this regard,

assessments were carried out by the Internal Audit Department to determine if documented procedures were being followed by the respective process owners and to ensure the design effectiveness and the operating efficiency of the Internal Controls and the Management Information Systems and as well as to identify areas for improvements on an ongoing basis.

The Committee obtained and reviewed the assurance received from the Managing Director and other Key Management Personnel who are responsible, regarding the adequacy and effectiveness of the Bank's risk management and internal control systems.

The backdrop of Sri Lanka's dynamic economic conditions and regulatory changes, necessitated a comprehensive review of the Bank's internal control systems. Hence, the BAC intensified its focus on enhancing internal controls and risk management frameworks to mitigate the evolving risks associated with the local and global economic uncertainties. This included enhancing oversight on credit risk, liquidity risk, and operational risk, all of which are vital components in the context of Sri Lanka's economic challenges.

Based on the assessments carried out by the Internal Auditor and External Auditor, the Board has concluded that, as of 31st December 2023, the Bank's system of Internal Control Over Financial Reporting is effective. The Directors' Statement on the Bank's Internal Control Over Financial Reporting is provided on pages 239 and 240.

The Bank's External Auditor have assessed the effectiveness of the existing system of Internal Control Over Financial Reporting and have provided an assurance report to the Board indicating that nothing has come to their attention that causes them to believe that financial reporting was inconsistent with their understanding of the processes adopted by the Board for reviewing the design and effectiveness of the internal control system of the Bank. The External Auditors' Assurance Report on the Bank's systems of Internal Control Over Financial Reporting is provided on page 241.

Internal Audit

During the year, the BAC continued to fulfil its mandate to monitor and review the scope, extent and effectiveness of the activities of the Bank's Internal Audit Department, including review of the progress made on

BOARD AUDIT COMMITTEE REPORT

Audit activities and achievements against the Bank's Audit Plan. The Committee reviewed the Internal Audit Plan and monitored its implementation through regular communication with the Chief Internal Auditor.

The Committee reviewed all major findings revealed through audit investigations and potential fraud monitoring activities carried out during the year.

Recognising the extraordinary challenges posed by the country's economic conditions, the Internal Audit Department strategically re-evaluated their audit approach to ensure that it is aligned with the dynamic environment.

The Internal Audit Department conducted thorough assessments of the potential impact of these changes on Bank's operations and risk management strategies, and ensured swift action is taken to implement necessary adjustments to audit procedures, as needed.

Furthermore, the Internal Audit Department increased its focus on technology-driven audit techniques to monitor the Bank's digital transformation efforts and to safeguard against cybersecurity threats, which have become increasingly prevalent in today's interconnected world. By adopting agile and a forward-looking approach, the Internal Audit Department provides valuable insights to the BAC and Senior Management, to support the Bank's ability to navigate the challenging economic conditions effectively.

The BAC also reviewed the resource requirements of the Internal Audit Department. The performance evaluation of the Chief Internal Auditor and the senior staff members of the Internal Audit Department for the year 2023 will be carried out by the Committee during the first quarter of 2024.

Annual Corporate Governance Report

As required by Section 3(8)(ii)(g) of the Banking Act Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka, the Annual Corporate Governance Report for 2023 is provided on pages 146 to 175. The External Auditor of the Bank have performed procedures set out in Sri Lanka Related Services Practice Statement 4750 issued by the CA Sri Lanka (SLRSPS 4750), to meet the compliance requirement of the said Corporate Governance direction. Their findings presented in their report dated 14th February 2024 addressed to the Board,

are consistent with the matters disclosed above and no inconsistencies have been identified in this regard.

Whistleblowing

The Bank's Whistleblowing Policy continued to be implemented as a component of the Corporate Fraud Risk Management Framework. The Policy empowers any team member who has a legitimate concern on an existing or potential "wrong doing" by any person within the Bank to come forward voluntarily and bring such concern to the notice of the Chairman of the BAC either through the Company Secretary or Chief Internal Auditor. Concerns raised are investigated as per the standard procedure and the identity of the person raising the concern is kept confidential. The Whistleblowing Policy was reviewed by the BAC during the year 2023 with recommendations made to further strengthen the policy as a communication channel to raise any genuine concerns.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing financial information and monitoring the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure, prior to submission to the Board and ensuring compliance with statutory provisions, accounting standards and accounting policies.
- Reporting to the Board on the quality, appropriateness and acceptability of the Bank's accounting policies and practices.
- Assessing the reasonableness of the underlying assumptions based on which estimates and judgments are made when preparing the financial statements.
- Overseeing the Internal Audit function and reviewing of audit reports to ensure that appropriate actions are taken by the Management to implement the recommendations made by the Internal Auditors.
- Assessing the independence and reviewing the adequacy of the scope, functions and resources of the Internal Audit Department, including the appointment of the Chief Internal Auditor and the performance of the Head and senior staff members of the Internal Audit Department.

- Overseeing the appointment, compensation, resignation and dismissal of the External Auditor, including review of the External Audit function, its cost and effectiveness and monitoring of the External Auditors' independence and/or objectivity.
- Reviewing the adequacy and effectiveness of the Internal Controls, Risk Management and ensure compliance with Corporate Governance and regulatory requirements.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

PROFESSIONAL ADVICE

The BAC has the authority to seek external professional advice from time to time on matters within its purview. During the year, several consultations were sought with various professionals, on matters under the Committee's purview.

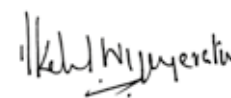
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BAC, with the evaluation indicating that its performance was effective.

On behalf of the Board Audit Committee,



DILIP DE S WIJYERATNE

Chairman - Board Audit Committee

14th February 2024

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

GRI 2-19, 20, 24



"During the year under review, the Board Human Resources and Remuneration Committee focused mainly on supporting team Sampath to navigate a highly volatile economic landscape - while laying the foundation for enhanced leadership development and greater engagement of its people."

Aroshi Nanayakkara
Chairperson

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director (MD)
- Chief Human Resource Officer
- Chief Manager - Human Resources

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Human Resources and Remuneration Committee (BHRRC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (the Direction);
- Section 9.12 of Listing Rules of the Colombo Stock Exchange (the CSE Rules);
- Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Ms Aroshi Nanayakkara	Independent/Non-Executive	Chairperson	9/9
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	8/9
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	9/9
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	7/9
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	7/9

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

- The BHRRC took the bold step of rolling out a new Performance Management System (PMS) with a view to further strengthening the performance-based work culture of the Bank. With the new PMS, quantifiable Key Performance Indicators (KPIs) were introduced for the entire team enabling the Bank to recognise and celebrate outstanding individuals and teams. In keeping with global best practices, KPIs of the MD and Key Management Personnel (KMP) were agreed at the beginning of the financial year in line with the Bank's Strategic Plan and their performance being assessed at the end of the year. The outcome of the assessment was used to develop robust development initiatives for the team.
- The BHRRC continued to oversee the succession planning process with the aim of identifying the second and third tier of leaders among the Bank's executive cadre to ensure a seamless transition of leadership and to adopt to changes in the business environment by having a pool of talented individuals ready to step into key roles. Personal Development Plans were also developed with the involvement of the BHRRC to identify skill gaps and areas for improvement among individuals in key positions in order to provide them local and global training and development opportunities.
- The Human Resources (HR) Strategic Plan was another key focus of the Committee. Accordingly, the HR strategies, HR policies and procedures were reviewed with the objective of enhancing the overall performance of Team Sampath.
- The host of financial benefits offered to team members during the COVID-19 pandemic and the economic crisis in 2022, continued to be made available to employees throughout 2023 to help ensure their financial stability and keep them motivated amidst the ongoing economic crisis.
- As part of the overall strategy to encourage greater female participation in the workforce and at leadership levels, the BHRRC initiated several programmes to motivate and recognise female employees, providing special Leadership Training at different levels of management as well as identifying and giving due recognition to female role models. The circle of activities was further expanded to include the customers of the Bank with special events held during the International Women's Month of the year.
- The long service awards were held in January 2023 to recognise team members with over 25 years of service at Sampath Bank.

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

KEY RESPONSIBILITIES OF THE COMMITTEE

- Formulating remuneration policies relating to Directors, CEO/MD and KMP and submitting the same for the approval of the Board.
- Identifying goals and targets for the Directors, CEO/MD and KMP and submitting the same for the approval of the Board.
- Evaluating the performance of the CEO/MD and KMP against set targets and goals periodically and submitting the same to the Board, together with recommendations for the revision of remuneration, benefits and other performance-based incentives.
- Recommending to the Board such amendments to its scope as may, in its view be desired, to achieve better corporate governance objectives.
- Advising the KMP heading the Human Resources Department of the Bank with regard to revision of salaries of Bank staff and any major organisational changes needed for the Bank's purpose.
- Recommending and keeping under review, the Human Resources Strategy including key HR Objectives, Plans and workforce requirements in line with the overall annual/medium-term strategic objectives of the Bank and monitoring implementation of the same.
- Reviewing, commenting and reporting to the Board on HR related matters including development plans, talent retention and career development of potential successors.
- Monitoring and making all necessary recommendations to the Board on ethical standards with regard to human capital and ensuring that the management has institutionalised a process to ensure compliance with these standards.
- Keeping the provisions of the Bank's Pension Plan under review.
- Assessing the performance of the Committee based on the requirements.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BHRRC, with the evaluation indicating that its performance was effective.

On behalf of the Board Human Resources and Remuneration Committee,



AROSHI NANAYAKKARA

Chairperson - Board Human Resources and Remuneration Committee

14th February 2024
Colombo, Sri Lanka

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

GRI 2-24



"The Committee has successfully executed strategic measures aligned with the Risk Function to mitigate the heightened Cyber Security Risk stemming from the escalating usage of Digital Channels. Concurrently, we have reinforced the scope and functional responsibilities of the Risk Function, encompassing the IT Risk Management Unit, in strict adherence to the Central Bank's latest regulatory framework."

Hiran Cabraal
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Management Representatives:

- Mr Kasun Ratnayake - Chief Risk Officer
- Mr Sudharshana Jayasekera - Chief Compliance Officer

Regular attendees to the Committee meetings by invitation:

- Chief Information Security Officer
- Management Representatives in charge of Credit, Market, Liquidity, Operational and Strategic Risks

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Integrated Risk Management Committee (BIRMC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (the Direction);
- Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Hiran Cabraal	Independent/Non-Executive	Chairman	9/9
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	9/9
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	9/9
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	3/3
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	5/6
Dr Sanjiva Weerawarana (Resigned w.e.f. 1st Jan 2024)	Independent/Non-Executive	Member	6/9

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

- The BIRMC discharged its responsibilities in compliance with its Terms of Reference (TOR). Accordingly, the Committee received regular reports on the Bank's performance against the established Risk Appetite Limits and Key Risk Indicators (KRI) from the Risk Management Department and Key Performance Indicators (KPIs) from the Compliance Department. The reports and the relevant background information were reviewed in detail and necessary risk mitigation measures were initiated to maintain the Bank's risk exposure at a prudent level and to facilitate compliance with regulatory requirements, while enabling sound business results.
- The scope of the Bank's overall risk management framework was further strengthened with the "Credit Risk Management Policy" and the "Post Credit Risk Management Procedure" updated to reflect the new definitions for Stage-wise impairment relating to restructured and rescheduled facilities in line with the Banking Act Direction No. 13 of 2021.
- More focused efforts to improve the Bank's risk culture through the risk magazine, risk related training on Credit Risk, Market Risk, Operations Risk, and Knowledge Sharing Sessions.
- In depth analysis of industries under the current economic context with new sectors added to the existing list of risk-elevated industries.
- Enhanced the criteria for sample selection of "Loan Review Summaries".
- Several changes (Liquidity risk assessment, Macroeconomic stress testing in line with SLFRS and Technology risk scorecard) were embedded to enhance the ICAAP report.
- The Bank's Credit, Operational and Market Risk Appetite limits were reviewed.
- Reviewing internal tolerance limits for historical VaR simulation, Present Value Basis Points (PVBPs) and the Mark to Market (MTM) Loss Limit for Treasury Bill and Treasury Bond portfolios.
- Introduction of new guidelines on counterparty selection and limit setting process based on external rating and financial evaluations conducted during the introduction/review of counterparties.
- Reviewing the liquidity contingency funding plan and reciprocal contingency liquidity and funding agreements.

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

- Monitoring the expiry and reviewing of Service Level Agreements (SLA) to determine if their content and conditions remain applicable in the current context.
- Create customer awareness of cyber-attacks and IT risks.
- Reviewing Business Continuity Plans (BCP) and testing the efficacy of the BCP along with business impact analysis to ensure resilience in stressed situations. Conducting timely BCP drills to assess the situation and vulnerabilities.
- The recovery trigger structure/recovery options framework in the Recovery Plan was reviewed and updated with new triggers and options being added.
- Reviewed all existing policies in relation to risk management.
- Established an Operational Risk Management Committee (ORMC) to facilitate timely oversight in risk managing operational risk.
- The Risk and Control Self-Assessment (RCSA) process was reviewed and further expanded.
- Established new KRIs for Information Security and introduced a new limit framework for operational risk related KRIs.
- Enhanced the scope and functional responsibilities of the IT risk management unit as per the CBSL's new regulatory framework.
- Actions to mitigate enhanced Cyber Security Risk due to the increased adoption of Digital Channels including regular review of the objectives and work assignments of the Chief Information Security Officer. The actions taken by the Information Security Department were also discussed at the BIRMC.
- Sampath Bank secured PCI DSS V3.2.1 certification and ISO 27001:2013 recertification.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Assessing all risks faced by the Bank including Credit, Market, Liquidity, Operational and Strategic Risks monthly through appropriate risk indicators and management information, including updated Business Continuity Plans. In the case of subsidiary companies, risk management shall be done both on a bank and on a group basis.
- Reviewing the adequacy and effectiveness of all Management Committees, such as the Credit policy, Risk and Portfolio Review Committee, Asset and Liability Management Committee (ALCO) and the Risk and Compliance Committee, to ensure specific risks are managed within quantitative and qualitative risk limits as specified by the Committee.
- Taking prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond prudent levels decided by the Committee, based on the Bank's policies and regulatory, supervisory requirements, economic and market conditions.
- Referring to the Bank's Disciplinary Committee regarding the officers responsible for failure to identify specific risks and recommend taking prompt corrective measures against such officers.
- Establishing a compliance function and appointing a dedicated Compliance Officer selected from Key Management Personnel who periodically assesses the Bank's compliance with the laws, regulations, regulatory guidelines, internal controls, and approved policies on areas of business operations and functionally reports to the Committee on these matters.
- Ensuring clear and independent reporting lines, adequate tools, systems, and resources for the successful management of risk and compliance functions within the Bank.
- Review and approve all policies and public disclosures made under CBSL Directives related to risk management, while recommending the same for Board approval. Also, review the risk related policies at least on an annual basis.
- Periodically review the Bank's risk exposures while setting up risk appetite/tolerance limits to support the Bank's objectives, business strategies, risk appetite, and economic and market conditions.
- Reviewing and formulating the strategy and methodology for the allocation of risk/economic capital, including the Internal Capital Adequacy Assessment Process (ICAAP) and recommending the same for Board approval.
- Engaging with external and independent reviewers for validation of risk measurement methodologies and outputs as and when required.
- Monitoring controls relating to "Information Security" and reviewing the progress of the "Information Security Committee" (ISC) on a quarterly basis.
- Set up the Bank's risk appetite/tolerance at enterprise and strategic business unit levels.
- Maintain continued awareness of any changes in the Bank's risk profile.
- Ensure clear and independent reporting lines, responsibilities for the overall business activities and risk management functions.
- Cultivate a proactive risk management culture within the Bank.
- Submit a report on high priority risks to the Main Board within a week of each BIRMC meeting.
- Review the TOR of the Committee periodically and ensure that it reflects industry best practices at all time.

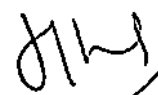
REPORTING TO THE BOARD

The minutes and risk assessments of the Committee were tabled at Board meetings on a timely manner for information and/or further action where required.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BIRMC, with the evaluation indicating that its performance was effective.

On behalf of the Board Integrated Risk Management Committee,



HIRAN CABRAAL

Chairman - Board Integrated Risk Management Committee

14th February 2024

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

GRI 2-15,24



"The Committee reviewed all Related Party Transactions engaged in, by the Bank throughout the year as per regulatory guidelines, in order to avoid preferential treatments to the Related Parties and to prevent any conflicts of interest."

Vajira Kulatilaka
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director
- Chief Compliance Officer
- Any other Officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Related Party Transactions Review Committee (BRPTRC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (the Direction);
- Section 9.14 of Listing Rules of the Colombo Stock Exchange (the CSE Rules);
- Code of Best Practices issued by the Securities and Exchange Commission of Sri Lanka (the SEC Code);
- Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Vajira Kulatilaka	Independent/Non-Executive	Chairman	4/4
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	4/4
Mr Hiran Cabraal	Independent/Non-Executive	Member	3/4
Dr Sanjiva Weerawarana (Resigned w.e.f. 1st Jan 2024)	Independent/Non-Executive	Member	2/4

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

The Committee carefully examined the Bank's engagement in Related Party Transactions to ensure that such parties and transactions were not given a more favourable treatment than that accorded to other constituents of the Bank

carrying on the same business. Accordingly, the Bank complied with all the regulatory requirements and secured the uprightness of its banking activities.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Taking all necessary steps to avoid any conflict of interest that may arise from any transaction of the Bank with any category which shall be considered as "Related Parties" as authorised by the Board.
- Ensuring that the transactions with Related Parties are identified by the respective authorities in line with the regulatory requirements.
- Maintaining the Board approved standard to ensure that the Bank does not engage in transactions with Related Parties in a manner that would grant such parties a "More Favourable Treatment" than that accorded to other constituents of the Bank carrying on the same business.
- Ensuring that the Bank shall not grant any accommodation to any of its Directors or to a close relation of such Director or to any concern in which the person has a substantial interest unless such accommodation is sanctioned at a meeting of the Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation and to ensure all regulations pertaining to such accommodations are followed.
- Ensuring that there is an adequately effective and efficient system in place to capture information which is relevant to its review function.
- Obtaining professional and expert advice from qualified persons, where such advice is necessary for the performance of the review function.

- Reviewing the Terms of Reference of the Committee periodically to ensure that it reflects the best practices of the industry at all times.
- Assessing the performance of the Committee annually.
- Recommend to the Board such amendments to its scope as may, in its view be applicable, to achieve better compliance with regulatory requirements.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BRPTRC, with the evaluation indicating that its performance was effective.

On behalf of the Board Related Party Transactions Review Committee,

VAJIRA KULATILAKA

Chairman - Board Related Party Transactions Review Committee

14th February 2024
Colombo, Sri Lanka

BOARD COST MONITORING COMMITTEE REPORT

GRI 2-24

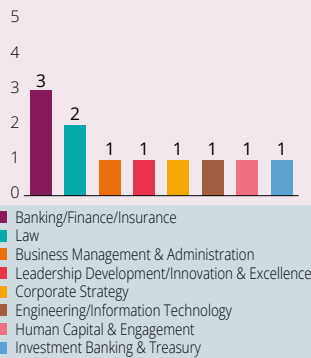


"The Committee formulated with a focus on evaluating and approving non-essential and/or non-urgent expenditure and/or capital expenditure to be incurred for the medium-term growth of the Bank."

Harsha Amarasekera
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director
- Executive Director/Chief Financial Officer
- Any other Officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role and functions of the Board Cost Monitoring Committee (BCMC) are defined by the provisions of the:

- Banking Act Direction No. 01 of 2023 on Restrictions on Discretionary Payments of Licensed Banks issued by the Central Bank of Sri Lanka (the Direction).

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Chairman	2/2
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	2/2
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	2/2
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	2/2
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	1/2

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

During the year under review, the BCMC in compliance with the "Banking Act Direction No. 01 of 2023" strictly reviewed non-essential and/or non-urgent expenditure

and/or capital expenditure to be incurred by the Bank, considering the possible adverse impacts on liquidity and capital position of the Bank.

KEY RESPONSIBILITIES OF THE COMMITTEE

- To evaluate and approve non-essential and/or non-urgent expenditure and/or capital expenditure to be incurred by the Bank.
- To perform any other activity within the scope of capital planning related functions or functions indicated in the Direction that is deemed by the Committee to be required which will serve to enhance its or the capital planning function's effectiveness and efficiency.
- To review the Terms of Reference of the Committee periodically and ensure that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings thereby providing Board members with access to the deliberations of the Committee.

On behalf of the Board Cost Monitoring Committee,

HARSHA AMARASEKERA

Chairman – Board Cost Monitoring Committee

14th February 2024
Colombo, Sri Lanka

BOARD CREDIT COMMITTEE REPORT

GRI 2-24

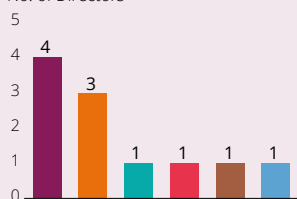


"In response to the adverse economic conditions in 2023, the Committee was proactively involved in strengthening credit portfolios of the Bank while empowering various constituents of the Sri Lankan economy through prudent credit expansion."

Vajira Kulatilaka
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Law
■ Leadership Development/Innovation & Excellence
■ Engineering/Information Technology
■ Investment Banking & Treasury

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Consultant to the Committee - Mr Janakan Selvaratnam representing BDO Partners.
- Any other Officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Credit Committee was established on 9th December 1987 and was subsequently re-titled as the Board Credit Committee (BCC) on 22nd October 2008. At present, the BCC consists of five (5) members, who possess the extensive knowledge and expertise on Bank lending models, including compliance with relevant rules, regulations and directions issued by respective authorities.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Vajira Kulatilaka	Independent/Non-Executive	Chairman	31/31
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	28/31
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	30/31
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	26/31
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	14/14
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	15/17

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

One of the key priorities for the BCC in 2023 was to advise the Business Revival Unit, regarding appropriate action (business revival or undertaking debt restructure/reschedule) to be taken to manage stressed exposures. Periodic sector analysis and the discussions on industry trends with

a focus on potential areas of growth by the BCC was a key driver to achieve the lending objectives of the Bank. The background of BCC members, including experience and knowledge about diverse sectors were instrumental in improving credit quality in 2023.

KEY RESPONSIBILITIES OF THE COMMITTEE

Overseeing the credit management of the Bank, including;

- Ensuring Board approved internal credit policies exist, containing at minimum, elements required under the Risk Management Framework as set out in the Banking Act Direction No. 7 of 2011.
- Periodically reviewing all such internal credit policies including changes initiated by the Management and recommending them with or without modifications to the Board for approval.
- Ensuring that the Bank's credit policies comply with the statutory requirements prescribed by the regulatory/supervisory authorities.

- Ensuring that the Bank maintains a diversified portfolio of assets in line with the desired risk return profile and within the risk appetite of the Bank.

- Ensuring that Board approved portfolio exposure limits are established by obligor, industry and geography.

To ensure the operation of a sound credit origination process by;

- Recommending delegation of Lending Powers to Management Personnel for Board approval in line with the Banking Act Direction No. 7 of 2011 on Integrated Risk Management, Annexure B on Credit Risk Management, reviewing these regularly and overseeing compliance therewith.

BOARD CREDIT COMMITTEE REPORT

- Reviewing and approving credit proposals over the delegated authority limits granted to Key Management Personnel and Committees in accordance with Board approved credit policies and standards.
- Reviewing and recommending to the Board, credit facilities, which the Committee believes require Board approval.

Reviewing the quality and performance of the Bank's credit portfolio by;

- Calling for annual/bi-annual industry studies and single borrower reviews.
- Regularly reviewing sector-wise/ industry-wise/country-wise portfolios to which the Bank is exposed.
- Regularly reviewing large exposures (individuals/corporates/group companies).
- Frequent reviews of "Non-Performing" and "Watch Listed" customers and those likely to move into watch listing or NPA.
- High-level portfolio reviews to assess the movement of the various stages in impairment.
- Maintaining adequate controls over credit risk by ensuring credit risk exposure is kept within acceptable limits to maximise the Bank's risk adjusted rate of return stress tests are conducted where deemed appropriate.

Maintaining appropriate credit administration, measuring and monitoring processes by;

- Ensuring consistent standards are maintained for the origination, documentation and maintenance of documents for extension of credit.
- Ensuring that every obligor and facility is assigned a risk rating.

Identification and administration of problem credits by;

- Monitoring on an ongoing basis, the Bank's credit quality, reviewing periodic credit portfolio reports and assessing portfolio performance.
- Ensuring post-credit monitoring, remedial management and postmortem reviews are performed, where deemed appropriate.

Understanding the cyclical aspects of the economy (both internal and external) by;

- Monitoring the resulting shifts in the composition and quality of the loan portfolio.
- Understanding the credit risk posed by the existing portfolio and reviewing methods of mitigating them in the Short and Long-Term.
- Understanding the micro and macro environment to ascertain both risks and opportunities by requesting independent views of economists/institutions.

Proper evaluation of new business opportunities by;

- Ensuring all new credit risk related products are reviewed from a credit risk management perspective.

Ancillary responsibilities;

- Any other activity within the scope of credit related activities that is deemed by the Committee to be required which will serve to enhance its or the credit function's effectiveness and efficiency.
- Review the Terms of Reference of the Committee periodically and ensure that it reflects industry best practices at all times.

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

The Committee is deriving advisory services and technical assistance particularly on credit evaluations from BDO Partners, which is an independent professional service provider with global capabilities. Accordingly, Mr Janakan Selvaratnam has been appointed representing BDO Partners to carry out the specified tasks related to credit consultations focusing on the credit quality expansion of the Bank. Despite the credit expertise contributed by BCC members, the committee goes above and beyond on enhancing the quality of the credit portfolio of the Bank by obtaining consultation services of a professional advisor who carries extended experience in an internationally reputed bank including a widespread scope of credit related expertise. The BCC assessed the standard of the services rendered by Mr Selvarathnam during the year under review. Based on the satisfactory service standards, the committee renewed his service tenure to be continued for year 2024 as well.

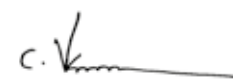
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BCC, with the evaluation indicating that its performance was effective.

On behalf of the Board Credit Committee,



VAJIRA KULATILAKA

Chairman - Board Credit Committee

14th February 2024
Colombo, Sri Lanka

BOARD STRATEGIC PLANNING COMMITTEE REPORT

GRI 2-24



"The Board Strategic Planning Committee maintained strict control over the Bank's Capital Adequacy position and ensured the implementation of dynamic business strategies notwithstanding the constraints posed by external factors during the year under review."

Harsha Amarasekera
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Members of the Strategic Planning Department and any other Officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Strategic Planning Committee (BSPC) was formed pursuant to a decision at the Board meeting held on 30th January 1997, in order to review the Bank's strategies to be implemented over a designated period. The Committee, at present, consists of eleven (11) members and ensures that it adopts strategies to further enhance the Bank's positioning in multiple areas including profitability, the utilisation of capital as well as the optimisation of costs across all areas of the Bank.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Chairman	2/2
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	2/2
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	2/2
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	2/2
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	2/2
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	2/2
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	2/2
Mr Hiran Cabraal	Independent/Non-Executive	Member	2/2
Mr Prabhash Subasinghe (Appointed w.e.f. 1st Dec 2023)	Non-Independent/Non-Executive	Member	1/1
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	2/2
Mr Ajantha de Vas Gunasekara	Executive	Member	2/2
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	n/a
Dr Sanjiva Weerawarana (Resigned w.e.f. 1st Jan 2024)	Independent/Non-Executive	Member	2/2

w.e.f. - with effect from

n/a - not applicable

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

- The BSPC conducted quarterly reviews to assess the progress against the existing Strategic Plan and the annual budget, with necessary guidance on the improvements needed to take cognizance of the challenging economic conditions.
- The major undertaking by the BSPC in 2023 was the work done in formulating a Five Year Strategic Plan for the Bank with the assistance of a well-reputed International Consultancy Firm under the Committee's guidance. This will be implemented from 2024 onwards.
- Bank's Budget for 2024 was prepared in line with the Five Year Strategic Plan and both Strategic Plan and the Budget have carefully reviewed and recommended to the Board.
- The Committee will continue to review and follow-up both the Strategic Plan and the Budget of the Bank during 2024 on quarterly basis and will provide guidance and recommendations to the Management and the Board based on the prevailing business conditions and potential risks.

BOARD STRATEGIC PLANNING COMMITTEE REPORT

KEY RESPONSIBILITIES OF THE COMMITTEE

- Assist and guide the Management to formulate the strategic direction of the Bank, including the determination of the Purpose/Vision statements as well as the Long and Short-Term objectives for the sustainable development of the Bank and towards that end:
 - Advise the Bank's Management (or its Strategy function) on the establishment of processes for planning, implementing, assessing and adjusting the business strategy;
 - Consider Environmental, Social and Governance (ESG) criteria in strategy formulation;
 - Request the Management to evaluate market competition using accepted Strategic Management tools.
- Fulfil oversight responsibilities relating to the Bank's strategy including periodic review.
- Assist and support the Bank's Management in the preparation of Short, Medium and Long-Term plans in order to fulfil the Bank's goals and objectives.
- Ensure that a robust annual Strategic Plan is in place taking into account competitor analysis, global and local market trends as well as developments in the technological sphere, which could impact the financial services industry.
- Review annually, the Bank's achievement against Strategic objectives.
- Finalise and approve the Annual Budget.
- Oversee the implementation of the Annual Budget and execution against strategic milestones and goals.
- Approve Specific Short-Term initiatives (e.g.: New Products, Efficiency Measures, Profit Generation Opportunities).
- Conduct post-implementation assessment of strategic initiatives and programmes.
- Perform any other activity within the scope of BSPC related activities that is deemed by the Committee to be required which will serve to enhance its or the Strategy function's effectiveness and efficiency.
- Review the Terms of Reference of the Committee periodically and ensure that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BSPC, with the evaluation indicating that its performance was effective.

On behalf of the Board Strategic Planning Committee,



HARSHA AMARASEKERA

Chairman - Board Strategic Planning Committee

14th February 2024
Colombo, Sri Lanka

BOARD SHAREHOLDER RELATIONS COMMITTEE REPORT

GRI 2-24

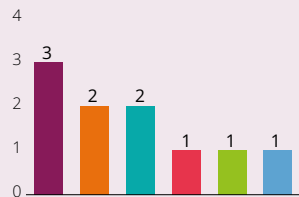


"Taking into consideration the suggestions made by shareholders and investors, the Board Shareholder Relations Committee proceeded to enlighten the Board regarding appropriate measures to enhance the efficiency and the effectiveness of shareholder related activities."

Rushanka Silva
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Law
■ Leadership Development/Innovation & Excellence
■ Risk/Compliance/Financial Crime Compliance
■ Investment Banking & Treasury

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Any Officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

Sampath Bank is the first listed entity in Sri Lanka to establish a Board Shareholder Relations Committee (BSRC) pursuant to the Board Meeting held on 28th August 2008 to identify and address the concerns of shareholders and to accommodate their opinions and suggestions for the improvement of the Bank. The Committee ensures the affinity between the Board and the shareholders during the meeting conversations since our shareholders are the monumental strength of the Bank and the constant patronage behind its success.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Rushanka Silva	Non-Independent/ Non-Executive	Chairman	1/1
Mr Harsha Amarasekera	Non-Independent/ Non-Executive	Member	1/1
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	1/1
Mr Hiran Cabraal	Independent/Non-Executive	Member	1/1
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	n/a
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	1/1

w.e.f. - with effect from n/a - not applicable

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

The Bank distributed final dividend of Rs 4.60 per share for FY 2022/23 which consisted of Rs 3.45 in the form of Cash Dividend and the balance Rs 1.15 in the form of Scrip Dividend, upon obtaining the approval of the shareholders at the 37th Annual General Meeting. Approval was also obtained from the shareholders to donate Rs 1,143,288.46 being the sales proceeds of the aggregation

of the residual fractions arisen from the scrip dividend payment, towards CSR initiatives.

The valuable suggestions made by the shareholders were also taken into consideration with a focus to enhance the perspectives such as the customer service standards.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Providing suggestions to the Board to improve shareholder/investor relations of the Bank.
- Presenting shareholder/investor feedback to the Management and to the Board.
- Providing guidance to the Board on matters of shareholder/investor relations.
- Performing any other activity within the scope of shareholder/investor related functions that is deemed by the Committee to be required which will serve to enhance its or the shareholder/investor function's effectiveness and efficiency.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BSRC, with the evaluation indicating that its performance was effective.

On behalf of the Board Shareholder Relations Committee,

RUSHANKA SILVA

Chairman - Board Shareholder Relations Committee

14th February 2024
Colombo, Sri Lanka

BOARD TREASURY COMMITTEE REPORT

GRI 2-24

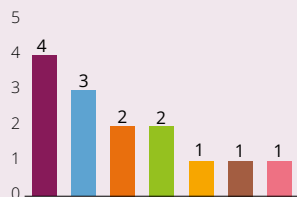


"In the face of the economic challenges in Sri Lanka during the financial year 2023, the Board Treasury Committee assumed a pivotal role in actively managing the Bank's treasury investments portfolio. This involved a meticulous process of monitoring and governing both existing investment portfolios and formulating innovative strategies to align with the core objectives of the Bank."

Dilip de S Wijeyeratne
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Investment Banking & Treasury
■ Business Management & Administration
■ Risk/Compliance/Financial Crime Compliance
■ Corporate Strategy
■ Engineering/Information Technology
■ Human Capital & Engagement

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Members of the Treasury Department and any other Officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Treasury Committee (BTC) was formed on 31st May 2012 with the intention of providing necessary guidance to the Treasury Department in carrying out its duties in line with the Bank's performance, profitability and growth objectives. At present, the BTC is tasked with evaluating current market developments and the economic outlook of the country to ensure competent decision making upon observing various risk factors within the market.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Chairman	9/9
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	9/9
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	9/9
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	9/9
Mr Hiran Cabraal	Independent/Non-Executive	Member	9/9
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	4/4
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	5/5

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

- Proactive Risk Management:** Conducting rigorous risk assessments to identify and address potential threats to financial stability.
- Dynamic Investment Approaches:** Adjusting the Bank's investment portfolio dynamically to navigate the evolving economic landscape.
- Governance of Investment Portfolios:** Providing keen oversight to ensure adherence to established governance frameworks for existing investments.
- Formulation of New Investment Strategies:** Actively contributing to the development of innovative investment strategies in response to emerging opportunities and challenges.
- Strategic Alignment with Core Objectives:** Maintaining a steadfast focus on aligning all treasury investment activities with the overarching financial objectives of the Bank.

KEY RESPONSIBILITIES OF THE COMMITTEE

- To review the Bank's Treasury Policy and ensure it meets the industry best practices and recommend same to the Board of Directors.
- To review and recommend the market and liquidity risk limits requested by the Treasury, to the Board of Directors for their approval and ensure that these limits support the Bank's objectives, business strategies and risk appetite.
- To review and recommend the proposals relating to Treasury investments for Board of Directors consideration and approval.
- To undertake an independent effectiveness study of Treasury Front Office (TFO) as deemed necessary to establish if the function has competent personnel, systems and processes to function adequately and efficiently.
- To review and approve the Treasury KPIs for the Treasury function and its key personnel.
- To review Business Contingency plans related to the TFO and ensure that these plans are tested frequently and in place.
- To review the ALCO minutes and ensure that Treasury related initiatives and risks are properly addressed and discussed.
- To ensure the Treasury Middle and Back Offices are independent and no conflict of interest exists.
- To ensure all regulatory breaches reported in the CBSL inspection reports and internal control lapses that have been highlighted in the External Auditor/Internal Audit reports have been satisfactorily resolved on a timely basis.
- To review and ensure that the Bank's Liquidity Contingency Plan is in place and is satisfactory.
- To review and approve market risk limit breaches after seeking Management explanations and confirmations that these have been rectified subsequently.
- To perform any other activity within the scope of BTC related activities that is deemed by the members of the Committee to be required to enhance the Treasury function's effectiveness and efficiency.
- To review the Terms of Reference of the Committee periodically and ensure that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BTC, with the evaluation indicating that its performance was effective.

On behalf of the Board Treasury Committee,

DILIP DE S WIJERYATNE

Chairman - Board Treasury Committee

14th February 2024

BOARD MARKETING COMMITTEE REPORT

GRI 2-24

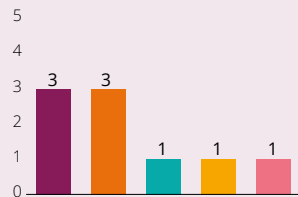


"The Board Marketing Committee spearheads innovative marketing strategies to enhance our brand presence, engage with customers and drive business growth through impactful marketing initiatives."

Aroshi Nanayakkara
Chairperson

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Law
■ Corporate Strategy
■ Human Capital & Engagement

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director
- Senior Deputy General Manager - Marketing and Customer Care
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Marketing Committee (BMC) was established on 28th June 2012 by the Board of Directors, to provide oversight to the Bank's marketing activities and strategies.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Ms Aroshi Nanayakkara	Independent/Non-Executive	Chairperson	5/5
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	5/5
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Member	4/5
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	4/5
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	0/2
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	3/3

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

Raigam Tele Awards

- Sampath Bank proudly stands as the strategic partner for the Raigam Tele Awards, a prestigious event celebrating excellence in television. The Bank's involvement for the past 13 years out of the 19 years in which this event has been in existence, highlights our enduring commitment to the arts and entertainment sector and showcases our dedication to fostering cultural vibrancy. The Raigam Tele'es 2022 was held on 25th March 2023 at Hotel Shangri-La.

This Banking Guide serves as a strategic tool supporting the nation's drive to attract Foreign Direct Investment. It offers comprehensive banking insights tailored to investors and BOI companies, addressing key areas such as investment accounts, operational banking, borrowing solutions and related financial services.

International Industry Exhibition

- As the Official Banking Partner for Industry 2023, Sampath Bank demonstrated its dedication to driving Sri Lanka's industrial growth. This National Industry Exhibition, held at BMICH provides a platform for collaboration among diverse industry sectors. Sampath Bank's involvement emphasises its role in supporting local exporters by offering comprehensive financial services and expertise to navigate the challenges of a competitive global market.

Swarna Pusthaka Awards

- For nearly two decades, Sampath Bank has proudly sponsored the "Swarna Pusthaka Awards", an initiative by the Sri Lanka Book Publishers' Association to recognise outstanding novels. Our long-standing support contributes to the growth of Sri Lanka's literary community, inspires novelists and celebrates the cultural richness of the country.

Wonder Women Initiative

- Sampath Bank held its flagship "Wonder Women Initiative" for the second consecutive year in 2023 to mark International Women's Day, falling on the 8th of March. The event brought together trail blazing women who have ascended to the pinnacle of their respective professions, to inspire the next generation of women leaders to take their rightful place in society.

BOI Book Launch

- Sampath Bank PLC, in collaboration with the Board of Investment of Sri Lanka (BOI) and the Ministry of Investment Promotion, proudly unveiled a comprehensive Banking Guide titled "Sri Lanka Banking Guide for Investors and BOI Companies".

The event was held at Sampath Bank's corporate office on 28th August 2023, with the participation of senior dignitaries from the BOI and Sampath Bank PLC.

BOARD MARKETING COMMITTEE REPORT

KEY ACHIEVEMENTS FOR 2023

Colombo International Book Fair (CIBF)

- For over 15 years, Sampath Bank has been the Official Banker of the "Colombo International Book Fair", organised by the Sri Lanka Book Publishers' Association. This event, a true "celebration of books", promotes the reading habit in our children and celebrates literacy, education and community enrichment. With over a million annual visitors, it is an event looked forward to by the young and old alike.

Siththara Sampath (Art Competition)

- Sampath Bank organised a special art competition in conjunction with the Colombo International Book Fair and World's Children's Day to promote child artists in Sri Lanka. The art competition, which was held under the theme - "හෙට දින හඬ කරන සිත්තර සම්පත්" was held between 23rd September 2023 and 30th September 2023 at the BMICH. Over 350 children participated in the event under two age categories with the public having an opportunity to enjoy the Paintings.

Today's Reader Becomes Tomorrow's Leader (Book Donation)

- Sampath Bank launched "Today's Reader becomes Tomorrow's Leader" - a national book donation initiative to inspire youth to acquire the knowledge and skills needed for future success.
- This programme kicked off with the book donation initiative which took place during the Colombo International Book fair at BMICH from 22nd September to 1st October 2023, where valuable literary resources were donated to the Vilayaya National School Aralaganwila, Polonnaruwa, in celebration of World Children's Day.
- Commemorating the Literature Month, the official book distribution ceremony took place at the Aralaganwila Vilayaya National School on the 27th of October 2023.
- On this noteworthy occasion, books were donated to Aralaganwila Vilayaya National School, Vilayaya Primary School, Medagama National School, Nahona Pre School, and Medirigiriya Sirimavo Bandaranaike Primary School.

Oktober-Fest

- Sampath Bank tied up with the Hilton Colombo to become the main sponsor of the OKTOBERFEST festival 2023. The event, which was held over a period of 10 days, attracted almost 12,000 guests.

Symphony Orchestra Christmas Concert

- Sampath Bank's sponsorship of the Symphony Orchestra's Christmas Concert on 16th and 17th December 2023 reflects the Bank's commitment to promoting artistic expression and enriching the cultural landscape of Sri Lanka.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing and aligning the marketing strategies in line with the overall annual/ medium term strategic objectives of the Bank.
- Reviewing the customer strategy and performance against set objectives.
- Review Brand strategy and its performance.
- Monitoring customer service and customer service strategies in line with the customer charter.
- Provide oversight to marketing expenditure.
- Review market research pertaining to the brand, customer, products and competition.

- Any other activity within the scope of marketing related activities that is deemed by the Committee to be required which will serve to enhance its or the Marketing function's effectiveness and efficiency.

- Approve marketing expenses (excluding capital expenses) recognised and approved in the annual marketing budget and the Committee to update the Main Board on such expenses sanctioned on periodic basis as deemed necessary.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BMC, with the evaluation indicating that its performance was effective.

On behalf of the Board Marketing Committee,



AROSHI NANAYAKKARA

Chairperson - Board Marketing Committee

14th February 2024
Colombo, Sri Lanka

BOARD IT COMMITTEE REPORT

GRI 2-24

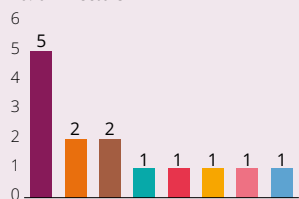


"The Bank continues to lead the industry with cutting edge technology solutions, ensuring a secure and seamless digital banking experience to customers alongside a strong focus on cyber security and future IT advancements."

Rushanka Silva
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Engineering/Information Technology
■ Law
■ Leadership Development/Innovation & Excellence
■ Corporate Strategy
■ Human Capital & Engagement
■ Investment Banking & Treasury

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Chief Information Officer
- Chief Information Security Officer
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board IT Committee (BITC) was established on 26th October 2017 by the Board of Directors, with the task of delivering the strategic IT objectives of the Bank to ensure that Sampath Bank remained at the forefront of technological innovation in the Banking sector of Sri Lanka.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Rushanka Silva	Non-Independent/Non-Executive	Member (Until 31st Dec 2023) Chairman (w.e.f. 1st Jan 2024)	6/6
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	6/6
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	6/6
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	6/6
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	3/3
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	2/3
Dr Sanjiva Weerawarana (Resigned w.e.f. 1st Jan 2024)	Independent/Non-Executive	Chairman	6/6

w.e.f. - with effect from

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

The Board IT Committee was instrumental in driving the Bank's IT strategic vision, setting the stage for enhanced technological innovation. By providing a clear strategic direction, the BITC has empowered the Bank

to proactively navigate the dynamic technological landscape, while ensuring alignment with industry standards and establishing itself as the innovation leader in the market.

KEY RESPONSIBILITIES OF THE COMMITTEE

- To review and recommend the IT strategies of the Bank in line with the Board approved Strategic Plan of the Bank.
- To periodically update the Board on the developments taking place in the technological landscape which may have an impact on the Bank and the Financial Services Industry in the future.
- To review and recommend the Bank's IT related policies, IT expenditure and budgets.
- To review and monitor IT security requirements and measures of the Bank and to monitor the Bank's investments in technology.
- To oversee the training on digitalisation and on-boarding and familiarisation for all staff.
- To approve budgeted IT operational expenditure based on Procurement Committee recommendations that are within the approved annual budget.
- Any other activity within the scope of IT related activities that is deemed by the Committee to be required which will serve to enhance its or the IT function's effectiveness and efficiency.

- Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings, were tabled at Board meetings thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BITC, with the evaluation indicating that its performance was effective.

On behalf of the Board IT Committee,

RUSHANKA SILVA
Chairman – Board IT Committee

14th February 2024
Colombo, Sri Lanka

BOARD CAPITAL PLANNING COMMITTEE REPORT

GRI 2-24

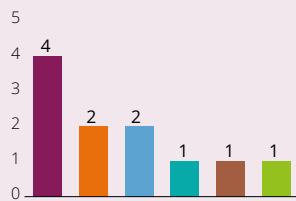


"The Board Capital Planning Committee was committed to safeguard Sampath Bank's financial stability and ensure regulatory compliance. The Committee maintained strict oversight for the effective management of the Bank's capital adequacy requirements, thus ensuring a solid foundation for sustainable growth."

Rushanka Silva
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Investment Banking & Treasury
■ Law
■ Engineering/Information Technology
■ Risk/Compliance/Financial Crime Compliance

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Any officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Capital Planning Committee (BCPC) was established in 2017 pursuant to a decision of the Board of Directors with a view of overseeing the Bank's capital requirements while ensuring the compliance with BASEL III regulations. The Board decided to disband the BCPC with effect from 14th December 2023 and to reinstate the said Committee as and when the circumstances warrant the same.

COMMITTEE MEMBERSHIP DURING THE YEAR 2023

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Rushanka Silva	Non-Independent/Non-Executive	Chairman	3/3
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	3/3
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	3/3
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Member	3/3
Mrs Ayodhya Iddawela Perera (Appointed w.e.f. 1st July 2023)	Executive	Member	n/a
Mr Nanda Fernando (Until 30th June 2023)	Executive	Member	2/3

w.e.f. - with effect from

n/a - not applicable

Refer pages 176 to 181 for the profiles of the Committee members.

KEY ACHIEVEMENTS FOR 2023

Considering the potential impact of challenging macro-economic conditions on the Bank's capital, the BCPC decided on a prudent basis to boost the Bank's Tier II capital by Rs 10 Bn during Q1 2023 - the highest-ever capital raising initiative undertaken by the Bank via a Tier II Debenture Issuance. The effort helped to bolster the Bank's capital base to a very comfortable level, in turn further strengthening investor

confidence amidst uncertainties over stability of the Banking sector.

With the approval of the shareholders at the 37th Annual General Meeting, the Bank allotted 28,326,805 new ordinary shares to the shareholders by way of a scrip dividend payment which capitalised the profit under Tier I.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing and monitoring the Bank's Capital Requirements on a regular basis.
- Ensuring that the Bank is adequately capitalised in compliance with the regulatory requirements.
- Formulate and propose appropriate plans considering the Bank's Capital Requirements for approval of the Board of Directors.
- Performing any other activity within the scope of capital planning related functions that is deemed by the Committee to be required which will serve to enhance its or the capital planning function's effectiveness and efficiency.
- Reviewing the Terms of Reference of the Committee periodically, and ensure that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at year end by the members of the BCPC, with the evaluation indicating that its performance was effective.

On behalf of the Board Capital Planning Committee,

RUSHANKA SILVA

Chairman - Board Capital Planning Committee

14th February 2024
Colombo, Sri Lanka

COMPLIANCE REPORT

IGRI 2-24,27

The responsibility for ensuring Sampath Bank adheres to all applicable regulatory compliance rests with the Board of Directors. To assist in carrying out these duties, the Board has established a dedicated compliance function. The Compliance Department plays a vital role as the second line of defence by providing independent assurance regarding the systems and processes in place for managing compliance risk. The 8-point compliance model outlines the work handled by the Compliance Department. The Department also plays a supporting role for various special projects undertaken by the Bank from time to time. Summarised below are the activities undertaken by the Compliance Department in 2023.

Regulatory Interaction and Coordination

The Compliance Department facilitated the successful completion of the annual onsite examination carried out by the CBSL's Bank Supervision Department and Financial Intelligence Unit (FIU).

Governance

With several new regulatory requirements coming into effect in 2023, the Compliance Department worked to ensure the Bank's alignment with these new statutes. With regard to the new Financial Consumer Protection Regulations No. 01 of 2023, the compliance team collaborated with a cross functional team to assist business units to implement new regulatory requirements. The Compliance Department also continued to recommend improvements to existing policies and procedures.

Compliance Training

As part of the Bank's overall approach to strengthening its internal AML/CFT infrastructure, the Compliance Department rolled out additional training programmes to raise awareness among team members with all content uploaded to "Vidvan" - the Bank's e-learning platform in order to serve as a quick reference guide for all team members.

Policies, Procedures and Related Controls

All policies, procedures, directives and internal controls were reviewed by the Compliance Department and recommendations provided to relevant stakeholders for necessary improvements/developments.

Reporting and Communication

The Compliance Department continued to monitor regulatory reporting with the CBSL and other regulatory authorities in a timely manner.

Compliance Monitoring and Testing

In 2023, Sampath Bank represented the private banking sector in the working group of National Risk Assessment (NRA) on

Money Laundering and Terrorist Financing (ML/TF). Consequently more frequent compliance audits were carried out covering critical areas in branches with special emphasis on compliance with AML/CFT (Anti-Money Laundering/Combating the Financing of Terrorism) regulations including KYC, CDD and TDD (Know Your Customer, Customer Due Diligence and Transaction Due Diligence) procedures.

Risk Assessment Programme

Compliance Risk assessments were carried out in accordance with the Board approved Compliance Plan and Policy on Risk Based Approach with on-site visits to Branches and Departments. The Enterprise-wide Risk Assessment was also conducted focusing on the risk arising from customers, products, delivery channels, transactions and geographical locations. Findings of these risk assessments were disseminated to relevant risk owners for rectification. Key observations from the risk assessment were also communicated to the Board Integrated Risk Management Committee (BIRMC).

Compliance Technology

The Compliance Department assisted in the Bank's migration to the new goAML reporting system introduced by the CBSL/ FIU with the first phase on threshold reporting successfully completed. To set up a framework to support the implementation of Phase II in the latter part of the year, the Compliance Department worked with the IT team. The project was in progress as at end December 2023.



RISK MANAGEMENT REPORT

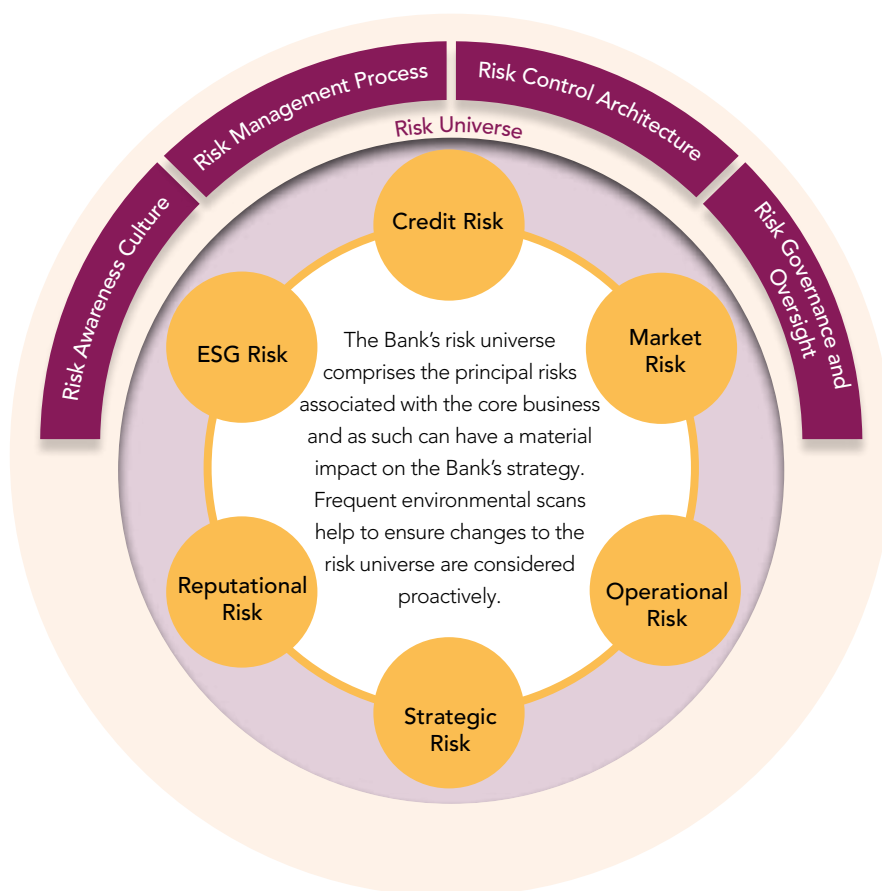
GRI 2-24

Sampath Bank has withstood the test of time with a well-established risk framework that has enabled the Bank to live up to its core purpose, through numerous economic cycles encountered over the past 37 years while continuing to grow as a financially resilient, socially sustainable and environmentally responsible bank.

Integrated Risk Management Framework

As a licensed commercial bank operating under the purview of the Central Bank of Sri Lanka (CBSL), Sampath Bank has adopted the CBSL mandated Integrated Risk Management (IRM) Framework as the basis of its approach for effective risk management.

The Integrated Risk Management Policy seamlessly interwoven with complementary risk management policies and procedures, forms the nexus of the Bank's IRM Framework. Anchored on four key pillars, namely the Risk Management Process, Risk Governance and Oversight, Risk Control Architecture and Risk Awareness Culture, the IRM Framework creates a fully-fledged ecosystem to support the management of principal risks within the Bank's risk universe.



Risk Management Process

A sound Risk Management Process is at the heart of the Bank's IRM Framework. Through its 5-step Risk Management process, the Bank strives to proactively identify, measure, control, monitor and report principal risks at different levels of the business in order to leverage on opportunities, to generate stakeholder value, protect its competitive leverage, reinforce financial stability and strengthen long term resilience. The execution of the Risk Management Process is the responsibility of the Risk Management Unit (RMU).

Step 1

Risk Identification

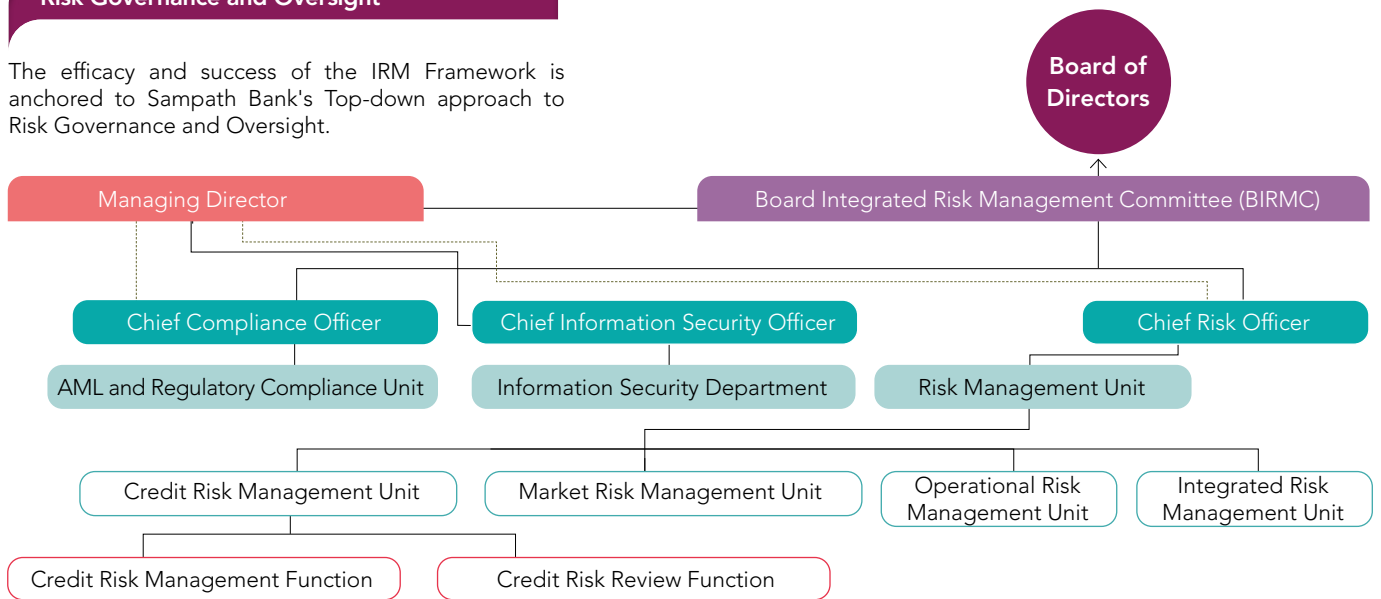


Risk Identification involves analysing the risk universe to determine risk sources encompassing internal and external events, their causes and potential consequences to the Bank's strategy and overall risk profile. Risk identification at Sampath Bank works both as a bottom-up process undertaken by Business Units and Branch heads and escalated to the Risk Management Unit as well as a top-down approach led by the Bank's Board of Directors and Board appointed Sub-Committees.

Risk Governance and Oversight

The efficacy and success of the IRM Framework is anchored to Sampath Bank's Top-down approach to Risk Governance and Oversight.

Functional Structure of the IRM Framework of the Bank



Step 2

Risk Measurement

Risk Measurement revolves around assessing the likelihood and severity of risk using pre-determined metrics as well as other quantitative/qualitative measures. Multiple tools and techniques are used for this purpose. These include; the Risk Matrix, Risk Register, VaR models, Financial analysis, Maturity of Assets and Liabilities (MAL) analysis, Sensitivity of Assets and Liabilities (SAL) analysis and stress testing etc. Stress testing is widely used to identify areas of major concern and to measure their severities and impacts. Stress testing outcomes are also typically combined with expert opinions. Risk Measurement is done by the RMU with the support of business units.

Step 3

Risk Control and Mitigation

Risk Control and Mitigation actions are mostly recommendations/opinions proposed with a view to transferring, mitigating, avoiding and accepting Risk in order to consciously manage capital and liquidity while growing the business amidst the increasingly complex operating environment. Risk control is done by the RMU with the support of business units.

Step 4

Risk Monitoring

Risk Monitoring is an ongoing process of checking, supervising and critically observing in order to ensure adherence to established risk control protocols. The overall responsibility for risk monitoring rests with the RMU. In this capacity, the RMU works closely with business units to oversee ground level monitoring.

Step 5

Risk Reporting

The fifth and final step in the Risk Management Process - Risk Reporting ensures identified, measured, monitored and mitigated risks are reported to the appropriate authorities including the Senior Management and the Board of Directors/Board Integrated Risk Management Committee (BIRMC) for timely action and follow-up by the RMU.

RISK MANAGEMENT REPORT

Board of Directors

The Board as the highest governance body of the Bank is in charge of providing oversight for proper risk management and control. In discharging its duties, the Board is responsible for developing Risk Strategy and the general principles governing the Bank's Risk Strategy and target risk profile. The Board is further responsible for establishing appropriate risk policies and appetite limits for each risk category to ensure the Bank's operations are consistent with short, medium and long term strategic objectives.

of required risk control frameworks, strengthening risk monitoring and risk reporting systems as well as for driving the Bank-wide risk awareness culture.

Risk governance and oversight was further enhanced in 2023 with the introduction of several new management level committees - the Model Risk Management Committee and the Recovery Plan Working Committee to focus on strengthening the IRM Framework along with the Operational Risk Management Committee to bring more emphasis to operational risk management.

Three-lines-of-defence

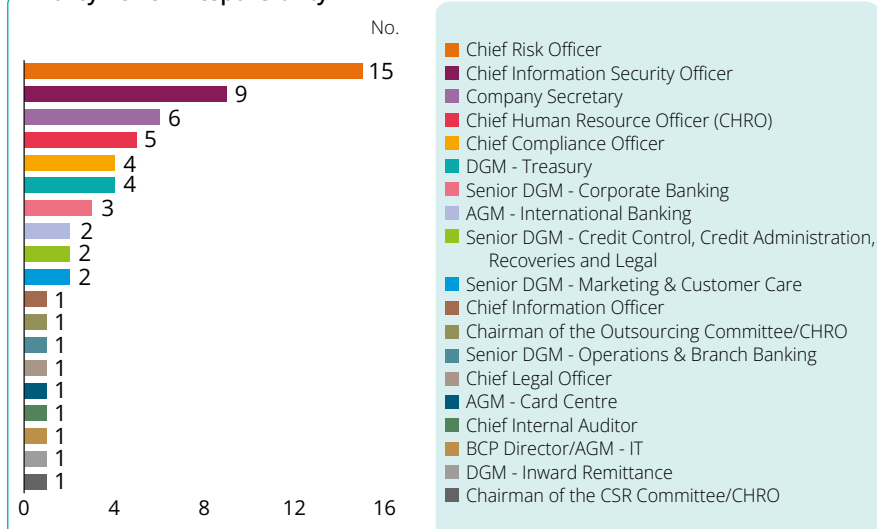
The three-lines-of-defence mechanism serves as the basis of enterprise wide risk governance and oversight supported by clear division of responsibilities. The first line of defence which consists of business lines (risk owners) are responsible for implementing Board approved risk and control procedures on a day-to-day basis as well as for identifying potential risk within their immediate operating environment.

The risk management unit and the Compliance Department form the second line of defence. Together they provide oversight to ensure the effective implementation of the Board approved risk and control procedures by the first line-of-defence. The RMU, in addition to monitoring the implementation of risk management practices by operational management also works closely with business lines to identify, measure risk exposures and report risk-related information to relevant Risk Committees. Based on these findings, the RMU makes representations to relevant risk governance committees and proposes suitable actions to avoid, mitigate, transfer or accept risk.

The Compliance Department, further validates the risk management actions of the first line of defence by conducting necessary due diligence to monitor compliance with legal, regulatory and other imposed requirements.

The Internal Audit function serves as the third line of defence to provide independent assurance to the Board and its Sub-Committees that both the first and second lines of defence are operating in line with the Board approved Risk Management Framework. Based on the audit findings, the Internal Audit function is tasked with recommending any process improvements to the Board Audit Committee. On occasion, the Board seek additional assurances and opinions from the Bank's External Auditors regarding specific risk matters.

Policy Review Responsibility



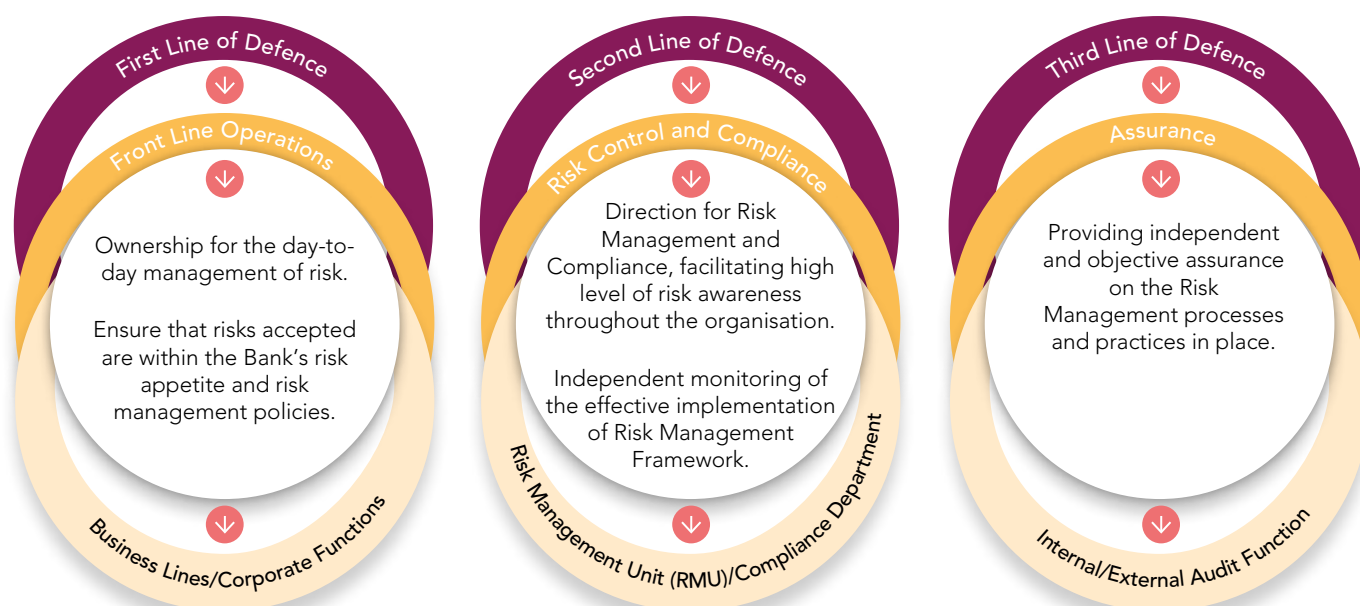
Risk Committees

Assisting the Board in its Risk Management duties are several Board Sub-Committees. These mainly include the Board Audit Committee, Board Integrated Risk Management Committee, Board Credit Committee, Board Treasury Committee, Board Strategic Planning Committee, Board Marketing Committee, Board Related Party Transactions Review Committee and the Board IT Committee. Each Board Sub-Committee plays a vital role in reviewing the Risk Appetite and Tolerance limits under their purview, in the context of any changes in the operating environment and advising the Board on necessary amendments. Risk Committees operate under the delegated authority of the Board to provide oversight and guidance to the Corporate Management. Board Sub-Committees are further responsible for providing guidance and oversight to the Corporate Management to ensure proper implementation of the IRM Framework at an operational level, including formulation and implementation

The Model Risk Management Committee was assigned to oversee the model validation process, while the new Recovery Plan Working Committee was tasked with ensuring the Bank aligns with the CBSL mandated Recovery Plan standards.

The Operational Risk Management Committee comprises a cross functional team of Corporate Management members and is chaired by the Bank's Managing Director. The committee was appointed to assist the BIRMC in increasing oversight over operational aspects. In doing so, the committee serves as the main liaison between the BIRMC and other operational committees.

Refer pages 187 to 208 and 159 for details of the Bank's Board Sub-Committees and Management Level Committees respectively.



Risk Control Architecture

Risk Control Architecture goes hand in hand with the Risk Management Process. The Bank's robust risk control architecture consists of the Board approved constitutional framework, including risk appetite parameters and related tolerance limits, key risk indicators, policies etc. along with assessment tools benchmarked on international best practices including stress testing, Recovery Plan (RCP), Risk and Control Self-Assessment (RCSA) and Internal Capital Adequacy Assessment

Process (ICAAP) as well as internally developed tools such as risk registers, risk matrices, dashboards, Early Warning Signal (EWS) Systems etc.

Sampath Bank's Board-approved Risk Appetite Limit Framework is the cornerstone of the Bank's risk management activities. The RMU is charged with maintaining continuous and ongoing monitoring to ensure that the Bank operates within the approved Risk Appetite tolerance limits. The RMU is required to table the findings of the Risk Appetite limit monitoring process to the BIRMC on a

monthly basis to enable immediate remedial action being taken in response to any deviations. The Risk Appetite limit framework is reviewed by the BIRMC at least once a year, or more frequently as needed, with recommended changes, first approved by the Board before being formally integrated into the Risk Appetite Limit Framework.

The Bank's key risk appetite parameters as at 31st December 2023 along with Board approved tolerance limits are stated in below table.

Risk Appetite Parameters			Tolerance Limit
Credit Risk	Credit Quality	Impaired Loans (Stage 3) Ratio (Net)	Less than 5%
		Exposure to High Grades (A+ to B+)/Total Advances	More than 45%
	Credit Concentration	Aggregate Exposure (Funded + Non-funded) to Large Borrowers (i.e. over 15% of the Capital)/Total Advances (Funded + Non-funded)	Less than 20%
		Aggregate exposure (Funded + Non-funded) to Large Borrowers (i.e. over 15% of Capital)/Capital Base	Below 2 times
		Related Party Accommodation/Capital Base	Less than 35%
		Top 20 Advances Exposure/Tier I Capital	Below 4 times
		Top 20 Advances Exposure/Capital Base	Below 3 times
		Off-Shore Exposure/Total Advances (Lending to Bank's Off-shore Borrowers only)	Less than 7.5%

RISK MANAGEMENT REPORT

Risk Appetite Parameters			Tolerance Limit	
Market Risk	Foreign Exchange Risk	▪ Net Open Position Overnight Limit of the Bank	Subject to change as per CBSL	
	Liquidity Risk	▪ Liquid Assets Ratio	Minimum 21%	
		▪ Net Loans to Total Assets	Less than 75%	
	Interest Rate Risk	▪ Tolerance Limit for Mark to Market (MTM) Losses from "FVPL" and "FVOCI" Portfolios	Rs Mn	750
Operational Risk	Risk Event Types	▪ Internal Frauds	Rs Mn	10
		▪ External Frauds	Rs Mn	10
		▪ Employment Practices and Work Place Safety	Rs Mn	5
		▪ Clients, Products and Business Practices	Rs Mn	5
		▪ Damage to Physical Assets	Rs Mn	5
		▪ Business Disruptions and System Failures	Rs Mn	5
		▪ Execution Delivery and Process Management	Rs Mn	10

Stress Testing

Stress Testing is a crucial element of the Bank's Risk Control Architecture. It promotes risk identification and control; provides a complementary risk perspective to other risk management tools; improves the capital and liquidity management process; and enhances internal and external communication. A comprehensive Stress Testing Policy is in place and sets out the framework to assist the RMU to keep tabs on unexpected adverse outcomes arising from a wide range of risks, in turn supports decision making regarding liquidity and capital adequacy.

Sampath Bank's stress test framework has been developed in a manner which factors in the Pillar I and Pillar II requirements and shall; thus, serve as an essential aspect of the Bank's Internal Capital Adequacy Assessment Processes (ICAAP). Stress tests are conducted on a regular basis to keep the BIRMC and the Board informed of the Bank's risk profile, thus empowering them to set risk limits, allocate capital for various risks and management of its risk exposure and to implement appropriate contingency plans for conditions that may occur under adverse circumstances.

The RMU conducts quarterly stress tests, encompassing over 22 stress scenarios across all major risk types. Stress tests performed for individual risk types usually take the form of sensitivity analysis whereas scenario analyses are conducted for combined, integrated and macro economic stress tests based on the underlying assumptions and parameters. More frequent stress tests are conducted as needed,

particularly in instances when there are significant modifications in the underlying assumptions. A Risk Register is prepared on a quarterly basis covering 650+ risk factors along with a dashboard summarising the level of risk associated with each risk type is also made available to the BIRMC.

In 2023, the scope of the overall stress testing programme was further broadened with a view to factoring in the impact of the following internal and external developments;

- The slowdown in economic activity amidst the backdrop of policy inconsistency and uncertainty about the IMF-led structural reforms programme.
- Exchange rate volatility.
- Interest rate volatility.
- Inflationary condition.

Stress Testing Parameters

No.	Particulars
1	Credit Risk - Impairment Stage Downgrade
2	Credit Risk - Decrease in Collateral Value - (Total security value)
3	Credit Risk - Decrease in Collateral Value - (Property value)
4	Credit Risk - Increase in NPA of Specific Sectors
5	Credit Concentration Risk - Default of Large Borrowers
6	Credit Concentration Risk - Herfindahl-Hirschman Index (HHI)
7	Credit Concentration Risk - Default of Top Industries
8	Foreign Exchange Rate Risk
9	Interest Rate Risk in Banking Book
10	Interest Rate Risk in Trading Book
11	Liquidity Risk - General
12	Liquidity Risk - Liquidity Coverage Ratio (LCR)
13	Operational Risk - Scenario 1 (Actual Losses Only)
14	Operational Risk - Scenario 2 (Actual Losses and Near Misses)
15	Operational Risk - Scenario 3 (Actual Losses, Near Misses and Potential Losses)
16	Aggregation of Stress Tests
17	Macroeconomic Stress Testing with Current Economic Crisis
18	Liquidity Crisis due to Reputational Deterioration
19	Liquidity Crisis Scenario
20	Liquidity Risk - Worst Case Scenario
21	Foreign Exchange Rate Risk - Worst Case Scenario
22	Interest Rate Risk in Banking Book - Worst Case Scenario

In line with global best practices for global banking reform, the CBSL Directive No. 09 of 2021 mandates the establishment of a Recovery Plan (RCP) for licensed commercial banks. The RCP is meant to capture management actions, which can be adopted during the periods of severe stress to ensure the survival of the business and safeguard the stability and integrity of the country's financial system. The Bank has developed a fully-fledged RCP encapsulating both operational and financial frameworks coupled with a comprehensive monitoring framework and required reporting and communication actions. In 2023, the Recovery Plan Working Committee was established with a view to ensuring early adoption of new developments to the CBSL mandated recovery action standards as well as overseeing relevant regulatory reporting in a timely manner.

Capital Planning

Capital planning is a major component of the Bank's risk control architecture. The main objectives of the Capital Planning process include ensuring adequate capital and liquidity is available to;

- Build and invest in the Bank's businesses through regular business cycles and in stressed environments.
- Retain the flexibility to take advantage of future investment opportunities.
- Promote the Bank's ability to serve as a source of strength to its subsidiaries.
- Ensure the Bank operates above the minimum regulatory capital ratios as well as maintain 'well-capitalised' status for the Bank.
- Meet capital distribution objectives.
- Maintain sufficient capital resources to operate throughout a resolution period in accordance with the Bank's preferred resolution strategy.

Ratio	Regulatory Requirement	Bank's Position as at	
		31st December 2023	31st December 2022
Common Equity Tier I (CET I)	7.00%	16.35%	11.92%
Total Tier I	8.50%	16.35%	11.92%
Total Capital	12.50%	19.56%	14.27%

Sampath Bank's Capital Management Process comes directly under the purview of the Board of Directors who takes full responsibility for capital planning, monitoring and maintaining of capital adequacy requirements.

The Capital Adequacy Ratio (CAR) is a measure used to determine whether the Bank has sufficient capital to withstand unexpected losses arising from various risks during the course of the business, such as Credit Risk, Market Risk and Operational Risk. At present, Capital Adequacy Ratios of the licensed banks in Sri Lanka are computed based on the Banking Act Direction No. 1 of 2016 and

subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The above directions are based on the 'Basel III Accord', a series of banking regulations set by the Basel Committee on Banking Supervision (BCBS) of the Bank for International Settlement (BIS) in December 2010 (revised in June 2011). In accordance with the latest regulatory requirements enforced by CBSL based on the Basel III framework, Sampath Bank computes CAR under 3 Tiers.

In February 2023, the Bank raised Rs 10 Bn via a Debenture issue to boost its Tier II capital position.

Internal Capital Adequacy Assessment Process (ICAAP)

The Supervisory Review Process (SRP) Pillar II of Basel III Accord, encourage Banks to evaluate their Internal Capital Adequacy Assessment Process (ICAAP) that determines the level of capital to be maintained against all risks and ensure that Banks have adequate capital to support all risks, with due consideration of earnings, balance sheet and risk forecasts under baseline and adverse economic and market conditions. ICAAP encourages the development and use of efficient and effective techniques of risk management to monitor and manage risks within the Bank.

In line with Basel III Accord, the CBSL has issued Banking Act Direction No. 1 of 2016 and subsequent amendments thereto, mandating annual submission of ICAAP as a regulatory requirement.

The ICAAP calculates the additional capital requirements arises by Risk types not captured or not fully captured under Pillar I by capturing them under Pillar II. Qualitative/Quantitative risk assessments are performed to identify and assess material risks falling under Pillar II.

Periodic stress tests are conducted to assess the potential impacts to the Bank's balance sheet, earnings, regulatory capital and liquidity under a variety of stress scenarios.

In 2023, the ICAAP process was further enhanced to improve the assessments of the Liquidity Risk and Technology Risk. Considering heightened stress in the external environment, stress testing in relation to the ICAAP was also further enhanced to determine the specific impact on capital.

Leverage Ratio

The Basel III Leverage ratio is a capital adequacy tool that is arrived at, by dividing the Bank's Tier I capital from its total exposure, including total assets, derivative exposures and off-balance sheet items. The ratio aims to constrain the build-up of excessive leverage in the banking system and to enhance the Bank's overall financial stability. Sampath Bank reported a healthy leverage ratio of 6.39% as at 31st December 2023, well over the regulatory minimum of 3%.

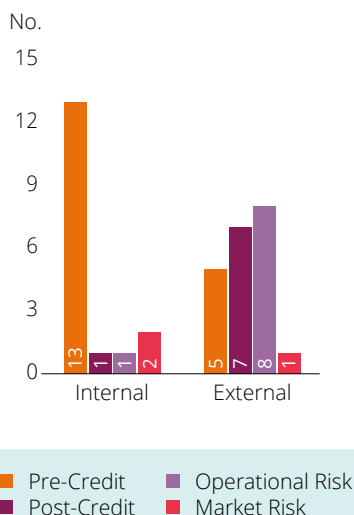
RISK MANAGEMENT REPORT

Risk Awareness Culture

The effectiveness of the IRM Framework to a great extent depends on the culture of risk awareness. Premise on this, the Board sets the tone from the top to promote the risk awareness culture. Additionally, continuous training and other capacity building initiatives are also deployed under the guidance of the Risk Management Unit, to instil the necessary behaviours and mindset among employees at all levels of the business.

Accordingly, the RMU has conducted/initiated 38 programmes, while the risk team has participated in 34 internal/external workshops for the purpose of knowledge sharing and learning about the latest developments of the industry.

Trainings Conducted by RMU in 2023



MANAGING PRINCIPAL RISKS

Credit Risk

Credit risk is the risk of loss arising from the inability or failure of a borrower or counterparty to meet its contractual obligations. Credit risk measurement is based on the expected loss model and comprises of probability of default of an obligor or counterparty, the loss severity given a default event, the exposure at default and economic factors.

As a bank engaged in lending to individuals, SMEs and corporates, Credit Risk remains as the most crucial risk for Sampath Bank. The Bank identifies two types of Credit Risk - Counterparty Risk and Credit Concentration Risk.

Credit Risk Management Framework

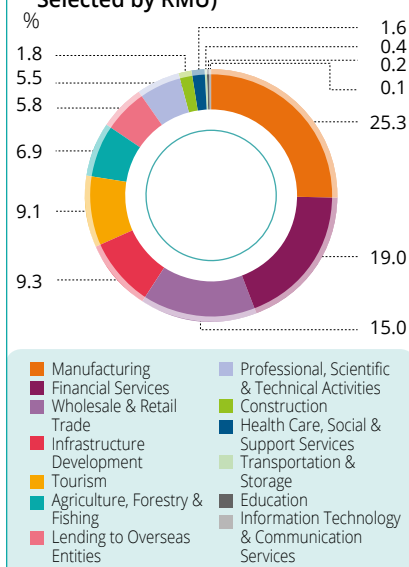
A comprehensive Credit Risk Management Policy serves as the backbone to guide the Board, Risk Committees and the RMU in managing both credit counterparty and credit concentration risks.

The Credit Policy and the Credit Operations Manual which together provide clear direction to enable risk owners (first line of defence) to focus on prudent lending that will ultimately minimise credit risk. These efforts are further supported by a well established set of internal procedures and directives, outlining detailed procedures and segregation of duties for each step of the lending process from loan origination, pre-credit evaluation and credit administration to post-credit monitoring.

With pre-credit evaluation being an important step in managing credit risk, advanced credit scoring models are applied to assess a borrower's creditworthiness based on various factors, including credit history, income, and various risk related ratios. These models help to flag borrowers with deteriorating credit profiles. Similarly post-credit monitoring too is viewed as a key facilitator in mitigating credit risk, prompting the Bank to adopt a range of strategies to closely monitor credit risk, post disbursement. In this regard, counterparties exhibiting early signs of financial stress, such as frequent cheque returns, hardcore position or frequent excess of current accounts, are watch listed and closely monitored while payment behaviour trends are strictly monitored to quantify the number of delinquencies or delayed payments in order to highlight borrowers who may be at risk of default. Borrowers with risk triggers are strictly monitored, by tracking individual borrower collateral values, relative to the outstanding loan amount. In addition, the RMU performs stress tests to assess the impact of varying economic scenarios that might impact counterparties with higher exposures.

Meanwhile, to manage credit concentration risk, the RMU closely monitors high value portfolio as well as overall sector exposures, with special emphasis on risk elevated industries. This is accompanied with specific stress testing and scenario analysis to proactively capture economic indicators and industry-specific data as a means of understanding early warning signals.

Sector-wise Distribution of Post-Credit Evaluation in 2023 (Based on the Sample Selected by RMU)



Risk Context and Strategy for 2023

As the economic crisis in Sri Lanka continued into its second year, overall business activity stagnated for much of 2023 as lingering concerns remained and new issues emerged. In particular, the changes made to the personal income tax structure caused a drastic deterioration in disposable income over and above the pressure brought on by inflationary conditions spilling over from 2022, collectively causing a severe adverse impact on the repayment capacity of the individual borrowers.

Most sectors of the economy continued to experience sluggish growth, which affected their debt servicing capability. Manufacturers, particularly those reliant on imported raw materials continued to grapple with exchange rate instability and supply chain disruptions, prompting many to move out of Sri Lanka and relocate their operations overseas. Retail sector businesses experienced a demand erosion as a consequence of lower disposable incomes of consumers, while the export sector came under pressure amidst weaker demand from all key export markets as the Russia/Ukraine war entered its second consecutive year and fresh tensions erupted between Israel and Gaza.

While the government's decision to lift all import restrictions (except for vehicles) provided some space for the revival of import related business, currency instability continued to impinge on the prospects of local importers.

The agriculture sector with its inherent sensitivity to inflation, weather-related issues, and fluctuations in global

commodity prices, also remained under pressure in 2023. Being the most vulnerable to economic shocks, the SME sector continued to struggle amidst prolonged uncertainty.

Sri Lanka's largest industrial export - the apparel sector also experienced a slump in earnings owing to the weak demand attributed to recessionary conditions in key global markets.

Meanwhile, the large-scale migration of skilled professionals also had a profound impact on certain industries with the loss of intellectual capital threatening the very existence of many local businesses.

On a positive note, the tourism sector appeared to be on the rebound, following a notable uptick in tourist arrivals to Sri Lanka.

Given the ongoing stress on individuals and most sectors, the Bank on a prudent basis decided to curtail credit expansion in 2023 and to focus instead on customer

rehabilitation to prevent their exposures from reaching the stage 3. To that end, advanced analytics and data modelling techniques were used to enable customer segmentation and identify at-risk borrowers. The main aim here was to predict potential defaults in order to facilitate proactive intervention and effective recovery planning.

Corporates with high risk profiles were assigned top priority and assisted by the Business Revival Unit to help them develop plausible restructuring and rescheduling plans based on projected cash flows.

In this way, a sizable number of customers with large exposures were able to benefit from temporary payment holidays (moratoriums), extended loan tenures, lower monthly instalments etc. To encourage full and final settlement of dues, customers were evaluated on a case-by-case basis and offered various options including partial settlement, or partial interest waivers. These options were offered to customers in litigation as well.

Customer outreach by branch teams was further intensified with branch managers assigned to work closely with high-risk customers to understand their financial situations. Branch managers were also empowered to create customised payment plans with the concurrence of Zonal offices. Branch teams were kept updated on the latest developments via Industry Analyses, Quarterly Risk Magazines and ongoing training and capacity building (online and in-person) under the purview of the RMU.

Recovery and follow up activities at the central recovery unit were further tightened to minimise arrears and reduce past due. With customer rehabilitation being the key priority for the year, legal actions, such as foreclosure, liquidation, or insolvency proceedings to recover outstanding debts, were considered only as a last resort. In complex cases necessitating legal action, the legal team attached to the Recoveries Department was mobilised to manage defaulting borrowers in compliance with local regulations.

Credit Risk Management Framework at a Glance

Policies, Directives and Procedures	Credit Risk Management Policy
	Credit Policy
	Credit Operations Manual
	Directive on Obtaining Risk Opinions from Credit Risk Management Unit
	Procedure on Post-Credit Monitoring
Risk Management Tools	Early Warning Signals/Watch Listing
	Borrower/Group Rating
	Risk Based Pricing
	Stress Testing
Risk Monitoring and Reporting Protocols and Frequency	Loan Review Monitoring Process - More than 30% of Total Loan Portfolio - Ongoing
	Sector-wise and Product-wise Exposures - Monthly
	Geographical Distribution - Monthly
	Risk Appetite Limits for Credit Risk - Monthly
	Credit Risk Heat Map/Dashboard - Monthly
	Monitoring the Review Status of Facilities/Borrowers - Monthly
	Review of Risk Rating Status of Borrowers - Monthly
	Analysis of Risk Elevated Industries - Quarterly
	Monitoring the Status of Expired Overdrafts - Monthly
	Monitoring the Status of Security Register Maintenance - Monthly
	Analysis of Watch Listed Customers - Half Yearly
	Stress Testing on Credit Risk and Credit Concentration Risk - Quarterly
	Analysis of Advances Portfolio - Annually
	Analysis of Bank Exposure to 30 Largest Groups/Customers - Annually

RISK MANAGEMENT REPORT

Industry Risk Classification 2023

Industries under elevated risk	
Tourism	
Vehicle Import	
Transportation and Storage	
Condominium (certain sub-sectors)	
Construction (certain sub-sectors)	
Importers and traders negatively impacted by import restrictions	
Wholesale and Retail Trade (certain sub-sectors)	

In the context of the ongoing uncertainty, the overall Credit risk framework was revisited with certain appetite limits reviewed and further tightened, stress testing framework enhanced. The list of risk elevated industries was reviewed and updated. A monthly report detailing all Full and Final Settlement of NPA facilities under the purview of the Recoveries Department was prepared and routed through the Credit Risk Management Unit to the Board Credit Committee.

To improve future readiness, early warning system was implemented to help Branch/Department teams to identify potential at-risk customers during the initial customer screening process.

Credit Risk Outlook and Focus for 2024

Despite some early signs of a revival in the latter part of 2023, the domestic economy has yet to show signs of a sustained recovery and as such the Credit Risk outlook is forecasted to remain same at least for the first half of 2024. Downside risks are likely to be further exacerbated amidst persistent concerns regarding the impending elections, tax hikes and currency volatility, while the heightened risk of global recession will be a major concern going forward.

Industries/sectors under observation	
Wholesale and Retail Trade (certain sub-sectors)	
Housing Loans	
Manufacturing Sector (Apparel industry related sub-sectors)	

On a positive note, the ongoing IMF-led reform programme aimed at systematically correcting inherent structural weaknesses in the economy, is expected to boost investor confidence and pave the way for more cohesive growth across all sectors of the economy.

From a sector perspective, the tourism sector revival will be a key catalyst in driving economic activity in 2024. Domestic manufacturing is also set to expand in 2024, while export-oriented manufacturing will likely contract on the back of deepening global recessionary conditions. The local construction sector too will be adversely affected by the drop in disposable income and high input costs, but the resumption of government infrastructure projects would provide the impetus for the revival of construction related activities.

Amidst this backdrop, a cautious approach will underpin Sampath Bank's credit expansion strategy supported by stringent pre-credit evaluation and close monitoring of post credit borrower performance in line with internal credit quality parameters. At the same time, the RMU will increase its oversight on large exposures, especially in the context of changing economic conditions that could cause a shift in the classification of risk elevated industries.

Market Risk

Market Risk is the likelihood of incurring losses as a result of changes in the value of Bank's assets and liabilities owing to movements in interest rates, fluctuations in the exchange rates and shift in global commodity prices.

Material Market Risks for Sampath Bank include; Interest Rate Risk, Currency Risk, and Liquidity Risk.

Market Risk Management Framework

A fully-fledged Market Risk Management Policy guides the Board, Risk Committees and the RMU in managing Interest Rate Risk, Currency Risk, and Liquidity Risk.

Foreign Exchange (FX) Risk Context and Strategy for 2023

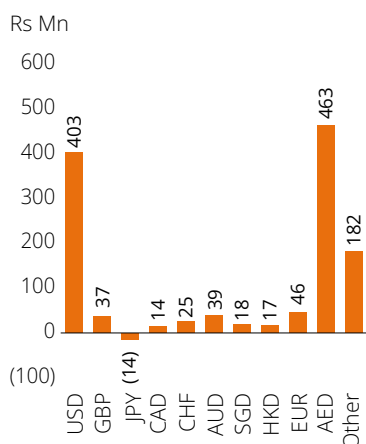
The Bank's risk profile under FX risk relates mainly to the Net Open Position (NOP). NOP is typically managed in line with the CBSL guidelines, which is included in the Board approved limit framework. Stop loss limits and maximum limits for individual dealers for foreign currency trading are also monitored daily. This is coupled with strict monitoring of rate movements, counterparty limits and currency-wise and aggregate exposures of the foreign currency portfolio.

The key concern affecting NOP in 2023 was the high volatility in the exchange rate during the first half of the year. The sovereign rating downgrade and limited availability of foreign currency funding lines and the non-finalisation of the Domestic Debt Optimisation (DDO) terms were also notable concerns.

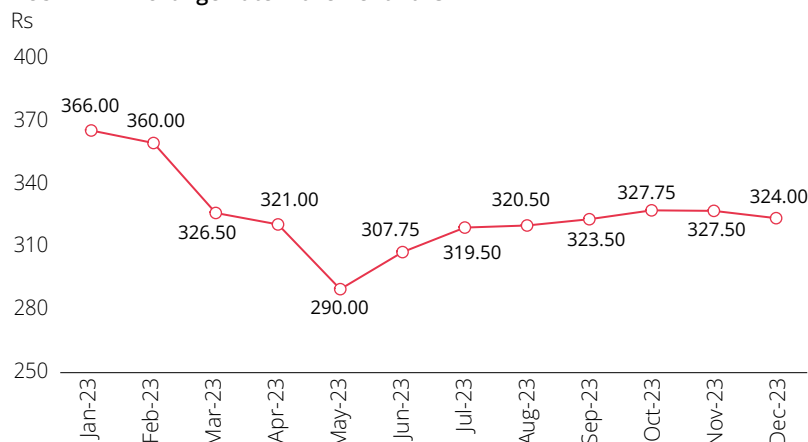
Stress testing continued to be performed to assess the Bank's FX position on a quarterly basis. The risk review process for selecting of new overseas counterparties was further strengthened with the inclusion of additional criteria based on their issuer ratings by international rating agencies, while existing counterparty ratings were also reviewed along the same lines.

Sampath Bank's NOP was effectively managed throughout 2023 in line with CBSL regulatory limits. Additional CBSL approval was also obtained to temporarily increase the NOP level to facilitate the settlement of Sri Lanka Development Bonds (SLDB) via LKR Bonds.

Foreign Exchange Position as at 31st December 2023



USD/LKR Exchange Rate Movement 2023



Market Risk Management Framework at a Glance

Policies, Directives and Procedures	Market Risk Management Policy
	ALCO Policy
	Investment Policy
	Liquidity Management Policy including Liquidity Contingency Funding Plan
	Treasury Policy and Procedure Guideline for Treasury Operations
	Code of Conduct for Treasury Operations
	Treasury Manual
Risk Management Tools	Present Value Basis Points (PVBP) Analysis
	Scenario Analysis
	Value at Risk (VaR)
	Sensitivity Analysis for Market Risk Exposures
Risk Monitoring and Reporting Protocols	Monitoring of Board-approved Limit Framework as per CBSL Requirements and Reporting any Limit Exceptions to Board Integrated Risk Management Committee (BIRMC)/Board Treasury Committee (BTC)
	Market Developments/Trends and MIS
	Profitability Analysis of the Foreign Exchange Portfolio through the Revaluation Process
	Stress Testing on Interest Rate Risk, Liquidity Risk, Foreign Exchange Risk and Equity Risk Encompassing Changing Positions and New Economic Variables
	Modified Duration on T-Bill, T-Bond, US Treasuries, SLISB and Debenture Portfolios
	Monitoring of Yield Curve Risk and Repricing Risk Covering Trading Book and Banking Book
	Mark-to-market of the Equity Portfolio
	Market Risk Dashboard to BIRMC
	Submission of Management Reports to ALCO and BIRMC Covering Interest Rate, Foreign Exchange and Liquidity Risks

Interest Rate Risk (IRR) Context and Strategy for 2023

IRR is managed primarily using Yield Curve and the Repricing of the Banking Book. These principles are cascaded into the day-to-day operations via a comprehensive policy framework and a set of prudential limits, coupled with VaR assessments, Duration and Maturity Gap Analysis, PVBP and Stress Testing.

In 2023, the Bank continued with its proactive approach to IRR management in the early part of the year with special stress testing performed to assess interest rate sensitivity in light of the ongoing economic stress in the first half of the year.

Following the CBSL's decision to reduce the SLFR and SDFR by 450 bps in mid-2023, the Bank moved to capitalise on the probable increase in Mark to Market (MTM) value of government securities. Accordingly, investment in government securities (Treasury Bills and Treasury Bonds) increased significantly within the year, which saw the Bank's government security portfolio growing from Rs 320.36 Bn as at 1st January 2023 to Rs 568.72 Bn as of 31st December 2023. At the same time, MTM tolerance limit and PVBP limits from FVPL and FVOCI portfolios were reviewed regularly based on market conditions and expected portfolio values.

RISK MANAGEMENT REPORT

Interest Rate Sensitivity Gap Analysis of Assets and Liabilities of the Banking Book as at 31st December 2023

Description	Up to 3 Months Rs Mn	3-12 Months Rs Mn	1-3 Years Rs Mn	3-5 Years Rs Mn	Over 5 Years Rs Mn	Non-Sensitive Rs Mn	Total Rs Mn
Total financial assets	625,369	433,231	180,672	67,146	111,463	83,265	1,501,146
Total financial liabilities	816,118	350,227	47,503	47,926	1,888	104,303	1,367,965
Interest rate sensitivity gap	(190,749)	83,004	133,169	19,220	109,575	(21,038)	133,181
Cumulative gap	(190,749)	(107,745)	25,424	44,644	154,219	133,181	
Financial assets/ Financial liabilities	77%	124%	380%	140%	5904%	80%	110%

Liquidity Risk Context and Strategy for 2023

The Bank's liquidity risk management approach was centered around the CBSL regulatory limits for Statutory Liquid Assets Ratio (SLAR), Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). Going beyond compliance, the Bank aligns with globally recognised best practices through the adoption of the Stock and Flow approaches for the management of Liquidity Risk. The stock approach measures the liquidity stored in key balance sheet ratios, while the Flow approach focuses on the management of cash inflows and outflows within predetermined time bands according to the residual time to maturity.

To that end, approved treasury limits are tracked in real time through the Treasury limit monitoring system with anomalies reported to the management for review and approval.

Given the market uncertainties, stress scenarios for the SLAR and Statutory Reserve Ratio (SRR) continued to be analysed on a daily basis, backed by quarterly stress testing on approved parameters as well as additional special scenarios considering the current economic condition in the country. A report detailing the status of LCR, NSFR, SLAR and Capital Adequacy Ratio (CAR) were reported to BIRMC.

The VaR (Value at Risk) model validation process, which was completed in collaboration with an independent party was implemented with effect from Q2 onwards. Further efforts to strengthen the liquidity risk management framework saw the contingency funding plan being reviewed and updated in a more prudent

Key Ratios Used for Measuring Liquidity Under the Stock Approach

Liquidity Ratios	As at 31st December 2023 %
Net loans and advances/Total assets	49.1
Gross loans and advances/Customer deposits	70.0
Liquid assets/Short-term liabilities	65.1
Bulk deposits/Total deposits	5.9
Purchased funds/Total assets	0.6
Commitments/Total loans	8.5

Statutory Liquidity Ratios

As at 31st December	2023 %	2022 %
Statutory Liquid Assets Ratio (SLAR) - Bank	47.76	27.85
Liquidity Coverage Ratio (LCR) - Rupee	453.16	200.78
Liquidity Coverage Ratio (LCR) - All Currency	312.47	146.53
Net Stable Funding Ratio (NSFR)	184.20	157.10

manner, taking cognisance of the stressed market conditions in 2023. The RMU was assigned to engage in proactive broker monitoring with a new system implemented to enable monitoring and sharing of weekly brokerage data with the treasury front office.

Value at Risk (VaR)

VaR is a statistical technique used to measure the amount of potential loss that could occur in a portfolio over a specified period of time. In other words, VaR estimates the potential for loss and the probability that this loss will occur. Sampath Bank uses the historical simulation method for Market Risk VaR calculations which takes prior market data over a defined period and applies those outcomes to the current portfolio.

Meanwhile, the Bank overcame the concerns arose regarding the foreign currency liquidity after the Bank opted to convert SLDB investments into LKR bonds under the Government's DDO programme, successfully managing the enhanced NOP and foreign currency cash flows.

In light of the heightened operational risk in 2023, loss event monitoring process was further enhanced with more frequent inspections by experts in relation to the pawning operation. Staff capacity-building activities were also significantly increased to educate branch teams on identifying fraudulent activities.

Operational Risk

Operational risk is the possibility of incurring losses as a result of inadequate or failed internal processes, people, systems, or from external events, such as natural disasters, social or political events. It is inherent in all banking products and processes and the Bank's objective is to control it in a cost-effective manner. Operational risk includes Legal Risk, Model Risk and IT/Cyber Security Risk.

Operational Risk Management Framework

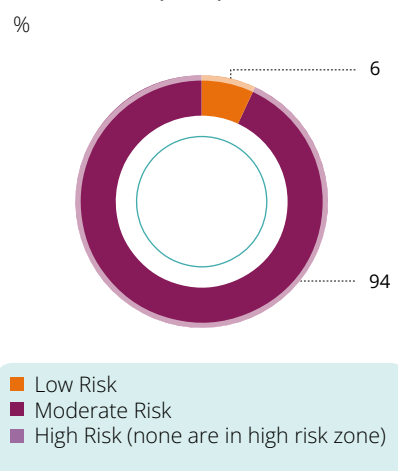
Several key policy statements serve as the building blocks for managing operational risk. These include the Operational Risk Management Policy, the Policy on Mapping Bank's Business Activities into Basel Business Lines, the Anti-fraud Policy along with the Business Continuity Plan (BCP) and Disaster Recovery Plan (DRP). These are combined with risk evaluations, risk reduction strategies, including insurance coverage, protocols for outsourcing business operations, managing technology risk, a comprehensive development of a culture of risk awareness throughout the Bank, stress testing, monitoring, and reporting.

Numerous Management level committees such as the Risk and Compliance Committee (RCC), Fraud Risk Management Committee (FRMC) etc., play a unique and distinctive role in providing governance and oversight for operational risk. The latest committee to be added to the operational risk governance architecture is

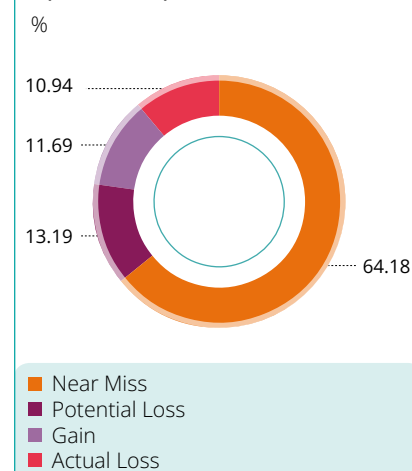
Operational Risk Management Framework at a Glance

Policies, Directives and Procedures	Operational Risk Management Policy
	Policy on Mapping Bank's Business Activities into Basel Business Lines
	Anti-Fraud Policy
	Legal Risk Management Policy
	Policy on Temporary Dispensation of Board Approved Policies (Policy on Management of Policy Overrides)
	Pillar III Disclosure Policy (Replacement for the Public Disclosure Policy)
	Model Risk Management Policy
	Procedure on Appointing and Responsibilities of Risk Agent
	Procedure on Contract Agreements to be Executed by the Bank
	Procedure on Internal Loss Event Data Reporting
	Procedure on Responsibilities and Framework for Administration of Policies, Procedures and Directives
	Procedure on Risk and Control Self Assessments and Key Risk Indicators
	Procedure on Risk Management in New Product Documents Concept Papers
Risk Management Tools	Risk and Control Self-Assessment (RCSA)
	Business Continuity Plan
	Disaster Recovery Plan
	Operational Risk Capital Charge Calculation under Alternative Standardised Approach (ASA)
	Root Cause Analysis
	Analysis of Loss Events
	Monitoring of the Risk Appetite for Operational Risk
	Operational Risk Stress Testing
	Monitoring of Key Risk Indicators (KRI)
	Risk and Control Self Assessments (RCSA) for IT Related Business Units
	CBSL Reporting of High Valued Actual Losses

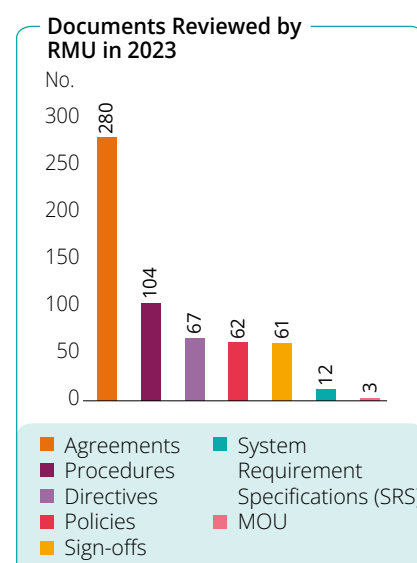
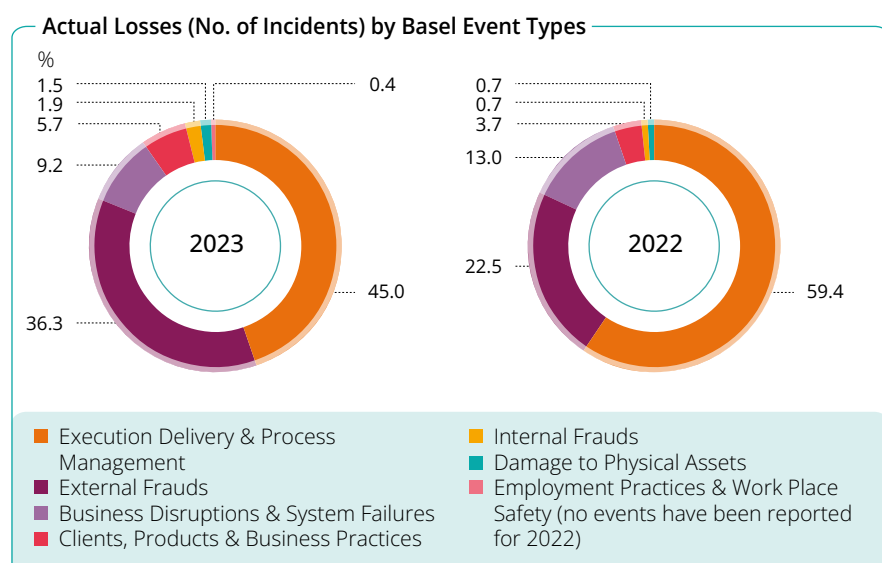
Summary of Risk and Control Self Assessment (RCSA) 2023



Total Loss Events (Event-wise) 2023



RISK MANAGEMENT REPORT



the Operational Risk Management Committee (ORMC). The ORMC, which is chaired by the Managing Director of the Bank, is a dedicated committee assigned to monitor operational pain points and ensure they are promptly identified and rectified.

Operational Risk Context and Strategy for 2023

One of the key internal factors affecting operational risk in 2023 was the high workforce attrition, with the resulting loss of key staff causing a drop in productivity. The spillover effect of the 2022 economic crisis including the energy crisis also continued to have an impact on the continuity of operations from time to time in the first half of 2023. Overall, the economic crisis appeared to be triggering a rise in fraudulent activities especially in relation to the pawning business, cyber crimes and online banking activities manipulated by fraudsters.

In light of the heightened operational risk in 2023, loss event monitoring process was further enhanced with more frequent inspections by experts in relation to the pawning operation. Staff capacity-building activities were also significantly increased to educate branch teams on identifying fraudulent activities.

Operational risk stress testing was conducted under different scenarios. The Operational VaR calculation was performed and all critical and warning

limits established by Operational risk KRIs were reviewed considering the prevailing economic conditions. The annual RCSA was conducted for 43 departments in order to identify the entity risk profiles and the heat maps were updated.

Legal Risk

Legal Risk is a key component of operational risk. Legal risk takes many forms. It could be the potential loss owing to the failure to comply with statutory or regulatory requirements. It could also be as a result of the misinterpretation of regulations or due to uncertainties arising from legal actions. Legal risk typically takes the form of fines, penalties, or punitive damages resulting from regulatory actions, as well as the costs associated with legal settlements.

The Bank aims to mitigate Legal Risk by complying in full with all regulatory requirements applicable to various aspects of the business. The Compliance Department carries out routine verification to determine any compliance gaps and keep constant tabs on any regulatory changes that may become relevant from time to time.

Model Risk

Model Risk is a subset of Operational Risk. Model Risk arises when the information obtained through financial modelling is inaccurate, resulting in improper decision that could cause the Bank to incur losses.

Model failures can occur due to programming errors, incorrect data, technical errors as well as from misinterpretation of model outputs.

Model risk management is governed by Model Risk Management Policy and complimented by Model Validation Policy. As per the Policy, the Bank uses a number of models that apply statistical, economic, financial and mathematical theories, techniques and assumptions to process data into quantitative estimates.

The key principals of model management are:

- Clear definition shall be in place for each and every model and records/details of such models to be maintained.
- Robust lifecycle governance process shall be created for model development, implementation and usage, which shall be defined in the implementation mechanism.
- Rigorous model validation and independent reviews as appropriate shall be undertaken.
- Model Risk Management policy shall be in line with the CBSL directions, the Basel Framework guidelines and other applicable guidelines and directions as and when published by the regulator.

Taking an important step to strengthen the model risk management process, the Model Risk Management Committee was established in 2023 to bring more focused oversight to the model validation process.

Technology Risk

IT Risk

A major component of operational risk, IT (Information Technology) risk is the result of potential losses owing to system interruptions/failures, errors, frauds through system manipulations, cyber-attacks, obsolescence of IT infrastructure and systems etc.

The Bank's approach to IT risk is based on a 360 degree approach aimed at securely commissioning new technology and business initiatives while maintaining a persistent focus on protecting the Bank and its customers from cyber/technology threats.

IT Risk Management approach aligns with the Operational Risk Management Policy and is complemented by the High-level Information Security Policies. The IT Risk team of the RMU is responsible for reviewing all IT/Cyber Security Policies.

The RMU also carries out continuous independent monitoring of the Bank's IT risk profile using a range of tools and techniques including IT Key Risk Indicators (IT KRIs). The IT KRI review process involves monitoring a range of indicators including information security-related incidents, supplemented by trend analysis that accentuates high-risk or emerging issues so that prompt action can be taken to address them.

The RCSA is used as one of the core mechanisms for IT risk identification and assessment, while the IT Risk Unit carries out independent IT risk reviews in line with the established structure of the operational risk management process. Results of these independent IT risk assessments together with audit findings, analysis of information, security incidents, internal and external loss data are also employed for IT risk identification and assessment purposes. Additionally, IT Risk Unit actively participate in the Bank's BCP/DR exercise and provide an independent report after reviewing the entire process.

The Bank's approach to IT risk is based on a 360 degree approach aimed at securely commissioning new technology and business initiatives while maintaining a persistent focus on protecting the Bank and its customers from cyber/technology threats.

Status of Risk Management Compliance with the Banking Act Direction No. 16 of 2021 - Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks

Ref. No	Requirement	Comments
4.6.2	Define Technology Risk Appetite and Tolerance levels	In progress (90%) - Framework established/Appetite and Tolerance limits to be set after monitoring
4.6.3	Assess technology risk in the Bank's Internal Capital Adequacy Assessment Process (ICAAP)	Complied
4.6.4	Ensure proper Risk Management measures are adhered for new/modified products and services	Complied
4.6.5	Risk and Control Self-Assessment (RCSA) shall be conducted quarterly for technology driven banking products and services such as payment cards and electronic banking, and information technology and information security related service delivery functions	Complied
4.6.6	RCSA processes for third-party service providers and agents that commensurate with the criticality and sensitivity of services carried out by such third-party service providers and agents as approved by BIRMC of the licensed bank	Complied
5.2.4 (v)	Risk Management Department shall conduct a root-cause analysis on discrepancies identified during user access privilege reviews and suggest appropriate internal control enhancements to Information Security Committee (ISC) at least on an annual basis	Complied

The Bank continues to enhance information security governance in line with the CBSL Baseline Security Standards (BSS) and since 2022, has been in the process of aligning

with the Banking Act Direction No. 16 of 2021 - Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks.

RISK MANAGEMENT REPORT

Cyber Security Risk

Cyber Security Risk is embedded in the Bank's Information Security Management Framework. The Information Security Team headed by the Chief Information Security Officer (CISO) oversees the implementation of the Information Security Management Framework, including formulating and maintaining Information Security policies and appropriate procedures in accordance with the principles set out under the ISO 27001, PCI DSS and other regulatory standards. Annual audits, risk assessments and other reviews conducted as part of the ISO 27001 and PCI DSS certifications, pave the way for continuous improvement of the Information Security Management Framework.

Information Security Policies formulated and published by the Bank

- Acceptable usage
- Access control
- Cardholder data management
- Cloud computing
- Email and access usage
- High level information security
- Information security incident response
- Information systems acquisition development and maintenance
- IT compliance
- Third party organisation and vendor support service connection

Reputational Risk

Reputational Risk refers to the damage to the Bank's reputation and industry standing owing to lapse in judgement (including but not limited to violation of business ethics, non-compliance, customer service lapses or operating deficiencies) or inaction giving rise to loss of stakeholder confidence in the Bank.

The Board approved Reputational Risk Management Policy serves as the overarching mandate for managing Reputational Risk at Sampath Bank. The Chief Risk Officer and the Chief

Compliance Officer work closely with the Corporate Management, including the Head of Marketing, BCP Director, as well as Business Line Heads to ensure that the Reputational Risk is adequately managed in line with the established framework of policies and procedures.

The process for managing Reputational Risk also includes connecting with stakeholders regularly to identify matters deemed relevant by stakeholders. Effective communications, image and brand building is vital for market success and augments reputation, as such the brand health study conducted by an independent party every two years helped to determine areas that could lead to Reputational Risk. The well executed procedure on handling and monitoring of social media comments, inquiries, posts or complaints helps to mitigate potential Reputational Risk events.

Strategic Risk

Strategic Risk refers to the potential loss of earnings and profitability arising from improper or ineffective strategic decisions or the inability to realign strategies in line with changes in the operating environment.

Sampath Bank maintains a top down approach to managing Strategic Risk, led by a Board approved Strategic Risk Management Policy. Moreover, the Strategic Plan prepared annually on a rolling basis which is approved by the Board, establishes short, medium and long term goals in line with the Bank's overall vision. Short, medium and long term goals set out in the strategic plan are cascaded down to an operational level targets encapsulated in the Board approved annual budget.

Targets set out in the budget are communicated to the senior management, who in turn are required to ensure that employees under their purview are fully aligned to the objectives of their respective business units.

The Strategic Planning Department routinely reviews actual performance against budgets with observations and recommendations being submitted to the Board at quarterly intervals, and steps are being taken to realign performance with the plan where necessary. This is typically accompanied with environmental scans to compare and contrast the Bank's SWOT (Strengths, Weaknesses, Opportunities and Threats) analysis against changes in the PESTEL (Political, Economic, Social, Technological, Environmental and Legal) landscape.

The Bank obtained support from a leading global consultancy firm to develop a new Strategic Plan. As an outcome of this exercise, a comprehensive 5 year strategic plan was prepared and duly approved by the Board of Directors in 2023. Hand in hand with the new strategy, a new purpose statement and a new vision statement were also unveiled outlining the future direction of the Bank.

ESG (Environmental, Social and Governance) Risk

The Bank identifies ESG Risk to be the result of the mismanagement of environmental, social, and governance factors, potentially leading to financial loss and/or reputational damage.

The Bank approaches ESG Risk Management holistically, first by drilling down to identify the most material environmental, social and governance risks encountered by Sampath Bank across its value chain and then embedding relevant ESG risk mitigation strategies as appropriate across the business. In this regard, Environmental and Social Risk on credit operation is covered under the Environmental and Social Risk Management System (ESMS). The ESMS calls for adequate Environmental and Social risk management and supervision during the term of the loan agreement.

Inter alia, it helps the Bank to achieve the following key objectives:

- Identify and assess the environmental and social impacts of the Bank's lending activities and thereby enhance its understanding of environmental and social risks associated with lending activities.
- Promote improved environmental and social performance of the borrower.
- Adherence to the IFC's Performance Standards and other relevant international best risk management practices when financing private sector activities and thereby significantly reducing the Bank's environmental and social risks.

A dedicated ESMS Implementation Committee works closely with the environmentalist/ESMS officer to operationalise the ESMS and oversee its implementation.

In 2022, the CBSL issued the Banking Act Direction No. 05 of 2022 as part of its efforts to assist in Sri Lanka's transition to a green economy and in doing so align with the United Nations' Sustainable

Development Goals (SDGs). As per the directive, all material risks under ESG, shall be considered in the Pillar II assessment under capital requirements for the licensed banks. The directive also requires licensed banks to conduct scenario analysis and stress testing to assess the impact of potential/alternative climate-related risks faced by the Bank.

In order to comply with the aforementioned directives, the Bank has taken the following important steps:

- Identifying ESG Risk drivers based on the Bank's nature, scale, complexity and interconnectedness of its operations and assess the magnitude and materiality in such risk across.
- Commenced the incorporation of ESG risks to the Internal Capital Adequacy Assessment Process (ICAAP) to assess the impact of ESG risks on the Bank's capital position and plan for capital allocations under Pillar II, if needed.
- Developing scenario analysis and stress testing models based on identified shocks.

The Bank approaches ESG Risk Management holistically, first by drilling down to identify the most material environmental, social and governance risks encountered by Sampath Bank across its value chain and then embedding relevant ESG risk mitigation strategies as appropriate across the business.

AN ASCENDING JOURNEY



We're focusing on rising above the challenges of the present, and pledging to deliver growth year-on-year; continuously elevating our stakeholder proposition as we journey together into a future of promise.



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FINANCIAL CALENDAR

Financial Calendar - 2023

2022 Annual Report and Audited Financial Statements signed on	17th February 2023
37th Annual General Meeting held on	30th March 2023
Rs 1.15 per share Final Scrip Dividend for 2022 distributed on	17th April 2023
Rs 3.45 per share Final Cash Dividend for 2022 distributed on	26th April 2023
2023 Annual Report and Audited Financial Statements signed on	14th February 2024
38th Annual General Meeting to be held on	28th March 2024
Rs 5.85 per share Final Cash Dividend for 2023 distributable on	24th April 2024*

Interim Financial Statements published in terms of Rule 7.4 of the Colombo Stock Exchange (CSE) and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		English	Sinhala	Tamil
2022 4th Quarter interim results released on	17th February 2023	28th February 2023	02nd March 2023	02nd March 2023
2023 1st Quarter interim results released on	15th May 2023	25th May 2023	29th May 2023	29th May 2023
2023 2nd Quarter interim results released on	14th August 2023	25th August 2023	28th August 2023	28th August 2023
2023 3rd Quarter interim results released on	14th November 2023	24th November 2023	27th November 2023	27th November 2023

Proposed Financial Calendar - 2024

2024 Annual Report and Audited Financial Statements to be signed in	February 2025
39th Annual General Meeting to be held in	March 2025
Final dividend for 2024 payable in	April 2025**

Interim Financial Statements to be published in terms of Rule 7.4 of the Colombo Stock Exchange and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		English	Sinhala	Tamil
2023 4th Quarter interim results to be released on or before	15th February 2024	31st March 2024	31st March 2024	31st March 2024
2024 1st Quarter interim results to be released on or before	15th May 2024	31st May 2024	31st May 2024	31st May 2024
2024 2nd Quarter interim results to be released on or before	14th August 2024	31st August 2024	31st August 2024	31st August 2024
2024 3rd Quarter interim results to be released on or before	14th November 2024	30th November 2024	30th November 2024	30th November 2024
2024 4th Quarter interim results to be released on or before	28th February 2025	31st March 2025	31st March 2025	31st March 2025

* Subject to confirmation by Shareholders

** Subject to confirmation by Directors and Shareholders

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

1. GENERAL

The Board of Directors of Sampath Bank PLC have pleasure in presenting its Annual Report on the State of Affairs of the Company to the members of Sampath Bank PLC ("the Bank") for the financial year ended 31st December 2023, together with the Audited Financial Statements of the Bank, Consolidated Financial Statements of the Group for that year and the Auditors' Report on those Financial Statements, prepared in compliance with the requirements of the Companies Act No. 7 of 2007 and its amendments, Banking Act No. 30 of 1988 and its amendments. The Financial Statements have been reviewed and recommended by the Board Audit Committee and were approved by the Board of Directors on 14th February 2024.

This Report also includes all other relevant information required by the Companies Act No. 7 of 2007 ("Companies Act") and its amendments, Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and subsequent amendments thereto, the Listing Rules of the Colombo Stock Exchange and is also guided by the recommended best practices on Corporate Governance.

This Report was approved by the Board of Directors on 14th February 2024. The requisite number of copies of the Annual Report will be submitted to the Central Bank of Sri Lanka, Colombo Stock Exchange, Registrar of Companies, Securities and Exchange Commission of Sri Lanka and to the Sri Lanka Accounting and Auditing Standards Monitoring Board within the statutory deadlines.

Sampath Bank is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 ("Banking Act") and was incorporated as a Public Limited Liability Company

in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982, initially as "Investment and Credit Bank Limited" and subsequently changed to Sampath Bank Limited. The Company was re-registered as per the requirements of the Companies Act on 28th April 2008 under the name "Sampath Bank PLC" with the Registrar General of Companies. The re-registration number of the Bank is PQ 144.

The ordinary shares of the Bank are listed on the Main Board of the Colombo Stock Exchange. The Bank's Basel III Tier II Compliant Rated Unsecured Subordinated Redeemable Debentures are also listed on the Colombo Stock Exchange.

The Bank has been assigned a National Long Term Rating of 'A(Ika) Stable' by Fitch Ratings Lanka Limited. The subordinated debentures have been assigned a rating of 'BBB+(Ika) Stable'.

The Registered Office as well as the Head Office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka.

2. APPROACH TO CORPORATE GOVERNANCE AND FRAMEWORK

The Sampath Bank Board is committed to achieving the best governance outcomes possible through the values of ethical leadership, accountability, and transparency. The Bank's governance framework gives clear direction for quick and responsive decision-making as well as supporting responsible behaviours to ensure long-term delivery of strategic results. The Bank continues to strive for a higher standard of governance, integrity, and professionalism under globally established good Governance standards.

3. GOVERNANCE IN YEAR 2023

The Bank's Governance structure was designed to achieve sustainable growth in compliance with Sampath Bank's Purpose, Vision and Values, while carefully appraising stakeholders' interests. Amidst severe economic headwinds in 2023, the Bank's carefully established Governance mechanisms allowed the Board to maintain proper and effective oversight of the Bank's business. To that aim, the Board received regularly updated reports, as well as in-depth analyses of critical issues affecting the Bank and its stakeholders.

The Board engaged closely with the Corporate Management Team to analyse the Bank's business strategy and assess the impact of the current state of the economy, including associated risks and opportunities. Where necessary, the Board has adopted appropriate Short, Medium and Long-Term plans that strengthen the Bank's defences and overall resilience to ongoing challenges.

The Board, together with its Sub-Committees, successfully managed the Bank's activities through continuous strategic realignment to safeguard and create value for the Bank and its stakeholders. In developing strategy, the Board took an integrated approach to value creation, embracing stakeholder inclusivity while considering the environmental, social, and governance (ESG) consequences of the organisation.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

4. STATUTORY DISCLOSURES

Section 168 of the Companies Act No. 7 of 2007 and its amendments requires the following information to be disclosed in the Annual Report prepared for the year under review.

No.	Disclosure Requirement	Reference to the Companies Act No. 7 of 2007	Disclosure Reference for Compliance	Page Reference
1	The nature of the business of the Bank and the Group	Section 168 (1) (a)	About the Bank Note 1.3 to the Financial Statements - Principal Activities and Nature of Operations of the Bank Performance of Subsidiaries Note 28 to the Financial Statements - Investment in Subsidiaries	10 - 13 259 143 308 - 309
2	Signed Financial Statements of the Bank and the Group for the accounting period completed in accordance with Section 152	Section 168 (1) (b)	The Financial Statements for the year ended 31st December 2023 have been duly signed by the Executive Director/Chief Financial Officer, three more Directors and the Company Secretary of the Bank. Financial Statements Note 2.1 to the Financial Statements - Statement of Compliance	253 250 - 401 259
3	Auditor's Report on the Financial Statements of the Bank and the Group	Section 168 (1) (c)	Independent Auditor's Report to the Shareholders of Sampath Bank PLC Based on the declaration provided by Messrs Ernst & Young and as far as the Directors are aware, the Auditors do not have any relationship with or interest with the Bank that in our judgment, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka, applicable as of the date of this Report. The retiring Auditors, Messrs Ernst & Young, have expressed their willingness to continue in office. They come up for re-election at the Annual General Meeting, with the recommendation of the Board Audit Committee and the Board of Directors. In accordance with the Companies Act, a resolution proposing the re-appointment of Messrs Ernst & Young, Chartered Accountants, as Auditors is being proposed at the Annual General Meeting.	245 - 248
4	Changes in Accounting Policies during the accounting period	Section 168 (1) (d)	There are no accounting policy changes during the year. The significant accounting policies adopted in the preparation of the Financial Statements	259 - 401

No.	Disclosure Requirement	Reference to the Companies Act No. 7 of 2007	Disclosure Reference for Compliance	Page Reference
5	Particulars of entries in the Interests Register made during the accounting period	Section 168 (1) (e)	The Bank maintains the Directors' Interest Register as required under the provisions of Section 168 (1) (e) of the Companies Act. The Directors of the Bank have made necessary declarations of their respective interests in contracts or proposed contracts, in terms of the Sections 192 (1) and 192 (2) of the Companies Act. These interests have been recorded in the Directors' Interest Register, which is available for inspection in terms of the Companies Act. As a practice and in terms of Corporate Governance requirements, the Directors have refrained from voting on matters in which they have a material interest. The Directors have no direct or indirect interest in contracts or proposed contracts with the Bank other than those disclosed.	Directors' Interest in Contracts with the Bank 238
6	Remuneration and other benefits paid to the Directors during the accounting period	Section 168 (1) (f)	Note 47.3.1 to the Financial Statements - Compensation to KMP	342
7	Total amount of donations made by the Company during the accounting period	Section 168 (1) (g)	The donations made by the Bank to the Government amounted to Rs Nil (2022: Nil). The Bank does not make donations for political purposes. Note 15 to the Financial Statements - Other Operating Expenses 284	
8	Information on Directorate of the Company at the end of the accounting period	Section 168 (1) (h)	The Board of Directors of the Bank as at 31st December 2023 comprised twelve (12) (2022: eleven) members with wide financial and commercial knowledge, and experience. In accordance with the Listing Rules of Colombo Stock Exchange and Corporate Governance Rules of the Banking Act Direction No. 11 of 2007 issued by the Central Bank of Sri Lanka (CBSL), the classification of Directors into Executive (ED), Non-Executive (NED) and Independent (IND), Non-Independent (NID) are stated against the names of the Directors. Board of Directors 176 - 181	
9	Amounts payable to the Auditor as audit fees and fees for other services rendered during the accounting period by the Bank and its Subsidiaries	Section 168 (1) (i)	Note 15.1 to the Financial Statements - Auditor's Remuneration	284

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

No.	Disclosure Requirement	Reference to the Companies Act No. 7 of 2007	Disclosure Reference for Compliance	Page Reference
10	Particulars of any relationship (other than that of auditor) which the auditor has with or any interests which the auditor has in the Company or any of its subsidiaries	Section 168 (1) (j)	The Bank's auditors during the period under review were Messrs Ernst & Young, Chartered Accountants. Independence and Objectivity of the External Auditor, provides details of the Policy for the Engagement of the External Auditor for Audit and Non-Audit services. Based on the declaration provided by Messrs Ernst & Young, and as far as the Directors are aware, the auditors do not have any relationship or interest with the Bank that in our judgment, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), applicable on the date of this Report. A resolution re-appointing Messrs Ernst & Young as Auditors for the ensuing year and authorising the Directors to fix their remuneration will be proposed at the Annual General Meeting.	
11	Annual Report of the Board of Directors on the Affairs of the Company to be signed on behalf of the Board by two Directors and the Company Secretary	Section 168 (1) (k)	Annual Report of the Board of Directors on the Affairs of the Company	229 - 238

5. ADDITIONAL DISCLOSURES

The following additional disclosures are also made. Full details regarding these disclosures are provided within Notes to the Annual Report, which form an integral part of the Annual Report of the Board of Directors.

No.	Disclosure Requirement	Disclosure Reference	Page Reference
1.	Purpose, Vision, Values and Corporate Conduct	The business activities of the Bank are conducted at a high level of ethical standards in achieving its Purpose and Vision.	10
2.	Changes to the Group Structure	There were no changes to the Group Structure during the year under review.	309
3.	Review of Operations	No new branches were opened during the year under review. The review of the financial and operational performance of the Bank and the Group, together with important events that took place during the year 2023 have been explained in the following Reports:	
		Chairman's Message	30 - 33
		Managing Director's Review	34 - 39
		Management Discussion and Analysis	71 - 143

No.	Disclosure Requirement	Disclosure Reference	Page Reference
4.	Future Developments	The Bank will focus on a business expansion driven through its existing Branch Network, concentrating mainly on its core banking operations to increase its market share and profitability. This will be further supplemented by more vigorous efforts to expand the Bank's digital channels and focus on innovative product development, process improvements and staff development, all aimed at fulfilling the rapidly changing customer needs amidst challenging market conditions and to maximise the value created for all the stakeholders. An overview of the future development of the Bank and the Group is given in the following reports.	
		Chairman's Message	30 - 33
		Managing Director's Review	34 - 39
		Management Discussion and Analysis	71 - 143
5.	Directors' Responsibility for Financial Reporting	Statement of Directors' Responsibility for Financial Reporting	243 - 244
6.	Financial Results and Appropriations	Income	
		Note 6 to the Financial Statements - Gross Income	275
		Profit and Appropriations	
		Statement of Profit or Loss	250
		Statement of Comprehensive Income	251
		Statement of Financial Position	252 - 253
		Statement of Changes in Equity	254 - 255
		Statement of Cash Flows	256 - 258
7.	Taxation	As per the Inland Revenue (Amendment) Act No. 45 of 2022, the income tax rate applicable on the Bank's domestic operations and off-shore operations of the off-shore Banking Unit is 30% (2022 - First six months: 24%/Second six months: 30%).	
		The deferred tax was computed at 30% as at 31st December 2023 (2022: 30%).	
		The Group has provided deferred taxation on all known temporary differences under the liability method, as permitted by the Sri Lanka Accounting Standard - LKAS 12 (Income Taxes).	
		The Group is liable for income tax on local dividend received at 15% (2022 - First six months: 14%/Second six months: 15%).	
		As per the Value Added Tax (Amendment) Act No. 14 of 2022, VAT rate applicable to the Bank on financial services is 18% (2022: 18%).	
		According to the Social Security Contribution Levy Act No. 25 of 2022, the Bank is liable for Social Security Contribution Levy at 2.5% (2022: 2.5% w.e.f. 1st October 2022) on the value addition attributed to the financial services and 2.5% (2022: 2.5% w.e.f. 1st October 2022) on non-financial turnover.	
		The Bank is also liable for Crop Insurance Levy at 1% of Profit after Tax for the year ended 31st December 2023 (2022: 1%).	
		According to the Surcharge Tax Act No. 14 of 2022, the Bank and the Group had been liable for surcharge tax at 25% on the taxable income for the year of assessment 2020/21 as one-time tax and the tax expense was considered as an expenditure in the financial year 2020. Accordingly, Rs 2,670,567,000/- and Rs 3,232,510,000/- were charged against opening retained earnings of the year 2022 on account of the Bank and the Group respectively (2023: Nil).	
		Note 16 to the Financial Statements - Income Tax Expense	285 - 286

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

No.	Disclosure Requirement	Disclosure Reference	Page Reference
8.	Dividend	The Board of Directors has recommended a final dividend of Rs 5.85 per share in cash for the financial year ended 31st December 2023 subject to the approval of the shareholders at the Annual General Meeting to be held on 28th March 2024. The Board of Directors was satisfied that the Bank would meet the solvency test immediately after the payment of final dividend proposed, in terms of the Section 31(3) of the Companies Act. The Board provided the Statement of Solvency to the Auditors and obtained a Certificate of Solvency from the Auditors in respect of the dividend payment conforming to the statutory provision.	
		Note 18 to the Financial Statements - Dividend Paid and Proposed	287 - 288
9.	Reserves	Note 42 to the Financial Statements - Statutory Reserve Fund	334
		Note 43 to the Financial Statements - Other Reserves	335 - 336
		Note 44 to the Financial Statements - Retained Earnings	336
		Non-controlling Interest - Statement of Profit or Loss (The Bank does not have a non-controlling interest as at 31st December 2023, since all the subsidiaries are 100% owned by the Bank.)	250
		Statement of Changes in Equity	254 - 255
10.	Capital Expenditure	The total capital expenditure on acquisition of property, plant and equipment and intangible assets of the Bank and the Group amounted to Rs 2,016,534,000/- and Rs 2,647,695,000/- respectively (2022 Bank: Rs 1,197,232,000/- and Group: Rs 2,402,409,000/-).	
		Notes 29 and 30 to the Financial Statements - Property, Plant and Equipment and Intangible Assets	310 - 317
11.	Capital Commitments	The capital expenditure approved and contracted for as at the reporting date	
		Note 45.3 to the Financial Statements - Capital Commitments	339
12.	Property, Plant and Equipment (PPE)	Note 29 to the Financial Statements	310 - 316
13.	Market Value of Freehold Properties	The Group applies Revaluation model given in Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) to the entire class of freehold lands and buildings. Such properties are revalued every three years or more frequently if the fair values are substantially different from the carrying values. Accordingly, all freehold lands and buildings of the Group were revalued as at the end of 2022 by professionally qualified independent valuers. The results of the revaluation were brought into the Financial Statements to ensure that the carrying amount of such properties reflects the market prices prevailed at that time. On the basis that changes in property prices were not significant compared to the previous year due to the prevailing market situation in the country, the Group did not revalue its freehold lands and buildings during this year for consolidated accounting purposes. The Directors are of the view that the previous year prices reflect the current market values of such properties as at 31st December 2023. However, Sampath Centre Limited (a fully owned subsidiary of the Bank) which owns the property occupied by the Bank as its head office, carried out a revaluation on their property with the market values being taken in to their standalone financial statements prepared as at 31st December 2023, on the basis that such property is recognised as an Investment Property accounted under Fair Value model. There is no significant change between the previous year valuation and the current year valuation pertaining to this property.	
		Note 29 to the Financial Statements - Property, Plant and Equipment (Bank and Group)	310 - 316
14.	Stated Capital, Debentures and Bonds	Stated Capital, Debt Capital and Shares issued by the Bank	
		Note 41 to the Financial Statements - Stated Capital	334
		Note 37 to the Financial Statements - Due to Debt Securities Holders	324 - 326
		Issue of Shares and Debt Capital - Subsidiaries	
		Investor information	411 - 421
		Note 37.1 to the Financial Statements - Details of Debentures Issued	325

No.	Disclosure Requirement	Disclosure Reference	Page Reference																														
15.	Share Information	Investor Information	411 - 421																														
16.	Shareholding	Investor Information	411 - 421																														
17.	Equitable Treatment to Shareholders	The Bank has at all times ensured that all shareholders are treated fairly and equitably.																															
18.	Retirement and Re-Election/ Re-Appointment of Directors	In terms of Articles No. 86 and 87 of the Articles of Association of the Company, Ms Aroshi Nanayakkara, Mr Rushanka Silva and Mr Dilip de S Wijeyeratne retire by rotation and being eligible, offer themselves for re-election on the unanimous recommendation of the Board Nominations Committee and approval of the Board of Directors. Mr Prabhash Subasinghe having been appointed to the Board with effect from 1st December 2023 to fill up a casual vacancy in the Board, will stand for election by the shareholders in terms of Article 93 of the Articles of Association. Board of Directors Sections 210 and 211 of the Companies Act do not apply to the Bank, in view of the more stringent provision contained in Section 3 (3) (i) of Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks, which restricts the age of a Director of a Licensed Commercial Bank to 70 years.	176 - 181																														
19.	List of Directors of the Subsidiaries of the Bank	Names of the Directors of Subsidiary companies as at 31st December 2023: <table><tr><th>Siyapatha Finance PLC</th><th>Sampath Centre Limited</th></tr><tr><td>Mr P S Cumaranatunga (Chairman)</td><td>Mr I W Senanayake (Chairman)</td></tr><tr><td>Mr Y S H R S Silva (Deputy Chairman)</td><td>Mr S G Wijesinha</td></tr><tr><td>Mr H M A Seneviratne (Managing Director)</td><td>Mr R Samaranayake</td></tr><tr><td>Mr J Selvaratnam</td><td>Mr S P Kannangara</td></tr><tr><td>Mr J H Gunawardena</td><td>Mr Y S H R S Silva</td></tr><tr><td>Mr D Sooriyaarachchi</td><td>Mr P P De Silva</td></tr><tr><td>Mr W S C Perera</td><td></td></tr><tr><td>Ms H S R Ranatunga</td><td></td></tr><tr><td>Mr M D B Boyagoda</td><td></td></tr></table> <table><tr><th>SC Securities (Private) Limited</th><th>Sampath Information Technology Solutions Limited</th></tr><tr><td>Mr S G Wijesinha (Chairman)</td><td>Mr R Samaranayake (Chairman)</td></tr><tr><td>Mr R Samaranayake</td><td>Mr M V Indrasoma</td></tr><tr><td>Mr S N Kulatilake</td><td>Mr M A Salgado</td></tr><tr><td>Mr W M P L De Alwis</td><td>Mr W S C Perera</td></tr></table>	Siyapatha Finance PLC	Sampath Centre Limited	Mr P S Cumaranatunga (Chairman)	Mr I W Senanayake (Chairman)	Mr Y S H R S Silva (Deputy Chairman)	Mr S G Wijesinha	Mr H M A Seneviratne (Managing Director)	Mr R Samaranayake	Mr J Selvaratnam	Mr S P Kannangara	Mr J H Gunawardena	Mr Y S H R S Silva	Mr D Sooriyaarachchi	Mr P P De Silva	Mr W S C Perera		Ms H S R Ranatunga		Mr M D B Boyagoda		SC Securities (Private) Limited	Sampath Information Technology Solutions Limited	Mr S G Wijesinha (Chairman)	Mr R Samaranayake (Chairman)	Mr R Samaranayake	Mr M V Indrasoma	Mr S N Kulatilake	Mr M A Salgado	Mr W M P L De Alwis	Mr W S C Perera	
Siyapatha Finance PLC	Sampath Centre Limited																																
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Mr S N Kulatilake	Mr M A Salgado																																
Mr W M P L De Alwis	Mr W S C Perera																																
20.	Register of Directors and Secretaries	As required under Section 223 (1) of the Companies Act, the Bank maintains a Register of Directors and Secretaries which contains the name, surname, former name (if any), residential address, business, occupation, dates of appointment and dates of resignation (if applicable) of each Director and the Company Secretary.																															
21.	Board Sub-Committees	The Board, while assuming the overall responsibility and accountability for the management oversight of the Bank, has also appointed Board Sub-Committees to ensure that the activities of the Bank at all times are conducted with the highest ethical standards and the best interests of all its stakeholders. The Board has formed 13 Board Sub-Committees including five (05) mandatory Board Sub-Committees as required by the Banking Act and one (01) mandatory Board Sub-Committee as required by Section 9 of the Listing Rules of the Colombo Stock Exchange. In addition to the 6 mandatory Board Sub-Committees, the Board has also appointed seven (07) discretionary Board Sub-Committees.																															
		Board Sub-Committee Reports	187 - 208																														

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

No.	Disclosure Requirement	Disclosure Reference	Page Reference																																							
22.	Directors' Meetings	Composition of the Board and attendance at meetings	154																																							
23.	Related Party Transactions	Directors have also disclosed transactions if any, that could be classified as Related Party Transactions in terms of Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures) which is adopted in preparation of the Financial Statements. The Related Party Transactions Review Committee considers all transactions that require approval in line with the Bank's Related Party Transactions Policy and in compliance with the relevant regulations of CSE and Central Bank of Sri Lanka, ensuring transactions are fair and in the best interests of the Bank. In addition, the Bank carries out transactions in the ordinary course of business in an arm's length basis with entities where the Chairman or Directors of the Bank is the Chairman or a Director of such entities as detailed in: Directors' Interest in Contracts with the Bank Note 47 to the Financial Statements - Related Party Disclosures	238 342 - 345																																							
24.	Directors' Interest in Ordinary Shares and Debentures	<table><thead><tr><th>Name of Director</th><th>No. of Shares as at 31st December 2023</th><th>No. of Shares as at 31st December 2022</th></tr></thead><tbody><tr><td>Mr Harsha Amarasekera</td><td>-</td><td>-</td></tr><tr><td>Mr Rushanka Silva</td><td>-</td><td>-</td></tr><tr><td>Mr Dilip de S Wijeyeratne</td><td>-</td><td>-</td></tr><tr><td>Ms Aroshi Nanayakkara</td><td>-</td><td>-</td></tr><tr><td>Dr Sanjiva Weerawarana</td><td>-</td><td>-</td></tr><tr><td>Mr Vajira Kulatilaka</td><td>-</td><td>-</td></tr><tr><td>Mrs Keshini Jayawardena</td><td>-</td><td>-</td></tr><tr><td>Mr Vinod Hirdaramani</td><td>288,087</td><td>281,129</td></tr><tr><td>Mr Hiran Cabraal</td><td>-</td><td>-</td></tr><tr><td>Mr Prabhash Subasinghe</td><td>40,195</td><td>n/a</td></tr><tr><td>Mrs Ayodhya Iddawela Perera</td><td>611</td><td>n/a</td></tr><tr><td>Mr Ajantha de Vas Gunasekara</td><td>-</td><td>-</td></tr></tbody></table> n/a - not applicable Mr Rushanka Silva, Mr Vajira Kulatilaka and Mr Vinod Hirdaramani respectively hold 2,000,000, 300,000 and 700,000 of Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion (2023/2028) issued by the Bank.	Name of Director	No. of Shares as at 31st December 2023	No. of Shares as at 31st December 2022	Mr Harsha Amarasekera	-	-	Mr Rushanka Silva	-	-	Mr Dilip de S Wijeyeratne	-	-	Ms Aroshi Nanayakkara	-	-	Dr Sanjiva Weerawarana	-	-	Mr Vajira Kulatilaka	-	-	Mrs Keshini Jayawardena	-	-	Mr Vinod Hirdaramani	288,087	281,129	Mr Hiran Cabraal	-	-	Mr Prabhash Subasinghe	40,195	n/a	Mrs Ayodhya Iddawela Perera	611	n/a	Mr Ajantha de Vas Gunasekara	-	-	
Name of Director	No. of Shares as at 31st December 2023	No. of Shares as at 31st December 2022																																								
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Mr Rushanka Silva	-	-																																								
Mr Dilip de S Wijeyeratne	-	-																																								
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Mr Prabhash Subasinghe	40,195	n/a																																								
Mrs Ayodhya Iddawela Perera	611	n/a																																								
Mr Ajantha de Vas Gunasekara	-	-																																								
25.	Directors' Interest in Shares and Debentures of Subsidiaries	Mr Rushanka Silva holds one share each at Siyapatha Finance PLC and Sampath Centre Limited.																																								
26.	Material Business Relationships	Based on the individual declarations obtained from the Directors, it was evident that none of the Directors or their close family members have any business relationships with other Directors of the Bank.																																								
27.	Our Team Members	Capital Management Report - Human Capital	92 - 102																																							
28.	Employee Share Ownership/Option Plans (ESOP)	The Bank did not initiate or establish any Employee Share Ownership/Option Plans during the year.	282																																							
29.	Environmental Protection	To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief, the Bank has complied with the relevant environmental laws and regulations. Capital Management Report - Natural Capital	120 - 132																																							

No.	Disclosure Requirement	Disclosure Reference	Page Reference
30	Statutory Payments	The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory bodies and related to the employees have been paid on a timely basis.	
31	Outstanding Litigation	In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank. Note 45.5 to the Financial Statements - Other Contingent Liabilities	340 - 341
32	Events after the Reporting Period	No circumstances have arisen since the Statement of Financial Position date, which would require adjustments to or disclosure in the accounts, except those disclosed. Note 49 to the Financial Statements - Events After the Reporting Period	347
33	Going Concern	The Directors, after making necessary inquiries and reviews including reviews of the budget for the ensuing year, capital expenditure requirements, future prospects and risks, cash flows and such other matters required to be addressed under the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL and Colombo Stock Exchange Listing Rules, are satisfied that the Bank has adequate resources to continue operations into the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements. Note 2.10.1 to the Financial Statements - Going Concern	260
34	Significant Shareholdings in Other Organisations	Note 27.5 to the Financial Statements - Quoted Equity Security	306
35	Risk Management and Internal Control	Material Foreseeable Risk Factors Integrated Risk Management Report Note 51 to the Financial Statements Internal Controls Directors' Statement on Internal Control Over Financial Reporting	210 - 225 355 - 398 239 - 240
36	Corporate Governance	Corporate Governance Report	146 - 175

6. NOTICE OF ANNUAL GENERAL MEETING

The 38th Annual General Meeting of the Bank will be held at "Balmoral", The Kingsbury, No. 48, Janadhipathi Mawatha, Colombo 01 on 28th March 2024. The Notice of Meeting is given on page 453 of the Annual Report.

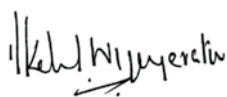
7. ACKNOWLEDGEMENT OF THE CONTENTS OF THE REPORT

As required by Section 168 (1) (k) of the Companies Act No. 7 of 2007, the Board of Directors hereby acknowledges the contents of this Annual Report.

For and on behalf of the Board of Directors,



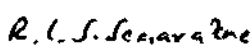
HARSHA AMARASEKERA
Chairman



DILIP DE S WIJYERATNE
Senior Independent Director



AYODHYA IDDAWELA PERERA
Managing Director



LASANTHA SENARATNE
Company Secretary

14th February 2024

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

Related party disclosures as required by the Sri Lanka Accounting Standard - LKAS 24 (Related Party Disclosures) are detailed in Note 47 to the Financial Statements. In addition, the Bank carries out transactions in the ordinary course of business in an arm's length basis with entities where the Chairman or Director of the Bank is the Chairman or a Director of such entities as detailed below.

Company	Relationship	Nature of the Facility	Current Limit	Balance Outstanding as at 31st December 2023	Balance Outstanding as at 31st December 2022
			Rs 000	Rs 000	Rs 000
Mr Harsha Amarasekera					
Vallibel One PLC	Non Executive Independent Chairman	Deposits		8,046	7,775
		Loans & advances	504,000	76	102
CIC Agri Businesses (Pvt) Ltd	Non Executive Independent Chairman	Deposits		6,856	771
		Loans & advances	2,520,000	1,060,000	1,066,262
		Indirect facilities		31,260	612,744
CIC Holdings PLC	Non Executive Independent Chairman	Deposits		453,642	499,105
		Loans & advances	6,000,000	2,532,325	1,049,464
		Indirect facilities		612,840	1,856,835
Link Natural Products (Pvt) Ltd	Non Executive Director	Deposits		554,286	715,322
Millennium Airlines (Pvt) Ltd	Non Executive Director	Deposits		184	207
Swisstek Aluminium Limited	Non Executive Independent Chairman	Deposits		8,486	18,112
		Loans & advances	1,025,000	376,904	740,365
		Indirect facilities		356,370	-
Swisstek (Ceylon) PLC	Non Executive Independent Chairman	Deposits		585	646
		Loans & advances	250,000	214,749	249,559
		Indirect facilities		-	-
Royal Ceramics Lanka PLC	Non Executive Independent Chairman	Deposits		19,837	566,320
		Loans & advances	4,000	1,697	843
Expolanka Holdings PLC	Non Executive Independent Director	Loans & advances	3,000	194	984
		Deposits		6,580	-
The Hill Club Company Limited	Non Executive Director	Deposits		25	-
Mr Rushanka Silva					
Indra Motor Spares (Pvt) Ltd	Director	Deposits		-	3
Indra Property Development (Pvt) Ltd	Director	Deposits		156	156
Mr Dilip de S Wijeyeratne					
Singer (Sri Lanka) PLC	Independent Non Executive Director	Deposits		83,222	1,364
		Loans & advances	3,302,000	1,001,592	2,500,926
		Indirect facilities	2,000,000	409,069	825,786
Regnis (Lanka) PLC	Independent Non Executive Director	Deposits		-	-
		Loans & advances	280,000	125,148	79,282
		Indirect facilities		123,435	121,047
Dr Sanjiva Weerawarana					
Lanka Software Foundation	Chairman	Deposits		3,249	12,410
Mr Vajira Kulatilaka					
Printcare PLC	Independent Non Executive Director	Deposit		6,003	-
		Loans & advances	360,000	250,000	201,073
		Indirect facilities		28,516	-
L T L Holdings (Pvt) Ltd	Independent Non Executive Director	Deposit		148	n/a
		Loans & advances	350,000	-	n/a
		Indirect facilities		-	n/a
Hemas Hospitals (Pvt) Ltd	Independent Non Executive Director	Deposit		4,176	n/a
Mr Vinod Hirdaramani					
Ceylon Knit Trend (Pvt) Ltd	Executive Director	Deposits		5,426	955,989
Hirdaramani International Exports (Pvt) Ltd	Executive Director	Deposit		1,150,429	1,608,132
		Loans & advances	4,212,000	-	864,000
Long Island Clothing Company (Pvt) Ltd	Executive Director	Deposits		80	1,101
		Loans & advances	50,000	49,170	4,450
		Indirect facilities	100,000	-	-
Rosewood (Pvt) Ltd	Executive Director	Deposits		2,061	14,869
Windforce PLC	Non Independent Non Executive Director	Deposits		9	63
Mr Prabhash Subasinghe					
Hemas Holdings PLC	Independent Non Executive Director	Deposits		243	n/a
Mrs Ayodhya Iddawela Perera					
Institute of Bankers of Sri Lanka	Director	Deposits		1,491	n/a

n/a - not applicable

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

RESPONSIBILITY

The report on Internal Control Over Financial Reporting is presented by the Board of Directors of Sampath Bank PLC in line with section 3(8)(ii)(b) of Banking Act Direction No. 11 of 2007 and with principle D.1.5 of the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

The Board of Directors ("the Board") is responsible for the implementation of an adequate and effective internal control mechanism at Sampath Bank PLC ("the Bank"). In doing so, the Board has ensured that the system in place is designed to manage the Bank's key areas of risk within an acceptable risk profile, to achieve the business objectives of the Bank.

In the light of the foregoing, the system of internal controls can only provide reasonable and not absolute assurance against material misstatement of financial information and records or against financial losses or fraud.

The Board has instituted a continuous process to identify, assess, and proactively manage the significant risks encountered by the Bank. This ongoing effort aims to strengthen Internal Control Over Financial Reporting, in strict adherence to regulatory guidelines, and to enable the Bank to adopt swiftly to shifts in the broader operating environment. The Management plays a vital role in translating the Board's policies and risk protocols into practical measures. Their collaborative efforts encompass the identification and evaluation of risks, as well as the design, implementation, and monitoring of effective internal controls, for the purpose of mitigating and managing these risks effectively. Accordingly, the Bank maintains a robust system of Internal Control Over Financial Reporting and Management Information System in order to preserve the financial integrity and safeguard the interests of our stakeholders.

The process is regularly reviewed by the Board, in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued by CA Sri Lanka.

In the year 2023, the Board assessed the existing system of Internal Control Over Financial Reporting vis-à-vis the principles outlined in the aforementioned guidance. Following this comprehensive assessment,

the Board confidently asserts that the existing system of Internal Control Over Financial Reporting within the Bank is robust and sufficient to provide a reasonable level of assurance regarding the accuracy and reliability of financial reporting, thus ensuring that the preparation of financial statements for external purposes aligns with the relevant accounting principles and regulatory stipulations.

KEY FEATURES OF THE PROCESS ADOPTED IN REVIEWING THE DESIGN AND OPERATING EFFECTIVENESS OF THE SYSTEM OF INTERNAL CONTROL OVER FINANCIAL REPORTING

The key mechanisms that have been established to review the adequacy and integrity of the system of internal controls with respect to financial reporting include the following;

- Establishment of Board Sub-Committees to assist the Board in ensuring the effectiveness of Bank's day-to-day operations and to ensure that all such operations are carried out in accordance with the corporate objectives, strategies and in line with the annual budget as well as the policies and the business direction approved by the Board.
- In the process of evaluating the adequacy and effectiveness of the risk management and internal control system, the Board Audit Committee reviews internal control issues identified by the Internal Audit Department, the External Auditors, Regulatory Authorities and the Management. It is also the responsibility of the Board Audit Committee to review the Internal Audit function with regard to the scope, scale and quality of Audits conducted. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities carried out by the Board Audit Committee during the year under review are set out in the Board Audit Committee Report on pages 190 to 192.
- The Bank's Internal Audit Department is tasked with verifying compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and scheduled audit procedures. This helps to provide an
- independent and objective assessment of system efficacy and highlights significant non-compliances. Audits are carried out according to the annual audit plan which is reviewed and approved by the Board Audit Committee. Onsite Audits, Offsite Audits, Process Audits and Thematic Audits are carried out across all Bank operations covering business units, departments and branches. The frequency of these audits are determined by the level of risk assessed. In addition, cyber security and data security measures are monitored through appropriate audit techniques and tools. Through these audit programmes and techniques, all controls are tested on an ongoing basis with significant findings identified by the Internal Audit Department submitted to the Board Audit Committee for review at their periodic meetings.
- A special Steering Committee (Internal Control Over Financial Reporting Steering Committee) together with several Management-level Committees (referred to in page 159) have been granted appropriate authorisation to ensure effective management and supervision of the core areas of the Bank's business operations.
- In assessing the Internal Control Over Financial Reporting, identified officers of the Bank were reassigned to ensure compliance with all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. The procedures used for this purpose are checked and verified by the Internal Audit Department for suitability of design and operating effectiveness on an ongoing basis. Significant issues (if any) observed by the Internal Audit Department are referred to the "Internal Control Over Financial Reporting Steering Committee" for their comments, prior to being included in the final report on Internal Control Over Financial Reporting submitted to the Board Audit Committee and the External Auditors. Sampath Bank continues to follow the new Sri Lanka Accounting Standards comprising LKAS and SLFRS. The processes and procedures initially adopted in 2012 with regard to the aforementioned Accounting Standards have been further

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

strengthened over the years based on the feedback received from the Regulators, External Auditors, Board Audit Committee and the Internal Audit Department. The Bank has documented procedures pertaining to these new requirements and has proceeded to update the relevant procedure manuals as and when necessary.

Due to the increase of credit risk, liquidity risk, and operational risk driven by local and global economic uncertainties, the Board Audit Committee strengthened its focus on enhancing internal controls and risk management framework to mitigate the evolving risks.

Further, the Credit Risk Management Unit continues to perform an independent review of the individually significant loan impairment process at each reporting date. The adequacy of post model adjustments (overlays) is also assessed. This assessment does not include the Bank's subsidiaries.

- The Board has long since recognised the need to automate the financial reporting process in order to proactively comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments. Towards this end, the Bank successfully implemented Robotic Process Automation (RPA) in 2019, which has eliminated manual intervention in calculating impairment provisions to a greater extent. The Board continues to review various options available to increase the degree of automation in the financial reporting process.

- In 2023, the Bank further strengthened its internal control processes to ensure that the challenges and uncertainties facing the country, including exchange rate fluctuations, inflationary pressures, changes in interest rates and changing regulatory requirements were accurately captured in its financial reporting.
- The comments made by the External Auditor in connection with Internal Control System Over Financial Reporting in previous years, were reviewed and appropriate steps taken in 2023 to address relevant matters raised. The recommendations made by the External Auditor in 2023 in connection with the System of Internal Control Over Financial Reporting will be dealt in future.

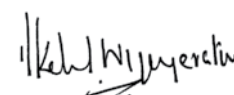
CONFIRMATION

Based on the above processes, the Board confirms that Sampath Bank's System of Internal Control Over Financial Reporting is fully competent to provide a reasonable assurance regarding the reliability of financial reporting and support the preparation of financial statements for external purposes, in accordance with relevant accounting principles and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, after reviewing the Directors' Statement on Internal Control Over Financial Reporting included in the Annual Report of the Bank for the year ended 31st December 2023, have confirmed to the Board that nothing has come to their attention that causes them to believe that the Statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and operating effectiveness of the System of Internal Control Over Financial Reporting. The External Auditor's Report on the Statement of Internal Control Over Financial Reporting is given on page 241 of this Annual Report.

By order of the Board,



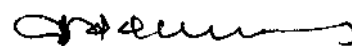
DILIP DE S WIJEYERATNE

Chairman - Board Audit Committee



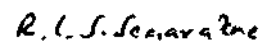
HARSHA AMARASEKERA

Chairman



AYODHYA IDDAWELA PERERA

Managing Director



LASANTHA SENARATNE

Company Secretary

14th February 2024

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC



Ernst & Young
Chartered Accountants
Rotunda Towers
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Report on the Directors' Statement on Internal Control

We were engaged by the Board of Directors of Sampath Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2023.

Management's responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibilities and compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

14 February 2024
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

MANAGING DIRECTOR'S AND CHIEF FINANCIAL OFFICER'S RESPONSIBILITY STATEMENT



AYODHYA IDDAWELA PERERA
Managing Director

The Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") as at 31st December 2023 have been prepared in conformity with the requirements of the following:

- Sri Lanka Accounting Standards (SLFRSs & LKASs) issued by the Institute of Chartered Accountants of Sri Lanka,
- Companies Act No. 07 of 2007 and amendments thereto,
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995,
- Banking Act No. 30 of 1988 and amendments thereto,
- Directions, Determinations, Orders, Circulars and Guidelines issued by the Central Bank of Sri Lanka (CBSL),
- The Listing Rules of the Colombo Stock Exchange (CSE),
- The Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka; and Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance issued by the Central Bank of Sri Lanka (CBSL).

The Group presents its financial results to its shareholders on a quarterly basis. The formats used in the preparation of the Financial Statements and disclosures made, comply with the formats prescribed by the Central Bank of Sri Lanka, which are also in compliance with the disclosure requirements of the Sri Lanka Accounting Standard - LKAS 1 (Presentation of Financial Statements). The significant Accounting Policies of the Bank and the Group are in compliance with Sri Lanka Accounting Standards (SLFRS/LKAS) issued by the Institute of Chartered Accountants of Sri Lanka. Further such Accounting Policies are appropriate and are consistently applied. The significant accounting policies and estimates that involve a high degree of judgment and complexity were discussed with the Board



AJANTHA DE VAS GUNASEKARA
Executive Director/Chief Financial Officer

Audit Committee and External Auditors. Comparative information has been restated wherever necessary to comply with the current presentation. The Board of Directors and the Management of the Bank accept responsibility for the integrity and objectivity of these Financial Statements. We confirm that to the best of our knowledge, the Financial Statements give a true and fair view of the assets, liabilities, financial position, results of the operations and the cash flows of the Bank and the Group. We have reasonable grounds to believe that the Bank and the Group have adequate resources to continue in operational existence for the foreseeable future. As such, even after considering ongoing local and global economic issues and their impact to the Bank's operations and implications on future performance, we remain confident that it is appropriate to adopt the Going Concern basis for the preparation of the financial statements.

The estimates and judgments relating to the Financial Statements were made on a prudent and reasonable basis; in order to ensure that the Financial Statements reflect in a true and fair manner, the form and substance of transactions and that the Bank's state of affairs are reasonably presented. To ensure this, the Bank and all its Subsidiaries have taken proper and sufficient care in installing a system of internal controls and procedures for safeguarding assets, preventing and detecting frauds and/or errors as well as other irregularities which are reviewed, evaluated and updated on an ongoing basis. Our Internal Auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures were consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal control and accounting.

We confirm that as of 31st December 2023, the Bank's Internal Controls Over Financial Reporting are adequate and effective and complies with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance (Internal Control Over Financial Reporting - ICOFR) issued by the Central

Bank of Sri Lanka. The Annual Report of the Directors on pages 229 to 238 briefly covers the Group's Internal Control Over Financial Reporting. In addition, the Directors' Statement on Internal Control Over Financial Reporting is also provided on pages 239 and 240. The Bank's External Auditors, Messrs Ernst & Young, have audited the effectiveness of the Bank's Internal Controls Over Financial Reporting and have given an unqualified opinion on page 241 of this Annual Report.

The Financial Statements of the Group were audited by Messrs Ernst & Young, Chartered Accountants, the independent External Auditors. Their Report is given on pages 245 to 248 of this Annual Report. The Board Audit Committee of the Bank meets periodically with the Internal Auditors and the independent External Auditors to review the manner in which these auditors are performing their responsibilities and to discuss issues relating to auditing, internal controls and financial reporting. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance. The Board Audit Committee report is given on pages 190 to 192.

The Board Audit Committee approves the audit and non-audit services provided by Messrs Ernst & Young, in order to ensure that the provision of such services does not impair Messrs Ernst & Young's independence.

We confirm that to the best of our knowledge:

- The Bank and the Group has complied with all applicable laws, regulations, guidelines and prudential requirements;
- There are no material non-compliances; and
- There is no material litigation that is pending against the Bank and the Group other than those disclosed in Note 45.5 to the Financial Statements in the Annual Report.

AYODHYA IDDAWELA PERERA
Managing Director

AJANTHA DE VAS GUNASEKARA
Executive Director/Chief Financial Officer

14th February 2024
Colombo, Sri Lanka

STATEMENT OF DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The responsibilities of the Directors in relation to the Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") are set out in the following Statement. The responsibility of the Auditor in relation to the Financial Statements are set out in the Report of the External Auditors; Messrs Ernst & Young, on pages 245 to 248.

In terms of Sections 150(1), 151, 152 and 153(1) and (2) of the Companies Act No. 07 of 2007 (Companies Act), the Directors of the Bank are responsible for ensuring that the Bank and the Group keep proper books of accounts of all transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank and the Group as at end of each financial year and of the financial performance of the Bank and the Group for each financial year and place them before the Annual General Meeting for shareholders for their approval. The Financial Statements comprise of the Statement of Financial Position as at end of the financial year, the Statement of Profit or Loss, the Statement of Comprehensive Income, the Statement of Cash Flows, the Statement of Changes in Equity for the financial year ended and Notes thereto.

The Financial Statements are prepared under the supervision of the Executive Director/Chief Financial Officer who is a senior member of the Corporate Management and an Executive Director of the Bank. The Directors confirm that the Financial Statements of the Bank and the Group give a true and fair view of:

- the state of affairs of the Bank and the Group as at 31st December 2023; and
- the financial performance of the Bank and the Group for the financial year ended 31st December 2023.

To support the preparation of these Financial Statements, the Directors ensure that:

- the appropriate accounting policies have been selected and applied in a consistent manner and material departures, if any, have been disclosed and explained;
- the Financial Statements are presented in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) and are consistent with the underlying books of accounts;

- reasonable and prudent judgments and estimates have been made so that the form and substance of transactions are properly reflected;
- the Financial Statements provide the information required by the Companies Act, Banking Act No. 30 of 1988 (Banking Act) and amendments thereto and the Listing Rules of the Colombo Stock Exchange (CSE); and
- the companies within the Group maintain sufficient accounting records to disclose the financial position of the Group with reasonable accuracy.

The Directors are also responsible for ensuring that the Bank and the Group have adequate resources to continue in operation, to justify applying the Going Concern basis in preparing these Financial Statements. In the current financial year, the Directors also considered ongoing local and global economic issues and their impact on the Group's business, operations and potential implications on future performance.

The Financial Statements of the Bank and the Group have been certified by the Executive Director/Chief Financial Officer, who is the officer responsible for its preparation, as required by the Companies Act. The Accounts have been reviewed by the Board Audit Committee (BAC) and the Board of Directors. Further, the Financial Statements of the Bank and the Group have been signed by three Directors and the Company Secretary in conformity with the requirements of the Companies Act.

The Financial Statements for the year 2023 captured in this Annual Report are consistent with the underlying books of accounts and are in conformity with the requirements of the Sri Lanka Accounting Standards, the Companies Act, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, the Banking Act together with its amendments, the Listing Rules of the CSE and the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). Further, these Financial Statements comply with the prescribed format issued by the Central Bank of Sri Lanka (CBSL) for the preparation of Annual Financial Statements of Licensed Commercial Banks. The Directors confirm that the Financial Reporting System of the Bank and the Group has been designed to

provide reasonable assurance regarding the reliability of financial reporting and the Directors accept responsibility for the integrity and objectivity of the Financial Statements published in this Annual Report. The Directors confirm that in preparing the Financial Statements given on pages 250 to 401, appropriate accounting policies have been selected and applied on a consistent basis in line with the Financial Reporting Framework, while reasonable and prudent judgments have been made so that the form and substance of transactions are properly reflected.

The Directors have taken appropriate steps to ensure that the Bank and the Group maintain proper books of accounts and review the Financial Reporting System directly at their regular meetings and also through the BAC.

The Report of the BAC is given on pages 190 to 192. The Board of Directors reviews the Interim Financial Statements with due consideration to the recommendation of BAC. Interim Financial Statements are approved by the Board prior to their release.

The Directors have taken all reasonable steps available to them to safeguard the assets of the Bank and the Group and to prevent and detect frauds and any other irregularities. For this purpose, the Directors have instituted effective and comprehensive systems of internal controls for identifying, recording, evaluating and managing the significant risks faced by the Bank throughout the year. These systems are kept under constant review by the Board to ensure appropriate financial and other controls are in place to enable the Bank to carry on its operations in an orderly manner, safeguard the assets, prevent and detect frauds and other irregularities and secure as far as practicable, the accuracy and reliability of the records.

Based on their assessment of Internal Control Over Financial Reporting (ICOFR), in compliance with Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for the Licensed Commercial Banks issued by the CBSL, the Directors have concluded that, as of 31st December 2023, the Group's Internal Controls Over Financial Reporting are effective. The Directors' Statement on Internal Control Over Financial Reporting and Annual Report of the Board of

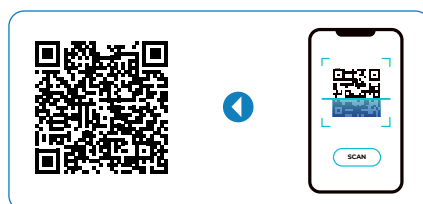
STATEMENT OF DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

Directors on the Affairs of the Company are provided on pages 239 and 240 and pages 229 to 238 respectively of this Annual Report. The Independent Assurance Report on the "Directors' Statement on Internal Control Over Financial Reporting" issued by the Bank's External Auditor; Messrs Ernst & Young is given on page 241 of this Annual Report.

As required by Section 56(2) of the Companies Act, the Directors have made an assessment of the Solvency of the Bank, immediately after the payment of the proposed final dividend of Rs 5.85 per share in cash for the year 2023 and confirm that the Bank satisfies the Solvency Test as required by Section 57 of the Companies Act. The Directors have also obtained the Certificate of Solvency from the External Auditor.

Messrs Ernst & Young, have been provided with every opportunity to undertake the inspections they considered appropriate. They have examined the Financial Statements made available to them by the Directors along with all financial records, related data, minutes of the Shareholders' Meetings, Directors' Meetings, BAC Meetings and other Board Sub-Committee Meetings and have expressed their opinion as reported by them in the Annual Report on pages 245 to 248.

The Directors have ensured that this Annual Report has been published in accordance with the timelines required by the Sections 166(1) and 167(1) of the Companies Act. Printed copies of this Annual Report will be made available to the shareholders of the Bank who will express their desire to receive such a copy. The digital version of the Annual Report is available on the Bank's corporate website where it is shown under the 'Investor Relations' tab (<https://www.sampath.lk/investor-relations?section=Annual-Reports>).



The digital version of the Sampath Bank PLC Annual Report 2023 has also been uploaded to the CSE website within the stipulated period of time as required by the Sections 7.5(a) and (b) of the Listing Rules of the CSE.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by Sampath Bank and the Group, all contributions, levies and taxes payable on behalf of and in respect of the employees of the Bank and the Group and all other known statutory dues as were due and payable by the Bank and the Group as at reporting date, have been paid or, where relevant, provided for, except as specified in Note 45 to the Financial Statements covering contingent liabilities. The Directors confirm that based on their assessment, the accounting controls are adequate and nothing has come to their attention to indicate any breakdown in the functioning of these controls that may result in material loss to the Bank. The Directors also confirm that the Bank has adequate resources to continue operational existence and continue as a Going Concern for the foreseeable future.

The Directors are of the view that they have discharged their responsibilities as set out in the above statement.

By order of the Board,

R. L. S. Senarathne

LASANTHA SENARATNE
Company Secretary

14th February 2024
Colombo, Sri Lanka

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC



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Rotunda Towers
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REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Sampath Bank PLC ("the Bank") and the consolidated financial statements of the Bank and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2023, and the statement of profit or loss, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Bank and the Group gives a true and fair view of the financial position of the Bank and the Group as at 31 December 2023, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial

statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Impairment for Expected Credit Losses of Financial Assets measured at amortised cost Impairment for expected credit losses of financial assets measured at amortised cost comprising of both loans and advances and debt and other instruments as stated in Note 25.2 and 26.4, respectively, is determined by management based on the accounting policies described in Note 3.4.6. This was a key audit matter due to - The involvement of significant management judgements, assumptions and level of estimation uncertainty associated in estimating management expectation of future cash flows to recover such financial assets; and - The materiality of the reported amount of impairment for expected credit losses and use of complex calculations in its determination.	In addressing the adequacy of the impairment for expected credit losses for financial assets measured at amortised cost, our audit procedures included the following key procedures. - Assessed the alignment of the Bank's impairment for expected credit losses computations and underlying methodology including responses to current economic conditions with its accounting policies, based on the best available information up to the date of our report. - Evaluated the design, implementation and operating effectiveness of controls over estimation of expected credit losses, which included assessing the level of oversight, review and approval of allowances for expected credit losses, policies and procedures by the Board and management. - Checked the completeness, accuracy and reasonableness of the underlying data used in the expected credit loss computations by agreeing details to relevant source documents and accounting records of the Bank. - Evaluated the reasonableness of credit quality assessments and related stage classifications.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC



Key audit matter	How our audit addressed the key audit matter
Key areas of significant judgements, assumptions and estimates used by management in the assessment of the impairment for expected credit losses for financial assets measured at amortised cost included: assumed future occurrence of events and conditions relating to the ongoing foreign currency debt restructuring exercise, forward-looking macroeconomic scenarios and their associated weightages, which are subject to inherently heightened levels of estimation uncertainty.	In addition to the above, the following procedures were performed: - For loans and advances assessed on an individual basis for impairment: - Checked the arithmetical accuracy of the underlying individual impairment calculations. - Evaluated the reasonableness of key inputs used in the allowance for expected credit losses made with particular focus on current economic volatility. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery actions of the collaterals. - For financial assets assessed on a collective basis for impairment: - Tested the key inputs and the calculations used in the allowance for expected credit losses. - Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology and the management overlays. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios. - We assessed the adequacy of the related financial statement disclosures set out in notes 25, 26 & 51.2
Information Technology (IT) systems related internal controls over financial reporting Bank's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems related internal controls over financial reporting were considered a key audit matter.	Our audit procedures included the following key procedures: - We obtained an understanding of the internal control environment of the processes and test checked relevant controls relating to financial reporting and related disclosures. - We involved our internal specialized resources and; - Identified, evaluated and tested the design and operating effectiveness of IT systems related internal controls, including those related to user access and change management, and - Obtained a high-level understanding of the cybersecurity risks affecting the bank and the actions taken to address these risks primarily through inquiry. - We tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.

Other information included in the Bank's 2023 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC



reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Bank.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2199.

14 February 2024
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

KEY HIGHLIGHTS

ABOUT US

HEAR FROM OUR LEADERS

STRATEGY REPORT

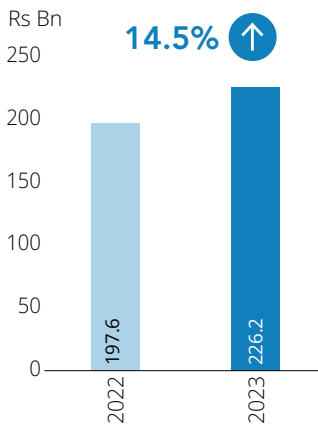
MANAGEMENT DISCUSSION AND ANALYSIS

GOVERNANCE AND RISK MANAGEMENT

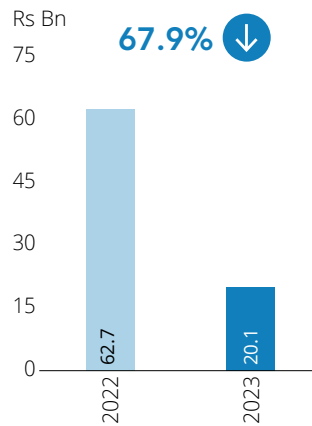
FINANCIAL INFORMATION

SUPPLEMENTARY INFORMATION

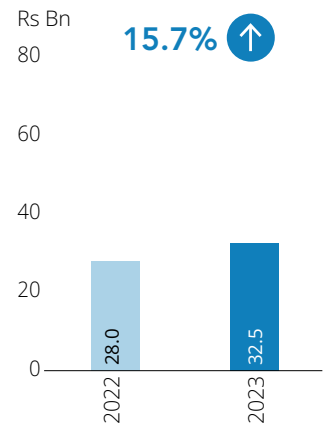
Gross Income



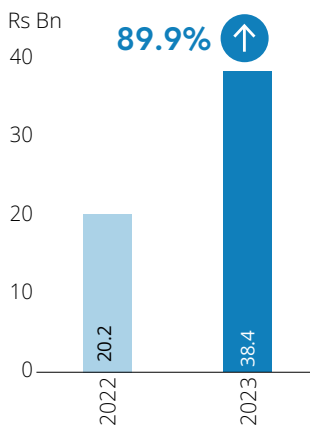
Impairment Charge



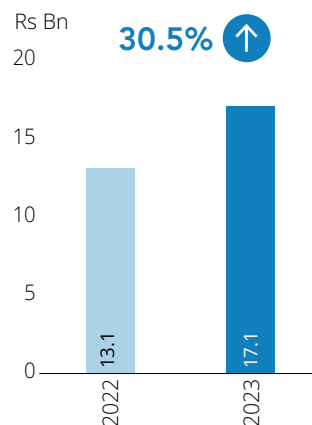
Total Operating Expenses



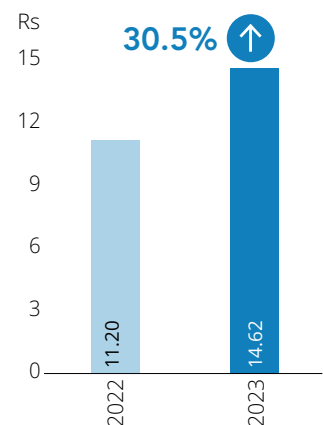
Profit before All Taxes



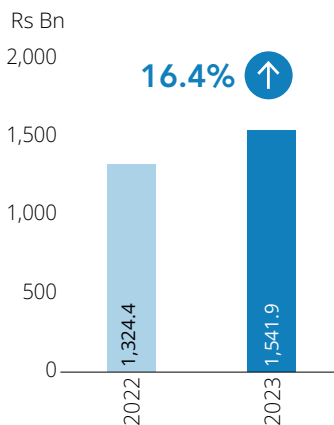
Profit after Tax



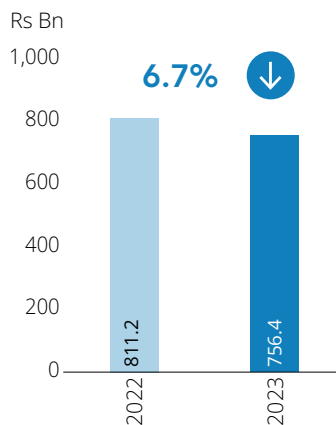
Earnings per Share



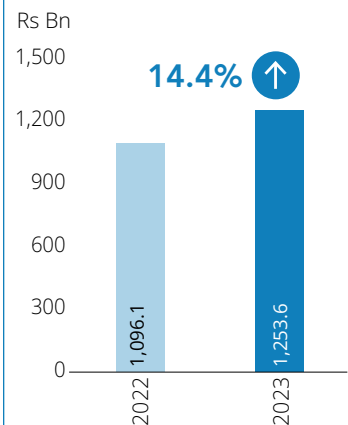
Total Assets



Net Loans & Advances



Due to Depositors



STATEMENT OF PROFIT OR LOSS

For the year ended 31st December	Note	Bank			Group		
		2023 Rs 000	2022 Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Gross income	6	226,154,096	197,570,518	14.5	236,504,470	206,002,254	14.8
Interest income		203,447,113	157,619,458	29.1	212,458,617	164,775,651	28.9
Less: Interest expense		131,157,456	84,117,088	55.9	137,015,683	88,733,558	54.4
Net interest income	7	72,289,657	73,502,370	(1.6)	75,442,934	76,042,093	(0.8)
Fee & commission income		22,909,822	21,940,763	4.4	23,544,833	22,685,656	3.8
Less: Fee & commission expense		4,023,353	2,499,396	61.0	4,025,896	2,500,860	61.0
Net fee & commission income	8	18,886,469	19,441,367	(2.9)	19,518,937	20,184,796	(3.3)
Net gain/(loss) from trading	9	761,786	(2,248,355)	133.9	708,976	(2,266,306)	131.3
Net gain on derecognition of financial assets	10	591,711	541,825	9.2	599,423	559,216	7.2
Net other operating income	11	(1,556,336)	19,716,827	(107.9)	(807,379)	20,248,037	(104.0)
Total operating income		90,973,287	110,954,034	(18.0)	95,462,891	114,767,836	(16.8)
Less: Impairment charge	12	20,148,542	62,706,010	(67.9)	20,209,602	62,908,121	(67.9)
Net operating income		70,824,745	48,248,024	46.8	75,253,289	51,859,715	45.1
Less: Operating expenses							
Personnel expenses	13	14,249,843	12,496,048	14.0	15,826,114	13,878,531	14.0
Depreciation & amortisation expenses	14	2,644,499	2,544,968	3.9	2,554,373	2,396,761	6.6
Other operating expenses	15	15,562,653	13,006,891	19.6	16,585,848	13,613,025	21.8
Total operating expenses		32,456,995	28,047,907	15.7	34,966,335	29,888,317	17.0
Operating profit before taxes on financial services		38,367,750	20,200,117	89.9	40,286,954	21,971,398	83.4
Less: Value added tax on financial services		7,519,371	4,953,917	51.8	7,938,879	5,340,457	48.7
Social security contribution levy		1,087,971	222,054	390.0	1,146,552	236,322	385.2
Total taxes on financial services		8,607,342	5,175,971	66.3	9,085,431	5,576,779	62.9
Profit before income tax		29,760,408	15,024,146	98.1	31,201,523	16,394,619	90.3
Less: Income tax expense	16	12,620,329	1,889,994	567.7	13,277,241	2,334,109	468.8
Profit for the year		17,140,079	13,134,152	30.5	17,924,282	14,060,510	27.5
Attributable to:							
Equity holders of the Bank		17,140,079	13,134,152	30.5	17,924,282	14,060,510	27.5
Non-controlling interest					-	-	-
		17,140,079	13,134,152	30.5	17,924,282	14,060,510	27.5
Earnings per share: Basic/Diluted (Rs)	17	14.62	11.20	30.5	15.28	11.99	27.5
Dividend per share	18						
Dividend per share: Gross (Rs)		5.85*	4.60				
Dividend per share: Net (Rs)		4.97*	3.91				

* Based on proposed dividend which is to be approved at the Annual General Meeting.

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st December	Bank			Group		
	2023 Rs 000	2022 Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Profit for the year	17,140,079	13,134,152	30.5	17,924,282	14,060,510	27.5
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
Gain/(loss) arising on re-measurement (Note 43.2.1)	13,748,274	(4,477,620)	407.0	13,748,274	(4,477,620)	407.0
Reclassification to profit or loss due to derecognition	(282,107)	13,481	(2,192.6)	(282,107)	13,481	(2,192.6)
Changes in impairment recycled to profit or loss	281,884	538,230	(47.6)	281,884	538,230	(47.6)
Reclassification of treasury bonds at FVOCI to amortised cost	-	4,787,611	(100.0)	-	4,787,611	(100.0)
Deferred tax effect on the above	(4,124,415)	(167,626)	(2,360.5)	(4,124,415)	(167,626)	(2,360.5)
Net other comprehensive income to be reclassified to profit or loss	9,623,636	694,076	1,286.5	9,623,636	694,076	1,286.5
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	-	(3,213,837)	100.0	-	(3,213,837)	100.0
Exchange (loss)/gain in translation	(754,648)	3,433,832	(122.0)	(754,648)	3,433,832	(122.0)
Deferred tax effect on the above	226,394	(284,058)	179.7	226,394	(284,058)	179.7
	(528,254)	(64,063)	(724.6)	(528,254)	(64,063)	(724.6)
Actuarial (loss)/gain on defined benefit plans	(884,546)	1,146,179	(177.2)	(881,559)	1,157,109	(176.2)
Deferred tax effect on the above	265,364	(203,418)	230.5	264,468	(205,712)	228.6
	(619,182)	942,761	(165.7)	(617,091)	951,397	(164.9)
Revaluation surplus on property, plant & equipment	-	977,915	(100.0)	-	1,854,607	(100.0)
Deferred tax effect on the above	-	(542,841)	100.0	-	(1,055,321)	100.0
	-	435,074	(100.0)	-	799,286	(100.0)
Net other comprehensive income not to be reclassified to profit or loss	(1,147,436)	1,313,772	(187.3)	(1,145,345)	1,686,620	(167.9)
Other comprehensive income net of tax	8,476,200	2,007,848	322.2	8,478,291	2,380,696	256.1
Total comprehensive income for the year net of tax	25,616,279	15,142,000	69.2	26,402,573	16,441,206	60.6
Attributable to:						
Equity holders of the Bank	25,616,279	15,142,000	69.2	26,402,573	16,441,206	60.6
Non-controlling interest	-	-	-	-	-	-
	25,616,279	15,142,000	69.2	26,402,573	16,441,206	60.6

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

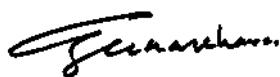
STATEMENT OF FINANCIAL POSITION

As at 31st December	Note	Bank			Group		
		2023	2022	Change	2023	2022	Change
		Rs 000	Rs 000	%	Rs 000	Rs 000	%
ASSETS							
Cash & cash equivalents	20	79,272,087	79,162,545	0.1	79,530,247	79,344,587	0.2
Balances with Central Bank of Sri Lanka	21	14,463,854	31,579,185	(54.2)	14,463,854	31,579,185	(54.2)
Placements with banks	22	33,741,322	10,927,216	208.8	33,741,322	10,927,216	208.8
Reverse repurchase agreements		-	10,072,569	(100.0)	150,400	10,299,569	(98.5)
Derivative financial instruments	23	587,577	44,598	1,217.5	587,577	44,598	1,217.5
Financial assets recognised through profit or loss - measured at fair value	24	4,744,188	4,641,277	2.2	4,841,302	4,822,395	0.4
Financial assets at amortised cost							
- loans & advances	25	756,435,559	811,157,649	(6.7)	787,355,719	839,976,738	(6.3)
- debt & other instruments	26	368,100,002	278,775,796	32.0	373,899,842	284,237,662	31.5
Financial assets - fair value through other comprehensive income	27	216,022,295	32,772,930	559.1	216,022,351	32,772,986	559.1
Investment in subsidiaries	28	4,110,642	3,898,512	5.4	-	-	-
Property, plant & equipment	29	9,623,120	8,910,525	8.0	19,960,610	19,067,412	4.7
Intangible assets	30	745,395	578,031	29.0	766,532	600,341	27.7
Right-of-use assets	31	3,605,525	3,540,286	1.8	3,152,666	3,265,770	(3.5)
Deferred tax assets	32	17,292,023	21,734,244	(20.4)	17,517,519	21,992,147	(20.3)
Other assets	33	33,204,832	26,630,974	24.7	35,386,047	28,388,956	24.6
Total Assets		1,541,948,421	1,324,426,337	16.4	1,587,375,988	1,367,319,562	16.1
LIABILITIES							
Due to banks	34	11,621,838	11,297,181	2.9	17,344,766	15,255,184	13.7
Derivative financial instruments	23	1,498,777	1,449,393	3.4	1,498,777	1,449,393	3.4
Securities sold under repurchase agreements		34,688,209	2,283,291	1,419.2	34,438,086	2,283,291	1,408.3
Financial liabilities at amortised cost							
- due to depositors	35	1,253,642,547	1,096,099,874	14.4	1,276,551,041	1,115,155,879	14.5
- due to other borrowers	36	6,637,129	9,173,923	(27.7)	6,637,129	9,173,923	(27.7)
- due to debt securities holders	37	26,709,893	25,259,536	5.7	30,386,809	32,872,261	(7.6)
Retirement benefit obligation	38	3,170,247	1,845,228	71.8	3,355,039	1,998,238	67.9
Dividend payable		212,571	187,141	13.6	212,571	187,141	13.6
Current tax liabilities	39	16,220,788	18,754,155	(13.5)	16,688,675	19,186,239	(13.0)
Deferred tax liabilities	32	-	-	-	1,465,112	1,465,662	-
Other liabilities	40	39,673,346	31,696,670	25.2	40,967,491	32,741,284	25.1
Total Liabilities		1,394,075,345	1,198,046,392	16.4	1,429,545,496	1,231,768,495	16.1

As at 31st December	Note	Bank			Group		
		2023 Rs 000	2022 Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
EQUITY							
Stated capital	41	48,741,119	47,622,493	2.3	48,741,119	47,622,493	2.3
Reserves							
Statutory reserve fund	42	6,615,000	5,755,000	14.9	6,929,000	6,033,000	14.9
Other reserves	43	81,950,709	64,832,981	26.4	85,448,647	68,330,919	25.1
Retained earnings	44	10,566,248	8,169,471	29.3	16,711,726	13,564,655	23.2
Total equity attributable to equity holders of the Bank		147,873,076	126,379,945	17.0	157,830,492	135,551,067	16.4
Non-controlling interest					-	-	-
Total Equity		147,873,076	126,379,945	17.0	157,830,492	135,551,067	16.4
Total Liabilities & Equity		1,541,948,421	1,324,426,337	16.4	1,587,375,988	1,367,319,562	16.1
Commitments & contingencies	45	481,333,065	315,363,167	52.6	479,795,279	314,491,810	52.6
Net asset value per share (Rs)	46	126.10	107.77	17.0	134.59	115.59	16.4

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

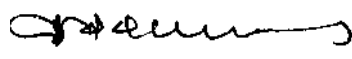


AJANTHA DE VAS GUNASEKARA
Executive Director/Chief Financial Officer

The Board of Directors is responsible for these Financial Statements.
Approved and signed for and on behalf of the Board,



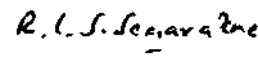
HARSHA AMARASEKERA
Chairman



AYODHYA IDDAWELA PERERA
Managing Director



RUSHANKA SILVA
Deputy Chairman



LASANTHA SENARATNE
Company Secretary

14th February 2024
Colombo, Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Bank	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	(Note 41) Rs 000	(Note 42) Rs 000	(Note 43.1) Rs 000	(Note 43.2) Rs 000	(Note 43.3) Rs 000	(Note 44) Rs 000	Rs 000
Balance as at 1st January 2022							
Adjustment for Surchage Tax levied under the Surchage Tax Act No. 14 of 2022							
	47,622,493	-	-	-	-	8,806,714	118,751,659
Adjusted balance as at 1st January 2022							
	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	6,136,147	116,081,092
Total comprehensive income for the year 2022							
Profit for the year							
	-	-	-	-	-	13,134,152	13,134,152
Other comprehensive income							
	-	-	435,074	630,013	-	942,761	2,007,848
Total comprehensive income for the year 2022							
	-	-	435,074	630,013	-	14,076,913	15,142,000
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2021: Cash							
	-	-	-	-	-	(4,863,589)	(4,863,589)
Unclaimed dividend adjustments							
	-	-	-	-	20,442	-	20,442
Total contributions by and distributions to equity holders							
	-	-	-	-	20,442	(4,863,589)	(4,843,147)
Transfer to reserves during the year							
	-	680,000	-	-	6,500,000	(7,180,000)	-
Balance as at 31st December 2022							
	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Balance as at 1st January 2023							
	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the year 2023							
Profit for the year							
	-	-	-	-	-	17,140,079	17,140,079
Other comprehensive income							
	-	-	-	9,095,382	-	(619,182)	8,476,200
Total comprehensive income for the year 2023							
	-	-	-	9,095,382	-	16,520,897	25,616,279
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2022: Scrip							
	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: Cash							
	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments							
	-	-	-	-	22,346	-	22,346
Total contributions by and distributions to equity holders							
	1,118,626	-	-	-	22,346	(5,264,120)	(4,123,148)
Transfer to reserves during the year							
	-	860,000	-	-	8,000,000	(8,860,000)	-
Balance as at 31st December 2023							
	48,741,119	6,615,000	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

Group	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non - Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	(Note 41) Rs 000	(Note 42) Rs 000	(Note 43.1) Rs 000	(Note 43.2) Rs 000	(Note 43.3) Rs 000	(Note 44) Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	13,866,847	127,185,518	-	127,185,518
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	-	-	-	-	(3,232,510)	(3,232,510)	-	(3,232,510)
Adjusted balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	10,634,337	123,953,008	-	123,953,008
Total comprehensive income for the year 2022									
Profit for the year	-	-	-	-	-	14,060,510	14,060,510	-	14,060,510
Other comprehensive income	-	-	799,286	630,013	-	951,397	2,380,696	-	2,380,696
Total comprehensive income for the year 2022	-	-	799,286	630,013	-	15,011,907	16,441,206	-	16,441,206
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2021: Cash	-	-	-	-	-	(4,863,589)	(4,863,589)	-	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	20,442	-	20,442	-	20,442
Total contributions by and distributions to equity holders	-	-	-	-	20,442	(4,863,589)	(4,843,147)	-	(4,843,147)
Transfer to reserves during the year	-	718,000	-	-	6,500,000	(7,218,000)	-	-	-
Balance as at 31st December 2022	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Balance as at 1st January 2023	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the year 2023									
Profit for the year	-	-	-	-	-	17,924,282	17,924,282	-	17,924,282
Other comprehensive income	-	-	-	9,095,382	-	(617,091)	8,478,291	-	8,478,291
Total comprehensive income for the year 2023	-	-	-	9,095,382	-	17,307,191	26,402,573	-	26,402,573
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2022: Scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: Cash	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	22,346	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	22,346	(5,264,120)	(4,123,148)	-	(4,123,148)
Transfer to reserves during the year	-	896,000	-	-	8,000,000	(8,896,000)	-	-	-
Balance as at 31st December 2023	48,741,119	6,929,000	7,092,922	11,344,032	67,011,693	16,711,726	157,830,492	-	157,830,492

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

For the year ended 31st December	Note	Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cash flows from operating activities					
Interest receipts		191,742,377	142,302,283	201,389,033	149,076,097
Interest payments		(130,310,620)	(71,003,192)	(135,941,536)	(74,978,503)
Net commission receipts		18,904,279	19,436,145	19,536,747	20,179,574
Cash payments to employees		(12,697,724)	(11,540,242)	(14,217,850)	(12,881,663)
Taxes on financial services		(9,473,348)	(3,905,145)	(9,923,944)	(4,311,899)
Receipts from other operating activities		1,342,722	1,549,881	2,302,112	2,475,703
Cash payments to other operating activities		(15,022,764)	(12,472,909)	(16,146,309)	(13,637,995)
Operating profit before changes in operating assets & liabilities (Note A)		44,484,922	64,366,821	46,998,253	65,921,314
Decrease/(increase) in operating assets					
Balances with Central Bank of Sri Lanka		17,115,331	(704,629)	17,115,331	(704,629)
Financial assets at amortised cost - loans & advances		27,859,038	(19,883,211)	25,070,961	(15,197,151)
Other assets		(7,228,410)	(11,082,349)	(7,678,957)	(11,437,568)
		37,745,959	(31,670,189)	34,507,335	(27,339,348)
Increase/(decrease) in operating liabilities					
Due to banks		908,354	(16,630,586)	2,628,776	(20,964,596)
Re-purchase agreements		32,522,183	(2,019,286)	32,272,060	(2,019,286)
Financial liabilities at amortised cost - due to depositors		179,368,098	9,159,796	182,753,734	11,407,514
Financial liabilities at amortised cost - due to other borrowers		(2,525,136)	(5,253,119)	(2,525,136)	(5,253,119)
Other liabilities		8,214,834	9,275,832	8,513,773	9,163,991
		218,488,333	(5,467,363)	223,643,207	(7,665,496)
Net cash generated from operating activities before income tax		300,719,214	27,229,269	305,148,795	30,916,470
Income tax paid	39	(14,344,132)	(7,434,912)	(14,934,280)	(8,495,239)
Surcharge tax paid		-	(2,670,567)	-	(3,232,510)
Net cash generated from operating activities		286,375,082	17,123,790	290,214,515	19,188,721
Cash flows from investing activities					
Purchase of property, plant & equipment	29.1 & 29.2	(1,587,186)	(887,298)	(2,209,713)	(2,080,445)
Proceeds from disposal of property, plant & equipment		591	1,905	3,704	3,777
Net cash flow from reverse repurchase agreements		10,000,000	(7,250,000)	10,076,600	(5,367,089)
Net cash flow from financial assets - FVPL		474,885	(231,345)	512,307	(413,023)
Net cash flow from debt instruments at amortised cost		(109,767,329)	56,989,231	(110,105,303)	52,427,606
Net cash flow from financial assets - FVOCI		(151,786,388)	3,028,313	(151,786,388)	3,028,313
Purchase of intangible assets	30	(429,348)	(309,934)	(437,982)	(321,964)
Dividend received from financial assets		138,679	162,317	140,163	162,557
Net cash (used in)/generated from investing activities		(252,956,096)	51,503,189	(253,806,612)	47,439,732
Cash flows from financing activities					
Proceeds from the issue of debentures	37.1	10,000,000	-	10,000,000	-
Redemption of debentures	37.1	(7,500,000)	(6,000,000)	(9,500,000)	(7,000,000)
Net proceeds from securitisation		-	-	(1,705,002)	2,163,000
Repayment of long term bond		(600,000)	-	(600,000)	-
Dividend paid		(4,145,494)	(4,863,589)	(4,145,494)	(4,863,589)
Repayment of principal portion of lease liabilities		(1,684,608)	(1,203,807)	(945,581)	(721,391)
Net cash used in financing activities		(3,930,102)	(12,067,396)	(6,896,077)	(10,421,980)
Net cash generated during the year		29,488,884	56,559,583	29,511,826	56,206,473
Net foreign exchange difference		(6,559,801)	8,357,060	(6,559,801)	8,357,060
Cash & cash equivalents at the beginning of the year		90,071,931	25,155,288	89,862,724	25,299,191
Cash & cash equivalents at the end of the year (Note B)		113,001,014	90,071,931	112,814,749	89,862,724

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

NOTE (A) RECONCILIATION OF OPERATING PROFIT BEFORE CHANGES IN OPERATING ASSETS AND LIABILITIES

For the year ended 31st December	Note	Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Profit before income tax		29,760,408	15,024,146	31,201,523	16,394,619
Interest income accrued on impaired loans & advances	7.1	(5,333,637)	(6,278,942)	(5,335,198)	(6,281,486)
Net (gain)/loss from trading	9				
Forward exchange contract revaluation (gain)/loss		(493,594)	2,195,990	(493,594)	2,195,990
Net mark to market (gain)/loss - government & equity securities		(268,192)	56,287	(213,898)	74,238
Dividend income		-	(3,922)	(1,484)	(3,922)
Net (gain)/loss on derecognition of financial assets	10				
Financial assets FVPL		(309,604)	(555,306)	(317,316)	(572,697)
Financial assets FVOCI		(282,107)	13,481	(282,107)	13,481
Net other operating income	11				
Dividend income from financial assets FVOCI		(138,679)	(162,245)	(138,679)	(162,485)
Dividend income from subsidiaries		(212,130)	(395,163)	-	-
Loss/(profit) on disposal of property, plant & equipment		865	(1,641)	(830)	(2,092)
Net impairment charge	12	20,148,542	62,706,010	20,209,602	62,908,121
Personnel expenses					
Charge on gratuity & pension	13	691,566	531,437	747,711	572,499
Other non-cash personnel expenses		306,417	372,806	315,251	386,808
Depreciation & amortisation expenses	14				
Depreciation of property, plant & equipment		873,135	771,878	1,313,641	1,196,384
Amortisation of intangible assets		261,984	279,017	271,791	297,980
Amortisation of right-of-use assets		1,509,380	1,494,073	968,941	902,397
Accrual for interest & commission income		(8,195,852)	(14,759,565)	(7,559,139)	(15,139,400)
Accrual for interest expense		846,836	13,113,896	1,074,147	13,755,055
Other accruals & non-cash income/expense		5,319,584	(10,035,416)	5,237,891	(10,614,176)
Operating profit before changes in operating assets/liabilities		44,484,922	64,366,821	46,998,253	65,921,314

NOTE (B) RECONCILIATION OF CASH & CASH EQUIVALENTS

As at 31st December	Note	Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Local currency in hand	20	26,211,701	18,206,833	26,447,856	18,358,248
Foreign currency in hand	20	5,008,566	3,560,890	5,008,566	3,560,890
Balances with local banks	20	157,308	174,876	179,415	205,543
Balances with foreign banks	20	47,649,317	55,413,612	47,649,317	55,413,612
Money at call and short notice	20	291,216	1,907,621	291,216	1,907,621
Placements less than three months	22	33,758,255	10,929,771	33,758,255	10,929,771
Unfavourable balances with local & foreign banks	34.2	(75,349)	(121,672)	(519,876)	(512,961)
Cash & cash equivalents at the end of the year		113,001,014	90,071,931	112,814,749	89,862,724

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

NOTE (C) RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	Bank		Group		
	Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Securitisation (Note 37) Rs 000
Balance as at 1st January 2022	27,996,119	3,726,611	34,263,734	3,493,648	-
Cash flows from financing activities					
Net proceeds from securitisation	-	-	-	-	2,163,000
Redemption of debentures	(6,000,000)	-	(7,000,000)	-	-
Repayment of principal portion of lease liabilities	-	(1,203,807)	-	(721,391)	-
Non cash changes					
Additions during the year	-	1,769,040	-	1,136,377	-
Net accrual/payment of interest	(22,603)	-	(53,082)	-	212,589
Balance as at 31st December 2022	21,973,516	4,291,844	27,210,652	3,908,634	2,375,589
Balance as at 1st January 2023	21,973,516	4,291,844	27,210,652	3,908,634	2,375,589
Cash flows from financing activities					
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-	-
Net proceeds from securitisation	-	-	-	-	(1,705,002)
Redemption of debentures	(7,500,000)	-	(9,500,000)	-	-
Repayment of principal portion of lease liabilities	-	(1,684,608)	-	(945,581)	-
Non cash changes					
Additions during the year	-	1,574,619	-	862,575	-
Net accrual/payment of interest	2,236,377	-	2,126,651	-	(121,081)
Balance as at 31st December 2023	26,709,893	4,181,855	29,837,303	3,825,628	549,506

The Notes to the Financial Statements from pages 259 to 401 form an integral part of these Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

1.1. General

Sampath Bank PLC ('The Bank'), is a domiciled, public limited liability company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982. It is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. The Bank was re-registered with the Registrar General of Companies as per the requirements of the Companies Act No. 07 of 2007 (Companies Act) on 28th April 2008 under the name of Sampath Bank PLC. The registered office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02. The shares of the Bank have a primary listing on the Colombo Stock Exchange (CSE). The unsecured subordinated debentures of the Bank are also listed on the CSE. The staff strength of the Bank as at 31st December 2023 was 4,179 (2022: 3,948).

1.2. Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 31st December 2023 comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group" and individually as "Group entities"). The subsidiaries of the Bank as at 31st December 2023 were Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.

Sampath Bank PLC is the ultimate parent of the Group.

The Financial Statements of all companies in the Group have a common financial year which ends on 31st December.

1.3. Principal Activities and Nature of Operations

1.3.1. Bank

The Bank provides a comprehensive range of financial services encompassing accepting deposits, corporate and retail banking, project financing, trade finance, treasury and investment services, issuing of credit cards and debit cards, off-shore banking, resident and non-resident foreign currency operations, electronic banking services such as: telephone banking, internet banking, mobile banking and money remittance facilities, pawning, leasing, factoring, travel related services and dealing in government securities etc.

1.3.2. Subsidiaries

Ownership of subsidiaries as of 31st December 2023 and 31st December 2022 is given in Note 28 to the Financial Statements. There were no significant changes in the nature of the principal activities of the Group during the financial year under review.

2. BASIS OF PREPARATION

2.1. Statement of Compliance

The Consolidated Financial Statements of the Group and the Separate Financial Statements of the Bank, which comprise the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No.30 of 1988 and amendments thereto and provide appropriate disclosures as required by the Listing Rules of the CSE.

The formats used in the preparation and presentation of the Financial Statements and the disclosures made therein also comply with the specified formats prescribed by the CBSL in the Circular No. 02 of 2019 on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks". The Bank also publish annual and quarterly financial information and other disclosures in the Press and the Website in compliance with Section 4.2 of the aforementioned Circular.

2.2. Responsibility for Financial Statements

The Board of Directors is responsible for the Financial Statements of the Group and the Bank as per Sri Lanka Accounting Standards and the provisions of the Companies Act No. 07 of 2007.

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors on the Affairs of the Company"

(pages 229 to 238), "Statement of Directors' Responsibility for Financial Reporting" (pages 243 and 244) and the certification on the Statement of Financial Position on page 253.

2.3. Approval of Financial Statements by Directors

The Financial Statements of the Group as at and for the year ended 31st December 2023 were authorised for issue by the Board of Directors in accordance with the resolution of the Board of Directors on 14th February 2024.

2.4. Basis of Measurement

The Financial Statements of the Group have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value (Note 23)
- Financial assets recognised through profit or loss (FVPL) are measured at fair value (Note 24)
- Financial assets held at fair value through other comprehensive income (FVOCI) are measured at fair value (Note 27)
- Land and buildings which are measured at cost at the time of acquisition subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 29)
- Liabilities for defined benefit obligations are recognised at the present value of the defined benefit obligation less the fair value of the plan assets (Note 38)

2.5. Functional and Presentation Currency

The Financial Statements of the Group are presented in Sri Lankan Rupees (Rs), which is the currency of the primary economic environment in which Sampath Bank PLC operates. Financial information presented in Sri Lankan Rupees has been rounded to the nearest thousand unless indicated otherwise. There was no change in the Group's presentation and functional currency during the year under review.

NOTES TO THE FINANCIAL STATEMENTS

2.6. Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements.

An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Note 52 to the Financial Statements.

2.7. Materiality and Aggregation

In compliance with Sri Lanka Accounting Standard - LKAS 1 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.8. Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation.

2.9. Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the direct method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), money at call and short notice, net of unfavourable local & foreign bank balances.

2.10. Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Group in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Group are as follows:

2.10.1. Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. The Directors have considered the impact of the present macro-economic conditions, in making this assessment. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.10.2. Impairment Losses on Loans and Advances

The measurement of impairment losses under Sri Lanka Accounting Standards - SLFRS 9 (Financial Instruments) across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine the expected credit loss on such loans and advances.

The expected credit loss (ECL) calculation under SLFRS 9 requires management to make judgments and estimates with regard to the following.

- The Group's criteria for assessing if there has been a significant increase in credit risk and so impairment for financial assets should be measured on a lifetime ECL basis
- Development of ECL models, including various formulas and the choice of inputs
- Selection of forward-looking macro economic scenarios and their probability weightings, to derive the economic inputs into the ECL model

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under Note 3.4.6 to the Financial Statements.

The key assumptions used in the Group's calculation of ECL have been revised to reflect the changes in the macro-economic conditions during the year. As at the reporting date, the expected impacts of the present macro-economic conditions have been captured via the modelled outcome as well as separate management overlays reflecting the considerable uncertainty still remaining in the modelled outcome.

Although the credit model inputs and assumptions, including forward-looking macroeconomic assumptions were revised in response to the current economic conditions, the fundamental credit model

mechanics and methodology underpinning the Group's calculation of ECL have remained consistent with prior periods.

The economic scenarios and forward-looking macroeconomic assumptions underpinning the collective provision calculation are outlined in Note 3.4.6.7, while the impact on changing the weightages of different macro-economic scenarios during the year are given in Note 51.2.1.3. A breakdown of the loans and advances of the Bank/Group classified under stage 2 & stage 3 is given in Notes 51.2.1.5 & 51.2.1.6. Sensitivity of the individually significant loan impairment to recovery cash flows is given in Note 51.2.1.3 while sensitivity of collective impairment provision to the staging of the loans and advances is disclosed in Note 51.2.1.4.

2.10.3. Impairment of Other Financial Assets

The Group reviews its debt securities classified as FVOCI/amortised cost at each reporting date. Objective evidence that a debt security held at FVOCI/amortised cost is impaired/having an increased credit risk includes, among other things, significant financial difficulty of the issuer, a breach of contract such as a default or delinquency in interest or principal payments etc. Management judgement has been involved in determining whether there is significant increase in credit risk of these instruments or these instruments are impaired as at the reporting date. The Bank classified its investment in Sri Lanka Sovereign Bonds under stage 2 having considered the debt restructuring arrangement of the government of Sri Lanka.

Equity instruments classified as FVOCI are not subjective for impairment assessment.

2.10.4. Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instruments is described in more detail in Note 3.4.11.

The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is given in Notes 50.5 and 50.7.

2.10.5. Financial Assets and Liabilities Classification

The Group's accounting policies provide scope for assets and liabilities to be classified, at inception into different accounting categories. The classification of financial instruments is given in Note 19, 'Analysis of Financial Instruments by Measurement Basis'.

2.10.6. Taxation

The Group is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The details of deferred tax computation is given in Note 32 to the Financial Statements.

2.10.7. Defined Benefit Plans

The cost of the defined benefit plans and the present value of their obligations are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates and possible future pension increases if any. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases and pension increases are based on expected future inflation rate and expected future salary increase rates of the Group.

2.10.8. Fair Value of Property, Plant and Equipment

The freehold land and buildings of the Group are reflected at fair value at the date of revaluation less any accumulated depreciation and impairment losses. The Group engages independent valuation specialists to determine fair value of freehold lands and buildings in terms of the Sri Lanka Accounting Standard - SLFRS 13, (Fair Value Measurement). The details of freehold land and buildings, including methods of valuation are given in Notes 29.3 and 29.4 to the Financial Statements. The Group has not revalued its freehold lands and buildings during this year for consolidated accounting purposes, on the basis that changes in property prices were not significant compared to the previous year.

2.10.9. Useful Lifetime of the Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.10.10. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Details of commitments and contingencies are given in Note 45.

2.10.11. SLFRS 16 – Leases

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. It also uses judgement in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit

NOTES TO THE FINANCIAL STATEMENTS

in the lease. As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay, to borrow an amount similar to the value of the lease asset, over a similar term and with similar security in similar economic environment. Further, the Group applies judgement in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either the renewal or termination option.

2.10.12. Impact of Climate Risk

The Group and its customers are exposed to the physical risks from climate change and risks of transitioning to a net-zero economy. These risks may involve refinancing and liquidity risks for certain customers in high-risk sectors where financial institutions may seek to reduce their exposures in the future. However, the nature and location of the Bank's counterparties and the underlying collateral limit the impact of this exposure. The following items and balances may be impacted by climate-related matters:

Expected credit losses (ECL): Customers and portfolios with exposure to climate risk may have a resultant deterioration in creditworthiness and a consequential impact on ECL. On the whole, the Group is of the view that the counterparties who have exposures to climate risk are not expected to be materially impacted by physical or transition risk associated with climate change. For example, the majority of the counterparties are not employed, or do not operate, in high-risk sectors, nor are they located in high-risk geographical areas. As a result, it was assessed that the magnitude of any impact of climate risk would not be material in the current reporting period.

Fair value measurement: The Bank has assumed that any climate change variables incorporated in fair value measurement are those that market participants would consider when pricing the asset or liability, in line with SLFRS 13 Fair Value Measurement. Consequently the Bank

concluded that climate risk has been adequately reflected within the fair value of its assets and liabilities. Where prices are observable, it is assumed that the fair value already incorporates market participants' view of climate risk variables.

3. MATERIAL ACCOUNTING POLICIES

The general accounting policies of the Group have been applied consistently to all periods presented in the Financial Statements except as specified in Note 2.8, Comparative Information. Set out below is an index of accounting policies, the details of which are available on the pages that follow:

Note	Description	Page No.	Reference to Other Notes in Financial Statements
3	Material Accounting Policies		
3.1	Basis of Consolidation	263	28
3.2	Business Combinations and Goodwill	263	28
3.3	Foreign Currency Transactions and Balances	263	9,11
3.4	Financial Instruments - Initial Recognition, Classification and Subsequent Measurement	263 - 272	7,9,10,12,19,20,22 to 27, 34 to 37,43.2,45
3.5	Leases	272 - 273	31
3.6	Fiduciary Assets	273	
3.7	Provisions	273	15
3.8	Operational Risk Events	273	15
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3.10	Other Taxes	273	
3.11	Regulatory Provisions	273	15
4	New Accounting Standards/ Amendments to already Existing Accounting Standards that became Effective during the year	274	
5	Accounting Standards Issued but Not Yet Effective as at 31st December 2023	274	
7	Net Interest Income	275 - 276	3.4
8	Net Fee and Commission Income	277	
9	Net Gain/(Loss) from Trading	278	3.4
10	Net Gain on Derecognition of Financial Assets	278	3.4
13	Personnel Expenses	280 - 282	38
14	Depreciation and Amortisation Expenses	283 - 284	29, 30, 31
16	Income Tax Expense	285 - 286	32,39
17	Earnings Per Share	287	
28	Investment in Subsidiaries	308 - 309	
29	Property Plant and Equipment	310 - 316	14, 43.1
30	Intangible Assets	317	14
47	Related Party Disclosures	342 - 345	
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3.1. Basis of Consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 (Consolidated Financial Statements). The Bank's Financial Statements comprise the amalgamation of the Financial Statements of the Domestic Banking Unit and the Off-Shore Banking Unit.

3.2. Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard - SLFRS 3 (Business Combinations).

The Group measures goodwill as the fair value of the consideration transferred including the recognised amount of any non-controlling interest in the acquiree, less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. When excess is negative, a bargain purchase gain is recognised immediately in profit or loss, if controlling power is acquired.

The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.3. Foreign Currency Transactions and Balances

All foreign currency transactions are translated into the functional currency, which is Sri Lankan Rupees, using the exchange rates prevailing at the dates of the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Sri Lankan Rupees using the spot foreign exchange rate ruling at that date and all differences arising on

non-trading activities are taken to 'Other operating income' in the Statement of Profit or Loss. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the rate of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange differences arising on the settlement or reporting of monetary items at rates different from those which were initially recorded are dealt with in the Statement of Profit or Loss. However, foreign currency differences arising on equity instruments classified as fair value through other comprehensive income, financial liabilities designated as a hedge of a net investment in a foreign operation, or qualifying cash flow hedges are recognised in other comprehensive income.

Forward exchange contracts are valued at the forward market rates ruling on the reporting date. Resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss under 'Net gain/loss from trading'.

3.4. Financial Instruments - Initial Recognition, Classification and Subsequent Measurement

3.4.1. Date of Recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to customers, are initially recognised on the trade date, i.e. the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognises balances due to depositors when funds are transferred to the Group.

3.4.2. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments, as described in Notes 3.4.3.1(a) and 3.4.3.1(b). Financial instruments are initially measured at their fair value.

Except in the case of financial assets and financial liabilities recorded at FVPL, transaction costs are added to, or subtracted from, this amount. Trade receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the Day 1 profit or loss, as described below.

3.4.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group recognises the difference between the transaction price and fair value ('Day 1' profit or loss) in the Statement of Profit or Loss over the tenor of the financial instrument using the effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

The "Day 1 loss" arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rates (EIR) in "Interest income" and "Personnel expenses" over the remaining service period of the employees or tenure of the loan whichever is shorter.

3.4.3. Measurement Categories of Financial Assets and Liabilities

The Group classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortised cost, as explained in Note 3.4.3.1
- FVOCI as explained in Notes 3.4.3.5 and 3.4.3.6
- FVPL as explained in Notes 3.4.3.2, 3.4.3.3 and 3.4.3.4

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The Group classifies and measures its derivative and trading portfolio at FVPL as explained in Notes 3.4.3.2 and 3.4.3.3. The Group may designate financial instruments at FVPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies, as explained in Note 3.4.3.4.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost or at FVPL when they are held for trading, derivative instruments or the fair value designation is applied, as explained in Notes 3.4.3.2, 3.4.3.3, 3.4.3.4 and 3.4.3.7.

3.4.3.1. Loans and advances to customers, debt and other instruments, reverse repurchase agreements

The Group only measures loans and advances to customers, debt and other instruments and reverse repurchase agreements at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective of collecting contractual cash flows
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding

The details of these conditions are outlined below.

3.4.3.1(a). Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed

- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)

The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.4.3.1(b). The SPPI test

As a second step of its classification process the Group assesses the contractual terms of financial instruments to identify whether they meet the SPPI test. 'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgment and considers relevant factors such as the currency in which the financial asset is denominated and the period for which the interest rate is set. In contrast, contractual terms that introduce a more than de-minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL

3.4.3.2. Derivatives recorded at fair value through profit or loss

A derivative is a financial instrument or other contract with all three of the following characteristics:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract (i.e. the 'underlying').
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts expected to have a similar response to changes in market factors.
- It is settled at a future date.

The Group enters into derivative transactions with various counterparties. These include interest rate swaps, cross-currency swaps, forward exchange contracts etc. Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. The notional amount and fair value of such derivatives are disclosed separately in Note 23. Changes in the fair value of derivatives are included in net gain/(loss) from trading unless hedge accounting is applied. The Group has not applied hedge accounting for any of its derivatives during the years ended 31st December 2023 and 2022.

3.4.3.2(a). Embedded derivatives

An embedded derivative is a component of a hybrid instrument that also includes a non-derivative host contract with the effect that some of the cash flows of the combined instrument vary in a way, similar to a stand-alone derivative.

An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract. A derivative that is attached to a financial instrument, but is contractually transferable independently of that instrument, or has a different counterparty from that instrument, is not an embedded derivative, but a separate financial instrument.

Derivatives embedded in liabilities and non-financial host contracts, are treated as separate derivatives and recorded at fair value if they meet the definition of a derivative (as defined above), their economic characteristics and risks are not closely related to those of the host contract, and the host contract is not itself held for trading or designated at FVPL. The embedded derivatives separated from the host were carried at fair value in the trading portfolio with changes in fair value recognised in the income statement. Derivatives embedded in financial assets are no longer separated. Instead, they are classified based on the business model and SPPI assessments as outlined in Notes 3.4.3.1(a) and 3.4.3.1(b).

3.4.3.3. Financial assets or financial liabilities held for trading

The Group classifies financial assets or financial liabilities as held for trading when they have been purchased or issued primarily for short-term profit making through trading activities or form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent pattern of short-term profit taking. Held-for-trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognised in net trading income. Interest income from financial assets held for trading is recorded under net interest income while dividend income is recorded in net trading income when the right to receive the dividend has been established. Included in this classification are debt securities and equity investments that have been acquired principally for the purpose of selling or repurchasing in the near term. The Group does not have any financial liabilities classified as held for trading as at 31st December 2023.

3.4.3.4. Financial assets and financial liabilities designated at fair value through profit or loss

Financial assets and financial liabilities in this category are those that are not held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under SLFRS 9. Management only designates an instrument at FVPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

- The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis
- Or
- The liabilities are part of a group of financial liabilities which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy
- Or
- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited

Financial assets and financial liabilities at FVPL are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit or loss with the exception of movements in fair value of liabilities designated at FVPL due to changes in the Group's own credit risk. Such changes in fair value are recorded in the "Own credit reserve" through OCI and do not get recycled to the profit or loss. Interest earned or incurred on instruments designated at FVPL is accrued in interest income or interest expense, respectively, using the EIR, taking into account any discount/premium and qualifying transaction costs being integral parts of the instrument.

3.4.3.5. Debt instruments at FVOCI

The Group applies this category for debt instruments when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets
- The contractual terms of the financial asset meet the SPPI test

These instruments largely comprise government securities.

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses are

recognised in profit or loss in the same manner as for financial assets measured at amortised cost.

The ECL calculation for debt instruments at FVOCI is explained in Note 3.4.6.5. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

3.4.3.6. Equity instruments at FVOCI

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments at FVOCI when they meet the definition of equity under Sri Lanka Accounting Standard - LKAS 32 (Financial Instruments: Presentation) and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss under other operating income when the right of the receive the dividend has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

3.4.3.7. Securities sold under repurchase agreements, due to banks, due to depositors, other borrowers and debt securities holders

After initial measurement, securities sold under repurchase agreements, due to banks, due to depositors, due to other borrowers and due to debt securities holders are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue of funds and costs that are an integral part of the EIR. The Group does not have compound financial instruments which contains both liability and equity components and require separation as at the date of the issue.

3.4.3.8. Financial guarantees, letters of credit and undrawn loan commitments

The Group issues financial guarantees, letters of credit and loan commitments. Financial guarantees are initially recognised in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognised

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less cumulative amortisation recognised in the income statement and the ECL provision.

The premium received is recognised in the income statement under net fees and commission income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Group is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, these contracts are within the scope of the ECL requirements.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded in the statement of financial position. The nominal values of these instruments are disclosed in Note 45, while the corresponding ECL is disclosed under Note 40, "Other liabilities".

3.4.4. Reclassification of Financial Assets and Liabilities

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group may acquire, dispose of, or terminates a business line (change in business model). However, in 2022, considering the recent unprecedented changes in the macro-economic conditions, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option for the entities to reclassify the debt portfolio measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost. Although there were no business model changes, using the above SoAT, the Group reclassified its treasury bond portfolio from FVOCI to Amortised Cost in 2022. The Group did not reclassify any of its financial assets in 2023.

When the Group reclassifies its financial assets it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification. The carrying value and the cumulative mark to market gain/loss of the treasury bonds reclassified in 2022 and still remaining in the portfolio are given in Note 27.8.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the fair value through profit or loss

measurement category, the financial asset continues to be measured at fair value. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

3.4.5 Derecognition of Financial Assets and Liabilities

3.4.5.1 Derecognition due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Group considers the following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

3.4.5.2. Derecognition other than for substantial modification

3.4.5.2(a). Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Group also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Group has transferred the financial asset if, and only if, either:

- The Group has transferred its contractual rights to receive cash flows from the financial asset

Or

- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement

Pass-through arrangements are transactions whereby the Group retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Group has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short term advances with the right to full recovery of the amount lent plus accrued interest at market rates
- The Group cannot sell or pledge the original asset other than as security to the eventual recipients
- The Group has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Group is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients

A transfer only qualifies for derecognition if either:

- The Group has transferred substantially all the risks and rewards of the asset
- Or
- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Group considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Group has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Group's continuing involvement, in which case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Group could be required to pay.

3.4.5.2(b). Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

3.4.6. Impairment Allowance for Financial Assets

3.4.6.1. Overview of the ECL principles

The Group calculates impairment allowances on financial assets in line with Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) and as per the CBSL Directive No. 13 of 2021 & No. 14 of 2021 on Classification, Recognition and Measurement of Credit Facilities/ Other Financial Assets in Licensed Banks. Accordingly, the Group has been recording impairment (expected credit losses) for all loans, debt & other financial instruments not held at FVPL, together with loan commitments, financial guarantee contracts, letter of credit and acceptances. Equity instruments are not subject to impairment under SLFRS 9.

Impairment is based on the credit losses expected to arise over the life of the asset [the lifetime expected credit loss or (LTECL), when there is a significant increase in credit risk since origination. In all other instances, the impairment is based on the 12 months' expected credit loss (12mECL). The Group's policies for determining if there has been a significant increase in credit risk are set out in Note 3.4.6.1(b).

The 12mECL is the portion of LTECL that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The policy for grouping financial assets measured on a collective basis is explained in Note 3.4.6.4. The details of individual assessment of ECLs are given in Note 3.4.6.3.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. This is further explained in Note 3.4.6.1(b). Based on the above process, the Group categorises its loans into 'stage 1', 'stage 2', 'stage 3' and 'originated credit impaired', as described below:

- Stage 1: When loans are first recognised, the Group recognises an impairment based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from stage 2 and stage 3.
- Stage 2: When a loan has shown a significant increase in credit risk since origination, the Group records an impairment for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from stage 3.
- Stage 3: Loans considered credit-impaired [as outlined in Note 3.4.6.1(a)]. The Group records an impairment for the LTECLs.
- Originated credit impaired: Originated credit impaired assets are financial assets that are credit impaired on initial recognition. They are recorded at fair value at initial recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses. The Group did not have originated credit impaired loans as at 31st December 2023 and 2022.

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For financial assets for which the Group has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

3.4.6.1(a). Definition of default and cure

The Group considers a financial instrument as defaulted and therefore stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as stage 3 for ECL calculations or whether stage 2 is appropriate.

Such events include:

- Customer's Internal Risk Rating (CIRR) is below C + or any down grading of the CIRR by two notches or more from the previous year
- Reasonable and supportable forecasts of future economic conditions show a direct negative impact on the performance of a customer/group of customers
- A significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers
- The value of collateral is significantly reduced and/or realisability of collateral is doubtful
- The borrower is subject to litigation that significantly affects the performance of the credit facility
- Frequent changes in the Board of Directors and Senior Management of an institutional customer
- Delay in commencement of business operations/projects by more than two years from the originally agreed date
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants etc.
- The borrower is deceased/insolvent

- Bank is unable to contact or find the borrower
- A fall of 50% or more in the turnover and/or profit before tax of the borrower when compared to the previous year, for two consecutive years
- Erosion of net-worth of the borrower by more than 25% (other than due to changes in equity structure and dividend policy) when compared to the previous financial year

It is the Group's policy to consider a financial instrument as 'cured' and therefore re-classified out of stage 3 when none of the material default criteria have been presented.

Once cured, the decision whether to classify an asset as stage 2 or stage 1 largely depends on the days past due, at the time of the cure. The corresponding reduction in ECL is recognised under "Impairment charge/reversal" in Note 12 to the financial statements.

The Group's criterion for 'cure' for rescheduled/restructured loans is more stringent than ordinary loans and is explained in Note 3.4.6.11.

3.4.6.1(b). Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have a significantly increased credit risk when it is past due for more than 30 days.

The Group also applies secondary qualitative methods for triggering a significant increase in credit risk, such as restructuring of an asset while the asset is less than 30 days past due. Further, rescheduled loans will remain in stage 2 for at least one year from the date of reschedulement even if such loans become less than 30 days past due. In certain cases, the Group may also consider that events explained in Note 3.4.6.1(a) are significant increase in credit risk as opposed to a default, particularly for customers who are considered as individually significant and investment in other financial assets.

The exposures which are not individually significant have been moved to stage 2 based on the industry risk of the underlying

borrowers. The Group has identified industries such as tourism, vehicle imports, construction (including condominiums), transportation and storage etc. as industries carrying an increased credit risk. Accordingly, exposures outstanding from the borrowers operating in these industries have been classified as stage 2. An analysis of the loans classified under stage 2 is given in Note 51.2.1.5.

3.4.6.2. The calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received from selling the asset.

Key elements of the ECL calculations are outlined below:

- **PD** - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio. The concept of PD is further explained in Note 3.4.6.4(a).
- **EAD** - The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments. The EAD is further explained in Note 3.4.6.4(b).
- **LGD** - The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including the realisation of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in Note 3.4.6.4(c).

With the exception of credit cards and other revolving facilities, for which the treatment is separately set out in Note 3.4.6.6, the maximum period for which

the credit losses are determined is the contractual life of a financial instrument unless the Group has the legal right to call it earlier.

3.4.6.3. Calculation of ECLs for individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired, moves in to a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment. The criteria used to determine whether individually significant customer is in default is discussed in Note 3.4.6.1(a).

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. In determining the expected future cash flows, the Group takes in to account the base case, the best case and the worst case scenarios considering various modes of settlement of the impaired credit facilities. Impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognised through the unwinding of the discount.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flows to service debt obligations;
- The amount and timing of expected receipts and recoveries;

- The extent of other creditors' commitments ranking ahead of, or pari- passu with the Bank and the likelihood of other creditors continuing to support the company;
- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession;
- The likely deduction of any costs involved in recovery of amounts outstanding;
- The ability of the borrower to obtain and make payments in the currency of the loan if not denominated in local currency; and
- The likely dividend available on liquidation or bankruptcy

3.4.6.4. Grouping financial assets measured on a collective basis

The Group calculates ECLs either on a collective or an individual basis. Asset classes where the Group calculates ECL on an individual basis include:

- All customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant. However, if the customer is determined to be not impaired such customers are moved back to collective ECL calculation.
- The treasury, trading and interbank relationships (such as due from banks, debt and other instruments at amortised cost/FVOCI)

For all other asset classes, the Group calculates ECL on a collective basis. The Group categorises these exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower
- Whether the loan is restructured/ rescheduled

3.4.6.4(a). The internal rating and PD estimation process

The Bank and its' subsidiary, Siyapatha Finance PLC have their own internal rating models. These models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower's behaviour. Although these PDs are used for regulatory purposes, the same is not used for PD estimation under SLFRS 9.

PD estimation for loans and advances under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most banks in the country at present.

Accordingly, exposures are categorised among 5 groups based on the DPD as follows.

- Zero days past due
- 1 - 30 days past due
- 31 - 60 days past due
- 61 - 90 days past due
- Above 90 days past due

The movement of the customers into adverse DPD categories are tracked at each account level over the periods and it is used to estimate the amount of loans that will eventually be written off.

However, for loans granted to banks, debt & other financial instruments classified as amortised cost/FVOCI, the Group relies on external credit ratings in determining their respective PDs.

3.4.6.4(b). Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a stage 1 loan, the Group assesses the possible default events within 12 months. However, if a stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are considered. For stage 2 and stage 3 financial assets and credit impaired financial assets at origination, events over the lifetime of the instruments are considered. The Group determines

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EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

3.4.6.4(c). Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD.

- Secured against cash/deposits held within the bank
- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against listed shares
- Secured against lease receivables

These LGD rates consider the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics (e.g. product type, collateral type) as well as borrower characteristics. Further, recent data and forward-looking economic scenarios are used in order to determine the LGD for each collateral type. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

For financial investments other than loans and advances, the Group uses the LGD rates specified by the regulator in the Basel III guidelines when calculating the ECL as per SLFRS 9.

3.4.6.5. Debt instruments measured at FVOCI

The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the impairment that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the assets.

3.4.6.6. Credit cards and other revolving facilities

The Bank's product offering includes credit card facilities and other revolving products, in which the Bank has the right to cancel and/or reduce the facilities with a very short notice. The Bank does not limit its exposure to credit losses to the contractual notice period, but, instead calculates ECL over a period of 12 months to reflect the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

3.4.6.7. Forward looking information

In its ECL models, the Group relies on a broad range of forward-looking information as economic inputs. The inputs and models used for calculating ECLs may not always capture all characteristics of the market as at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

In 2023, the Group changed the values of the key macro-economic variables in the impairment calculation model including the GDP growth rate, unemployment rate, interest rate, exchange rate etc. These values have been determined based on the most recent forecasts available as at the date of the calculation.

To reflect the economic uncertainties in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios during the year. Weightages assigned for each scenario is given below along with the weightages used in 2022.

	2023	2022
Base Case	20%	10%
Best Case	10%	5%
Worst Case	70%	85%

To ensure completeness and accuracy, the Group obtains the above data primarily from the Central Bank of Sri Lanka (CBSL). Other third party sources such as World Bank and International Monetary Fund etc. is also used when CBSL data is not available. The Bank's internal Research Unit reviews the inputs used and the weights attributed to multiple scenarios.

Despite a few positive indications of economic recovery, macro - environment still remains uncertain at large and there is a likelihood for higher impairment provisions in the years ahead. Although the Group relaxed some of the forward-looking assumptions, it continued to maintain the impairment buffers built in the previous year.

3.4.6.8. Collateral valuation

To mitigate its credit risks on financial assets, the Group seeks to use collateral, where possible.

The collateral comes in various forms, such as cash, securities, letter of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral affects the calculation of ECLs. It is generally assessed, at a minimum, at inception and to fall in line with the CBSL directives.

To the extent possible, the Group uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuation specialists.

3.4.6.9. Collateral repossessed

The Group's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to the relevant asset category at the lower of the repossessed value or the carrying value of the original secured asset. The Bank did not transfer any repossessed assets to its property, plant and equipment during the years ended 31st December 2023 and 2022.

3.4.6.10. Write-offs

Financial assets are written off either partially or in their entirety only when the Group has stopped pursuing the recovery. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is past due for 7 years, based on historical experience on recovery of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery.

If the amount to be written off is greater than the accumulated impairment, the difference is first treated as an addition to the impairment that is then applied against the gross carrying amount. Any subsequent recoveries are credited to the statement of profit or loss.

Total value of loans written off during the year are given in Note 25.2. Although the Bank has written-down these loans, it retains the enforcement rights on the full capital until the legal proceedings are concluded.

3.4.6.11. Rescheduled and restructured loans

The Group sometimes makes concessions or modifications to the original terms of loans in response to the borrower's financial difficulties, rather than taking possession of the collateral. The Group considers a loan as rescheduled/restructured, when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Group would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Reschedule/restructure may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. It is the Group's policy to monitor rescheduled/restructured loans to ensure that future payments are likely to occur. When the Group reschedule/restructure a loan facility of a customer, the entire portfolio of the customer is classified as minimum stage 2 at the modification date. The Group also considers whether such assets should be classified as stage 3. Rescheduled customers will remain in stage 3 during the curing period and at least 12 months in stage 2 before classifying into stage 1. Restructured loans are upgraded to stage 1 by the Bank's Risk Department based on their independent evaluation of the customers. If the upgraded rescheduled/restructured loans become past due (for more than 30 days) on a later date, loss allowance reverts to being measured at an amount equal to life time expected credit losses. Details of restructured/rescheduled loans are disclosed in Note 51.2.1.7. If modifications are substantial, the loan is derecognised, as explained in Note 3.4.5.1.

3.4.7. Modification of Financial Instruments in the Context of Interest Rate Benchmark Reform – Phase 2 Amendments

When the basis for determining the contractual cash flows of a financial asset or financial liability measured at amortised cost is changed as a result of interest rate benchmark reform (IBOR reform), the Group updates the effective interest rate of the financial asset or financial liability similar to a floating rate financial instrument and does not derecognise or adjust the carrying amount (the practical expedient). This practical expedient is applied only when the modification is required as a direct consequence of IBOR reform, and the new basis for determining the contractual cash flows is economically equivalent to the previous basis.

If changes are made to a financial asset or financial liability in addition to changes to the basis for determining the contractual cash flows required by the interest rate benchmark reform, then the Group sequentially updates the effective interest first to reflect the change required by IBOR reform and then applies its policies on modification or derecognition of financial assets and financial liabilities.

3.4.8. Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKAs/SLFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

3.4.9. Hedge Accounting

The Group designates certain derivatives as either:

- Hedges of fair value of recognised assets, liabilities or firm commitments (fair value hedge);
- Hedges of highly probable future cash flows attributable to a recognised asset or liability, or a forecast transaction (cash flow hedge); or
- Hedges of net investments in foreign operations (net investment hedges)

Hedge accounting is used for derivatives designated in this way provided certain criteria are met. The Group documents, at the inception of the transaction, the relationship between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedge transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

The Group did not designate any derivative as a hedging instrument during the years ended 31st December 2023 and 2022.

3.4.10. Amortised Cost Measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

3.4.11. Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 01 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the

NOTES TO THE FINANCIAL STATEMENTS

fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 01 valuation) nor based on a valuation technique that uses only data from observable markets (Level 02 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Group believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

3.5. Leases

At inception of a contract, the Group assesses whether the contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and
- The Group has right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either:
 - The Group has the right to operate the asset; or
 - The Group designed the asset in a way that predetermines how and for what purpose it will be used.

3.5.1. Group as the Lessee

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made on or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying assets or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 20 years.

In addition, the right of use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date,

discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is subsequently measured at amortised cost using the effective interest method. It is re-measured when there is a change in future lease payments such as Group changes its assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right of use asset, or is recorded in profit or loss if the carrying amount of the right of use asset has been reduced to zero.

The Group presents right of use assets under Note 31 to the financial statements while the corresponding lease liability is presented in Note 40, 'Other Liabilities'

3.5.1.1. Short term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognises lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.5.2. Group as the Lessor

When the Group acts as a lessor, it determines at least inception whether each lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease. If not it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the assets.

When the Group is the lessor under a finance lease contract, the amounts due under the leases, after deduction of unearned interest income, are included in Note 25, 'Loans and advances'. Interest income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

The Group recognises lease payments received under operating leases as income on a straight line basis over the lease term as part of other income.

3.6. Fiduciary Assets

The Group provides fiduciary services that result in the holding of assets on behalf of its customers. Assets held in fiduciary capacity are not reported in the Financial Statements, as they are not assets of the Group.

3.7. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking in to account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

Before a provision is established, the Group recognises any impairment loss on the assets used in fulfilling the contract. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

3.8. Operational Risk Events

Provisions for operational risk events are recognised for losses incurred by the Group which do not relate directly to the amounts of principal outstanding for loans and advances. The amount recognised as a provision is the best estimate of the expenditure required to settle the present obligation as at the reporting date, taking into account the risks and uncertainties that surround the events and circumstances that affect the provision.

3.9. Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less cost of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

3.10. Other Taxes

3.10.1. Value Added Tax (VAT)

VAT on financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The base for the computation of value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments payable to employees including cash benefits, non-cash benefits & provisions relating to terminal benefits.

3.10.2. Social Security Contribution Levy

Social Security Contribution Levy shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No. 25 of 2022, at the rate of 2.5%, with effect from 1st October 2022 and subsequent amendments thereto. SSCL is payable on 100% of the value addition attributable to financial services.

The value addition attributable to financial services shall be computed for the payment of SSCL on the business of supplying financial services by applying the attributable method referred to in Chapter IIIA of the Value Added Tax Act No. 14 of 2002.

3.11. Regulatory Provisions

3.11.1. Deposit Insurance and Liquidity Support Scheme

All Licensed Commercial Banks are required to insure their deposit liabilities in the "Sri Lanka Deposit Insurance Scheme" in terms of the Banking (Special Provisions) Act Direction No. 1 of 2023, issued on 15th November 2023. The Bank's total capital ratio as at 31st December 2022 exceeded 14% and accordingly the Bank paid a premium of 0.10% of the eligible deposits as deposit insurance premium, during the year ended 31st December 2023. Deposit insurance premium expense of the Bank/ Group is given in Note 15 to the Financial Statements.

3.11.2. Crop Insurance Levy

In terms of the Finance Act No. 12 of 2013, all institutions under the purview of Banking Act No. 30 of 1988, Finance Business Act No. 42 of 2011 and Regulation of Insurance Industry Act No. 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund effective from 1st April 2013.

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4. NEW ACCOUNTING STANDARDS/AMENDMENTS TO EXISTING ACCOUNTING STANDARDS THAT BECAME EFFECTIVE DURING THE YEAR

Accounting Standard	Description	Effective Date	Assessment of the Impact on the Group/Bank
Amendments to LKAS 8 - Accounting Policies, Changes in Accounting Estimates and Errors	The amendments clarify the followings: • Distinction between changes in accounting estimates, changes in accounting policies and the correction of errors. • How entities use measurement techniques and inputs to develop accounting estimates. • A change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.	1st January 2023	No material impact on the Financial Statements of the Bank/Group
Amendments to LKAS 1 - Presentation of Financial Statements	• Replaces the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose 'material' accounting policies. • Provides guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures. • Specify the requirements for classifying liabilities as current or non-current.	1st January 2023	No material impact on the Financial Statements of the Bank/Group
Amendments to LKAS 12 - Income Taxes	The amendments introduce an exception to the initial recognition exemption in LKAS 12. The effect of these amendments essentially mean that the initial recognition exemption is not available for transactions which involve the recognition of both an asset and liability which in turn leads to equal and opposite temporary differences. Therefore, deferred taxes are calculated and booked for both temporary differences, at initial recognition and subsequently.	1st January 2023	No material impact on the Financial Statements of the Bank/Group

Apart from the above, there were no new accounting standards/amendments to existing accounting standards that became effective during the year.

5. ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT 31ST DECEMBER 2023

As of 31st December 2023, there were no new accounting standards issued by the Institute of Chartered Accountants of Sri Lanka that were not yet effective and had a material impact on the Group's Financial Statements.

The Group has applied all relevant accounting standards which have been issued up to 31st December 2023 in the preparation of the Financial Statements for the year ended 31st December 2023.

6 GROSS INCOME

ACCOUNTING POLICY

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Specific recognition criteria that must be met before recognising revenue is discussed under Note 7 - Net Interest Income, Note 8 - Net Fee and Commission Income, Note 9 - Net Gain/(Loss) from Trading, Note 10 - Net Gain on Derecognition of Financial Assets and Note 11 - Net Other Operating Income.

For the year ended 31st December	Note	Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Interest income	7.1	203,447,113	157,619,458	212,458,617	164,775,651
Fee & commission income	8	22,909,822	21,940,763	23,544,833	22,685,656
Net gain/(loss) from trading	9	761,786	(2,248,355)	708,976	(2,266,306)
Net gain on derecognition of financial assets	10	591,711	541,825	599,423	559,216
Net other operating income	11	(1,556,336)	19,716,827	(807,379)	20,248,037
		226,154,096	197,570,518	236,504,470	206,002,254

7 NET INTEREST INCOME

ACCOUNTING POLICY

Recognition of Interest Income

The Group recognises interest income for all financial instruments measured at amortised cost, interest-bearing financial assets measured at FVOCI and FVPL using the effective interest rate (EIR) method. The EIR is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income. The adjustment is subsequently amortised through interest and similar income in the Income Statement.

When a financial asset becomes credit-impaired [as set out in Note 3.4.6.1(a)] and is, therefore, regarded as 'Stage 3', the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

For the year ended 31st December		Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Interest income	7.1	203,447,113	157,619,458	212,458,617	164,775,651
Interest expense	7.2	131,157,456	84,117,088	137,015,683	88,733,558
Net interest income		72,289,657	73,502,370	75,442,934	76,042,093

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7 NET INTEREST INCOME CONTD.

7.1 Interest Income

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Placements with banks	3,629,443	579,168	3,629,443	579,168
Financial assets recognised through profit or loss - measured at fair value	965,881	870,330	965,881	870,330
Reverse repurchase agreements	678,035	167,031	728,444	285,624
Financial assets at amortised cost				
- loans & advances	130,907,033	117,837,726	138,559,282	124,207,241
- debt & other instruments	39,620,638	27,487,927	40,927,923	28,153,468
Interest income accrued on impaired loans & advances (Note 25.2)	5,333,637	6,278,942	5,335,198	6,281,486
Financial assets - fair value through other comprehensive income	22,312,446	4,398,334	22,312,446	4,398,334
	203,447,113	157,619,458	212,458,617	164,775,651

7.2 Interest Expense

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Due to banks	403,142	707,483	1,246,347	1,995,720
Securities sold under repurchase agreements	2,808,304	5,305,493	2,791,550	5,262,143
Financial liabilities at amortised cost				
- due to depositors	122,416,657	73,677,806	126,775,973	76,183,079
- due to other borrowers	447,313	447,100	447,313	447,100
- due to debt securities holders	4,422,886	3,453,444	5,247,775	4,389,923
Interest rate SWAP	13,191	102,186	13,191	102,186
Finance leases (Note 31.1)	645,963	423,576	493,534	353,407
	131,157,456	84,117,088	137,015,683	88,733,558

7.3 Net Interest Income from Sri Lanka Government Securities

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Interest income				
Financial assets recognised through profit or loss - measured at fair value	965,881	870,330	965,881	870,330
Financial assets at amortised cost - debt & other instruments	38,004,417	26,307,197	39,311,702	26,972,738
Financial assets - fair value through other comprehensive income	22,300,712	4,398,334	22,300,712	4,398,334
Reverse repurchase agreements	678,035	167,031	728,444	285,624
Interest expense				
Securities sold under repurchase agreements	(2,808,304)	(5,305,493)	(2,791,550)	(5,262,143)
Net interest income from Sri Lanka Government securities	59,140,741	26,437,399	60,515,189	27,264,883

ACCOUNTING POLICY**Fee Income Earned from Services that are Provided over a Certain Period of Time**

Fees earned for the provision of services over a period of time are accrued over that period. These fees include professional fees, trade service fees, commission income and asset management fees etc. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate of the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

Fee Income from Providing Transaction Services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of an acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised as the related services are performed.

Expenses on Account of Customer Loyalty Program

Award credits under customer loyalty programme are accounted for as a separately identifiable component of the transaction in which they are granted. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and the other components of the sale. Expense incurred for customer loyalty programme is accounted under fee and commission expense.

Other Fee and Commission Expense

Other fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expenses are recognised on an accrual basis.

For the year ended 31st December	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Fee & commission income	22,909,822	21,940,763	23,544,833	22,685,656
Fee & commission expense	(4,023,353)	(2,499,396)	(4,025,896)	(2,500,860)
Net fee & commission income	18,886,469	19,441,367	19,518,937	20,184,796
Comprising:				
Loans & advances	1,375,269	1,643,688	1,702,880	1,953,214
Credit & debit cards	6,352,180	5,806,497	6,352,180	5,806,497
Trade & remittances	7,410,709	8,660,900	7,410,709	8,660,900
Deposits	898,416	746,781	898,476	746,798
Guarantees	546,306	566,567	546,382	566,629
Other banking & financial services	2,303,589	2,016,934	2,608,310	2,450,758
Net fee & commission income	18,886,469	19,441,367	19,518,937	20,184,796

NOTES TO THE FINANCIAL STATEMENTS

9 NET GAIN/(LOSS) FROM TRADING

ACCOUNTING POLICY

Net gain/(loss) from trading includes all the gains and losses from changes in fair value and dividend from financial assets measured at fair value through profit or loss. Dividend income is recognised when the Group's right to receive the payment is established. This category also includes foreign exchange differences arising from derivative contracts which are not designated as hedging instruments.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Derivative financial instruments				
Forward exchange contract revaluation gain/(loss)				
-Inter bank	493,902	(1,752,084)	493,902	(1,752,084)
-Others	(308)	(443,906)	(308)	(443,906)
Financial assets recognised through profit or loss measured at fair value				
Government Securities				
Net mark to market gain/(loss)	268,192	(128,670)	268,192	(128,670)
Equity Securities				
Net mark to market gain/(loss)	-	72,383	(54,294)	54,432
Dividend income	-	3,922	1,484	3,922
	761,786	(2,248,355)	708,976	(2,266,306)

10 NET GAIN ON DERECOGNITION OF FINANCIAL ASSETS

ACCOUNTING POLICY

Net gain/(loss) on derecognition of financial assets include realised gain/(loss) related to financial assets measured at fair value through profit or loss, debt instruments measured at FVOCI and financial instruments measured at amortised cost.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Recognised at:				
- fair value through profit or loss	309,604	555,306	317,316	572,697
- fair value through other comprehensive income	282,107	(13,481)	282,107	(13,481)
	591,711	541,825	599,423	559,216

11 NET OTHER OPERATING INCOME

ACCOUNTING POLICY

Net other operating income includes foreign exchange gains and losses, dividend income from equity securities designated through other comprehensive income, dividend income from subsidiary companies, gains/(losses) from disposal of property, plant and equipment and rental income.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Exchange income				
- Inter bank	(971,060)	3,281,409	(971,060)	3,281,409
- Others	(1,409,116)	15,175,164	(1,409,116)	15,175,164
Dividend income from financial assets at FVOCI	138,679	162,245	138,679	162,485
Dividend income from subsidiaries	212,130	395,163	-	-
(Loss)/profit on disposal of property, plant & equipment	(865)	1,641	830	2,092
Rental & other income	473,896	701,205	1,433,288	1,626,887
	(1,556,336)	19,716,827	(807,379)	20,248,037

- 11.1 Exchange income represents both revaluation gain/(loss) on the Bank's net open position and realised exchange gain/(loss) on foreign exchange contracts including the Bank's currency notes operation. Profit on forward exchange contracts amounting to Rs 494 Mn (2022: loss of Rs 2,196 Mn) is reported under Note 9, 'Net gain/(loss) from trading' as required by the Sri Lanka Accounting Standard SLFRS 9 (Financial Instruments). Accordingly total exchange loss of the Bank & the Group for the year ended 31st December 2023 amounted to Rs 1,887 Mn (2022: profit of Rs 16,261 Mn). The exchange loss for the financial year 2023 was incurred primarily on the Bank's FCBU exposure, due to appreciation of LKR during the year.

12 IMPAIRMENT CHARGE/(REVERSAL)

ACCOUNTING POLICY

The accounting policies adopted in determining the impairment allowance for financial assets including loans and advances are given in Note 3.4.6 to the Financial Statements.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cash & cash equivalents (Note 20.2)				
Stage 1	(46,495)	(46,940)	(46,433)	(46,920)
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	(46,495)	(46,940)	(46,433)	(46,920)
Placements with banks (Note 22.2)				
Stage 1	13,375	2,162	13,375	2,162
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	13,375	2,162	13,375	2,162
Financial assets at amortised cost - loans & advances (Note 25.2)				
Stage 1	3,130,378	5,098,043	3,120,425	5,081,396
Stage 2	(18,677,580)	20,554,192	(18,792,525)	20,703,899
Stage 3	33,613,871	28,691,655	33,795,768	28,656,170
	18,066,669	54,343,890	18,123,668	54,441,465
Financial assets at amortised cost - debt & other instruments (Note 26.4)				
Stage 1	(49,873)	(5,625,277)	(49,873)	(5,625,277)
Stage 2	1,669,845	12,894,749	1,669,845	12,894,749
Stage 3	(21,197)	(7,369)	(21,197)	(7,369)
	1,598,775	7,262,103	1,598,775	7,262,103
Financial assets at fair value through other comprehensive income (Note 43.2)				
Stage 1	-	-	-	-
Stage 2	281,884	538,230	281,884	538,230
Stage 3	-	-	-	-
	281,884	538,230	281,884	538,230
Credit related commitments & contingencies (Note 45.2)				
Stage 1	430,818	639,857	420,597	669,949
Stage 2	(207,123)	288,329	(207,123)	288,329
Stage 3	10,639	(320,818)	10,639	(320,818)
	234,334	607,368	224,113	637,460
Property, plant & equipment (Note 29.3)	-	(803)	-	(803)
Others	-	-	14,220	74,424
	20,148,542	62,706,010	20,209,602	62,908,121

NOTES TO THE FINANCIAL STATEMENTS

12 IMPAIRMENT CHARGE/(REVERSAL) CONTD.

12.1 Measurement of Expected Credit Losses

12.1 (a) Loans and advances

As per the disclosure in Note 25 of the Financial Statements, the Bank witnessed an increase of Rs 43 Bn (Group: Rs 40 Bn) in stage 3 loans during the year, primarily attributed to the conclusion of moratoriums and other concessions in the preceding financial year. Even with the increase in stage 3 loans, the overall impairment charge for loans and advances decreased compared to the previous year. This was primarily a result of the accumulation of provisions in 2022, specifically targeting the elevated risk segments in the loan portfolio. The enhanced macro-economic outlook also played a role in reducing the impairment charge on loans and advances, as a significant portion of loans transitioned from stage 2 to stage 1, by 31st December 2023. Further, the reduction of the total loan portfolio by Rs 43 Bn (Group: Rs 41 Bn) also contributed to the lower impairment charge, in comparison to the previous financial year.

The Bank/Group carefully assessed all individually significant loans as of 31st December 2023 and sufficient provisions have been incorporated into the Financial Statements. Additionally, the Bank/Group revised the cash flow assumptions for customers who were previously impaired, ensuring that any deterioration in the credit quality of such customers has been appropriately addressed during the year.

The impairment models used for collective impairment in 2022 were retained in 2023 to ensure sufficient buffers were in place to absorb any potential credit risk that might arise in the future. The Bank continued to adhere to its prudent approach during the year 2023, booking additional provisions against newly identified customer segments with elevated credit risk. The allowance for overlay applied in 2022 continued to be maintained for the current reporting period as well.

12.1 (b) Other financial instruments

The reduction in impairment charge on other financial instruments in 2023 reflects the Bank's decision to exchange its holdings in Sri Lanka Development Bonds (SLDBs) to local currency denominated bonds. This allowed the Bank to reverse the impairment provision already recognised against the SLDBs by Rs 4.8 Bn. However, Rs 1.2 Bn was recognised as a Day 1 loss, against the local currency bonds received under the Domestic Debt Optimisation (DDO) programme, equivalent to 5% of the bond value.

At the same time, the Bank increased the impairment provision against its Sri Lanka International Sovereign Bonds (SLISBs) by Rs 5.5 Bn, to account for a possible haircut in 2024. The Bank considered the latest available information and the indicative terms of the SLISB restructuring arrangement, when calculating the impairment provision as at 31st December 2023. SLISBs were continued to be classified under stage 2 reflecting the progress of the debt restructuring as at the reporting date.

13 PERSONNEL EXPENSES

ACCOUNTING POLICY

Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods, as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable by the employer to a defined contribution plan is in proportion to the services rendered to the Group by the employees and is recorded as an expense under 'Personnel expenses' as and when they become due. Unpaid contributions are recorded as a liability under 'Other liabilities' in Note 40.

The Group contributes 3% of the salary of each employee to the Employees' Trust Fund. Further, the subsidiary companies contribute 12% on the salary of each employee to the Employees' Provident Fund. The above expenses are identified as contributions to "Defined Contribution Plans" as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Defined Benefit Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, the pension fund, staff gratuity and the Employees' Provident Fund of the Bank were considered as defined benefit plans as per Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Pension Fund

The Bank has a pension fund for all members who joined the Bank for permanent employment before 1st June 2003. A member is eligible for a monthly pension after attainment of the retirement age and completion of 10 years uninterrupted service. The Bank measures the present value of the pension obligation, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit (PUC) method as required by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation is carried out at every year end to ascertain the full liability under the Fund.

The Bank's obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods and discounting that benefit to determine its present value, then deducting the fair value of any plan assets to determine the net amount to be shown in the Statement of Financial Position. The value of any defined benefit asset is restricted to the present value of any economic benefits available in the form of refunds from the plan or reductions in the future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Bank. An economic benefit is available to the Bank if it is realisable during the life of the plan, or on settlement of the plan liabilities.

The Bank determines the net interest expense/(income) on the net defined benefit liability/(asset) by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit liability/(asset) at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligations.

The increase in the pension fund liabilities attributable to the services provided by employees, who are members of the Fund, during the year ended 31st December 2023 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest income/expense. The Bank recognises the total actuarial gain/loss that arise in calculating the Bank's obligation in respect of a plan in other comprehensive income during the period in which it occurs.

The demographic assumptions underlying the valuation are early withdrawals from service and retirement on medical grounds, death before and after retirement etc.

The assets of the fund are held separately from those of the Bank's assets and are administered independently. The subsidiaries do not operate pension funds.

Gratuity

In compliance with the Gratuity Act No. 12 of 1983, provision is made in the accounts from the first year of service, for gratuity payable to employees who joined the Bank on or after 1st June 2003, as they are not in pensionable service of the Bank. Provision is not made in the accounts for gratuity payable to employees who joined prior to 1st June 2003 and completed five or more years of continuous service, as the Bank has its own non-contributory pension scheme in force. However, if employees who are eligible for pension resign before retirement age, the Bank is liable to pay gratuity to such employees.

An actuarial valuation is carried out at every year end to ascertain the full liability under gratuity.

The gratuity liability is not externally funded. All subsidiary companies too carry out actuarial valuations to ascertain their respective gratuity liabilities.

The Group determines the interest expense on this defined benefit liability by applying the discount rate used to measure the defined benefit liability at the beginning of the annual period to the defined benefit liability at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Group's obligations.

The increase in gratuity liabilities attributable to the services provided by employees during the year ended 31st December 2023 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest expense. The Group recognises the total actuarial gain/loss that arise in calculating the Group's obligation in respect of gratuity, in other comprehensive income during the period in which it occurs.

The demographic assumptions underlying the valuation are retirement age (60 years), early withdrawals from service and retirement on medical grounds etc.

NOTES TO THE FINANCIAL STATEMENTS

13 PERSONNEL EXPENSES CONTD.

Employees' Provident Fund - Bank

Employees' Provident Fund is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute 12% and 8% respectively on the salary of each employee. Employees who are members of the fund, entitle to receive interest at a guaranteed rate of National Savings Bank one-year fixed deposit rate (net of income tax) on their balance even if the fund earns a lower return from its investment in a given financial year. Accordingly, this obligation was treated as a defined benefit liability and an actuarial valuation was conducted to value the Bank's obligation on the same.

Unutilised Accumulated Leave

The Bank's liability towards the accumulated leave which is expected to be utilised beyond one year from the end of the reporting period is treated as other long-term employee benefits. The Bank's net obligation towards unutilised accumulated leave is calculated by discounting the amount of future benefit that employees have earned in return for their service in the current and prior periods to determine the present value of such benefits. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligation. The calculation is performed using the Projected Unit Credit method. Net change in liability for unutilised accumulated leave including any actuarial gain/(loss) is recognised in the Statement of Profit or Loss under 'Personnel expenses' in the period in which they arise.

The Group's net obligation to pension fund, gratuity, EPF interest guarantee and unutilised accumulated annual leave is disclosed under Note 38 to the Financial Statements.

Share Based Payment Transactions

The Group does not have any share-based payment transactions in force as at 31st December 2023.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Salaries & bonus	11,539,793	9,892,897	12,812,344	11,023,766
Contributions to EPF & ETF	976,596	921,022	1,082,067	1,017,933
Provision on gratuity (Note 38.1.2)	492,418	332,972	548,563	374,034
Provision on pension fund (Note 38.4.2)	199,148	198,465	199,148	198,465
Amortisation of pre-paid staff cost (Note 33.2)	282,014	349,262	290,850	363,264
Others	759,874	801,430	893,142	901,069
	14,249,843	12,496,048	15,826,114	13,878,531

ACCOUNTING POLICY**Depreciation of Property, Plant and Equipment**

The Group provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates, on a straight-line basis, over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group.

Improvements to leasehold properties are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Freehold lands are not depreciated.

Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Asset Category	Depreciation Rate per Annum (%)	
	2023	2022
Freehold buildings	2.50	2.50
Improvements to leasehold properties	10.00 - 20.00	10.00 - 20.00
Computer equipment - Freehold	15.00 - 25.00	15.00 - 25.00
Motor vehicles	12.50 - 20.00	12.50 - 20.00
Office equipment	5.00 - 20.00	5.00 - 20.00
Fixtures & fittings	4.00 - 20.00	4.00 - 20.00

Amortisation of Intangible Assets

Intangible assets, except for goodwill, are amortised on a straight-line basis in the Statement of Profit or Loss from the date when the asset is available for use, over the best estimate of its useful economic life, based on a pattern in which the asset's economic benefits are consumed by the Group. The Group assumes that there is no residual value for its intangible assets.

Asset Category	Amortisation Rate per Annum (%)	
	2023	2022
Computer software	25.00	25.00
Licenses	5.00 - 33.33	5.00 - 33.33

Amortisation of Right-of-Use Assets

The right of use assets are depreciated using a straight-line method from the commencement date to the earlier of the end of the useful life of the right of use assets or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 20 years.

Changes in Estimates

Depreciation/amortisation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate. During the year ended 31st December 2023, the Group conducted an operational efficiency review and estimates were revised accordingly.

NOTES TO THE FINANCIAL STATEMENTS

14 DEPRECIATION AND AMORTISATION EXPENSES CONTD.

For the year ended 31st December	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Depreciation of property, plant & equipment (Note 29)	873,135	771,878	1,313,641	1,196,384
Amortisation of intangible assets (Note 30)	261,984	279,017	271,791	297,980
Amortisation of right-of-use assets (Note 31)	1,509,380	1,494,073	968,941	902,397
	2,644,499	2,544,968	2,554,373	2,396,761

15 OTHER OPERATING EXPENSES

For the year ended 31st December	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Directors' fees & expenses	98,268	97,853	169,335	158,451
Auditor's remuneration (Note 15.1)	42,561	45,684	48,802	55,037
Professional & legal expenses	107,663	628,728	145,574	652,631
Deposit insurance premium	1,161,365	1,060,346	1,194,233	1,086,560
Donations	1,250	1,000	1,250	1,000
Operating lease expenses	251,426	245,553	355,935	296,052
Office administration expenses	4,872,240	3,542,298	5,030,439	3,551,030
Establishment expenses	2,427,902	1,623,055	2,676,194	1,813,429
Crop insurance levy	172,000	131,490	179,016	138,980
Marketing & business promotion expenses	1,507,117	1,248,686	1,577,914	1,280,866
Other overhead expenses (Note 15.2)	4,920,861	4,382,198	5,207,156	4,578,989
	15,562,653	13,006,891	16,585,848	13,613,025

15.1 Auditor's Remuneration

For the year ended 31st December	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Audit fees	16,072	14,465	19,748	18,897
Audit related fees & expenses	12,796	10,575	14,407	12,121
Non-audit expenses	13,693	20,644	14,647	24,019
	42,561	45,684	48,802	55,037

Auditor's Remuneration disclosed in Note 15.1 are inclusive of the Value Added Tax (VAT).

- 15.2 Other overhead expenses include credit card related expenses and other miscellaneous expenses incurred on day to day operations of the Bank/Group.

ACCOUNTING POLICY

As per Sri Lanka Accounting Standard - LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Statement of Profit or Loss, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income. The Group applied IFRIC Interpretation 23 "Uncertainty over Income Tax Treatment" in the determination of taxable profit, tax bases, unused tax losses, unused tax credits and tax rates, when there is uncertainty over the income tax treatment.

Current Taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantively enacted on the reporting date and any adjustment to tax payable in respect of prior years. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto, at the rates specified in Note 16.2 to the Financial Statements.

Deferred Taxation

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes for all Group entities. Deferred tax liabilities are recognised for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill; or the initial recognition of an asset or liability in a transaction that is not a business combination, at the time of the transaction, affects neither the accounting profit nor taxable profit (tax loss) and at the time of the transaction does not give rise to equal taxable and deductible temporary differences.
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credits and unused tax losses (if any), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary differences arising from the initial recognition of an asset or liability in a transaction that is not a business combination, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss and at the time of the transaction does not give rise to equal taxable and deductible temporary differences.
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is probable that sufficient taxable profit will be available to allow the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority, there is a legal right and intention to settle on a net basis and it is allowed under the tax law of the relevant jurisdiction. Details of current tax liabilities and deferred tax liabilities/(assets) are given in Note 39 and Note 32 to the Financial Statements respectively.

NOTES TO THE FINANCIAL STATEMENTS

16 INCOME TAX EXPENSE CONTD.

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Current tax expense				
Current tax based on profit for the year (Note 39)	11,810,765	16,671,170	12,434,937	17,277,470
(Over)/under provision in respect of previous years				
Due to change in deductible loan loss provision method	-	2,376,727	-	2,445,580
Other charges/(reversals) including settlements (Note 39)	-	(383,674)	1,779	(412,906)
Total current tax expense	11,810,765	18,664,223	12,436,716	19,310,144
Deferred tax expense/(reversal)				
Due to rate increase	-	(1,775,695)	-	(1,798,395)
Due to change in deductible loan loss provision method	-	(2,618,024)	-	(2,686,877)
Due to change in temporary differences	809,564	(12,380,510)	840,525	(12,490,763)
Total deferred tax expense/(reversal) (Note 32.1)	809,564	(16,774,229)	840,525	(16,976,035)
Total income tax expense	12,620,329	1,889,994	13,277,241	2,334,109
Effective tax rate	42.4%	12.6%	42.6%	14.2%

16.1 Reconciliation of the Accounting Profit to Current Tax Expense

For the year ended 31st December	Bank				Group			
	2023 %	2023 Rs 000	2022 %	2022 Rs 000	2023 %	2023 Rs 000	2022 %	2022 Rs 000
Profit before tax		29,760,408		15,024,146		31,201,523		16,394,619
Tax effect on accounting profit before tax	30.0	8,928,122	26.1	3,923,296	30.0	9,360,457	26.4	4,334,513
Tax effect on								
Disallowable expenses	16.1	4,783,676	99.7	14,974,073	16.8	5,245,307	93.7	15,363,139
Tax deductible expenses	(1.5)	(439,381)	(3.2)	(483,251)	(2.3)	(730,818)	(4.2)	(696,349)
Exempt income	(4.9)	(1,461,652)	(11.6)	(1,742,948)	(4.7)	(1,461,652)	(10.6)	(1,742,948)
Income from other sources	-	-	-	-	0.1	21,643	0.1	19,115
Current tax based on profit for the year (Note 39)	39.7	11,810,765	111.0	16,671,170	39.9	12,434,937	105.4	17,277,470
(Over)/under provision in respect of previous years (Note 39)								
Due to change in deductible loan loss provision method	-	-	15.8	2,376,727	-	-	14.9	2,445,580
Other charges/(reversals) including settlements	-	-	(2.6)	(383,674)	-	1,779	(2.5)	(412,906)
Deferred tax expense/(reversal) (Note 32.1)								
Due to rate increase	-	-	(11.8)	(1,775,695)	-	-	(11.0)	(1,798,395)
Due to change in deductible loan loss provision method	-	-	(17.4)	(2,618,024)	-	-	(16.4)	(2,686,877)
Due to change in temporary differences	2.7	809,564	(82.4)	(12,380,510)	2.7	840,525	(76.2)	(12,490,763)
Total income tax expense	42.4	12,620,329	12.6	1,889,994	42.6	13,277,241	14.2	2,334,109

16.2 Applicable Income Tax Rates

Company	2023	2022	
		1st six months	2nd six months
Sampath Bank PLC	30%	24%	30%
Sampath Centre Ltd	30%	24%	30%
S C Securities (Pvt) Ltd	30%	24%	30%
Siyapatha Finance PLC	30%	24%	30%
Sampath Information Technology Solutions Ltd	30%	24%	30%

The Group was liable for income tax on local dividend received for the year of assessment 2023/2024 at 15%. (2022/2023: first six months at 14% and the second six months at 15%).

17 EARNINGS PER SHARE

ACCOUNTING POLICY

The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary equity shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any. The Group did not have any dilutive potential ordinary shares as at 31st December 2023.

17.1 Earnings per Share: Basic/Diluted

	Bank		Group	
	2023	2022	2023	2022
Amount used as the numerator				
Profit after tax for the year attributable to equity holders (Rs)	17,140,079,000	13,134,152,000	17,924,282,000	14,060,510,000
No. of ordinary shares used as the denominator				
Weighted average number of ordinary shares (Note 17.1.1)	1,172,700,760	1,172,700,760	1,172,700,760	1,172,700,760
Basic/diluted earnings per ordinary share (Rs)	14.62	11.20	15.28	11.99

17.1.1 Weighted Average Number of Ordinary Shares for Basic/Diluted EPS

Bank & Group

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2023	2022	2023	2022
Number of shares in issue as at 1st January	1,144,373,955	1,144,373,955	1,144,373,955	1,144,373,955
Add:				
Number of shares issued due to final scrip dividend for 2022	28,326,805	-	28,326,805	28,326,805
Number of shares in issue/weighted average number of shares as at 31st December	1,172,700,760	1,144,373,955	1,172,700,760	1,172,700,760

18 DIVIDEND PAID AND PROPOSED

ACCOUNTING POLICY

Provision for final dividend and interim dividend (scrip) are recognised at the time the dividend is approved by the shareholders. However, interim cash dividend is recognised when the Board approves such dividend in accordance with the Companies Act No. 07 of 2007 and its amendments.

	2023	2022
	Rs 000	Rs 000
Final dividend paid for the years 2022 & 2021 respectively		
Out of dividend received	561,330	149,535
Out of normal profit	4,702,790	4,714,054
Cash/scrip dividend paid	5,264,120	4,863,589
Dividend per Ordinary Share (Rs)	4.60	4.25
Final dividend proposed for the years 2023 (Note 18.1) & 2022 respectively		
Out of dividend received	234,390	561,330
Out of normal profit	6,625,909	4,702,790
Cash/scrip dividend payable	6,860,299	5,264,120
Dividend per Ordinary Share (Rs)	5.85	4.60

NOTES TO THE FINANCIAL STATEMENTS

18 DIVIDEND PAID AND PROPOSED CONTD.

- 18.1** The Board of Directors has recommended a final cash dividend of Rs 5.85 per share for the financial year ended 31st December 2023 subject to the approval of the shareholders at the Annual General Meeting to be held on 28th March 2024.
- 18.2** In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), above proposed final dividend has not been recognised as a liability as at the year end. Necessary disclosures have been made under Note 49 to the Financial Statements, "Events after the reporting period" as required by the said standard.
- 18.3** As per the Inland Revenue (Amendment) Act No. 04 of 2023, the proposed final dividend for the year ended 31st December 2023 is subject to a Withholding Tax (WHT) of 15% (2022: 15%). Accordingly, total Withholding Tax liability on dividend proposed for the year ended 31st December 2023 amounted to Rs 994 Mn.

19 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

ACCOUNTING POLICY

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The Accounting Policies describe how each category of financial instrument is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) under headings of the Statement of Financial Position.

19.1 Analysis of Financial Instruments by Measurement Basis - Bank

	Note	As at 31st December 2023			
		Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	21	-	14,463,854	-	14,463,854
Placements with banks	22	-	33,741,322	-	33,741,322
Reverse repurchase agreements		-	-	-	-
Derivative financial instruments	23	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,744,188	-	-	4,744,188
Financial assets at amortised cost					
- loans & advances	25	-	756,435,559	-	756,435,559
- debt & other instruments	26	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	27	-	-	216,022,295	216,022,295
Other assets		-	27,778,625	-	27,778,625
Total Financial Assets		5,331,765	1,279,791,449	216,022,295	1,501,145,509
Financial Liabilities					
Due to banks	34	-	11,621,838		11,621,838
Derivative financial instruments	23	1,498,777	-		1,498,777
Securities sold under repurchase agreements		-	34,688,209		34,688,209
Financial liabilities at amortised cost					
- due to depositors	35	-	1,253,642,547		1,253,642,547
- due to other borrowers	36	-	6,637,129		6,637,129
- due to debt securities holders	37	-	26,709,893		26,709,893
Dividend payable		-	212,571		212,571
Other liabilities		-	32,953,593		32,953,593
Total Financial Liabilities		1,498,777	1,366,465,780		1,367,964,557

19.2 Analysis of Financial Instruments by Measurement Basis - Bank

	Note	As at 31st December 2022			
		Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,162,545	-	79,162,545
Balances with Central Bank of Sri Lanka	21	-	31,579,185	-	31,579,185
Placements with banks	22	-	10,927,216	-	10,927,216
Reverse repurchase agreements		-	10,072,569	-	10,072,569
Derivative financial instruments	23	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	24	4,641,277	-	-	4,641,277
Financial assets at amortised cost					
- loans & advances	25	-	811,157,649	-	811,157,649
- debt & other instruments	26	-	278,775,796	-	278,775,796
Financial assets - fair value through other comprehensive income	27	-	-	32,772,930	32,772,930
Other assets		-	21,174,017	-	21,174,017
Total Financial Assets		4,685,875	1,242,848,977	32,772,930	1,280,307,782
Financial Liabilities					
Due to banks	34	-	11,297,181	-	11,297,181
Derivative financial instruments	23	1,449,393	-	-	1,449,393
Securities sold under repurchase agreements		-	2,283,291	-	2,283,291
Financial liabilities at amortised cost					
- due to depositors	35	-	1,096,099,874	-	1,096,099,874
- due to other borrowers	36	-	9,173,923	-	9,173,923
- due to debt securities holders	37	-	25,259,536	-	25,259,536
Dividend payable		-	187,141	-	187,141
Other liabilities		-	24,725,468	-	24,725,468
Total Financial Liabilities		1,449,393	1,169,026,414	-	1,170,475,807

NOTES TO THE FINANCIAL STATEMENTS

19 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS CONTD.

19.3 Analysis of Financial Instruments by Measurement Basis - Group

	Note	As at 31st December 2023			
		Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	21	-	14,463,854	-	14,463,854
Placements with banks	22	-	33,741,322	-	33,741,322
Reverse repurchase agreements		-	150,400	-	150,400
Derivative financial instruments	23	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,841,302	-	-	4,841,302
Financial assets at amortised cost					
- loans & advances	25	-	787,355,719	-	787,355,719
- debt & other instruments	26	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	27	-	-	216,022,351	216,022,351
Other assets		-	29,462,947	-	29,462,947
Total Financial Assets		5,428,879	1,318,604,331	216,022,351	1,540,055,561
Financial Liabilities					
Due to banks	34	-	17,344,766		17,344,766
Derivative financial instruments	23	1,498,777	-		1,498,777
Securities sold under repurchase agreements		-	34,438,086		34,438,086
Financial liabilities at amortised cost					
- due to depositors	35	-	1,276,551,041		1,276,551,041
- due to other borrowers	36	-	6,637,129		6,637,129
- due to debt securities holders	37	-	30,386,809		30,386,809
Dividend payable		-	212,571		212,571
Other liabilities		-	33,316,061		33,316,061
Total Financial Liabilities		1,498,777	1,398,886,463		1,400,385,240

19.4 Analysis of Financial Instruments by Measurement Basis - Group

	Note	As at 31st December 2022			
		Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,344,587	-	79,344,587
Balances with Central Bank of Sri Lanka	21	-	31,579,185	-	31,579,185
Placements with banks	22	-	10,927,216	-	10,927,216
Reverse repurchase agreements		-	10,299,569	-	10,299,569
Derivative financial instruments	23	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	24	4,822,395	-	-	4,822,395
Financial assets at amortised cost					
- loans & advances	25	-	839,976,738	-	839,976,738
- debt & other instruments	26	-	284,237,662	-	284,237,662
Financial assets - fair value through other comprehensive income	27	-	-	32,772,986	32,772,986
Other assets		-	22,481,685	-	22,481,685
Total Financial Assets		4,866,993	1,278,846,642	32,772,986	1,316,486,621
Financial Liabilities					
Due to banks	34	-	15,255,184		15,255,184
Derivative financial instruments	23	1,449,393	-		1,449,393
Securities sold under repurchase agreements		-	2,283,291		2,283,291
Financial liabilities at amortised cost					
- due to depositors	35	-	1,115,155,879		1,115,155,879
- due to other borrowers	36	-	9,173,923		9,173,923
- due to debt securities holders	37	-	32,872,261		32,872,261
Dividend payable		-	187,141		187,141
Other liabilities		-	25,350,978		25,350,978
Total Financial Liabilities		1,449,393	1,200,278,657		1,201,728,050

NOTES TO THE FINANCIAL STATEMENTS

20 CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash and cash equivalents comprise cash in hand, balances with banks, money at call and short notice that are subject to an insignificant risk of changes in their value. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position and used by the Group in the management of its short-term commitments. All cash and cash equivalent balances held by the Group entities were available for use by the Group.

For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of cash and short term deposits as defined above, placements with banks (less than 3 months) (Note 22), net of unfavourable balances with local & foreign banks (Note 34.2).

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Local currency in hand	26,211,701	18,206,833	26,447,856	18,358,248
Foreign currency in hand	5,008,566	3,560,890	5,008,566	3,560,890
Balances with local banks	157,308	174,876	179,415	205,543
Balances with foreign banks	47,649,317	55,413,612	47,649,317	55,413,612
Money at call & short notice	291,216	1,907,621	291,216	1,907,621
Gross cash & cash equivalents	79,318,108	79,263,832	79,576,370	79,445,914
Impairment for expected credit losses (Note 20.2)	(46,021)	(101,287)	(46,123)	(101,327)
Net cash & cash equivalents	79,272,087	79,162,545	79,530,247	79,344,587

20.1 Analysis of Cash and Cash Equivalents based on Exposure to Credit Risk

Bank

As at 31st December	2023				2022
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	157,308	-	-	157,308	174,876
Balances with foreign banks	47,649,317	-	-	47,649,317	55,413,612
Money at call & short notice	291,216	-	-	291,216	1,907,621
	48,097,841	-	-	48,097,841	57,496,109
Impairment for expected credit losses	(46,021)	-	-	(46,021)	(101,287)
	48,051,820	-	-	48,051,820	57,394,822

Group

As at 31st December	2023				2022
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	179,415	-	-	179,415	205,543
Balances with foreign banks	47,649,317	-	-	47,649,317	55,413,612
Money at call & short notice	291,216	-	-	291,216	1,907,621
	48,119,948	-	-	48,119,948	57,526,776
Impairment for expected credit losses	(46,123)	-	-	(46,123)	(101,327)
	48,073,825	-	-	48,073,825	57,425,449

20.2 Impairment for Expected Credit Losses - Cash and Cash Equivalents

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Stage 1				
Balance as at 1st January	101,287	98,181	101,327	98,201
Net reversal for the year (Note 12)	(46,495)	(46,940)	(46,433)	(46,920)
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(8,771)	50,046	(8,771)	50,046
Balance as at 31st December	46,021	101,287	46,123	101,327
Total				
Balance as at 1st January	101,287	98,181	101,327	98,201
Net reversal for the year (Note 12)	(46,495)	(46,940)	(46,433)	(46,920)
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(8,771)	50,046	(8,771)	50,046
Balance as at 31st December	46,021	101,287	46,123	101,327

21 BALANCES WITH CENTRAL BANK OF SRI LANKA

ACCOUNTING POLICY

As required by the provisions of Section 93 of the Monetary Law Act, a cash balance is maintained with the Central Bank of Sri Lanka. As at 31st December 2023, the minimum reserve requirement was 2% (2022: 4%) of the rupee deposit liabilities. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit (DBU) and the deposit liabilities of the Foreign Currency Banking Unit (FCBU).

Balances with Central Bank of Sri Lanka are carried at amortised cost in the Statement of Financial Position.

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Statutory reserve requirement	14,463,854	31,579,185
	14,463,854	31,579,185

22 PLACEMENTS WITH BANKS

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Maturity less than three months		
Placements - in Sri Lanka	4,493,388	3,039,342
Placements - out side Sri Lanka	29,264,867	7,890,429
Gross placements with banks	33,758,255	10,929,771
Impairment for expected credit losses (Note 22.2)	(16,933)	(2,555)
Net placements with banks	33,741,322	10,927,216

NOTES TO THE FINANCIAL STATEMENTS

22 PLACEMENTS WITH BANKS CONTD.

22.1 Analysis of Placements with Banks based on Exposure to Credit Risk

Bank & Group

As at 31st December	2023				2022
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Placements - in Sri Lanka	4,493,388	-	-	4,493,388	3,039,342
Placements - out side Sri Lanka	29,264,867	-	-	29,264,867	7,890,429
	33,758,255	-	-	33,758,255	10,929,771
Impairment for expected credit losses	(16,933)	-	-	(16,933)	(2,555)
	33,741,322	-	-	33,741,322	10,927,216

22.2 Impairment for Expected Credit Losses - Placements with Banks

Bank & Group

	2023	2022
	Rs 000	Rs 000
Stage 1		
Balance as at 1st January	2,555	393
Net charge for the year (Note 12)	13,375	2,162
Amounts written off during the year	-	-
Other movements including exchange rate differences	1,003	-
Balance as at 31st December	16,933	2,555
Total		
Balance as at 1st January	2,555	393
Net charge for the year (Note 12)	13,375	2,162
Amounts written off during the year	-	-
Other movements including exchange rate differences	1,003	-
Balance as at 31st December	16,933	2,555

23 DERIVATIVE FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rates etc. Derivatives are categorised as trading unless they are designated as hedging instruments. The accounting policies pertaining to "Derivative Financial Instruments" are given in Note 3.4.3.2 to the Financial Statements.

The table below shows the fair values of derivative financial instruments of the Bank/Group, recorded as assets or liabilities, together with their notional amounts. The notional amounts indicate the volume of transactions outstanding at the year end and are indicative of neither the market risk nor the credit risk.

Bank & Group

As at 31st December	2023			2022		
	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000
Forward exchange contracts						
Sales	187,231	21,131	21,949,834	12,784	1,867	2,361,824
Purchases	7,165	33,009	6,485,122	1,375	12,369	1,653,914
Currency SWAPS						
Sales	388,142	52,630	48,713,859	-	1,435,157	5,881,131
Purchases	5,039	1,392,007	107,447,795	30,439	-	5,020,107
	587,577	1,498,777	184,596,610	44,598	1,449,393	14,916,976

24 FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

ACCOUNTING POLICY

The accounting policies pertaining to "Financial Assets Recognised through Profit or Loss - Measured at Fair Value" are given in Note 3.4.3.3 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Government Securities				
Treasury bills (Note 24.1)	3,420,649	3,612,501	3,420,649	3,612,501
Treasury bonds (Note 24.2)	1,323,539	1,028,776	1,323,539	1,028,776
Equity Securities				
Quoted equity securities (Note 24.3)	-	-	97,114	181,118
	4,744,188	4,641,277	4,841,302	4,822,395

24.1 Treasury Bills

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	3,389,487	3,632,426
Loss from mark to market valuation as at 1st January	(19,925)	(2,457)
Movement during the year	51,087	(17,468)
Gain/(loss) from mark to market valuation as at 31st December	31,162	(19,925)
Market value	3,420,649	3,612,501

24.2 Treasury Bonds

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	1,257,496	1,179,838
Loss from mark to market valuation as at 1st January	(151,062)	(39,860)
Movement during the year	217,105	(111,202)
Gain/(loss) from mark to market valuation as at 31st December	66,043	(151,062)
Market value	1,323,539	1,028,776

NOTES TO THE FINANCIAL STATEMENTS

24 FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE CONTD.

24.3 Quoted Equity Securities

Group

As at 31st December	2023			2022		
	No. of Ordinary Shares	Cost of Investment Rs 000	Market Value Rs 000	No. of Ordinary Shares	Cost of Investment Rs 000	Market Value Rs 000
Name of the company						
Browns Investments PLC	8,952,116	71,281	42,075	9,352,116	74,466	65,465
LOLC Holdings PLC	-	-	-	50,992	20,085	20,294
Lanka IOC PLC	269,870	61,194	27,526	259,870	58,943	52,689
Expolanka Holdings PLC	127,836	24,744	18,313	81,216	15,720	14,802
Royal Ceramics Lanka PLC	-	-	-	974,319	29,557	27,573
Tokyo Cement Company (Lanka) PLC	-	-	-	8,938	298	295
LOLC Finance PLC	2,000,000	12,140	9,200	-	-	-
Total		169,359	97,114		199,069	181,118
Loss from mark to market valuation as at 1st January		(17,951)			(72,383)	
Movement during the year		(54,294)			54,432	
Loss from mark to market valuation as at 31st December		(72,245)			(17,951)	
Market value		97,114			181,118	

24.4 Analysis of Financial Assets Recognised through Profit or Loss - Measured at Fair Value

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	4,744,188	4,641,277	4,841,302	4,822,395
Gross total	4,744,188	4,641,277	4,841,302	4,822,395
By currency				
Sri Lankan Rupee	4,744,188	4,641,277	4,841,302	4,822,395
Other currency	-	-	-	-
Gross total	4,744,188	4,641,277	4,841,302	4,822,395

25 LOANS AND ADVANCES

ACCOUNTING POLICY

The key accounting policies pertaining to financial instruments including “Loans and Advances” are given in Notes 3.4 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Gross loans & advances (Note 25.1)				
Stage 1	522,382,314	513,418,507	533,318,509	519,894,217
Stage 2	211,319,074	305,856,795	227,146,446	322,149,877
Stage 3	143,615,684	100,846,349	151,460,276	111,046,135
	877,317,072	920,121,651	911,925,231	953,090,229
Impairment for expected credit losses (Note 25.2)				
Stage 1	(12,906,592)	(9,917,653)	(12,913,484)	(9,934,498)
Stage 2	(24,962,148)	(44,751,656)	(25,746,701)	(45,651,154)
Stage 3	(83,012,773)	(54,294,693)	(85,909,327)	(57,527,839)
	(120,881,513)	(108,964,002)	(124,569,512)	(113,113,491)
Net loans & advances	756,435,559	811,157,649	787,355,719	839,976,738

25.1 Analysis of Loans & Advances

25.1.1 By Product

As at 31st December	Bank					Group				
	2023 Rs 000	Mix %	2022 Rs 000	Mix %	Growth %	2023 Rs 000	Mix %	2022 Rs 000	Mix %	Growth %
Bills of exchange	2,294,207	0.26	2,488,683	0.27	(7.81)	2,294,207	0.25	2,488,683	0.26	(7.81)
Leasing (Note 25.3)	21,349,645	2.43	28,705,433	3.12	(25.63)	50,621,080	5.55	56,212,902	5.90	(9.95)
Housing loans	50,188,464	5.72	55,209,592	6.00	(9.09)	50,188,464	5.51	55,209,592	5.80	(9.09)
Export loans	35,516,896	4.05	40,778,354	4.43	(12.90)	35,516,896	3.90	40,778,354	4.28	(12.90)
Import loans	82,499,453	9.41	97,849,340	10.64	(15.69)	82,499,453	9.05	97,849,340	10.27	(15.69)
Refinance loans	5,556,161	0.63	8,869,594	0.96	(37.36)	5,556,161	0.61	8,869,594	0.93	(37.36)
Term loans	441,816,843	50.35	474,987,554	51.62	(6.98)	438,965,303	48.12	471,868,911	49.49	(6.97)
Overdraft	93,471,012	10.66	98,383,441	10.69	(4.99)	92,972,493	10.20	97,387,334	10.22	(4.53)
Staff loans	10,313,063	1.18	10,888,428	1.18	(5.28)	10,428,627	1.14	11,026,852	1.16	(5.43)
Pawning & gold loans	80,715,233	9.20	67,897,237	7.38	18.88	88,683,130	9.72	76,603,695	8.04	15.77
Credit cards	21,027,761	2.40	20,790,055	2.26	1.14	21,027,720	2.31	20,790,032	2.18	1.14
Money market loans	30,700,866	3.50	11,363,511	1.24	170.17	30,700,866	3.37	11,363,511	1.19	170.17
Factoring	1,831,406	0.21	1,837,544	0.20	(0.33)	1,985,699	0.22	2,209,110	0.23	(10.11)
Others	36,062	-	72,885	0.01	(50.52)	485,132	0.05	432,319	0.05	12.22
Gross loans & advances	877,317,072	100.00	920,121,651	100.00	(4.65)	911,925,231	100.00	953,090,229	100.00	(4.32)

NOTES TO THE FINANCIAL STATEMENTS

25 LOANS AND ADVANCES CONTD.

25.1.2 By Currency

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Sri Lankan Rupee	740,199,175	752,580,251	774,807,334	785,548,829
United States Dollar	127,328,562	155,771,306	127,328,562	155,771,306
Euro	8,146,782	9,922,420	8,146,782	9,922,420
Great Britain Pounds	1,584,231	1,749,645	1,584,231	1,749,645
Australian Dollar	54,541	94,450	54,541	94,450
New Zealand Dollar	3,781	3,579	3,781	3,579
Gross loans & advances	877,317,072	920,121,651	911,925,231	953,090,229

25.1.3 By Product and Currency

As at 31st December	Bank				Group			
	2023 Rs 000	%	2022 Rs 000	%	2023 Rs 000	%	2022 Rs 000	%
Local currency								
Bills of exchange	182,672	0.02	199,719	0.02	182,672	0.02	199,719	0.02
Leasing	21,349,645	2.43	28,705,433	3.12	50,621,080	5.55	56,212,902	5.90
Housing loans	49,859,121	5.68	54,481,331	5.92	49,859,121	5.47	54,481,331	5.72
Export loans	4,990,737	0.57	3,107,861	0.34	4,990,737	0.55	3,107,861	0.33
Import loans	68,914,981	7.86	87,188,988	9.48	68,914,981	7.56	87,188,988	9.15
Refinance loans	5,556,161	0.63	8,869,594	0.96	5,556,161	0.61	8,869,594	0.93
Term loans	360,477,760	41.08	369,913,048	40.19	357,626,220	39.20	366,794,405	38.48
Overdraft	84,268,300	9.61	87,331,782	9.49	83,769,781	9.19	86,335,675	9.06
Staff loans	10,313,063	1.18	10,888,428	1.18	10,428,627	1.14	11,026,852	1.16
Pawning & gold loans	80,715,233	9.20	67,897,237	7.38	88,683,130	9.72	76,603,695	8.04
Credit cards	21,027,761	2.40	20,790,055	2.26	21,027,720	2.31	20,790,032	2.18
Money market loans	30,700,866	3.50	11,363,511	1.24	30,700,866	3.37	11,363,511	1.19
Factoring	1,831,406	0.21	1,837,544	0.20	1,985,699	0.22	2,209,110	0.23
Others	11,469	-	5,720	-	460,539	0.05	365,154	0.04
Sub total	740,199,175	84.37	752,580,251	81.78	774,807,334	84.96	785,548,829	82.43
Foreign currency								
Bills of exchange	2,111,535	0.24	2,288,964	0.25	2,111,535	0.23	2,288,964	0.24
Housing loans	329,343	0.04	728,261	0.08	329,343	0.04	728,261	0.08
Export loans	30,526,159	3.48	37,670,492	4.09	30,526,159	3.35	37,670,492	3.95
Import loans	13,584,472	1.55	10,660,352	1.16	13,584,472	1.49	10,660,352	1.12
Term loans	81,339,083	9.27	105,074,508	11.43	81,339,083	8.92	105,074,508	11.01
Overdraft	9,202,712	1.05	11,051,658	1.20	9,202,712	1.01	11,051,658	1.16
Others	24,593	-	67,165	0.01	24,593	-	67,165	0.01
Sub total	137,117,897	15.63	167,541,400	18.22	137,117,897	15.04	167,541,400	17.57
Gross loans & advances	877,317,072	100.00	920,121,651	100.00	911,925,231	100.00	953,090,229	100.00

25.1.4 By Industry

As at 31st December	Bank				Group			
	2023		2022		2023		2022	
	Rs 000	%	Rs 000	%	Rs 000	%	Rs 000	%
Agriculture & related (Note 25.1.4.1)	80,571,295	9.18	78,121,388	8.49	84,551,992	9.27	81,605,434	8.56
Manufacturing	129,739,926	14.78	155,432,557	16.89	132,977,090	14.59	158,876,429	16.67
Tourism	92,276,636	10.52	91,246,731	9.92	93,277,039	10.23	92,098,943	9.66
Transport	8,328,765	0.95	8,689,715	0.94	11,778,904	1.29	11,865,566	1.24
Construction	101,589,541	11.58	115,873,254	12.59	100,644,426	11.04	116,167,205	12.19
Infrastructure	55,341,956	6.31	53,325,175	5.80	57,187,604	6.27	55,433,525	5.82
Traders	123,852,812	14.12	122,914,936	13.36	130,066,877	14.26	128,872,407	13.53
Financial & business services	63,660,658	7.26	70,419,624	7.66	59,756,267	6.55	65,806,997	6.90
Other services	78,403,398	8.94	89,380,208	9.71	86,910,249	9.53	96,842,719	10.16
Consumers	143,552,085	16.36	134,718,063	14.64	154,774,783	16.97	145,521,004	15.27
Gross loans & advances	877,317,072	100.00	920,121,651	100.00	911,925,231	100.00	953,090,229	100.00

25.1.4.1 As per the requirement of Central Bank of Sri Lanka (CBSL), a minimum of 10% of the loans and advances shall be granted to the agriculture sector. The Bank has complied with the said requirement as at 31st December 2023 and 31st December 2022. The computation method used to derive the industry-wise exposure in Note 25.1.4 above is different from the method used for CBSL minimum lending requirement calculation to agriculture sector.

25.2 Impairment for Expected Credit Losses - Loans and Advances

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Stage 1				
Balance as at 1st January	9,917,653	4,543,545	9,934,498	4,577,037
Net charge for the year (Note 12)	3,130,378	5,098,043	3,120,425	5,081,396
Write-off during the year	-	-	-	-
Other movements including exchange rate differences	(141,439)	276,065	(141,439)	276,065
Balance as at 31st December	12,906,592	9,917,653	12,913,484	9,934,498
Stage 2				
Balance as at 1st January	44,751,656	20,471,275	45,651,154	21,221,066
Net (reversal)/charge for the year (Note 12)	(18,677,580)	20,554,192	(18,792,525)	20,703,899
Write-off during the year	-	-	-	-
Other movements including exchange rate differences	(1,111,928)	3,726,189	(1,111,928)	3,726,189
Balance as at 31st December	24,962,148	44,751,656	25,746,701	45,651,154
Stage 3				
Balance as at 1st January	54,294,693	25,503,313	57,527,839	28,967,197
Net charge for the year (Note 12)	33,613,871	28,691,655	33,795,768	28,656,170
Write-off during the year	(708,986)	(1,618,428)	(1,227,387)	(1,813,890)
Interest income accrued on impaired loans & advances (Note 7.1)	(5,333,637)	(6,278,942)	(5,335,198)	(6,281,486)
Other movements including exchange rate differences	1,146,832	7,997,095	1,148,305	7,999,848
Balance as at 31st December	83,012,773	54,294,693	85,909,327	57,527,839
Total				
Balance as at 1st January	108,964,002	50,518,133	113,113,491	54,765,300
Net charge for the year (Note 12)	18,066,669	54,343,890	18,123,668	54,441,465
Write-off during the year	(708,986)	(1,618,428)	(1,227,387)	(1,813,890)
Interest income accrued on impaired loans & advances (Note 7.1)	(5,333,637)	(6,278,942)	(5,335,198)	(6,281,486)
Other movements including exchange rate differences	(106,535)	11,999,349	(105,062)	12,002,102
Balance as at 31st December	120,881,513	108,964,002	124,569,512	113,113,491

NOTES TO THE FINANCIAL STATEMENTS

25 LOANS AND ADVANCES CONTD.

25.3 Leasing

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Total lease rentals receivable	25,642,637	33,858,825	64,345,353	68,523,365
Unearned lease interest income	(4,292,992)	(5,153,392)	(13,724,273)	(12,310,463)
Gross lease receivable	21,349,645	28,705,433	50,621,080	56,212,902
Impairment for expected credit losses	(1,567,445)	(2,306,144)	(4,203,813)	(4,959,047)
Net lease receivable	19,782,200	26,399,289	46,417,267	51,253,855
Gross lease receivable within one year (Note 25.3.1)	9,231,697	10,387,418	22,212,104	22,554,351
Gross lease receivable after one year (Note 25.3.2)	12,117,948	18,318,015	28,408,976	33,658,551
	21,349,645	28,705,433	50,621,080	56,212,902

25.3.1 Lease Receivable within One Year

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Total lease rentals receivable within one year from reporting date	11,649,846	13,706,555	29,251,376	29,449,119
Unearned lease interest income	(2,418,149)	(3,319,137)	(7,039,272)	(6,894,768)
Gross lease receivable within one year (Note 25.3)	9,231,697	10,387,418	22,212,104	22,554,351
Impairment for expected credit losses	(666,788)	(983,130)	(1,956,744)	(2,214,410)
Net lease receivable within one year	8,564,909	9,404,288	20,255,360	20,339,941

25.3.2 Lease Receivable after One Year

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Total lease rentals receivable after one year from reporting date	13,992,791	20,152,270	35,093,977	39,074,246
Unearned lease interest income	(1,874,843)	(1,834,255)	(6,685,001)	(5,415,695)
Gross lease receivable after one year (Note 25.3)	12,117,948	18,318,015	28,408,976	33,658,551
Impairment for expected credit losses	(900,657)	(1,323,014)	(2,247,069)	(2,744,637)
Net lease receivable after one year	11,217,291	16,995,001	26,161,907	30,913,914

Additional notes on loans and advances are given in Note 51 to the Financial Statements (Risk Management), including the movement of the gross carrying amount of amortised cost and expected credit losses (ECL), sensitivity of ECL to key variables used in the ECL calculation etc.

26 DEBT AND OTHER INSTRUMENTS

ACCOUNTING POLICY

The accounting policies pertaining to financial instruments including "Debt and Other Instruments" are given in Note 3.4 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Government Securities - Sri Lanka				
Treasury bills	122,949,700	14,471,345	128,749,540	19,933,211
Treasury bonds	203,777,225	194,207,566	203,777,225	194,207,566
Sri Lanka Development Bonds (Note 26.1)	-	43,848,618	-	43,848,618
Sri Lanka International Sovereign Bonds	33,244,652	35,146,255	33,244,652	35,146,255
US Treasuries				
Treasury bills	16,170,762	-	16,170,762	-
Other Instruments				
Debentures - quoted (Note 26.2)	5,308,711	5,453,188	5,308,711	5,453,188
Lease backed trust certificates (Note 26.3)	1,328,681	2,328,255	1,328,681	2,328,255
Corporate bond - LVL Energy Fund	859,281	818,529	859,281	818,529
Promissory notes - Sri Lanka Telecom PLC	1,349,750	1,167,733	1,349,750	1,167,733
Gross debt & other instruments	384,988,762	297,441,489	390,788,602	302,903,355
Impairment for expected credit losses (Note 26.4)	(16,888,760)	(18,665,693)	(16,888,760)	(18,665,693)
Net debt & other instruments	368,100,002	278,775,796	373,899,842	284,237,662

26.1 Sri Lanka Development Bonds

The Bank converted its investment in Sri Lanka Development Bonds (SLDBs) amounting to USD 113 Mn (face value) as at 31st December 2022, to LKR treasury bonds during the year. SLDBs that matured in January 2023 were converted to LKR treasury bonds in February, while the remaining balance was converted under the Domestic Debt Optimisation Program (DDO) in August. Consequently, the Bank reversed the impairment provisions recognised on account of SLDBs during the year. However, a Day 1 loss of Rs 1.2 Bn was recognised against the LKR treasury bonds received under the DDO programme and has been netted off against the face value of the LKR bonds, to reflect their fair value at the initial recognition. The Bank has classified the LKR bonds received during the year, in settlement of SLDBs, under amortised cost (Rs 24.4 Bn) and FVOCI (Rs 14.4 Bn).

NOTES TO THE FINANCIAL STATEMENTS

26 DEBT AND OTHER INSTRUMENTS CONTD.

26.2 Debentures - Quoted

Bank & Group

As at 31st December	2023	2022
	Amortised Cost Rs 000	Amortised Cost Rs 000
Name of the company		
Banks, Finance & Insurance		
Commercial Credit & Finance PLC	535,371	537,233
LOLC Finance PLC	525,290	547,560
National Savings Bank	2,106,619	2,106,860
Nations Trust Bank PLC	334,746	335,455
People's Leasing & Finance PLC	1,048,860	1,050,770
Singer Finance PLC	-	108,584
	4,550,886	4,686,462
Constructions & Engineering		
MTD Walkers PLC	254,784	254,784
	254,784	254,784
Others		
Ceylon Electricity Board	489,212	490,745
Kotagala Plantations PLC	13,829	21,197
	503,041	511,942
	5,308,711	5,453,188

26.3 Lease Backed Trust Certificates

Bank & Group

As at 31st December	2023	2022
	Amortised Cost Rs 000	Amortised Cost Rs 000
Singer Finance PLC	-	80,134
Commercial Credit & Finance PLC	1,188,000	1,902,359
Sarvodaya Development Finance Ltd	140,681	345,762
	1,328,681	2,328,255

26.4 Impairment for Expected Credit Losses - Debt and Other Instruments at Amortised Cost

Bank & Group

	2023	2022
	Rs 000	Rs 000
Stage 1		
Balance as at 1st January	61,524	5,686,801
Net reversal for the year (Note 12)	(49,873)	(5,625,277)
Amounts written off during the year	-	-
Other movements including exchange rate differences	-	-
Balance as at 31st December	11,651	61,524
Stage 2		
Balance as at 1st January	18,328,188	-
Net charge for the year (Note 12)	1,669,845	12,894,749
Amounts written off during the year	-	-
Other movements including exchange rate differences	(3,375,708)	5,433,439
Balance as at 31st December	16,622,325	18,328,188
Stage 3		
Balance as at 1st January	275,981	283,350
Net reversal for the year (Note 12)	(21,197)	(7,369)
Amounts written off during the year	-	-
Other movements including exchange rate differences	-	-
Balance as at 31st December	254,784	275,981
Total		
Balance as at 1st January	18,665,693	5,970,151
Net charge for the year (Note 12)	1,598,775	7,262,103
Amounts written off during the year	-	-
Other movements including exchange rate differences	(3,375,708)	5,433,439
Balance as at 31st December	16,888,760	18,665,693

26.5 Analysis of Debt and Other Instruments based on Exposure to Credit Risk

Bank

As at 31st December	2023				2022
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Government Securities - Sri Lanka					
Treasury bills (Note 26.5.1)	122,949,700	-	-	122,949,700	14,471,345
Treasury bonds (Note 26.5.1)	203,777,225	-	-	203,777,225	194,207,566
Sri Lanka Development Bonds	-	-	-	-	43,848,618
Sri Lanka International Sovereign Bonds (Note 26.5.2)	-	33,244,652	-	33,244,652	35,146,255
US Treasuries					
Treasury bills	16,170,762	-	-	16,170,762	-
Other Instruments					
Debentures - quoted	5,053,927	-	254,784	5,308,711	5,453,188
Lease backed trust certificates	1,328,681	-	-	1,328,681	2,328,255
Corporate bond - LVL Energy Fund	859,281	-	-	859,281	818,529
Promissory notes - Sri Lanka Telecom PLC	1,349,750	-	-	1,349,750	1,167,733
	351,489,326	33,244,652	254,784	384,988,762	297,441,489
Impairment for expected credit losses	(11,651)	(16,622,325)	(254,784)	(16,888,760)	(18,665,693)
	351,477,675	16,622,327	-	368,100,002	278,775,796

NOTES TO THE FINANCIAL STATEMENTS

26 DEBT AND OTHER INSTRUMENTS CONTD.

Group

As at 31st December	2023				2022
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Government Securities - Sri Lanka					
Treasury bills (Note 26.5.1)	128,749,540	-	-	128,749,540	19,933,211
Treasury bonds (Note 26.5.1)	203,777,225	-	-	203,777,225	194,207,566
Sri Lanka Development Bonds	-	-	-	-	43,848,618
Sri Lanka International Sovereign Bonds (Note 26.5.2)	-	33,244,652	-	33,244,652	35,146,255
US Treasuries					
Treasury bills	16,170,762	-	-	16,170,762	-
Other Instruments					
Debentures - quoted	5,053,927	-	254,784	5,308,711	5,453,188
Lease backed trust certificates	1,328,681	-	-	1,328,681	2,328,255
Corporate bond - LVL Energy Fund	859,281	-	-	859,281	818,529
Promissory notes - Sri Lanka Telecom PLC	1,349,750	-	-	1,349,750	1,167,733
	357,289,166	33,244,652	254,784	390,788,602	302,903,355
Impairment for expected credit losses	(11,651)	(16,622,325)	(254,784)	(16,888,760)	(18,665,693)
	357,277,515	16,622,327	-	373,899,842	284,237,662

26.5.1 Staging of Government of Sri Lanka Treasury Bills and Treasury Bonds

Treasury bills and bonds denominated in local currency, issued by the Government of Sri Lanka, are classified under Stage 1 in line with Section 6 of the Banking Act Direction No. 14 of 2021, "Classification, Recognition and Measurement of Financial Assets Other than Credit Facilities in Licensed Banks".

26.5.2 Staging of Sri Lanka International Sovereign Bonds

Sri Lanka International Sovereign Bonds (SLISBs) issued by the Government of Sri Lanka are classified under Stage 2 in line with Section 6 of the Banking Act Direction No. 14 of 2021, "Classification, Recognition and Measurement of Financial Assets Other than Credit Facilities in Licensed Banks". The basis used by the Bank for the computation of the ECL is explained in Note 12.1 (b).

26.6 Analysis of Debt and Other Instruments

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
By collateralisation				
Pledged as collateral	31,896,491	2,783,782	31,630,713	2,783,782
Unencumbered	336,203,511	275,992,014	342,269,129	281,453,880
	368,100,002	278,775,796	373,899,842	284,237,662
By currency				
Sri Lankan Rupee	335,307,010	218,109,111	341,106,850	223,570,977
Other currency	32,792,992	60,666,685	32,792,992	60,666,685
	368,100,002	278,775,796	373,899,842	284,237,662

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

ACCOUNTING POLICY

The accounting policies pertaining to "Financial Assets – Fair Value Through Other Comprehensive Income" are given in Notes 3.4.3.5 & 3.4.3.6 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Government Securities - Sri Lanka				
Treasury bills (Note 27.1)	91,294,355	3,635,885	91,294,355	3,635,885
Treasury bonds (Note 27.2)	111,664,941	23,733,302	111,664,941	23,733,302
Sri Lanka International Sovereign Bonds (Note 27.3)	1,040,578	671,756	1,040,578	671,756
US Treasuries				
Treasury bills (Note 27.4)	8,045,352	-	8,045,352	-
Equity Securities				
Quoted equity security (Note 27.5)	3,916,498	4,671,146	3,916,498	4,671,146
Unquoted equity securities (Note 27.6)	60,571	60,841	60,627	60,897
	216,022,295	32,772,930	216,022,351	32,772,986

27.1 Sri Lanka Treasury Bills

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	90,844,763	3,634,862
Gain/(loss) from mark to market valuation as at 1st January	1,023	(3,739)
Movement during the year		
Gross change in market value	578,313	15,834
Reclassification to profit or loss on derecognition	(129,744)	(11,072)
Gain from mark to market valuation as at 31st December	449,592	1,023
Market value	91,294,355	3,635,885

27.2 Sri Lanka Treasury Bonds

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	99,302,260	24,006,458
Loss from mark to market valuation as at 1st January	(273,156)	(1,243,731)
Movement during the year		
Gross change in market value	12,788,200	(3,841,589)
Reclassification to amortised cost	-	4,787,611
Reclassification to profit or loss on derecognition	(152,363)	24,553
Gain/(loss) from mark to market valuation as at 31st December	12,362,681	(273,156)
Market value	111,664,941	23,733,302

NOTES TO THE FINANCIAL STATEMENTS

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.3 Sri Lanka International Sovereign Bonds

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	1,627,674	1,644,806
Loss from mark to market valuation as at 1st January	(973,050)	(321,193)
Movement during the year		
Gross change in market value	385,954	(651,857)
Loss from mark to market valuation as at 31st December	(587,096)	(973,050)
Market value	1,040,578	671,756

27.4 US Treasuries - Treasury Bills

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Amortised cost	8,049,545	-
Gain/(loss) from mark to market valuation as at 1st January	-	-
Movement during the year		
Gross change in market value	(4,193)	-
Loss from mark to market valuation as at 31st December	(4,193)	-
Market value	8,045,352	-

27.5 Quoted Equity Security

Quoted equity security represents the investment in ordinary shares of LankaBangla Finance PLC in Bangladesh.

Bank & Group

	2023		2022	
	No. of Ordinary Shares	Rs 000	No. of Ordinary Shares	Rs 000
Cost of the investment as at 1st January	51,036,605	2,153,006	51,036,605	1,182,534
Exchange (loss)/gain		(244,459)		970,472
Cost of the investment as at 31st December	51,036,605	1,908,547	51,036,605	2,153,006
Gain from mark to market valuation as at 1st January		2,518,140		3,268,617
Movement during the year				
Gross change in market value		-		(3,213,837)
Exchange (loss)/gain		(510,189)		2,463,360
Gain from mark to market valuation as at 31st December		2,007,951		2,518,140
Market value		3,916,498		4,671,146

Sensitivity of the FVOCI reserve to changes in the share price of LankaBangla Finance PLC is disclosed in Note 51.4.5.

27.6 Unquoted Equity Securities

As at 31st December	2023			2022		
	No. of Ordinary Shares	Cost of the Investment	Market Value	No. of Ordinary Shares	Cost of the Investment	Market Value
		Rs 000	Rs 000		Rs 000	Rs 000
Bank						
Name of the company						
LankaBangla Securities Ltd	293,485	96,336	2,125	293,485	108,675	2,396
Credit Information Bureau	1,700	170	170	1,700	170	170
SWIFT	23	9,035	30,517	23	9,035	30,517
LankaPay (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	7,758	9,449,707	15,516	7,758
National Credit Guarantee Institution Limited	101	1	1	-	-	-
		146,058	60,571		158,396	60,841
Loss from mark to market valuation as at 1st January		(97,555)			(49,650)	
Movement during the year						
Gross change in market value		-			-	
Exchange rate differences		12,068			(47,905)	
Loss from mark to market valuation as at 31st December		(85,487)			(97,555)	
Market value		60,571			60,841	
Group						
Name of the company						
LankaBangla Securities Ltd	293,485	96,336	2,125	293,485	108,675	2,396
Credit Information Bureau	1,800	226	226	1,800	226	226
SWIFT	23	9,035	30,517	23	9,035	30,517
LankaPay (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	7,758	9,449,707	15,516	7,758
National Credit Guarantee Institution Limited	101	1	1	-	-	-
		146,114	60,627		158,452	60,897
Loss from mark to market valuation as at 1st January		(97,555)			(49,650)	
Movement during the year						
Gross change in market value		-			-	
Exchange rate differences		12,068			(47,905)	
Loss from mark to market valuation as at 31st December		(85,487)			(97,555)	
Market value		60,627			60,897	

NOTES TO THE FINANCIAL STATEMENTS

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.7 Analysis of Financial Assets - Fair Value through Other Comprehensive Income

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	216,022,295	32,772,930	216,022,351	32,772,986
	216,022,295	32,772,930	216,022,351	32,772,986
By currency				
Sri Lankan Rupee	202,987,225	27,397,115	202,987,281	27,397,171
Other currency	13,035,070	5,375,815	13,035,070	5,375,815
	216,022,295	32,772,930	216,022,351	32,772,986

27.8 Reclassification of Debt Portfolio

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 31st December 2023 amounted to Rs 1,478.5 Mn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 31st December 2023 would have been Rs 1,394.3 Mn and Rs 84.2 Mn respectively.

28 INVESTMENT IN SUBSIDIARIES

ACCOUNTING POLICY

Subsidiaries are entities that are controlled by the Bank. The Bank is presumed to control an investee when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. At each reporting date, the Bank reassesses whether it controls an investee, if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the Bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the Bank's subsidiaries are prepared for the same reporting year as per the Bank, using consistent accounting policies.

The cost of acquisition of a subsidiary is measured as the fair value of the consideration, including contingent consideration, given on the date of transfer of title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement, the Bank continues to recognise the investments in subsidiaries at cost.

The total assets and liabilities of the subsidiaries as at the reporting date are included in the Consolidated Statement of Financial Position. The total profit or loss for the year of the subsidiaries is included in the Consolidated Statement of Profit or Loss. The non-controlling interest is presented in the Consolidated Statement of Financial Position within equity, separately from the equity attributable to the equity holders of the Bank. Non-controlling interest in the profit or loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total comprehensive income is allocated to the owners of the parent and to the non-controlling interest even if this results in non-controlling interest having a deficit balance.

Intra-group balances and any income and expenses arising from intra-group transactions are eliminated when preparing the Consolidated Financial Statements. Unrealised losses are eliminated in the same way as unrealised gains, except that they are only eliminated to the extent that there is no evidence of impairment. When a subsidiary is acquired or sold during the year, operating results of such subsidiary is included from the date of acquisition or to the date of disposal. Upon the loss of control, the Group derecognise the assets and liabilities of the subsidiary, any non-controlling interest and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in the Statement of Changes in Equity.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date the control is lost. Subsequently it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

The Group did not acquire/dispose any subsidiaries during the year ended 31st December 2023.

There are no significant restrictions on the ability of the subsidiaries to transfer funds to the Bank in the form of cash dividend or repayment of loans and advances.

All subsidiaries of the Bank have been incorporated in Sri Lanka. Principal activities of the subsidiary companies of the Bank are given below.

Subsidiary	Principal Activities
Sampath Centre Ltd	Renting of commercial property
SC Securities (Pvt) Ltd	Stock broking
Siyapatha Finance PLC	Granting lease, hire purchase, factoring & other loans facilities & accepting deposits
Sampath Information Technology Solutions Ltd	Software development, renting of IT equipment & IT resource outsourcing & consultancy

Bank

As at 31st December Subsidiary	No. of Ordinary Shares	2023			2022		
		Ownership	Cost	Directors' Valuation	Ownership	Cost	Directors' Valuation
			Rs 000	Rs 000		Rs 000	Rs 000
Sampath Centre Ltd	36,317,859	100%	714,331	6,060,553	100%	713,481	5,612,451
SC Securities (Pvt) Ltd	12,180,273	100%	201,035	684,207	100%	196,355	699,729
Siyapatha Finance PLC	100,329,537	100%	2,866,877	7,246,729	100%	2,674,439	6,567,175
Sampath Information Technology Solutions Ltd	10,900,583	100%	328,399	706,158	100%	314,237	574,400
			4,110,642			3,898,512	

Subsidiaries are not quoted in the Colombo Stock Exchange except Siyapatha Finance PLC.

The Directors' valuation of investments in subsidiaries has been carried out on net asset basis as at 31st December 2023. Net asset values of all subsidiary companies have exceeded the cost of investment as at 31st December 2023 and accordingly no provisions have been recognised in the Financial Statements against investment in subsidiaries.

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The Group applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, replace part of an item of property, plant and equipment. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable for bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment. When parts of an item of property or equipment have different useful lives, they are accounted as separate items (major components) of property, plant and equipment.

Cost Model

The Group applies cost model to property, plant and equipment except for freehold land and buildings and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

The Group applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and buildings of the Group are revalued by independent professional valuers every three years or more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair values as at the reporting date.

On revaluation of an asset, any increase in the carrying amount is recognised in 'Other Comprehensive Income' and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Statement of Profit or Loss. In this circumstance, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Statement of Profit or Loss or debited to the other comprehensive income to the extent of any credit balance existing in the revaluation reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

The Group revalued its freehold land and buildings as at 31st December 2022, the details of which are given in Note 29.3. The Group carried out an assessment of the fair values of its land and buildings as at 31st December 2023 and concluded that there is no material change in the fair values of its land and buildings as at the reporting date.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Group and its cost can be reliably measured. The costs of day to day servicing of property, plant and equipment are charged to the Statement of Profit or Loss as incurred.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from derecognition of an item of property, plant and equipment is included in the Statement of Profit or Loss when the item is derecognised. When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspection is derecognised.

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings, major plant, machinery and system development, awaiting capitalisation. Capital work in progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset have been capitalised as part of the cost of the asset in accordance with Sri Lanka Accounting Standard - LKAS 23 (Borrowing Costs). A qualifying asset is an asset which takes substantial period of time to get ready for its intended use or sale. Capitalisation of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use are completed. Other borrowing costs are recognised in profit or loss in the period in which they are incurred. The Group has not capitalised any borrowing cost under property, plant and equipment during the year.

Rates of depreciation for each category of property, plant and equipment are given in Note 14, 'Depreciation and Amortisation Expenses'.

29.1 Bank

	Freehold Land & Buildings	Improvements to Lease Hold Properties	Computer Equipment	Office Equipment	Fixtures & Fittings	Motor Vehicles	2023 Total	2022 Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cost/Valuation								
Balance as at 1st January	6,792,986	1,572,444	4,823,020	2,667,545	420,921	196,792	16,473,708	14,759,740
Additions & improvements	18,801	215,025	832,248	468,549	51,378	1,185	1,587,186	887,298
Disposals during the year	-	(174,344)	(1,055,077)	(133,411)	(27,348)	-	(1,390,180)	(11,416)
Revaluation adjustment on accumulated depreciation	-	-	-	-	-	-	-	(138,892)
Revaluation surplus	-	-	-	-	-	-	-	978,718
Transfers/adjustments	-	-	-	(165)	165	-	-	(1,740)
Cost/valuation as at 31st December	6,811,787	1,613,125	4,600,191	3,002,518	445,116	197,977	16,670,714	16,473,708
Accumulated Depreciation								
Balance as at 1st January	-	1,235,861	3,704,542	2,095,930	341,708	185,142	7,563,183	6,941,817
Charge for the year (Note 14)	56,729	80,489	506,448	185,487	37,714	6,268	873,135	771,878
Disposals during the year	-	(174,344)	(1,053,863)	(133,233)	(27,284)	-	(1,388,724)	(11,152)
Revaluation adjustment on accumulated depreciation	-	-	-	-	-	-	-	(138,892)
Transfers/adjustments	-	-	-	(159)	159	-	-	(468)
Accumulated depreciation as at 31st December	56,729	1,142,006	3,157,127	2,148,025	352,297	191,410	7,047,594	7,563,183
Net book value as at 31st December 2023	6,755,058	471,119	1,443,064	854,493	92,819	6,567	9,623,120	
Net book value as at 31st December 2022	6,792,986	336,583	1,118,478	571,615	79,213	11,650		8,910,525

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

29.1(a) The carrying amount of Bank's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2023			2022		
	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Freehold lands	906,309	-	906,309	906,309	-	906,309
Freehold buildings	1,293,045	375,914	917,131	1,274,244	343,687	930,557
Total	2,199,354	375,914	1,823,440	2,180,553	343,687	1,836,866

29.2 Group

	Freehold Land & Buildings	Improvements to Lease Hold Properties	Computer Equipment	Office Equipment	Fixtures & Fittings	Motor Vehicles	Capital Work-in Progress	2023 Total	2022 Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cost/Valuation									
Balance as at 1st January	14,766,601	1,572,444	6,767,704	3,493,292	1,178,961	210,471	524,980	28,514,453	25,170,187
Additions & improvements	26,504	215,025	1,026,092	507,247	82,581	1,185	351,079	2,209,713	2,080,445
Disposals during the year	-	(174,344)	(1,208,421)	(136,390)	(28,232)	(1,687)	-	(1,549,074)	(137,688)
Written off during the year	-	-	-	-	-	-	-	-	(199)
Revaluation adjustment on accumulated depreciation	-	-	-	-	-	-	-	-	(445,483)
Revaluation surplus	-	-	-	-	-	-	-	-	1,855,410
Transfers/adjustments	62,784	-	-	6,982	7,813	-	(77,579)	-	(8,219)
Cost/valuation as at 31st December	14,855,889	1,613,125	6,585,375	3,871,131	1,241,123	209,969	798,480	29,175,092	28,514,453
Accumulated Depreciation									
Balance as at 1st January	-	1,235,861	5,129,844	2,282,621	604,375	194,340	-	9,447,041	8,832,671
Charge for the year (Note 14)	180,003	80,489	707,379	234,521	104,215	7,034	-	1,313,641	1,196,384
Disposals during the year	-	(174,344)	(1,206,695)	(135,608)	(28,010)	(1,543)	-	(1,546,200)	(136,003)
Written off during the year	-	-	-	-	-	-	-	-	(60)
Revaluation adjustment on accumulated depreciation	-	-	-	-	-	-	-	-	(445,483)
Transfers/adjustments	-	-	-	(159)	159	-	-	-	(468)
Accumulated depreciation as at 31st December	180,003	1,142,006	4,630,528	2,381,375	680,739	199,831	-	9,214,482	9,447,041
Net book value as at 31st December 2023	14,675,886	471,119	1,954,847	1,489,756	560,384	10,138	798,480	19,960,610	
Net book value as at 31st December 2022	14,766,601	336,583	1,637,860	1,210,671	574,586	16,131	524,980		19,067,412

29.2(a) The carrying amount of Group's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2023			2022		
	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Freehold lands	1,245,388	-	1,245,388	1,245,388	-	1,245,388
Freehold buildings	4,895,996	833,196	4,062,800	4,806,708	711,621	4,095,087
Total	6,141,384	833,196	5,308,188	6,052,096	711,621	5,340,475

29.3 Details of Bank's & Group's Land and Buildings Stated at Valuation

Valuer/Location	Depreciation Rate	Net Book Value before Revaluation		Revaluation Amount		Revaluation Gain/(Loss)			Revaluation Gain/(Loss) Recognised in 2022		
		Land	Building	Land	Building	Land	Building	Total	Profit or Loss	OCI	
		Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn
Bank											
Valuer - Mr C Wellappili											
No. 05, Wakwella Road, Galle	3.33	104.88	36.98	113.62	49.37	8.74	12.39	21.13	-	21.13	
No. 42, Anguruwatota Road, Horana	Bare Land	51.87	-	62.25	-	10.38	-	10.38	-	10.38	
No. 81 & 81 A, High Level Road, Maharagama	3.33	80.76	39.05	94.22	66.58	13.46	27.53	40.99	-	40.99	
Valuer - Mr G M Gamage											
No. 69, Main Street, Deniyaya	2.50	35.04	25.20	40.29	32.98	5.26	7.78	13.03	-	13.03	
No. 117, Hapugahawalawatta, Ihlagama Road, Deniyaya	Bare Land	1.50	-	3.50	-	2.00	-	2.00	-	2.00	
No. 05, Hakmana Road, Matara	2.50	185.64	39.39	357.00	68.00	171.36	28.61	199.97	-	199.97	
No. 25-27, Main Street, Tissamaharama	2.50	27.75	38.25	28.86	51.13	1.11	12.88	13.99	-	13.99	
Valuer - Mr Sarath Fernando											
No. 9, 9/1, Giriulla Road, Alawwa	5.00	24.70	22.36	31.00	29.00	6.30	6.64	12.94	-	12.94	
No. 150, Colombo Road, Gampaha	3.33	68.00	39.31	70.00	52.00	2.00	12.69	14.69	-	14.69	
No. 312/A, Galle Road, Kalutara	3.33	82.00	65.92	85.00	73.00	3.00	7.08	10.08	-	10.08	
No. 187, Madawala Road, Katugastota	3.33	81.00	59.87	82.00	67.00	1.00	7.13	8.13	-	8.13	
No. 31 & 33, Negombo Road, Kurunegala	3.33	187.00	96.22	192.00	116.00	5.00	19.78	24.78	-	24.78	
No. 475, Elvitigala Mawatha, Narahenpita	3.33	104.00	59.58	110.00	69.00	6.00	9.42	15.42	-	15.42	
No. 408, Main Street, Negombo	3.33	124.00	132.32	133.00	135.00	9.00	2.68	11.68	-	11.68	
No. 371, Old Moor St, Masangasweediya, Colombo 12	5.00	192.00	54.73	207.00	60.00	15.00	5.27	20.27	-	20.27	
No. 373 A, Galle Road, Panadura	3.33	75.00	46.62	80.00	54.00	5.00	7.38	12.38	-	12.38	
No. 85/87, Panchikawatta Road, Colombo 10	4.00	78.00	66.61	80.00	82.00	2.00	15.39	17.39	-	17.39	
No. 180(part), Bodiraja Mawatha, Pettah	4.35	-	92.60	-	108.80	-	16.20	16.20	-	16.20	
No. 61A, Moratuwa Road, Piliyandala	3.33	75.00	38.93	90.00	50.00	15.00	11.07	26.07	-	26.07	
No. 1/87, Victoria Range, Digana, Kandy	3.33	10.00	10.73	11.00	13.20	1.00	2.47	3.47	-	3.47	
No. 256/1, Negombo Road, Wattala	3.33	106.00	39.61	108.00	47.00	2.00	7.39	9.39	-	9.39	
No. 591, Galle Road, Wellawatta	3.33	139.00	52.71	140.00	62.00	1.00	9.29	10.29	-	10.29	
Valuer - Mr G W G Abeygunawaradene											
"Nuwarawewakele" , Maithreepala Senanayake Mw, Anuradhapura	2.86	175.74	58.46	187.86	60.84	12.12	2.38	14.50	0.80	13.70	
No. 1022, Maradana Road, Borella	2.50	296.16	87.30	318.37	90.38	22.21	3.08	25.29	-	25.29	
No. 103, Dharmapala Mawatha, Hunupitiya, Colombo 7	2.86	1,731.30	62.71	1,973.55	72.68	242.25	9.97	252.22	-	252.22	
No. 29, Cross Street, Kandy	2.50	282.70	84.23	346.95	114.30	64.25	30.07	94.32	-	94.32	
No. 261, Galle Road, Ratmalana	3.33	49.00	20.42	73.58	48.68	24.58	28.25	52.83	-	52.83	
Valuer - Mr A A M Fathihu											
No. 202, Main Road, Attidiya	2.50	50.76	25.35	57.10	43.90	6.34	18.55	24.89	-	24.89	
Total - Bank		4,418.80	1,395.46	5,076.15	1,716.83	657.35	321.37	978.72	0.80	977.92	
Subsidiaries											
Valuer - Mr C Wellappili											
Sampath Centre - No. 110, Sir James Peiris Mawatha, Colombo 2	2.50	2,677.50	2,650.83	2,841.60	3,306.82	164.10	655.99	820.09	-	820.09	
Valuer - Mr C Wellappili											
Siyapatha Finance PLC - No. 111, Dudley Senanayake Mawatha, Colombo 8	2.50	367.91	1,400.69	424.51	1,400.69	56.60	-	56.60	-	56.60	
Total - Group		7,464.21	5,446.98	8,342.26	6,424.34	878.05	977.36	1,855.41	0.80	1,854.61	

The revaluation amounts given in Note 29.3 are derived from valuations conducted as of 31st December 2022. The Group has determined that there is no significant change in the fair values of land and buildings as of the reporting date, from the values reported as at the last revaluation date. The income basis has been employed in determining the revaluation amount, with the exception of properties at No. 1/87, Victoria Range, Digana, Kandy, and No. 103, Dharmapala Mw, Hunupitiya, Colombo 7, which have been valued using the market comparable method.

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

29.4 Freehold Land and Buildings

Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Building Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2023 Net Book Value Rs 000	As a % of Total NBV	2022 Net Book Value Rs 000
Bank										
1 Alawwa No. 9, 9/1, Giriulla Road, Alawwa	20.7	8,190	1	31,000	29,000	60,000	1,450	58,550	0.4%	60,000
2 Anuradhapura "Nuwarawewakele", Maithreepala Senanayake Mw, Anuradhapura	40.4	8,929	1	187,860	61,052	248,912	1,742	247,170	1.7%	248,700
3 Attidiya No. 202, Main Road, Attidiya	12.7	6,064	1	57,100	51,931	109,031	1,124	107,907	0.7%	101,000
4 Borella No. 1022, Maradana Road, Borella	24.7	15,876	1	318,372	90,378	408,750	2,260	406,490	2.8%	408,750
5 Deniyaya No. 69, Main Street, Deniyaya	17.5	5,325	1	40,296	32,978	73,274	825	72,449	0.5%	73,274
6 Deniyaya No. 117, Hapugahawalawatta, Ihalagama Road, Deniyaya	40.0	Bare Land	-	3,500	-	3,500	-	3,500	0.0%	3,500
7 Dharmapala Mawatha No. 103, Dharmapala Mawatha, Hunupitiya, Colombo 7	119.4	7,300	1	1,973,550	73,377	2,046,927	2,171	2,044,756	13.9%	2,046,225
8 Galle No. 05, Wakwella Road, Galle	17.5	5,400	1	113,620	49,367	162,987	1,646	161,341	1.1%	162,987
9 Gampaha No. 150, Colombo Road, Gampaha	25.0	5,680	1	70,000	52,000	122,000	1,734	120,266	0.8%	122,000
10 Horana No. 42, Anguruwatota Road, Horana	20.8	Bare Land	-	62,250	-	62,250	-	62,250	0.4%	62,250
11 Kalutara No. 312/A, Galle Road, Kalutara	30.0	8,715	1	85,000	73,000	158,000	2,434	155,566	1.1%	158,000
12 Kandy Metro No. 29, Cross Street, Kandy	25.7	17,398	1	346,950	114,300	461,250	2,858	458,392	3.1%	461,250
13 Katugastota No. 187, Madawala Road, Katugastota	23.2	7,811	1	82,000	67,000	149,000	2,234	146,766	1.0%	149,000
14 Kurunegala No. 31 & 33, Negombo Road, Kurunegala	37.4	16,202	1	192,000	117,497	309,497	3,913	305,584	2.1%	308,000
15 Maharagama No. 81 & 81 A, High Level Road, Maharagama	13.5	6,310	1	94,220	66,580	160,800	2,220	158,580	1.1%	160,800
16 Matara No. 05, Hakmana Road, Matara	47.6	11,141	2	357,000	72,099	429,099	1,794	427,305	2.9%	425,000
17 Narahrenpita No. 475, Elvitigala Mawatha, Narahrenpita	18.9	9,600	1	110,000	69,000	179,000	2,300	176,700	1.2%	179,000
18 Negombo No. 408, Main Street, Negombo	41.5	15,088	1	133,000	135,000	268,000	4,501	263,499	1.8%	268,000
19 Old Moor Street No. 371, Old Moor St, Masangasweediya, Colombo 12	24.0	10,180	1	207,000	60,000	267,000	3,001	263,999	1.8%	267,000

Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Building Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2023 Net Book Value Rs 000	As a % of Total NBV	2022 Net Book Value Rs 000
20 Panadura No. 373 A, Galle Road, Panadura	27.3	6,020	1	80,000	54,000	134,000	1,800	132,200	0.9%	134,000
21 Panchikawatta No. 85/87, Panchikawatta Road, Colombo 10	9.8	14,680	1	80,000	82,000	162,000	3,280	158,720	1.1%	162,000
22 Pettah No. 180(part), Bodiraja Mawatha, Pettah	-	5,124	1	-	113,060	113,060	4,804	108,256	0.7%	108,800
23 Piliyandala No. 61A, Moratuwa Road, Piliyandala	37.5	8,138	1	90,000	50,000	140,000	1,667	138,333	0.9%	140,000
24 Ratmalana No. 261, Galle Road, Ratmalana	10.9	5,520	1	73,575	48,675	122,250	1,623	120,627	0.8%	122,250
25 Tissamaharama No. 25-27, Main Street, Tissamaharama	22.2	10,815	1	28,860	51,140	80,000	1,279	78,721	0.5%	80,000
26 Victoria Range No. 1/87, Victoria Range, Digana, Kandy	20.1	2,320	1	11,000	13,200	24,200	440	23,760	0.2%	24,200
27 Wattala No. 256/1, Negombo Road, Wattala	42.5	5,314	1	108,000	47,000	155,000	1,562	153,438	1.0%	155,000
28 Wellawatte No. 591, Galle Road, Wellawatta	21.5	7,776	1	140,000	62,000	202,000	2,067	199,933	1.4%	202,000
Total - Bank	792.3	230,916	27	5,076,153	1,735,634	6,811,787	56,729	6,755,058	46.0%	6,792,986
Subsidiaries										
Sampath Centre Ltd										
29 Slave Island No. 110, Sir James Peiris Mawatha, Colombo 2	153.6	318,264	1	2,841,600	3,377,310	6,218,910	88,257	6,130,653	41.8%	6,148,423
Siyapatha Finance PLC										
30 Borella No. 111, Dudley Senanayake Mawatha, Colombo 8	29.1	61,370	1	424,500	1,400,692	1,825,192	35,017	1,790,175	12.2%	1,825,192
Total - Group	975.0	610,550	29	8,342,253	6,513,636	14,855,889	180,003	14,675,886	100.0%	14,766,601

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

29.5(a) Improvements to Leasehold Properties

Bank & Group

As at 31st December	2023			2022
	Cost of Buildings Rs 000	Accumulated Depreciation Rs 000	Net Book Value Rs 000	Net Book Value Rs 000
01 - 05 years	314,122	260,519	53,603	47,955
06 - 10 years	1,089,323	707,850	381,473	248,606
Above 10 years	209,680	173,637	36,043	40,022
Total	1,613,125	1,142,006	471,119	336,583

29.5(b) Fully Depreciated Property, Plant and Equipment

A class-wise analysis of the initial cost of fully depreciated property, plant and equipment which are still in use as at reporting date is as follows.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Asset class				
Improvements to leasehold properties	995,531	1,135,103	995,531	1,135,103
Computer equipment & software	3,694,610	4,437,727	4,286,555	5,012,010
Office equipment	1,613,390	1,589,715	1,680,279	1,641,239
Fixtures & fittings	259,621	228,672	457,049	380,342
Motor vehicles	153,856	139,563	166,056	147,267
Total	6,717,008	7,530,780	7,585,470	8,315,961

29.5(c) Temporarily Idle Property, Plant and Equipment - Bank & Group

The Bank holds Horana land worth of Rs 62.25 Mn with the intention of constructing a branch. The Bank does not intend to construct a branch in the bare land located in Deniyaya as it was severely earth slipped. Any future construction on this land would be subjected to NBRO (National Building Research Organisation) certification.

29.5(d) Property, Plant and Equipment Retired from Active Use - Bank & Group

There were no property, plant and equipment retired from active use as at 31st December 2023 (2022: NIL).

29.5(e) Title Restriction on Property, Plant and Equipment - Bank & Group

There were no restriction on the title of property, plant and equipment as at 31st December 2023 (2022: NIL).

29.5(f) Property, Plant and Equipment Pledged as Security against Liabilities - Bank & Group

There were no items of property, plant and equipment pledged as securities against liabilities (2022: NIL).

29.5(g) Compensation from Third Parties for Items of Property, Plant and Equipment - Bank & Group

There were no compensation received during the year from third parties for items of property, plant and equipment that were impaired, lost or given up (2022: NIL).

ACCOUNTING POLICY**Recognition**

An intangible asset is an identifiable non-monetary asset without physical substance, held for use in the production or supply of goods or services, for rental to others or for administrative purposes. An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost. Expenditure incurred on an intangible item that was initially recognised as an expense by the Group in previous annual Financial Statements or interim Financial Statements are not recognised as part of the cost of an intangible asset at a later date.

Computer Software

Cost of purchased licenses and all computer software costs incurred, licensed for use by the Group, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category 'Intangible Assets' and carried at cost less accumulated amortisation and any accumulated impairment losses.

Subsequent Expenditure

Expenditure incurred on software is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred. Goodwill is measured at cost less accumulated impairment losses.

Derecognition of Intangible Assets

The carrying amount of an item of intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from derecognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

Intangible assets of the Bank as at 31st December 2023 only include computer software and cost of licenses. Rates of amortisation for computer software and licenses are given in Note 14, 'Depreciation and Amortisation Expenses'.

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cost				
Balance as at 1st January	3,512,494	3,201,600	3,753,036	3,423,634
Additions & improvements	429,348	309,934	437,982	321,964
Disposal/write off during the year	(371,809)	-	(371,809)	-
Transfers/adjustments	-	960	-	7,438
Cost as at 31st December	3,570,033	3,512,494	3,819,209	3,753,036
Accumulated Amortisation				
Balance as at 1st January	2,934,463	2,656,684	3,152,695	2,855,953
Charge for the year (Note 14)	261,984	279,017	271,791	297,980
Disposal/write off during the year	(371,809)	-	(371,809)	-
Transfers/adjustments	-	(1,238)	-	(1,238)
Accumulated amortisation as at 31st December	2,824,638	2,934,463	3,052,677	3,152,695
Net book value as at 31st December	745,395	578,031	766,532	600,341

NOTES TO THE FINANCIAL STATEMENTS

31 RIGHT-OF-USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognised and the movements during the year.

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cost				
Balance as at 1st January	7,771,140	7,275,690	6,079,768	5,598,340
Additions & improvements	1,574,619	1,769,040	862,575	1,136,377
Expiration/write off during the year	(1,260,526)	(1,273,590)	(360,376)	(654,949)
Cost as at 31st December	8,085,233	7,771,140	6,581,967	6,079,768
Accumulated Amortisation				
Balance as at 1st January	4,230,854	4,010,372	2,813,998	2,566,550
Charge for the year (Note 14)	1,509,380	1,494,073	968,941	902,397
Expiration/write off during the year	(1,260,526)	(1,273,591)	(353,638)	(654,949)
Accumulated amortisation as at 31st December	4,479,708	4,230,854	3,429,301	2,813,998
Net book value as at 31st December	3,605,525	3,540,286	3,152,666	3,265,770

31.1 Lease Liability

Set out below are the carrying amounts of lease liabilities (included under "Other Liabilities" in Note 40) and the movements during the year.

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	4,291,844	3,726,611	3,908,634	3,493,648
Additions	1,574,619	1,769,040	862,575	1,136,377
Accretion of interest (Note 7.2)	645,963	423,576	493,534	353,407
Payments	(2,330,571)	(1,627,383)	(1,439,115)	(1,074,798)
Balance as at 31st December (Note 40)	4,181,855	4,291,844	3,825,628	3,908,634

31.1.1 Maturity Analysis of Lease Liability

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Less than 1 year	2,461,691	2,352,370	1,921,318	1,768,672
1 to 5 year	1,333,432	1,605,762	1,463,115	1,768,829
More than 5 years	386,732	333,712	441,195	371,133
	4,181,855	4,291,844	3,825,628	3,908,634

31.2 Sensitivity of Right-of-Use Assets/Lease Liability to Key Assumptions

31.2.1 Sensitivity to Discount Rates

1% increase/(decrease) in discount rate as at 31st December 2023 would have (decreased)/increased the lease liability by approximately Rs 93 Mn with a similar (decrease)/increase in the right-of-use asset. Had the Bank increased/(decreased) the discount rate by 1%, the Bank's profit before tax for the year would have (decreased)/increased by approximately Rs 24 Mn.

31.2.2 Sensitivity to Lease Term

Had the lease term of all existing lease agreements been increased by further one year, lease liability of the Bank as at 31st December 2023 would have increased by Rs 2.2 Bn with a similar increase in the right-of-use assets. Further, this would reduce the profit before tax of the Bank by Rs 403 Mn.

The above sensitivities are given only for the Bank since the subsidiary leases do not have a material impact on the financial statements of the Group.

32 DEFERRED TAX (ASSETS)/LIABILITIES

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Recognised under assets	(17,292,023)	(21,734,244)	(17,517,519)	(21,992,147)
Recognised under liabilities	-	-	1,465,112	1,465,662
	(17,292,023)	(21,734,244)	(16,052,407)	(20,526,485)

Net deferred tax (assets)/liabilities of one entity cannot be set-off against another entity's liabilities/(assets) since there is no legally enforceable right to set-off. Therefore, net deferred tax assets and liabilities of different entities are separately recognised in the Statement of Financial Position.

The management exercises judgment in determining the carrying value of the deferred tax asset at each reporting date. The carrying amount of the deferred tax assets is adjusted to reflect changes in tax laws and management judgement, if any, during the subsequent reporting periods, resulting in corresponding increase or decrease in profit or loss /other comprehensive income.

NOTES TO THE FINANCIAL STATEMENTS

32 DEFERRED TAX (ASSETS)/LIABILITIES CONTD.

32.1 Movement in Deferred Tax (Assets)/Liabilities

Bank

	Accelerated Depreciation for Tax Purposes Property, Plant & Equipment Rs 000	Provision for Loans and Other Financial Assets Rs 000	Revaluation on Land & Buildings Rs 000	Retirement Benefit Obligation Rs 000	Gain/(Loss) on FVOCI Assets Rs 000	Others Rs 000	Total Rs 000
Balance as at 1st January 2022	383,283	186,850	997,867	(617,550)	512,023	(105,759)	(6,157,958)
Profit or loss (Note 16)							
Due to rate increase on opening deferred tax (asset)/liability	95,821	46,712	-	(13,951)	-	(25,608)	(1,775,695)
Due to change in deductible loan loss provision method	-	(2,618,024)	-	-	-	-	(2,618,024)
Due to change in temporary differences	23,931	(114,715)	(12,042,682)	(125,485)	-	(121,559)	(12,380,510)
Other comprehensive income							
Due to rate increase on opening deferred tax (asset)/liability	-	-	249,467	(140,436)	127,174	-	236,205
Due to change in temporary differences	-	-	293,374	343,854	324,510	-	961,738
Balance as at 31st December 2022	503,035	118,847	1,540,708	(553,568)	963,707	(252,926)	(21,734,244)
Balance as at 1st January 2023	503,035	118,847	1,540,708	(553,568)	963,707	(252,926)	(21,734,244)
Profit or loss - due to change in temporary differences (Note 16)	15,124	(7,776)	860,073	(132,141)	-	74,284	809,564
Other comprehensive income - due to change in temporary differences	-	-	-	(265,364)	3,898,021	-	3,632,657
Balance as at 31st December 2023	518,159	111,071	1,540,708	(951,073)	4,861,728	(178,642)	(17,292,023)

Group

	Accelerated Depreciation for Tax Purposes Property, Plant & Equipment Rs 000	Provision for Loans and Other Financial Assets Rs 000	Revaluation on Land & Buildings Rs 000	Retirement Benefit Obligation Rs 000	Gain/(Loss) on FVOCI Assets Rs 000	Others Rs 000	Total Rs 000
Balance as at 1st January 2022	413,056	277,986	1,984,503	(650,996)	512,023	(167,445)	(5,263,167)
Profit or loss (Note 16)							
Due to rate increase on opening deferred tax (asset)/liability	103,264	69,497	-	(20,952)	-	(42,131)	(1,798,395)
Due to change in deductible loan loss provision method	-	(2,686,877)	-	-	-	-	(2,686,877)
Due to change in temporary differences	50,209	(209,195)	(12,064,618)	(134,681)	-	(132,478)	(12,490,763)
Other comprehensive income							
Due to rate increase on opening deferred tax (asset)/liability	-	-	496,867	(141,436)	127,174	-	482,605
Due to change in temporary differences	-	-	558,454	347,148	324,510	-	1,230,112
Balance as at 31st December 2022	566,529	138,288	3,039,824	(600,917)	963,707	(342,054)	(20,526,485)
Balance as at 1st January 2023	566,529	138,288	3,039,824	(600,917)	963,707	(342,054)	(20,526,485)
Profit or loss - due to change in temporary differences (Note 16)	44,626	(23,279)	886,080	(141,127)	-	74,225	840,525
Other comprehensive income - due to change in temporary differences	-	-	-	(264,468)	3,898,021	-	3,633,553
Balance as at 31st December 2023	611,155	115,009	3,039,824	(1,006,512)	4,861,728	(267,829)	(16,052,407)

33 OTHER ASSETS

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Pre-paid expenses	736,542	664,278	816,632	752,317
Reimbursement under special senior citizen deposit scheme	10,839,640	10,738,328	10,839,640	10,738,328
Items in transit (Note 33.1)	13,668,632	7,251,655	13,668,632	7,251,655
Pre-paid staff cost (Note 33.2)	3,720,634	3,585,095	3,734,428	3,604,034
Refundable deposits	21,641	17,346	44,554	38,248
Commission receivable on financial guarantees (Note 33.3)	-	23,752	-	23,752
Other debtors	4,217,743	4,350,520	6,282,161	5,980,622
	33,204,832	26,630,974	35,386,047	28,388,956

33.1 Items in transit include amounts receivable under the Common Electronic Fund Transfer (CEFT) system, e-remittance, cheque clearing transactions etc.

33.2 The Movement in the Pre-Paid Staff Cost

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	3,585,095	2,949,373	3,604,034	2,972,598
Add: Adjustment for new grants (net of settlements)	417,553	984,984	421,244	994,700
Charge to personnel expenses (Note 13)	(282,014)	(349,262)	(290,850)	(363,264)
Balance as at 31st December	3,720,634	3,585,095	3,734,428	3,604,034

The Group's accounting policy on pre-paid staff cost is explained in Note 3.4.2.1

33.3 Commission Receivable on Financial Guarantees

Bank & Group

	2023 Rs 000	2022 Rs 000
Balance as at 1st January	23,752	44,680
Interest income	1,186	3,051
Commission received	(24,938)	(23,979)
Balance as at 31st December	-	23,752

34 DUE TO BANKS

ACCOUNTING POLICY

The accounting policies pertaining to "Due to Banks" are given in Note 3.4.3.7 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Deposits (Note 34.1)	10,827,650	7,113,008	10,827,650	7,113,008
Borrowings (Note 34.2)	794,188	4,184,173	6,517,116	8,142,176
Total due to banks	11,621,838	11,297,181	17,344,766	15,255,184

NOTES TO THE FINANCIAL STATEMENTS

34 DUE TO BANKS CONTD.

34.1 Deposits

Bank & Group

As at 31st December	2023 Rs 000	2022 Rs 000
Local Currency Deposits		
Demand deposits	19,454	106,406
Savings deposits	411,455	108,505
Term deposits	321,932	240,629
Margin deposits	-	9,494
Total local currency deposits	752,841	465,034
Foreign Currency Deposits		
Demand deposits	-	164
Term deposits	10,074,809	6,647,810
Total foreign currency deposits	10,074,809	6,647,974
Total deposits	10,827,650	7,113,008

34.2 Borrowings

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Term borrowings	-	-	5,278,401	3,566,714
Foreign bank borrowings	718,839	4,062,501	718,839	4,062,501
Unfavourable balances with local & foreign banks	75,349	121,672	519,876	512,961
Total Borrowings	794,188	4,184,173	6,517,116	8,142,176

The Bank/Group has not had any default of principal and interest with regard to any liability during 2022 and 2023.

35 DUE TO DEPOSITORS

ACCOUNTING POLICY

The accounting policies pertaining to "Due to Depositors" are given in Note 3.4.3.7 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Local Currency Deposits				
Demand deposits	59,048,988	53,597,498	59,008,095	53,572,363
Saving deposits	272,907,275	241,685,530	272,917,719	241,614,954
Call deposits	3,743	6,022	3,743	6,022
Term deposits	698,430,507	579,849,920	721,369,450	599,001,636
Certificates of deposits	5,391,335	5,888,555	5,391,335	5,888,555
Margin deposits	1,121,567	1,854,990	1,121,567	1,854,990
Total local currency deposits	1,036,903,415	882,882,515	1,059,811,909	901,938,520
Foreign Currency Deposits				
Demand deposits	9,130,948	12,245,502	9,130,948	12,245,502
Saving deposits	80,753,895	52,657,036	80,753,895	52,657,036
Term deposits	126,656,250	148,164,690	126,656,250	148,164,690
Margin deposits	198,039	150,131	198,039	150,131
Total foreign currency deposits	216,739,132	213,217,359	216,739,132	213,217,359
Total deposits	1,253,642,547	1,096,099,874	1,276,551,041	1,115,155,879

35.1 Analysis of Due to Depositors

35.1.1 By Product

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Demand deposits	68,179,936	65,843,000	68,139,043	65,817,865
Saving deposits	353,661,170	294,342,566	353,671,614	294,271,990
Call deposits	3,743	6,022	3,743	6,022
Term deposits	825,086,757	728,014,610	848,025,700	747,166,326
Certificates of deposits	5,391,335	5,888,555	5,391,335	5,888,555
Margin deposits	1,319,606	2,005,121	1,319,606	2,005,121
Total deposits	1,253,642,547	1,096,099,874	1,276,551,041	1,115,155,879

35.1.2 By Currency

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Sri Lankan Rupee	1,036,903,415	882,882,515	1,059,811,909	901,938,520
United States Dollar	203,290,306	199,853,189	203,290,306	199,853,189
Euro	3,417,325	3,619,105	3,417,325	3,619,105
Great Britain Pounds	4,693,261	4,693,262	4,693,261	4,693,262
Australian Dollar	3,026,165	3,549,340	3,026,165	3,549,340
Japanese Yen	759,554	332,749	759,554	332,749
New Zealand Dollar	34,641	31,522	34,641	31,522
Singapore Dollar	325,890	292,483	325,890	292,483
Others	1,191,990	845,709	1,191,990	845,709
Total deposits	1,253,642,547	1,096,099,874	1,276,551,041	1,115,155,879

35.1.3 Current Accounts and Savings Accounts (CASA)

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
CASA				
Local Currency Deposits				
-Due to banks	430,909	214,911	430,909	214,911
-Due to depositors	331,956,263	295,283,028	331,925,814	295,187,317
Total local currency CASA	332,387,172	295,497,939	332,356,723	295,402,228
Foreign Currency Deposits				
-Due to banks	-	164	-	164
-Due to depositors	89,884,843	64,902,538	89,884,843	64,902,538
Total foreign currency CASA	89,884,843	64,902,702	89,884,843	64,902,702
Total CASA deposits	422,272,015	360,400,641	422,241,566	360,304,930
Total Deposits				
Due to banks (Note 34.1)	10,827,650	7,113,008	10,827,650	7,113,008
Due to depositors	1,253,642,547	1,096,099,874	1,276,551,041	1,115,155,879
	1,264,470,197	1,103,212,882	1,287,378,691	1,122,268,887
CASA as a percentage (%) of total deposits	33.4	32.7	32.8	32.1

NOTES TO THE FINANCIAL STATEMENTS

36 DUE TO OTHER BORROWERS

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Refinance borrowings	6,637,129	9,173,923
	6,637,129	9,173,923

The Bank/Group has not had any default of principal and interest with regard to any liability during 2022 and 2023.

37 DUE TO DEBT SECURITIES HOLDERS

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Redeemable debentures (Note 37.1)	26,709,893	21,973,516	29,837,303	27,210,652
Long term bond (Note 37.2)	-	3,286,020	-	3,286,020
Securitisation	-	-	549,506	2,375,589
Total	26,709,893	25,259,536	30,386,809	32,872,261
Due within 1 year	10,709,893	12,259,536	12,886,809	15,699,261
Due after 1 year	16,000,000	13,000,000	17,500,000	17,173,000
Total	26,709,893	25,259,536	30,386,809	32,872,261
Senior debt	-	-	549,506	4,485,315
Subordinated debt	26,709,893	25,259,536	29,837,303	28,386,946
Total	26,709,893	25,259,536	30,386,809	32,872,261

37.1 Redeemable Debentures

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	21,973,516	27,996,119	27,210,652	34,263,734
Debentures issued	10,000,000	-	10,000,000	-
Debentures redeemed	(7,500,000)	(6,000,000)	(9,500,000)	(7,000,000)
	24,473,516	21,996,119	27,710,652	27,263,734
Interest accrued during the year	4,250,797	3,177,897	4,709,694	3,839,268
Interest paid	(2,014,420)	(3,200,500)	(2,583,043)	(3,892,350)
Balance as at 31st December	26,709,893	21,973,516	29,837,303	27,210,652

37.1.1 Details of Debentures issued

Category	Colombo Stock Exchange Listing	No. of Debentures	Face Value Rs 000	Rate of Interest	Interest Payable Frequency	Tenor	Allotment Date	Maturity Date	Amortised Cost	
									As at 31.12.2023	As at 31.12.2022
									Rs 000	Rs 000
Debentures issued by the Bank										
2018	Listed	75,000,000	7,500,000	12.50%	Semi-annually	5 years	20-Mar-18	20-Mar-23	-	7,764,555
2019	Listed	70,000,000	7,000,000	13.90%	Annually	5 years	28-Feb-19	28-Feb-24	7,818,386	7,818,386
2021	Listed	60,000,000	6,000,000	9.00%	Annually	7 years	12-Apr-21	12-Apr-28	6,390,575	6,390,575
2023	Listed	99,900,000	9,990,000	28.00%	Annually	5 years	9-Feb-23	9-Feb-28	12,488,321	-
2023	Listed	100,000	10,000	*T-bill rate + 1.5%	Annually	5 years	9-Feb-23	9-Feb-28	12,611	-
Total debentures issued by the Bank										
									26,709,893	21,973,516
Debentures issued by the Subsidiary, Siyapatha Finance PLC										
2019	Listed	15,000,000	1,500,000	13.33%	Annually	5 Years	8-Aug-19	8-Aug-24	1,579,980	1,579,980
2020	Listed	20,000,000	2,000,000	11.25%	Annually	3 Years	7-Jul-20	7-Jul-23	-	2,109,726
2021	Listed	15,000,000	1,500,000	9.46%	Annually	5 Years	1-Sep-21	31-Aug-26	1,547,430	1,547,430
Total debenture issued by the Subsidiary										
									3,127,410	5,237,136
Total debentures issued by the Group										
									29,837,303	27,210,652

Since 2017, the Bank has only issued Basel III, Tier II compliant, listed, rated, unsecured, subordinated, redeemable debentures with a non-viability conversion at a par value of Rs 100/- each. The Bank redeemed the debentures issued in 2018 on 20th March 2023.

The outstanding debentures of Siyapatha Finance PLC are rated, unsecured, subordinated, redeemable debentures of a par value of Rs 100/- each. Siyapatha Finance PLC has redeemed the senior debentures issued in 2020 on 7th July 2023.

* One year gross T-bill rate + 1.5%, subject to a floor of 20% & a cap of 31%

NOTES TO THE FINANCIAL STATEMENTS

37 DUE TO DEBT SECURITIES HOLDERS CONTD.

37.2 Long Term Bond

Bank & Group

In 2003, the Bank issued a 20-year redeemable zero coupon bond with a redemption value of Rs 3,458 Mn. This bond was matured on 1st August 2023.

	2023	2022
	Rs 000	Rs 000
Balance as at 1st January	3,286,020	3,010,473
Interest accrued	172,089	275,547
Repayment during the year	(3,458,109)	-
Balance as at 31st December	-	3,286,020

38 RETIREMENT BENEFIT OBLIGATION

ACCOUNTING POLICY

The accounting policies pertaining to "Retirement Benefit Obligation" are given in Note 13 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Provision for gratuity (Note 38.1.1)	2,206,081	1,809,909	2,390,873	1,962,919
Leave accrual plan (Note 38.2.1)	265,027	274,845	265,027	274,845
EPF Interest guarantee plan (Note 38.3.1)	135,674	97,733	135,674	97,733
Net liability/(asset) on pension fund (Note 38.4.1)	563,465	(337,259)	563,465	(337,259)
	3,170,247	1,845,228	3,355,039	1,998,238

38.1 Provision for Gratuity

38.1.1 Movement of Defined Benefit Obligation during the year

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	1,809,909	1,600,635	1,962,919	1,733,970
Current service cost	166,634	147,298	195,236	172,944
Interest expenses	325,784	185,674	353,327	201,090
Benefits paid from plan	(265,675)	(132,598)	(287,051)	(143,055)
Actuarial (gain)/loss due to changes in assumptions				
- Financial assumptions	(79,663)	(37,050)	(77,513)	(45,263)
- Demographic assumptions	371,875	-	371,883	-
Actuarial experience (gain)/loss	(122,783)	45,950	(127,928)	43,233
Balance as at 31st December	2,206,081	1,809,909	2,390,873	1,962,919

38.1.2 Amounts Recognised in Profit or Loss

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Current service cost	166,634	147,298	195,236	172,944
Interest expenses	325,784	185,674	353,327	201,090
Total amount recognised in profit or loss (Note 13)	492,418	332,972	548,563	374,034

38.1.3 Amounts Recognised in OCI

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Actuarial gain due to changes in assumptions*				
- Financial assumptions	(79,663)	(37,050)	(77,513)	(45,263)
- Demographic assumptions	371,875	-	371,883	-
Actuarial experience loss arising during the year	(122,783)	45,950	(127,928)	43,233
Total actuarial loss recognised in OCI	169,429	8,900	166,442	(2,030)

*Significant assumptions used for the actuarial valuation are given in Note 38.1.4.

An Actuarial valuation of the gratuity fund of the Bank was carried out as at 31st December 2023 by Mr Piyal S Goonetilleke (Fellow of Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

38.1.4 Actuarial Assumptions - Bank

As at 31st December	2023	2022
Financial assumptions*		
Discount rate	13.3%	18.0%
Future salary increment rate	11.9%	17.0%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table
Retirement age	60 years	60 years

* Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the decrease in market interest rates.

**The Bank adjusted the staff turnover rates used in 2023, a key demographic assumption, after considering the actual turnover rates during the period.

Expected average future working life of the active participants is 9.8 years (2022: 13.4 years).

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.1.5 Sensitivity of Assumptions Employed in Gratuity Valuation - Bank

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the gratuity liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	2023		2022	
		Sensitivity Effect on Comprehensive Income Statement Increase/ (Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/ (Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/(Decrease) in Liability Rs Mn
1%	-	218.8	(218.8)	174.5	(174.5)
(1%)	-	(260.2)	260.2	(207.0)	207.0
-	1%	(258.1)	258.1	(204.7)	204.7
-	(1%)	221.0	(221.0)	175.5	(175.5)

All Subsidiaries of the Group carry out actuarial valuations to ascertain their respective gratuity liabilities. However assumptions and the sensitivity of the assumptions have been given only for the gratuity fund of the Bank since Subsidiary gratuity liabilities do not have a material impact on the Group Financial Statements.

38.2 Leave Accrual Plan

38.2.1 Liability Recognised in the Statement of Financial Position

Bank & Group

	2023	2022
	Rs 000	Rs 000
Balance as at 1st January	274,845	278,946
Provision made during the year	(9,818)	(4,101)
Balance as at 31st December	265,027	274,845

38.3 EPF Interest Guarantee Plan

Employees' Provident Fund (EPF) is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute 12% and 8% respectively on the salary of each employee. Employees who are members of the fund are entitled to receive interest at a guaranteed rate of National Savings Bank's one year fixed deposit rate (net of income tax) on their balance even if the fund earns a lower return from its investment in a given financial year. As per Section 8 of the EPF Constitution, the Bank shall contribute any shortfall in the revenue account of the fund, after payment of interest at the said rate and other cost of administering the fund. Thus the Bank's obligation to EPF is not limited to 12% contribution referred to above and accordingly the fund was treated as a defined benefit liability as per Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation was carried out by Mr Piyal S Goonetilleke (Fellow of Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries to value the Bank's additional obligation arising from Section 8 of the EPF constitution as at 31st December 2023.

38.3.1 Movement of the Liability Recognised in the Statement of Financial Position

Bank & Group

	2023	2022
	Rs 000	Rs 000
Balance as at 1st January	97,733	128,446
Current service cost and interest cost (Note 38.3.2)	24,400	23,542
Actuarial loss/(gain) (Note 38.3.3)	13,541	(54,255)
Balance as at 31st December	135,674	97,733

38.3.2 Amounts Recognised in Profit or Loss

Bank & Group

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Current service cost	6,808	8,642
Interest expense on defined benefit liability	17,592	14,900
Total amount recognised in profit or loss	24,400	23,542

38.3.3 Amounts Recognised in OCI

Bank & Group

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Actuarial loss/(gain) due to changes in assumptions*		
- Financial assumptions	34,550	(41,278)
- Demographic assumptions	(3,160)	-
Actuarial gain due to experience adjustments	(17,849)	(12,977)
Total amount recognised in OCI	13,541	(54,255)

* Significant assumptions used for the actuarial valuation are given in Note 38.3.4.

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.3.4 Actuarial Assumptions - Bank

	2023	2022
Financial assumptions*		
Discount rate	13.3%	18.0%
Future salary increment rate	11.9%	17.0%
Return from EPF investments	6.6%	8.2%
Long term guaranteed EPF interest rate (net of tax)	6.9%	8.4%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table

Expected average future working life of the active participants is 9.8 years (2022: 13.4 years)

* Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the decrease in market interest rates.

**The Bank adjusted the staff turnover rates used in 2023, a key demographic assumption, after considering the actual turnover rates during the period.

38.3.5 Sensitivity of Assumptions Employed in EPF Interest Guarantee Plan Valuation

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the EPF interest guarantee liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	2023		2022	
		Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn
1%	-	13.2	(13.2)	8.7	(8.7)
(1%)	-	(15.3)	15.3	(10.0)	10.0
-	1%	(2.9)	2.9	(2.3)	2.3
-	(1%)	2.7	(2.7)	2.1	(2.1)

38.4 Pension Fund

38.4.1 Net Liability/(Asset) Recognised in the Statement of Financial Position

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Present value of funded obligations as at 31st December (Note 38.4.4)	9,815,046	7,336,784
Fair value of plan assets as at 31st December (Note 38.4.5)	(9,251,581)	(7,674,043)
Funded status	563,465	(337,259)
Present value of unfunded benefit obligation	-	-
Net liability/(asset) recognised in the Statement of Financial Position	563,465	(337,259)

38.4.2 Amounts Recognised in Profit or Loss

Bank & Group

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Current service cost	210,167	261,478
Net interest expense on the net defined benefit liability	(11,019)	95,320
Gain on plan amendments	-	(158,333)
Total amount recognised in profit or loss (Note 13)	199,148	198,465

38.4.3 Amounts Recognised in OCI

Bank & Group

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Actuarial loss/(gain) due to changes in assumptions*		
- Financial assumptions	2,204,734	(2,655,618)
- Demographic assumptions	(605,775)	-
Actuarial (gain)/loss due to experience adjustments	(141,906)	267,599
Actuarial (gain)/loss from plan assets	(755,477)	1,287,195
Total amount recognised in OCI	701,576	(1,100,824)

* Significant assumptions used for the actuarial valuation are given in Note 38.4.6

38.4.4 Defined Benefit Obligation Reconciliation

Bank & Group

	2023	2022
	Rs 000	Rs 000
Defined benefit obligation as at 1st January	7,336,784	9,012,682
Current service cost	210,167	261,478
Interest cost	1,320,621	1,060,794
Gain on plan amendments	-	(158,333)
Actual benefits paid from plan	(509,579)	(451,818)
Actuarial loss/(gain) due to changes in assumptions		
- Financial assumptions	2,204,734	(2,655,618)
- Demographic assumptions	(605,775)	-
Actuarial (gain)/loss due to experience adjustments	(141,906)	267,599
Defined benefit obligation as at 31st December	9,815,046	7,336,784

38.4.5 Fair Value of Plan Assets Reconciliation

Bank & Group

	2023	2022
	Rs 000	Rs 000
Fair value of plan assets as at 1st January	7,674,043	8,447,582
Interest income on plan assets	1,331,640	965,474
Actual benefits paid from plan	(509,579)	(451,818)
Actuarial gain/(loss) from plan assets	755,477	(1,287,195)
Fair value of plan assets as at 31st December (Note 38.4.5 (a))	9,251,581	7,674,043

An actuarial valuation of the Pension Fund was carried out as at 31st December 2023 by Mr Piyal S Goonetilleke (Fellow of Society Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.4.5(a) Fair Value of Plan Assets Consists of the Following

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Equity securities & quoted debentures	1,720,352	798,001
Term deposits	5,091,348	5,327,197
Government securities	1,696,870	718,054
Others	743,011	830,791
Fair value of plan assets	9,251,581	7,674,043

38.4.6 Actuarial Assumptions

Bank & Group

As at 31st December	2023	2022
Financial assumptions*		
Discount rate	12.9%	18.0%
Future salary increment rate	11.9%	17.0%
Expected return on assets	12.9%	18.0%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table
Retirement age	60 years	60 years

Expected average future life of the active and retired participants is 28.4 years (2022: 29.5 years).

The weighted average duration of the defined benefit obligation is 10.5 years (2022: 10.2 years).

* Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the decrease in market interest rates.

** The Bank adjusted the staff turnover rates used in 2023, a key demographic assumption, after considering the actual turnover rates during the period.

38.4.7 Sensitivity of Assumptions Employed in Pension Fund Valuation

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the net pension liability/Statement of Comprehensive Income by the amounts shown below.

Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	2023		2022	
		Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Pension Liability Rs Mn	Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Pension Liability Rs Mn
1%	-	832.8	(832.8)	583.6	(583.6)
(1%)	-	(964.9)	964.9	(667.6)	667.6
-	1%	(372.7)	372.7	(342.0)	342.0
-	(1%)	346.6	(346.6)	315.8	(315.8)

39 CURRENT TAX LIABILITIES

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	18,754,155	7,524,844	19,186,239	8,371,334
Current tax based on profit for the year (Note 16)	11,810,765	16,671,170	12,434,937	17,277,470
(Over)/under provision in respect of previous years (Note 16)				
Due to change in deductible loan loss provision method	-	2,376,727	-	2,445,580
Other (reversals)/charges including settlements	-	(383,674)	1,779	(412,906)
Payment of tax	(14,344,132)	(7,434,912)	(14,934,280)	(8,495,239)
Balance as at 31st December	16,220,788	18,754,155	16,688,675	19,186,239

40 OTHER LIABILITIES

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Deposit insurance premium payable	313,609	273,166	316,480	275,512
Deferred income	370,104	377,233	370,104	377,233
Lease liability (Note 31.1)	4,181,855	4,291,844	3,825,628	3,908,634
Pay orders and drafts issued	1,297,588	1,103,610	1,297,588	1,103,610
Items in transit (Note 40.1)	17,780,549	11,329,643	17,780,549	11,329,643
Accrued expenses	5,568,944	6,248,457	5,739,576	6,365,395
Impairment provision for expected credit loss- credit related commitments & contingencies (Note 45.2)	3,235,498	3,119,064	3,219,513	3,113,300
Other payable (Note 40.2)	6,925,199	4,953,653	8,418,053	6,267,957
	39,673,346	31,696,670	40,967,491	32,741,284

- 40.1** Items in transit include amounts payable under the Common Electronic Fund Transfer (CEFT) system, Common ATM Switch (CAS), Sri Lanka Interbank Payments Systems (SLIPS) etc.
- 40.2** Other payable includes amounts payable to credit/debit card merchants on account of point-of-sale transactions, amounts payable to vendors on account of finance lease transactions, unclaimed balances and other miscellaneous payable balances that have arisen in the ordinary course of business of the Bank/Group.

NOTES TO THE FINANCIAL STATEMENTS

41 STATED CAPITAL

Bank & Group

	2023	2022
	Rs 000	Rs 000
Balance as at 1st January	47,622,493	47,622,493
Scrip dividend	1,118,626	-
Balance as at 31st December	48,741,119	47,622,493

Rights, preferences and restrictions of classes of capital

The holders of ordinary shares have the right to receive dividend as declared from time to time and are entitled to one vote per share at the Annual General Meeting of the Bank.

41.1 Reconciliation of Number of Shares

Bank & Group

	2023	2022
Ordinary shares as at 1st January	1,144,373,955	1,144,373,955
Number of shares issued due to final scrip dividend 2022	28,326,805	-
Ordinary shares as at 31st December	1,172,700,760	1,144,373,955

42 STATUTORY RESERVE FUND

	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January	5,755,000	5,075,000	6,033,000	5,315,000
Transfer during the year	860,000	680,000	896,000	718,000
Balance as at 31st December	6,615,000	5,755,000	6,929,000	6,033,000

The statutory reserve fund is maintained as required by the Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to not less than 5% of the profit after tax before any dividend is declared or any profits are transferred to elsewhere, should be transferred to above reserve until the reserve is equal to 50% of the Bank's stated capital. Thereafter, a further sum equivalent to 2% of such profits should be transferred to the statutory reserve fund until the amount of the said reserve fund is equal to the stated capital of the Bank.

Siyapatha Finance PLC too transfers 5% of its profit after tax, to the statutory reserve fund, as required by the Finance Companies (Capital Funds) Direction No. 01 of 2003.

43 OTHER RESERVES

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Revaluation reserve (Note 43.1)	3,594,984	3,594,984	7,092,922	7,092,922
Fair value through other comprehensive income reserve (Note 43.2)	11,344,032	2,248,650	11,344,032	2,248,650
General reserve (Note 43.3)	67,011,693	58,989,347	67,011,693	58,989,347
	81,950,709	64,832,981	85,448,647	68,330,919

43.1 Revaluation Reserve

The revaluation reserve relates to revaluation of freehold land and buildings and represents the fair value changes of the land and buildings as at the date of revaluation.

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January	3,594,984	3,159,910	7,092,922	6,293,636
Revaluation surplus	-	977,915	-	1,854,607
Deferred tax effect on revaluation surplus	-	(542,841)	-	(1,055,321)
Balance as at 31st December	3,594,984	3,594,984	7,092,922	7,092,922

43.2 Fair Value through Other Comprehensive Income Reserve

The fair value through other comprehensive income reserve (FVOCI) comprises the cumulative net change in fair value of financial assets measured at FVOCI until such investments are derecognised or impaired.

Bank & Group

	2023 Rs 000	2022 Rs 000
Balance as at 1st January	2,248,650	1,618,637
Gain/(loss) on re-measurement - debt instruments at FVOCI (Note 43.2.1)	13,748,274	(4,477,620)
Reclassification to profit or loss due to derecognition - debt instruments at FVOCI	(282,107)	13,481
Changes in impairment recycled to profit or loss - debt instruments at FVOCI (Note 12)	281,884	538,230
Reclassification of treasury bonds at FVOCI to amortised cost	-	4,787,611
Loss on re-measurement - equity instruments at FVOCI	-	(3,213,837)
Exchange (loss)/gain - equity instruments at FVOCI	(754,648)	3,433,832
Deferred tax effect (Note 32.1)		
Due to rate reduction	-	(127,174)
Due to change in temporary difference	(3,898,021)	(324,510)
Balance as at 31st December	11,344,032	2,248,650

- 43.2.1** The Bank earned a mark to market gain of Rs 13.7 Bn (2022: loss of Rs 4.5 Bn) primarily on re-measurement of treasury bills and treasury bonds under FVOCI, due to changes in market interest rates.

NOTES TO THE FINANCIAL STATEMENTS

43 OTHER RESERVES CONTD.

43.3 General Reserve

The Board of Directors decides the amount to be transferred to general reserve from retained earnings after retaining a substantial amount to pay proposed dividend. The purpose of setting up the general reserve is to meet the potential future unknown commitments.

Bank & Group

	2023	2022
	Rs 000	Rs 000
Balance as at 1st January	58,989,347	52,468,905
Unclaimed dividend adjustments	22,346	20,442
Transfer during the year	8,000,000	6,500,000
Balance as at 31st December	67,011,693	58,989,347

44 RETAINED EARNINGS

	Bank		Group	
	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January	8,169,471	8,806,714	13,564,655	13,866,847
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	(2,670,567)	-	(3,232,510)
Adjusted balance as at 1st January	8,169,471	6,136,147	13,564,655	10,634,337
Profit for the year	17,140,079	13,134,152	17,924,282	14,060,510
Actuarial (loss)/gain on defined benefit plans	(884,546)	1,146,179	(881,559)	1,157,109
Deferred tax effect on actuarial (loss)/gain on defined benefit plans	265,364	(203,418)	264,468	(205,712)
Final dividend for 2022: Scrip	(1,316,031)	-	(1,316,031)	-
Final dividend for 2022: Cash	(3,948,089)	(4,863,589)	(3,948,089)	(4,863,589)
Transfers to reserves during the year	(8,860,000)	(7,180,000)	(8,896,000)	(7,218,000)
Balance as at 31st December	10,566,248	8,169,471	16,711,726	13,564,655

ACCOUNTING POLICY

The accounting policies pertaining to "Commitments and Contingencies" are given in Note 3.4.3.8 to the Financial Statements.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Local Currency				
Credit related commitments & contingencies				
Undrawn-direct credit facilities	116,854,253	103,715,092	115,140,510	102,562,272
Undrawn-indirect credit facilities	65,688,629	66,213,062	65,688,629	66,213,062
Acceptances	26,325	89,863	26,325	89,863
Documentary credit	1,003,478	1,174,783	1,003,478	1,174,783
Guarantees	31,886,127	39,984,632	31,889,127	39,990,333
Credit related commitments & contingencies - Local currency	215,458,812	211,177,432	213,748,069	210,030,313
Other commitments & contingencies				
Capital commitments	632,692	843,434	789,664	1,113,432
Operating lease commitments (Note 45.4)	84,450	64,405	84,450	64,405
Forward exchange contracts	5,288,272	1,349,606	5,288,272	1,349,606
Currency SWAPs	107,447,795	4,631,690	107,447,795	4,631,690
Other commitments & contingencies - Local currency	113,453,209	6,889,135	113,610,181	7,159,133
Gross commitments & contingencies - Local currency	328,912,021	218,066,567	327,358,250	217,189,446
Foreign Currency				
Credit related commitments & contingencies				
Undrawn-direct credit facilities	38,693,848	46,406,625	38,693,848	46,406,625
Undrawn-indirect credit facilities	3,214,738	8,878,121	3,214,738	8,878,121
Acceptances	10,642,621	12,421,381	10,642,621	12,421,381
Documentary credit	27,338,763	19,816,721	27,338,763	19,816,721
Guarantees	3,605,317	3,839,585	3,605,317	3,839,585
Credit related commitments & contingencies - Foreign currency	83,495,287	91,362,433	83,495,287	91,362,433
Other commitments & contingencies				
Capital commitments	300,712	117,551	300,712	117,551
Forward exchange contracts	23,146,684	2,666,132	23,146,684	2,666,132
Currency SWAPs	48,713,859	6,269,548	48,713,859	6,269,548
Other commitments & contingencies - Foreign currency	72,161,255	9,053,231	72,161,255	9,053,231
Gross commitments & contingencies - Foreign currency	155,656,542	100,415,664	155,656,542	100,415,664
Total gross commitments & contingencies	484,568,563	318,482,231	483,014,792	317,605,110
Impairment for expected credit losses - credit related commitments & contingencies (Note 45.2)	(3,235,498)	(3,119,064)	(3,219,513)	(3,113,300)
Commitments & contingencies - net of impairment for expected credit losses	481,333,065	315,363,167	479,795,279	314,491,810

NOTES TO THE FINANCIAL STATEMENTS

45 COMMITMENTS AND CONTINGENCIES CONTD.

45.1 Analysis of Credit Related Commitment and Contingencies based on the Exposure to Credit Risk

Bank

As at 31st December 2023	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	147,398,802	8,149,299	-	155,548,101
Undrawn-indirect credit facilities	54,019,532	13,313,616	1,570,219	68,903,367
Acceptances	9,947,239	246,109	475,598	10,668,946
Documentary credit	26,348,217	1,988,621	5,403	28,342,241
Guarantees	25,327,806	9,371,566	792,072	35,491,444
Gross credit related commitments & contingencies	263,041,596	33,069,211	2,843,292	298,954,099
Impairment for expected credit losses	(2,507,806)	(701,999)	(25,693)	(3,235,498)
Net credit related commitments & contingencies	260,533,790	32,367,212	2,817,599	295,718,601

As at 31st December 2022	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	134,560,688	15,561,029	-	150,121,717
Undrawn-indirect credit facilities	52,055,778	23,020,405	15,000	75,091,183
Acceptances	11,031,940	1,443,598	35,706	12,511,244
Documentary credit	18,421,412	2,562,631	7,461	20,991,504
Guarantees	24,039,293	17,437,135	2,347,789	43,824,217
Gross credit related commitments & contingencies	240,109,111	60,024,798	2,405,956	302,539,865
Impairment for expected credit losses	(2,128,073)	(975,413)	(15,578)	(3,119,064)
Net credit related commitments & contingencies	237,981,038	59,049,385	2,390,378	299,420,801

Group

As at 31st December 2023	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	145,685,059	8,149,299	-	153,834,358
Undrawn-indirect credit facilities	54,019,532	13,313,616	1,570,219	68,903,367
Acceptances	9,947,239	246,109	475,598	10,668,946
Documentary credit	26,348,217	1,988,621	5,403	28,342,241
Guarantees	25,330,806	9,371,566	792,072	35,494,444
Gross credit related commitments & contingencies	261,330,853	33,069,211	2,843,292	297,243,356
Impairment for expected credit losses	(2,491,821)	(701,999)	(25,693)	(3,219,513)
Net credit related commitments & contingencies	258,839,032	32,367,212	2,817,599	294,023,843

As at 31st December 2022	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	133,407,868	15,561,029	-	148,968,897
Undrawn-indirect credit facilities	52,055,778	23,020,405	15,000	75,091,183
Acceptances	11,031,940	1,443,598	35,706	12,511,244
Documentary credit	18,421,412	2,562,631	7,461	20,991,504
Guarantees	24,044,994	17,437,135	2,347,789	43,829,918
Gross credit related commitments & contingencies	238,961,992	60,024,798	2,405,956	301,392,746
Impairment for expected credit losses	(2,122,309)	(975,413)	(15,578)	(3,113,300)
Net credit related commitments & contingencies	236,839,683	59,049,385	2,390,378	298,279,446

45.2 Impairment for Expected Credit Losses- Credit Related Commitments and Contingencies

	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Stage 1				
Balance as at 1st January	2,128,073	1,305,597	2,122,309	1,269,741
Net charge for the year (Note 12)	430,818	639,857	420,597	669,949
Other movements including exchange rate differences	(51,085)	182,619	(51,085)	182,619
Balance as at 31st December	2,507,806	2,128,073	2,491,821	2,122,309
Stage 2				
Balance as at 1st January	975,413	618,862	975,413	618,862
Net (reversal)/charge for the year (Note 12)	(207,123)	288,329	(207,123)	288,329
Other movements including exchange rate differences	(66,291)	68,222	(66,291)	68,222
Balance as at 31st December	701,999	975,413	701,999	975,413
Stage 3				
Balance as at 1st January	15,578	335,515	15,578	335,515
Net charge/(reversal) for the year (Note 12)	10,639	(320,818)	10,639	(320,818)
Other movements including exchange rate differences	(524)	881	(524)	881
Balance as at 31st December	25,693	15,578	25,693	15,578
Total				
Balance as at 1st January	3,119,064	2,259,974	3,113,300	2,224,118
Net charge for the year (Note 12)	234,334	607,368	224,113	637,460
Other movements including exchange rate differences	(117,900)	251,722	(117,900)	251,722
Balance as at 31st December	3,235,498	3,119,064	3,219,513	3,113,300

45.3 Capital Commitments

Capital expenditure approved by the Board of Directors, for which provisions have not been made in the accounts are detailed below.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Approved & contracted for	586,919	821,080	743,891	1,091,078
Approved but not contracted for	346,485	139,905	346,485	139,905
	933,404	960,985	1,090,376	1,230,983

NOTES TO THE FINANCIAL STATEMENTS

45 COMMITMENTS AND CONTINGENCIES CONTD.

45.4 Operating Lease Commitments

Bank & Group

As at 31st December	2023	2022
	Rs 000	Rs 000
Less than 1 year	84,450	64,405
More than 1 year	-	-
	84,450	64,405

45.5 Other Contingent Liabilities

45.5.1 Litigation against the Bank

Litigation is a common occurrence in the banking industry due to the nature of its business and in that light, the Bank has formal controls and policies in place for managing and defending any legal actions instituted against it. Pursuant to obtaining professional advice and estimating any loss likely to be incurred by the Bank if any, adjustments are made to the accounts of the Bank in order to accommodate any adverse effects that such claims may have on its financial standing.

(i) The following cases instituted against the Bank are currently being adjudicated before court.

(a) Case No. 7058/DMR

The Plaintiff instituted this action against the Bank, claiming a sum of Rs 20 Mn on the purported basis that the Bank has increased the rate of interest in respect of the housing loan obtained by the Plaintiff, thereby causing loss to the Plaintiff. While the case is currently being adjudicated before the District Court, we noted that the letter of offer confirms that the Bank has the right to increase the rate of interest.

(b) CHC Colombo Case No. 29/13/MR

The Plaintiff has filed this action against the Bank claiming damages in a sum of Rs 40 Mn on the alleged basis that the Bank illegally suspended his credit balance of Rs 299,209.43 resulting in two cheques issued by him being dishonoured. Over Rs 3 Mn is due to the Bank from the said customer on a charge back created through the payment gateway, which was utilised by the customer. The Bank is defending this action on the right of set off recognised by law relating to banking facilities. Judgment delivered in favour of the Bank.

An appeal was preferred to Supreme Court by the Plaintiff and the case yet to be commenced.

(c) CHC Colombo Case No. 299/13/MR

The Plaintiff instituted the above action against the Bank claiming damages in a sum of Rs 250 Mn on the purported basis that the Bank has unlawfully suspended the operation of his current account and the payment gateway facility provided to him by the Bank.

A sum in excess of Rs 3 Mn is due to the Bank from the Plaintiff on a charge back created through the payment gateway, utilised by the Plaintiff. The Bank is defending this action on the basis that it has right in law, to set-off dues against other facilities granted to the Plaintiff by the Bank. Judgment delivered in favour of the Bank.

An appeal was preferred to Supreme Court by the Plaintiff and the case yet to be commenced.

(d) CHC Colombo Case No. CHC/167/2020/MR and Case No. CHC/168/2020/MR

The Plaintiffs have filed the above actions against the Bank claiming a sum of Rs 250 Mn and Rs 100 Mn respectively, from inter-alia the Bank on the purported basis, has erroneously uplifted the deposits and transferred monies from Plaintiff's personal and corporate accounts without his consent and knowledge. The Bank is of the view that it has acted as per the provisions of law.

The orders of the above cases were delivered in favour of the Bank by dissolving the enjoining orders and refusing to grant the interim reliefs sought.

(e) Case No. CA/WRIT/205/2020

This writ application has been filed by the Plaintiffs of CHC/167/2020/MR & CHC/168/2020/MR on the almost identical grounds and Court of Appeal dismissed the application of the petitioners on 18th November 2020.

An appeal was preferred to the Supreme Court by the petitioners against the judgement delivered in favour of the Bank.

(f) Case No. SC/SPL/LA/22/2020 & SC/SPL/LA/23/2020 & SC/SPL/LA/258/2020

These applications were preferred by the Plaintiffs of CHC/167/2020/MR, CHC/168/2020/MR and CA/WRIT/205/2020 against the orders delivered in favour of the Bank by dissolving the enjoining orders and refusing to grant the interim reliefs sought.

(g) Case No. CHC/91/2020/MR

The Plaintiff has filed this action claiming damages of Rs 216 Mn on the purported basis that the Bank has unlawfully honoured the guarantee claim of the beneficiary. The Bank has taken up the position that it has all times acted in strict conformity with the applicable law.

(h) Case No. CHC/21/2021/MR

The Plaintiff instituted this action against the Bank claiming damages in a sum of Rs 897 Mn on the purported basis that the Bank has recovered part of the outstanding facilities without consent of the customer. However, the Bank has taken up the position that it has all times acted on the written instructions of the customer and in strict conformity with the applicable law.

(ii) In addition to the above cases, the following cases have also been filed against the Bank in order to prevent the Bank from enforcing the mortgages to recover its dues:

(a) Nine actions have been filed in Supreme Court

(b) Five actions have been filed in Court of Appeal

(c) Sixty six actions have been filed in Commercial High Court

(d) One hundred and Fifty Nine actions have been filed in District Courts

45.5.2 Litigation on Employment and Industrial Relations

There are no material legal issues outstanding against the Bank and the Group on employment and industrial relations as at 31st December 2023. The Bank has made adequate provisions for all known litigations on employment and industrial relations.

45.5.3 Litigation against the Group

Other than those disclosed above, there are no cases filed against the Group which would have a material impact on the financial position of the Group.

NOTES TO THE FINANCIAL STATEMENTS

46 NET ASSET VALUE PER SHARE

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Amounts used as the numerator:				
Total equity attributable to equity holders of the Bank	147,873,076	126,379,945	157,830,492	135,551,067
Number of ordinary shares used as the denominator:				
Total number of shares as at 31st December	1,172,700,760	1,144,373,955	1,172,700,760	1,144,373,955
Number of shares issued as scrip dividend for 2022	-	28,326,805	-	28,326,805
Total number of shares considered	1,172,700,760	1,172,700,760	1,172,700,760	1,172,700,760
Net assets value per share (Rs)	126.10	107.77	134.59	115.59

47 RELATED PARTY DISCLOSURES

The Bank and the Group carry out transactions in the ordinary course of business with the parties who are defined as related parties in the Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures), the details of which are reported below.

47.1 Terms and Conditions

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Bank and is comparable with what is applied to transactions between the Bank/Group and its unrelated customers with similar credit standing.

47.2 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

47.3 Transactions with Key Management Personnel (KMP)

As per Sri Lanka Accounting Standard - LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition, a person cannot be considered as a KMP, unless such person has both the authority and responsibility to carry out all the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity).

Accordingly, the Board of Directors of the Bank are considered as KMP of the Bank and the Group.

47.3.1 Compensation to KMP

For the year ended 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Short term employment benefits				
Directors' fees & expenses	98,268	97,853	103,790	102,464
Short term benefits	116,122	109,930	116,122	109,930
Post-employment benefits	19,400	9,683	19,400	9,683
Total	233,790	217,466	239,312	222,077

47.3.2 Transactions with KMP and their Close Family Members (CFM)

CFMs of the KMP are those family members who may be expected to influence the KMP or be influenced by that KMP, in their dealings with the entity. They may include KMP's spouse, children, domestic partner, children of the KMP's spouse/domestic partner and dependents of the KMP, KMP's spouse/domestic partner. Aggregate value of the transactions with KMP and their CFMs are disclosed below.

As at 31st December	2023			2022		
	Limit	Closing Balance	Average Balance	Limit	Closing Balance	Average Balance
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Loans & advances	323,000	156,420	87,949	48,000	15,049	26,801
Credit cards	47,600	18,989	4,200	11,100	4,629	2,018
Indirect facilities	72,000	-	-	72,000	-	-
Deposits		530,907	634,406		790,406	410,266
Debentures		300,000	269,603		5,000	5,000

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Interest & other income	14,672	4,383
Interest expense	157,018	42,198
Cash dividend paid	6,900	8,500
Scrip dividend paid (Number of shares)	49,507	-

No losses have been recorded against loan balances outstanding with KMP during the period and no specific provisions have been made under impairment losses against such balances as at the reporting date.

47.4 Transactions with Subsidiaries

Details of the subsidiaries are given in Note 28. Aggregate value of transactions with subsidiaries are disclosed below.

Subsidiary Company	Nature of Facility/ Transaction	2023			2022		
		Limit	Average Balance	31st December Balance	Limit	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Sampath Centre Ltd	As at						
	Loans & advances	1,125,023	1,110,081	1,075,001	1,021,428	1,020,360	1,021,406
	Other assets		151,909	174,198		62,754	62,754
	Deposits		226,977	302,424		213,613	125,589
	Other liabilities		100,144	35,975		83,814	27,754
	For the year ended						
	Dividend income (Gross)			1,000			39,318
	Income & fees received			124,414			68,675
	Expenses & fees paid			743,801			488,917
SC Securities (Pvt) Ltd	As at						
	Loans & advances	600,000	384,935	498,513	400,000	105,557	226,236
	Deposits		13,147	13,323		50,859	11,685
	For the year ended						
	Dividend income (Gross)			5,505			11,011
	Income & fees received			68,669			32,018
	Expenses & fees paid			5,472			6,940

NOTES TO THE FINANCIAL STATEMENTS

47 RELATED PARTY DISCLOSURES CONTD.

Subsidiary Company	Nature of Facility/ Transaction	2023			2022		
		Limit	Average Balance	31st December Balance	Limit	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Siyapatha Finance PLC	As at						
	Loans & advances	5,033,533	4,656,047	4,193,040	5,633,533	4,462,324	5,155,489
	Deposits		222,729	28,517		69,470	61,107
	Other liabilities		125,025	250,123		430,487	-
	For the year ended						
	Dividend income (Gross)			226,396			328,344
	Income & fees received			936,112			1,004,657
	Expenses & fees paid			17,503			44,212
Sampath Information Technology Solutions Ltd	As at						
	Loans & advances	400,000	3,750	18,749	50,000	9,954	-
	Deposits		175,979	313,153		92,189	87,659
	Other liabilities		170,491	128,464		210,426	185,918
	Indirect facilities	25,000	1,713	2,450	375,000	4,756	1,722
	For the year ended						
	Dividend income (Gross)			16,661			16,490
	Income & fees received			1,252			1,826
	Expenses & fees paid excluding reimbursement of expenses			242,621			267,530
	Purchase of computer hardware & software			287,548			98,956

The Directors' valuation of investments in subsidiaries has been carried out on net asset basis as at 31st December 2023. The net asset value of all subsidiary companies exceeded carrying value of the investments as at 31st December 2023. Accordingly, the Bank has not made any specific provisions under impairment losses against its investment in subsidiary companies as at the reporting date.

47.5 Transactions with Other Related Parties

47.5.1 Transactions with Entities Controlled and/or Jointly Controlled by KMP or their CFMs

As at 31st December	2023			2022		
	Limit	Average Balance	Closing Balance	Limit	Average Balance	Closing Balance
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Loans & advances	20,498,610	4,745,378	18,049,409	4,001,700	1,138,494	2,482,697
Indirect facilities	735,740	383,068	643,705	600,000	307,715	161,704
Deposits		190,333	788,671		100,830	194,799
Debentures		89,041	100,000		-	-

For the year ended 31st December	2023	2022
	Rs 000	Rs 000
Interest income	422,504	83,550
Interest & other expenses	34,185	3,471
Cash dividend paid	3,985	4,909
Scrip dividend paid (Number of shares)	28,588	-

No losses have been recorded against loan balances outstanding with the entities controlled/jointly controlled by KMP/CFMs of KMP during the period and no specific provisions have been made under impairment losses against such balances as at the reporting date.

47.5.2 Transactions with Post Employment Benefit Plans of the Bank

Name of the Post Employment Benefit Plan	Nature of Transactions	2023		2022	
		Average Balance	31st December Balance	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000
Sampath Bank Employees' Provident Fund	As at				
	Deposits	2,770,911	3,598,067	2,632,251	2,615,431
	Debentures	950,137	950,740	943,500	943,500
	Interest payable	289,216	386,252	218,157	330,585
	Securities sold under repurchase agreements	117,998	-	-	-
	For the year ended				
	Interest expense		707,894		475,500
Sampath Bank Employees' Pension Fund	As at				
	Deposits	2,392,167	2,177,446	1,438,419	2,917,706
	Debentures	809,000	809,000	809,000	809,000
	Investment in Sampath Bank Shares - market value	701,294	834,188	453,110	397,205
	Securities sold under repurchase agreements	-	-	625,649	-
	Interest payable	312,072	223,852	119,241	309,114
	Net liability/(asset) in the Bank's Financial Statements (Note 38.4.1)		563,465		(337,259)
	For the year ended				
	Interest expense		554,412		492,847
	Cash dividend paid		39,836		49,073
	Scrip dividend paid (Number of shares)		285,815		-

48 SEGMENT INFORMATION

ACCOUNTING POLICY

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For management purposes, the Group has identified four operating segments based on products and services, as follows:

- Corporate Banking
- Retail and Personal Banking
- Dealing/Investment
- Others

Retail and personal banking includes the activities of Siyapatha Finance PLC in addition to the retail and personal banking business of the Bank. Dealing/Investment involves activities such as stock broking, securities dealing, investment banking and foreign currency related services.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses, which in certain respects, are measured differently from operating profits or losses in the Consolidated Financial Statements. Taxes are managed at an entity level and are not allocated to operating segments.

Interest income is reported net as management primarily relies on net interest income as a performance measure, not the gross income and expense.

Revenue from transactions with a single external customer or counterparty did not exceed 10% or more of the Bank's total revenue in 2023 or 2022.

The following table presents income, profit, total assets, total liabilities & cash flows of the Group's operating segments.

NOTES TO THE FINANCIAL STATEMENTS

48 SEGMENT INFORMATION CONTD.

For the year ended 31st December	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	31,709,486	47,746,614	61,161,486	47,843,168	23,767,220	15,600,571	-	-	(41,195,258)	(35,148,260)	75,442,934	76,042,093
Net fee & commission income	5,395,558	6,233,768	13,817,878	13,517,204	305,501	433,824	-	-	-	-	19,518,937	20,184,796
Net gain/(loss) from trading	-	-	-	-	708,976	(2,266,306)	-	-	-	-	708,976	(2,266,306)
Net gain on derecognition of financial assets	-	-	-	-	599,423	559,216	-	-	-	-	599,423	559,216
Net other operating income	116,420	143,270	1,862,358	2,046,560	2,729,044	(1,414,509)	230,714	126,408	(5,745,915)	19,346,308	(807,379)	20,248,037
Total revenue from external customers	37,221,464	54,123,652	76,841,722	63,406,932	28,110,164	12,912,796	230,714	126,408	(46,941,173)	(15,801,952)	95,462,891	114,767,836
Inter segment (expense)/income	(958,968)	(1,501,031)	1,028,757	1,544,461	-	-	856,056	685,590	(925,845)	(729,020)	-	-
Total operating income	36,262,496	52,622,621	77,870,479	64,951,393	28,110,164	12,912,796	1,086,770	811,998	(47,867,018)	(16,530,972)	95,462,891	114,767,836
Less: Impairment charge	8,339,039	28,725,504	10,009,708	26,311,844	1,905,367	7,844,254	(10,488)	12,448	(34,024)	14,071	20,209,602	62,908,121
Net operating income	27,923,457	23,897,117	67,860,771	38,639,549	26,204,797	5,068,542	1,097,258	799,550	(47,832,994)	(16,545,043)	75,253,289	51,859,715
Less: Total operating expenses	578,037	516,687	19,848,086	17,243,591	528,084	429,661	568,538	428,149	13,443,590	11,270,229	34,966,335	29,888,317
Segment result	27,345,420	23,380,430	48,012,685	21,395,958	25,676,713	4,638,881	528,720	371,401	(61,276,584)	(27,815,272)	40,286,954	21,971,398
Less: Taxes on financial services	-	-	-	-	-	-	-	-	-	-	9,085,431	5,576,779
Less: Income tax expense	-	-	-	-	-	-	-	-	-	-	13,277,241	2,334,109
Profit for the year	-	-	-	-	-	-	-	-	-	-	17,924,282	14,060,510
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
Profit attributable to equity holders of the Bank	-	-	-	-	-	-	-	-	-	-	17,924,282	14,060,510

As at 31st December	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	372,273,861	422,488,549	475,800,642	489,114,995	630,880,623	344,425,424	9,048,167	8,507,184	(11,670,572)	(11,500,447)	1,476,332,721	1,253,035,705
Unallocated assets	-	-	-	-	-	-	-	-	111,043,267	114,283,857	111,043,267	114,283,857
Total assets	372,273,861	422,488,549	475,800,642	489,114,995	630,880,623	344,425,424	9,048,167	8,507,184	99,372,695	102,783,410	1,587,375,988	1,367,319,562
Segment liabilities	33,458,478	40,942,456	1,267,724,101	1,095,172,868	39,670,000	9,387,667	3,151,114	2,988,784	(7,875,926)	(7,823,991)	1,336,127,767	1,140,667,784
Unallocated liabilities	-	-	-	-	-	-	-	-	93,417,729	91,100,711	93,417,729	91,100,711
Total liabilities	33,458,478	40,942,456	1,267,724,101	1,095,172,868	39,670,000	9,387,667	3,151,114	2,988,784	85,541,803	83,276,720	1,429,545,496	1,231,768,495

For the year ended 31st December	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	47,132,460	10,837,142	242,965,546	10,852,519	(508,083)	(498,247)	744,633	213,342	(120,041)	(2,216,035)	290,214,515	19,188,721
Cash flows from investing activities	-	-	-	-	(250,824,884)	52,556,933	(649,588)	(493,569)	(2,332,140)	(4,623,632)	(253,806,612)	47,439,732
Cash flows from financing activities	-	-	(2,290,103)	(1,850,582)	-	-	70,077	(36,130)	(4,676,051)	(8,535,268)	(6,896,077)	(10,421,980)
Capital expenditure	-	-	(92,089)	(657,979)	-	-	(537,048)	(542,402)	(2,018,558)	(1,202,028)	(2,647,695)	(2,402,409)

49 EVENTS AFTER THE REPORTING PERIOD

ACCOUNTING POLICY

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements, other than those disclosed below.

49.1 Proposed Dividend

The Directors of the Bank have recommended a final cash dividend of Rs 5.85 per share for the financial year ended 31st December 2023. This dividend is to be approved by the shareholders at the Annual General Meeting to be held on 28th March 2024.

In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31st December 2023. As required by Section 56 (2) of the Companies Act No. 7 of 2007, the Board of Directors has confirmed that the Bank has satisfied the 'solvency test' in accordance with Section 57 of the Companies Act No. 7 of 2007, having obtained a certificate from the External Auditors, prior to recommending the final dividend for the year.

49.2 Resignation of a Director

Dr J.T.V.S Weerawarana (Non-Executive, Independent Director) resigned from the Board of Directors with effect from 1st January 2024.

50 FAIR VALUE OF ASSETS & LIABILITIES

50.1 Assets & Liabilities Recorded at Fair Value

The following is a description of how fair values are determined for assets and liabilities that are recorded at fair value. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing assets and liabilities.

Derivatives - Assets & Liabilities

Derivative products which consist of SWAPs, forward foreign exchange contracts and hedges are valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include forward foreign exchange spot and forward premiums.

Financial Assets - Fair Value through Other Comprehensive Income (FVOCI)

FVOCI financial assets primarily consist of quoted/unquoted equity securities and government securities. Government securities are valued using the published yield curves while quoted equity securities are valued using quoted market prices in the active markets as at the reporting date.

Trading Assets Measured at Fair Value

Trading assets and other assets measured at fair value are the government securities and quoted equity securities. Government securities are valued using yield curve published by the Central Bank of Sri Lanka. For quoted equity securities, the Bank uses quoted market prices in the active market as at the reporting date.

Property, Plant & Equipment

Freehold land and buildings are carried at revalued amount, being their fair value at the revaluation date less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

50.2 Valuation Model

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the Bank uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair value of freehold land and buildings was determined by using Market Comparable Method or Income Basis. These valuations performed by the valuers are based on active market prices, significantly adjusted for difference in the nature, location or condition of the specific property. Management determined that freehold land and buildings constitute one class of asset under Sri Lanka Accounting Standard - SLFRS 13 (Fair Value Measurement), based on the nature, characteristics and risks of the property.

NOTES TO THE FINANCIAL STATEMENTS

50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

Fair values are determined according to the following hierarchy:

Level 1 – Quoted market price (unadjusted): quoted prices for identical assets and liabilities in active markets.

Level 2 – Valuation technique using observable inputs: quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in inactive markets and are valued using models where all significant inputs are observable.

Level 3 – Valuation technique with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

50.3 Valuation Framework

The Bank has an established control framework with respect to the measurement of fair values of trading and investment operations and all other significant assets and liabilities. Specific controls include:

- A review and approval process involving the Board Audit Committee for significant judgment and assumptions, new models, changes to existing judgments, assumptions and models.
- Periodic (at least quarterly) reviewing of fair value measurements against observable market data.
- Periodic (at least annually) reviewing of fair value measurement models against changes in market conditions, significant judgments and assumptions.
- Use of sophisticated software for fair value measurements of trading and investment securities and derivatives.
- Independent analysis and investigation of significant daily valuation movements in trading and investment securities and derivatives.
- A dual verification process for market data inputs to the fair value measurement software.

50.4 Transfers between the Levels of the Fair Value Hierarchy

Significant transfers can occur between the fair value hierarchy levels when additional or new information regarding valuation inputs and their observability becomes available. The Bank recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

The investment in LankaBangla Finance PLC was transferred from Level 1 to Level 2 due to the lack of activity in the market for its shares, which were consistently traded at a regulatory floor price of Taka 26.00 per share throughout the year 2023. After performing alternative valuation methods, the Bank has determined that Taka 26.00 represents a fair value of the company's share price.

Apart from the mentioned transfer, the Bank/Group did not move any asset/liability between levels of the fair value hierarchy during the reporting period.

50.5 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of assets and liabilities recorded at fair value, by level of the fair value hierarchy, into which the fair value measurement is categorised. The amounts are based on the value recognised in the Statement of Financial Position.

50.5.1 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy Bank

As at 31st December		2023				2022			
		Fair Value Measurement Using			Total Rs 000	Fair Value Measurement Using			
Date of Valuation	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Quoted Prices in Active Markets (Level 1)		Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		
Financial assets measured at fair value									
Derivative financial instruments									
31st December									
Currency SWAPs	-	393,181	-	393,181	-	30,439	-		
Forward exchange contracts	-	194,396	-	194,396	-	14,159	-		
Sub Total	-	587,577	-	587,577	-	44,598	-		
Financial assets - fair value through profit or loss									
31st December									
Government securities - Treasury bills & bonds	4,744,188	-	-	4,744,188	4,641,277	-	4,641,277		
Sub Total	4,744,188	-	-	4,744,188	4,641,277	-	4,641,277		
Financial assets - fair value through other comprehensive income									
31st December									
Government securities - Sri Lanka									
Treasury bills & bonds	202,959,296	-	-	202,959,296	27,369,187	-	27,369,187		
Sri Lanka International Sovereign Bonds	-	1,040,578	-	1,040,578	-	671,756	-		
US Treasuries									
Treasury bills	8,045,352	-	-	8,045,352	-	-	-		
Equity Securities									
Quoted equity securities	-	3,916,498	-	3,916,498	4,671,146	-	4,671,146		
Unquoted equity securities	-	-	60,571	60,571	-	-	60,841		
Sub Total	211,004,648	4,957,076	60,571	216,022,295	32,040,333	671,756	32,772,930		
Total financial assets measured at fair value	215,748,836	5,544,653	60,571	221,354,060	36,681,610	716,354	37,458,805		
Non-financial assets measured at fair value									
31st December									
Freehold land & buildings (included under property, plant & equipment)*	-	-	6,755,058	6,755,058	-	-	6,792,986		
Total non - financial assets measured fair value	-	-	6,755,058	6,755,058	-	-	6,792,986		
Financial liabilities measured at fair value									
31st December									
Derivative financial instruments									
Currency SWAPs	-	1,444,637	-	1,444,637	-	1,435,157	-		
Forward exchange contracts	-	54,140	-	54,140	-	14,236	-		
Total financial liabilities measured at fair value	-	1,498,777	-	1,498,777	-	1,449,393	-		

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2023.

50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.5.2 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Group

As at 31st December	Date of Valuation	2023					2022				
		Fair Value Measurement Using					Fair Value Measurement Using				
		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total	
		Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value											
Derivative financial instruments											
Currency SWAPs	31st December	-	393,181	-	393,181		-	30,439	-	-	30,439
Forward exchange contracts		-	194,396	-	194,396		-	14,159	-	-	14,159
Sub Total		-	587,577	-	587,577		-	44,598	-	-	44,598
Financial assets - fair value through profit or loss											
Government securities - Treasury bills & bonds	31st December	4,744,188	-	-	4,744,188		4,641,277	-	-	-	4,641,277
Quoted equity securities		97,114	-	-	97,114		181,118	-	-	-	181,118
Sub Total		4,841,302	-	-	4,841,302		4,822,395	-	-	-	4,822,395
Financial assets - fair value through other comprehensive income											
Government securities - Sri Lanka Treasury bills & bonds	31st December	202,959,296	-	-	202,959,296		27,369,187	-	-	-	27,369,187
Sri Lanka International Sovereign Bonds		-	1,040,578	-	1,040,578		-	671,756	-	-	671,756
US Treasuries		-	-	-	-		-	-	-	-	-
Treasury bills		8,045,352	-	-	8,045,352		-	-	-	-	-
Equity Securities		-	-	-	-		-	-	-	-	-
Quoted equity securities		-	3,916,498	-	3,916,498		4,671,146	-	-	-	4,671,146
Unquoted equity securities		-	-	60,627	60,627		-	-	60,897	-	60,897
Sub Total		211,004,648	4,957,076	60,627	216,022,351		32,040,333	671,756	60,897	32,772,986	
Total financial assets measured at fair value		215,845,950	5,544,653	60,627	221,451,230		36,862,728	716,354	60,897	37,639,979	
Non-financial assets measured at fair value											
Freehold land & buildings (included under property, plant & equipment)*	31st December	-	-	14,675,886	14,675,886		-	-	14,766,601	14,766,601	
Total non - financial assets measured at fair value		-	-	14,675,886	14,675,886		-	-	14,766,601	14,766,601	
Financial liabilities measured at fair value											
Derivative financial instruments											
Currency SWAPs	31st December	-	1,444,637	-	1,444,637		-	1,435,157	-	-	1,435,157
Forward exchange contracts		-	54,140	-	54,140		-	14,236	-	-	14,236
Total financial liabilities measured at fair value		-	1,498,777	-	1,498,777		-	1,449,393	-	-	1,449,393

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2023.

50.6 Level 3 Fair Value Measurement

50.6.1 Reconciliation

The following table shows a reconciliation from the beginning balances to the ending balances of fair value measurements in Level 3 of the fair value hierarchy.

	Bank		Group	
	Assets Measured at Level 3		Assets Measured at Level 3	
	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000
Balance as at 1st January 2022	29,244	5,811,922	29,300	11,536,903
Additions	-	49,062	-	53,143
Revaluation surplus	-	978,718	-	1,855,410
Gain/(loss) recognised in other comprehensive income				
Exchange rate differences	1,080	-	1,080	-
Gain/(loss) recognised in profit or loss				
Depreciation of buildings	-	(46,716)	-	(151,892)
Transfer from capital work in progress	-	-	-	1,473,037
Transfer from level 2	30,517	-	30,517	-
Balance as at 31st December 2022	60,841	6,792,986	60,897	14,766,601
Additions	1	18,801	1	26,504
Gain/(loss) recognised in other comprehensive income				
Exchange rate differences	(271)	-	(271)	-
Gain/(loss) recognised in profit or loss				
Depreciation of buildings	-	(56,729)	-	(180,003)
Transfer from capital work in progress	-	-	-	62,784
Balance as at 31st December 2023	60,571	6,755,058	60,627	14,675,886

NOTES TO THE FINANCIAL STATEMENTS

50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.6.2 Unobservable Inputs Used In Measuring Fair Value

The table below sets out information about significant unobservable inputs used in measuring fair value of the assets categorised under Level 3 of the fair value hierarchy.

Type of Asset	Assets Measured at Level 3					
	Bank Fair Value as at 31st December 2023 Rs 000	Group Fair Value as at 31st December 2023 Rs 000	Valuation Technique	Significant Unobservable Inputs	Weighted Average Range of Estimates for Unobservable Inputs	Fair Value Measurement Sensitivity to Unobservable Inputs
Property, plant & equipment						
- Freehold lands	5,076,153	8,342,253	Market comparable method	Estimated price per perch	Rs 87,500 - 18,500,000	*
- Freehold buildings	1,678,905	6,333,633	Income basis	Estimated price per sq.ft	Rs 3,541 - 22,824	*
			Income basis	Estimated rental value per sq.ft		
				Bank	Rs 18 - 275	
				Subsidiary	Rs 250 - 375	
				Expected market rental growth		
				Bank	0% - 5%	*
				Subsidiary	0% - 6%	*
				Discount rate		
				Bank	7.0%	**
				Subsidiary	6.0%	**

* Significant increases/(decreases) in any of these inputs in isolation would result in a significantly higher/(lower) fair value.

** Significant increases/(decreases) in this input in isolation would result in a significantly (lower)/higher fair value.

50.7 Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

The following describes the methodologies and assumptions used to determine fair values of those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets of which Fair Value Approximates Carrying Value

For financial assets and liabilities that have a short term maturity, it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to demand deposits and savings deposits which do not have a specific maturity.

Fixed Rate Financial Instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing market interest rates for debts with similar credit risk and maturity. For quoted debt issued, the fair values are determined based on quoted market prices. For variable rate instruments with a fixed credit spread, an adjustment is made to reflect the change in credit spread since the instrument was first recognised.

Variable Rate Financial Instruments

Variable rate is a fair measure which reflects market movements. Hence the carrying value represents the fair value of the variable rate instruments. Treasury bonds received in settlement of Sri Lanka Development Bonds under the Domestic Debt Optimisation Program, carry a variable interest rate of SLFR+1% (Standard Lending Facility Rate). These bonds have been classified under Level 2 of the fair value hierarchy.

Set out below is a comparison of the carrying amounts and fair values of the Bank's financial instruments by classes, that are not carried at fair value in the Financial Statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

As at 31st December 2023

	Bank				Group			
	Fair Value			Carrying Value	Fair Value			Carrying Value
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000
Financial Assets								
Financial assets at amortised cost								
- loans & advances	-	756,414,366	-	756,414,366	756,435,559	-	791,028,334	787,355,719
- debt & other instruments	316,477,987	48,582,784	-	365,060,771	368,100,002	322,277,827	48,582,784	373,899,842
	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561	322,277,827	839,611,118	1,161,255,561
Financial Liabilities								
Financial liabilities at amortised cost								
- due to banks	-	11,621,838	-	11,621,838	11,621,838	-	17,337,165	17,344,766
- due to depositors - fixed & certificate of deposits	-	838,327,706	-	838,327,706	830,478,092	-	861,671,761	853,417,035
- due to debt securities holders	-	29,764,020	-	29,764,020	26,709,893	-	33,281,286	30,386,809
	-	879,713,564	-	879,713,564	868,809,823	-	912,290,212	901,148,610

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets

Liabilities

Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

NOTES TO THE FINANCIAL STATEMENTS

As at 31st December 2022										
	Bank				Group					
	Fair Value			Carrying Value	Fair Value			Carrying Value		
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000		Total Rs 000	Level 1 Rs 000	Level 2 Rs 000		Level 3 Rs 000	Total Rs 000
Financial Assets										
Financial assets at amortised cost										
- loans & advances	-	791,005,705	-	791,005,705	811,157,649	-	819,121,483	-	819,121,483	839,976,738
- debt & other instruments	164,475,802	58,100,341	-	222,576,143	278,775,796	169,937,668	58,100,341	-	228,038,009	284,237,662
	164,475,802	849,106,046	-	1,013,581,848	1,089,933,445	169,937,668	877,221,824	-	1,047,159,492	1,124,214,400
Financial Liabilities										
Financial liabilities at amortised cost										
- due to banks	-	11,297,181	-	11,297,181	11,297,181	-	15,174,226	-	15,174,226	15,255,184
- due to depositors - fixed & certificate of deposits	-	735,091,094	-	735,091,094	733,903,165	-	754,033,695	-	754,033,695	753,054,881
- due to debt securities holders	-	20,292,758	-	20,292,758	25,259,536	-	27,121,650	-	27,121,650	32,872,261
	-	766,681,033	-	766,681,033	770,459,882	-	796,329,571	-	796,329,571	801,182,326

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

51 RISK MANAGEMENT

51.1 Introduction

Risk is inherent in the Bank's activities, but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuous profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is mainly exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk, which have been disclosed in this note as summarised below.

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51 RISK MANAGEMENT CONTD.

Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has delegated its authority to the Board Integrated Risk Management Committee (BIRMC) which is responsible for developing and monitoring the Bank's risk management policies. The Committee comprises of Executive and Non - Executive Directors. Meetings of BIRMC are held regularly, and the Board of Directors are duly updated of its activities.

The Bank's risk management policies are established to identify and analyse the risks faced by the Bank, to set appropriate risk limits and controls and to monitor adherence to established limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Bank maintains a disciplined and constructive control environment, in which all employees are assigned and made to understand their respective roles and responsibilities.

Integrated Risk Management Unit

The business units (i.e. Credit Departments, Branches, Regional Offices, Treasury etc.) have primary responsibility for risk management. The Integrated Risk Management Unit, which has no responsibility for profit or volume targets, acts as the 2nd line of defence and reports to the Chief Risk Officer (CRO) who in turn directly reports to the BIRMC.

Asset/Liability Management Committee (ALCO)

ALCO is chaired by the Managing Director and has representatives from Treasury Department, Credit Departments, Marketing Department, Finance Department, Strategic Planning Department and Deposit Mobilisation Department. The Executive Director/Chief Financial Officer, Chief Strategy Officer and the Chief Risk Officer are also members of the ALCO. The Committee meets regularly to monitor and manage the assets & liabilities of the Bank and overall liquidity position to keep the Bank's liquidity at healthy levels, whilst satisfying regulatory requirements.

Risk Measurement and Reporting

The Bank's risks are measured using appropriate techniques based on the type of risk and industry best practices. The Bank also carries out stress testing to identify the effect of extreme events/worst-case scenarios for major types of risks and the results are reported to the BIRMC on a periodic basis. Monitoring and controlling risks are primarily performed based on policies, limits and thresholds established by the Bank. These limits reflect the business strategy, market environment within which the Bank operates and also the level of risk that the Bank is willing to accept (Risk Appetite).

Risk Mitigation

As part of its overall risk management, the Bank obtains various types of collaterals to mitigate the risk. Details such as nature of the collateral that could be accepted, required security margin, etc., are clearly defined in the Credit Policy of the Bank and any deviations require specific approval. However, respective approving authorities would take into account the availability of security only as the secondary source of repayment.

51.2 Credit Risk

Credit risk is the risk of financial loss to the Bank, if a borrower or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's loans & advances and investments in debt securities. In addition to the credit risk from direct funding exposures, the Bank would also be exposed to indirect liabilities such as letters of credit, guarantees etc, which would carry credit risk.

The Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector concentration risks) to ensure stringent Credit Risk Management.

51.2.1 Assessment of Expected Credit Losses

51.2.1.1 Analysis of the total impairment for expected credit losses

Bank

As at 31st December	Note	2023				2022
		Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Cash & cash equivalents	20.2	46,021	-	-	46,021	101,287
Placements with banks	22.2	16,933	-	-	16,933	2,555
Financial assets at amortised cost						
- loans & advances	25.2	12,906,592	24,962,148	83,012,773	120,881,513	108,964,002
- debt & other instruments	26.4	11,651	16,622,325	254,784	16,888,760	18,665,693
Credit related commitments & contingencies	45.2	2,507,806	701,999	25,693	3,235,498	3,119,064
Total allowance for expected credit losses		15,489,003	42,286,472	83,293,250	141,068,725	130,852,601

Group

As at 31st December	Note	2023				2022
		Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Cash & cash equivalents	20.2	46,123	-	-	46,123	101,327
Placements with banks	22.2	16,933	-	-	16,933	2,555
Financial assets at amortised cost						
- loans & advances	25.2	12,913,484	25,746,701	85,909,327	124,569,512	113,113,491
- debt & other instruments	26.4	11,651	16,622,325	254,784	16,888,760	18,665,693
Credit related commitments & contingencies	45.2	2,491,821	701,999	25,693	3,219,513	3,113,300
Total allowance for expected credit losses		15,480,012	43,071,025	86,189,804	144,740,841	134,996,366

51.2.1.2 Movement of the total allowance for expected credit losses during the period

	Note	Bank		Group	
		2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Balance as at 1st January		130,852,601	58,846,832	134,996,366	63,058,163
Net charge for the year		19,866,658	62,168,583	19,913,498	62,296,270
Write-off during the year	25.2	(708,986)	(1,618,428)	(1,227,387)	(1,813,890)
Interest income accrued on impaired loans & advances	7.1	(5,333,637)	(6,278,942)	(5,335,198)	(6,281,486)
Other movements		(3,607,911)	17,734,556	(3,606,438)	17,737,309
Balance as at 31st December		141,068,725	130,852,601	144,740,841	134,996,366

The methodology used in the determination of expected credit losses is explained in Note 3.4.6 to the financial statements.

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51 RISK MANAGEMENT CONTD.

51.2.1.3 Sensitivity of factors used to determine impairment provisions

Management judgement is involved in the determination of impairment allowance for loans and advances. Key variables such as PD, LGD, EFA, property foreclosure period for individually significant loans, deemed loss period are affected by management judgment and changes in any such variables can result in different levels of impairment allowance. The following tables demonstrate the sensitivity of the impairment allowance of the Bank to the changes in the above variables, as at 31st December 2023 and 31st December 2022.

As at 31st December 2023

	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Statement of Profit or Loss [Increase/(Decrease) in operating profit before tax]
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Rs 000
Probability of Default (PD)					
Increase existing PD by 1% across all age buckets	2,691,489	842,510	-	3,533,999	(3,533,999)
Decrease existing PD by 1% across all age buckets*	(2,420,351)	(834,924)	-	(3,255,275)	3,255,275
Loss Given Default (LGD)					
5% increase	783,272	863,578	1,683,657	3,330,507	(3,330,507)
5% decrease*	(783,272)	(863,578)	(1,683,657)	(3,330,507)	3,330,507
Economic Factor Adjustment (EFA)					
worst case 5% increase, with a decrease of 2.5% each in best & base cases	189,633	192,846	-	382,479	(382,479)
worst case 5% decrease, with an increase of 2.5% each in best & base cases	(189,633)	(192,846)	-	(382,479)	382,479
Property foreclosure period for individually significant impaired customers					
Increase by one year	-	-	3,740,543	3,740,543	(3,740,543)
Decrease by one year**	-	-	(3,998,440)	(3,998,440)	3,998,440
Deemed loss period					
Increase by 1 year	(838,346)	(1,130,008)	(2,278,156)	(4,246,510)	4,246,510
Decrease by 1 year**	302,197	494,290	992,191	1,788,678	(1,788,678)

(*) The PD/LGD decrease is limited to 0%, if applicable.

(**) Foreclosure period/deemed loss period is capped at one year, if applicable.

As at 31st December 2022

	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Statement of Profit or Loss [Increase/ (Decrease) in operating profit before tax] Rs 000
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	
Probability of Default (PD)					
Increase existing PD by 1% across all age buckets	3,083,164	1,388,975	-	4,472,139	(4,472,139)
Decrease existing PD by 1% across all age buckets*	(2,720,124)	(1,382,097)	-	(4,102,221)	4,102,221
Loss Given Default (LGD)					
5% increase	684,728	1,485,870	1,832,580	4,003,178	(4,003,178)
5% decrease*	(684,728)	(1,485,870)	(1,832,580)	(4,003,178)	4,003,178
Economic Factor Adjustment (EFA)					
worst case 5% increase, with a decrease of 2.5% each in best & base cases	84,835	168,862	-	253,697	(253,697)
worst case 5% decrease, with an increase of 2.5% each in best & base cases	(84,835)	(168,862)	-	(253,697)	253,697
Property foreclosure period for individually significant impaired customers					
Increase by one year	-	-	3,002,071	3,002,071	(3,002,071)
Decrease by one year**	-	-	(3,543,495)	(3,543,495)	3,543,495
Deemed loss period					
Increase by 1 year	(756,375)	(1,360,116)	(1,636,917)	(3,753,408)	3,753,408
Decrease by 1 year**	660,548	1,909,388	2,315,950	4,885,886	(4,885,886)

(*) The PD/LGD decrease is limited to 0%, if applicable.

(**) Foreclosure period/deemed loss period is capped at one year, if applicable.

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51 RISK MANAGEMENT CONTD.

51.2.1.4 Sensitivity Analysis: Impact of staging of loans and advances on collective impairment

If all loans and advances currently in stage 2, were moved to stage 1, the ECL provision of the Bank/Group as at 31st December 2023 would have reduced by approximately 4% (2022 - 9%). The total loans and advances in stage 2 as at 31st December 2023 amounts to Rs 211 Bn & Rs 227 Bn for the Bank & the Group respectively.

If all loans and advances currently in stage 1, were moved to stage 2, the ECL provision of the Bank/Group as at 31st December 2023 would have further increased by approximately 14% (2022 - 18%). The total loans and advances in stage 1 as at 31st December 2023 amounts to Rs 522 Bn & Rs 533 Bn for the Bank & the Group respectively. The management believes that a movement of the entire stage 1 loan portfolio to stage 2 is highly unlikely.

The increase/decrease in impairment has been calculated excluding the allowance for overlay recognised as at the reporting date.

51.2.1.5 Breakdown of loans classified under stage 2

Loans classified under the stage 2 includes contractually past due loans and loans which have been shifted to stage 2 based on the criteria specified in the Notes 3.4.6.1 (b) & 3.4.6.11.

Bank

As at 31st December	2023				2022
	Not Contractually Past Due 0 - 30 Days Rs 000	Contractually Past Due		Total Rs 000	Total Rs 000
		31 - 60 Days Rs 000	61 - 90 Days Rs 000		
Term loans	77,442,250	28,851,175	27,564,004	133,857,429	204,003,313
Overdraft	17,155,343	3,004,133	912,323	21,071,799	28,283,730
Import loans	11,991,428	4,098,390	1,501,706	17,591,524	29,565,577
Others	20,123,483	11,713,586	6,961,253	38,798,322	44,004,175
	126,712,504	47,667,284	36,939,286	211,319,074	305,856,795

Group

As at 31st December	2023				2022
	Not Contractually Past Due 0 - 30 Days Rs 000	Contractually Past Due		Total Rs 000	Total Rs 000
		31 - 60 Days Rs 000	61 - 90 Days Rs 000		
Term loans	77,452,005	29,623,530	27,959,958	135,035,493	206,234,390
Overdraft	17,155,343	3,004,133	912,323	21,071,799	28,283,730
Import loans	11,991,428	4,098,390	1,501,706	17,591,524	29,565,577
Others	27,299,411	15,551,096	10,597,123	53,447,630	58,066,180
	133,898,187	52,277,149	40,971,110	227,146,446	322,149,877

51.2.1.6 Breakdown of loans classified under stage 3

Loans classified under the stage 3 includes contractually past due loans and loans which have been shifted to stage 3 based on the criteria specified in the Notes 3.4.6.1 (a) & 3.4.6.11.

Bank

As at 31st December	2023					2022
	Not Contractually Past Due			Contractually Past Due	Total	Total
	0 - 30 Days Rs 000	31 - 60 Days Rs 000	61 - 90 Days Rs 000	above 90 Days Rs 000		
Term loans	17,270,620	2,914,387	11,317,780	89,073,103	120,575,890	80,640,669
Overdraft	952,569	968	10,440	7,079,548	8,043,525	7,093,122
Import loans	397,710	21,479	77,002	3,365,911	3,862,102	3,818,741
Others	113,984	123,347	86,314	10,810,522	11,134,167	9,293,817
	18,734,883	3,060,181	11,491,536	110,329,084	143,615,684	100,846,349

Group

As at 31st December	2023					2022
	Not Contractually Past Due			Contractually Past Due	Total	Total
	0 - 30 Days Rs 000	31 - 60 Days Rs 000	61 - 90 Days Rs 000	above 90 Days Rs 000		
Term loans	17,270,620	2,914,387	11,317,780	89,988,083	121,490,870	83,000,094
Overdraft	952,569	968	10,440	7,079,548	8,043,525	7,093,122
Import loans	397,710	21,479	77,002	3,365,911	3,862,102	3,818,741
Others	285,075	159,216	187,002	17,432,486	18,063,779	17,134,178
	18,905,974	3,096,050	11,592,224	117,866,028	151,460,276	111,046,135

51.2.1.7 Overview of rescheduled & restructured loans

An analysis of rescheduled & restructured loans of the Bank/Group which are in stage 2 and stage 3 is given below along with the impairment for ECL. This does not include individually significant impaired loans for which ECLs have been derived by discounting future recovery cash flows of such loans.

As at 31st December 2023

	Amortised Cost			Impairment for ECL			Net Carrying Value
	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	
Bank	21,737,488	15,314,630	37,052,118	2,781,864	7,683,524	10,465,388	26,586,730
Group	22,101,401	16,128,264	38,229,665	2,796,317	7,927,439	10,723,756	27,505,909

As at 31st December 2022

	Amortised Cost			Impairment for ECL			Net Carrying Value
	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	
Bank	62,929,268	11,312,501	74,241,769	8,192,264	5,114,155	13,306,419	60,935,350
Group	63,511,411	12,073,108	75,584,519	8,217,596	5,402,999	13,620,595	61,963,924

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51.2.1.8 Overview of rescheduled/restructured loans & advances upgraded during the year

The Bank upgrades rescheduled/restructured loans from Stage 3/Stage 2 to Stage 1 as per the upgrading policy described in Note 3.4.6.11 of the Financial Statements. During the year the Bank upgraded Rs 14.8 Bn (2022: Rs 5.9 Bn) worth of rescheduled/restructured loans to Stage 1. Due to this upgrade, the impairment provision against these loans decreased by Rs 1.7 Bn from Rs 3 Bn as at 31st December 2022 to Rs 1.3 Bn as at 31st December 2023.

51.2.2 Risks on Credit Related Commitments

The Bank makes available to its customers, guarantees that may require the Bank to make payments on behalf of customers and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees are commitments to make payments on behalf of customers in the event of a specific act. Such commitments expose the Bank to risks similar to loans and are mitigated by the same control processes and policies.

51.2.3 Collateral and Other Credit Enhancements

51.2.3.1 Net exposure to credit risk

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The main types of collateral obtained are as follows:

For commercial lending: charges over real estate properties, cash, inventory and trade receivables, shares etc.

For retail lending: mortgages over residential properties, motor vehicles, gold etc.

The Bank also obtains guarantees from parent companies as securities against loans granted to their subsidiaries.

Management monitors the market value of collateral and will request additional collateral if the market values are not sufficient in accordance with the underlying agreement. It is the Bank's policy to dispose repossessed properties in an orderly manner. The proceeds are used to recover the outstanding claim.

There was no change in the Group's collateral policy during the year. Further, the Group did not observe any significant deterioration in the quality of the collaterals and other credit enhancements during the reporting period.

The Group does not provide for any allowances for ECL against financial assets secured by cash/deposits held within the Group. Further, no allowance for ECL has been recognised for government securities denominated in Sri Lankan rupees, other financial assets secured by government guarantees, treasury bills and treasury bonds. Except for the above, Group has recognised ECL for all other financial assets classified at amortised cost and debt instruments at FVOCI.

The following table shows the maximum exposure and net exposure (net of fair value of any collaterals held) to credit risk by class of financial asset, before netting off impairment for expected credit losses.

Bank

As at 31st December	Note	2023		2022	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	79,318,108	48,097,841	79,263,832	57,496,109
Placements with banks	22	33,758,255	33,758,255	10,929,771	10,929,771
Reverse repurchase agreements		-	-	10,072,569	-
Derivative financial instruments	23	587,577	587,577	44,598	44,598
Financial assets recognised through profit or loss - measured at fair value	24	4,744,188	4,744,188	4,641,277	4,641,277
Financial assets at amortised cost					
- loans & advances	25	877,317,072	281,961,494	920,121,651	345,476,147
- debt & other instruments	26	384,988,762	383,660,081	297,441,489	295,113,234
Financial assets - fair value through other comprehensive income	27	216,022,295	216,022,295	32,772,930	32,772,930
Other assets		27,778,625	27,778,625	21,174,017	21,174,017
		1,624,514,882	996,610,356	1,376,462,134	767,648,083
Credit related commitments and contingencies		298,954,099	295,350,164	302,539,865	299,801,239

Group

As at 31st December	Note	2023		2022	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	79,576,370	48,119,948	79,445,914	57,526,776
Placements with banks	22	33,758,255	33,758,255	10,929,771	10,929,771
Reverse repurchase agreements		150,400	-	10,299,569	-
Derivative financial instruments	23	587,577	587,577	44,598	44,598
Financial assets recognised through profit or loss - measured at fair value	24	4,841,302	4,841,302	4,822,395	4,822,395
Financial assets at amortised cost					
- loans & advances	25	911,925,231	279,402,046	953,090,229	343,268,545
- debt & other instruments	26	390,788,602	389,459,921	302,903,355	300,575,100
Financial assets - fair value through other comprehensive income	27	216,022,351	216,022,351	32,772,986	32,772,986
Other assets		29,462,947	29,462,947	22,481,685	22,481,685
		1,667,113,035	1,001,654,347	1,416,790,502	772,421,856
Credit related commitments and contingencies		297,243,356	293,639,420	301,392,746	298,654,120

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51.2.3.2 Stage-wise analysis of collateral held against loans & advances

The following table sets out the principle types of collateral held by the Bank/Group against loans and advances. For each loan, the value of the collateral is capped at the amortised cost of the loan.

As at 31st December	Bank				Group			
	Mix %	2023 Amortised Cost Rs 000	Mix %	2022 Amortised Cost Rs 000	Mix %	2023 Amortised Cost Rs 000	Mix %	2022 Amortised Cost Rs 000
Stage 1								
Cash & cash equivalents	12	62,823,469	8	40,756,846	12	63,218,811	8	41,158,570
Treasury guarantee	3	13,132,971	3	14,804,676	3	13,132,971	3	14,804,676
Gold	15	80,416,658	13	66,631,470	16	86,614,450	13	66,631,470
Motor vehicle	3	14,359,620	4	18,545,911	4	23,723,078	5	25,823,423
Immovable property	25	129,604,607	23	118,418,944	24	129,604,607	23	118,418,944
Others securities*	32	169,010,575	40	206,401,461	31	163,990,178	39	205,197,935
Unsecured	10	53,034,414	9	47,859,199	10	53,034,414	9	47,859,199
	100	522,382,314	100	513,418,507	100	533,318,509	100	519,894,217
Stage 2								
Cash & cash equivalents	5	10,578,798	3	10,030,620	5	10,621,754	3	10,079,362
Gold	-	123	-	18,791	-	1,133,670	-	18,791
Motor vehicle	3	6,165,073	3	9,385,847	9	20,796,242	7	23,326,151
Immovable property	59	126,571,095	57	173,111,085	56	126,572,538	54	173,121,136
Others securities*	25	51,923,180	27	83,341,438	23	51,941,437	27	85,635,423
Unsecured	8	16,080,805	10	29,969,014	7	16,080,805	9	29,969,014
	100	211,319,074	100	305,856,795	100	227,146,446	100	322,149,877
Stage 3								
Cash & cash equivalents	-	66,037	-	173,244	-	146,151	-	195,723
Gold	-	318,991	1	1,270,186	1	955,549	1	1,270,186
Motor vehicle	2	2,225,600	2	2,316,689	5	8,140,971	8	8,525,435
Immovable property	59	85,440,276	59	58,535,622	56	85,808,235	53	59,117,712
Others securities*	26	36,542,755	26	26,328,249	25	37,385,348	27	29,714,720
Unsecured	13	19,022,025	12	12,222,359	13	19,024,022	11	12,222,359
	100	143,615,684	100	100,846,349	100	151,460,276	100	111,046,135

*Other securities include quoted & unquoted shares, lease receivable, inventories, trade receivable, personal guarantees and corporate guarantees etc.

51.2.3.3 Offsetting financial assets & liabilities

Financial assets and financial liabilities are offset and the net amount is presented in the Statement of Financial Position when the Group has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

51.2.3.4 Financial assets & liabilities not subject to offsetting

Amounts that do not qualify for offsetting include netting arrangements that only permit outstanding transactions with the same counterparty to be offset in an event of default or occurrence of other predetermined events. Such netting arrangements include repurchase arrangements and other similar secured lending and borrowing arrangements.

The amount of the financial collateral received or pledged subject to netting arrangements but not qualified for offsetting are disclosed below.

Bank

As at 31st December	2023			2022		
	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000
Financial Assets						
Loans & advances	82,162,417	73,468,304	8,694,113	61,473,331	50,960,710	10,512,621
Financial Liabilities						
Securities sold under repurchase agreements	34,688,209	34,688,209	-	2,283,291	2,283,291	-

Group

As at 31st December	2023			2022		
	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000
Financial Assets						
Loans & advances	82,719,145	73,986,716	8,732,429	62,008,191	51,433,655	10,574,536
Financial Liabilities						
Securities sold under repurchase agreements	34,438,086	34,438,086	-	2,283,291	2,283,291	-

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51.2.4 Stage-wise Movement of Loans & Advances and Commitments & Contingencies

Changes in the gross carrying amount of loans & advances and commitments & contingencies during the period that contributed to the changes in impairment provisions is given below.

51.2.4.1 Stage-wise movement of gross carrying values of loans and advances

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	503,956,693	253,038,870	56,110,864	813,106,427
Current stage of new financial assets originated	204,346,028	72,280,307	-	276,626,335
Changes in the gross carrying amount				
- Transfer to stage 1	22,915,510	(25,567,269)	(424,115)	(3,075,874)
- Transfer to stage 2	(61,777,695)	57,417,247	(1,691,439)	(6,051,887)
- Transfer to stage 3	(6,645,351)	(25,891,405)	36,479,100	3,942,344
Financial assets that have been derecognised	(149,376,678)	(88,855,027)	(2,837,527)	(241,069,232)
Write-off during the year	-	-	(1,618,428)	(1,618,428)
Changes to contractual cash flows due to modifications	-	63,434,072	14,827,894	78,261,966
Balance as at 31st December 2022	513,418,507	305,856,795	100,846,349	920,121,651
Balance as at 1st January 2023	513,418,507	305,856,795	100,846,349	920,121,651
Current stage of new financial assets originated	197,201,271	47,725,674	-	244,926,945
Changes in the gross carrying amount				
- Transfer to stage 1	30,828,553	(35,999,098)	(2,546,540)	(7,717,085)
- Transfer to stage 2	(17,689,911)	19,850,285	(6,582,685)	(4,422,311)
- Transfer to stage 3	(1,459,023)	(49,077,265)	49,001,264	(1,535,024)
Financial assets that have been derecognised	(199,917,083)	(102,650,835)	(13,663,661)	(316,231,579)
Write-off during the year	-	-	(708,986)	(708,986)
Changes to contractual cash flows due to modifications	-	25,613,518	17,269,943	42,883,461
Balance as at 31st December 2023	522,382,314	211,319,074	143,615,684	877,317,072

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	514,189,505	269,250,382	67,129,766	850,569,653
Current stage of new financial assets originated	209,781,581	79,470,648	-	289,252,229
Changes in the gross carrying amount				
- Transfer to stage 1	25,198,817	(27,122,680)	(1,152,011)	(3,075,874)
- Transfer to stage 2	(65,838,617)	63,553,147	(3,766,417)	(6,051,887)
- Transfer to stage 3	(8,097,565)	(29,825,456)	45,019,848	7,096,827
Financial assets that have been derecognised	(155,339,504)	(96,610,236)	(9,198,625)	(261,148,365)
Write-off during the year	-	-	(1,813,890)	(1,813,890)
Changes to contractual cash flows due to modifications	-	63,434,072	14,827,464	78,261,536
Balance as at 31st December 2022	519,894,217	322,149,877	111,046,135	953,090,229
Balance as at 1st January 2023	519,894,217	322,149,877	111,046,135	953,090,229
Current stage of new financial assets originated	207,874,959	56,869,731	-	264,744,690
Changes in the gross carrying amount				
- Transfer to stage 1	31,334,985	(36,380,043)	(2,672,027)	(7,717,085)
- Transfer to stage 2	(17,984,796)	20,448,262	(6,885,777)	(4,422,311)
- Transfer to stage 3	(1,557,220)	(49,525,874)	49,548,072	(1,535,022)
Financial assets that have been derecognised	(206,243,636)	(112,089,573)	(17,417,479)	(335,750,688)
Write-off during the year	-	-	(1,227,387)	(1,227,387)
Changes to contractual cash flows due to modifications	-	25,674,066	19,068,739	44,742,805
Balance as at 31st December 2023	533,318,509	227,146,446	151,460,276	911,925,231

51.2.4.2 Stage-wise movement of Impairment for loans and advances

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	4,543,545	20,471,275	25,503,313	50,518,133
Net impairment charge for the year due to:				
New financial assets originated	2,875,392	8,698,364	-	11,573,756
Changes in the gross carrying amount				
- Transfer to stage 1	910,530	(1,082,226)	(151,292)	(322,988)
- Transfer to stage 2	(794,343)	5,072,782	(659,702)	3,618,737
- Transfer to stage 3	(185,133)	(3,954,849)	19,133,883	14,993,901
Net remeasurement of impairment	3,707,286	7,839,694	5,320,563	16,867,543
Financial assets that have been derecognised	(1,415,689)	(6,502,473)	(455,809)	(8,373,971)
Change to contractual cash flows due to modifications	-	10,482,900	5,504,012	15,986,912
Write-off during the year	-	-	(1,618,428)	(1,618,428)
Interest accrued on impaired loans & advances	-	-	(6,278,942)	(6,278,942)
Other movements	276,065	3,726,189	7,997,095	11,999,349
Balance as at 31st December 2022	9,917,653	44,751,656	54,294,693	108,964,002
Balance as at 1st January 2023	9,917,653	44,751,656	54,294,693	108,964,002
Net impairment charge for the year due to:				
New financial assets originated	3,970,968	4,094,262	-	8,065,230
Changes in the gross carrying amount				
- Transfer to stage 1	1,473,006	(3,582,787)	(1,114,774)	(3,224,555)
- Transfer to stage 2	(659,234)	1,900,410	(1,716,738)	(475,562)
- Transfer to stage 3	(59,448)	(11,828,698)	25,891,568	14,003,422
Net remeasurement of impairment	656,421	(3,372,565)	5,579,084	2,862,940
Financial assets that have been derecognised	(2,251,335)	(10,625,132)	(4,614,334)	(17,490,801)
Change to contractual cash flows due to modifications	-	4,736,930	9,589,065	14,325,995
Write-off during the year	-	-	(708,986)	(708,986)
Interest accrued on impaired loans and advances	-	-	(5,333,637)	(5,333,637)
Other movements	(141,439)	(1,111,928)	1,146,832	(106,535)
Balance as at 31st December 2023	12,906,592	24,962,148	83,012,773	120,881,513

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Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	4,577,037	21,221,066	28,967,197	54,765,300
Net impairment charge for the year due to:				
New financial assets originated	2,981,800	9,141,564	-	12,123,364
Changes in the gross carrying amount				
- Transfer to stage 1	1,009,691	(1,131,505)	(201,174)	(322,988)
- Transfer to stage 2	(893,147)	5,390,705	(878,821)	3,618,737
- Transfer to stage 3	(274,317)	(4,367,946)	20,089,863	15,447,600
Net remeasurement of impairment	3,707,413	7,850,780	5,357,800	16,915,993
Financial assets that have been derecognised	(1,450,044)	(6,662,599)	(1,215,081)	(9,327,724)
Change to contractual cash flows due to modifications	-	10,482,900	5,503,583	15,986,483
Write-off during the year	-	-	(1,813,890)	(1,813,890)
Interest accrued on impaired loans and advances	-	-	(6,281,486)	(6,281,486)
Other movements	276,065	3,726,189	7,999,848	12,002,102
Balance as at 31st December 2022	9,934,498	45,651,154	57,527,839	113,113,491
Balance as at 1st January 2023	9,934,498	45,651,154	57,527,839	113,113,491
Net impairment charge for the year due to:				
New financial assets originated	4,032,154	4,493,620	-	8,525,774
Changes in the gross carrying amount				
- Transfer to stage 1	1,901,936	(3,957,712)	(1,168,779)	(3,224,555)
- Transfer to stage 2	(671,297)	1,996,048	(1,800,313)	(475,562)
- Transfer to stage 3	(115,565)	(12,018,952)	26,137,939	14,003,422
Net remeasurement of impairment	651,865	(3,372,550)	5,579,095	2,858,410
Financial assets that have been derecognised	(2,678,668)	(10,672,251)	(4,769,505)	(18,120,424)
Change to contractual cash flows due to modifications	-	4,739,272	9,817,331	14,556,603
Write-off during the year	-	-	(1,227,387)	(1,227,387)
Interest accrued on impaired loans and advances	-	-	(5,335,198)	(5,335,198)
Other movements	(141,439)	(1,111,928)	1,148,305	(105,062)
Balance as at 31st December 2023	12,913,484	25,746,701	85,909,327	124,569,512

51.2.4.3 Stage-wise movement of gross carrying values of credit related commitments and contingencies

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	289,255,967	53,334,729	1,196,151	343,786,847
Current stage of new commitments originated	37,436,478	7,530,171	-	44,966,649
Changes in the gross carrying amount				
- Transfer to stage 1	16,867,260	(12,753,409)	(187,620)	3,926,231
- Transfer to stage 2	(27,463,269)	30,703,421	(72,171)	3,167,981
- Transfer to stage 3	(147,756)	(2,370,561)	2,081,430	(436,887)
Amounts that have been derecognised	(75,839,569)	(16,419,553)	(611,834)	(92,870,956)
Balance as at 31st December 2022	240,109,111	60,024,798	2,405,956	302,539,865
Balance as at 1st January 2023	240,109,111	60,024,798	2,405,956	302,539,865
Current stage of new commitments originated	54,455,526	5,861,785	-	60,317,311
Changes in the gross carrying amount				
- Transfer to stage 1	19,279,910	(19,420,880)	(26,614)	(167,584)
- Transfer to stage 2	(6,809,110)	7,320,449	(1,303,499)	(792,160)
- Transfer to stage 3	(2,094)	(1,951,368)	2,459,438	505,976
Amounts that have been derecognised	(43,991,747)	(18,765,573)	(691,989)	(63,449,309)
Balance as at 31st December 2023	263,041,596	33,069,211	2,843,292	298,954,099

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	285,966,261	53,334,729	1,196,151	340,497,141
Current stage of new commitments originated	39,608,796	7,530,171	-	47,138,967
Changes in the gross carrying amount				
- Transfer to stage 1	16,867,260	(12,753,409)	(187,620)	3,926,231
- Transfer to stage 2	(27,463,269)	30,703,421	(72,171)	3,167,981
- Transfer to stage 3	(147,756)	(2,370,561)	2,081,430	(436,887)
Amounts that have been derecognised	(75,869,300)	(16,419,553)	(611,834)	(92,900,687)
Balance as at 31st December 2022	238,961,992	60,024,798	2,405,956	301,392,746
Balance as at 1st January 2023	238,961,992	60,024,798	2,405,956	301,392,746
Current stage of new commitments originated	54,466,086	5,861,785	-	60,327,871
Changes in the gross carrying amount				
- Transfer to stage 1	18,705,726	(19,420,880)	(26,614)	(741,768)
- Transfer to stage 2	(6,809,110)	7,320,449	(1,303,499)	(792,160)
- Transfer to stage 3	(2,094)	(1,951,368)	2,459,438	505,976
Amounts that have been derecognised	(43,991,747)	(18,765,573)	(691,989)	(63,449,309)
Balance as at 31st December 2023	261,330,853	33,069,211	2,843,292	297,243,356

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51.2.4.4 Stage-wise movement of impairment for credit related commitments and contingencies

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	1,305,597	618,862	335,515	2,259,974
Net impairment charge for the year due to:				
New commitments originated	232,065	256,138	-	488,203
Changes in the gross carrying amount				
- Transfer to stage 1	36,709	(189,662)	-	(152,953)
- Transfer to stage 2	(46,647)	306,532	-	259,885
- Transfer to stage 3	(608)	(4,370)	4,978	-
Net remeasurement of impairment	538,529	145,937	-	684,466
Amounts that have been derecognised	(120,191)	(226,246)	(325,796)	(672,233)
Other movements	182,619	68,222	881	251,722
Balance as at 31st December 2022	2,128,073	975,413	15,578	3,119,064
Balance as at 1st January 2023	2,128,073	975,413	15,578	3,119,064
Net impairment charge for the year due to:				
New commitments originated	34,364	264,763	-	299,127
Changes in the gross carrying amount				
- Transfer to stage 1	59,983	(271,083)	-	(211,100)
- Transfer to stage 2	(24,768)	161,803	-	137,035
- Transfer to stage 3	(2,470)	(52,383)	25,693	(29,160)
Net remeasurement of impairment	591,878	70,635	-	662,513
Amounts that have been derecognised	(228,169)	(380,858)	(15,054)	(624,081)
Other movements	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,507,806	701,999	25,693	3,235,498

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2022	1,269,741	618,862	335,515	2,224,118
Net impairment charge for the year due to:				
New commitments originated	264,771	256,138	-	520,909
Changes in the gross carrying amount				
- Transfer to stage 1	36,709	(189,662)	-	(152,953)
- Transfer to stage 2	(46,647)	306,532	-	259,885
- Transfer to stage 3	(608)	(4,370)	4,978	-
Net remeasurement of impairment	535,915	145,937	-	681,852
Amounts that have been derecognised	(120,191)	(226,246)	(325,796)	(672,233)
Other movements	182,619	68,222	881	251,722
Balance as at 31st December 2022	2,122,309	975,413	15,578	3,113,300
Balance as at 1st January 2023	2,122,309	975,413	15,578	3,113,300
Net impairment charge for the year due to:				
New commitments originated	35,941	264,763	-	300,704
Changes in the gross carrying amount				
- Transfer to stage 1	48,185	(271,083)	-	(222,898)
- Transfer to stage 2	(24,768)	161,803	-	137,035
- Transfer to stage 3	(2,470)	(52,383)	25,693	(29,160)
Net remeasurement of impairment	591,878	70,635	-	662,513
Amounts that have been derecognised	(228,169)	(380,858)	(15,054)	(624,081)
Other movements	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,491,821	701,999	25,693	3,219,513

51.2.4.5 Stage-wise movement of gross carrying values of other financial assets

The Bank received LKR treasury bonds amounting to Rs 38.8 Bn in settlement of Sri Lanka Development Bonds (SLDBs) outstanding as at 31st December 2022. Although SLDBs had been classified under stage 2 as at 31st December 2022, the new LKR bonds received were classified under stage 1, in line with the classification of other LKR bonds issued by the Government of Sri Lanka.

Investment in debentures of Kotagala Plantation PLC has been transferred from stage 3 to stage 1 during the year, consequent to the upgrading of its external risk rating and satisfactory repayment of capital and interest as per the rescheduled terms. Apart from the above, there were no material stage movements recorded in other financial assets during the year.

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51.2.5 Credit Quality by Class of Financial Assets

The tables below show the credit quality by the class of asset for all financial assets exposed to credit risk, based on internal credit ratings for loans & advances and based on external credit ratings for other financial assets.

Bank

	High Grade				Standard Grade				Sub -Standard Grade			
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2023												
Financial Assets												
Cash & cash equivalents	47,867,508	-	-	31,220,267	138,100	-	-	-	92,233	-	-	-
Balances with CBSL	-	-	-	14,463,854	-	-	-	-	-	-	-	-
Placements with banks	31,552,375	-	-	-	2,205,880	-	-	-	-	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	538,298	-	-	-	46,839	-	-	-	-
Financial assets - FVPL	-	-	-	4,744,188	-	-	-	-	-	-	-	-
Financial assets at amortised cost												
- loans & advances	319,151,302	65,610,262	5,622,324	-	102,009,063	130,592,814	44,175,122	-	1,224,614	11,584,822	16,085,993	-
- debt & other instruments	348,262,952	-	-	-	2,367,093	-	-	-	-	33,244,652	-	-
Financial assets - FVOCI	211,004,648	-	-	-	-	-	-	-	-	1,040,578	-	-
Other assets	-	-	-	-	-	-	-	-	-	-	-	-
Total	957,838,785	65,610,262	5,622,324	50,966,607	106,720,136	130,592,814	44,175,122	46,839	1,316,847	45,870,052	16,085,993	-
Credit related commitments & contingencies												
	180,738,818	14,219,771	329,329	-	55,941,438	18,111,740	2,311,982	-	132,208	240,671	41,442	-
As at 31st December 2022												
Financial Assets												
Cash & cash equivalents	57,360,922	-	-	21,767,723	19,636	-	-	-	-	-	-	-
Balances with CBSL	-	-	-	31,579,185	-	-	-	-	-	-	-	-
Placements with banks	10,929,771	-	-	-	-	-	-	-	-	-	-	-
Reverse repurchase agreements	10,072,569	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	44,404	-	-	-	194	-	-	-	-
Financial assets - FVPL	-	-	-	4,641,277	-	-	-	-	-	-	-	-
Financial assets at amortised cost												
- loans & advances	303,580,177	91,196,965	-	-	123,562,263	187,386,974	34,046,236	-	621,874	21,430,746	3,778,016	-
- debt & other instruments	214,076,008	-	-	-	2,439,592	-	-	-	490,744	78,994,873	-	-
Financial assets - FVOCI	27,369,187	-	-	-	-	-	-	-	-	671,756	-	-
Other assets	-	-	-	-	-	-	-	-	-	-	-	-
Total	623,388,634	91,196,965	-	58,032,589	126,021,491	187,386,974	34,046,236	194	1,112,618	101,097,375	3,778,016	-
Credit related commitments & contingencies												
	153,199,925	21,772,701	-	-	62,595,060	36,898,759	2,175,165	-	181,820	888,611	116,743	-

	Low Grade				Unrated				Exposures not subject to Rating				Total
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	-	-	-	-	-	-	-	-	-	-	-	-	79,318,108
	-	-	-	-	-	-	-	-	-	-	-	-	14,463,854
	-	-	-	-	-	-	-	-	-	-	-	-	33,758,255
	-	-	-	-	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	2,440	-	-	-	-	587,577
	-	-	-	-	-	-	-	-	-	-	-	-	4,744,188
	513,531	2,566,655	76,380,635	-	99,426,869	964,521	1,351,610	-	56,935	-	-	-	877,317,072
	-	-	254,784	-	859,281	-	-	-	-	-	-	-	384,988,762
	-	-	-	-	-	-	-	3,977,069	-	-	-	-	216,022,295
	-	-	-	-	-	-	-	-	27,778,625	-	-	-	27,778,625
	513,531	2,566,655	76,635,419	-	100,286,150	964,521	1,351,610	3,979,509	27,835,560	-	-	-	1,638,978,736
	60,571	17,553	160,445	-	26,168,561	479,476	94	-	-	-	-	-	298,954,099
	115,551	-	-	-	-	-	-	-	-	-	-	-	79,263,832
	-	-	-	-	-	-	-	-	-	-	-	-	31,579,185
	-	-	-	-	-	-	-	-	-	-	-	-	10,929,771
	-	-	-	-	-	-	-	-	-	-	-	-	10,072,569
	-	-	-	-	-	-	-	-	-	-	-	-	44,598
	-	-	-	-	-	-	-	-	-	-	-	-	4,641,277
	212,725	4,841,152	60,697,259	-	85,367,057	1,000,958	2,324,838	-	74,411	-	-	-	920,121,651
	-	-	275,981	-	1,164,291	-	-	-	-	-	-	-	297,441,489
	-	-	-	-	-	-	-	4,731,987	-	-	-	-	32,772,930
	-	-	-	-	-	-	-	-	21,174,017	-	-	-	21,174,017
	328,276	4,841,152	60,973,240	-	86,531,348	1,000,958	2,324,838	4,731,987	21,248,428	-	-	-	1,408,041,319
	25,114	34,526	114,048	-	24,107,192	430,201	-	-	-	-	-	-	302,539,865

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Group

	High Grade				Standard Grade				Sub-Standard Grade			
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2023												
Financial Assets												
Cash & cash equivalents	47,889,583	-	-	31,456,422	138,132	-	-	-	92,233	-	-	-
Balances with CBSL	-	-	-	14,463,854	-	-	-	-	-	-	-	-
Placements with banks	31,552,375	-	-	-	2,205,880	-	-	-	-	-	-	-
Reverse repurchase agreements	150,400	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	538,298	-	-	-	46,839	-	-	-	-
Financial assets - FVPL	-	-	-	4,753,387	-	-	-	-	-	-	-	-
Financial assets at amortised cost												
- loans & advances	313,364,292	65,610,262	5,622,324	-	102,009,063	130,592,814	44,175,122	-	1,224,614	11,584,822	16,085,993	-
- debt & other instruments	354,062,792	-	-	-	2,367,093	-	-	-	-	33,244,652	-	-
Financial assets - FVOCI	211,004,648	-	-	-	-	-	-	-	-	1,040,578	-	-
Other assets	-	-	-	-	-	-	-	-	-	-	-	-
Total	958,024,090	65,610,262	5,622,324	51,211,961	106,720,168	130,592,814	44,175,122	46,839	1,316,847	45,870,052	16,085,993	-
Credit related commitments & contingencies	178,999,509	14,219,771	329,329	-	55,941,438	18,111,741	2,311,982	-	132,208	240,671	41,442	-
As at 31st December 2022												
Financial Assets												
Cash & cash equivalents	57,391,552	-	-	21,919,138	19,673	-	-	-	-	-	-	-
Balances with CBSL	-	-	-	31,579,185	-	-	-	-	-	-	-	-
Placements with banks	10,929,771	-	-	-	-	-	-	-	-	-	-	-
Reverse repurchase agreements	10,299,569	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	44,404	-	-	-	194	-	-	-	-
Financial assets - FVPL	-	-	-	4,661,571	-	-	-	-	-	-	-	-
Financial assets at amortised cost												
- loans & advances	297,154,177	91,196,965	-	-	123,562,263	187,386,974	34,046,236	-	621,874	21,430,746	3,778,016	-
- debt & other instruments	219,537,874	-	-	-	2,439,592	-	-	-	490,744	78,994,873	-	-
Financial assets - FVOCI	27,369,187	-	-	-	-	-	-	-	-	671,756	-	-
Other assets	-	-	-	-	-	-	-	-	-	-	-	-
Total	622,682,130	91,196,965	-	58,204,298	126,021,528	187,386,974	34,046,236	194	1,112,618	101,097,375	3,778,016	-
Credit related commitments & contingencies	152,038,339	21,772,701	-	-	62,595,060	36,898,759	2,175,165	-	181,820	888,611	116,743	-

	Low Grade				Unrated				Exposures not subject to Rating				Total
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	-	-	-	-	-	-	-	-	-	-	-	-	79,576,370
	-	-	-	-	-	-	-	-	-	-	-	-	14,463,854
	-	-	-	-	-	-	-	-	-	-	-	-	33,758,255
	-	-	-	-	-	-	-	-	-	-	-	-	150,400
	-	-	-	-	-	-	-	2,440	-	-	-	-	587,577
	-	-	-	-	-	-	-	87,915	-	-	-	-	4,841,302
	513,531	2,566,655	76,380,635	-	116,150,074	16,791,893	9,196,202	-	56,935	-	-	-	911,925,231
	-	-	254,784	-	859,281	-	-	-	-	-	-	-	390,788,602
	-	-	-	-	-	-	-	3,977,125	-	-	-	-	216,022,351
	-	-	-	-	-	-	-	-	29,462,947	-	-	-	29,462,947
	513,531	2,566,655	76,635,419	-	117,009,355	16,791,893	9,196,202	4,067,480	29,519,882	-	-	-	1,681,576,889
	60,571	17,553	160,445	-	26,197,126	479,476	94	-	-	-	-	-	297,243,356
	115,551	-	-	-	-	-	-	-	-	-	-	-	79,445,914
	-	-	-	-	-	-	-	-	-	-	-	-	31,579,185
	-	-	-	-	-	-	-	-	-	-	-	-	10,929,771
	-	-	-	-	-	-	-	-	-	-	-	-	10,299,569
	-	-	-	-	-	-	-	-	-	-	-	-	44,598
	-	-	-	-	-	-	-	160,824	-	-	-	-	4,822,395
	212,725	4,841,152	60,697,259	-	98,268,767	17,294,040	12,524,624	-	74,411	-	-	-	953,090,229
	-	-	275,981	-	1,164,291	-	-	-	-	-	-	-	302,903,355
	-	-	-	-	-	-	-	4,732,043	-	-	-	-	32,772,986
	-	-	-	-	-	-	-	-	22,481,685	-	-	-	22,481,685
	328,276	4,841,152	60,973,240	-	99,433,058	17,294,040	12,524,624	4,892,867	22,556,096	-	-	-	1,448,369,687
	25,114	34,526	114,048	-	24,121,659	430,201	-	-	-	-	-	-	301,392,746

The following table shows a counterparty-wise analysis of derivative financial instruments.

Bank & Group

	Type of derivative							
	SPOT		Forward		SWAP		Total	
	Notional amount	Gain/Loss	Notional amount	Gain/Loss	Notional amount	Gain/Loss	Notional amount	Gain/Loss
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2023								
Derivative financial assets								
- with banks	1,592,314	11,048	11,867,798	171,285	45,715,067	393,181	59,175,179	575,514
- with other customers	4,449,523	3,452	654,353	8,611	-	-	5,103,876	12,063
Total derivative financial assets	6,041,837	14,500	12,522,151	179,896	45,715,067	393,181	64,279,055	587,577
Derivative financial liabilities								
- with banks	2,238,025	5,138	5,791,466	39,524	110,446,587	1,444,637	118,476,078	1,489,299
- with other customers	1,121,828	1,123	719,649	8,355	-	-	1,841,477	9,478
Total derivative financial liabilities	3,359,853	6,261	6,511,115	47,879	110,446,587	1,444,637	120,317,555	1,498,777

Bank & Group

	Type of derivative							
	SPOT		Forward		SWAP		Total	
	Notional amount	Gain/Loss	Notional amount	Gain/Loss	Notional amount	Gain/Loss	Notional amount	Gain/Loss
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2022								
Derivative financial assets								
- with banks	-	-	-	-	5,020,107	30,439	5,020,107	30,439
- with other customers	-	-	1,713,898	14,159	-	-	1,713,898	14,159
Total derivative financial assets	-	-	1,713,898	14,159	5,020,107	30,439	6,734,005	44,598
Derivative financial liabilities								
- with banks	-	-	966,100	2,970	5,881,131	1,435,157	6,847,231	1,438,127
- with other customers	1,335,740	11,266	-	-	-	-	1,335,740	11,266
Total derivative financial liabilities	1,335,740	11,266	966,100	2,970	5,881,131	1,435,157	8,182,971	1,449,393

51.2.7 Analysis of Risk Concentration

By setting various concentration limits (i.e. single borrower/group, industry, product, country/region etc.), the Bank/Group ensures that an acceptable level of risk diversification is maintained on an ongoing basis. These limits are continuously monitored and periodically reviewed at management and Board level to capture the developments in the macro economy, both locally and globally.

The exposure to credit risk based on the geographical concentration and industry/sector concentration is given below, for each item of financial asset in the Statement of Financial Position.

51.2.7.1 Geographical concentration

Bank

As at 31st December	2023			2022		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	31,574,518	47,697,569	79,272,087	23,728,423	55,434,122	79,162,545
Balances with Central Bank of Sri Lanka	14,463,854	-	14,463,854	31,579,185	-	31,579,185
Placements with banks	4,492,105	29,249,217	33,741,322	3,038,614	7,888,602	10,927,216
Reverse repurchase agreements	-	-	-	10,072,569	-	10,072,569
Derivative financial instruments	584,997	2,580	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	4,744,188	4,641,277	-	4,641,277
Financial assets at amortised cost						
- loans & advances *	727,809,712	28,625,847	756,435,559	767,958,543	43,199,106	811,157,649
- debt & other instruments	351,929,336	16,170,666	368,100,002	278,775,796	-	278,775,796
Financial assets - fair value through other comprehensive income	204,027,803	11,994,492	216,022,295	28,068,871	4,704,059	32,772,930
Other assets	27,292,588	486,037	27,778,625	18,874,273	2,299,744	21,174,017
Total	1,366,919,101	134,226,408	1,501,145,509	1,166,782,149	113,525,633	1,280,307,782

* Provincial breakdown for loans & advances within Sri Lanka

Province	Bank	
	2023 Rs 000	2022 Rs 000
Central	45,829,245	48,150,531
Eastern	15,907,389	15,950,682
North Central	16,025,925	17,247,319
North Western	29,472,446	34,396,408
Northern	13,516,912	12,298,883
Sabaragamuwa	17,203,155	15,751,805
Southern	30,917,253	34,580,093
Uva	13,088,306	12,890,951
Western	545,849,081	576,691,871
Total	727,809,712	767,958,543

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Group

As at 31st December	2023			2022		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	31,832,678	47,697,569	79,530,247	23,910,465	55,434,122	79,344,587
Balances with Central Bank of Sri Lanka	14,463,854	-	14,463,854	31,579,185	-	31,579,185
Placements with banks	4,492,105	29,249,217	33,741,322	3,038,614	7,888,602	10,927,216
Reverse repurchase agreements	150,400	-	150,400	10,299,569	-	10,299,569
Derivative financial instruments	584,997	2,580	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	4,841,302	4,822,395	-	4,822,395
Financial assets at amortised cost						
- loans & advances *	758,729,872	28,625,847	787,355,719	796,777,632	43,199,106	839,976,738
- debt & other instruments	357,729,176	16,170,666	373,899,842	284,237,662	-	284,237,662
Financial assets - fair value through other comprehensive income	204,027,859	11,994,492	216,022,351	28,068,927	4,704,059	32,772,986
Other assets	28,976,910	486,037	29,462,947	20,181,941	2,299,744	22,481,685
Total	1,405,829,153	134,226,408	1,540,055,561	1,202,960,988	113,525,633	1,316,486,621

* Provincial breakdown for loans & advances within Sri Lanka

Province	Group	
	2023 Rs 000	2022 Rs 000
Central	51,098,962	53,134,699
Eastern	19,443,577	19,209,519
North Central	17,618,822	18,752,180
North Western	33,309,880	37,956,594
Northern	14,824,003	13,520,959
Sabaragamuwa	19,661,148	17,888,319
Southern	33,774,679	37,164,457
Uva	13,594,331	13,360,631
Western	555,404,470	585,790,274
Total	758,729,872	796,777,632

51.2.7.2 Industry/sector concentration

The following tables show the risk concentration by industry for the financial assets.

(a) Bank - as at 31st December 2023

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	79,272,087	-	-	79,272,087
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	14,463,854	-	-	14,463,854
Placements with banks	-	-	-	-	-	-	-	33,741,322	-	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-	12,063	575,514	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	4,744,188	-	-	4,744,188
Financial assets at amortised cost											
- loans & advances	73,916,178	107,969,399	69,758,600	6,965,907	81,038,518	51,461,266	102,325,367	59,356,868	66,169,774	137,473,682	756,435,559
- debt & other instruments	13,309	-	-	-	-	2,692,044	-	365,394,649	-	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	216,022,295	-	-	216,022,295
Other assets	-	-	-	-	-	-	-	26,428,335	1,350,290	-	27,778,625
Total	73,929,487	107,969,399	69,758,600	6,965,907	81,038,518	54,153,310	102,337,430	799,999,112	67,520,064	137,473,682	1,501,145,509

(b) Bank - as at 31st December 2022

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	79,162,545	-	-	79,162,545
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	31,579,185	-	-	31,579,185
Placements with banks	-	-	-	-	-	-	-	10,927,216	-	-	10,927,216
Reverse repurchase agreements	-	-	-	-	-	-	-	10,072,569	-	-	10,072,569
Derivative financial instruments	1,181	-	-	-	-	-	195	30,438	12,784	-	44,598
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	4,641,277	-	-	4,641,277
Financial assets at amortised cost											
- loans & advances	72,658,697	139,039,865	70,365,368	7,350,207	93,464,271	48,530,831	105,843,874	66,885,698	78,224,295	128,794,543	811,157,649
- debt & other instruments	-	-	-	-	-	2,442,667	-	276,333,129	-	-	278,775,796
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	32,772,930	-	-	32,772,930
Other assets	-	-	-	-	-	-	-	20,548,182	625,835	-	21,174,017
Total	72,659,878	139,039,865	70,365,368	7,350,207	93,464,271	50,973,498	105,844,069	532,953,169	78,862,914	128,794,543	1,280,307,782

(c) Group - as at 31st December 2023

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	79,530,247	-	-	79,530,247
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	14,463,854	-	-	14,463,854
Placements with banks	-	-	-	-	-	-	-	33,741,322	-	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	-	-	150,400	-	-	150,400
Derivative financial instruments	-	-	-	-	-	-	12,063	575,514	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	27,527	4,813,775	-	-	4,841,302
Financial assets at amortised cost											
- loans & advances	77,411,946	110,594,942	70,647,788	9,962,047	80,118,123	52,975,534	107,650,016	55,500,627	74,060,118	148,434,578	787,355,719
- debt & other instruments	13,309	-	-	-	-	2,692,044	-	371,194,489	-	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	216,022,351	-	-	216,022,351
Other assets	-	-	-	-	-	-	-	26,428,335	3,034,612	-	29,462,947
Total	77,425,255	110,594,942	70,647,788	9,962,047	80,118,123	55,667,578	107,689,606	802,420,914	77,094,730	148,434,578	1,540,055,561

(d) Group - as at 31st December 2022

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	79,344,587	-	-	79,344,587
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	31,579,185	-	-	31,579,185
Placements with banks	-	-	-	-	-	-	-	10,927,216	-	-	10,927,216
Reverse repurchase agreements	-	-	-	-	-	-	-	10,299,569	-	-	10,299,569
Derivative financial instruments	1,181	-	-	-	-	-	195	30,438	12,784	-	44,598
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	4,822,395	-	-	4,822,395
Financial assets at amortised cost											
- loans & advances	75,621,565	141,749,399	71,040,990	10,082,732	93,651,246	50,304,132	110,797,893	62,308,609	93,769,648	130,650,524	839,976,738
- debt & other instruments	-	-	-	-	-	2,442,667	-	281,794,995	-	-	284,237,662
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	32,772,986	-	-	32,772,986
Other assets	-	-	-	-	-	-	-	20,548,185	1,933,500	-	22,481,685
Total	75,622,746	141,749,399	71,040,990	10,082,732	93,651,246	52,746,799	110,798,088	534,428,165	95,715,932	130,650,524	1,316,486,621

51.2.8 Commitments and Contingencies

To meet the financial needs of customers, the Bank enters into various commitments and contingent liabilities. Even though these obligations may not be recognised in the Statement of Financial Position, they do contain credit risk and are, therefore, part of the overall risk of the Bank.

The maximum exposure to credit risk relating to a financial guarantee is the maximum amount the Bank should have to pay if the guarantee is called upon. The maximum exposure to credit risk relating to a loan commitment is the full amount of the commitment. In both cases, the maximum risk exposure is significantly greater than the amount recognised as a liability in the Statement of Financial Position. The Bank's maximum credit risk exposure to commitments and contingencies are disclosed in the Notes to the Financial Statements.

51.3 Liquidity Risk and Funding Management

The Bank manages liquidity risk, in accordance with regulatory guidelines and industry best practices. The objective of the Bank's liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and market access remains cost effective.

A board-approved liquidity policy to manage liquidity on a day-to-day basis and a contingency funding plan to deal with crisis situations are in place. Contractual and behavioural maturity of assets and liabilities, key liquidity ratios and monthly liquidity forecasts and gaps are reviewed at Assets and Liability Committee (ALCO) meetings. The main sources of the Bank's funding are core deposits from retail and commercial clients, wholesale deposits and access to borrowed funds from the interbank money market. The Bank also maintains a portfolio of readily marketable securities to further strengthen its liquidity position. Liquidity risk exposure is managed with limits and triggers being set, thereby ensuring that sufficient liquidity surplus and reserves are available to meet daily business requirements and also to deal with a sudden liquidity shock.

51.3.1 Liquidity Ratios

51.3.1.1 Statutory Liquid Assets Ratio (SLAR)

Licensed commercial banks are required to maintain liquid assets at an amount not less than 20% of total adjusted liabilities, on a consolidated basis for the overall bank.

For the month of December	2023	2022
	%	%
SLAR: Bank	47.76	27.85

51.3.1.2 Liquidity Coverage Ratio (LCR)

This ratio determines the ability of the Bank to withstand adverse liquidity shocks (i.e. sudden withdrawal of a significant portion of deposits) over a 30 day time span, measured by the amount of unencumbered high-quality liquid assets it holds, over and above the anticipated net cash outflow during this period.

As at 31st December	2023	2022
	%	%
Rupee Liquidity Requirement	453.16	200.78
All Currency Liquidity Requirement	312.47	146.53

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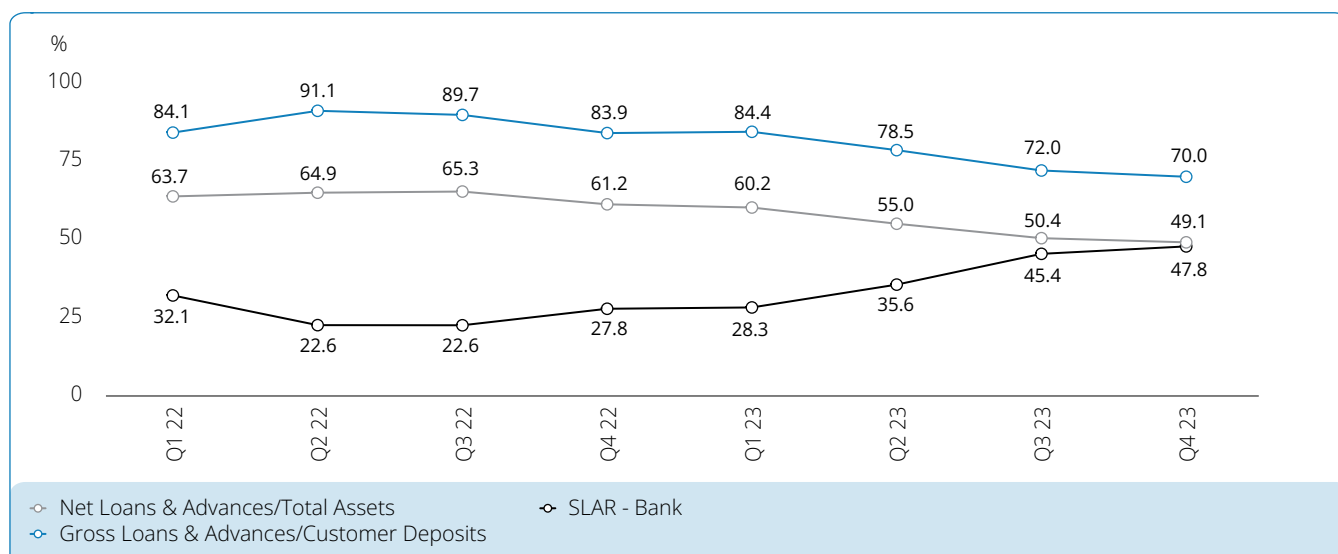
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51.3.1.3 Net Stable Funding Ratio (NSFR)

This ratio measures the Bank's availability of stable funds against the required funds. NSFR creates an additional incentive for the banks to fund their activities with more stable sources of funding on an ongoing basis, over a longer time horizon.

As at 31st December	2023	2022
	%	%
Net Stable Funding Ratio (NSFR)	184.20	157.10

51.3.1.4 Liquidity Ratios under Stock Approach



51.3.2 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The tables below summarise the maturity profile of the undiscounted cash flows of the Bank/Group's financial assets and financial liabilities as at 31st December 2023 and 31st December 2022. Although the cash outflows have been considered based on the earliest date of repayment, it is believed that most of the customers would not expect the repayments on the earliest possible date. Therefore, the behavioural maturity profile would be different to the contractual maturities shown in the below tables.

(a) Bank - as at 31st December 2023

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	79,272,087	-	-	-	-	79,272,087
Balances with Central Bank of Sri Lanka	9,248,816	3,655,557	736,644	585,848	236,989	14,463,854
Placements with banks	33,878,556	-	-	-	-	33,878,556
Reverse repurchase agreements	-	-	-	-	-	-
Derivative financial instruments	532,945	54,632	-	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	-	-	4,744,188
Financial assets at amortised cost						
- loans & advances	253,986,051	224,421,525	174,388,864	102,431,130	163,202,657	918,430,227
- debt & other instruments	70,670,879	162,048,398	116,010,925	51,526,488	42,251,122	442,507,812
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	5,872,684	216,022,295
Other assets	15,503,252	1,605,509	804,423	1,015,216	8,850,225	27,778,625
Total Financial Assets	522,797,437	446,247,933	374,654,159	173,572,015	220,413,677	1,737,685,221
Financial Liabilities						
Due to banks	8,159,696	3,656,533	-	-	-	11,816,229
Derivative financial instruments	1,048,270	450,507	-	-	-	1,498,777
Securities sold under repurchase agreements	33,657,029	1,357,075	-	-	-	35,014,104
Financial liabilities at amortised cost						
- due to depositors	802,633,885	366,565,294	62,920,613	68,285,565	18,529,980	1,318,935,337
- due to other borrowers	168,063	1,726,118	2,603,255	2,008,264	2,508,654	9,014,354
- due to debt securities holders	10,773,122	540,000	6,680,244	22,680,244	-	40,673,610
Dividend payable	212,571	-	-	-	-	212,571
Other liabilities	30,274,772	3,237,135	947,473	1,094,969	390,586	35,944,935
Total Financial Liabilities	886,927,408	377,532,662	73,151,585	94,069,042	21,429,220	1,453,109,917
Total Net Financial Assets/(Liabilities)	(364,129,971)	68,715,271	301,502,574	79,502,973	198,984,457	284,575,304

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

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(b) Bank - as at 31st December 2022

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	79,179,816	-	-	-	-	79,179,816
Balances with Central Bank of Sri Lanka	16,780,964	11,778,401	1,630,017	767,031	622,772	31,579,185
Placements with banks	10,971,710	-	-	-	-	10,971,710
Reverse repurchase agreements	10,173,942	-	-	-	-	10,173,942
Derivative financial instruments	44,027	571	-	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,641,277	-	-	-	-	4,641,277
Financial assets at amortised cost						
- loans & advances	302,962,961	222,383,406	235,764,492	132,877,462	167,803,111	1,061,791,432
- debt & other instruments	33,139,671	99,622,560	127,611,836	52,578,242	26,693,748	339,646,057
Financial assets - fair value through other comprehensive income	3,504,812	1,976,188	19,927,894	-	7,364,036	32,772,930
Other assets	10,376,832	10,781,025	-	-	17,346	21,175,203
Total Financial Assets	471,776,012	346,542,151	384,934,239	186,222,735	202,501,013	1,591,976,150
Financial Liabilities						
Due to banks	7,004,426	4,535,672	-	-	-	11,540,098
Derivative financial instruments	611,603	837,790	-	-	-	1,449,393
Securities sold under repurchase agreements	826,665	1,574,661	-	-	-	2,401,326
Financial liabilities at amortised cost						
- due to depositors	585,180,259	466,079,617	56,779,032	35,798,624	19,154,298	1,162,991,830
- due to other borrowers	177,180	3,934,803	2,890,640	1,515,128	2,661,251	11,179,002
- due to debt securities holders	8,941,750	3,998,265	9,053,000	1,080,000	6,540,000	29,613,015
Dividend payable	187,141	-	-	-	-	187,141
Other liabilities	20,746,179	2,229,921	1,412,350	792,337	1,556,787	26,737,574
Total Financial Liabilities	623,675,203	483,190,729	70,135,022	39,186,089	29,912,336	1,246,099,379
Total Net Financial Assets/(Liabilities)	(151,899,191)	(136,648,578)	314,799,217	147,036,646	172,588,677	345,876,771

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled during the year 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 80.7 Mn where the capital repayment falling after 31st December 2022, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

(c) Group - as at 31st December 2023

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	79,530,247	-	-	-	-	79,530,247
Balances with Central Bank of Sri Lanka	9,248,816	3,655,557	736,644	585,848	236,989	14,463,854
Placements with banks	33,878,556	-	-	-	-	33,878,556
Reverse repurchase agreements	150,400	-	-	-	-	150,400
Derivative financial instruments	532,945	54,632	-	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	-	-	4,841,302
Financial assets at amortised cost						
- loans & advances	267,226,977	237,012,344	190,224,211	105,819,930	161,166,167	961,449,629
- debt & other instruments	75,056,139	163,646,398	116,010,925	51,526,488	42,251,122	448,491,072
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	5,872,740	216,022,351
Other assets	15,653,494	3,129,654	813,697	1,015,877	8,850,225	29,462,947
Total Financial Assets	541,079,539	461,960,897	390,498,780	176,961,476	218,377,243	1,788,877,935
Financial Liabilities						
Due to banks	13,225,898	5,555,621	1,134,229	222,354	-	20,138,102
Derivative financial instruments	1,048,270	450,507	-	-	-	1,498,777
Securities sold under repurchase agreements	33,406,844	1,357,075	-	-	-	34,763,919
Financial liabilities at amortised cost						
- due to depositors	807,274,619	382,415,700	65,206,134	71,302,356	18,529,980	1,344,728,789
- due to other borrowers	168,063	1,726,118	2,603,255	2,008,264	2,508,654	9,014,354
- due to debt securities holders	10,931,413	2,735,399	8,452,381	22,680,244	-	44,799,437
Dividend payable	212,571	-	-	-	-	212,571
Other liabilities	30,227,786	3,260,127	1,010,385	1,138,517	444,409	36,081,224
Total Financial Liabilities	896,495,464	397,500,547	78,406,384	97,351,735	21,483,043	1,491,237,173
Total Net Financial Assets/(Liabilities)	(355,415,925)	64,460,350	312,092,396	79,609,741	196,894,200	297,640,762

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

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(d) Group - as at 31st December 2022

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	79,361,861	-	-	-	-	79,361,861
Balances with Central Bank of Sri Lanka	16,780,964	11,778,401	1,630,017	767,031	622,772	31,579,185
Placements with banks	10,971,710	-	-	-	-	10,971,710
Reverse repurchase agreements	10,400,942	-	-	-	-	10,400,942
Derivative financial instruments	44,027	571	-	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,822,395	-	-	-	-	4,822,395
Financial assets at amortised cost						
- loans & advances	317,147,480	232,037,901	249,163,937	135,817,613	164,372,308	1,098,539,239
- debt & other instruments	35,989,671	102,586,160	127,611,836	52,578,242	26,693,748	345,459,657
Financial assets - fair value through other comprehensive income	3,504,812	1,976,188	19,927,894	-	7,364,092	32,772,986
Other assets	10,427,001	12,026,923	11,601	-	17,346	22,482,871
Total Financial Assets	489,450,863	360,406,144	398,345,285	189,162,886	199,070,266	1,636,435,444
Financial Liabilities						
Due to banks	10,744,808	4,568,040	1,143,638	104,583	-	16,561,069
Derivative financial instruments	611,603	837,790	-	-	-	1,449,393
Securities sold under repurchase agreements	826,665	1,574,661	-	-	-	2,401,326
Financial liabilities at amortised cost						
- due to depositors	587,606,163	481,802,496	59,046,066	39,524,425	19,157,216	1,187,136,366
- due to other borrowers	177,180	3,934,803	2,890,640	1,515,128	2,661,251	11,179,002
- due to debt securities holders	9,272,043	8,233,550	11,638,042	2,710,237	6,540,000	38,393,872
Dividend payable	187,141	-	-	-	-	187,141
Other liabilities	21,179,181	2,306,963	1,549,882	936,248	1,726,088	27,698,362
Total Financial Liabilities	630,604,784	503,258,303	76,268,268	44,790,621	30,084,555	1,285,006,531
Total Net Financial Assets/(Liabilities)	(141,153,921)	(142,852,159)	322,077,017	144,372,265	168,985,711	351,428,913

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled during the year 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 80.7 Mn where the capital repayment falling after 31st December 2022, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

51.3.3 Remaining Contractual Maturities of Commitments and Contingencies

The tables below illustrate the remaining maturity of the commitments and contingencies based on the contractual expiry dates. However, all undrawn direct and indirect commitments are classified as "On Demand" based on the earliest date those can be drawn down by the customers.

(a) Bank - as at 31st December 2023

	On Demand Rs 000	Less than 3 Months Rs 000	3 - 12 Months Rs 000	1 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	155,548,101	-	-	-	-	155,548,101
Undrawn - indirect credit facilities	68,903,367	-	-	-	-	68,903,367
Acceptances	185,040	8,961,458	1,522,448	-	-	10,668,946
Documentary credit	1,176,242	22,268,281	4,314,764	582,954	-	28,342,241
Guarantees	3,138,384	12,204,889	18,097,582	2,042,520	8,069	35,491,444
	228,951,134	43,434,628	23,934,794	2,625,474	8,069	298,954,099
Other commitments & contingencies						
Capital commitments	933,404	-	-	-	-	933,404
Operating lease commitments	-	36,875	47,575	-	-	84,450
Forward & SWAP contracts	-	126,705,016	57,891,594	-	-	184,596,610
	933,404	126,741,891	57,939,169	-	-	185,614,464
Total gross commitments & contingencies	229,884,538	170,176,519	81,873,963	2,625,474	8,069	484,568,563
Impairment for expected credit losses - credit related commitments & contingencies	(2,770,357)	(176,174)	(259,560)	(29,291)	(116)	(3,235,498)
Commitments & contingencies - net of impairment for expected credit losses	227,114,181	170,000,345	81,614,403	2,596,183	7,953	481,333,065

(b) Bank - as at 31st December 2022

	On Demand Rs 000	Less than 3 Months Rs 000	3 - 12 Months Rs 000	1 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	150,121,717	-	-	-	-	150,121,717
Undrawn - indirect credit facilities	75,091,183	-	-	-	-	75,091,183
Acceptances	179,224	8,138,598	4,193,422	-	-	12,511,244
Documentary credit	940,503	11,981,705	7,653,891	415,405	-	20,991,504
Guarantees	5,329,707	14,501,840	22,304,124	1,687,153	1,393	43,824,217
	231,662,334	34,622,143	34,151,437	2,102,558	1,393	302,539,865
Other commitments & contingencies						
Capital commitments	960,985	-	-	-	-	960,985
Operating lease commitments	-	27,940	36,465	-	-	64,405
Forward & SWAP contracts	-	11,387,848	3,529,128	-	-	14,916,976
	960,985	11,415,788	3,565,593	-	-	15,942,366
Total gross commitments & contingencies	232,623,319	46,037,931	37,717,030	2,102,558	1,393	318,482,231
Impairment for expected credit losses - credit related commitments & contingencies	(2,769,394)	(132,286)	(202,116)	(15,255)	(13)	(3,119,064)
Commitments & contingencies - net of impairment for expected credit losses	229,853,925	45,905,645	37,514,914	2,087,303	1,380	315,363,167

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(c) Group - as at 31st December 2023

	On Demand Rs 000	Less than 3 Months Rs 000	3 - 12 Months Rs 000	1 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	153,834,358	-	-	-	-	153,834,358
Undrawn - indirect credit facilities	68,903,367	-	-	-	-	68,903,367
Acceptances	185,040	8,961,458	1,522,448	-	-	10,668,946
Documentary credit	1,176,242	22,268,281	4,314,764	582,954	-	28,342,241
Guarantees	3,138,384	12,206,389	18,099,082	2,042,520	8,069	35,494,444
	227,237,391	43,436,128	23,936,294	2,625,474	8,069	297,243,356
Other commitments & contingencies						
Capital commitments	933,404	44,097	112,875	-	-	1,090,376
Operating lease commitments	-	36,875	47,575	-	-	84,450
Forward & SWAP contracts	-	126,705,016	57,891,594	-	-	184,596,610
	933,404	126,785,988	58,052,044	-	-	185,771,436
Total gross commitments & contingencies	228,170,795	170,222,116	81,988,338	2,625,474	8,069	483,014,792
Impairment for expected credit losses - credit related commitments & contingencies	(2,749,978)	(180,568)	(259,560)	(29,291)	(116)	(3,219,513)
Commitments & contingencies - net of impairment for expected credit losses	225,420,817	170,041,548	81,728,778	2,596,183	7,953	479,795,279

(d) Group - as at 31st December 2022

	On Demand Rs 000	Less than 3 Months Rs 000	3 - 12 Months Rs 000	1 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	148,968,897	-	-	-	-	148,968,897
Undrawn - indirect credit facilities	75,091,183	-	-	-	-	75,091,183
Acceptances	179,224	8,138,598	4,193,422	-	-	12,511,244
Documentary credit	940,503	11,981,705	7,653,891	415,405	-	20,991,504
Guarantees	5,329,708	14,507,540	22,304,124	1,687,153	1,393	43,829,918
	230,509,515	34,627,843	34,151,437	2,102,558	1,393	301,392,746
Other commitments & contingencies						
Capital commitments	960,985	70,153	199,845	-	-	1,230,983
Operating lease commitments	-	27,940	36,465	-	-	64,405
Forward & SWAP contracts	-	11,387,848	3,529,128	-	-	14,916,976
	960,985	11,485,941	3,765,438	-	-	16,212,364
Total gross commitments & contingencies	231,470,500	46,113,784	37,916,875	2,102,558	1,393	317,605,110
Impairment for expected credit losses - credit related commitments & contingencies	(2,760,813)	(135,103)	(202,116)	(15,255)	(13)	(3,113,300)
Commitments & contingencies - net of impairment for expected credit losses	228,709,687	45,978,681	37,714,759	2,087,303	1,380	314,491,810

51.3.4 Financial Assets Available to Support Future Funding

As at 31st December	2023					2022				
	Encumbered		Unencumbered		Total	Encumbered		Unencumbered		Total
	Pledged as collateral	Other	Available as collateral	Other		Pledged as collateral	Other	Available as collateral	Other	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Bank										
Financial Assets										
Cash & cash equivalents	-	-	79,272,087	-	79,272,087	-	-	79,162,545	-	79,162,545
Balances with CBSL	-	14,463,854	-	-	14,463,854	-	31,579,185	-	-	31,579,185
Placements with banks	7,066,457	-	26,674,865	-	33,741,322	-	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	-	-	-	-	-	-	10,072,569	-	10,072,569
Derivative financial instruments	-	-	-	587,577	587,577	-	-	-	44,598	44,598
Financial assets - FVPL	-	-	4,744,188	-	4,744,188	-	-	4,641,277	-	4,641,277
Financial assets at amortised cost										
- loans & advances	-	-	756,435,559	-	756,435,559	-	-	811,157,649	-	811,157,649
- debt & other instruments	31,896,491	-	336,203,511	-	368,100,002	2,783,782	-	275,992,014	-	278,775,796
Financial assets - FVOCI	-	-	216,022,295	-	216,022,295	-	-	32,772,930	-	32,772,930
Other assets	-	-	-	27,778,625	27,778,625	-	-	-	21,174,017	21,174,017
Total Financial Assets	38,962,948	14,463,854	1,419,352,505	28,366,202	1,501,145,509	2,783,782	31,579,185	1,224,726,200	21,218,615	1,280,307,782
Group										
Financial Assets										
Cash & cash equivalents	-	-	79,530,247	-	79,530,247	-	-	79,344,587	-	79,344,587
Balances with CBSL	-	14,463,854	-	-	14,463,854	-	31,579,185	-	-	31,579,185
Placements with banks	7,066,457	-	26,674,865	-	33,741,322	-	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	-	150,400	-	150,400	-	-	10,299,569	-	10,299,569
Derivative financial instruments	-	-	-	587,577	587,577	-	-	-	44,598	44,598
Financial assets - FVPL	-	-	4,841,302	-	4,841,302	-	-	4,822,395	-	4,822,395
Financial assets at amortised cost										
- loans & advances	-	-	787,355,719	-	787,355,719	-	-	839,976,738	-	839,976,738
- debt & other instruments	31,630,713	-	342,269,129	-	373,899,842	2,783,782	-	281,453,880	-	284,237,662
Financial assets - FVOCI	-	-	216,022,351	-	216,022,351	-	-	32,772,986	-	32,772,986
Other assets	-	-	-	29,462,947	29,462,947	-	-	-	22,481,685	22,481,685
Total Financial Assets	38,697,170	14,463,854	1,456,844,013	30,050,524	1,540,055,561	2,783,782	31,579,185	1,259,597,371	22,526,283	1,316,486,621

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51.4 Market Risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Bank has a Board-approved treasury policy. The treasury middle office monitors the Bank's compliance with the above policy and ensures that the Bank's market risk limits are in line with the level of risk acceptable to the Board. The Bank employs a range of tools to monitor and limit market risk exposure which are discussed below.

51.4.1 Classification of Financial Assets and Financial Liabilities Subject to Market Risk

The following tables separately identify the Bank/Group's financial assets and liabilities which are subject to market risk from the rest of the financial assets and financial liabilities.

Bank - as at 31st December	2023			2022		
	Market risk measurement		Carrying amount Rs 000	Market risk measurement		Carrying amount Rs 000
	Subject to market risk Rs 000	Not subject to market risk Rs 000		Subject to market risk Rs 000	Not subject to market risk Rs 000	
Financial Assets						
Cash & cash equivalents	-	79,272,087	79,272,087	-	79,162,545	79,162,545
Balances with Central Bank of Sri Lanka	-	14,463,854	14,463,854	-	31,579,185	31,579,185
Placements with banks	-	33,741,322	33,741,322	-	10,927,216	10,927,216
Reverse repurchase agreements	-	-	-	-	10,072,569	10,072,569
Derivative financial instruments	587,577	-	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	4,744,188	4,641,277	-	4,641,277
Financial assets at amortised cost						
- loans & advances	-	756,435,559	756,435,559	-	811,157,649	811,157,649
- debt & other instruments	-	368,100,002	368,100,002	-	278,775,796	278,775,796
Financial assets - fair value through other comprehensive income	216,022,295	-	216,022,295	32,772,930	-	32,772,930
Other assets	-	27,778,625	27,778,625	-	21,174,017	21,174,017
Total Financial Assets	221,354,060	1,279,791,449	1,501,145,509	37,458,805	1,242,848,977	1,280,307,782
Financial Liabilities						
Due to banks	-	11,621,838	11,621,838	-	11,297,181	11,297,181
Derivatives financial instruments	1,498,777	-	1,498,777	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	34,688,209	34,688,209	-	2,283,291	2,283,291
Financial liabilities at amortised cost						
- due to depositors	-	1,253,642,547	1,253,642,547	-	1,096,099,874	1,096,099,874
- due to other borrowers	-	6,637,129	6,637,129	-	9,173,923	9,173,923
- due to debt securities holders	-	26,709,893	26,709,893	-	25,259,536	25,259,536
Dividend payable	-	212,571	212,571	-	187,141	187,141
Other liabilities	-	32,953,593	32,953,593	-	24,725,468	24,725,468
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557	1,449,393	1,169,026,414	1,170,475,807

Group - as at 31st December

	2023			2022		
	Market risk measurement		Carrying amount	Market risk measurement		Carrying amount
	Subject to market risk	Not subject to market risk		Subject to market risk	Not subject to market risk	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Cash & cash equivalents	-	79,530,247	79,530,247	-	79,344,587	79,344,587
Balances with Central Bank of Sri Lanka	-	14,463,854	14,463,854	-	31,579,185	31,579,185
Placements with banks	-	33,741,322	33,741,322	-	10,927,216	10,927,216
Reverse repurchase agreements	-	150,400	150,400	-	10,299,569	10,299,569
Derivative financial instruments	587,577	-	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	4,841,302	4,822,395	-	4,822,395
Financial assets at amortised cost						
- loans & advances	-	787,355,719	787,355,719	-	839,976,738	839,976,738
- debt & other instruments	-	373,899,842	373,899,842	-	284,237,662	284,237,662
Financial assets - fair value through other comprehensive income	216,022,351	-	216,022,351	32,772,986	-	32,772,986
Other assets	-	29,462,947	29,462,947	-	22,481,685	22,481,685
Total Financial Assets	221,451,230	1,318,604,331	1,540,055,561	37,639,979	1,278,846,642	1,316,486,621
Financial Liabilities						
Due to banks	-	17,344,766	17,344,766	-	15,255,184	15,255,184
Derivatives financial instruments	1,498,777	-	1,498,777	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	34,438,086	34,438,086	-	2,283,291	2,283,291
Financial liabilities at amortised cost						
- due to depositors	-	1,276,551,041	1,276,551,041	-	1,115,155,879	1,115,155,879
- due to other borrowers	-	6,637,129	6,637,129	-	9,173,923	9,173,923
- due to debt securities holders	-	30,386,809	30,386,809	-	32,872,261	32,872,261
Dividend payable	-	212,571	212,571	-	187,141	187,141
Other liabilities	-	33,316,061	33,316,061	-	25,350,978	25,350,978
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240	1,449,393	1,200,278,657	1,201,728,050

The interest rate risk is the risk of loss arising from fluctuations in the future cash flows or fair values of financial instruments due to changes in market interest rates. The Bank manages the interest rate risk against interest rate gap limits, which is supplemented by monitoring the sensitivity of the Bank's financial assets and liabilities to various rate scenarios.

Interest Rate Sensitivity Analysis

The tables below analyse the Bank/Group's interest rate risk exposure on financial assets and liabilities based on the interest rate repricing gaps. The financial assets and liabilities are included at their carrying amount and categorised by the earlier of the contractual repricing date or the maturity date.

(a) Bank - as at 31st December 2023

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	42,855,478	-	-	-	-	36,416,609	79,272,087
Balances with Central Bank of Sri Lanka	-	-	-	-	-	14,463,854	14,463,854
Placements with banks	33,741,322	-	-	-	-	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	587,577	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	-	-	-	4,744,188
Financial assets at amortised cost							
- loans & advances	417,027,434	237,444,117	14,472,085	11,254,427	76,176,966	40,530	756,435,559
- debt & other instruments	72,040,185	141,304,061	83,486,695	37,878,528	33,390,533	-	368,100,002
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	1,895,615	3,977,069	216,022,295
Other assets	-	-	-	-	-	27,778,625	27,778,625
Total Financial Assets	625,369,270	433,230,490	180,672,083	67,146,288	111,463,114	83,264,264	1,501,145,509
Financial Liabilities							
Due to banks	8,006,197	3,520,838	-	-	-	94,803	11,621,838
Derivative financial instruments	-	-	-	-	-	1,498,777	1,498,777
Securities sold under repurchase agreements	33,500,533	1,187,676	-	-	-	-	34,688,209
Financial liabilities at amortised cost							
- due to depositors	763,973,059	343,860,074	45,466,068	30,800,540	-	69,542,806	1,253,642,547
- due to other borrowers	309,243	1,267,550	2,036,697	1,135,261	1,888,378	-	6,637,129
- due to debt securities holders	10,329,318	390,575	-	15,990,000	-	-	26,709,893
Dividend payable	-	-	-	-	-	212,571	212,571
Other liabilities	-	-	-	-	-	32,953,593	32,953,593
Total Financial Liabilities	816,118,350	350,226,713	47,502,765	47,925,801	1,888,378	104,302,550	1,367,964,557
Interest Rate Sensitivity Gap	(190,749,080)	83,003,777	133,169,318	19,220,487	109,574,736	(21,038,286)	133,180,952

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

(b) Bank - as at 31st December 2022

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	1,907,621	-	-	-	-	77,254,924	79,162,545
Balances with Central Bank of Sri Lanka	-	-	-	-	-	31,579,185	31,579,185
Placements with banks	10,927,216	-	-	-	-	-	10,927,216
Reverse repurchase agreements	10,072,569	-	-	-	-	-	10,072,569
Derivative financial instruments	-	-	-	-	-	44,598	44,598
Financial assets recognised through profit or loss - measured at fair value	4,641,277	-	-	-	-	-	4,641,277
Financial assets at amortised cost							
- loans & advances	448,861,586	201,330,528	43,724,719	32,383,706	84,780,130	76,980	811,157,649
- debt & other instruments	38,757,913	81,935,497	93,680,312	43,596,626	20,805,448	-	278,775,796
Financial assets - fair value through other comprehensive income	3,504,812	1,976,188	19,927,894	-	2,632,049	4,731,987	32,772,930
Other assets	-	-	-	-	-	21,174,017	21,174,017
Total Financial Assets	518,672,994	285,242,213	157,332,925	75,980,332	108,217,627	134,861,691	1,280,307,782
Financial Liabilities							
Due to banks	7,152,327	3,907,118	-	-	-	237,736	11,297,181
Derivative financial instruments	-	-	-	-	-	1,449,393	1,449,393
Securities sold under repurchase agreements	821,530	1,461,761	-	-	-	-	2,283,291
Financial liabilities at amortised cost							
- due to depositors	540,908,496	440,224,667	36,567,341	10,519,979	-	67,879,391	1,096,099,874
- due to other borrowers	1,047,236	2,424,579	1,627,969	903,925	3,170,214	-	9,173,923
- due to debt securities holders	8,582,941	3,676,595	7,000,000	-	6,000,000	-	25,259,536
Dividend payable	-	-	-	-	-	187,141	187,141
Other liabilities	-	-	-	-	-	24,725,468	24,725,468
Total Financial Liabilities	558,512,530	451,694,720	45,195,310	11,423,904	9,170,214	94,479,129	1,170,475,807
Interest Rate Sensitivity Gap	(39,839,536)	(166,452,507)	112,137,615	64,556,428	99,047,413	40,382,562	109,831,975

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled during the year 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 80.7 Mn where the capital repayment falling after 31st December 2022, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

(c) Group - as at 31st December 2023

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	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	42,855,478	-	-	-	-	36,674,769	79,530,247
Balances with Central Bank of Sri Lanka	-	-	-	-	-	14,463,854	14,463,854
Placements with banks	33,741,322	-	-	-	-	-	33,741,322
Reverse repurchase agreements	150,400	-	-	-	-	-	150,400
Derivative financial instruments	-	-	-	-	-	587,577	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	-	-	97,114	4,841,302
Financial assets at amortised cost							
- loans & advances	423,604,091	247,182,893	26,105,307	14,301,894	76,121,004	40,530	787,355,719
- debt & other instruments	76,327,950	142,816,136	83,486,695	37,878,528	33,390,533	-	373,899,842
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	1,895,615	3,977,125	216,022,351
Other assets	-	-	-	-	-	29,462,947	29,462,947
Total Financial Assets	636,384,092	444,461,341	192,305,305	70,193,755	111,407,152	85,303,916	1,540,055,561
Financial Liabilities							
Due to banks	13,462,463	3,595,839	191,661	-	-	94,803	17,344,766
Derivative financial instruments	-	-	-	-	-	1,498,777	1,498,777
Securities sold under repurchase agreements	-	-	-	-	-	-	-
Financial liabilities at amortised cost	33,250,410	1,187,616	-	-	-	-	34,438,086
- due to depositors	768,951,866	358,233,882	47,288,542	32,570,870	3,969	69,501,912	1,276,551,041
- due to other borrowers	309,243	1,267,550	2,036,697	1,135,261	1,888,378	-	6,637,129
- due to debt securities holders	10,463,743	2,433,066	1,500,000	15,990,000	-	-	30,386,809
Dividend payable	-	-	-	-	-	212,571	212,571
Other liabilities	-	-	-	-	-	33,316,061	33,316,061
Total Financial Liabilities	826,437,725	366,718,013	51,016,900	49,696,131	1,892,347	104,624,124	1,400,385,240
Interest Rate Sensitivity Gap	(190,053,633)	77,743,328	141,288,405	20,497,624	109,514,805	(19,320,208)	139,670,321

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

(d) Group - as at 31st December 2022

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	1,907,621	-	-	-	-	77,436,966	79,344,587
Balances with Central Bank of Sri Lanka	-	-	-	-	-	31,579,185	31,579,185
Placements with banks	10,927,216	-	-	-	-	-	10,927,216
Reverse repurchase agreements	10,299,569	-	-	-	-	-	10,299,569
Derivative financial instruments	-	-	-	-	-	44,598	44,598
Financial assets recognised through profit or loss - measured at fair value	4,822,395	-	-	-	-	-	4,822,395
Financial assets at amortised cost							
- loans & advances	455,550,459	209,628,623	54,337,353	35,437,544	84,619,915	402,844	839,976,738
- debt & other instruments	41,525,642	84,629,634	93,680,312	43,596,626	20,805,448	-	284,237,662
Financial assets - fair value through other comprehensive income	3,504,812	1,976,188	19,927,894	-	2,632,049	4,732,043	32,772,986
Other assets	-	-	-	-	-	22,481,685	22,481,685
Total Financial Assets	528,537,714	296,234,445	167,945,559	79,034,170	108,057,412	136,677,321	1,316,486,621
Financial Liabilities							
Due to banks	10,743,666	3,982,119	200,004	91,659	-	237,736	15,255,184
Derivative financial instruments	-	-	-	-	-	1,449,393	1,449,393
Securities sold under repurchase agreements	821,530	1,461,761	-	-	-	-	2,283,291
Financial liabilities at amortised cost							
- due to depositors	543,043,314	453,496,994	38,267,618	12,490,779	2,918	67,854,256	1,115,155,879
- due to other borrowers	1,047,236	2,424,579	1,627,969	903,925	3,170,214	-	9,173,923
- due to debt securities holders	8,847,493	7,535,517	8,989,251	1,500,000	6,000,000	-	32,872,261
Dividend payable	-	-	-	-	-	187,141	187,141
Other liabilities	-	-	-	-	-	25,350,978	25,350,978
Total Financial Liabilities	564,503,239	468,900,970	49,084,842	14,986,363	9,173,132	95,079,504	1,201,728,050
Interest Rate Sensitivity Gap	(35,965,525)	(172,666,525)	118,860,717	64,047,807	98,884,280	41,597,817	114,758,571

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled during the year 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 80.7 Mn where the capital repayment falling after 31st December 2022, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

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51.4.3 Interest Rate Benchmark Reform

As at 31st December 2022, the Bank had exposures indexed to USD LIBOR with one month, three months and six months settings. These exposures were converted to SOFR (Secured Overnight Financing Rate) during the year ended 31st December 2023. The carrying value of the LIBOR indexed financial assets and liabilities did not change during the conversion process due to the application of the practical expedient as given in the Interest Rate Benchmark Reform – Phase 2 amendments.

When the basis for determining the contractual cash flows of a financial asset or financial liability measured at amortised cost changed as a result of interest rate benchmark reform (IBOR reform), the Bank updated the effective interest rate of the financial asset or financial liability similar to a floating rate financial instrument and did not derecognise or adjust the carrying amount (the practical expedient). The practical expedient was applied only when the modification was required as a direct consequence of the reform, and the new basis for determining the contractual cash flows was economically equivalent to the previous basis.

51.4.4 Currency Risk

Currency risk arises as a result of fluctuations in foreign exchange rates. In order to manage the currency risk, there are Board-approved limits for net open position (NOP) for each major currency. In accordance with the Bank's policy, positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

51.4.4.1 Net Open Position by Currency

The following table shows the net open position of the Bank for each of the major currencies as at 31st December 2023 and 31st December 2022.

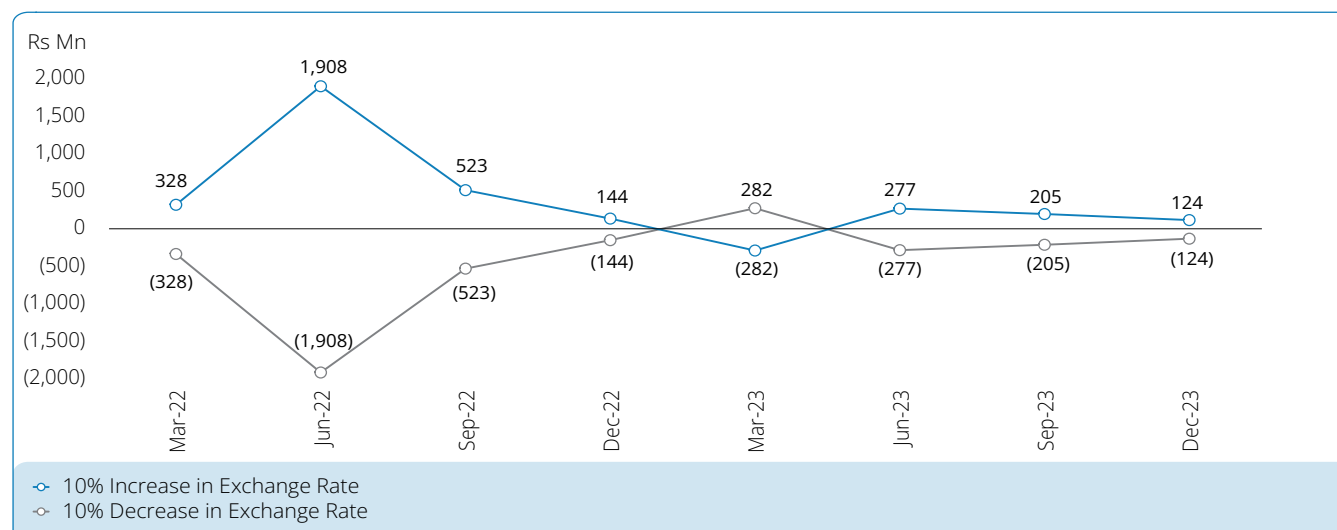
As at 31st December	2023		2022	
	Net Overall Long Rs 000	Net Overall Short Rs 000	Net Overall Long Rs 000	Net Overall Short Rs 000
Currency				
USD	403,235	-	-	563,684
GBP	37,394	-	204,286	-
EUR	46,372	-	30,121	-
JPY	-	13,745	21,776	-
AUD	39,118	-	137,762	-
CAD	14,266	-	-	10,687
CHF	25,070	-	15,596	-
SGD	17,718	-	19,454	-
AED	463,032	-	876,157	-
HKD	16,818	-	22,650	-
Sub Total	1,063,023	13,745	1,327,802	574,371
Other Currencies	181,879	-	111,639	-
Grand Total	1,244,902	13,745	1,439,441	574,371
Higher of Long or Short	1,244,902	-	1,439,441	-

51.4.4.2 Impact due to Exchange Rate Shocks

The following table indicates the gain/(loss) to the Bank, of a reasonably possible change in exchange rates, based on a constant open position as indicated in Note 51.4.4.1.

Increase/(decrease) in exchange rate	2023		2022	
	Open Position (after Rate Shock) Rs 000	Gain/(Loss) Rs 000	Open Position (after Rate Shock) Rs 000	Gain/(Loss) Rs 000
5%	1,307,147	62,245	1,511,413	71,972
10%	1,369,392	124,490	1,583,385	143,944
(5%)	1,182,657	(62,245)	1,367,469	(71,972)
(10%)	1,120,412	(124,490)	1,295,497	(143,944)

51.4.4.3 Impact on Statement of Profit or Loss due to Increase/Decrease in Exchange Rate by 10%



51.4.5 Equity Price Risk

Equity price risk arises as a result of any volatility in market prices of individual equities. The Bank conducts mark to market calculations on a monthly basis or more frequently on a need basis, to identify the impact on the financial statements due to changes in equity prices.

The table below summarises the impact of a 10% change in individual equity prices on the Statement of Profit or Loss, Other Comprehensive Income and total equity of the Bank/Group as at 31st December 2023 and 31st December 2022.

As at 31st December	2023			2022		
	Statement of Profit or Loss	Other Comprehensive Income	Total Impact to Equity	Statement of Profit or Loss	Other Comprehensive Income	Total Impact to Equity
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Bank						
10% increase	-	391,650	391,650	-	467,115	467,115
10% decrease	-	(391,650)	(391,650)	-	(467,115)	(467,115)
Group						
10% increase	9,711	391,650	401,361	18,119	467,115	485,234
10% decrease	(9,711)	(391,650)	(401,361)	(18,119)	(467,115)	(485,234)

51.5 Operational Risk

Operational risk arises due to inadequate or failed internal processes, people and systems or from external events. Operational risk events which include legal and regulatory implications could lead to financial and reputational losses to the Bank.

The operational risk management framework of the Bank has been defined under the Board-approved Operational Risk Management Policy. Operational risk is managed by establishing an appropriate internal control system that requires a mechanism for segregation of related responsibilities and through periodic verifications of the operational efficiency and effectiveness of the Bank's overall internal control system.

The Operational Risk Management Unit reports to the Chief Risk Officer who reports directly to the BIRMC. The BIRMC maintains a high-level of overall supervision over managing operational risks of the Bank.

51.6 Capital Management

The Bank's capital management objectives can be summarised as follows:

- Maintain sufficient capital to meet minimum regulatory capital requirements
- Hold sufficient capital to support the Bank's risk appetite
- Provide additional capital to business segments of the Bank to achieve the overall strategic objectives
- Provide a "cushion" or "buffer" in absorbing potential losses arising from various risks and safeguarding the depositors' funds

NOTES TO THE FINANCIAL STATEMENTS

51 RISK MANAGEMENT CONTD.

Regulatory Capital

The Bank manages its capital considering the regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for licensed commercial banks in Sri Lanka, based on the Basel framework. Accordingly the Bank needs to maintain minimum Total Tier I Capital Adequacy Ratio (including capital buffers) of 8.5% and minimum Total Capital Adequacy Ratio of 12.5% as at 31st December 2023.

Considering the extraordinary circumstances caused by the current macro-economic environment, CBSL issued the Directive No. 4 of 2022 dated 23rd May 2022, which allowed licensed banks to draw down the Capital Conservation Buffer (CCB) up to 2.5%, subject to the minimum earnings retention requirements mentioned in the said Directive. However, the Bank always maintained its Tier I and Total Capital Ratios above the 8.5% and 12.5% level respectively and therefore did not require to draw down the CCB during the years ended 31st December 2023/2022.

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Common Equity Tier I (CET I) Capital after adjustments	118,530,902	95,533,144	128,072,822	102,822,613
Common Equity Tier I (CET I) Capital	138,432,283	120,079,176	144,891,761	125,752,360
Stated capital	48,741,119	47,622,493	48,741,119	47,622,493
Statutory reserve fund	6,615,000	5,755,000	6,929,000	6,033,000
Published retained earnings/(Accumulated retained losses)	10,566,248	8,169,471	16,711,726	13,564,655
Published accumulated other comprehensive income (OCI)	5,498,223	(457,135)	5,498,223	(457,135)
General and other disclosed reserves	67,011,693	58,989,347	67,011,693	58,989,347
Total adjustments to CET I Capital	19,901,381	24,546,032	16,818,939	22,929,747
Intangible assets (net)	745,395	578,031	766,532	600,341
Deferred tax assets (net)	17,292,023	21,734,244	16,052,407	21,992,147
Defined benefit pension fund assets	-	337,259	-	337,259
Others (Investments in the capital of banking & financial institutions)	1,863,963	1,896,498	-	-
Additional Tier I (AT I) Capital after adjustments	-	-	-	-
Additional Tier I (AT I) Capital	-	-	-	-
Tier II Capital after adjustments	23,322,764	18,818,445	23,776,886	19,273,912
Tier II Capital	23,322,764	18,818,445	23,776,886	19,273,912
Qualifying Tier II capital instruments	14,250,000	8,617,903	14,250,000	8,617,903
Revaluation gains	901,539	901,539	901,539	901,539
Stage 1 & 50% of stage 2 impairment provision subject to 1.25% of credit RWA	8,171,225	9,299,003	8,625,347	9,754,470
Total adjustments to Tier II	-	-	-	-
CET I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Tier I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Capital	141,853,666	114,351,589	151,849,708	122,096,525
Total Risk Weighted Assets (RWA)	725,130,348	801,373,367	768,221,870	844,381,387
RWAs for Credit Risk	653,697,972	743,920,231	690,027,790	780,357,635
RWAs for Operational Risk	69,559,848	55,711,400	76,139,080	61,977,640
RWAs for Market Risk	1,872,528	1,741,736	2,055,000	2,046,112
CET I Capital Ratio (%)	16.35	11.92	16.67	12.18
Total Tier I Capital Ratio (%)	16.35	11.92	16.67	12.18
Total Capital Ratio (%)	19.56	14.27	19.77	14.46

Pillar III - Disclosure Requirements under Basel III

Disclosures under the Pillar III requirements mainly include the regulatory capital requirements and liquidity, risk weighted assets, discussion on meeting current and future capital requirements of banks, linkages between financial statements and regulatory exposures and information on assessment of D-SIBs. It is required to disclose the templates specified by the Central Bank of Sri Lanka as per the Basel III - minimum disclosure requirements with effect from 01st July 2017. Refer Basel III Disclosure Requirements on pages 427 to 436.

52 MATURITY ANALYSIS

Bank

As at 31st December	2023			2022		
	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000
Assets						
Cash & cash equivalents	79,272,087	-	79,272,087	79,162,545	-	79,162,545
Balances with Central Bank of Sri Lanka	12,904,373	1,559,481	14,463,854	28,559,365	3,019,820	31,579,185
Placements with banks	33,741,322	-	33,741,322	10,927,216	-	10,927,216
Reverse repurchase agreements	-	-	-	10,072,569	-	10,072,569
Derivative financial instruments	587,577	-	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	4,744,188	4,641,277	-	4,641,277
Financial assets at amortised cost						
- loans & advances	422,858,835	333,576,724	756,435,559	439,719,507	371,438,142	811,157,649
- debt & other instruments	210,382,962	157,717,040	368,100,002	115,540,227	163,235,569	278,775,796
Financial assets - fair value through other comprehensive income	109,422,976	106,599,319	216,022,295	5,481,000	27,291,930	32,772,930
Investment in subsidiaries	-	4,110,642	4,110,642	-	3,898,512	3,898,512
Property, plant & equipment	-	9,623,120	9,623,120	-	8,910,525	8,910,525
Intangible assets	-	745,395	745,395	-	578,031	578,031
Right-of-use assets	1,744,240	1,861,285	3,605,525	1,530,125	2,010,161	3,540,286
Deferred tax assets	-	17,292,023	17,292,023	-	21,734,244	21,734,244
Other assets	18,914,332	14,290,500	33,204,832	23,267,163	3,363,811	26,630,974
Total Assets	894,572,892	647,375,529	1,541,948,421	718,945,592	605,480,745	1,324,426,337
Liabilities						
Due to banks	11,621,838	-	11,621,838	11,297,181	-	11,297,181
Derivative financial instruments	1,498,777	-	1,498,777	1,449,393	-	1,449,393
Securities sold under repurchase agreements	34,688,209	-	34,688,209	2,283,291	-	2,283,291
Financial liabilities at amortised cost						
- due to depositors	1,133,641,014	120,001,533	1,253,642,547	1,002,635,429	93,464,445	1,096,099,874
- due to other borrowers	1,564,875	5,072,254	6,637,129	3,437,499	5,736,424	9,173,923
- due to debt securities holders	10,709,893	16,000,000	26,709,893	12,259,536	13,000,000	25,259,536
Retirement benefit obligation	-	3,170,247	3,170,247	-	1,845,228	1,845,228
Dividend payable	212,571	-	212,571	187,141	-	187,141
Current tax liabilities	16,220,788	-	16,220,788	18,754,155	-	18,754,155
Other liabilities	37,381,022	2,292,324	39,673,346	29,150,687	2,545,983	31,696,670
Total Liabilities	1,247,538,987	146,536,358	1,394,075,345	1,081,454,312	116,592,080	1,198,046,392
Maturity Gap	(352,966,095)	500,839,171	147,873,076	(362,508,720)	488,888,665	126,379,945
Cumulative Gap	(352,966,095)	147,873,076		(362,508,720)	126,379,945	

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 and 31st December 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn (2022: USD 80.7 Mn) where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

NOTES TO THE FINANCIAL STATEMENTS

52 MATURITY ANALYSIS CONTD.

Group

As at 31st December	2023			2022		
	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000
Assets						
Cash & cash equivalents	79,530,247	-	79,530,247	79,344,587	-	79,344,587
Balances with Central Bank of Sri Lanka	12,904,373	1,559,481	14,463,854	28,559,365	3,019,820	31,579,185
Placements with banks	33,741,322	-	33,741,322	10,927,216	-	10,927,216
Reverse repurchase agreements	150,400	-	150,400	10,299,569	-	10,299,569
Derivative financial instruments	587,577	-	587,577	44,598	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	4,841,302	4,822,395	-	4,822,395
Financial assets at amortised cost						
- loans & advances	441,265,924	346,089,795	787,355,719	457,045,305	382,931,433	839,976,738
- debt & other instruments	216,182,802	157,717,040	373,899,842	121,002,093	163,235,569	284,237,662
Financial assets - fair value through other comprehensive income	109,422,976	106,599,375	216,022,351	5,481,000	27,291,986	32,772,986
Property, plant & equipment	-	19,960,610	19,960,610	-	19,067,412	19,067,412
Intangible assets	-	766,532	766,532	-	600,341	600,341
Right-of-use assets	1,812,391	1,340,275	3,152,666	1,587,488	1,678,282	3,265,770
Deferred tax assets	-	17,517,519	17,517,519	-	21,992,147	21,992,147
Other assets	21,033,565	14,352,482	35,386,047	24,966,423	3,422,533	28,388,956
Total Assets	921,472,879	665,903,109	1,587,375,988	744,080,039	623,239,523	1,367,319,562
Liabilities						
Due to banks	16,189,255	1,155,511	17,344,766	15,255,184	-	15,255,184
Derivative financial instruments	1,498,777	-	1,498,777	1,449,393	-	1,449,393
Securities sold under repurchase agreements	34,438,086	-	34,438,086	2,283,291	-	2,283,291
Financial liabilities at amortised cost						
- due to depositors	1,152,952,736	123,598,305	1,276,551,041	1,018,017,441	97,138,438	1,115,155,879
- due to other borrowers	1,564,875	5,072,254	6,637,129	3,437,499	5,736,424	9,173,923
- due to debt securities holders	12,886,809	17,500,000	30,386,809	16,383,011	16,489,250	32,872,261
Retirement benefit obligation	-	3,355,039	3,355,039	-	1,998,238	1,998,238
Dividend payable	212,571	-	212,571	187,141	-	187,141
Current tax liabilities	16,688,675	-	16,688,675	19,186,239	-	19,186,239
Deferred tax liabilities	-	1,465,112	1,465,112	-	1,465,662	1,465,662
Other liabilities	38,414,236	2,553,255	40,967,491	29,941,090	2,800,194	32,741,284
Total Liabilities	1,274,846,020	154,699,476	1,429,545,496	1,106,140,289	125,628,206	1,231,768,495
Maturity Gap	(353,373,141)	511,203,633	157,830,492	(362,060,250)	497,611,317	135,551,067
Cumulative Gap	(353,373,141)	157,830,492		(362,060,250)	135,551,067	

Sri Lanka International Sovereign Bonds (SLISBs) that were matured but unsettled as at 31st December 2023 and 31st December 2022 have been classified as "Over 5 years", pending finalisation of the debt restructuring arrangement with the government. However, SLISBs amounting USD 63.7 Mn (2022: USD 80.7 Mn) where the capital repayment falling after 31st December 2023, have been classified to respective maturity buckets, based on the contractual due date of the capital repayment.

53 REPURCHASE AND REVERSE REPURCHASE TRANSACTIONS IN SCRIPLESS TREASURY BONDS AND SCRIPLESS TREASURY BILLS

Directive No. 1 of 2019, issued by the Central Bank of Sri Lanka, requires Licensed Banks/Primary Dealers to disclose following additional information on repurchase and reverse repurchase transactions in scripless treasury bonds and bills.

53.1 Carrying Value of Securities Allocated for Repurchase Transactions

As at 31st December	Note	2023		2022	
		Amortised Cost Rs 000	Fair Value Rs 000	Amortised Cost Rs 000	Fair Value Rs 000
Financial assets at amortised cost - debt & other instruments	26.6				
Bank		31,896,491	34,096,244	2,783,782	2,708,043
Group		31,630,713	33,829,894	2,783,782	2,708,043

53.2 Market Value of Securities Received for Reverse Repurchase Transactions

Securities purchased under agreements to resell at a specified future date are not recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, within "reverse repurchase agreements".

As at 31st December	2023		2022	
	Amortised Cost Rs 000	Fair Value of Securities Received Rs 000	Amortised Cost Rs 000	Fair Value of Securities Received Rs 000
Reverse repurchase agreements				
Bank	-	-	10,072,569	11,767,952
Group	150,400	200,129	10,299,569	12,023,369

53.3 Bank's Policy on Haircuts for Repurchase and Reverse Repurchase Transactions

According to the Bank's internal policies, minimum haircut applicable for each maturity bucket as at 31st December 2023 is given below. The haircuts applied meet the minimum haircut requirements imposed by the Directive No. 1 of 2019.

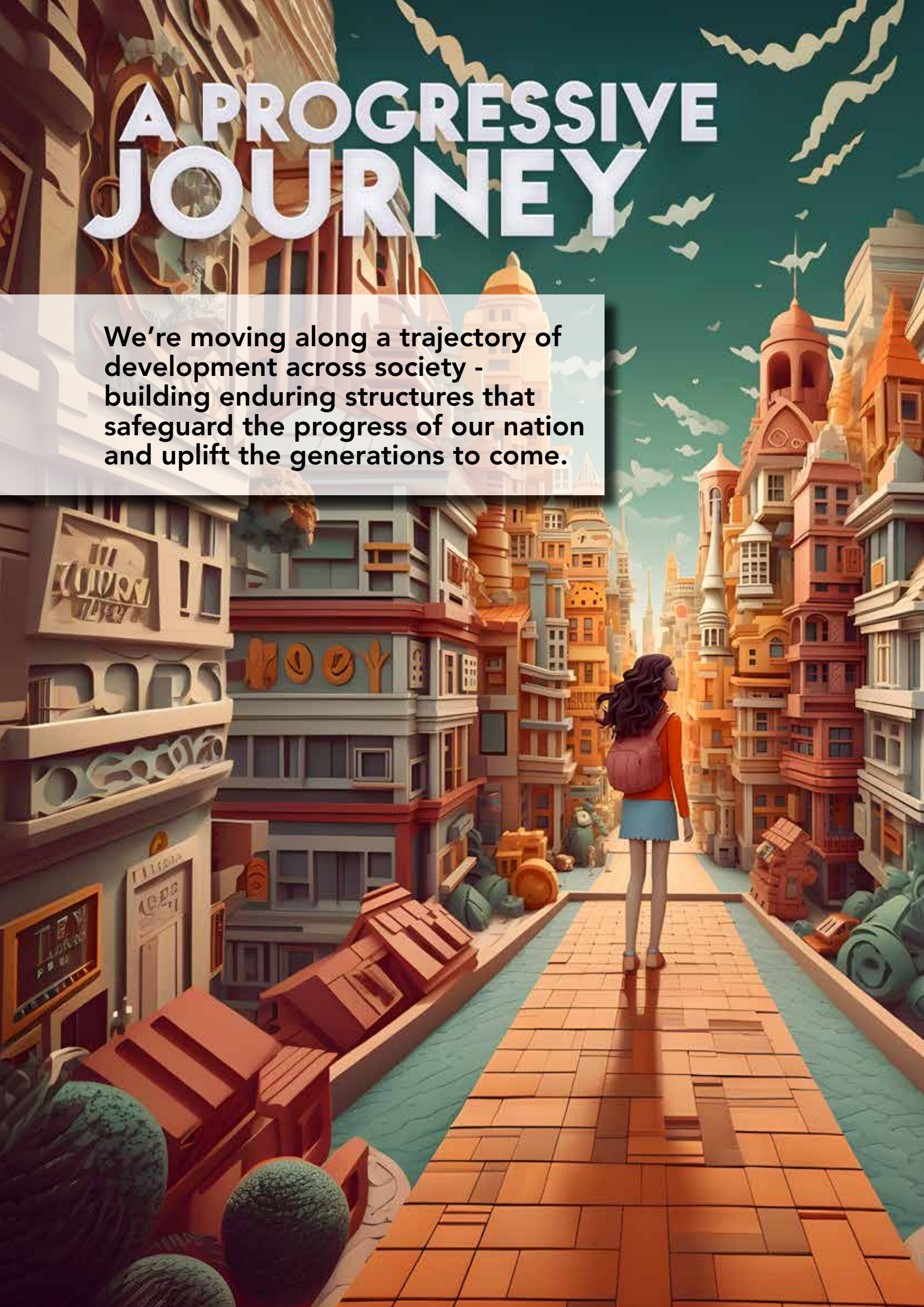
Remaining Term to Maturity of the Eligible Security	Minimum Haircut (%)	
	Repurchase Transactions	Reverse Repurchase Transactions
Up to 1 year	6.00	6.00
More than 1 year and up to 3 years	6.00	6.00
More than 3 years and up to 5 years	8.00	8.00
More than 5 years and up to 8 years	10.00	10.00
More than 8 years	12.00	12.00

53.4 Penalties Imposed on the Bank/Group for Non-Compliance

No penalties have been imposed on the Group for non compliance with Directive No. 1 of 2019 during the year ended 31st December 2023.

A PROGRESSIVE JOURNEY

We're moving along a trajectory of development across society - building enduring structures that safeguard the progress of our nation and uplift the generations to come.





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TEN YEARS AT A GLANCE

For the year ended/As at 31st December	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Operating Results (Rs Mn)										
Gross income	44,597	47,032	67,585	92,590	115,310	118,855	102,339	104,570	197,571	226,154
Interest income	38,059	37,944	56,529	79,625	97,934	103,567	88,628	85,987	157,619	203,447
Interest expense	22,335	20,542	33,776	51,261	59,880	61,992	54,805	44,318	84,117	131,157
Net interest income	15,724	17,402	22,754	28,363	38,054	41,575	33,823	41,669	73,502	72,290
Exchange income	1,283	2,466	2,589	3,132	5,491	2,793	2,792	4,849	16,261	(1,887)
Other income	4,387	5,421	7,002	8,484	10,198	10,809	9,598	11,969	21,191	20,570
Total operating income	21,394	25,288	32,344	39,979	53,743	55,177	46,213	58,487	110,954	90,973
Impairment charge	1,401	944	1,460	2,376	11,223	12,573	11,783	17,085	62,706	20,149
Operating expenses	11,729	13,339	15,471	16,918	19,307	20,366	20,095	20,668	28,048	32,457
Taxes on financial services	1,537	1,904	2,814	4,079	4,863	6,740	3,163	3,901	5,176	8,607
Profit before income tax	6,727	9,101	12,600	16,606	18,350	15,498	11,172	16,833	15,024	29,760
Income tax expense	1,813	2,967	3,475	4,502	6,207	4,347	3,147	4,376	1,890	12,620
Profit for the year	4,914	6,134	9,125	12,104	12,143	11,151	8,025	12,457	13,134	17,140
Assets (Rs Mn)										
Cash and cash equivalents including placements	13,348	18,781	25,814	25,494	27,799	25,040	32,282	25,623	90,090	113,013
Net loans and advances	302,370	377,348	458,831	562,884	650,014	689,378	720,215	762,588	811,158	756,436
Other interest earning assets	85,828	95,025	124,127	145,371	174,300	182,772	309,468	338,871	321,531	584,889
Investment in subsidiaries	1,060	1,080	1,228	1,356	2,320	2,395	3,351	3,503	3,899	4,111
Property, plant and equipment	5,142	5,313	5,972	7,270	7,918	8,466	8,126	7,818	8,911	9,623
Other assets	24,278	27,730	42,540	52,727	51,874	54,299	36,829	61,510	88,837	73,876
Total assets	432,026	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913	1,324,426	1,541,948
Liabilities (Rs Mn)										
Deposits from banks and customers	341,946	409,411	516,273	630,442	698,085	718,301	886,873	978,368	1,103,213	1,264,470
Due to debt securities holders, borrowings from banks and repo	49,847	66,663	82,605	80,601	104,875	110,164	83,617	72,829	40,901	68,829
Other liabilities	9,321	14,078	15,145	20,409	26,876	28,880	32,232	29,964	53,932	60,776
Total liabilities	401,114	490,152	614,023	731,452	829,836	857,345	1,002,722	1,081,161	1,198,046	1,394,075
Shareholders' Fund (Rs Mn)										
Stated capital	4,470	5,381	6,471	16,308	32,796	47,622	47,622	47,622	47,622	48,741
Reserves	26,442	29,744	38,018	47,342	51,593	57,384	59,927	71,130	78,758	99,132
Total equity	30,912	35,125	44,489	63,650	84,389	105,006	107,549	118,752	126,380	147,873
Total liabilities and equity	432,026	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913	1,324,426	1,541,948
Investor Information										
Dividend paid/proposed (Rs Mn)	1,847	2,240	3,362	4,598	4,565	4,482	3,147	4,864	5,264	6,860
Dividend per share (Rs) ^[A]	11.00	13.00	18.75	17.20	16.25	11.75	2.75	4.25	4.60	5.85
Cash dividend per share (Rs) ^[A]	5.00	6.00	4.75	nil	5.00	11.75	2.75	4.25	3.45	5.85
Dividend cover (times)	2.66	2.74	2.71	2.63	2.66	2.49	2.55	2.56	2.50	2.50
Dividend yield (%)	4.66	5.24	7.20	5.45	6.91	7.24	6.08	8.16	13.45	8.30
Earnings per share - Basic/Diluted (Rs) ^[B]	4.83	6.03	8.98	11.88	11.32	9.86	6.84	10.62	11.20	14.62
Earnings yield (%)	12.07	13.98	18.18	17.76	18.37	20.22	15.51	20.90	33.57	20.74
Price earning ratio (times)	8.28	7.16	5.50	5.63	5.44	4.95	6.45	4.78	2.98	4.82
Price to book value (times)	1.32	1.25	1.09	1.08	0.78	0.59	0.48	0.50	0.31	0.56
Net asset value per share (Rs) ^[B]	30.41	34.55	43.76	62.45	78.69	92.86	91.71	101.26	107.77	126.10
Market price per share (Rs) - High	252.00	279.90	268.70	352.20	335.50	245.00	170.00	250.00 ^[C]	56.50	79.20
Market price per share (Rs) - Low	164.20	235.20	210.00	253.50	218.00	136.00	96.00	48.00	26.00	33.00
Market price as at 31st December (Rs)	236.30	248.00	260.40	315.70	235.00	162.40	135.60	52.10	34.20	70.50

For the year ended/As at 31st December	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Ratios										
Growth in income (%)	(6.1)	5.5	43.7	37.0	24.5	3.1	(13.9)	2.2	88.9	14.5
Growth in profit (%)	43.3	24.8	48.8	32.7	0.3	(8.2)	(28.0)	55.2	5.4	30.5
Growth in total assets (%)	13.1	21.6	25.4	20.7	15.0	5.3	15.4	8.1	10.4	16.4
Growth in net loans and advances (%)	16.3	24.8	21.6	22.7	15.5	6.1	4.5	5.9	6.4	(6.7)
Growth in deposits (%)	13.1	19.7	26.1	22.1	10.7	2.9	23.5	10.3	12.8	14.6
Cost to income ratio with taxes on financial services (%)	62.0	60.3	56.5	52.5	45.0	49.1	50.3	42.0	29.9	45.1
Cost to income ratio without taxes on financial services (%)	54.8	52.7	47.8	42.3	35.9	36.9	43.5	35.3	25.3	35.7
Return on average assets (before tax) (%)	1.69	1.90	2.14	2.29	2.13	1.66	1.09	1.44	1.16	2.12
Return on average assets (after tax) (%)	1.23	1.28	1.55	1.67	1.41	1.20	0.78	1.07	1.01	1.22
Return on average equity (after tax) (%)	16.35	18.42	23.47	23.35	16.02	11.78	7.58	11.05	10.95	12.65
Property, plant & equipment to shareholders' fund (%)	16.6	15.1	13.4	11.4	9.4	8.1	7.6	6.6	7.1	6.5
Total assets to shareholders' fund (times)	14.0	15.0	14.8	12.5	10.8	9.2	10.3	10.1	10.5	10.4
Total impairment on loans as a % of gross loans & advances	2.27	1.82	1.67	1.52	3.03	4.20	5.10	6.21	11.84	13.78
Cost of risk (%)	n/a	n/a	n/a	0.44	1.69	1.74	1.36	1.61	5.97	2.04
CASA ratio (%)	45.9	47.3	38.4	34.9	33.4	35.2	39.3	45.7	32.7	33.4
Loans to deposits ratio (%)	90.5	93.9	90.4	90.7	96.0	100.2	85.6	83.1	83.4	69.4
Non-performing loan ratio (%) - Gross ^[D]	1.93	1.64	1.61	1.64	3.69	6.37	6.30	5.09	n/a	n/a
Non-performing loan ratio (%) - Net ^[D]	0.53	0.46	0.62	0.75	2.39	4.53	3.45	1.78	n/a	n/a
Stage 3 impairment to Stage 3 loans ratio (%) ^[D]	n/a	n/a	n/a	n/a	n/a	n/a	40.22	45.45	53.84	57.80
Impaired loans (Stage 3) ratio (%) ^[D]	n/a	n/a	n/a	n/a	n/a	n/a	3.95	3.20	4.35	5.87
Liquid Assets Ratios										
- Overall Bank (%) ^[E]	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	27.85	47.76
- Domestic Banking Unit (%)	24.4	21.8	21.2	22.2	21.5	21.5	35.0	32.5	n/a	n/a
- Off-Shore Banking Unit (%)	23.8	27.2	33.4	24.9	25.8	26.9	37.6	30.8	n/a	n/a
(As specified in Banking Act No. 30 of 1988 and subsequent amendments thereto)										
Liquidity Coverage Ratios										
- Rupee (%)	n/a	102.35	94.15	133.52	125.03	177.29	424.90	254.89	200.78	453.16
- All currency (%)	n/a	106.84	77.69	118.81	125.42	149.17	293.37	213.43	146.53	312.47
Net stable funding ratio (%)	n/a	n/a	n/a	n/a	n/a	126.80	144.00	149.92	157.10	184.20
Capital Adequacy Ratios										
	Basel II	Basel II	Basel II	Basel III	Basel III	Basel III	Basel III	Basel III	Basel III	Basel III
- Common equity Tier I (%)	n/a	n/a	n/a	10.26	12.08	14.22	13.44	13.95	11.92	16.35
- Total Tier I (%)	8.83	7.90	8.31	10.26	12.08	14.22	13.44	13.95	11.92	16.35
- Total capital (Tier I + Tier II) (%)	13.62	12.26	12.87	14.41	15.73	18.12	16.41	17.02	14.27	19.56
Leverage ratio (%)	n/a	n/a	n/a	n/a	n/a	8.12	6.94	7.80	7.00	6.39
Other Information										
Exchange rate (USD)	131.20	144.20	150.00	153.50	182.90	181.35	185.50	200.75	365.50	324.00
Number of staff	4,000	3,993	3,960	4,011	4,189	4,134	4,048	4,013	3,948	4,179
Number of branches	220	225	229	229	229	229	229	229	229	229
Number of ATMs, CRMs and CDMs	328	410	489	568	750	812	830	829	821	787

n/a - not applicable

[A] Actual dividend per share paid in each year.

[B] Earnings per share and net asset value per share are retrospectively adjusted to reflect the changes in weighted average number of shares.

[C] Highest share price of Rs 250.00 reported prior to the sub-division of shares.

[D] Following the issuance of Banking Act Direction No. 13 of 2021 on Classification, Recognition, and Measurement of Credit Facilities in Licensed Banks, the Central Bank of Sri Lanka (CBSL) mandated that licensed banks to disclose ratios pertaining to Stage 3 classifications in lieu of non-performing loan ratios.

[E] According to the Banking Act Direction No. 8 of 2022, licensed commercial banks are required to maintain the minimum liquid assets ratio only on consolidated basis.

QUARTERLY STATISTICS

As at	2023				2022			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Financial Position								
Total assets	1,541,948	1,485,871	1,421,325	1,306,049	1,324,426	1,312,948	1,321,553	1,293,459
Financial assets at amortised cost - loans & advances	756,436	748,725	781,287	785,947	811,158	857,047	857,786	824,277
Financial liabilities at amortised cost - due to depositors	1,253,643	1,201,715	1,138,917	1,064,554	1,096,100	1,059,211	1,024,427	1,049,349
Total equity	147,873	143,022	131,915	125,030	126,380	119,413	119,889	118,428
For the quarter ended								
	2023				2022			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Profit or Loss								
Net interest income	19,205	18,887	16,055	18,143	20,243	21,860	17,859	13,541
Net fee & commission income	4,268	4,855	4,364	5,399	6,147	4,701	4,056	4,537
Net (loss)/gain from trading	(928)	(15)	12	1,693	768	(475)	(2,161)	(381)
Net gain on derecognition of financial assets	152	137	194	108	109	248	171	14
Net other operating income	751	2,789	(671)	(4,426)	1,691	1,983	7,362	8,681
Total operating income	23,448	26,653	19,954	20,917	28,958	28,317	27,287	26,392
Less: Impairment charge	5,708	7,212	307	6,921	13,898	20,626	16,427	11,755
Net operating income	17,740	19,441	19,647	13,996	15,060	7,691	10,860	14,637
Less: Total operating expenses	8,128	8,054	8,380	7,894	7,570	6,815	7,194	6,469
Taxes on financial services	1,874	2,586	2,532	1,615	1,781	581	1,100	1,714
Income tax expense	2,948	4,114	3,698	1,861	(224)	179	191	1,744
Profit for the period	4,790	4,687	5,037	2,626	5,933	116	2,375	4,710
Other comprehensive income for the period	52	6,421	1,834	170	1,034	(590)	1,735	(171)
Total comprehensive income for the period	4,842	11,108	6,871	2,796	6,967	(474)	4,110	4,539

For the quarter ended	2023				2022			
	31st December	30th September	30th June	31st March	31st December	30th September	30th June	31st March
Market price per share (Rs)								
Highest	74.00	79.20	57.50	59.30	42.00	44.50	45.00	56.50
Lowest	60.00	59.90	44.10	33.00	30.00	26.00	29.60	45.50
Closing	70.50	70.00	55.90	52.50	34.20	41.50	30.20	45.80

As at	2023				2022			
	31st December	30th September	30th June	31st March	31st December	30th September	30th June	31st March
Profitability								
Interest margin (%)	5.16	5.19	5.19	5.60	5.66	5.35	4.85	4.54
Return on assets (before tax) (%)	2.12	2.15	1.99	1.38	1.16	0.96	1.43	2.13
Return on equity (after tax) (%)	12.65	12.49	12.10	8.37	10.95	8.08	12.06	15.95
Regulatory Capital								
Common Equity Tier I Capital Ratio (%)	16.35	14.37	13.89	12.51	11.92	11.31	11.30	11.44
Total Tier I Capital Ratio (%)	16.35	14.37	13.89	12.51	11.92	11.31	11.30	11.44
Total Capital Ratio (%)	19.56	17.73	17.36	16.12	14.27	13.72	13.82	14.20
Leverage Ratio (%)	6.39	6.29	6.76	6.68	7.00	6.86	6.68	6.52
Assets Quality								
Impaired Loans (Stage 3) Ratio %	5.87	5.93	5.49	5.39	4.35	4.08	3.31	3.17
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	57.80	54.68	54.20	52.75	53.84	50.54	49.70	46.97
Regulatory Liquidity								
Statutory Liquid Assets Ratio - Bank	47.76	45.39	35.56	28.27	27.85	22.58	22.62	32.07
Liquidity Coverage Ratio (%) - Rupee	453.16	383.66	227.94	216.19	200.78	218.72	209.84	218.76
Liquidity Coverage Ratio (%) - All Currency	312.47	299.36	228.79	182.91	146.53	153.92	109.77	157.81
Net Stable Funding Ratio (%)	184.20	172.91	165.16	157.02	157.10	150.22	141.46	151.25

STATEMENT OF PROFIT OR LOSS IN US\$

For the year ended 31st December	Bank		Group	
	2023 US\$ 000	2022 US\$ 000	2023 US\$ 000	2022 US\$ 000
Gross income	698,006	540,548	729,952	563,617
Interest income	627,923	431,243	655,737	450,823
Less: Interest expense	404,807	230,143	422,888	242,773
Net interest income	223,116	201,100	232,849	208,050
Fee & commission income	70,709	60,029	72,669	62,067
Less: Fee & commission expense	12,417	6,838	12,426	6,842
Net fee & commission income	58,292	53,191	60,243	55,225
Net gain/(loss) from trading	2,351	(6,151)	2,188	(6,201)
Net gain on derecognition of financial assets	1,826	1,482	1,850	1,530
Net other operating income	(4,803)	53,945	(2,492)	55,398
Total operating income	280,782	303,567	294,638	314,002
Less: Impairment charge	62,187	171,562	62,375	172,115
Net operating income	218,595	132,005	232,263	141,887
Less: Operating expenses				
Personnel expenses	43,981	34,189	48,846	37,971
Depreciation & amortisation expenses	8,162	6,963	7,884	6,557
Other operating expenses	48,033	35,587	51,191	37,245
Total operating expenses	100,176	76,739	107,921	81,773
Operating profit before taxes on financial services	118,419	55,266	124,342	60,114
Less: Value added tax on financial services	23,208	13,554	24,503	14,611
Social security contribution levy	3,358	608	3,539	647
Total taxes on financial services	26,566	14,162	28,042	15,258
Profit before income tax	91,853	41,104	96,300	44,856
Less: Income tax expense	38,952	5,171	40,979	6,386
Profit for the year	52,901	35,933	55,321	38,470
Attributable to:				
Equity holders of the Bank	52,901	35,933	55,321	38,470
Non-controlling interest	-	-	-	-
	52,901	35,933	55,321	38,470
Earnings per share: Basic/Diluted (US\$)	0.05	0.03	0.05	0.03
Dividend per share				
Dividend per share: Gross (US\$)	0.018*	0.013		
Dividend per share: Net (US\$)	0.015*	0.011		

Exchange rate of US\$ was Rs 324.00 as at 31st December 2023 (Rs 365.50 as at 31st December 2022).

* Based on proposed dividend which is to be approved at the Annual General Meeting.

STATEMENT OF COMPREHENSIVE INCOME IN US\$

For the year ended 31st December	Bank		Group	
	2023 US\$ 000	2022 US\$ 000	2023 US\$ 000	2022 US\$ 000
Profit for the year	52,901	35,933	55,321	38,470
Other comprehensive income				
Items that will be reclassified to profit or loss:				
Debt instruments at fair value through other comprehensive income:				
Gain/(loss) arising on re-measurement	42,433	(12,251)	42,433	(12,251)
Reclassification to profit or loss due to derecognition	(871)	37	(871)	37
Changes in impairment recycled to profit or loss	870	1,473	870	1,473
Reclassification of treasury bonds at FVOCI to amortised cost	-	13,099	-	13,099
Deferred tax effect on the above	(12,730)	(459)	(12,730)	(459)
Net other comprehensive income to be reclassified to profit or loss	29,702	1,899	29,702	1,899
Items that will not be reclassified to profit or loss:				
Equity instruments at fair value through other comprehensive income:				
Loss arising on re-measurement	-	(8,793)	-	(8,793)
Exchange (loss)/gain in translation	(2,329)	9,395	(2,329)	9,395
Deferred tax effect on the above	699	(777)	699	(777)
	(1,630)	(175)	(1,630)	(175)
Actuarial (loss)/gain on defined benefit plans	(2,730)	3,136	(2,721)	3,166
Deferred tax effect on the above	819	(557)	816	(563)
	(1,911)	2,579	(1,905)	2,603
Revaluation surplus on property, plant & equipment	-	2,676	-	5,074
Deferred tax effect on the above	-	(1,485)	-	(2,887)
	-	1,191	-	2,187
Net other comprehensive income not to be reclassified to profit or loss	(3,541)	3,595	(3,535)	4,615
Other comprehensive income net of tax	26,161	5,494	26,167	6,514
Total comprehensive income for the year net of tax	79,062	41,427	81,488	44,984
Attributable to:				
Equity holders of the Bank	79,062	41,427	81,488	44,984
Non-controlling interest	-	-	-	-
	79,062	41,427	81,488	44,984

Exchange rate of US\$ was Rs 324.00 as at 31st December 2023 (Rs 365.50 as at 31st December 2022).

STATEMENT OF FINANCIAL POSITION IN US\$

As at 31st December	Bank		Group	
	2023 US\$ 000	2022 US\$ 000	2023 US\$ 000	2022 US\$ 000
ASSETS				
Cash & cash equivalents	244,667	216,587	245,464	217,085
Balances with Central Bank of Sri Lanka	44,642	86,400	44,642	86,400
Placements with banks	104,140	29,897	104,140	29,897
Reverse repurchase agreements	-	27,558	464	28,179
Derivative financial instruments	1,814	122	1,814	122
Financial assets recognised through profit or loss - measured at fair value	14,643	12,698	14,942	13,194
Financial assets at amortised cost				
- loans & advances	2,334,678	2,219,310	2,430,110	2,298,158
- debt & other instruments	1,136,111	762,724	1,154,012	777,668
Financial assets - fair value through other comprehensive income	666,735	89,666	666,736	89,666
Investment in subsidiaries	12,687	10,666	-	-
Property, plant & equipment	29,701	24,379	61,607	52,168
Intangible assets	2,301	1,581	2,366	1,643
Right-of-use assets	11,128	9,686	9,730	8,935
Deferred tax assets	53,370	59,464	54,066	60,170
Other assets	102,484	72,865	109,216	77,672
Total Assets	4,759,101	3,623,603	4,899,309	3,740,957
LIABILITIES				
Due to banks	35,870	30,909	53,533	41,738
Derivative financial instruments	4,626	3,966	4,626	3,966
Securities sold under repurchase agreements	107,062	6,247	106,291	6,247
Financial liabilities at amortised cost				
- due to depositors	3,869,267	2,998,905	3,939,972	3,051,042
- due to other borrowers	20,485	25,100	20,485	25,100
- due to debt securities holders	82,438	69,110	93,787	89,938
Retirement benefit obligation	9,785	5,049	10,355	5,467
Dividend payable	656	512	656	512
Current tax liabilities	50,064	51,311	51,508	52,493
Deferred tax liabilities	-	-	4,522	4,010
Other liabilities	122,449	86,721	126,443	89,579
Total Liabilities	4,302,702	3,277,830	4,412,178	3,370,092
EQUITY				
Stated capital	150,436	130,294	150,436	130,294
Reserves				
- Statutory reserve fund	20,417	15,746	21,386	16,506
- Other reserves	252,934	177,382	263,730	186,952
- Retained earnings	32,612	22,351	51,579	37,113
Total equity attributable to equity holders of the Bank	456,399	345,773	487,131	370,865
Non-controlling interest	-	-	-	-
Total Equity	456,399	345,773	487,131	370,865
Total Liabilities & Equity	4,759,101	3,623,603	4,899,309	3,740,957
Commitments & contingencies	1,485,596	862,827	1,480,850	860,443
Net asset value per share (US\$)	0.39	0.29	0.42	0.32

Exchange rate of US\$ was Rs 324.00 as at 31st December 2023 (Rs 365.50 as at 31st December 2022).

INVESTOR INFORMATION

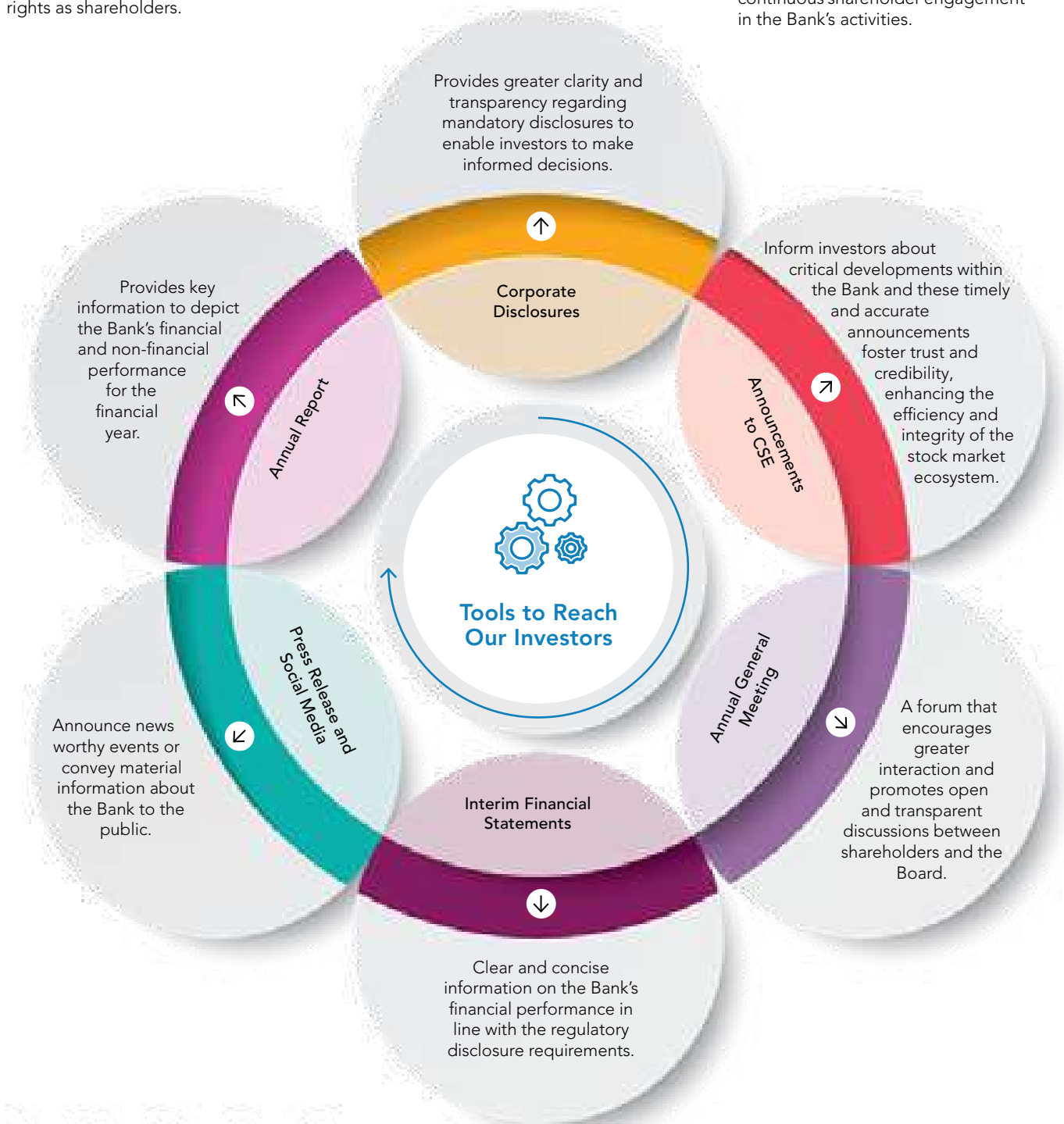
"OUR AMBITION IS TO GENERATE ATTRACTIVE AND SUSTAINABLE RETURNS THROUGH EVERY ECONOMIC CYCLE".

Approach to Shareholder Communication

Sampath Bank is committed to ensuring its shareholders have access to appropriate information about the Bank. To that end, the Bank strives to ensure that all shareholders have equal and timely access to all publicly available information about the Bank in order to allow them to effectively exercise their rights as shareholders.

Accordingly, communication with shareholders are based on the following principles;

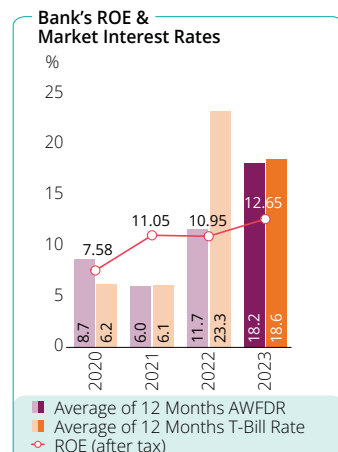
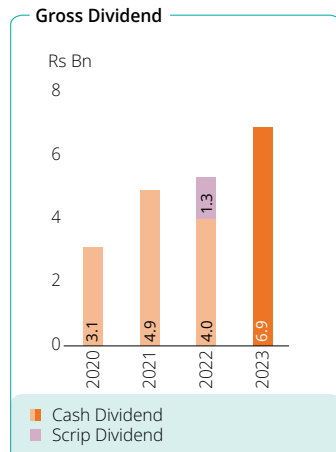
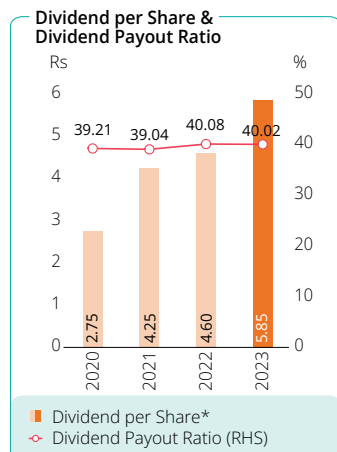
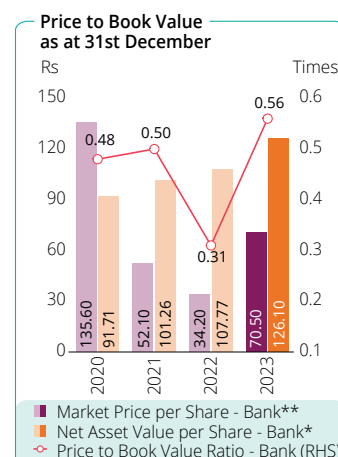
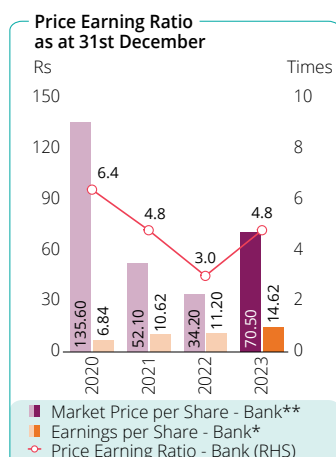
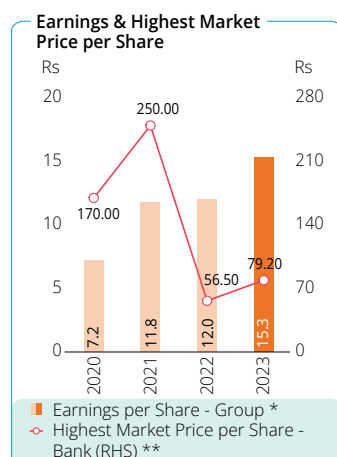
- Comply with all regulatory requirements applicable to licensed commercial banks and listed entities in Sri Lanka.
- Ensure open and fair disclosure with emphasis on the integrity, timeliness and relevance of the information provided.
- Maintain multiple channels of communication to cater to the needs of diverse shareholders and promote continuous shareholder engagement in the Bank's activities.



INVESTOR INFORMATION

VALUE CREATION FOR SHAREHOLDERS

	2023	2022	Change %
Net asset value per share (Rs)	126.10	107.77*	17.01
Group earnings per share - Basic (Rs)	15.28	11.99*	27.44
Dividend per share (Rs)	5.85	4.60	27.17
Market price per share as at 31st December (Rs)	70.50	34.20	106.14
Dividend payout ratio (%)	40.02	40.08	(0.15)

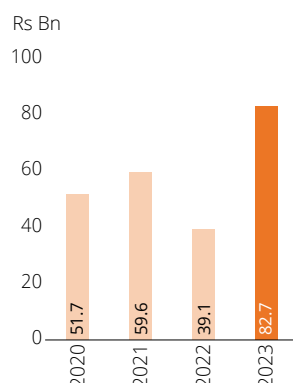
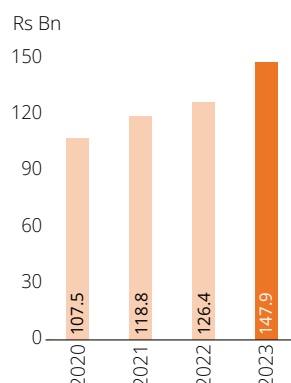
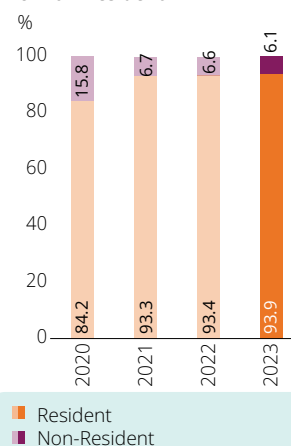


* The earnings per share, the net asset value per share and the dividend per share of the Bank and the Group for the year 2020, 2021 and 2022 have been adjusted to reflect the increased number of shares due to the sub-division in 2021 and scrip dividend declared for 2022.

** Market prices of shares given above are not adjusted for the sub-division of shares in 2021.

BANK'S MARKET CAPITALISATION IN COMPARISON TO CSE - AS AT 31ST DECEMBER

	2023	2022	2021	2020	2019	2018
Sampath Bank's market capitalisation (Rs Mn)	82,675	39,138	59,622	51,726	61,949	66,012
Increase/(Decrease) % in market capitalisation	111%	(34%)	15%	(17%)	(6%)	(4%)
CSE market capitalisation (Rs Mn)	4,248,935	3,847,153	5,489,168	2,960,648	2,851,313	2,839,445
As a % of CSE market capitalisation	1.95%	1.02%	1.09%	1.75%	2.17%	2.32%
Market capitalisation rank	12	23	21	17	10	9

Bank's Market Capitalisation**Shareholders' Fund****Shareholding - Resident & Non-Resident****ANALYSIS OF SHAREHOLDERS****Resident/Non-Resident**

	31st December 2023			31st December 2022		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident shareholders	28,946	1,101,150,554	93.90	30,902	1,069,322,139	93.44
Non-resident shareholders	227	71,550,206	6.10	235	75,051,816	6.56
Total	29,173	1,172,700,760	100.00	31,137	1,144,373,955	100.00

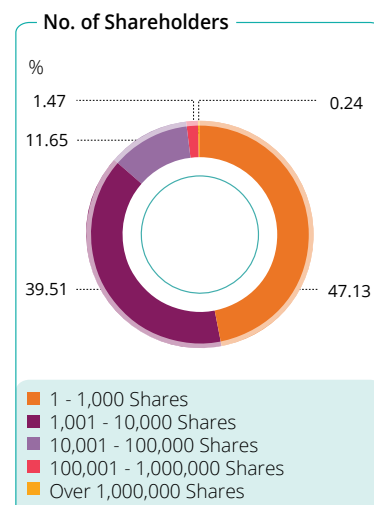
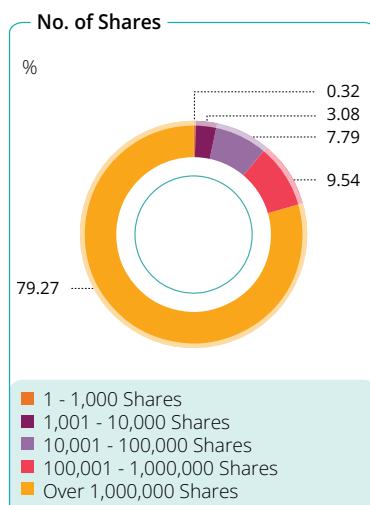
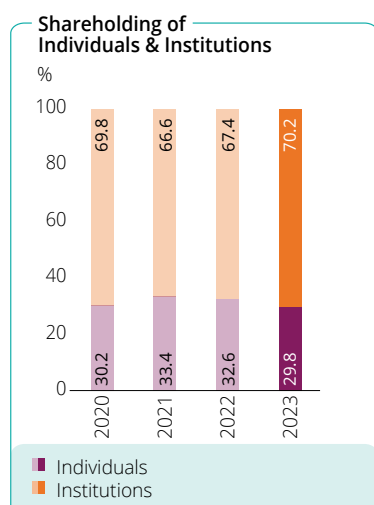
Individuals/Institutions

	31st December 2023			31st December 2022		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individuals	28,342	350,026,626	29.85	30,322	373,333,616	32.62
Institutions	831	822,674,134	70.15	815	771,040,339	67.38
Total	29,173	1,172,700,760	100.00	31,137	1,144,373,955	100.00

Composition of Share Ownership

	31st December 2023				31st December 2022			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 1,000 shares	13,748	47.13	3,740,618	0.32	15,391	49.43	5,682,710	0.49
1,001 - 10,000 shares	11,527	39.51	36,158,197	3.08	11,379	36.54	39,809,081	3.48
10,001 - 100,000 shares	3,400	11.65	91,365,964	7.79	3,873	12.44	106,842,549	9.34
100,001 - 1,000,000 shares	429	1.47	111,879,047	9.54	428	1.38	107,925,818	9.43
Over 1,000,000 shares	69	0.24	929,556,934	79.27	66	0.21	884,113,797	77.26
Total	29,173	100.00	1,172,700,760	100.00	31,137	100.00	1,144,373,955	100.00

INVESTOR INFORMATION



SHARE TRADING

Market

	2023	2022	2021	2020	2019
No. of transactions	3,618,960	6,057,233	8,131,508	3,070,021	1,197,205
No. of shares traded	16,988,827,390	29,047,818,242	59,771,688,538	21,348,728,655	9,855,016,003
Value of shares traded (Rs Mn)	410,629	686,602	1,173,157	396,882	171,408

Bank

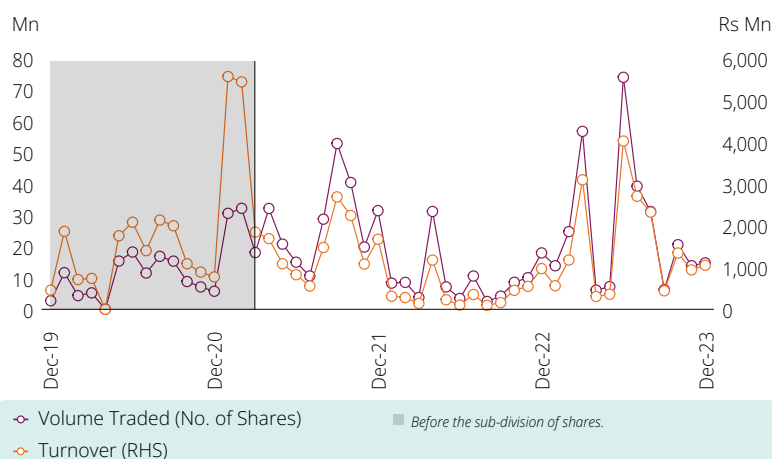
	2023	2022	2021	2020	2019
No. of transactions	90,860	57,981	159,003	89,358	44,188
No. of shares traded	308,275,126	116,309,634	332,368,388	120,322,546	57,548,812
As a % of total shares in issue	26.29	10.16	29.04	31.54	15.09
Average daily turnover (Rs Mn)	75.36	20.66	110.31	73.79	40.32
Value of shares traded (Rs Mn)	18,312.82	4,812.84	26,144.44	15,423.04	9,757.84

Sampath Bank's Share Price Fluctuation

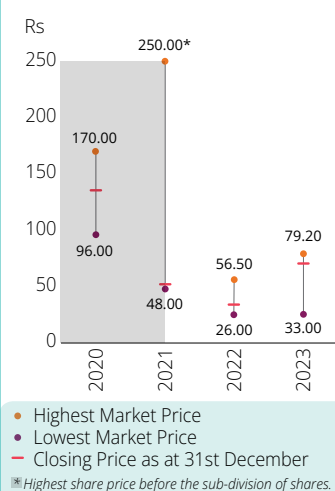
	2023	2022	2021	2020	2019
Lowest market price (Rs)	33.00	26.00	48.00	96.00	136.00
Highest market price (Rs)	79.20	56.50	250.00*	170.00	245.00
Closing price as at 31st December (Rs)	70.50	34.20	52.10	135.60	162.40

* Highest share price of Rs 250.00 reported prior to the sub-division of shares in 2021.

Share Trading - Sampath Bank PLC (Volume Traded & Turnover)



Bank's Share Price Fluctuation



SAMPATH BANK PLC - ORDINARY SHARES

Frequency Distribution of Shareholders as at 31st December 2023

Share Range	Resident				Non-Resident				Total			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 250	8,472	29.04	653,678	0.06	25	0.09	1,883	0.00	8,497	29.13	655,561	0.06
251 - 500	2,396	8.21	881,416	0.07	14	0.05	5,588	0.00	2,410	8.26	887,004	0.07
501 - 1,000	2,826	9.69	2,186,504	0.19	15	0.05	11,549	0.00	2,841	9.74	2,198,053	0.19
1,001 - 2,000	4,667	15.99	6,005,445	0.51	17	0.06	23,451	0.00	4,684	16.05	6,028,896	0.51
2,001 - 5,000	4,331	14.85	13,085,370	1.11	29	0.10	92,788	0.01	4,360	14.95	13,178,158	1.12
5,001 - 10,000	2,456	8.42	16,758,305	1.43	27	0.09	192,838	0.02	2,483	8.51	16,951,143	1.45
10,001 - 20,000	1,742	5.97	23,511,801	2.00	30	0.10	414,344	0.04	1,772	6.07	23,926,145	2.04
20,001 - 30,000	608	2.08	14,780,755	1.26	16	0.06	360,642	0.03	624	2.14	15,141,397	1.29
30,001 - 40,000	356	1.22	12,168,320	1.04	6	0.02	221,867	0.02	362	1.24	12,390,187	1.06
40,001 - 50,000	185	0.64	8,328,628	0.71	4	0.01	180,625	0.02	189	0.65	8,509,253	0.73
50,001 - 100,000	441	1.51	30,476,947	2.59	12	0.04	922,035	0.08	453	1.55	31,398,982	2.67
100,001 - 1,000,000	408	1.40	105,124,586	8.97	21	0.07	6,754,461	0.57	429	1.47	111,879,047	9.54
Over 1,000,000	58	0.20	867,188,799	73.96	11	0.04	62,368,135	5.31	69	0.24	929,556,934	79.27
Total	28,946	99.22	1,101,150,554	93.90	227	0.78	71,550,206	6.10	29,173	100.00	1,172,700,760	100.00

INVESTOR INFORMATION

SAMPATH BANK PLC - ORDINARY SHARES

Top 20 Shareholders

No.	Name of the Shareholder	31st December 2023		31st December 2022*	
		No. of Shares	% Holding	No. of Shares	% Holding
1	VALLIBEL ONE PLC	175,352,762	14.95	171,117,084	14.95
2	PHANTOM INVESTMENTS (PVT) LIMITED	117,270,076	10.00	32,481,106	2.84
3	AYENKA HOLDINGS PRIVATE LIMITED**	116,948,834	9.97	114,123,916	9.97
4	EMPLOYEES' PROVIDENT FUND	116,948,697	9.97	114,123,780	9.97
5	MR Y.S.H.I. SILVA***	96,121,110	8.20	93,799,287	8.20
6	ROSEWOOD (PVT) LIMITED-ACCOUNT NO.1	52,830,454	4.51	51,555,893	4.51
7	AKBAR BROTHERS PVT LTD A/C NO 1	28,134,771	2.40	27,455,171	2.40
8	SENTHILVERL HOLDINGS (PVT) LTD	23,097,646	1.97	51,380,173	4.49
9	EMPLOYEES' TRUST FUND BOARD	19,959,469	1.70	22,425,477	1.96
10	CITIBANK NEWYORK S/A NORGES BANK ACCOUNT 2	14,786,572	1.26	11,916,592	1.04
11	SAMPATH BANK PLC ACCOUNT NO 04 (SAMPATH BANK PENSION FUND)	11,832,461	1.01	11,546,646	1.01
12	MRS P.D.A.S. BERUWALAGE	11,555,469	0.99	10,837,215	0.95
13	BBH-TUNDRA SUSTAINABLE FRONTIER FUND	9,837,629	0.84	9,600,000	0.84
14	MR W. JINADASA	9,201,828	0.78	1,052,134	0.09
15	SSBT-GLOBAL MACRO CAPITAL OPPORTUNITIES PORTFOLIO	7,996,613	0.68	-	-
16	SSBT-AL MEHWAR COMMERCIAL INVESTMENTS L.L.C.	6,877,041	0.59	6,710,925	0.59
17	MAGNA WEALTH (PVT) LTD	6,361,683	0.54	6,511,463	0.57
18	PHOENIX VENTURES PRIVATE LIMITED	5,776,512	0.49	24,909,975	2.18
19	HATTON NATIONAL BANK PLC - CAPITAL ALLIANCE QUANTITATIVE EQUITY FUND	5,725,494	0.49	1,918,156	0.17
20	MR B.A. MAHIPALA	4,756,704	0.41	4,641,805	0.41
		841,371,825	71.75	768,106,798	67.12
Total No. of shares registered		1,172,700,760	100.00	1,144,373,955	100.00
Total No. of shares unregistered		-	-	-	-
Total No. of shares issued		1,172,700,760	100.00	1,144,373,955	100.00
Shares held by Directors		328,893	0.03	2,000,117	0.17
Shares held by Institutions		822,674,134	70.15	771,040,339	67.38
Balance held by Others		349,697,733	29.82	371,333,499	32.45
Total No. of shares issued		1,172,700,760	100.00	1,144,373,955	100.00
No. of Public Shareholders		29,164		31,131	
% Shares held by Public			80.79		90.62
% Shares held by Directors and Related Parties			19.21		9.38

* Shareholding as at 31st December 2022 of the top twenty shareholders as at 31st December 2023.

** Mr Prabhask Subasinghe, the Managing Director of Ayenka Holdings (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 1st December 2023. Accordingly, the shareholding of Ayenka Holdings (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

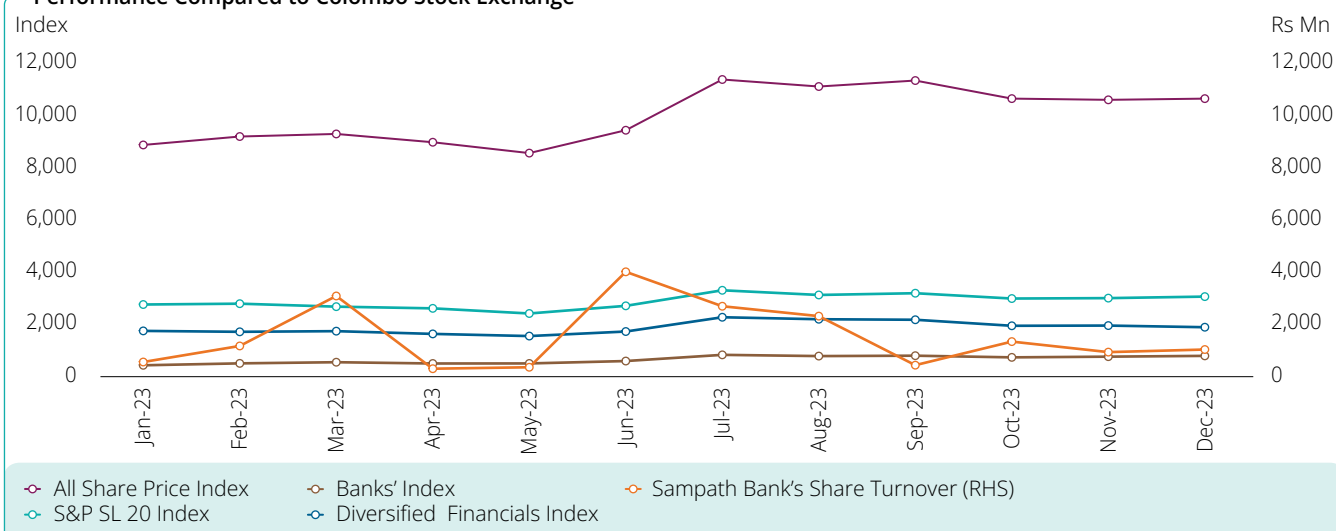
*** Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 1st September 2017. Accordingly, the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

As at 31st December

No. of Public Shareholders	Percentage of Public Holding	Float Adjusted Market Capitalisation
29,164 2023	80.79% 2023	Rs 67 Bn 2023
31,131 2022	90.62% 2022	Rs 35 Bn 2022
30,536 2021	90.62% 2021	Rs 54 Bn 2021

The Bank complies with the minimum public shareholding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Performance Compared to Colombo Stock Exchange



SUBSIDIARIES - ORDINARY SHARES

	Sampath Centre Limited		SC Securities (Pvt) Limited		Siyapatha Finance PLC		Sampath Information Technology Solutions Limited	
	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000
As at 1st January 2022	36,033,211	477,163	11,828,863	133,624	91,973,156	2,346,095	10,246,138	297,747
Add: Increase due to scrip dividend	278,537	39,318	261,509	11,011	5,192,855	328,344	363,799	16,490
As at 31st December 2022	36,311,748	516,481	12,090,372	144,635	97,166,011	2,674,439	10,609,937	314,237
As at 1st January 2023	36,311,748	516,481	12,090,372	144,635	97,166,011	2,674,439	10,609,937	314,237
Add: Increase due to scrip dividend	6,111	850	89,901	4,679	3,163,526	192,437	290,646	14,162
As at 31st December 2023	36,317,859	517,331	12,180,273	149,314	100,329,537	2,866,876	10,900,583	328,399

INVESTOR INFORMATION

DIVIDEND PAYMENT DETAILS

Year	Total Dividend Paid Rs Mn	Dividend per Share* Rs	Cash Dividend per Share* Rs	Scrip Dividend per Share* Rs	Profit for the Year Rs Mn	Dividend Payout Ratio
1988	8.80	0.50	0.50	n/a	27	32.59%
1989	13.10	0.75	0.75	n/a	20	65.50%
1990	8.90	0.50	0.50	n/a	10	89.00%
1991	17.70	0.50	0.50	n/a	41	43.17%
1992	35.40	1.00	1.00	n/a	71	49.86%
1993	35.40	1.00	1.00	n/a	122	29.02%
1994	44.30	1.25	1.25	n/a	172	25.76%
1995	53.10	1.50	1.50	n/a	241	22.03%
1996	53.10	1.50	1.50	n/a	282	18.83%
1997	53.10	1.50	1.50	n/a	322	16.49%
1998	53.10	1.50	1.50	n/a	372	14.27%
1999 (Interim)	116.90	4.00	3.30	n/a	261	54.29%
1999 (Final)	24.80		0.70	n/a		
2000	58.70	1.75	1.75	n/a	402	14.60%
2001	52.14	1.75	1.75	n/a	322	16.19%
2002	88.57	2.00	2.00	n/a	441	20.08%
2003 (Interim)	59.78	2.00	2.00	n/a	561	14.58%
2003 (Final)	21.99					
2004 (Interim)	65.98	2.00	2.00	n/a	621	16.15%
2004 (Final)	34.30					
2005 (Interim)	87.14	2.00	2.00	n/a	821	14.54%
2005 (Final)	32.21					
2006	155.47	2.50	2.50	n/a	1,028	15.12%
2007	206.66	3.00	3.00	n/a	1,052	19.64%
2008	256.65	4.00	4.00	n/a	1,414	18.15%
2009	436.19	6.25	6.25	n/a	2,098	20.79%
2010	1,235.86	8.09	n/a	8.09	3,303	37.42%
2011	1,426.98	9.00	4.50	4.50	3,819	37.37%
2012	1,954.10	12.00	6.00	6.00	5,230	37.36%
2013	1,342.63	8.00	8.00	n/a	3,430	39.13%
2014	1,847.01	11.00	5.00	6.00	4,914	37.59%
2015	2,240.06	13.00	6.00	7.00	6,134	36.52%
2016 (Interim)	2,477.73	18.75	n/a	14.00	9,125	36.85%
2016 (Final)	884.41		4.75	n/a		
2017	4,598.43	17.20	n/a	17.20	12,104	38.00%
2018	4,564.66	16.25	5.00	11.25	12,143	37.59%
2019	4,482.13	11.75	11.75	n/a	11,151	40.19%
2020	3,147.03	2.75	2.75	n/a	8,025	39.21%
2021	4,863.59	4.25	4.25	n/a	12,457	39.04%
2022	5,264.12	4.60	3.45	1.15	13,134	40.08%
2023 (Proposed)	6,860.30	5.85	5.85	n/a	17,140	40.02%

n/a - not applicable

* Actual dividend per share paid in each year.

RECORD OF SCRIP ISSUES

Year	Issue	Basis/ Proportion	No. of Shares Issued	Consideration per Share Rs	Contribution to Stated Capital Rs Mn	Reason for Issue
2010	Interim Scrip Dividend for 2010	1 for 120.74	627,596	326.00	204.6	Increase stated capital
2011	Final Scrip Dividend for 2010	1 for 43.39	3,521,294	260.00	915.5	Increase stated capital
2012	Final Scrip Dividend for 2011	1 for 43.06	3,682,039	175.00	644.4	Increase stated capital
2013	Final Scrip Dividend for 2012	1 for 33.12	4,916,007	180.10	885.4	Increase stated capital
2015	Final Scrip Dividend for 2014	1 for 38.14	4,402,402	206.99	911.3	Increase stated capital
2016	Final Scrip Dividend for 2015	1 for 36.91	4,668,414	233.44	1,089.8	Increase stated capital
2017	Interim Scrip Dividend for 2016	1 for 19.22	9,209,419	242.55	2,233.7	Increase stated capital
2018	Final Scrip Dividend for 2017	1 for 19.72	13,551,804	291.93	3,956.1	Increase stated capital
2019	Final Scrip Dividend for 2018	1 for 24.32	11,548,874	235.66	2,721.6	Increase stated capital
2023	Final Scrip Dividend for 2022	1 for 40.40	28,326,805	39.49	1,118.6	Increase stated capital

RECORD OF BONUS ISSUES AND SUB-DIVISIONS

Year	Issue	Basis/Proportion	No. of Shares Issued	Reason for Issue
2004	Bonus Issue	1 for 6	7,380,817	Benefit to shareholders
2010	Consolidation and Sub-division	11 for 10	6,888,762	Benefit to shareholders
2010	Sub-division	1 for 1	76,403,986	Benefit to shareholders
2021	Sub-division	3 for 1	762,915,970	Benefit to shareholders

RECORD OF RIGHTS ISSUES

Year	Issue	Basis/Proportion	No. of Shares Issued	Price per Share Rs	Contribution to Stated Capital Rs Mn
2005	Rights Issue 2005	1 for 3 held	17,221,907	60.00	1,033.3
2017	Rights Issue 2017	1 for 6 held	31,031,748	245.00	7,602.8
2018	Rights Issue 2018	3 for 13 held	50,128,208	250.00	12,532.1
2019	Rights Issue 2019	7 for 23 held	89,006,863	136.00	12,104.9

EMPLOYEE SHARE OPTION PLANS

Capitalised Year	Issue	No. of Shares Issued	Price per Share Rs	Contribution to Stated Capital Rs Mn	Reason for Issue
2011	ESOP 2010	524,924	80.00	42.0	Benefit for staff members
2012	ESOP 2010	2,200,436	80.00	176.0	Benefit for staff members
2013	ESOP 2010	134,933	80.00	10.8	Benefit for staff members
2014	ESOP 2010	122,648	80.00	9.8	Benefit for staff members

DISCLOSURE OF RELATED PARTY TRANSACTIONS AS PER SECTION 9.14.7 AND 9.14.8(1), 9.14.8(2) OF THE CSE LISTING RULES

Aggregate values of the transactions carried out by the Bank with the Related Parties did not exceed the following thresholds given in 9.14.8(1), 9.14.8(2) of the CSE Listing Rules.

- Non-recurrent related party transactions - 10% of the equity or 5% of the total assets as at 31st December 2022, whichever is lower.
- Recurrent related party transactions - 10% of the gross revenue/income for the year ended 31st December 2022.

The Related Party Transactions that took place during the year 2023 do not trigger the requirements under Section 9.14.7 of the CSE Listing Rules.

INVESTOR INFORMATION

DEBENTURE INFORMATION

(A) Market Values

Debentures - 2018/2023	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed: 12.50%	n/t	102.13	n/t	102.13	n/t	102.13
Debentures - 2018/2023 were redeemed on 20th March 2023.						
Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed: 13.90%	100.00	101.00	100.00	100.00	100.00	100.00
Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed: 9.00%	100.00	n/t	100.00	n/t	100.00	n/t
Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed: 28.00%	148.00	n/a	99.15	n/a	129.09	n/a
Floating	n/t	n/a	n/t	n/a	n/t	n/a

n/t - not traded

n/a - not applicable

(B) Interest Rates

Debentures - 2018/2023	2023		2022	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 12.50%	12.50%	12.89%	12.50%	12.89%
Debentures - 2018/2023 were redeemed on 20th March 2023.				
Debentures - 2019/2024	2023		2022	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 13.90%	13.90%	13.90%	13.90%	13.90%
Debentures - 2021/2028	2023		2022	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 9.00%	9.00%	9.00%	9.00%	9.00%
Debentures - 2023/2028	2023		2022	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 28.00%	28.00%	28.00%	n/a	n/a
Floating	Note 1		n/a	n/a

n/a - not applicable

Note 1

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% and a cap of 31.0% p.a. payable annually.

(C) Interest Rates of Comparable Government Securities

As at 31st December	2023	2022
3 Month Treasury Bill	14.51%	32.64%
6 Month Treasury Bill	14.16%	32.20%
5 Year Treasury Bond	13.75%	26.76%
7 Year Treasury Bond	13.45%	26.01%

(D) Current Yield and Yield to Maturity

Debentures - 2018/2023	Fixed: 12.50%	
	2023	2022
Current yield	n/t	12.62%
Yield to maturity of last trade	n/t	10.42%
Debentures - 2018/2023 were redeemed on 20th March 2023.		

Debentures - 2019/2024	Fixed: 13.90%	
	2023	2022
Current yield	13.90%	13.90%
Yield to maturity of last trade	13.53%	13.75%

Debentures - 2021/2028	Fixed: 9.00%	
	2023	2022
Current yield	9.00%	n/t
Yield to maturity of last trade	8.97%	n/t

Debentures - 2023/2028	Fixed: 28.00%		Floating	
	2023	2022	2023	2022
Current yield	21.69%	n/a	n/t	n/a
Yield to maturity of last trade	17.50%	n/a	n/t	n/a

n/t - not traded
n/a - not applicable

(E) Ratios - Bank

	2023	2022
Debt to equity ratio (%)	15.6	18.8
Interest cover (Times)	9.7	6.8
Quick asset ratio (%)	71.7	66.5
Debt service coverage (Times)	4.0	1.9

UTILISATION OF FUNDS RAISED VIA CAPITAL MARKETS

Funds Raised in Previous Years

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

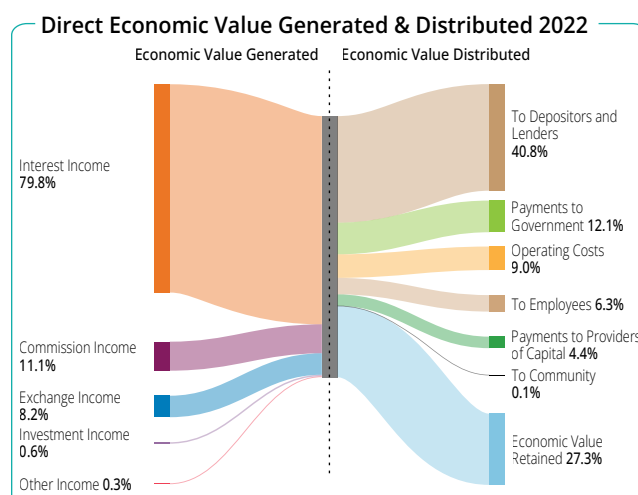
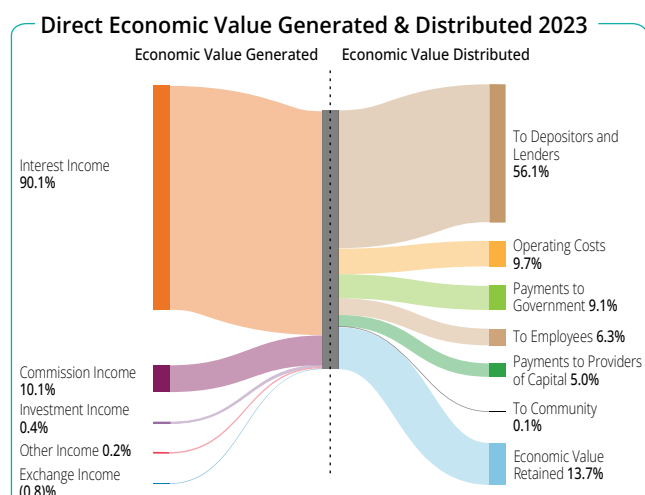
Funds Raised from the Debenture Issue 2023

Objective No.	Objective as per Prospectus	Amount Allocated as per Prospectus	Proposed Date of Utilisation as per Prospectus	Amount Allocated from Proceeds (A)	% of Total Proceeds	Amounts Utilised (B)	% of Utilisation against Allocation (B/A)	Clarification if Not Fully Utilised including where the Funds are Invested
1	To increase the Tier II capital base of the Bank	Rs 10.0 Bn	9th Feb. 2023	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilised
2	To improve the liquid asset base of the Bank	Rs 10.0 Bn	9th Feb. 2023	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilised

DIRECT ECONOMIC VALUE GENERATED AND DISTRIBUTED - BANK

Information on the creation and distribution of economic value provides a basic indication of how the Bank has created wealth for its stakeholders.

For the year ended 31st December	2023 Rs Mn	2022 Rs Mn
Direct Economic Value Generated		
Interest income	203,447	157,619
Exchange income	(1,887)	16,261
Commission income	22,910	21,941
Investment income	943	1,103
Other income	473	703
	225,886	197,627
Economic Value Distributed		
To Depositors and Lenders		
Interest expense	126,735	80,664
	126,735	80,664
Operating Costs		
Depreciation and amortisation	2,644	2,545
Fee and commission expense	4,023	2,499
Other operating expense	15,181	12,765
	21,848	17,809
To Employees		
Salaries	9,571	8,493
Other benefits	4,679	4,003
	14,250	12,496
Payments to Government		
Income tax expense	11,811	18,664
Taxes on financial services	8,607	5,176
Crop insurance levy	172	131
	20,590	23,971
To Community		
Corporate social responsibility projects	91	31
Corporate leadership programme for school leavers and undergraduates	117	79
Donations	1	1
	209	111
Payments to Providers of Capital		
Interest to debt securities holders	4,423	3,453
Dividend to shareholders	6,860	5,264
	11,283	8,717
Economic value distributed	194,915	143,768
Economic value retained (after payment of dividend to shareholders)	30,971	53,859
	225,886	197,627



ANNEXURES TO CORPORATE GOVERNANCE REPORT

Disclosures Relating to Section 7 and Section 9 of the Listing Rules of the Colombo Stock Exchange (CSE)

Section 7 of the Listing Rules of the CSE

Listing Rule Reference	Disclosure Requirement	Relevant Section/Reference of the Annual Report	Page Reference
7.6 (i)	Board of Directors during the Financial Year with profiles	Corporate Governance Report	146 - 175
		Board of Directors	176 - 181
7.6 (ii)	Principal activities of the Entity and its Subsidiaries during the year and any changes therein	Annual Report of the Board of Directors on the Affairs of the Company	229 - 238
7.6 (iii)	Top 20 shareholders – number of shares and % of voting shares	Investor Information	411 - 421
7.6 (iv)(a)	Public holding details for Shares - float adjusted market capitalisation, - public holding percentage ,(%), - number of public shareholders - option	Investor Information	411 - 421
7.6 (iv)(b)	Public holding details for Foreign Currency denominated Shares - public holding percentage (%) - number of public shareholders	Not applicable as the Bank does not have Foreign Currency denominated Shares	
7.6 (v)	Each Director's and MD's shareholding	Annual Report of the Board of Directors on the Affairs of the Company	229 - 238
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Risk Management Report	210 - 225
7.6 (vii)	Details of material issues pertaining to employees and industrial relations of the Entity.	There are no material issues pertaining to employees and industrial relations of the Bank	
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 29 to the Financial Statements	310 - 316
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 41.1 to the Financial Statements	334
7.6 (x)	Distribution schedule - Number of holders and % for each class.	Investor Information	411 - 421
7.6 (xi)	Ratios and market price information: Equity - Dividend per share - Dividend pay out - Net asset value per share - Market value per share – High, Low and Closing Debt - Interest rate of comparable government security - Debt/equity ratio - Interest cover - Quick asset ratio - Debt Service Coverage Ratio (where applicable) - The market prices (high, low and last traded) and yield during the year - Any changes in credit rating (for the Entity or any other instrument issued by the Entity), if applicable.	Investor Information Annual Report of the Board of Directors on the Affairs of the Company	411 - 421 229 - 238
7.6 (xii)	Significant changes of entity and subsidiaries' fixed assets including substantial difference between market value and book value of lands.	Note 29 to the Financial Statements	310 - 316
7.6 (xiii)	Details of funds raised via IPO and further issues - Manner in which funds are utilised (disclose as per the format) - Number, class of shares or debenture, consideration received and reason for the issue, any material changes in the use of funds.	Investor Information	411 - 421

ANNEXURES TO CORPORATE GOVERNANCE REPORT

Listing Rule Reference	Disclosure Requirement	Relevant Section/Reference of the Annual Report	Page Reference
7.6 (xiv)(a)	Details of Employee Share Option Schemes (ESOS) - Number of options granted to each category of Employees - Total number of options vested but not exercised by each category of Employees - Options exercised by each category of employees and total number of shares arising - Options cancelled - Exercise price - Director's declaration confirming that ESOS was not funded.	Not applicable as the Bank does not have Employee Share Option Schemes at present. Further details disclosed in Investor Information on pages 411 to 421 contains the details of the previous Employee Share Option Schemes of the Bank	
7.6(xiv)(b)	Details of Employee Share Purchase Schemes (ESPS) - Total number of shares issued - Number of shares issued to each category of Employees - Price at which the shares were issued - Director's declaration confirming that ESPS was not funded	Not applicable as the Bank does not have Employee Share Purchase Schemes	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Rules.	Corporate Governance Report	146 - 175
7.6 (xvi)	Details of Investments in Related Parties and due from Related Parties - Date of the transaction - Name of the Related Party - Relationship between the Entity and the Related Party - Amount of the transaction and terms of the transaction - Rationale for entering into the transaction	None of the transactions carried out by the Bank with Related parties have exceeded the aggregate monetary value of 10% of the Shareholders' Equity of the Bank or 5% of the Total Assets of the Bank as at 31st December 2023 Investor Information	411 - 421
7.6 (xvii)	If Foreign Currency Denominated Securities are listed - Trading Currency - A detailed description of the utilisation of the proceeds held in the SFCA, amount of proceeds utilised, as a percentage (%) of the total proceeds credited to the SFCA - Statement of compliance vis-à-vis the Applicable Foreign Exchange Regulations including - Maintenance of foreign exchange earnings at a minimum level of 50% of its total annual revenue equivalent to a minimum of USD 5 Mn (5,000,000) or a negative statement; - The amount of proceeds held in the SFCA, which have been utilised by the Entity for any capital transactions outside Sri Lanka; - Repatriation of income of the investments made through the SFCA into Sri Lanka; and, - The amount of capital gains of the proceeds utilised for any capital transactions outside Sri Lanka. Status update on the residual of the proceeds which are not utilised for capital transactions outside Sri Lanka.	Not applicable as the Bank does not have Foreign Currency denominated Shares	
7.6 (xviii)	If Sustainable Bonds are listed - List of Sustainable Projects funds are allocated/invested with a brief description and amount disbursed - Any update on disclosures in documentation from date of listing - Qualitative performance indicators in line with the International Sustainable Bond Standards, quantitative performance measures of the environmental impact or if impact not ascertained, reason for same. - Methods and the key underlying assumptions used in preparation of the performance indicators and metrics. An update on eligibility, allocation, and the impact of outstanding Sustainable Bond/s	Not applicable as the Bank has not issued sustainable bonds	

Listing Rule Reference	Disclosure Requirement	Relevant Section/Reference of the Annual Report	Page Reference
7.6 (xix)	If Perpetual Debt Securities are listed - Breach of any terms/conditions by the Entity in relation to other Debt Securities listed on the Exchange - Any default or delays on interest and/or principal payments in respect of loans obtained by such Entity, not paid within 30 days.	Not applicable as the Bank has not issued perpetual debt securities	

Section 9 of the Listing Rules of the CSE

Listing Rule Reference	Disclosure Requirement	Section/Reference	Page Reference
9.1.3	Statement confirming the extent of compliance with the Corporate Governance Rules	Corporate Governance Report	146 - 175
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted	Chairman's Introduction to Corporate Governance	146
9.2.3 (i)	List of policies in place as per Rule 9.2.1 with reference to website	Corporate Governance Report - Way Forward section	173
9.2.3 (ii)	Any changes to policies adopted	Corporate Governance Report - Way Forward section	173
9.4.2	(a) The policy on effective communication and relations with shareholders and investors (b) The contact person for such communication (c) The policy on relations with shareholders and investors on the process to make all Directors aware of major issues and concerns of shareholders	Corporate Governance Report - Communications with Shareholders section	153
9.5.2	Confirmation on compliance with the requirements of the Policy on matters relating to the Board of Directors. If non-complied, reasons for the same with proposed remedial action	Corporate Governance Report - Way Forward section	173
9.6.3	Report of SID demonstrating the effectiveness of duties	Report by SID	186
9.6.4	Rationale for appointing SID	Corporate Governance Report - The Senior Independent Director (SID) section	159
9.7.5	(a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria (b) Any non-compliance/s and remedial action taken	Corporate Governance Report - Assessing the Fitness and Propriety of Directors section	151
9.8.5	Names of Directors determined to be 'Independent'	Board of Directors	176 - 181
9.10.4	Directors' details - name, qualifications and brief profile - nature of his/her expertise in relevant functional areas - whether either the Director or Close Family Members have any material business relationships with other Directors - whether Executive, Non-Executive and/or Independent Director - total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/or KMP stating whether listed or unlisted, whether functions as executive or non-executive (If the directorships are within the Group names need not be disclosed) - number of Board meetings attended - names of Board Committees in which the Director serves as Chairperson or a member - Attendance of Board committee meetings - TOR and powers of SID	Board of Directors Corporate Governance Report - Relationships among the Directors including the Chairman and Managing Director Corporate Governance Report - Board Meetings section Report by SID	176 - 181 158 - 159 154 - 155 186

ANNEXURE TO CORPORATE GOVERNANCE REPORT

Listing Rule Reference	Disclosure Requirement	Section/Reference	Page Reference
9.11.6	Nominations and Governance Committee Report	Board Nominations and Governance Committee Report	187 - 189
9.12.8	Remuneration Committee Report	Board Human Resources and Remuneration Committee Report	193 - 194
9.13.5	Audit Committee Report	Board Audit Committee Report	190 - 192
9.14.8 (1)	Related Party Disclosures - Non-recurrent RPT exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower (in the specified format) - Name of the Related Party - Relationship - Value of RPT - Value as a % of equity and total assets - Terms and Conditions - Rationale	Investor Information	411 - 421
9.14.8 (2)	Recurrent RPT exceeding 10% of the gross revenue/income (in the specified format) - Name of the Related Party - Relationship - Nature of RPT - Value of aggregate RPT - Value as a % of gross income - Terms and Conditions	Investor Information	411 - 421
9.14.8 (3)	Related Party Transactions Review Committee Report	Board Related Party Transactions Committee Report	197
9.14.8 (4)	Affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect	Annual Report of the Board of Directors on the Affairs of the Company	229 - 238
9.16	Additional disclosures by the Board of Directors on following. - All material interests in contracts and have refrained from voting on matters in which they were materially interested; - Review of the internal controls covering financial, operational and compliance controls and risk management and obtain reasonable assurance of their effectiveness and successful adherence, and, if unable to make any of these declarations, an explanation on why it is unable to do so; - Made themselves aware of applicable laws, rules and regulations and are aware of changes particularly to CSE Listing Rules and applicable capital market provisions; - Disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations.	Corporate Governance Report -Disclosures section	171 - 172

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 1: KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

As at 31st December	Bank		Group	
	2023	2022	2023	2022
Regulatory Capital (Rs 000)				
Common Equity Tier I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Tier I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Capital	141,853,666	114,351,589	151,849,708	122,096,525
Regulatory Capital Ratios (%)				
Common Equity Tier I Capital Ratio (minimum requirement - 7.00%)	16.35	11.92	16.67	12.18
Total Tier I Capital Ratio (minimum requirement - 8.50%)	16.35	11.92	16.67	12.18
Total Capital Ratio (minimum requirement - 12.50%)	19.56	14.27	19.77	14.46
Leverage Ratio (minimum requirement - 3%)	6.39	7.00	6.73	7.29
Regulatory Liquidity				
Statutory Liquid Assets - Bank (Rs 000)	635,737,884	326,607,580	n/a	n/a
Statutory Liquid Assets Ratio - Bank (minimum requirement - 20%)	47.76	27.85	n/a	n/a
Total Stock of High-Quality Liquid Assets (Rs 000)	566,567,931	226,064,957	n/a	n/a
Liquidity Coverage Ratio (%) – Rupee (minimum requirement: 2023 - 100%, 2022 - 90%)	453.16	200.78	n/a	n/a
Liquidity Coverage Ratio (%) – All currency (minimum requirement: 2023 - 100%, 2022 - 90%)	312.47	146.53	n/a	n/a
Net Stable Funding Ratio (%) (minimum requirement: 2023 - 100%, 2022 - 90%)	184.20	157.10	n/a	n/a

n/a - not applicable

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 2: CAPITAL RATIOS

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Common Equity Tier I (CET I) Capital after adjustments	118,530,902	95,533,144	128,072,822	102,822,613
Common Equity Tier I (CET I) Capital	138,432,283	120,079,176	144,891,761	125,752,360
Stated capital	48,741,119	47,622,493	48,741,119	47,622,493
Statutory reserve fund	6,615,000	5,755,000	6,929,000	6,033,000
Published retained earnings/(Accumulated retained losses)	10,566,248	8,169,471	16,711,726	13,564,655
Published accumulated other comprehensive income (OCI)	5,498,223	(457,135)	5,498,223	(457,135)
General and other disclosed reserves	67,011,693	58,989,347	67,011,693	58,989,347
Unpublished current year's profit/loss and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to CET I Capital	19,901,381	24,546,032	16,818,939	22,929,747
Goodwill (net)	-	-	-	-
Intangible assets (net)	745,395	578,031	766,532	600,341
Deferred tax assets (net)	17,292,023	21,734,244	16,052,407	21,992,147
Defined benefit pension fund assets	-	337,259	-	337,259
Others (Investments in the capital of banking & financial institutions)	1,863,963	1,896,498	-	-
Additional Tier I (AT I) Capital after adjustments	-	-	-	-
Additional Tier I (AT I) Capital	-	-	-	-
Tier II Capital after adjustments	23,322,764	18,818,445	23,776,886	19,273,912
Tier II Capital	23,322,764	18,818,445	23,776,886	19,273,912
Qualifying Tier II capital instruments	14,250,000	8,617,903	14,250,000	8,617,903
Revaluation gains	901,539	901,539	901,539	901,539
Stage 1 & 50% of stage 2 impairment provision subject to 1.25% of credit RWA	8,171,225	9,299,003	8,625,347	9,754,470
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to Tier II	-	-	-	-
CET I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Tier I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Capital	141,853,666	114,351,589	151,849,708	122,096,525
Total Risk Weighted Assets (RWA)	725,130,348	801,373,367	768,221,870	844,381,387
RWAs for Credit Risk (refer table No. 3)	653,697,972	743,920,231	690,027,790	780,357,635
RWAs for Operational Risk (refer table No. 5)	69,559,848	55,711,400	76,139,080	61,977,640
RWAs for Market Risk (refer table No. 6)	1,872,528	1,741,736	2,055,000	2,046,112
CET I Capital Ratio (%)	16.35	11.92	16.67	12.18
of which: Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-
Total Tier I Capital Ratio (%)	16.35	11.92	16.67	12.18
Total Capital Ratio (%)	19.56	14.27	19.77	14.46
of which: Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-

TABLE - 3 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2023 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	%
Claims on central government and CBSL	575,331,290	-	575,331,290	-	3,532,581	1
Claims on foreign sovereigns and their central banks	24,216,114	-	24,216,114	-	-	-
Claims on public sector entities	12,685,678	-	562,250	-	562,250	100
Claims on banks exposures	85,855,224	-	85,855,224	-	20,981,215	24
Claims on financial institutions	32,991,702	-	32,991,702	-	18,873,116	57
Claims on corporates	383,001,133	469,673,976	345,609,951	36,816,350	348,221,532	91
Retail claims	265,655,544	12,797,597	237,426,700	9,907,705	137,491,036	56
Claims secured by residential property	51,318,750	-	51,318,750	-	24,102,209	47
Non-performing assets	60,602,911	-	60,602,911	-	65,832,445	109
Higher-risk categories	1,203,949	-	1,203,949	-	3,009,873	250
Cash items and other assets	62,443,252	-	62,443,252	-	31,091,715	50
	1,555,305,547	482,471,573	1,477,562,093	46,724,055	653,697,972	43

TABLE - 3 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2023 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	%
Claims on central government and CBSL	581,281,530	-	581,281,530	-	3,532,581	1
Claims on foreign sovereigns and their central banks	24,216,114	-	24,216,114	-	-	-
Claims on public sector entities	12,685,678	-	562,250	-	562,250	100
Claims on banks exposures	85,877,331	-	85,877,331	-	20,985,637	24
Claims on financial institutions	28,798,758	-	28,798,758	-	16,776,644	58
Claims on corporates	381,100,804	468,120,205	342,973,166	36,850,744	345,619,143	91
Retail claims	297,483,504	12,797,597	269,254,660	9,907,705	162,112,496	58
Claims secured by residential property	51,318,750	-	51,318,750	-	24,102,209	47
Non-performing assets	65,647,209	-	65,647,209	-	73,193,063	111
Higher-risk categories	-	-	-	-	-	-
Cash items and other assets	74,731,459	-	74,731,459	-	43,143,767	58
	1,603,141,137	480,917,802	1,524,661,227	46,758,449	690,027,790	44

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 4 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2023 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class	Risk Weight	0%	20%	35%	50%	60%	75%	100%	150%	250%	Total credit exposures amount Rs 000
Claims on central government and CBSL		557,668,386	17,662,904	-	-	-	-	-	-	-	575,331,290
Claims on foreign sovereigns and their central banks		24,216,114	-	-	-	-	-	-	-	-	24,216,114
Claims on public sector entities		-	-	-	-	-	-	562,250	-	-	562,250
Claims on banks exposures		-	76,175,898	-	7,958,815	-	-	1,628,278	92,233	-	85,855,224
Claims on financial institutions		-	-	-	28,237,173	-	-	4,754,529	-	-	32,991,702
Claims on corporates		-	31,125,669	-	18,728,016	-	-	332,453,063	119,553	-	382,426,301
Retail claims		46,155,140	34,247,612	-	-	33,483,105	91,587,591	41,860,957	-	-	247,334,405
Claims secured by residential property		-	-	41,871,601	-	-	-	9,447,149	-	-	51,318,750
Non-performing assets		-	-	-	1,194,901	-	-	47,754,041	11,653,969	-	60,602,911
Higher-risk categories		-	-	-	-	-	-	-	-	1,203,949	1,203,949
Cash items and other assets		31,220,267	164,088	-	-	-	-	31,058,897	-	-	62,443,252
		659,259,907	159,376,171	41,871,601	56,118,905	33,483,105	91,587,591	469,519,164	11,865,755	1,203,949	1,524,286,148

TABLE - 4 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2023 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class	Risk Weight	0%	20%	35%	50%	60%	75%	100%	150%	250%	Total credit exposures amount Rs 000
Claims on central government and CBSL		563,618,626	17,662,904	-	-	-	-	-	-	-	581,281,530
Claims on foreign sovereigns and their central banks		24,216,114	-	-	-	-	-	-	-	-	24,216,114
Claims on public sector entities		-	-	-	-	-	-	562,250	-	-	562,250
Claims on banks exposures		-	76,198,005	-	7,958,815	-	-	1,628,278	92,233	-	85,877,331
Claims on financial institutions		-	-	-	24,044,229	-	-	4,754,529	-	-	28,798,758
Claims on corporates		-	31,125,669	-	18,728,016	-	-	329,850,672	119,553	-	379,823,910
Retail claims		52,976,746	34,728,729	-	-	33,483,105	91,587,591	66,386,194	-	-	279,162,365
Claims secured by residential property		-	-	41,871,601	-	-	-	9,447,149	-	-	51,318,750
Non-performing assets		-	-	-	1,194,901	-	-	48,165,700	16,286,608	-	65,647,209
Higher-risk categories		-	-	-	-	-	-	-	-	-	-
Cash items and other assets		31,456,422	164,088	-	-	-	-	43,110,949	-	-	74,731,459
		672,267,908	159,879,395	41,871,601	51,925,961	33,483,105	91,587,591	503,905,721	16,498,394	-	1,571,419,676

TABLE - 5: OPERATIONAL RISK FOR THE PERIOD ENDED 31ST DECEMBER 2023 UNDER THE ALTERNATIVE STANDARDISED APPROACH

Business Lines	Bank				Group				
	Capital charge factor	Fixed factor	Gross income/Average loans & advances		Capital charge factor	Fixed factor	Gross income/Average loans & advances		
			1st Year	2nd Year	3rd Year		1st Year	2nd Year	3rd Year
			Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000
The Alternative Standardised Approach									
Corporate finance	18%		6,370,608	12,034,323	7,724,681	18%	6,370,608	12,034,323	7,724,681
Trading and sales	18%		10,196,242	12,506,896	27,705,645	18%	16,106,683	16,302,856	32,185,842
Payment and settlement	18%		8,235	42,125	38,934	18%	8,235	42,125	38,934
Agency services	15%		75	-	-	15%	75	-	-
Asset management	12%		-	-	-	12%	-	-	-
Retail brokerage	12%		-	-	-	12%	-	-	-
Retail banking	12%	3.50%	405,226,362	445,917,998	438,340,412	12%	3.50%	405,226,362	445,917,998
Commercial banking	15%	3.50%	387,887,887	476,455,095	445,392,331	15%	3.50%	383,517,610	470,457,833
Capital Charge (Rs 000)			8,694,981				9,517,385		
Risk Weighted Amount (Rs 000)			69,559,848				76,139,080		

TABLE - 6: MARKET RISK AS AT 31ST DECEMBER 2023 UNDER STANDARDISED MEASUREMENT METHOD

Item	Bank		Group	
	Rs 000		Rs 000	
(a) Capital Charge for Interest Rate Risk	78,453		78,453	
General interest rate risk	78,453		78,453	
Specific interest rate risk	-		-	
(b) Capital Charge for Equity	-		22,809	
General equity risk	-		12,139	
Specific equity risk	-		10,670	
(c) Capital Charge for Foreign Exchange & Gold	155,613		155,613	
(d) Capital Charge (a) + (b) + (c)	234,066		256,875	
Risk Weighted Amount (d) * 100/12.5	1,872,528		2,055,000	

BASEL III DISCLOSURE REQUIREMENTS

SUMMARY DISCUSSION ON ADEQUACY/MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Overview

Having understood that proper "Capital Management" is vital in ensuring the long-term stability of the business, Sampath Bank has continued to maintain Capital Adequacy Ratios over and above the regulatory minimum requirements.

Capital Allocation

Effective risk management framework would ensure the stability of the Bank, by protecting it against market, credit, liquidity, operational and reputational risk. The main protection provider is the Bank's capital. Determining the optimum capital structure would be one of the most important risk management goals of the Bank. This process involves evaluating

the amount of risk each business unit contributes to the total risk of the Bank and the consequent capital requirements. Further, it involves determining the capital charge to each business unit whose activities contributes to Bank's overall risk, thereby inducing the business units to generate returns compensating the risk undertaken by them.

Capital Management Process

The Management regularly assesses the Bank's capital requirements, drawing insights from evolving macroeconomic conditions. Through stress testing and scenario analysis, the Bank anticipates and prepares for potential events or circumstances that may threaten its capital, ensuring readiness for unforeseen challenges. The Board of Directors oversees the Bank's capital management

and reviews the results of stress testing and scenario analysis on a frequent basis.

Illustrating the Bank's readiness to navigate a challenging macroeconomic environment amid sovereign debt restructuring, it successfully fortified its capital levels by raising Rs 10 Bn Basel III compliant, listed, rated, unsecured, subordinated, redeemable 5-year debentures with a non-viability conversion in February 2023.

Moving Forward

As of 31st December 2023, the Bank stands strongly positioned with significant capital buffers, poised to tackle future challenges and capitalise on opportunities as the economy returns to normalcy. The Bank remains committed to optimizing its risk-weighted assets, ensuring effective utilisation of capital resources.

TABLE - 7: LIQUIDITY COVERAGE RATIO - ALL CURRENCY

As at 31st December	2023		2022	
	Total un-weighted value Rs 000	Total weighted value Rs 000	Total un-weighted value Rs 000	Total weighted value Rs 000
Total Stock of High-Quality Liquid Assets (HQLA)	568,950,802	566,567,931	227,907,340	226,064,957
Level 1 assets	553,064,998	553,064,998	215,624,790	215,624,790
Level 2A assets	15,885,804	13,502,933	12,282,550	10,440,167
Level 2B assets	-	-	-	-
Total Cash Outflows	1,535,880,916	307,410,868	1,279,949,345	218,717,855
Deposits	1,264,470,197	232,698,240	1,103,212,882	201,023,717
Unsecured wholesale funding	781,638	781,638	952,116	952,116
Secured funding transactions	30,739,631	-	678,133	-
Undrawn portion of committed (irrevocable) facilities and other contingent funding obligations	172,850,066	6,891,606	165,683,276	7,319,084
Additional requirements	67,039,384	67,039,384	9,422,938	9,422,938
Total Cash Inflows	187,648,418	126,093,386	145,738,258	64,436,052
Maturing secured lending transactions backed by collateral	24,648,195	24,426,286	39,362,999	28,934,475
Committed facilities	-	-	-	-
Other inflows by counterparty which are maturing within 30 days	50,499,292	36,972,794	43,764,238	28,290,501
Operational deposits	47,806,625	-	55,399,945	-
Other cash inflows	64,694,306	64,694,306	7,211,076	7,211,076
Total Net Cash Outflows	1,348,232,498	181,317,482	1,134,211,087	154,281,803
Liquidity Coverage Ratio (%) (Stock of High-Quality Liquid Assets/Total Net Cash Outflows) * 100		312.47		146.53

TABLE - 8: LEVERAGE RATIO

As at 31st December	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Total Tier I Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Exposure	1,856,205,625	1,365,506,412	1,904,299,158	1,410,027,386
On-balance sheet exposure (excluding derivatives and securities financing transactions and asset amount adjusted in Basel III Tier I capital)	1,521,459,463	1,289,763,138	1,569,819,072	1,334,045,648
Derivative exposure	260,853,292	20,762,312	260,853,292	20,762,312
Securities financing transaction exposure	34,096,244	10,072,569	33,780,166	10,299,569
Other off-balance sheet exposure	39,796,626	44,908,393	39,846,628	44,919,857
Basel III Leverage Ratio (%) (Total Tier I Capital/Total Exposure)*100	6.39	7.00	6.73	7.29

TABLE - 9: NET STABLE FUNDING RATIO

As at 31st December	Bank	
	2023 Rs 000	2022 Rs 000
Total Available Stable Funding	1,164,832,226	1,028,011,411
Total Required Stable Funding	632,384,323	654,365,067
Required stable funding – on balance sheet assets	627,959,711	649,825,315
Required stable funding – off balance sheet items	4,424,612	4,539,752
Net Stable Funding Ratio (%) (Total Available Stable Funding/Total Required Stable Funding)*100	184.20	157.10

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 10: MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS AS AT 31ST DECEMBER 2023

Description of the capital instrument	Capital instruments issued by the Bank			
	2019-2024 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	2021-2028 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	2023-2028 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	
Issuer	Sampath Bank PLC	Sampath Bank PLC	Sampath Bank PLC	
Unique identifier	D0452 - LK0090D24156	D0510 - LK0090D24743	D0541 - LK0090D25070 D0542 - LK0090D25062	
Governing law(s) of the instrument	Companies Act No. 07 of 2007/CSE listing rules/Banking Act No. 30 of 1988 and subsequent amendments/Securities Exchange Commission Act			
Original date of issuance	28th February 2019	12th April 2021	09th February 2023	
Par value of instrument (per debenture)	Rs 100/-	Rs 100/-	Rs 100/-	
Perpetual or dated	Dated	Dated	Dated	
Original maturity date, if applicable	28th February 2024	12th April 2028	09th February 2028	
Amount recognised in regulatory capital (Rs 000)	350,000	5,400,000	8,500,000	
Accounting classification (Equity/Liability)	Liability	Liability	Liability	
Issuer call subject to prior supervisory approval				
Optional call date, contingent call dates and redemption amount (Rs 000)	n/a	n/a	n/a	
Subsequent call dates, if applicable	n/a	n/a	n/a	
Coupon/Dividend				
Fixed or floating dividend/coupon	D0452 - Fixed rate	D0510 - Fixed rate	D0541 - Fixed Rate D0542 - Floating Rate	
Coupon rate and any related index	D0452 - 13.90% p.a.	D0510 - 9.00% p.a.	D0541 - 28.00% p.a. D0542 - 1 Year TBill rate + 1.5% p.a., Subject to a floor of 20% and a cap of 31%	
Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	
Convertible or Non-convertible	Convertible	Convertible	Convertible	
If convertible, conversion trigger(s)	*	*	*	
If convertible, fully or partially	*	*	*	
If convertible, mandatory or optional	*	*	*	
If convertible, conversion rate	**	**	**	

* In the event of an occurrence of a trigger event as determined at the sole discretion of the Central Bank of Sri Lanka, there would be a conversion of debentures to ordinary voting shares by the company without any requirement of approval from the debenture holders, in compliance with Basel III requirements. Upon the occurrence of a trigger event, the outstanding balance of the debentures including the total par value of the debentures and debenture interest accrued and unpaid as at that date will be permanently converted to ordinary voting shares at the conversion price.

** The conversion rate will be based on the simple average of the daily Volume Weighted Average Price (VWAP) of an ordinary voting share as published by the Colombo Stock Exchange during the three months (03) period, immediately preceding the date of the trigger event.

n/a - not applicable

TABLE - 11 BANK: DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES AS AT 31ST DECEMBER 2023

Item	Carrying values as reported in published financial statements Rs 000	Carrying values under scope of regulatory reporting Rs 000	Subject to credit risk framework Rs 000	Subject to market risk framework Rs 000	Not subject to capital requirements or subject to deduction from capital Rs 000
Assets					
Cash & cash equivalents	79,272,087	79,272,087	79,318,108	-	-
Balances with Central Bank of Sri Lanka	14,463,854	14,463,854	14,463,854	-	-
Placements with banks	33,741,322	33,741,322	33,758,255	-	-
Derivative financial instruments	587,577	587,577	587,577	-	-
Financial assets recognised through profit or loss - measured at fair value	4,744,188	4,744,188	-	4,744,188	-
Financial assets at amortised cost					
- loans & advances	756,435,559	756,435,559	798,024,938	-	-
- debt & other instruments	368,100,002	368,100,002	368,111,653	-	-
Financial assets - fair value through other comprehensive income	216,022,295	216,022,295	216,022,295	-	-
Investment in subsidiaries	4,110,642	4,110,642	2,246,679	-	1,863,963
Property, plant & equipment	9,623,120	9,623,120	9,623,120	-	-
Intangible assets	745,395	745,395	-	-	745,395
Right-of-use assets	3,605,525	3,605,525	3,605,525	-	-
Deferred tax assets	17,292,023	17,292,023	-	-	17,292,023
Other assets	33,204,832	33,204,832	29,484,198	-	-
Total Assets	1,541,948,421	1,541,948,421	1,555,246,202	4,744,188	19,901,381
Liabilities					
Due to banks	11,621,838	11,621,838	-	-	-
Derivative financial instruments	1,498,777	1,498,777	-	-	-
Securities sold under repurchase agreements	34,688,209	34,688,209	-	-	-
Financial liabilities at amortised cost					
- due to depositors	1,253,642,547	1,253,642,547	-	-	-
- due to other borrowers	6,637,129	6,637,129	-	-	-
- due to debt securities holders	26,709,893	26,709,893	-	-	-
Retirement benefit obligation	3,170,247	3,170,247	-	-	-
Dividend payable	212,571	212,571	-	-	-
Current tax liabilities	16,220,788	16,220,788	-	-	-
Other liabilities	39,673,346	39,673,346	-	-	-
Total Liabilities	1,394,075,345	1,394,075,345	-	-	-
Gross Off-Balance Sheet Liabilities					
Guarantees	35,491,444	35,491,444	35,491,444	-	-
Documentary credit	28,342,241	28,342,241	28,342,241	-	-
Acceptance	10,668,946	10,668,946	10,668,946	-	-
Other contingent items	184,596,610	184,596,610	184,596,610	-	-
Commitment for unutilised facilities	224,451,468	224,451,468	224,451,468	-	-
Other commitments	1,017,854	1,017,854	1,017,854	-	-
Total Gross Off-Balance Sheet Liabilities	484,568,563	484,568,563	484,568,563	-	-
Shareholders' Equity					
Stated capital	48,741,119	48,741,119	-	-	-
of which amount eligible for CET I	48,741,119	48,741,119	-	-	-
of which amount eligible for AT I	-	-	-	-	-
Retained earnings	10,566,248	10,566,248	-	-	-
Accumulated other comprehensive income	11,344,032	11,344,032	-	-	-
Other reserves	77,221,677	77,221,677	-	-	-
Total Shareholders' Equity	147,873,076	147,873,076	-	-	-

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 12 GROUP: ASSESSMENT OF DOMESTIC SYSTEMICALLY IMPORTANT BANKS (D-SIBs) AS AT 31ST DECEMBER 2023

	Rs 000
Size Indicator	
Section 1 - Total exposure	
Total exposure measure	1,904,299,158
Interconnectedness Indicators	
Section 2 - Intra-financial system assets	
a. Funds deposited with or lent to other financial institutions	107,764,540
(i) Funds deposited	82,028,603
(ii) Lending	25,735,937
b. Holdings of securities issued by other financial institutions	9,847,340
c. Net positive current exposure of securities financing transactions (SFTs) with other financial institutions	-
d. Over the counter (OTC) derivatives with other financial institutions that have a net positive mark to market value	1,167,266
Intra-financial system assets	118,779,146
Section 3 - Intra-financial system liabilities	
a. Funds deposited by or borrowed from other financial institutions	36,144,808
(i) Funds deposited	22,990,563
(ii) Borrowings	13,154,245
b. Net negative current exposure of securities financing transactions with other financial institutions	657,920
c. Over the counter derivatives with other financial institutions that have a net negative mark to market value	2,674,060
Intra-financial system liabilities	39,476,788
Section 4 - Securities outstanding	
Securities outstanding	30,386,809
Substitutability/Financial Institution Infrastructure Indicators	
Section 5 - Payments made in the reporting year (excluding intra-group payments)	
Payments activity	7,973,617,811
Section 6 - Assets under custody	
Assets under custody	5,343,111
Section 7 - Underwritten transactions in debt and equity markets	
Underwriting activity	-
Section 8 - Trading volume	
a. Number of shares or securities	-
b. Value of the transactions	-
Complexity Indicators	
Section 9 - Notional amount of over the counter (OTC) derivatives	
OTC derivatives	184,596,610
Section 10 - Level 2 assets	
Level 2 assets	15,885,804
Section 11 - Financial assets recognised through profit or loss - measured at fair value & financial assets - fair value through other comprehensive income	
Financial assets - FVPL, FVOCI, and derivative financial instruments	221,451,230
Section 12 - Cross jurisdictional liabilities	
Cross jurisdictional liabilities (excluding derivatives and intra-group liabilities)	17,312,134
Section 13 - Cross jurisdictional claims	
Cross jurisdictional claims (excluding derivatives and intra-group claims)	140,820,643

GRI CONTENT INDEX



Scan this QR code to read our comprehensive Management Approaches on Material Topics published on Sampath Bank website:
www.sampath.lk

Key PAR - Printed Annual Report
DMA - Disclosures on Management Approaches (online version)

Statement of use	Sampath Bank PLC has reported in accordance with the GRI Standards for the period [From 01.01.2023 to 31.12.2023].
GRI 1 used	GRI 1: Foundation 2021

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION			
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	
General Disclosures						
GRI 2: General Disclosures 2021	2-1	Organisational details	PAR - 10,459	-	-	-
	2-2	Entities included in the organisation's sustainability reporting	PAR - 143	-	-	-
	2-3	Reporting period, frequency and contact point	PAR - 4,7	-	-	-
	2-4	Restatements of information	Refer GRI Note 01	-	-	-
	2-5	External assurance	PAR - 6	-	-	-
	2-6	Activities, value chain and other business relationships	PAR - 10-13,14-15,16-17,18,20-23,34-39,54-55,84 (Financial inclusion agenda) DMA - 21-22	-	-	-
	2-7	Employees	PAR - 93	-	-	-
	2-8	Workers who are not employees	PAR - 93, Refer GRI Note 02	-	-	-
	2-9	Governance structure and composition	PAR - 48,154-155,159-160,161,174-175,176-181	-	-	-
	2-10	Nomination and selection of the highest governance body	PAR - 167,187-189	-	-	-
	2-11	Chair of the highest governance body	PAR - 30-33,176-177	-	-	-
	2-12	Role of the highest governance body in overseeing the management of impacts	PAR - 48,151,152,155,158,166,167,168	-	-	-
	2-13	Delegation of responsibility for managing impacts	PAR - 48,159-160,174-175	-	-	-
	2-14	Role of the highest governance body in sustainability reporting	PAR - 48,160-161	-	-	-
	2-15	Conflicts of interest	PAR - 150,156,158,169-170,171-173,197,419	-	-	-
	2-16	Communication of critical concerns	PAR - 47,48,164,173, Refer GRI Note 03	-	-	-
	2-17	Collective knowledge of the highest governance body	PAR - 48,156-157	-	-	-
	2-18	Evaluation of the performance of the highest governance body	PAR - 48,158-159,165,167-168,178-181	-	-	-
	2-19	Remuneration policies	PAR - 165,172,193-194	-	-	-
	2-20	Process to determine remuneration	PAR - 165,193-194	-	-	-
	2-21	Annual total compensation ratio	*	-	-	-
	2-22	Statement on sustainable development strategy	PAR - 30-33	-	-	-
	2-23	Policy commitments	PAR - 152,153	-	-	-
	2-24	Embedding policy commitments	PAR - 174-175,187-208,209,210-225	-	-	-

* Information cannot be disclosed due to confidentiality reasons.

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GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
General Disclosures						
	2-25	Processes to remediate negative impacts	PAR - 7,47	-	-	-
	2-26	Mechanisms for seeking advice and raising concerns	PAR - 152,155 (Anti-corruption practices) DMA - 14	-	-	-
	2-27	Compliance with laws and regulations	PAR - 171,209	-	-	-
	2-28	Membership associations	PAR - 67	-	-	-
	2-29	Approach to stakeholder engagement	PAR - 59-66	-	-	-
	2-30	Collective bargaining agreements	Refer GRI Note 04	-	-	-
Material Topics						
GRI 3: Material Topics 2021	3-1	Process to determine material topics	PAR - 5,56-57	-	-	-
	3-2	List of material topics	PAR - 57-58, Refer GRI Note 05	-	-	-
Economic Performance						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-57, (Profitability and financial stability) PAR - 76 & DMA - 1	-	-	-
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	PAR - 422	-	-	-
	201-2	Financial implications and other risks and opportunities due to climate change	Refer GRI Note 6	-	-	-
	201-3	Defined benefit plan obligations and other retirement plans	PAR - 261,280-282	-	-	-
	201-4	Financial assistance received from government	Refer GRI Note 7	-	-	-
Market Presence						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-57, (Physical Channels) PAR - 83 & DMA - 3	-	-	-
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	Refer GRI Note 8	-	-	-
	202-2	Proportion of senior management hired from the local community	Refer GRI Note 9	-	-	-
Indirect Economic Impacts						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-57, (Profitability and financial stability) PAR - 76 & DMA - 1	-	-	-
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	PAR - 106-117	-	-	-
	203-2	Significant indirect economic impacts	PAR - 106-117	-	-	-

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
Anti-corruption						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58 (Anti-corruption practices) PAR - 92 & DMA - 14	-	-	-
GRI 205: Anti-corruption 2016	205-1	Operations assessed for risks related to corruption	(Customer Health and Safety) DMA - 16, Refer GRI Note 10	-	-	-
	205-2	Communication and training about anti-corruption policies and procedures	Refer GRI Note 11	-	-	-
	205-3	Confirmed incidents of corruption and actions taken	Refer GRI Note 12	-	-	-
Tax						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-57, (Profitability and financial stability)	-	-	-
GRI 207: Tax 2019	207-1	Approach to tax	PAR - 76 & DMA - 1	-	-	-
	207-2	Tax governance, control and risk management		-	-	-
	207-3	Stakeholder engagement and management of concerns related to tax		-	-	-
	207-4	Country-by-country reporting	PAR 250-401	-	-	-
Energy						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Climate Change) PAR - 120 & DMA - 24-25	-	-	-
GRI 302: Energy 2016	302-1	Energy consumption within the organisation	PAR - 124	-	-	-
	302-2	Energy consumption outside of the organisation	PAR - 124	-	-	-
	302-3	Energy intensity	PAR - 124	-	-	-
	302-4	Reduction of energy consumption	PAR - 124	-	-	-
	302-5	Reductions in energy requirements of products and services	Refer GRI Note 13	-	-	-
Emissions						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Climate Change) PAR - 120 & DMA - 24-25	-	-	-
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	PAR - 126	-	-	-
	305-2	Energy indirect (Scope 2) GHG emissions	PAR - 126	-	-	-
	305-3	Other indirect (Scope 3) GHG emissions	PAR - 126	-	-	-
	305-4	GHG emissions intensity	PAR - 126	-	-	-
	305-5	Reduction of GHG emissions	PAR - 126	-	-	-
	305-6	Emissions of ozone-depleting substances (ODS)	Refer GRI Note 14	-	-	-
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	PAR - 126	-	-	-

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GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION		
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION
Employment					
GRI 3: Material Topics 2021	3-3 Management of material topics	PAR - 56-57, (Talent acquisition and management) PAR - 92 & DMA - 8-9	-	-	-
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	PAR - 94,95	-	-	-
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	PAR - 95	-	-	-
	401-3 Parental leave	PAR - 97	-	-	-
Labour/Management Relations					
GRI 3: Material Topics 2021	3-3 Management of material topics	PAR - 56-57, (Employee relations) PAR - 92 & DMA - 11	-	-	-
GRI 402: Labour/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Refer GRI Note 15	-	-	-
Occupational Health and Safety					
GRI 3: Material Topics 2021	3-3 Management of material topics	PAR - 56-58, (Employee health and safety) PAR - 92 & DMA - 13	-	-	-
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system		-	-	-
	403-2 Hazard identification, risk assessment and incident investigation		-	-	-
	403-3 Occupational health services		-	-	-
	403-4 Worker participation, consultation and communication on occupational health and safety		-	-	-
	403-5 Worker training on occupational health and safety		-	-	-
	403-6 Promotion of worker health		-	-	-
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships		-	-	-
	403-8 Workers covered by an occupational health and safety management system		-	-	-
	403-9 Work-related injuries	PAR - Refer GRI Note 16	-	-	-
	403-10 Work-related ill health		-	-	-
Training and Education					
GRI 3: Material Topics 2021	3-3 Management of material topics	PAR - 56-57, (Learning and development) PAR - 92 & DMA - 10	-	-	-
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	PAR - 98	-	-	-
	404-2 Programs for upgrading employee skills and transition assistance programmes	PAR - 99	-	-	-
	404-3 Percentage of employees receiving regular performance and career development reviews	PAR - 99	-	-	-

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
Diversity and Equal Opportunity						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-57, (Talent acquisition and management) PAR - 92 & DMA - 8-9	-	-	-
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	PAR - 96	-	-	-
	405-2	Ratio of basic salary and remuneration of women to men	PAR - 96	-	-	-
Local Communities						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Community development) PAR - 103 & DMA - 23	-	-	-
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments and development programmes	PAR - 50-51,106-117,128-132	-	-	-
	413-2	Operations with significant actual and potential negative impacts on local communities	Refer Note 17	-	-	-
Customer Health and Safety						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Customer health and safety) PAR - 103 & DMA - 16	-	-	-
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	Refer GRI Note 18	-	-	-
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Refer GRI Note 19	-	-	-
Marketing and Labelling						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Sales promotions,marketing communication and information availability on Bank's products and services) PAR -103 & DMA - 17	-	-	-
GRI 417: Marketing and Labelling 2016	417-1	Requirements for product and service information and labelling	(Sales promotions,marketing communication and information availability on Bank's products and services) DMA - 17, Refer GRI Note 20	-	-	-
	417-2	Incidents of non-compliance concerning product and service information and labelling	Refer GRI Note 21	-	-	-
	417-3	Incidents of non-compliance concerning marketing communications	Refer GRI Note 22	-	-	-
Customer Privacy						
GRI 3: Material Topics 2021	3-3	Management of material topics	PAR - 56-58, (Information security) PAR - 88 & DMA - 7 (Customer privacy) PAR - 103 & DMA - 18 (Complaint management) PAR - 103 & DMA - 19	-	-	-
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	PAR-106 Refer GRI Note 23	-	-	-

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GRI Notes

Note Number	Remarks
01	There are no restatements with regard to sustainability reporting criteria.
02	Sampath Bank defines those who work for third party service providers as "Workers who are not employees". The Bank routinely outsources certain non-core functions (call centre operations, fleet management, security and janitorial services etc.) to independent third party service providers. While employees of these outsource partners are required to work at the Bank premises, they are not on the Bank payroll system. Hence they are considered as "Workers who are not employees". However it should be noted that, given the variable nature of these engagements, it is not possible to determine the exact number of workers deployed by outsource partners during the year.
03	During the year 2023, five (05) concerns were reported through Whistleblowing. The reported cases were addressed in accordance with the Whistleblowing Policy and Audit Investigations were initiated. Findings and recommendations were reported to the Board Audit Committee and to the Board of Directors as appropriate. Reports were sent to the disciplinary committee to take appropriate actions. The recommendations relating to process improvement and rectification of internal control gaps/deviations were shared with the management.
04	There is no collective bargaining agreement between the Bank & SBEA. However, the relationship between two parties remains cordial.
05	Out of the 22 Material Topics for 2023, 21 remained unchanged from the previous year. The Material Topic "Environment Protection and Conservation" was updated as "Climate Change". This was done with a view to enable the Bank to undertake a broader range of activities to promote environmental advocacy, specially to bring more focus in relation to climate change mitigation and adaption, as well as to undertake green financing as a major priority.
06	Being in the business of Banking, climate change does not have a significant impact on our business. Accordingly, during the reporting period, no records were maintained to catalogue the effect of climate change on the business.
07	As we are a private sector organisation, there is no direct or indirect financial assistance (grants) received from the government.
08	Entry Level Wage refers to remuneration paid to new entrants joining the Bank as a Trainee Staff Assistant/Junior Executive ¹ . The Bank does not distinguish based on gender and both males and females in these positions are entitled to a same entry level wage. There is no entry level wage rate imposed on banking sector. However, Sampath Bank's entry level wage is higher than the national minimum wage rate.
09	At Sampath Bank, Senior Management refers to a designated authority in charge of a key business unit/function. All senior managers of the Bank are locally hired.
10	No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2023.
11	45% of employees and 25% of Senior Management have received training on anti-corruption.
12	No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2023.
13	Energy reduction cannot be accurately calculated or measured in relation to specific product or service of the Bank. However, the Bank's solar migration project has seen rooftop solar installations at seventeen branches which has resulted in an overall reduction in the volume of grid electricity consumed by the respective branch in providing banking services to customers.
14	Emissions of Ozone Depleting Substances (ODS) are insignificant, considering the nature of our business.
15	No collective agreement is in force, operational changes are informed in advance depending on the requirement.
16	Due to the nature of business, there have been no work related injuries and work related illnesses.
17	No incidents were reported during the reporting period.
18	As a service organisation, health and safety impacts of our products and service categories cannot be assessed.
19	None.
20	Products and service information published on the Bank's corporate website (www.sampath.lk) and in marketing communication materials [in all three languages (S/T/E)].
21	ZERO incidents were reported during the reporting period.
22	ZERO incidents were reported during the reporting period.
23	A total of 51 complaints were received in 2023, of these 47 were successfully resolved during the course of the year, while the other 04 remain under audit investigation and HR proceedings as at 31st December 2023.

INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC ON THE INTEGRATED ANNUAL REPORT 2023



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Scope

We have been engaged by Sampath Bank PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Sampath Bank PLC's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term (the "Subject Matter") contained in Sampath Bank PLC's (the "Entity's") Integrated Annual Report for the year ended 31st December 2023 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Sampath Bank PLC

In preparing the Subject Matter, Sampath Bank PLC applied the Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC) ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organizational overview & external environment outlook presented in the Integrated Annual Report is in accordance with the relevant criteria; As a

result, the subject matter information may not be suitable for another purpose.

Sampath Bank PLC's responsibilities

Sampath Bank PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised)), and the terms of reference for this engagement as agreed with the Sampath Bank PLC on 10 January 2024. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base

INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC ON THE INTEGRATED ANNUAL REPORT 2023

our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.
- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.

- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organization creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organization's strategy and how the organization creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.
- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

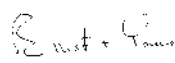
Emphasis of matter

Economic, Environment, Social and Intellectual capital management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Sampath Bank PLC for the year ended 31 December 2023. No matter has come to our attention that causes us to believe that information on financial capital management as specified on pages 76 to 82 of the Integrated Annual Report and other information presented in the Report are not prepared, in all material respects, in accordance with the Guiding Principles and Content Elements of the Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC).


14 February 2024
Colombo

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Principals: T P M Ruberu FCA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhiveli B.Com (Sp)

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INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC ON THE SUSTAINABILITY REPORTING CRITERIA PRESENTED IN THE INTEGRATED ANNUAL REPORT 2023



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Scope

We have been engaged by Sampath Bank PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Sampath Bank PLC's Economic, Environment, Social and Governance (EESG) indicators (the "Subject Matter") contained in Sampath Bank PLC's (the "Entity's") Integrated Annual Report for the year ended 31st December 2023 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Sampath Bank PLC

In preparing the Subject Matter, Sampath Bank PLC applied the following criteria ("Criteria"):

- The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at <https://www.globalreporting.org>

Such Criteria were specifically designed for the purpose of assisting you in determining whether Entity's Economic, Environment, Social and Governance (EESG) indicators contained in the Entity's Report in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

Sampath Bank PLC's responsibilities

Sampath Bank PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised)), and the terms of reference for this engagement as agreed with the Sampath Bank PLC on 10 January 2024. Those standards require that we plan and perform our engagement to express a conclusion on whether, we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC ON THE SUSTAINABILITY REPORTING CRITERIA PRESENTED IN THE INTEGRATED ANNUAL REPORT 2023

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Validated the information presented and checked the calculations performed by the organization through recalculation.
- Performed a comparison of the content given in the Report against the criteria given in the selected sustainability standards/frameworks.
- Conducted interviews with relevant organization's personnel to understand the process for collection, analysis, aggregation and presentation of data. Interviews included selected key management personnel and relevant staff.
- Read the content presented in the Report for consistency with our overall knowledge obtained during the course of our assurance engagement and requested changes wherever required.

- Provided guidance, recommendations and feedback on the improvement of the sustainability reporting indicators to improve the presentation standard.

We also performed such other procedures as we considered necessary in the circumstances.

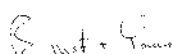
Emphasis of matter

Economic, Environment, Social management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information on the Economic, Environment, Social and Governance (EESG) contained in the Integrated Annual Report of Sampath Bank PLC for the year ended 31 December 2023. No matter has come to our attention that causes us to believe that information on financial performance as specified on page 422 of the Integrated Annual Report and other information on EESG presented in the Report are not prepared, in all material respects, in accordance with the GRI Sustainability Reporting Standards (GRI Standards) issued by the Global Sustainability Standards Board (GSSB).


14 February 2024
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

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GLOSSARY OF FINANCIAL AND BANKING TERMS

A

Acceptances

The signature on a Bill of Exchange indicates that the person on whom it is drawn accepts the conditions of the Bill. In other words a Bill of Exchange that has been accepted.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognition of the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalents.

Actuarial Assumptions

An entity's unbiased and mutually compatible best estimates of the demographic and financial variable that will determine the ultimate cost of providing post-employment benefits.

Additional Tier I (AT I) Capital

It is a supplementary form of Tier I capital. AT I includes capital instruments other than the instruments included in CET I capital.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectability.

Asset and Liability Management Committee (ALCO)

An Asset and Liability Management (ALM) Committee is a group within a financial institution responsible for overseeing the management of assets and liabilities to ensure a balance between risk and profitability. Its primary role is to monitor and control the risks associated with mismatches between the maturity, interest rates, and currency composition of assets and liabilities. The committee aims to optimise the institution's financial performance while safeguarding against potential risks, such as interest rate risk and liquidity risk.

Associate Company

An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

Average Weighted Deposit Rate (AWDR)

AWDR is calculated by the Central Bank monthly based on the weighted average of all outstanding interest bearing deposits of commercial banks and the corresponding interest rates.

Average Weighted Prime Lending Rate (AWPLR)

AWPLR is calculated by the Central Bank weekly based on commercial banks' lending rates offered to their prime customers during the week.

B

Basel II

The capital adequacy framework issued by the Basel Committee on Banking Supervision (BCBS) in the form of the 'International Convergence of Capital Measurement and Capital Standards'.

Basel III

The BCBS issued the Basel III rules, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

Bills sent for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

Branch Bench Strength (BBS)

The competence and number of employees ready to fill vacant leadership and other positions.

C

Capital Adequacy Ratio

The percentage of risk-weighted assets supported by capital as defined under the framework of risk-based capital standards developed by the Bank for International Settlement (BIS) and as modified to suit local requirements by the Central Bank of Sri Lanka.

Capital Conservation Buffer (CCB)

It is designed to ensure that banks build up capital buffers outside periods of stress which can be drawn down as losses are incurred.

Cash Equivalents

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash Flows

Cash flows are inflows and outflows of cash and cash equivalents.

Collectively Assessed Loan Impairment Provisions

Also known as portfolio impairment provisions. Impairment assessment on a collective basis for homogeneous groups of loans that are not considered individually significant and to cover losses that has been incurred but has not yet been identified at the reporting date. Typically assets

within the consumer banking business (housing, personal, vehicle loans, credit cards etc) are assessed on a portfolio basis.

Commercial Paper (CP)

An unsecured, short-term debt instrument issued by a corporation, typically for the financing of accounts receivable, inventories and meeting short-term liabilities. The debt is usually issued at a discount, reflecting prevailing market interest rates.

Commitments

Credit facilities approved but not yet utilised by the clients as at the reporting date.

Common Equity Tier I (CET I) Capital

Consists of stated capital, other capital and revenue reserves. CET I is the element of capital which has the highest quality and the most effective in absorbing losses.

Consolidated Financial Statements

Consolidated financial statements are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

Contingencies

A condition or situation, the ultimate outcome of which (gain or loss) will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Control

An investor controls an investee when the investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

Correspondent Bank

A bank in a foreign country that offers banking facilities to the customers of a bank in another country.

Cost Method

A method of accounting whereby the investment is recorded at cost. The Income Statement reflects income from the investment only to the extent that the investor receives distributions from accumulated net profits of the investee arising subsequent to the date of acquisition.

GLOSSARY OF FINANCIAL AND BANKING TERMS

Cost to Income Ratio

Operating expenses excluding impairment charge for loans and other losses as a percentage of total operating income.

Country Risk

The risk that a foreign government will not fulfil its obligations or obstructs the remittance of funds by debtors, either for financial reasons (transfer risk) or for other reasons (political risk).

Credit Rating

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk of financial loss to the Bank if a customer or counter party to a financial instrument fails to meet its contractual obligations, and arises principally from the loans and advances to customers and other banks and investment debt securities.

Credit Risk Mitigation

A technique to reduce the credit risk associated with an exposure by application of credit risk mitigants such as collateral, guarantee and credit protection.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Currency SWAPs

The simultaneous purchase of an amount of a currency for spot settlement and the sale of the same amount of the same currency for forward settlement.

Customer Deposits

Money deposited by account holders. Such funds are recorded as liabilities.

D

Deferred Tax

Sum set aside in the financial statements for taxation that may become payable/receivable in a financial year other than the current financial year. It arises because of temporary differences between tax rules and accounting conventions.

Delinquency

A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed. Also known as 'Arrears'.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Derecognition is the removal of a previously recognised financial asset or financial liability from an entity's statement of financial position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable (e.g. an interest rate), that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Discount Rate

A rate used to place a current value on future cash flows. It is needed to reflect the fact that money has a time value.

Dividend Cover

Profit after tax divided by gross dividend. This ratio measures the number of times dividend is covered by the current year's distributable profits.

Dividend Yield

Dividend earned per share as a percentage of its market value.

Documentary Letters of Credit (LCs)

Written undertakings by a bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Domestic Systemically Important Banks (D-SIBs)

D-SIBs are defined by CBSL annually, according to the Banking Act direction No. 10 of 2019.

E

Earnings per Share (EPS)

The profit attributable to each ordinary share in the Bank, based on the profit for the period after tax and after deducting minority interest and preference share Dividend.

Economic Value Added (EVA)

A measure of productivity which takes into consideration cost of total invested equity.

Effective Interest Rate (EIR)

Rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate (ETR)

Provision for taxation excluding deferred tax divided by the profit before taxation.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Method

The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the

investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

ESOP (Employee Share Ownership Plan)

A method of giving employees shares in the business for which they work.

Events after the Reporting Period

Events after the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

Expected Credit Losses (ECLs)

ECLs are probability-weighted estimate of the present value of cash shortfalls (i.e. the weighted average credit losses, with respective risks of defaults occurring in a given time period used as the weights). ECL measurements are unbiased (i.e. neutral, not conservative and not biased towards optimism or pessimism) and are determined by evaluating a range of possible outcomes.

Exposure

A claim, contingent claim or position which carries a risk of financial loss.

Exposure at Default (EAD)

This is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & interest and expected drawdowns of committed facilities.

F

Fair Value

Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Finance Lease

A finance lease is a lease that transfers substantially all the risks and rewards incidental to ownership of an asset. Title may or may not eventually be transferred.

Financial Guarantee Contract

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instrument

Financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Firm Commitment

A firm commitment is a binding agreement for the exchange of a specified quantity of resources at a specified price on a specified future date or dates.

Foreign Exchange Income

The realised gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contract

Agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

Global Reporting Initiative (GRI)

GRI is a leading organisation in the sustainability field. GRI promotes the use of sustainability reporting as a way for organisations to become more sustainable and contribute to sustainable development.

Going Concern

The financial statements are normally prepared on the assumption that an entity is a going concern and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the need to liquidate or curtail materially the scale of its operations.

Gross Dividend

The portion of profits distributed to the shareholders including the tax withheld.

Group

A group is a parent and its subsidiaries.

Guarantees

A promise made by a third party (guarantor), who is not a party to a contract between two others, that the guarantor will be liable if the guarantee fails to fulfil the contractual obligations.

H

Hedging

A strategy under which transactions are effected with the aim of providing cover against the risk of unfavourable price movements (interest rate, foreign exchange rate, commodity prices, etc)

High Loss Absorbency (HLA) Requirement

The additional capital buffer requirement for D-SIBs.

High Quality Liquid Assets (HQLA)

HQLA are assets that can be easily and immediately converted into cash at little or no loss of value, that can be readily sold or used as collateral to obtain funds in a range of stress scenarios and are unencumbered, i.e., without legal, regulatory or operational impediments.

I

Impaired Loans

Impaired loans are loans where the Group does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

Impairment

This occurs when recoverable amount of an asset is less than its carrying amount.

Impairment Provisions

Impairment provisions are provisions held on the Statement of Financial Position as a result of the raising of a charge against profit for the incurred loss.

Individually Significant Loan Impairment Provision (Specific Impairment Provision)

Impairment is measured individually for assets that are individually significant to the Group.

Intangible Asset

An intangible asset is an identifiable non-monetary asset without physical substance.

Interest Cover

A ratio showing the number of times interest charges is covered by earnings before interest and tax.

Interest Rate Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

Interest Rate SWAP

An agreement between two parties where one stream of future interest payments is exchanged for another stream of future interest payments based on a specified principal amount.

Interest Spread

This represents the difference between the average interest rate earned and the average interest rate paid on funds.

Investment Properties

Investment property is property (land or a building or part of a building or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use in the production or supply of goods or services or for administrative services; or sale in the ordinary course of business.

K

Key Management Personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity.

L

Leverage Ratio

The Leverage Ratio is a transparent, simple, non-risk-based ratio and is calculated by dividing Total Tier I capital from the Bank's total exposures of all assets and off balance sheet items.

Lifetime Expected Credit Losses

The expected credit losses that result from all possible default events over the expected life of a financial instrument.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily, such as deposits with other banks, bills of exchange and treasury bills and bonds.

Liquidity Coverage Ratio (LCR)

Banks are required to maintain an adequate level of unencumbered High Quality Liquid Assets (HQLA) that can be converted into cash to meet their liquidity needs for a 30 calendar day time horizon under a significantly severe liquidity stress scenario. LCR is computed by dividing the stock of HQLA by the total net cash outflows over the next 30 calendar days.

Liquidity Risk

The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

Loss Given Default (LGD)

LGD is the percentage of an exposure that a lender expects to lose in the event of obligor defaults. It is based on the difference between the contractual cash flows due and those that the lender would receive including any collateral.

M

Market Capitalisation

The value of a company obtained by multiplying the number of ordinary shares in issue by its market value as at a date.

Market Risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's/issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of financial statements.

N

Net Asset Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

GLOSSARY OF FINANCIAL AND BANKING TERMS

Net-Interest Income (NII)

The difference between what a bank earns on assets such as loans and securities and what it pays on liabilities such as deposits, refinance funds and inter-bank borrowings.

Net Interest Margin

Net interest income expressed as a percentage of the average of total assets.

Net Stable Funding Ratio (NSFR)

NSFR is defined as the amount of Available Stable Funding (ASF) relative to the amount of Required Stable Funding (RSF).

Nostro Account

A bank account held in foreign country by a domestic bank, denominated in the currency of that country. Nostro accounts are used to facilitate the settlement of foreign exchange trade transactions.

Non-Controlling Interest

Non-controlling interest is the equity in a subsidiary not attributable, directly or indirectly to a parent.

O

Operational Risk

Operational risk refers to the losses arising from fraud, negligence, oversight, human error, process errors, system failures, external events, etc.

P

Parent

A parent is an entity that controls one or more entities.

Power

The Power is the existing rights that give the current ability to direct the relevant activities.

Price Earnings Ratio (P/E Ratio)

The current market price of the share is divided by the earnings per share of the Bank.

Probability of Default (PD)

PD is an estimate of likelihood of default over a given time horizon.

Projected Unit Credit Method (PUC)

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation. (sometimes known as the accrued benefit method pro-rated on service or as the benefit/years of service method).

Prudence

Inclusion of a degree of caution in the exercise of judgment needed in making the estimates required under conditions of uncertainty, such that assets or income are not overstated and liabilities or expenses are not understated.

R

Repurchase Agreement

This is a contract to sell and subsequently repurchase government securities at a given price on a specified future date.

Return on Average Assets (ROA)

Profit after tax expressed as a percentage of average total assets, used along with ROE, as a measure of profitability and as a basis of intra-industry performance comparison.

Return on Average Equity (ROE)

Profit after tax less preferred share dividends if any, expressed as a percentage of average ordinary shareholders' equity.

Revenue Reserves

Reserves set aside for future distribution and investment.

Reverse Repurchase Agreement

Transaction involving the purchase of government securities by a bank or dealer and resale back to the seller at a given price on a specific future date.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Right-of-use Asset (ROU)

ROU asset is a lessee's right to use an asset over the life of a lease. The asset is calculated as the initial amount of the lease liability, plus any lease payments made to the lessor before the lease commencement date, plus any initial direct costs incurred, minus any lease incentives received.

Risk-weighted Assets

Used in the calculation of risk-based capital ratios. The face amount of assets is discounted using risk weighting factors in order to reflect a comparable risk per rupee among all types of assets. The risk inherent in commitment & contingencies is also recognised, first by adjusting notional values to Statement of Financial Position (or credit) equivalents and then by applying appropriate risk weighting factors.

S

Segmental Analysis

Analysis of financial information by segments of an enterprise specifically, the different industries and the different geographical areas in which it operates.

Shareholders' Funds

Total of issued and fully paid share capital and capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created as per the provisions of the Banking Act No. 30 of 1988.

Subsidiary

A Subsidiary is an entity that is controlled by another entity.

Substance over Form

The consideration that the accounting treatment and the presentation in financial statements of transactions and events should be governed by their substance and financial reality and not merely by legal form.

T

Total Capital (Capital Base)

Capital base is summation of the core capital (Tier I) and the supplementary capital (Tier II).

Total Tier I Capital

Total Tier I Capital consists of Common Equity Tier I Capital (CET I) and Additional Tier I Capital (AT I).

Twelve Month Expected Credit Losses

The portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

U

Unit Trust

An undertaking formed to invest in securities under the terms of a trust deed.

Useful Life

Useful life is the period over which an asset is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the asset by an entity.

V

Value Added

Wealth created by providing banking and other services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to government by way of taxes and retained for expansion and growth.

Vostro Account

A local currency account maintained by a local bank for a foreign (correspondent) bank. For the foreign bank, it is a Nostro account. The domestic bank acts as custodian or manages the account of a foreign counterpart.

Y

Yield to Maturity

Discount rate at which the present value of future payments would equal the security's current price.

ACRONYMS AND ABBREVIATIONS

&	And
°C	Celsius
12mECL	12 Months Expected Credit Loss
24/7-365	At any time, all year round
2H	Second Half
ABC	Anti-Bribery and Corruption
ACBE	Annual Conference on Business Economics
ADB	Asian Development Bank
AED	United Arab Emirates Dirham
AGM	Annual General Meeting/Assistant General Manager (as appropriate)
AI	Artificial Intelligence
ALCO	Asset and Liability Management Committee
AML	Anti-Money Laundering
AOT	Art of Transformation
AP	Authorised Persons
APEC	Asia-Pacific Economic Cooperation
API	Application Programming Interface
ASA	Alternative Standardised Approach
ASPI	All Share Price Index
AT	After Tax
AT I	Additional Tier I
ATL	Above the Line
ATM	Automated Teller Machine
AUD	Australian Dollar
AWFDR	Average Weighted Fixed Deposit Rate
AWPLR	Average Weighted Prime Lending Rate
BAC	Board Audit Committee
BBS	Branch Bench Strength
BCBS	Basel Committee on Banking Supervision
BCC	Board Credit Committee
BCMC	Board Cost Monitoring Committee
BCP	Business Continuity Plan/Planning (as appropriate)
BCPC	Board Capital Planning Committee
BHRRC	Board Human Resources and Remuneration Committee
BIA	Bandaranaike International Airport/Business Impact Analysis/Basic Indicator Approach (as appropriate)
BIRMC	Board Integrated Risk Management Committee
BIS	Bank for International Settlement
BITC	Board Information Technology Committee
BMC	Board Marketing Committee
BMI	Body Mass Index
BMICH	Bandaranaike Memorial International Conference Hall
BMS	Building Management System
Bn	Billion
BNGC	Board Nominations and Governance Committee
BNO	Bank Notes Operation
BOCU	Branch Operations Centralisation Unit
BOI	Board of Investment of Sri Lanka
BOP	Balance of Payment
BPO	Business Promotion Officer
bps	Basis Points
BRPTRC	Board Related Party Transactions Review Committee
BSL	Biodiversity Sri Lanka
BSPC	Board Strategic Planning Committee
BSRC	Board Shareholders Relations Committee
BSS	Baseline Security Standards
BT	Before Tax
BTC	Board Treasury Committee
BTI	Below the Line
CA Sri Lanka/ICASL	Institute of Chartered Accountants of Sri Lanka
CAAT	Computer Aided Audit Techniques/Tools
CAD	Canadian Dollar
CAGR	Compound Annual Growth Rate
CAPEX	Capital Expenditure
CAR	Capital Adequacy Ratio
CASA	Current Accounts and Savings Accounts
CBOU	Central Branch Operations Unit
CBSL	Central Bank of Sri Lanka
CCB	Capital Conservation Buffer
CCC	Customer Care Centre
CCD	Central Cash Department
CCDU	Central Credit Documentation Unit
CCER	Customer Complaint Event Reporting
CCO	Chief Compliance Officer
CCPI	Colombo Consumer Price Index
CCPU	Central Credit Processing Unit
CCTV	Closed-Circuit Television
CDD	Customer Due Diligence
CDK	Cheque Deposit Kiosk
CDM	Cash Deposit Machine
CDS	Central Depository Systems
CEA	Central Environmental Authority
CEC	Ceylon Entrepreneurs' Club
CEFTS	Common Electronic Fund Transfer Switch
CEO	Chief Executive Officer
CET I	Common Equity Tier I
CFM	Close Family Members
CFO	Chief Financial Officer
CFT	Combating the Financing of Terrorism
CGU	Career Guidance Unit
CHF	Swiss Franc
CHRO	Chief Human Resource Officer
CHS	Complaint Handling System
CIA	Chief Internal Auditor
CIBF	Colombo International Book Fair
CIO	Chief Information Officer
CIRR	Customer's Internal Risk Rating

CISO	Chief Information Security Officer
CMS	Cash Management Solutions
CNU	Credit Nursing Unit
CO2	Carbon Dioxide
CO2e	"Carbon Dioxide Equivalent, is a standard unit for measuring carbon footprints"
CPCEC	Colombo Port City Economic Commission
CPO	Chief Procurement Officer
CRM	Cash Recycler Machine
CRO	Chief Risk Officer
CSD	Corporate Sustainability Department
CSE	Colombo Stock Exchange
CSP	Customer Security Programme
CSR	Corporate Social Responsibility
DA	Document against Acceptance
DBU	Domestic Banking Unit
DC	Documentary Credit
DDC	Data Dissemination Committee
DDO/DDR	Domestic Debt Optimisation/Domestic Debt Restructuring
DGM	Deputy General Manager
DLP	Data Leakage/Loss Prevention
DMS	Delinquent Management System
DP	Document against Payment
DPD	Days Past Due
DPO	Data Protection Officer
DR	Disaster Recovery
DRP	Disaster Recovery Procedure/Plan (as applicable)
D-SIB	Domestic Systemically Important Bank
DWC	Department of Wildlife Conservation
EAD	Exposure at Default
ECG	Effective Career Guidance
ECL	Expected Credit Loss
ED	Executive Director
EDB	Export Development Board
EDR	Endpoint Detection and Response
EFF	Extended Fund Facility
EIR	Effective Interest Rate
EMDE	Emerging Market and Developing Economies
EMS	Energy Monitoring System
EPF	Employees' Provident Fund
EPS	Earnings per Share
ESG	Environmental, Social and Governance
ESMS	Environmental and Social Management System
ESOP	Employee Share Ownership/Option Plan
ESOS	Employee Share Option Scheme
ESPS	Employee Share Purchase Scheme
ETF	Employees' Trust Fund
ETR	Effective Tax Rate
EU	European Union
EUR	Euro
EVP	Employee Value Proposition
EWS	Early Warning Signal
FAD	Fiscal Affairs Department
FCBU	Foreign Currency Banking Unit
FCY	Foreign Currency
FD	Fixed Deposit
FinCSIRT	Sri Lanka Financial Sector Computer Security Incident Response Team
FINDAS	Finance Document Approval System
FIU	Financial Intelligence Unit of Sri Lanka
FMCG	Fast-Moving Consumer Goods
FRMC	Fraud Risk Management Committee
FSVAT	Value Added Tax on Financial Services
FTRA	Financial Transactions Reporting Act
FVOCI	Fair Value through Other Comprehensive Income
FVPL	Fair Value through Profit or Loss
FX/FOREX	Foreign Exchange
FY	Financial Year
G10	Group of Ten
GBP	British Pound Sterling
GCC	Gulf Cooperation Council
GDP	Gross Domestic Product
GHG	Greenhouse Gas
GRI	Global Reporting Initiative
HHI	Herfindahl-Hirschman Index
HKD	Hong Kong Dollar
HLA	Higher Loss Absorbency
HQLA	High Quality Liquid Assets
HR	Human Resources
HRIS	Human Resource Information System
HVAC	Heating, Ventilation and Air Conditioning
i.e.	That is
IAD	Internal Audit Department
ICAAP	Internal Capital Adequacy Assessment Process
ICOFR	Internal Control Over Financial Reporting
ICT	Information and Communication Technologies
IDB	Industrial Development Board
IDP	Individual Development Plan
IFC	International Finance Corporation
IFRS	International Financial Reporting Standards
IFRIC	International Financial Reporting Interpretations Committee
IIRC	International Integrated Reporting Council
ILED	Internal Loss Event Data Reporting
ILO	International Labour Organisation
IMF	International Monetary Fund
IMF-EFF	International Monetary Fund-Extended Fund Facility
IND	Independent Director
INR	Indian Rupee
IPG	Internet Payment Gateway

ACRONYMS AND ABBREVIATIONS

IR	Integrated Reporting	R&D	Research and Development
IRM	Integrated Risk Management	RBA	Risk Based Approach
IRR	Interest Rate Risk	RBP	Risk Based Pricing
ISC	Information Security Committee	RCC	Risk and Compliance Committee
ISD	Information Security Department	RCP	Recovery Policy/Plan/Planning (as appropriate)
ISL	Individually Significant Loan	RCSA	Risk and Control Self-Assessment
ISMS	Information Security Management System	RHS	Right Hand Side
ISO	International Organisation for Standardisation	RMU	Risk Management Unit
ISSB	International Sustainability Standards Board	ROA	Return on Assets
IT	Information Technology	ROE	Return on Equity
IUCN	International Union for Conservation of Nature	RPA	Robotic Process Automation
JE I/JE II	Junior Executive I/Junior Executive II	RPT	Related Party Transactions
JFPR	Japan Fund for Poverty Reduction	RSA	Rate Sensitive Assets
JPY	Japanese Yen	RSL	Rate Sensitive Liabilities
KDU	Kotelawala Defence University	RTO	Recovery Time Objectives
Kg	Kilograms	RWA	Risk Weighted Assets
Km	Kilometers	RWN	Rating Watch Negative
KMP	Key Management Personnel	SAL	Sensitivity of Assets and Liabilities
KPI	Key Performance Indicators	SBEA	Sampath Bank Employees' Association
KRI	Key Risk Indicators	SDAS	Sampath Document Approval System
kWh	Kilowatt-hour	SDFR	Standing Deposit Facility Rate
KYC	Know-Your-Customer	SDG	Sustainable Development Goals
L&D	Learning and Development	SEC	Securities and Exchange Commission of Sri Lanka
LC	Letter of Credit	SENS	Sampath Employee Notification System
LCB	Licensed Commercial Bank	SGD	Singapore Dollar
LCP	Liquidity Contingency Plan	SID	Senior Independent Director
LCR	Liquidity Coverage Ratio	SIEM	Security Information and Event Management
LDU	Loan Disbursement Unit	SITS	Sampath Information Technology Solutions Limited
LED	Light-Emitting Diode	SLA	Service Level Agreement/Sampath Learning Academy (as appropriate)
LGD	Loss Given Default	SLAR	Statutory Liquid Assets Ratio
LKR	Sri Lankan Rupee	SLBA	Sri Lanka Banks' Association
LMS	Learning Management System	SLDB	Sri Lanka Development Bond
LP Gas	Liquefied Petroleum Gas	SLFR	Standing Lending Facility Rate
LTECL	Life Time Expected Credit Loss	SLFRS/LKAS	Sri Lanka Accounting Standards
M&A	Mergers and Acquisitions	SLIM	Sri Lanka Institute of Marketing
MAL	Maturity of Assets and Liabilities	SLISB	Sri Lanka International Sovereign Bond
MD	Managing Director	SLSAE	Sri Lanka Standard on Assurance Engagements
MIS	Management Information System	SMD	Surface Mount Diode
ML	Money Laundering	SME	Small and Medium-sized Enterprises
Mn	Million	SMILE	Small and Micro Industries Leader and Entrepreneur Promotion Project
MNC	Multinational Corporation	SMS	Short Message/Messaging Service
MOU	Memorandum of Understanding	SoAT	Statement of Alternative Treatment
MRMU	Market Risk Management Unit	SOC	Security Operation Centre
MSME	Micro, Small and Medium Scale Entrepreneurs	SOE	State-Owned Enterprises
MTM	Mark to Market	SPPI	Solely Payments of Principal and Interest
MVAC	Mechanical Ventilation and Air Conditioning	sq. ft.	Square Feet
Mw	Megawatt	Sri Lanka	National Cleaner Production Centre of Sri Lanka
NBFI	Non-Banking Financial Institutions	NCPC	
NBQSA	National Best Quality Software Awards	SRM	Security Register Maintenance
NBRO	National Building Research Organisation	SRP	Supervisory Review Process
NBV	Net Book Value	SRR	Statutory Reserve Ratio
NCE	National Chamber of Exporters	SRS	System Requirements Specification
NCPI	National Consumer Price Index	SSCL	Social Security Contribution Levy
NCRCS	New Comprehensive Rural Credit Scheme	STARs	Special Thanks and Recognition Scheme
NCRE	Non-Conventional Renewable Energy	STR	Suspicious Transaction Reports
NED	Non-Executive Director	SVC	Sampath Vishwa Corporate
NFCI	Net Fee and Commission Income	SWIFT	Society for Worldwide Interbank Financial Telecommunications
NID	Non-Independent Director	SWOT	Strengths, Weaknesses, Opportunities and Threats
NII	Net Interest Income	TAP	Trade Assistance Programme
NIM	Net Interest Margin	T-Bill	Treasury Bill
NOI	National Olympiad in Informatics	T-Bill/T-Bond	Treasury Bill/Treasury Bond
NOP	Net Open Position	T-Bond	Treasury Bond
NPA/NPL	Non-Performing Advances/Non-Performing Loans	TCFD	Task Force on Climate-related Financial Disclosures
NPS	Net Promoter Score	tCO2e	"Tones of Carbon Dioxide Equivalent"
NRA	National Risk Assessment	TCW	Touchless Cash Withdrawals
NSBM	National School of Business Management	TDD	Transaction Due Diligence
NSC	Network Services Centre	TF	Terrorist Financing
NSFR	Net Stable Funding Ratio	TFO	Treasury Front Office
OBU	Offshore Banking Unit	Tn	Trillion
OCI	Other Comprehensive Income	TOR	Terms of Reference
OD	Overdraft	TT	Telegraphic Transfer
OPD	Outpatient Department	TTDAS	Telegraphic Transfer Document Approval System
OPEX	Operating Expenditure	UCSC	University of Colombo, School of Computing
ORMC	Operational Risk Management Committee	UI	User Interface
OTP	One-Time-Password	UK	United Kingdom
p.a.	Per Annum	UN	United Nations
p.m.	Per Month	UNGC	United Nations Global Compact
P2P	Procure-to-Pay	UNICEF	United Nations International Children's Emergency Fund
PAM	Privileged Access Management	UOP	University of Peradeniya
PAT	Profit After Tax	UPI	UnionPay International
PBT	Profit Before Tax	UPS	Uninterruptible Power Supply
PC	Procurement Committee	US	United States
PCI DSS	Payment Card Industry Data Security Standard	USA	United States of America
PD	Probability of Default	USD/US\$	United States Dollar
PEP	Project Evaluation Process	USJ	University of Sri Jayewardenepura
PESTEL	Political, Economic, Social, Technological, Environmental and Legal	UX	User Experience
PII	Personal Identifiable information	VAPT	Vulnerability Assessment and Penetration Testing
PIN	Personal Identification Number	VaR	Value at Risk
PLC	Public Limited Company	VAT	Value Added Tax
PLM	Product Lifecycle Management	Vis-à-vis	In relation to, counterpart
PMEP	Project Management and Evaluation Process	VRF	Variable Refrigerant Flow
PMS	Performance Management System	VTM	Virtual Teller Machine
PPE	Property, Plant and Equipment	w.e.f.	With Effect From
PUC	Projected Unit Credit	WE-Fi	Women Entrepreneurs Finance Initiative
PVBP	Present Value Basis Points	WHO	World Health Organisation
Q1/Q2/Q3/Q4	Quarter 1/Quarter 2/Quarter 3/Quarter 4	WIM	Women in Management
QR Code	Quick Response Code	YoY	Year-on-Year

NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 38th Annual General Meeting of Sampath Bank PLC (the Company) will be held at "Balmoral", The Kingsbury, No. 48, Janadhipathi Mawatha, Colombo 01, on 28th March 2024 at 9.30 a.m. for the following purposes:

General Resolutions

1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.
2. To receive and consider the Statement of Audited Accounts for the year ended 31st December 2023 with the Report of the Auditors thereon.
3. To approve the cash dividend of Rs 5.85 per share recommended by the Board of Directors as the Final dividend for the financial year 2023.
4. To elect Mr Prabhask Subasinghe who was appointed to the Board to fill up a vacancy in the Board in terms of Article No. 93 of the Articles of Association of the Company.
5. To re-elect Ms Aroshi Nanayakkara who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
6. To re-elect Mr Rushanka Silva who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
7. To re-elect Mr Dilip de S Wijeyeratne who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
8. To grant approval to the Board of Directors to make any donations, contributions or subscriptions as it may consider appropriate during the financial year 2024.
9. To re-appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year and to authorise the Directors to determine their remuneration.

Special Business

10. To consider and approve an ex-gratia payment of up to Rupees Ten Million (Rs 10,000,000.00) for the former Managing Director Mr Nanda Fernando who completed his term of office on 30th June 2023.*
11. To consider and approve the sale of the Motor vehicle used by the former Managing Director Mr Nanda Fernando to him at a price of rupees one million three hundred seventy three thousand six hundred ninety eight and cents ninety seven (Rs 1,373,698.97) which is 50% of the Net Book Value of such vehicle as of 30th June 2023.*

**[The above benefits being a part of the remuneration policy of the Bank and extended on an arm's length basis as required by the Central Bank Direction No. 02/17/600/0036/001 issued on 17th July 2012].*

By order of the Board,

R. L. S. Senarathne

LASANTHA SENARATNE
Company Secretary

14th February 2024
Colombo, Sri Lanka

Note:

A member is entitled to appoint a Proxy to participate and vote on his/her/its behalf and a Proxy needs not be a member of the Company. A Form of Proxy is enclosed for this purpose. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, **not less than 24 hours before** the appointed time for holding the Annual General Meeting for the administrative purpose, and no registration of Proxies will be accommodated at the venue on the date of the Annual General Meeting.

NOTES

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

		ABOUT US
		HEAR FROM OUR LEADERS
		STRATEGY REPORT
		MANAGEMENT DISCUSSION AND ANALYSIS
		GOVERNANCE AND RISK MANAGEMENT
		FINANCIAL INFORMATION
		SUPPLEMENTARY INFORMATION

[illegible]

STAKEHOLDER FEEDBACK FORM

Sampath Bank greatly values your feedback about this Annual Report as it will help us to further improve the quality of our future publications. As such, we encourage you to complete and return this feedback form to;

COMPANY SECRETARY

Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka
E-mail: company_secretary@sampath.lk
Tel : +94 11 4730652/420/548
Fax : +94 11 2300924

WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (YOU MAY TICK MORE THAN ONE)

Shareholder		Investor		Customer	
Employee		Supplier		Service Provider	
Community		Public Authority		Regulatory Body	
Student		Journalist		Analyst	
Special Interest Group		NGO		Other	

RATE YOUR OVERALL IMPRESSION OF THIS REPORT IN TERMS OF:

Indicator	Excellent	Good	Fair	Poor
Content and Scope				
Informative				
Transparent				
Trustworthy				
Comprehensive				
User Friendly				
Design and Layout				

STAKEHOLDER FEEDBACK FORM

Comments/Queries/Suggestions

Would you like to receive Details/News of our Products/Services via e-mail mentioned below

Yes

No

Your details

Name :

Address :

.....

Telephone (Residence) :

Telephone (Office) :

Mobile :

E-mail :

FORM OF PROXY

THIRTY EIGHTH ANNUAL GENERAL MEETING

Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka.

I/We,.....

bearing NIC No./Passport No./Company Reg. No.of.....

being a member/members of Sampath Bank PLC (the Company) hereby appoint Mr/Mrs/Miss/Ven/Rev.....

bearing NIC No./Passport No. of.....

..... whom failing:

- | | | | | | |
|---|---------------------------|-------------|----|------------------------------|-------------|
| 1 | Mr Harsha Amarasekera | failing him | 7 | Mr Vinod Hirdaramani | failing him |
| 2 | Mr Rushanka Silva | failing him | 8 | Mr Hiran Cabraal | failing him |
| 3 | Mr Dilip de S Wijeyeratne | failing him | 9 | Mr Prabhash Subasinghe | failing him |
| 4 | Ms Aroshi Nanayakkara | failing her | 10 | Mrs Ayodhya Iddawela Perera | failing her |
| 5 | Mr Vajira Kulatilaka | failing him | 11 | Mr Ajantha de Vas Gunasekara | |
| 6 | Mrs Keshini Jayawardena | failing her | | | |

as my/our proxy to participate and vote for me/us on my/our behalf at the Thirty Eighth Annual General Meeting of the Company to be held at "Balmoral", Kingsbury, No. 48, Janadhipathi Mawatha, Colombo 01, on 28th March 2024 at 9.30 a.m and at any adjournment thereof.

Please mark your preference with "X"

	FOR	AGAINST
1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.	☐	☐
2. To receive and consider the Statement of Audited Accounts for the year ended 31st December 2023 with the Report of the Auditors thereon.	☐	☐
3. To approve the cash dividend of Rs 5.85 per share recommended by the Board of Directors as the Final dividend for the financial year 2023.	☐	☐
4. To elect Mr Prabhash Subasinghe who was appointed to the Board to fill up a vacancy in the Board in terms of Article No. 93 of the Articles of Association of the Company.	☐	☐
5. To re-elect Ms Aroshi Nanayakkara who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
6. To re-elect Mr Rushanka Silva who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
7. To re-elect Mr Dilip de S Wijeyeratne who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
8. To grant approval to the Board of Directors to make any donations, contributions or subscriptions as it may consider appropriate during the financial year 2024.	☐	☐
9. To re-appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration.	☐	☐

Special Business

10. To consider and approve an ex-gratia payment of up to Rupees Ten Million (Rs 10,000,000.00) for the former Managing Director Mr Nanda Fernando who completed his term of office on 30th June 2023.*

☐☐

11. To consider and approve the sale of the Motor vehicle used by the former Managing Director Mr Nanda Fernando to him at a price of rupees one million three hundred seventy three thousand six hundred ninety eight and cents ninety seven (Rs 1,373,698.97) which is 50% of the Net Book Value of such vehicle as of 30th June 2023.*

☐☐

**[The above benefits being a part of the remuneration policy of the Bank and extended on an arm's length basis as required by the Central Bank Direction No. 02/17/600/0036/001 issued on 17th July 2012].*

Signed on this day of 2024

Signature/s

NIC/Passport/Company Reg. No. of Shareholder/s

Note: 1. Proxy need not be a member of the Company

2. Instructions as to completion of the Form of Proxy are given below

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy, after filling in legibly your full name and address and by signing in the space provided.
2. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, **not less than 24 hours before** the appointed time for holding the Annual General Meeting for the administrative purpose, and no registration of Proxies will be accommodated at the venue on the date of the Annual General Meeting.
3. If you wish to appoint a person other than Chairman, Deputy Chairman or a Director of the Company as your Proxy, please insert the relevant details in the space provided before the names of the Board of Directors on the Form of Proxy.
4. Article No. 73 of the Articles of Association of the Company provides that: "Any corporation which is a member of the Company may by resolution of its directors or other governing body, authorize such person as it thinks fit to act as its representative at any meeting of the Company or of any class of members of the Company, and the person so authorized shall be entitled to exercise the same powers on behalf of such corporation as the corporation could exercise if it were an individual member of the Company".
5. Please mark your preference with an "X" in the space provided as to how your proxy may vote on each resolution. If no indication is given, the proxy, at his/her discretion, will vote as he/she thinks fit.
6. Article No. 63 of the Articles of Association of the Company provides that: "In the case of joint-holders of a share, the senior who tenders a vote, whether in person or by proxy or by attorney or by representative shall be accepted to the exclusion of the votes of the other joint-holders, and for this purpose seniority shall be determined by the order in which the names stand in the Register of Members in respect of the joint holding".
7. In the case of a Company/Corporation, the Proxy must be under its Common Seal, which should be affixed and/or attested in the manner prescribed by its Articles of Association.
8. When a proxy is signed by an attorney, the legally executed power of attorney in accordance with the relevant regulatory provisions must be deposited at the company's registered office for registration.

Name of Shareholder :

NIC/Passport/Company Reg. No. of Shareholder :

Membership No./Share Certificate No. :

CDS Account No. [if applicable] :

No. of Shares :

Name of Proxyholder :

NIC No./Passport No. of Proxyholder :

CORPORATE INFORMATION

GENERAL

NAME OF COMPANY

Sampath Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982 and listed on the Colombo Stock Exchange, re-registered on 28th April 2008 under the Companies Act No. 07 of 2007. A Licensed Commercial Bank under the Banking Act No. 30 of 1988.

COMPANY REGISTRATION NUMBER

PQ 144

ACCOUNTING YEAR END

31st December 2023

VAT REGISTRATION NUMBER

134001194-7000

HEAD OFFICE AND REGISTERED OFFICE

No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka

TELEPHONE

+94 11 2300260
+94 11 2358358
+94 11 4730630
+94 11 5331441
+94 11 5600600

FAX

+94 11 2303085

SWIFT CODE

BSAMLKLX

E-MAIL

mgr@oper.sampath.lk
info@sampath.lk

CREDIT RATING

Fitch Ratings Lanka Limited has assigned National Long Term Rating of 'A(lka)/Stable' to Sampath Bank PLC.

AUDITORS

Messrs Ernst & Young
Chartered Accountants

LAWYERS

Messrs Nithya Partners
Attorneys-at-Law

Messrs Heritage Partners
Attorneys-at-Law

COMPANY SECRETARY

Mr Lasantha Senaratne
Attorney-at-Law

ASSISTANT COMPANY SECRETARY

Mr Muditha Walpola
Attorney-at-Law

FOR INVESTOR RELATIONS, PLEASE CONTACT

Manager - Investor Relations
Sampath Bank PLC
No. 110, Sir James Peiris
Mawatha, Colombo 02,
Sri Lanka
thilina@credit.sampath.lk
+94 11 5406963
+94 76 5261069

FOR CLARIFICATIONS ON THE REPORT, PLEASE CONTACT

Company Secretary
Sampath Bank PLC,
No. 110, Sir James Peiris
Mawatha, Colombo 02,
Sri Lanka
company_secretary@sampath.lk
+94 11 4730652
+94 11 4730420
+94 11 4730548

BOARD OF DIRECTORS

Mr Harsha Amarasekera

Chairman/Non-Independent,
Non-Executive Director

Mr Rushanka Silva

Deputy Chairman/Non-Independent, Non-Executive Director

Mr Dilip de S Wijeyeratne

Senior Independent Director,
Non-Executive Director

Ms Aroshi Nanayakkara

Independent, Non-Executive Director

Mr Vajira Kulatilaka

Independent, Non-Executive Director

Mrs Keshini Jayawardena

Independent, Non-Executive Director

Mr Vinod Hirdaramani

Independent, Non-Executive Director

Mr Hiran Cabraal

Independent, Non-Executive Director

Mr Prabhash Subasinghe

Non-Independent, Non-Executive Director

Mrs Ayodhya Iddawela Perera

Managing Director

Mr Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

SUBSIDIARIES

Name of the Company	Holding %	Nature of Business
Sampath Centre Ltd	100	Renting of Commercial Property
SC Securities (Pvt) Ltd	100	Stock Broking
Siyapatha Finance PLC	100	Financial Services
Sampath Information Technology Solutions Ltd	100	IT Services

STOCK EXCHANGE LISTINGS

1,172,700,760 Ordinary Shares

70,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2019/2024

60,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2021/2028

100,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2023/2028

 www.sampath.lk

 https://www.facebook.com/Sampathbankplc

 https://www.instagram.com/sampathbankplc/

 https://twitter.com/SampathBankPLC

 https://www.youtube.com/channel/UCxNY_milDsSKGkrL5sFU9vg



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